IDFC First Bank Ltd. (IDFCFIRSTB)

Conference call transcripts, oldest-first. 19 call(s). Generated 2026-08-02.

Call: Aug 2022

IDFC FIRST Bank Limited
Corporate Office : Naman Chambers , C-32, ‘G’ Block, Bandra -Kurla Complex, Bandra (East), Mumbai 400 051 ; Tel: +91 22 7132 5500 ; Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/S D/117/2022-23 August 4, 202 2

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter ended June 30, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended June 30, 2022 conducted after the meeting of Board of Dire ctors held on July 30, 2022, for your information and records.

The above information is also available on the Bank’s website at the following link :
https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Concall -Transcript -Q1-FY23.pdf

Request you to take the above on record and acknowledge receipt of the same.

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
Head – Legal & Company Secretary

Encl.: As above

“IDFC FIRST Bank Limited Q1 FY23 Earnings
Conference Call”

July 30, 2022

MANAGEMENT : MR. V. VAIDYANATHAN – MD & CEO, IDFC FIRST BANK LIMITED
MR. SUDHANSHU JAIN – CFO & HEAD CORPORATE CENTER , IDFC FIRST BANK LIMITED
MR. SAPTARSHI BAPARI – HEAD, INVESTOR RELATIONS , IDFC FIRST BANK LIMITED
MODERATOR : MR. KUNAL SHAH – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day, and welcome to the IDFC First Bank Q1 FY '23 Conference Call hosted by ICICI Securiti es. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressi ng '*' then '0' on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kunal Shah. Thank you, and over to you, sir.
Kunal Shah : Thank you, Mike, and good evening, everyone present on the call. To day, we have with us Mr. V. Vaidyanathan, Managing Director and CEO; Mr. Sudhanshu Jain, CFO and Head of Corporate Center; and Mr. Saptarshi Bapari, Head of Investor Relations from IDFC First Bank to discuss the Q1 FY '23 earnings. Over to you, sir.
Vembu Vaidyanathan : First of all, thank you very much, Kunal, for organizing this for us. And for all of you investors who have joined us this evening, thank you. I think in a way, you've been very patient investors with us in a way we've tested the patien ce I think, for the last 3 years with one issue or the other. But in a way, I must say, you passed the test, and we tested you hard. I think that we've come a long way and now we can quite confidently say that the foundation is well built for the bank. We have a really strong deposit base, 50% CASA. We're able to raise deposits quite comfortably now. Of course, we even raised it during the period of COVID , over Rs. 25,000 crore , so, that should give us some confidence. But the fact that we're continuing to raise strong deposits even after dropping interest rate is really heartening for all of us at the bank. Now with the deposits, let me say, that s one of the foundational items for a bank to be able to raise deposits, which we were now able to raise.
Now on the lending side, frankly, we always felt that we already had a tried and tested model that has been running in the combined history of both banks put together, so to say, for close to 10 years now. Our loan book has been compounding by about 30% fo r quite a long while. And that machine is holding up very well, both the ability to disburse and more importantly, the quality of that lending continues to be strong. Later in the conversation depending on where the conversation goes, we'll share with you specific indicators about how each of the items about the so -called through -the-door population, i.e., the quality of origination, quality of customers coming into the bank, we'll share that with you. We will share with you how these customers are bouncing their cheques or what the trend is on presentation.
Number three, on presentation, if they return, we go and collect, so what are those percentages. Number four, how are the vintage cohorts looking like. We'll share all the data with you how the conversat ion goes depending on your level of interest. But let me just say that all those numbers are looking very good, and that gives us a picture that is directly translating into what the SMA numbers for the bank are. Again, the SMA numbers of what the numbers were, let me say, even pre-COVID, people thought that "oh, have we caught with COVID," pre -COVID. We're not caught up, it's like better. So, SMA -0, SMA -1, SMA -2, literally product after product, segment after segment and at the overall bank level, they're all lesser. Now naturally, if SMA is low, then flow into NPA will be lesser.

So, we are quite confident when we give guidance that our credit loss for this year will be less than 1.5% or when we guide for the retail NPA to become less than 2%, all of them have a basis. We've just not been saying it without basis. So, the short point is, therefore, that the asset qualit

y
numbers are looking quite good.
The third item, if you move on from deposit, assets and asset quality, I'll move to the fourth item that co mes to profitability. Now as far as profitability is concerned, again, I think something is very significant about our bank, I'm not sure how many of you've spotted it. But if you've noticed for the last 3 years, our loan book has not grown very much, it h as grown by 6% compounded 3-year CAGR. But I don't think people have really spotted that the operating profit of the bank,

the core operating profit that is ex -treasury, that number, especially because we all know trading income is trading income, you can’ t count on it. But if you noticed FY 2019, let me say, the annualized H2-FY19 pre-operating profit, both Capital First and IDFC Bank put together post -merger was Rs. 1,105 crore.

Now 3 years have gone by, we've spent a lot of money building various capabilities and all that. But despite all that, our operating profit has risen to Rs. 2,753 crore, and that's grown at CAGR of 36%. So, core operating profit growing at a CAGR of 36% year -on-year feels good for us and gives us confidence in the business model we're building. And the second thing is that last year in FY '22 , our core operating profit, that is basically NII plus fees minus OPEX , that has risen by 44% YOY . Now we are feeling within us that this number in FY '23 should rise by another 45-odd percent and our own internal modeling says that into FY '24, this could rise by another 45%.

So, if the core operating profit starts compounding like this, I think it really augurs well for the bank. Now after core ope rating profit , comes the provisioning line and then rest of it in P&L, so I'll just take it in that way.

Now when we come to the provision line, we had pointed out to you that despite the second wave when there was no moratorium and our provisioning norms required us to take the provisions, despite such a serious first quarter of last year, our overall credit loss for the last year was only 2.5% of the total funded assets .

Now this year, we have guided for the same at 1.5%, and frankly, we fee l we'll meet that very comfortably. And therefore, with this sort of a strong operating profit opening up for the bank, if our credit loss is 1.5%, rest of the math you can do about what it will do to the ROA and ROE.

Therefore, when we look at the ROA, I think one of the very significant events that has happened in our life right now is that the core , let me say, the pre -provisioning operating profit last quarter was nudging Rs. 1,000 crore, I think Rs. 980 crore. Sudhanshu will take you through when he sees the numbers, so Rs. 986 crore, let me round it off Rs. 1,000 crore ., So Rs. 1 ,000 crore of pre-provisioning operating profit for the bank is really fantastic. It gives us a lot of confidence. And therefore, even if you take a normalized provision credit cost of 1.5%, it gives us a lot of space for profitability. And I want to take you back in time for 2 quarters to just tell you how

much progress the bank has made that in the first 4 or 5 quarters of the merger of the bank, the issue was not provisions, the issue was bank never had enough pre-provisioning operating profits.

So, provision normally for like for any reasonable good bank is same 1% - 1.5% of average book. But our problem was that we never had the operating profit. So, therefore, for example, last Q1 of FY '22, when the COVID s econd wave happened, at that point of time, we had provisions, but we didn't have enough operating profit. Now for the bank to have an operating profit of Rs. 1,000 crore is a very big thing because now we have the space to be able to take normalized provi sions and be profitable. It is frankly our read that our bank will never post a loss again in its life.

I‘m carefully caveating by saying “I feel” ; the reas

on just because to be technically and legally right. But otherwise, genuinely, we don't think it will happen again because now we have very, very strong operating profits, which means that our bank will continue to now compound equity, which we can very confidently and safely say now up. That now translates to return on assets. But before I go to return on assets , let me just read out 4 numbers to you, if that will help you understand this. The Q2 of FY '22, our PAT was Rs. 152 crore. Q3, it jumped by 85% to touch Rs. 281 crore. Q4 FY '22, our PAT increased to Rs. 343 crore. Now Q4 FY '23, our PAT has gone up to Rs. 474 crore. And by the way let me share with you, there is nothing in this income that you should worry about generally , is it onetime a nd all that, nothing material. So, that gives a color about where the story is headed. Now that translates to return on assets.

When you translate that, our ROA in Q2 FY '22 was 0.37%, Q3 was 0.64%, Q4 was 0.77% and Q1 FY '23 0.97%, let me round it off to 1% for convenience. So, just think, see where the ROA is moving so fast upwards. So, it gives us confidence that there is no one -timer sitting in this. It gives us confidence that this story can progress up for a while. So, many of you who have been disappointed with us saying that “oh, you guys are never making profit,” and for those of you who feel like that, I must say, by the w ay if you look at it, it's not that 1% is greatly impressive. I mean, a good number should probably be 2%. But what you should watch is not that 1%, it's a good landmark. But what is more important is the direction, and the speed at which this is getting fixed and it is getting addressed is something we should take note of. In fact, there's a couple of global research reports who always look at us and say, “you guys are making no ROE, why should you be valued at 1.2x book,” I think they're fundamentally mak ing a mistake because they're looking at today. You have to look nearly 2 years forward, and let me tell you, you'll

probably surprise yourself.
Now the other thing is return on equity. On return on equity, it is basically that our ROE in Q2 FY '22 was 2.9 7%, Q3 '22 by the way, I'm talking sequentially quarter and not like year -on-year and all that, the sequential quarter, 2.97% moved to 5.44%. Then Q4 FY '22 has moved to 6.67%. Q1 FY '23 moved to 9% touch and go. So, I hope it should not be a surprise f or you when we say we'll guide the Q4 of this year, one of you asked this question what the ROE will be and I

told you double digit. Our own sense is that we'll get there even before Q4. We like to probably advance the guidance if it's something like that.
So, the short point is that some of you have been disappointed with our profit number. But I must say that not that we had a choice because there were just so many lumpy assets to deal with. We couldn't push them under the carpet. We had to deal with them , whether it is Dewan, Reliance Capital, some infrastructure loans, some South India -based companies, the unfortunate case of suicide, all of these are legacy accounts. We had one large retail chain on which we had exposure that's been in the news for the last few months in the large legal fight. We had exposure there, that's also a legacy account. So, one after one after the other, we have dealt with every one of them. I can tell you confidently there's nothing left here.
Now for those of you who don' t feel confident about it, you can watch the results for a quarter or 2, you'll get the confidence. So, with that, as the legacy issues out of the way and the core operating profit opening up the way I described to you in terms of ROA, ROE, it shouldn't be surprising for you that our profitability is increasing. So, I can, therefore, say that we are looking forward to a very, very good FY '23. We don't expect to give you any surprise

s. And if you were
within the walls of this office, you'll probably get a feeling that we are internally feeling very, very confident. So, I'm feeling good about the upcoming year and maybe '24, '25 and so on because I don't think there's any surprise left here. So, that's about it. Thank you very much for taking the call today, and I'd request Sudhanshu to maybe throw some more color into the discussion.
Sudhanshu Jain : Thanks, Vaidya. Good evening, everyone, and welcome to the con call. I'm happy to share the finan cial results of Q1 FY '23 with all of you. The overall balance sheet size has crossed Rs. 2,00,000 crore in this quarter and grew by 19% on a Y -o-Y basis to reach Rs. 2,00,565 crore. So, overall funded assets, which includes loans and advances and credit i nvestments, grew by 21% Y -o-Y and 6.7% sequentially to Rs. 1,37,663 crore. Within that, the retail and the commercial book together grew by 36.8% Y -o-Y and 9.5% sequentially to reach Rs. 1,01,309 crore.
Home loans registered the high growth at 61% on a Y -o-Y basis. Mortgage book, which includes home loans and loans against property, now constitutes 33.5% of the overall retail and commercial book. The rural book, which includes funding to self -help groups, Kisan credit cards and small enterprise loans, also grew strongly by 29% on a Y -o-Y basis. This segment is bouncing back strongly post the impact felt in wave 2. Speaking of our credit card business, the bank has issued more than 1 million cards since we started this business in January '21. The credit card book worth Rs. 2,315 crore on June 30, up by 183% on a Y -o-Y basis. Even the credit card spends have increased by 20% on a sequential basis. We are clearly increasing market share here.
With respect to wholesale assets, the non -infra corporate loans grew by 12% on a Y -o-Y basis and by 1% on a Q -on-Q to Rs. 23,970 crore. We will continue to grow this book in a risk -adjusted

manner. The infrastructure book degrew further and reduced by about 35% Y -o-Y and by 2% Q-on-Q to Rs. 6,739 crore, and now forms nearly 4.9% of the total funded assets as compared to 22% at the time of merger. From a risk standpoint, borrower concentration has also improved significantly, the exposure to top 20 single borrowers reduced from 16% in March '19 to 9% in June '22.
Moving on to the liability front. The CASA deposits of the Bank has increased by 22% Y -o-Y to Rs. 56,720 crore. The CASA ratio is stable at 50.04% as on June 30, 2022. Average CASA deposits also grew by 10% on a Q -on-Q basis. Outstanding term deposits grew by 20 % on a Y -o-Y basis. With that, the overall customer deposits grew by 21% to reach Rs. 1,02,868 crore. The bank had excess liquidity and maintained an average LCR of 128% during Q1 as compared to 136% in the previous quarter. This is still well above the re gulatory requirement. The branch count now stands at 651 branches along with 807 ATMs. The bank opened 10 branches in the current quarter and has opened 50 branches in the last 1 year.

The bank has substantially granularized the liability base since merger as CASA and TD less than Rs. 5 crore stands at 83% as on June 2022. The bank has also successfully repaid high -cost legacy borrowings of Rs. 5,530 crore in last 1 year, including Rs. 2,775 crore in the current quarter. The total outstanding of such high cost legacy borrowing stands at Rs. 22,406 crore at June 30, 2022.

Moving on to asset quality. The gross and net NPA of the bank improved to 3.36% and 1.30% as on June 30, 2022, as compared to 3.7% and 1.53% as on March 31, 2022, r eflecting an improvement of 33 bps and 21 bps, respectively. The decline in GNPA and NPA on a yearly basis was much sharper by 125 bps and 102 bps respectively. The provision coverage ratio, including technical write -offs, also improved to 73.13 % at June 30 as compared to 70.29% at March 31,

2022 and 61.06% at June 30 last year. The gross slippages for the quarter were lower by 20% on a sequential basis. And in fact, slippages net of recovery/upgrades were lower by 25% sequentially.

In the retail and the commercial segment, the GNPA and the NNPA came down significantly by 51 bps and 22 bps sequentially, to reach 2.12% and 0.93%. We are happy to share that we are already trending around the long -term sustainable target in the segment of GNPA, as Vai dya mentioned. In the corporate book, ex infra, the GNPA at 3.67% and NNPA was only at 0.2% as compared to 2.75% and 0.31% as on March 31, 2022. This book also had a high provision cover of 97% as on June.

The increase in profit NPA by 92 bps during the current quarter is primarily because of loans to one large legacy retail chain group, which slipped into NPA out of the existing restructuring pool. It may be noted that bank has made 100% provision against t his retail chain group on a prudent basis. Again, happy to report overall restructured book as a percentage of total funded assets has reduced to 1.3% now as compared to 1.8% last quarter. The SMA on the wholesale book is less than 0.5% of the book at June 30. Even on the retail and the small business loans,

as Vaidya mentioned, the SMA position has further improved as compared to the previous quarter.

Coming to the profitability. We are happy to share profit after tax grew to Rs. 474 crore from a net loss of Rs. 630 crore reported in Q1 last year. Sequentially also, the increase was from Rs. 343 crore to Rs. 475 crore, which is a growth of 38%. This was largely driven by strong growth in operating income and lower credit costs. Within that, the NII grew by 26% Y -o-Y to Rs. 2,751 crore. The net interest margin was 5.89% for Q1 '23 as compared to 5.50% in Q1 last year. Fee and other income witnessed a strong increase by 100% Y -o-Y to Rs. 899 crore. Of course, Q1 '22 was COVID -impacted quarter and hence, this i ncrease looks a bit higher. However, even on a sequential basis, the fee income has increased by 7%. The retail fees contributed 92% to the overall fee and other income, and it is quite granular.

Fee income from toll and credit card was at 16% in Q1 FY '23 of the total fees within the overall fees. We have given more details around the fee breakup in the investor presentation. The bank had a trading loss of Rs. 44 crore in Q1 FY '23 on account of sharp increase in market yields as compared to a trading gain of Rs. 393 crore in Q1 FY '22 and a trading loss of Rs. 9 crore in Q4 FY '22. Recognizing the heightened market volatility, the bank proactively tightened its limits and reduced the treasury book. The modified duration of the AFS and HFT book was lower at 0.82 years on June 30, '22.

Moving on to the core operating income, excluding trading loss increased by 39% Y -o-Y to Rs. 3,650 crore aided by strong NIM fee income growth mentioned before.

Operating expense grew by 31% Y -o-Y to Rs. 2,663 crore in Q1 FY '23 from Rs. 2,032 crore in Q1 FY '22, and was marginally lower from Rs. 2,674 crore in Q4 FY '22. The increase in OPEX on Y -o-Y basis was relatively higher on account of low base effect in Q1 FY '22 due to the pandemic. The cost -to-income ratio exc luding trading gains improved to 72.95% in Q1 FY '23 from 77.16% in Q1 FY '22 last year and by 323 bps as compared to Q4 FY '22. As a result of the above, the core operating profit, excluding trading gains, grew by 64% Y -o-Y and 18% Q -on-Q basis to reach R s. 987 crore from Rs. 601 crore in Q1 FY '22 last year. Provisions were also lower by 84% and 17% on a Y -o-Y and Q -on-Q basis, respectively, and stood at Rs. 308 crore in Q1 FY '23.

The credit cost on a quarterly annualized basis as a percentage of average funded assets for Q1 FY '23 was 0.9%, which is well within our guidance that was given for FY '23. On a quarterly annualized ba

sis, the ROA for Q1 has touched nearly 1% and ROE has reached 9%. ROA improved by 20 bps and ROE increased by 228 bps from the p revious quarter. On the last segment, with respect to capital adequacy, the bank has maintained strong capital adequacy and

its capital adequacy, including profits for Q1 FY '23 was at 15.77% as on June 30, 2022, with a
CET ratio at 14.01%. The current qua rter capital adequacy had an impact of 58 bps on account
of recomputation of ops risk RWA, which is taken in the first quarter every year and then it s

static for the rest of the year. Even at 15.77%, the bank is well above their regulated threshold
and look forward to grow the book in a profitable manner.
With that, we can move to the Q&A section.
Moderator : We will now begin the question and answer session. We have the first question from the line of
Ishan Agarwal from Erevna Cap ital. Please go ahead.
Ishan Agarwal : My first question relates to the NII growth quarter -on-quarter. So, the NII growth quarter -on-
quarter stands at around 3%. I think since the time of the merger, this is the lowest Q -on-Q
growth in NII and maybe the fir st time decline in NIMs quarter -on-quarter. Is it because of lag
in passing on the increase in cost of funds on the lending side during the quarter or is it structural
in nature?
Vembu Vaidyanathan : No, we have a lag in passing on. So, this quarter, we'll be passing it on. So, this will get fixed.
Ishan Agarwal : So, again, we should be on an upward trajectory from Q2?
Vembu Vaidyanathan : Yes.
Ishan Agarwal : So, going to the next question, provisions at Rs. 308 crore in the quarter look extremely low.
That's around at 1% of the average book.
Vembu Vaidyanathan: 0.9%.
Ishan Agarwal : Yes, sorry 0.9% of the average book. Are there any write -backs or one -offs in the provisions for
this quarter?
Vembu Vaidyanathan: No.
Ishan Agarwal : So, again, from this question, your press release mentioned that the bank is well on track on its
guidance of 1.5%. So, should we assume that the provisions for Q2, Q3 and Q4 would be higher
than 1.5% for the annualized credit cost to be at 1.5%?
Vembu Vaidyan athan: No, that's a good question. But we don't change guidance just because we had a great quarter
this time. So, let's watch the rest quarters. But we don't see any reason why credit loss in the
subsequent quarter should go up any materially. So, our own internal sense is that we'll do better
than 1.5%.
Ishan Agarwal : So, could it be 1% to 1.1% for the rest of the year?
Vembu Vaidyanathan: It could be. That would be a fair guess, but we don't want to put it out because we don't want to
lead up everybody d own that road and just in case there is an odd blip on this side. But yes, I

mean, right now, it is 91 basis points for the quarter, which I hope you'll agree is probably very
good for --
Ishan Agarwal: Very, very good, yes.
Vembu Vaidyanathan: -- the kind of yield we get on a book. So, yes, we don't expect it to materially go up, but then we
don't want to change guidance based on 1 quarter.
Ishan Agarwal: So, barring any unforeseen circumstances, we could expect it to be 1% to 1.1%?
Vembu Vaidyanathan: I think so, yes. That would be our internal guess.
Ishan Agarwal: Again, the next question is actually on the OPEX front. So, OPEX has seen a Q -on-Q decline in
absolute terms. How do you see the trajectory on OPEX for the next 3 quarters?
Vem bu Vaidyanathan: Every quarter will go up a little bit. But this quarter, it didn't materially go up, but you should
expect that normal quarter -on-quarter growth should happen ….based on disbursals and all .
Ishan Agarwal: So, it could go up marginally every quarter from here on sequentially. So, you answered my
question on the operating expense front.
Vembu Vaidyanathan: Sor

ry, we cut out. So, I don't know at what stage we cut out. But we won’t say that normal
quarter -on-quarte r increase because there will be more disbursals in the subsequent quarters and
naturally more upfront payouts and normal collection expenses, that kind of stuff, but nothing
materially that should shake you or surprise you.
Ishan Agarwal: And on the savin gs account rate front, so we are offering 6% on savings account balances above
Rs. 10 lakh. How much has that impacted our blended cost of funds on savings accounts? So,
what would be the blended cost of funds right now on the savings account?
Sudhanshu Ja in: Blended cost of funds on savings account would be 5%.
Ishan Agarwal: Just a suggestion, once you've shared the investor presentation, you do not need to read out the
data points in the PPT during the call. That will maybe give us some more time for Q&A .
Vembu Vaidyanathan: We'll be careful next time. Thank Ishan for your comment and question.
Moderator : We have the next question from the line of Tushar Sarda from Athena Investment. Please go

ahead.
Tushar Sarda : There's just one parameter of the bank, w hich I can't get my head around to is the total expense to assets ratio which is almost at 5%, 6%. And I think in terms of comparison, only Equitas Small Finance is higher than that. Even AU Small Finance is at 3.5% and the larger private sector banks are below 2%. So, can you just help me understand this?

Vembu Vaidyanathan: Okay. If you don't mind, you have to answer one question of mine, then I'll answer your question.
Tushar Sarda : Yes.
Vembu Vaidyanathan: Okay. What is the vintage most of the banks to compare it with?
Tushar Sarda: No, vintage is there, obviously. So, is it because of the vintage or is it -- that's what I want to understand. This one factor I don't understand.
Vembu Vaidyanathan: No, you answer my question. So, you say you take all the big 4 banks. How long have they been operating? At least 25 years, 30 years?
Tushar Sarda: Yes.
Vembu Vaidyanathan: So, when you put up a branch or an ATM, they take time to leverage. So, for all practical purposes, our 640 branches, you can call it had an average life or maybe 1.5, 2 or 3, they're not 20 years. So, the same branches, you can imagine when you -- the one thing I think many people are not able to get their head around or not get the perspective is that this is a new bank. So, we put up infras tructure as if we run established bank because we already at merger, we had a large loan book of Rs. 1,00,000 crore with no retail deposits. So, we went and put up the branches, but they've had a very short life yet. So, when these branches really scale up from here over the next 10, 15 years, you'll find that naturally all the cost measures will measure up with every other bank, it has to. That's on the liability side. On the asset side, again, I have ask you, I won't trouble you asking, but I'll explain t o you that if you think of any of the large banks who have been around for 15, 20, 30 years, they probably have a very large mortgage book and the cost to assets on the mortgage book would be pretty low. So, we've just started. And most of our products are not exactly those lower rate, long duration mortgages. So, think of our products, for example, which are giving us, of course, better yield, which you can see in the NIMs, but they also have relatively high OPEX business on the asset side. Think of any product we have, let me say, durable financing or 2 -wheelers or used car or new car or loan against property, of course, is low or stuff, you get the drift. So, therefore, the products would have a little higher OPEX on the asset side. Our branches and on the liability side are definitely new and they've not lived the life of 20, 30 years of like other banks. So, as the vintage of this bank plays out, they'll all normali

ze.
Tushar Sarda: Sir, I'll have a follow -up on this. So, that's why I compared to AU Small Finance also, which is similar kind of business, which is 3.5% and capital first has a history . IDFC may not have but you obviously had the infrastructure and the history, right? And your size is also big. It's not that the size is Rs. 20,000 crore, and therefore, the expenses will be high, you're a Rs. 2,00,000 crore. So, you're one of the larger banks in that sense. So, that's why I wanted to understand because all other parameters, it ticks the box fantastically. It's just this one parameter, if you can explain a little more, that should be very helpful.

Vembu Vaidyanathan: No, no, it's my job, and I'll explain properly. I didn't mean to throw you off balance. So, let me answer the question. So, on the liability side, my answer is pretty much what I told you that the branches have not yet scaled up. So, if you think of a branch, for example, per branch, let me say, if you give us a longer vintage, see, at the end of the day, let's not forget, we are l iving and operating in the same country, we are hiring people of similar cost structures, our branches, what we pay for premise is similar. So, there's no reason our bank cost structure should be different than any other bank. They're all the same. At leas t all the leading private sector banks, all give or take in the same ballpark. So, only and only on the liability side is only about scaling up, which will happen. So, I'm not troubled at all on that front. I hope you'll agree with me.
Tushar Sarda: I have just one clarification there. I'm assuming Rs. 3 crore cost per branch to operate. Is that fair? Or is it more?
Vembu Vaidyanathan: Lesser, let's call it, it will be Rs. 2 crore, Rs. 2.5 crore, somewhere there depending on the size of the branch.
Tushar S arda: So, 650 branches means around Rs. 2,000 crore you spend on branches, right? Out of Rs. 10,500 crore, that's the annual run rate.
Vembu Vaidyanathan: So, we can do the math there. But I'm just saying that you get the drift. Let's just get the concept out of the way. So, on the liability side, they will scale up like any other good bank. And because

we offer slightly better rates, probably that'll scale a little better than any other good bank, okay? Like any other banks. So, let me just say that. Liabi lity side is easy to understand because same markets, cost structure is similar. Now on the asset side, the product suites we have definitely have higher cost structure -- let me take one of the large banks in the country, they'll probably have a Rs. 5,00, 000 crore home loan book, which some of us, myself, maybe my colleagues that must have started like 20, 25 years ago, maybe 20 years ago. So, by now it must have really scaled up to a really big piece. So, obviously, if you look at our home loan book today , our cost -to-income ratio on home loan book is probably like 90% or something. So, basically, because I mean particularly the prime home loans that we started maybe about a year ago. Because yields are just about 7%, 7.5% or something and then the NIMs ar e pretty low there.

And then today's OPEX , of course, we leverage it over the next 8, 10, 15 years. Obviously, next generation who all run the bank will get to see very low cost -income ratio on that front. But today, people who are building it will incur the expense and will have to live with the higher cost structures on that product, say, in home loan, for example, so to start with today, I mean as the year goes by, it will all get even out.

Now let's talk about other products because we've started . So, as far as other businesses are concerned, let me say, a JLG business, they have about Rs. 8,000 crore business there, it's fundamentally a higher cost structure. So, if you take a car financing business, at least a used car one, a relatively higher

c ost structure. So, it is true that our asset structures have a relatively higher cost and our liability of course, I described here we just started.

Then the third business we started is the credit card business. As we see speak, credit cards is loss-makin g. So, in other words, the cost to income ratio in credit card is in excess of maybe 130%, 150%. So, therefore, all of these things tend to put a load on the cost to income ratio. But honestly, I am personally not troubled about this because that's how bus inesses are built. If I run away from doing these things under investor pressure, then the bank will never get built.

Tushar Sarda: No, that's not my idea. My idea is to understand. So, I mean this is an opportunity for us to understand from management what is their take.

Vembu Vaidyanathan: I know, that's not your idea, but I'm trying to explain to you that it's -- so coming back to the point, therefore, some of the business we built , are built for the future. So, our job as leaders of the or ganization is to get the payback. So, on the liability side, I have no confusion in my mind. Payback will happen and scale happens and as we start doing cross -sell. So, as a bank, we just started this process of cross -sell. We were just a liability gatheri ng machine until maybe a year ago. So, we now put up the structure. We've enabled the people to cross -sell other products and services. We have tiered the customers. We are under Tier 1, 2, 3, 4. We are throwing up the necessary customer offers on the RM s creen so that they can discuss the next suitable product for the customer, et cetera. So, our processes have just begun to gather steam. We are probably underperforming -- not probably, we're certainly underperforming on the extent of cross -sell we are doi ng to our customers on the liability side, that machine is gathering up. So, that will solve some of the issues. Credit card will solve the issue. And I mean -- solve the issue meaning as it turns into profit, it will happen. So, as part of management, our job is to turn these -- once we set up the businesses and incur the expenses, our job is to now bring them to profitability. It's a phase, well, it will happen. And you can see it quarter -on-quarter, we will share numbers with you.

Tushar Sarda: So, over 3 to 5 years, what one should expect in terms of cost to assets, not cost to income, but cost to total balance sheet size?

Vembu Vaidyanathan: No, you should come back to cost to income because the cost to assets it depends on the line of business you do. I mean, I could do a lot of ….

Tushar Sarda: In cost to income, what do you think? You are at 75% today, right?

Vembu Vaidyanathan: Yes, somewhere there. So, you can see every quarter now, if you take Y -o-Y, it is coming down, it will still come down. You s ee, we have done the math. In our kind of line of business, if we bring down cost income by 10%, our return on equity increase will jump by 5%.

Tushar Sarda: It will be phenomenal. That's the reason I asked this question.

Vembu Vaidyanathan: No, it will co me down. You just watch this game. It will come down, it has to come down because income will go up. I told you, just to summarize so that --

Tushar Sarda: I don't have any issues with all that. I completely agree with you on that. Only this part was troubl ing me. That's why wanted to know. So, 75%, one should expect say it will come to 50% or 60% ballpark in 3 to 5 years?

Vembu Vaidyanathan: No, no, definitely. I mean, we can't be at this number. It's all set up cost to income, so to say. We think that defi nitely in the long run, we want to be certainly in the mid -50s, but certainly, we don't want to wait that long, long run. Even if you take, say, a 2 -year window, we do think that within 2 years, it should materially come do

wn. And you see our ROE has alrea dy touched 9%. And this is core and onetime and all that. We touched no other lever and just pay off the high-cost legacy liabilities, that should give us about Rs. 750 crore. And then you reduce cost to income by other means we talked about, you should ex pect the bank to get to the mid -50s in the long run, but certainly, maybe mid -60s in the next couple of years.

Tushar Sarda : And I have just one more feedback for you. I'm IDFC FIRST Bank customer. Your new app is phenomenal, but the downtime is very high. So, maybe you would want to look at it.

Vembu Vaidyanathan: No, thank you. We are very aware of that.

Tushar Sarda : If you are aware, then that's fine.

Vembu Vaidyanathan: No, no, bu t thanks.

Tushar Sarda : I'm sure, you'll fix it.

Vembu Vaidyanathan: No, we will fix it. So, just before you go, since you said that, frankly, we are very proud that we put out a really good app.

Tushar Sarda : It's a phenomenal app. I like it. But when you want to actually do the transaction, sometimes -- in fact, many times it doesn't work.

Vembu Vaidyanathan: That's why I talked to you. Just to tell you that was an issue you must have faced until a week ago for maybe it was there because it is a starting --

Tushar Sarda : Even yesterday, I think I faced an issue.

Vembu Vaidyanathan: Yes. Yes. Just on the launch. But now it is fully stabilized. I'll be surprised if you say that if you try it today. It's unlikely. It's already addressed.

Moderator : We have th e next question from the line of Pritesh Bumb from DAM Capital. Please go ahead.

Pritesh Bumb : Just a medium -term question. So, how do you look at deposit rates for us as you know that we are in the up -cycle? So, do we feel that we'll have to be a little ahead to raise the rates versus the industry? And say, hypothetically yes, is there any room in the mix to keep the NIMs intact? So, that was the first question.

Vembu Vaidyanathan: No plans really right now. Whatever it is, it is. I mean, as we speak, there is no such discussion going on within the bank.

Pritesh Bumb : So, we'll be ahead of the market or we'll be watching out basica lly. How do we see that? Because the CD ratio is still higher than the loan side. So, do you feel like we may have to raise something ahead of the markets?

Vembu Vaidyanathan: No. Sudhanshu, you want to answer?

Sudhanshu Jain : Yes. Sudhanshu here. On the C D ratio, yes, it's relatively higher than other banks. But you need to note that we are carrying high -cost legacy borrowings, right, in the form of long -term bonds, refinance, right? These were taken or which came to the bank at merger, right? While we hav e reduced these borrowings, but to that extent, the funding requirement was lower, right? So, if we include these long -term stable borrowings in the denominator, then the CD ratio gets adjusted to about 80s, right? So, once these sort of liabilities gets p aid off over the next 2 to 3 years, and we sort of get deposits in way of replacement, then automatically, this ratio should correct in due course.

Pritesh Bumb : And second part of the question was that do we still have room in our mix to increase NIMs from a yield perspective, if you also don't pass on some of the rates which coming hypothetically, again. So, any mix changes we can do or see the NIMs impact on yie lds moving up a little bit?

Sudhanshu Jain : So, Pritesh, as you see, our NIMs are quite healthy, right? It's at 5.9% in this quarter, right? We are seeing sort of rate increase, which has happened, some of it may more happen, right? But as Vaidya mentioned , we have not passed on the increase in repo rate to customers, most of that benefit would start kicking in from Q2. So, we will be fairly comfortable in terms of maintaining NIM around the 6% mark. And we feel that should happen.

Pritesh Bumb : Second que st

ion was if you are disclosing, what will be our technology cost as a percentage of OPEX ? Because some of the banks are disclosing this, can we also have that number?

Sudhanshu Jain : So, we have not specifically called out that number, but we continue to invest in technology, but we have specifically not called out that number.

Pritesh Bumb : Any sense on if it will be a higher number as a percentage ….is it material or is it not to worry about? Just trying to understand, we have built the bank on the techno logy side for some time now. So, do we see that the technology cost will slightly move down in terms of plateau, so that's what I was getting at.

Vembu Vaidyanathan: Probably plateau from here, but you see, I'll tell you, yes, first of all our technology c ost is

probably a bit higher and I'll tell you the reason also. Again, we should not forget the fact that -
- let's think of any large bank who've been there for say 20 -25 years, they already have a cash
management system. If we launch cash management, we w ill build it today. Savings bank,

they'll already have probably an app. We have to build an app from starting today because we
can't tell our customers that. Then similarly, if somebody has already built a solution for current
account management for the cu stomers, we have to build today.
So, the point is that there is a certain set of capabilities that an organization need to have, it is
simply stable stakes. The one thing we should not forget is that we became a bank overnight
with Rs. 1,00,000 crore of as sets, right, with it's just like an NBFC converting to a bank because
both parties were just lending institutions. So, therefore, some portion of expenses are simply
just catch -up expenses that as a system for building basic capabilities that others alread y have
for 15, 20 years.
Now second part of the capabilities are to build digital capabilities for being contemporary and
staying ahead and all that stuff. So, we are probably incurring both, which is why you're probably
seeing this, but you should also se e -- so I don't deny that. But it's just for you to understand
origin of this organization is very, very different than any other organization, which is a small
NBFC, which has got a bank license, in which case, it can scale up everything along as the
businesses grow, but this origin is different.
But let me also point out to you that the expense or no expense, you see how quickly our story
is building up from here in terms of operating profit. I read out the numbers to you. Now the
way our ROA, ROE is gett ing fixed at a bank level, it should now set you thinking that if this
bank starts normalizing its expenses like everybody else, where this game might head. I think it
will look really very healthy. I mean for us, a 2% ROA is something that, frankly, is a bit an
under ball for our kind of bank.
Pritesh Bumb : Last question was, if you look at the recent numbers of large banks, we have seen a solid
unsecured growth in all the banks. Do you feel the marketplace? Or do you feel that you will get
-- you will tak e a step back just to see how the market is shaping up because it seems to be
getting overheated on the unsecured side? Or do you feel like it's not a problem yet?
Vembu Vaidyanathan: No. We monitor our indicators very, very closely. We look at 2 things. O ne is the perspective
we get out of our experience and by watching the market. And second data, what data speaks to
us. And we watch it very carefully. We want to be very, very careful on this front. Our general
assessment is that unsecured is one dimensio n, it is not the dimension, it's not God. So, basically,
it is just one way of looking at it. For example, we find that when we lend a personal loan to a
Infosys or a Wipro or Unilever or a good Cat -A company, frankly, even through COVID, there
was no defa ult on them. Many of them di

dn't even take moratorium. So, that's unsecured, but it
did very well.
So, the point is that vis -a-vis let me see a 2 -wheeler business, which is secured but had trouble
during COVID. So, therefore, our job is not just to evaluat e these things bluntly by one
dimension, it is to see the underlying profile of the customer that we are lending to. It's a very
material point. One more thing is about cash flow. How do you evaluate them? So, if we evaluate

them for the cash flow, it beha ves a particular way. At the end of the day, cash is paying you
back, security is not paying you back. So, I'm not saying it's an immaterial point that thing, but
I just want to put in perspective.
Moderator : We have the next question from the line of Saga r Shah from PhillipCapital. Please go ahead.
Sagar Shah : My first question, sir, has already been I think asked. I have a couple of questions regarding your
operating expenses actually. As you have already spent in technology and as you are guiding
that actually, as the income grows actually automatically, you s aid that on the OPEX front,
automatically, your income growth would be higher than your OPEX growth, and that would be
a driver of the ROE, right? Am I right, sir, at least into next year?
Vembu Vaidyanathan: Sudhanshu, you want to answer? I didn't hear th e question fully.
Sudhanshu Jain : So, you're saying whether the income growth would surpass the OPEX growth. Is that the
question?
Sagar Shah : Yes. Basically, as you have guided for the next year for a double -digit ROE, if I'm not wrong in
the last quarter . So, for double -digit ROE, as my understanding is 2 key growth drivers are, first
of all, your income growth, and secondly, your lesser OPEX growth. So, I just wanted to
understand on that part. My first question is on this.
Vembu Vaidyanathan: So, we thi nk both will play out. It's not one for the other. Our cost should moderate from here.

And secondly, income will grow. It's a very simple model. If the retail book grows by maybe 25% year -on-year which is what we've guided and frankly, we feel we'll meet i t comfortably. We don't have to do anything. We don't have to put pressure on ourselves. We don't have to run extra hard. Nothing we have to do. It will just happen by itself in a very a smooth manner. So, when that happens, automatically income goes up by 25% and straightforward to operating leverage. I mean, we are not obsessed about this double -digit ROE. Let me just tell you, we'll surprise you a little maybe ahead of time. But certainly, fourth quarter ROEs, you can take it as a assured thing, I mean a ssured meaning whatever you make of it, but we're feeling good about it.
Sagar Shah : And my second question was on your cost of funds actually. I wanted a color on your -- now by 20th July, you have reduced the interest rates on the SA accounts and the ter m deposit accounts. So, your incremental cost of funds blended on borrowings and deposits and roughly you can say how much will it be, sir, going forward?
Vembu Vaidyanathan: Maybe exact number, Sudhanshu can answer, but let's talk into the delta. In the delta sense, frankly, our business model is baked for these kind of cost of funds. We don't have to be like the big 4s that there kind of rate of 3% of up to Rs. 50 lakh and greater than Rs. 50 lakhs, 3.5%. We don't have to do this at least. Fundamentally, our yield is slightly better. Our origin is different.

And therefore, for us, we are comfortable with what we're paying right now. And even at that, we're getting a net interest margin of 6%, we are more than happy. We are not under stress t o increase at all. So, we are happy with 6%. So, now it's a very simple game of just scaling up the book, nothing more. Just pay more than the others in terms of savings, which we will do. And fra

nkly, you don't worry about it. If interest rates went up in the market by another 50 basis points, I mean we would not bet an eyelid, we will smoothly increase interest rate by 50 basis points, we won't think twice. For us, the model is very happy and comfortable. Not that we have any plans, as I said earlier. But you don't stress about these things because we're sitting on a margin level that is so strong. We still are yet to take out. We still have not, like I told you leveraged the assets or the cross -sell, a lot of income waiting to be there, a lot of new busin ess is to be built, that has to scale up, wealth management will scale up, cash management will scale up, FASTag will scale up. They will all give income. So, when you have enough income sitting out there yet to be taken, a few basis points this side, that said makes no difference to us.
Sagar Shah : Got your point. Sir, next question was regarding your commercial finance portfolio. On the net debt, I think it has degrown by around 8% quarter -on-quarter. So, can you throw some color on the commercial finance portfolio? How you intend to grow in that space? Basically, how do you look at that portfolio going forward?
Vembu Vaidyanathan: We like the business in priority sector. And Sudhanshu, as you spoke to me just points out to me, it's already grown from Rs. 2,000 crore to Rs. 2,300 crore in the last quarter. So, that's commercial business?
Sudhanshu Jain : So, it's commercial finance book that has increased from Rs. 10,144 crore to Rs. 10,679 crore on a sequential basis.
Vembu Vaidyanathan: You didn't mean com mercial vehicles. You meant commercial finance, is that what you said?
Sagar Shah : Yes.
Sudhanshu Jain : So, it's a marginal increase on a sequential basis. Of course, on a Y -o-Y, the growth is 13%. We feel that growth could be a bit faster in this segment in future quarters.
Vembu Vaidyanathan: So, just to correct myself, my apology. I thought you said commercial vehicle. That's why I read out some of them.
Sagar Shah : No problem, sir. And coming back to my previous question, sir, you had thrown the color o n your liabilities, but can you throw us a number? And what is your blended cost now on borrowings and deposit, sir, going forward?
Vembu Vaidyanathan: Do you have the number?
Sudhanshu Jain : Yes, blended cost is about 5.2%.

Sagar Shah : 5.2%. And you envisage that it will remain the same for the entire year and even for going further?
Vembu Vaidyanathan: Yes. I told you not to bother about that too much. First of all, I'm not ducking that question. As of now, we feel that the rates are what they are, w e are comfortable. But like I said earlier, if yields in the market rise for any reason, we have no problem touching it by 20, 25 basis points here or there. No problem at all. I told you the kind of margins sitting on the kind of buttons we've not even pr essed in the bank in terms of the fee income, the operating leverage that is yet

to play out.
Let me just say, for example, if the loan book for the bank, retail side grew from Rs. 100,000 crore to say Rs. 130,000 crore, Rs. 130,000 crore to Rs. 160,000 cr ore. We are not going to close the OPEX at 30%. So, there's an operating leverage sitting there. So, there are so many pools of buffer we're sitting on that this is a round of item. It won't be the material thing. For us, we were very clear. We want the de posits, what we want to have. We don't want to outprice in the sense we don't -- we will just need it as much as we need. I mean, we'll touch the price in such a way that we just take what we want to take. But at this point of time, as we speak, there's no plan to touch it.
Sudhanshu Jain : And just to add, even in the asset side, we may sort of increase the pricing rate as markets have also increased pricing on certain products, we have also done so in Q1. So, to

some extent, asset repricing will also happe n, which will take care of the cost of fund increase.
Sagar Shah : And my, sir, a follow -up question was, have you utilized the Rs. 168 crore provisions that you had in your balance sheet, sir, for COVID -19 in the quarter?
Sudhanshu Jain : Yes, we have utili zed about Rs. 75 crore of COVID provision, and this was largely utilized for the corporate case, which I mentioned had slipped into NPA during the current quarter out of the restructuring pool. And so , we have utilized to that extent. We still carry a prov ision of about Rs. 90 crore as on 30 June, '22.
Vembu Vaidyanathan: And that Rs. 165 crore, largely, we told you there was one retail chain -- in my opening remarks, I mentioned to you the retail chain we had an exposure. So, we drew down on the COVID provision and settled the retail chain, we made it zero net outstanding. And frankly, we don't see a need to use that COVID provision at all. So, some time or the other, we have to release it. As of now, it's just there. I mean we're not expecting next quarter's credit provision to be very much. We don't expect Q3, Q4, any of them to be we feel we'll be quite safe and low. So, at some stage, we'll t ake it out and release it to the P&L.
Sagar Shah : Then what is the exposure towards that retail exposure, that corporate account?
Vembu Vaidyanathan: Zero now.

Sagar Shah : But what exposure we had before?
Vembu Vaidyanathan: Rs. 575 crore or Rs. 500 -odd cr ore, maybe. I think, may be Rs. 550 crore, Rs. 560 crore, but it is a legacy account. It's not that we could do much about it. So, the last 3 quarters or so, a couple of quarters, we've taken it out and made net zero .
Sagar Shah : And my last question, si r, was regarding to your infrastructure portfolio. That infrastructure portfolio, I think it is still at around Rs. 6,700 crore or so. So, now are you confident of them in the existing portfolio? Or there are certain watch list accounts also in this entire portfolio?
Sudhanshu Jain : No. So, if you see the numbers, out of the book which we have, about 21% is currently a GNPA book, right, where we have a net NPA of 11% This also includes one large toll road account , which had slipped into in Q1 last quarter, while we are getting revenues here in terms of the improved toll. And we expect a resolution which could happen in the balance year. But in terms of incremental stress, we don't see sort of any further stress build up on the infrastructure portfolio.
Moderator : We have the next question from the line of Ashutosh Mishra. Please go ahead.
Ashutosh Mishra : My first question is just to understand from the benchmark of loan on how much of our loan are linked with the EBLR and MCLR and how much is MCLR 2 and how the transmission is going to take place?
Sudhanshu Jain : Yes. Tha nk you for the question. So, we have a loans and advances book of about Rs. 1,30,000 crore. Correctly, about 37% of the book is linked to external benchmark in the form of EBLR, T-bills and MCLR and the rest is a fixed book. As we mentioned earlier, while we have passed on the repo increase to the new loans, which were sourced after the rate increases by RBI, on the existing book, largely the pricing benefit will come in from this quarter, and the loans which sort of came for reset through the MCLR route, r ight, because we also increased MCLR during this period, that increase was passed on to the customers. But as far as repo is concerned, largely the benefit will kick in starting Q2.
Ashutosh Mishra : So, how much is repo and how much is MCLR in this 37%?
Sudhanshu Jain : Yes. So, out of the 37%, about 60% is repo and balance is MCLR, where the repricing would happen over 3 months to 1 year, depends on the MCLR, which has been agreed with the client.
Ashutosh Mishra : So, second question is that since ra te book compo

sition is relatively higher in our overall loan book, so what is the tenure for this and how the repricing will move on this plan? Because we are in a rising rate environment and to understand them in depth will be very important to know that part.

Sudhanshu Jain : Again, if you see, ours is a very diversified retail book, right? Like we do rural finance loans, right? This is essentially a fixed rate book, right? But there the pricing is quite healthy, the

segment is quite profitable, right? And there are certain short aged. These are, again, not very long tenured loans, right? Similarly, we do consumer durables which also runs off quite fast, right? This is also a fixed rate book. So, while we are not able to pass on the rate increase to already originated rate loans, but as I said earlier, we have made some increases in the incremental book which is getting sourced. But we feel still we would be able to sort of hold on to the NIM. So, the NIMs are quite healthy, right, as we mentioned earlier, a nd we expect it to be around 6% even going forward.
Ashutosh Mishra : Any number on the tenure of this loan book, average tenure of the fixed rate loan book?
Sudhanshu Jain : As I said, it depends on product to product like CD average tenure would be about 8 months or so. For a PL, it would be about 2 years and so. So, it varies from loan to loan, right? So, it would be difficult to spell out a blended tenure in terms of the fixed rate book.
Ashutosh Mishra : My second question is that we are spending aggressi vely on advertisement across the channel. So, what is our customer acquisition basically on the retail liabilities, if you can put some light on that?
Vembu Vaidyanathan: You see, as you know, last year, we did not grow the liabilities base very much. And you know the reason, we were sitting on too much of LCR and we had to slow down deposit growth. So, from this year onwards, since we are expecting the loan book to grow by 20 -odd percent, you know that we need deposits. So, therefore, we might have seen so me more activity out there in the marketplace in terms of advertisements, et cetera.
Ashutosh Mishra : Sir, just in that direction only want to know whether we have seen new customer or new account acquisition to go up substantially post this substantial in crease in our advertising.
Vembu Vaidyanathan: It's not necessarily, but how many customers we get with Rs. 80,000 or Rs. 1 lakh or RS. 1.2 lakh fees. That's not a material point. The thing to note is actually the quality of customers we get. So, we are ve ry particular about the customer quality we get. We don't have 0 balance products. And so therefore, customers coming in at a minimum brings say, our requirement is Rs. 25,000 or Rs. 10,000, but customers usually bring in maybe even Rs. 80,000, Rs. 1 lakh, Rs. 1.5 lakh in that zone. So, therefore, for us, quality of customers is very, very, very important, and we focus on that because then we can make good use of the infrastructure we're setting up. And then also we get some more meaningful relationships.
Ashutosh Mishra : Sir, another .. I want to know on the high -cost legacy bond book which we are carrying it, what is your guidance on that? How much is the same interest rates value we'll get from repricing of that if you can guide us on that?
Sudhanshu Jain : So, as we have mentioned in t he presentation that these loans fall off within next 3 to 4 years, right? On a blended basis, the average residual tenure is about 2 years. And these loans are currently having a blended cost of about 8.75%, right? Of course, as I said, our cost of funds is

about 5.2%, right? And so we feel that money is money, right? So, we will be able to sort of replace the bonds, right, as we follow for maturity, right, at a cost, which would be in the range of 5% to

5.5%, right? And so you can compute, right, that muc h of sort of relief will then flow through the P&L as and when it comes.
Vembu Vaidyanathan: So, you can do the math, supposing, let's say Rs. 22,000 crore. And then you say 8.8 minus, don't even take 5.2%, even if you take it at 6% because like one of the earlier speakers said that we've got a factor for a little bit more increase. And let's factor for it, let's call it, maybe even 5.5% or even 5.7% just liberally speaking. And that difference multiple, so that 3.2 or so and multiply that by Rs. 220 crore, that's about Rs. 630 crore, Rs. 640 crore post that slip, we call it, about Rs. 450 crore, Rs. 500 crore. So, if you add, you get the drift. So, that is the amount of order of magnitude of money in the P&L.
And then we didn't discuss ROE in a detailed way , so surprising nobody asked it, maybe you assume it's improving. But earlier if you recollect, we used to call out 3 items, okay. We used to call out credit card business launch, and we told you that it's losing money per quarter and all that. Second numb er we used to say was liability branches. And third, this time, we're not even doing that. We're at 1% ROA, we don't need to twist and turn and we don't have to do that. So, you forget these 2 items.
Let's focus on only one item, which is replacing high -cost legacy liabilities because the first 2, you might argue that your business, as an investor, what are you going to do with that. But on this item of cost of funds, this is easy one, easy for you to understand. So, you simply take our

ROE today, just add back this maybe Rs. 500 -odd crore because of this reason. And then you see the ROE. This will surely go away. I hope there's no dispute on this one.
That's how we are looking at if you see one large brokerage report, which is always bearish on us, they're just not able to believe that we can fix the ROE thing. They just go back to mathematical grade and they believe it should be priced, I don't what they name us. But I think when people get a little under the hood and see not the ROA and ROE, but see the t rajectory of where it is headed, and if somebody saw the underlying component that is driving this ROE and if somebody saw the quality of the book that has been built, if somebody saw the quality of customer franchise we're building, and one thing we didn't talk about, about our obsession for customer first, it's showing, reflecting in a product, I'll talk about that later.
So, if someone saw all the quality and character that is being built in the organization, then they will see what we're building. And unfortunately, it will show up only a few years from now, but it will show.
Moderator : That was the last question due to time constraint. I would now hand it over back to the management for closing comments.

Vembu Vaidyanathan: Well, first of all, thanks, you asked very detailed and very incisive conversations. So, we thank you for that on the behalf of Sudhanshu and myself and anybody else from a bank hearing the conversation, thanks for that. I must say that all of us in the bank, our senior management team, many more who are not in this call are all like working hard to build the bank and along the way build the necessary profitability of the bank.
My second thing is that we are building, of course, ROA, ROE, we'll talk. But in a real sense, they're building a really high -quality bank in terms of customer franchise. So, there are many, many things we don't bill customers for because they believe that either they won't bear to see it or if people complain about something or the other, we take it obviously seriously. We go back and fix the route. So, in terms of features that genuinely customer friendly, as a shareholder, you may or even may not be impressed about the bank yet. But I must say that anybody and everybody should be

a customer because we genuinely give high -quality products. There are lots of fees and charges, et cetera, left right and right hand. We don't charge any of them. So, we have a good customer bank. Third thing is that if you if you look, say, 1 year or 1 year ahead, let me say, 1 year ahead, my feel is that you won't be disappointed.
Kunal Shah : Thanks to the entire senior management team of IDFC First Bank for patiently answering all the calls. And thanks all the participants for being there. Have a nice weekend. Thank you.
Vembu Vaidyanathan: Yes. Thank you, Kunal. Thank you, everyone. Have a good evening again.
Moderator : On behalf of IC ICI Securities, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2022

IDFC FIRST Bank Limited
Corporate Office : Naman Chambers, C -32, 'G' Block, Bandra -Kurla Complex, Bandra (East), Mumbai 400 051 ; Tel: +91 22 7132 5500 ; Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN 2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/S D/173/2022-23 October 28, 202 2

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the period ended September 30, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter and half year ended September 30, 2022 conducted after the meeti ng of Board of Directors held on October 22, 2022, for your information and records.

The above information is also available on the Bank's website at the following link :
https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Concall -Transcript -Q2-FY23.pdf

Request you to take th e above on record and acknowledge receipt of the same.

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
Head – Legal & Company Secretary

Encl.: As above

"IDFC FIRST Bank Limited Q 2 FY23 Earnings
Conference Call "

October 22, 2022

MANAGEMENT : MR. V. VAIDYANATHAN – MD & CEO, IDFC FIRST
BANK LIMITED .
MR. SUDHANSHU JAIN – CFO & HEAD CORPORATE
CENTER , IDFC FIRST BANK LIMITED .
MR. SAPTARSHI BAPARI – HEAD, INVESTOR
RELATIONS , IDFC FIRST BANK LIMITED .
MODERATOR : MR. KUNAL SHAH – ICICI SECURITIES .

Moderator: Ladies and gentlemen, good day and welcome to the Q 2 FY 23 Earnings Conference Call of IDFC FIRST Bank hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kunal Shah from ICICI Securities . Thank you and over to you, sir.
Kunal Shah: Thank you an d good evening all of you. This is Kunal Shah from ICICI S ecurities. We have with us today Mr. V. Vaidyanathan, Managing Director and CEO; Mr. Sudhanshu Jain, CFO and the Head Corporate Center; and Mr. Saptarshi Bapari, Head of Investor Relations from IDFC FIRST Bank to discuss the Q 2 and H1 FY 23 earnings. Sir at the onset, congratulations, good set of numbers. And we wish the entire management team as well a s the participants on the call a very Happy Diwali . Over to you sir.
Vembu Vaidyanathan: First of all to all of you tuning in today to talk to us thank you very much. Wish you all a very, very Happy Diwali to every one of you .
Now, I have got some five or six quick comments to keep it brief and then Sudhanshu will take you through the details and then we 'll hopefully have more time for Q&A.
Now, from our point of view, basically we are seeing that the credit growth is quite strong, I would say stable and strong because we are now at 25% funded book growth. If you remember, for three years stretch, we held the discipline of not growing the loan book, because we were not strong at the liability side. But now, with a 51% or 50% CASA , we are feeling very strong from the inside, on the deposit side. So, therefore now we are in a position to start growing the loan book. The important thing is that we are growing the loan book along with growth of the deposits .
So, for example, last quarter we grew our funded book with Y-o-Y growth of 25%. But we also grew the CASA deposits by 37%. So, now we know that entirely funded to deposits t hrough incremental deposits on a strong basis. And therefore, it provides us a solidity and also gives us the confidence that we will be able to sustain the CASA of 51% or 50%. That 's very important because we need CASA for two reasons. One is we need CASA for normal growth growth, which we feel that about 20 %, 25% of loan book growth so you should go on for a while we need deposits for that . But in our peculiar case, we also need deposits to pay off that legacy , bonds and borrowings , etc., which we need to pay. And that 's about like Rs. 5-6,000 crore a year. So, we need for that also. But the good news is that we are able to raise enough deposits to pay off both the past liabilities and also fund our growth . So, that's coming comfortably.
Now the second part of the point is to notice that the credit quality :
Now on the credit quality front, I 'm actually happy to tell you that all the input parameters, these call input parameters as underwriting quality is an input parameter and underwriting quality

frankly we were always good for like for 10 years now, our gross NPA has been 2% and net NPA is at 1%. So, 10 year is a long time to establish a model. But the underwriting method meaning the score , it's not just the output of two and one, it is score that is of credit score of customers are onboarding continues to be ~83% or 84% of the customer base of credit score above 700. So, that tells you that our customer profile is good and stable for a long time now .
Now this time we have also given some additional data in our presentations about underwriting method and LTV, our average ti

cket size , location s, etc., a little more extra details there.
Now the other input criteria that we see is how much new to credit customers that number is also trending downwards. We don 't want it to tend to much downward because after all it 's a

specialty and we 've grown that business for us for 10 years now. But, it 's still a very much lower, I 'd say. Then we think that about the number of cheques that return on presentation, that is really at an all-time low. What we track is the n umber of cheques that are returned after presentation, sorry in the first month after booking. So, suppose we have booked a loan in January and the cheques are due for presentation first EMI is due for presentation February, then we just check February how many cheques have returned and that number is really at a all-time low. And if it is low means that the quality of incrementa l underwriting is very good, in fact better than before . So, these are the input parameters. Frankly, all the input parameters with no exception are are all showing that we 're doing well which means that if you ask us to take a guess at the credit quality one year from now, two years from now, I would say it 'll only be better from today. So, because of the reason I told you of input parameters .

The third thin k is about the S MA:

The SMA is to the uninitiated, I could say that think of a loan book , a loan book would have some defaults or delays and 0 to 30 customers were in , 0 to 30 means 0 to 30 days outstanding they're called SMA -0 and 31 to 60 is called SMA -1 and 61 to 90 is called SMA -2. So, our SMA - 1 and 2 , which is the most , which you can call it 31 to 90 DPD . In this bucket our SMA same year last time used to be 3% which means that 3% portfolio could go to NPA . The amazing thing is that this SMA -1 and 2 has now come down to 1% in retail, just think 3% down to 1% , which means that if there 's not much portfolio left in that bucket only, we 're not expecting much NPA formation going forward. So, this also represents talks to the quality that we are building . So, all in all, if you ask me I 'm feeling very comfort able or very happy with the quality we are building the book, we can boldly guide to a low NP A and low SMA and all that in the future.

Now, last thing about this quarter is that we had a lot of Security Receipts, which we had from the erstwhile IDFC Bank, as these were infra loans sold to ARCs prior t o merger . Now the good news is that , this quarter we sold some SR and we got a happy outcome I should say, many of you would fear that will take a hit and all that stuff and we are happy we actually got a, we have taken a provision of ~Rs. 200 crore for those SRs . Now , this Rs. 200 crore got released because they're actually sold well at a good price. So, that Rs. 200 crore , suddenly you think of it like a bit of unexpected money or a found money. Now, what do we do with the money. So, we thought that we will use that to improve the provisioning coverage ratio of the Bank . So, we actually

used it largely towards retail , so our retail PCR has now gone to 77.6% gross of technical write off, the reason we take it a good benchmark is also technical write off, is that even the write off customer base we are collecting from. So, when you calculate provision coverage ratio gross of technical write off it would be appropriate because it's provisions divided by the gross NPA including write -off bucket because you 're going to collect from them as well. So, that number is now touched to 77.6%, which is an all-time high. And you can think that , that Rs. 200 crore has broadly been used up for that purpose . So it has not come to the P&L in a way. But at least it has strengthen ed the balance sheet to an extent. On the wholesale side , of course, the PCR is very, very good. We don 't worry much about it anymore it's

like upward of 90%, 95% onwards
or 97%.

On the infra side , , the only one that we had a bit of an issue . But frankly it's the rundown book ; hence today or tomorrow it will go away.

So, the last thing is on profitability, I 'd say that we are very, very strong on profitability . A very simple way to understand a profitability is that in the last one year our funded book has grown by 25%. But the growth in our core operating profit i.e., NII (Net Interest Income) plus fees minus OPEX is up by some 84%. So, the book grows ~24% but operating profit grows ~80%. I would say it 's a bit of a maybe on a higher side and I will not expect that every quarter we will get such a kind of a high number. But certainly, we feel that overall this year, our operating profit should be upward at a year -to-year level, you should expect at least a 50% increase in operating profit over last year, but quarter -on-quarter it is even healthier than that. So, you get the drift there.

So, that's our profitability. So, basically, in all I 'd say that we are , on all our indicators , are moving very well , we are very happy about how the numbers are going. And hopefully you 'll also be more comfortable with us now because for the first two or three years, we gave you this bad news , or that bad news so this wholesale that early profitability, whatever but now I feel that most of those clouds are behind us and we 're feeling pretty okay , pretty good about the future.

Now, in essence I'd say that as I find out if would say that, that we're building a really high quality Bank , our products are very customer friendly products a nd anybody experiencing us is usually very happy. I personally just happen to meet or bump into many customers who we know are customers of the Bank . And most people have really happy things to say about our service and all , and we are very customer -oriented Bank .

Then our corporate governance services a really very good , balance sheet is very strong, ROE is catching up .
So, overall, I woul d say that things are looking good. So, over to Sudhanshu he has some specific numbers to share.
Sudhanshu Jain: Thank you Vaidya . Good evening everyone. I will call out few key numbers for the quarter.

I will start with the balance sheet size, which is now at Rs. 2.1 lakh crore and has grown by 23% on the Y-o-Y basis, the growth was largely driven on the asset side by the retail portfolio . The overall funded assets grew by 25% Y-o-Y and 6% sequentially to reach Rs. 1,45,362 crore . In the recent past the home loan segment grew by 59% on a Y-o-Y basis, rural loans increased by 34% on a Y-o-Y basis and consumer loans increased by 36%. These are certain asset classes which have called out but we have given a detailed break up on Slide # 41 of the presentat ion.
Movin g on the wholesale side :
The non-infra corporate book that also grew by 20% Y-o-Y and by 4% on a Q -on-Q basis. T he infrastructure book de-grew further and it reduced by about 41% on a Y-o-Y basis and by 11% on a Q-on-Q basis and is now sub Rs. 6000 crore . Is now merely form 4.1% of the total funded assets as compared to 22% at the time of merger. So, there has been a significant downward move here.
Moving to the liability side very quickly :
The customer deposits has grown by 36% on a Y-o-Y basis, the CASA deposit growth was very healthy it grew by 37% on a Y-o-Y basis to Rs. 63,305 crore . The CASA ratio was again very strong at 51.28% as on September 30th, 2022. Average CASA deposit also grew by 13% on a Q -on-Q basis and 32% on a Y-o-Y basis . Even on the term deposits front the growth was strong at 35%. So, overall the customer deposits growth came in very strong during the current quarter . The Bank continues to maintain exce ss liquidity of course we would want to calibrate some in due course , but for the quarter the average liqu

idity coverage ratio stood at about 131% , this is
well above the regulatory requirement .
The branch count now standard s at 670 branches, the Bank added 19 branches in the current quarter , Bank has also substantially granulized the liabilities and which is reflected by CASA and TD less than five crore which is standing at 84% of the customer deposits. We have further re-paid about Rs. 2,000 crore of high cost legacy borrowings during the quarter, this residual borrowings now stands at Rs. 20,44 9 crore which is still at a high cost of 8.8%. We would sort of bring it down further , we have given statistics in th e presentation in terms of what would be the rundown from this portfolio.
Moving quickly to the asset quality :
The gross and the net NPA of the Bank was at 3.18% and 1.09% respectively reflecting a sequential improvement of 18 bps and 21 bps. PCR i ncluding technical write off has been enhanced to 76.5% this was 70.3% at the start of t his year. Further if you strip out the rundown infra book, the PC R coverage is 83.3% including technical write off and net NPA instead of the reported 1.09% would be down to 63 basis points. In the retail and commercial segment, the GNP A and NNPA came down sequentially by 8 bps and 20 bps respectively, to reach 2.03% and 0.73%. The PCR on this book should at a healthy 77.6% , we have increased PCR by about 545 basis points here during the quarter b y further tightening the provisioning policies .

On the corporate books :
Ex-infra we continue to have a strong PCR cov erage of 98%. Another data point to note , the restructured book as a percentage of total funded assets has reduced to 1% now as compared 1.3% last quarter. The gross and net slippage for the quarter were at similar levels as the last quarter, despite the i ncrease in overall book. Vaidya mentioned about that SM A on the retail ha s been coming down. It came down from 3% in Sep-21 to 1.8% in Mar-22, and now it was 1% in Sep-22. Even in the corporate book the ratio of SMA -1 and 2 is sub-0.2%.
Moving quickly to profitability :
The profit after tax was highest ever for the quarter it was 556 crore up by 266% on a Y-o-Y basis and 17% on a Q -on-Q basis. I ’m happy to share that on a quarterly annualized basis the ROE did cross 1% and is now at 1.07% and the ROE has raised to double digits and was 10.1 3%. The strong growth numbers was largely driven by steady growth in operating income and lower credit cost as compared to the last quarter in the previous year. The net interest income grew strongly by 32% to Rs.3002 crore , with a net margin expanded by 9 bps on a Q -on-Q and a 15 bps on a Y -o-Y basis to reach 5.98%. The increase was also due to a transmission which

happened because of the repo rate increase d on the existing floating rate portfolio . Fee and other income witnessed a strong increase by 4 4% to the Rs.945 crore . Another point to note is that the retail fees contributed about 92% to the overall fee and other income and hence it ’s quite granular. The Bank had a trading gain of Rs.116 crore in Q2 FY 23 as compared to a trading gain of Rs.122 crore in Q2 FY 22 and a trading loss of Rs.44 crore in Q1 FY 23.
Core o perating income excluding trading gains increased by 35% Y-o-Y to Rs. 3,947 crore aided by strong NII and fee income growth which I mentioned before . Operating expenses grew by 23% on a Y-o-Y basis to Rs. 2,895 crore , the increase in OPEX was relatively higher on account of higher business volumes witness ed in Q2 FY23 . The cost to income ratio improved to 73. 34% in Q2 FY23 from 80.53% in Q2 FY 22 last year . Core operating profit grew by 84% Y-o-Y and 7% on a Q-on-Q basis to Rs. 1052 crore . Provisions were also lowered by 11% Y-o-Y at Rs. 424 crore in Q2 FY23 . The credit cost on a quarterly annualized basis as opposed to the average funded assets for Q2 FY23

was 1.2% and for H1 FY23 it was at 1.1%, which is still much lower than the earlier guidance of 1.5%. We had some release of provisions on security receipts which we used to beef up the overall PCR during the quarter.
The last bit on the capital adequacy :
The Bank has maintained strong capital adequacy and the CAR was including profits for H1 was 15.35%. With the CET -I ratio at 13.67%, even at 15.35%, the Bank is well over the regulatory threshold and looks forward to continue the growth in our profitable manner .
With that, we can move to the Q&A.

Vembu Vaidyanathan: That’s 15 minutes or maybe 17 , 18 in between the two of us. So, thankfully, this was a bit shorter so over to you people.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Bhavin Gala from Marine Capital. Please go ahead.
Bhavin Gala: I have only one question to the MD and CEO . Could you please help us understand the performance in the recent quarter with respect to the Retail Bank ing operations because what we have seen is this seg ment turned profitable, a few quarters back and there was inconsistency as far as the P BT is concerned. But this quarter what we could see is , there was a drastic decline in the PBT from this. So, if you could help us understand the reason behind this ?
Vembu Vaidyanathan: No thanks, it ’s a very important question. If you recollect my opening conversation I told you we had suddenly we discovered , not discovered , we sold SR and then we got about Rs. 200 crore of provision release. So, tha t provision release we took it to retail and therefore, it is showing up there on the retail line for example, ha ve we not got the Rs. 200 crore , we would not have , we need not have really taken this provision of retail , if to put it simply. So, therefore if you add back that Rs. 200 crore then you know that your numbers are back to the trend line. Was it complicated or was it okay, or should I explain again.
Moderator: Thank you. The next question is from the line of Ishan Agarwal from Erevna Capital. Please go ahead.
Ishan Agarwal: So, I have multiple questions here. First question being , in your last call with us you had advanced the guidance of a double -digit ROE which was originally given f or Q4 of FY 23. However, if I look at the core -core numbers for this quarter, excluding Treasury gains and do like to like comparison with Q1, the PBT excluding trading income is lower in Q2 at 644 crore versus 678 crore in Q1, and hence RO E and ROA excluding trading gains is lower in Q2. So, are you confident at the Bank will touch core annualized RO E of 10% ex of treasury by Q3?
Vembu Vaidyanathan : Yes.
Ishan Agarwal: Okay. And secondly, so the annualized credit loss for this quarter was 1.2%. That is blende d for retail and wholesale , what will be the analyze d credit loss for this quarter for retail plus commercial?
Sudhanshu Jain : We have not called that number out separately but as I say overall is 1.2%. And for H1, it’s 1.1%. we would not want to call out a separate number for a retail credit loss.
Ishan Agarwal: No, why I ’m asking that is incrementally our book is .
Vembu Vaidyanathan : No, I’ll answer the question.

Vembu Vaidyanathan : No, don ’t worry, Let me explain a little more , no issue. So, basically see the retail retail side. If you take back the retail credit loss , the 200 crore which I said is extra provision if you don’t have that as a onetime item , it’s about Rs. 400 crore for the quarter .. So, Rs. 400 crore multiplied by four is Rs. 1,600 crore , then Rs. 1600 crore you divide that by about a one lakh crore book about 1.5%, 1.6%.

Ishan Agarwal: Okay. And this should get better as we concentrate more on home loans g

oing ahead, or we
expect it to be at 1.5 %, 1.6% and going ahead for FY 24, 25?
Vembu Vaidyanathan : We like it to be considered to on this front and the sales number as we said it right now. And if it gets better, just maybe we 'll take it as a positive. But you factor in if you 're thinking of the Bank , think of it that retail will have , after all it's a pretty good yielding book. And our credit controls are working obviously very well , collections are working very well. Otherwise, for such a low credit loss that we 're talking about in retail, it's already pretty good so I don 't want to give any more aggressive guidance's beyond this.
Ishan Agarwal: Okay. So, third question is OPEX for this quarter is around 8.7% higher as compared to Q1, which is actually higher than the loan growth Q -o-Q so is it because we 've invested more o n the technology front or what is the reason for this large jump because this is also yielding to a cost to income plateauing from Q1 to Q2 at 72.9% .
Vembu Vaidyanathan: Really quarter -on-quarter it's very hard to explain this quarter 20 crore up, 40 crore down.
Ishan Agarwal: In general the jump has been higher at 8.7% ?
Vembu Vaidyanathan: No, let me finish. So, I was saying that it 's hard to really pin down a particular quarter , there are a lot of movin g parts a large Bank , a lot of moving parts but broadly speaking you should expect the cost income ratio of the Bank to trend downwards from here . If you take a Y-o-Y all these inter quarter movements a little bit up and down gets evened out. So, if you take a Y-o-Y basis, the Y -o-Y meaning when you compare year of 23 versus year of 22, year of 24. If you see sequential things will keep coming down from here on.
Ishan Agarwal: Okay . So, I have a few quest ions related to the Bank and not the quarter. So, the first one being , so when Capital First was founded, I would say that we were quite ahead of the curve in terms of developing an algorithmic lending model based on multiple parameters, demographics, marital status, gender, geographical location to state of few, and hence we enjoyed a certain niche in that segment. Now that information related to a borrower is more easily available to a larger number of lenders, thanks to aggregators, Fin tech, startups, like Cred payment apps, which capture cash flow data, and also a much larger penetration of credit bureaus. And also given the fact that now 90% of our borrowers have a credit history has the significance of that lending model reduced for the Bank?
Vembu Vaidyanathan: Actually i t is a very good question. See, as you know India is just not served simple. Underserved would be an understatement. So, whether we play this game or some 20 other players play this

game this is a large story. And therefore, this benefit, this advantage we have is not going to go away. Because we will still grow , after all we are guiding for growth , growth of only 25%. So, it's easy . Number two is that our ability to use the data, our own ability, forget what others do or don 't, I'm sure others can also do a good job on these things. But our own ability to use this data is continuously getting better. So, in a large underserved market we should bother about how well we do and how well we can control a credit quality and so on. So, our ability to use the data is only improving every year on year it is only improving. And for example, our algorithms are getting much more refined , remember one thing that our algorithm was a 10 year old algorithm that is not 10 year old algorithm, it 's been continuously refined since 10 years .
Ishan Agarwal: It's M aturing .
Vembu Vaidyanathan: Yes, maturing the right word . So, it's like it 's getting, let me say more and more precise and the quality of that algorithm is getting better and better with every passing let me say year, forget ye

ar, it 's getting better every single quarter, it 's getting better and better. So, therefore, we feel we are very, very far ahead in this game. Because we have gone through R&D ourselves. It 's not something that we acquired here and there , its like we remember we built the company from grass root of Rs. 94 crore loan book 10 years ago. So, we know every single moving part of this machine. So , we are getting better and we will stay , we will be very good in this front.
Ishan Agarwal: So, I would say that right now, it 's helping you on the credit quality fro nt and not as much on the yield front because we are also concentrating on better yield customers ?
Vembu Vaidyanathan: No, if yes or no actually, because if you notice one very definite advantage we have as a Bank , maybe we are new, we may not be as profitable as other, we may have other issues. But the one very unique thing about our Bank is that our book itself has been crea ted in an era or when our cost of funds was 9% or 10% or at least the models were built for that kind of a cost of funds. So, therefore, we were specializing in lending at 14 %, 15%, 16% and all that stuff probably more . And at very good credit quality, you know the numbers I don 't repeat them. So, therefore now suddenly over the last three years cost of funds have come down , but our capabilities have not gone , capabilities are still as strong so therefore we feel that this is a very distinct advantage. So, if you see the mix of the book, our mix of the book would have , would probably be better

yielding. That doesn 't mean we are taking more riskier loans, it just mean that we are just more specia lized.

Ishan Agarwal: Right, okay understood. So, you will be maintaining that India is under served and there is unlimited credit demand at least for the next 10 , 20 years . So, just for FY 24 because of XYZ reason the GDP growth stagnates or it 's less than 3%, 4% even in that scenario will you envisage that because of our small size we will still be able to grow our loan book by 20 %, 25%?

Vembu Vaidyanathan: Yes, of course see it's very important if you think of a very large Bank with 20, 30 lakh crore loan book and all that stuff, of course they will be proxy to the economy. But we are not proxy to the economy , we are very small yet. Coming from a very low base, to give you a small idea, supposing our just typical number , supposing a loan against property or take any business we

are bookings x number of , x 100 crore a month, let 's call it 500 crore a month, if you want to increase it to say another number, say 600 or whatever it is. These are not exact numbers, but I think we 'll probably be close. Now we don 't have to do anything, we don 't have to change the credit criteria. We don 't have to relax t he criteria, we do nothing, we just open some five more locations and loan and behold, everything will come on the same location you need to put up some more branches you will get it. So, that's the benefit of being that 's the point I am making when you 're relatively early, let me say when the book is smaller. We have a base effect let me say. We are nowhere close to the big players, big players are at least seven , eight, ten times our size.

Ishan Agarwal: So, if I have to put it that way, HDFC Bank is add ing an IDFC FIRST Bank every quarter.

Vembu Vaidyanathan: Yes, a bsolutely .

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal . Please go ahead.

Nitin Aggarwal: Two questions I have, first is like we have reported some margin expansion this quarter. Though the deposit cost are inching up. So, if we can talk about how the incremental spreads are moving, and how do you see the margin strengthening in coming quarters, also if you can shar e the proportion of loans that are linked to a EBLR?

Vembu Vaidyanath

an: Sudhanshu proportion of loans.

Sudhanshu Jain: Yes, I will first start with the proportion of loans , over 38% of the funded assets are roughly linked to benchmarks which could be NCLR or repo or T-bills. And out of that about 60% is linked to repo and rest two other benchmarks . With respect to margin expansion as you have guided earlier also, we feel that we will be comfortably able to maintain margins around a 6% mark in fact this quarter we are very close to that , we are 5.98% . We of course had the benefit of some reset which sort of benefit was kicked in during the quarter as the loan came up for a reset it comes once in every three months. And RBI is also very recently increased under 50 basis points, so, that benefits should be slightly higher in Q3. So, we feel that, even though the cost of funds are sort of going up, even for us during the quarter, the cost of funds on a blended basis went up by about 25 basis points, but since this reset kicked in, even for the new loans, we have to increase the pricing a bit. So, a combination of this led to a higher sort of yield on advances and interest earning assets . And which led to an increase of nine basis points. So, we feel that both these things good sort of work in tandem, and in fact, we could be a beneficiary even in going forward as sort of the rate cycle plays out . But give or take l ike this 5.8 , 5.9, 6 in that zone , you should expect the NIM to be .

Nitin Aggarwal: Right, sure. And the other question from a consumer loan portfolio while this portfolio has been growing like every quarter and Y-o-Y growth now is 35, but this quarter the portfolio like held essentially flat. So, we have seen a stronger growth from other Bank s in th e consumer loans. So, any specific reason that has caused this ?

Vembu Vaidyanathan: Let's see the numbers on ce. the Rs. 19,600 crore book that you are talking about ?

Nitin Aggarwal: Yes, the Q-on-Q growth leg is almost like flat this time.

Vembu Vaidyanathan: About Rs. 300 crore we must have sold this quarter.

Sudhanshu Jain Yes. So, we have sold about Rs. 333 crore of loans during the quarter which were essentially out of this segment plus Q1 also was related also a strong quarter , because of the summer consumer durable sales of equally strong and so on. So, hence, these numbers are the way it is.

Vembu Vaidyanathan: But overall, Y-o-Y is quite strong.

Nitin Aggarwal: Right. So, basically therefore the retail book, this piece will remain one of the key growth because LAP we have been going relatively slow, but consumer loans will continue to maintain this sort of traction .

Vembu Vaidyanathan: No, not only consumer, all our lines will grow, frankly we don 't look at home loan, our home loan book is something like 15 or 16,000 crore if you think of large Bank s, they 're probably four or five lakh crore or even six lakh crore So, can even compare so, for us to grow a 16,000 crore by 40 %, 45%, 50%, whatever should not be no issue at all, think of loan against property that can g row, think of vehicle financing, etc. So, one of the speakers earlier spoke about the base effect. So, let me say we are relatively small player, I 'd say when you compare the big four , five Bank s in the country, so we 'll keep growing.
Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus S ecurities. Please go ahead.
Lalit Deo: So, sir like I have just two questions. So, firstly on the borrowing side so sir like within the borrowings, our refinance portion has increased to about 35% including the market borrowings. So, just wanted to understand like, what is the broad range of interest which we are paying on these refinance borrowings and also could you tell us about the average tenor of these borrowings?
Vembu Vaidyanathan: We don 't do much borrowing anymore in the sens e

that , you might be talking about market borrowing , is treasury market borrowings, they are not the big item. But the , Sudhanshu will say something.
Sudhanshu Jain: So, I'll answer that, so we keep evaluating various funding options, in terms o f a term deposit, refinance, and other market borrowing, we see essentially what is the prevailing rate, what is the average tenor of funding which could sort of come in, so we have done some refinance additional refinance borrowings during the quarter because one, they were of a longer tenure , and the rates which were available were relatively better.
Vembu Vaidyanathan: So, this it's better.

Sudhanshu Jain: If we have to sort of , if we had to compare with the other funding options which we re available .
Vembu Vaidyanathan: But the other, this is a item called other borrowings, see if you go through the list there 's something called legacy long term borrowings , infra bonds, sorry legacy long term bonds, then there is infra bonds. These two items are continually coming down, of course refinance Sudhanshu has explained, then this item called other borrowings this could be general looking stuff.
Lalit Deo: Sure, sir. And sir again on in the fee income part. So, like we have been going strong in our credit card business, but on a quarterly basis the fees from the credit card and the toll business has declined on a quarterly basis. So, now with the festive season, and we b elieve that the spends have been strong , so what could be the reasons for the decline in the credit card fees during the quarter ?
Sudhanshu Jain : No, so that essentially it a declined which has happened on the toll business. So, there has been some changes which have been done in the MDR right, especially on the issuing side. And this is a notification which sort of came in in this quarter and was effective April 1 of 22, and hence that sort of readjustment happened through that l ine item. And on the credit card, the fee has gone up on a sequential basis . So, this was essentially largely because of the toll business.
Vembu Vaidyanathan: But broadly all the people who are doing very, very well, whether it 's cash management , toll or wealth or credit cards, like every product is turning out to be a big success in the market, so nothing to worry .
Lalit Deo: Sure, sir. And in the Home Loan portfolio so like we have given some extra details on this portfolio. So, just wanted to know if you can share the portion of the salaried customers in the home loan portfolio and how has it changed towards the last couple of years.
Vembu Vaidyanathan: I don't have a number offline but had probably if I were to take a guess then probably be about 55%, 60% probably be salaried. But maybe next time we 'll be better prepared on this question.
Moderator: Thank you. The next question is from the line of Ashutosh Kumar Mishra from Ashika S tock Broking . Please go ahead.
Ashutosh Kumar Mishra: My question is basically on the cost to income. So, we are guiding a cost to income ratio of 65% by the end of FY25, so can you guide us on what are the lever on this front which would help us to take it from the current 70%+?
Management: Okay . See this cost to income, I'll give you some very specifics it 'll make it easy for you . Our cost income for this quarter will be probably like 74%, 73 point something. Now, we have always said many times earlier, but we will repeat it for context, we said there are three lines of businesses which are going to improve our cost to income going forward. And they are very precise defined items , they will play out . Number one is paying off his legacy liabilities, we will contract them at 8.8 % to 8.9 %, we will re place them at 5.5 %. There's a lot of money to be made

there. That will give us about Rs. 150

crore on a quarterly basis. If you do the differential of
8.8% minus 5 .5% and you multiply that by this ~Rs. 21,000 crore you will get the number of Rs. 150 crore so you think of it , it will come to us , nothing to be done.
Number two is that the credit card business we told you about Rs. 70-75 crore earlier we used to say Rs. 75 crore , now our credit card is less than that because scale is coming up , let's call it Rs. 75 crore number round off . Number three on the retail liability side because the branch has ATMs all that stuff, we told you Rs. 300 crore a quarter. Now, so I am rushing towards it because I've said these numbers before so I 'm trying to save time. So, in this quarters P&L you add these three items (150 plus 75 plus 300) and then that number works out to something like Rs. 525 crore . If you take the PAT impact of that number, that number is if you take 75% of that amount of Rs. 525 crore it will come to ~Rs. 390 crore, sorry let me not go there, let me just add th ese three numbers come s to Rs. 525 crore. Now you divide our expenses of th is Rs. 2,895 crore by 4472 crore that is , this reported number that is 3950 crore of income and then you add this number what I said will come to us in a by simply playing out the next few years. So, then that number you divide 2895 crore and divide by Rs. 4,470 crore it will come to 6 5% So, in my mind this is a pretty simple stra ightforward proof that we will easily head towards a 65% cost income ratio simply by paying off the liabilities and making credit card profitable and making the liability profitable . So, we feel that it will happen , in our mind there is no doubt at all. So , I hope these numbers that I told , if you do the math , I spoke a bit too fast but if you go back off record and you do the math you will get the same numbers.
Ashutosh Kumar Mishra: So, because of the cost of fund which is expected in the next few months down the line, some of these need to b e?
Vembu Vaidyanathan: We couldn't hear you well.
Ashutosh Kumar Mishra: So, we have one of the important assumptions which we are taking is the benefit which we are going to get on the paying of the legacy liability because of what is happening on the cost of funds and especially the last one or two weeks we have seen larger Bank s are increasing the deposit rate in a very aggressive way . So you'll see some of these things playing out, getting a little bit more delayed i.e. in FY26 instead of FY25?
Vembu Vaidyanathan: No, when we did that number, when I did the math for you right now the Rs. 150 crore for the legacy that already factors for the slightly higher interest rates. Just sorry , before you go there, so, I want to just for other people who probably did not catch on to the conversation I like to explain a little bit more. You see if you think of large Bank s, none of them is carrying a borrowing at 8.9%. Yes or no , so when we are borrowing at 8.9 % not that we are borrowing and we have borrowed let me say, there 's a legacy item sitting on the balance sheet. So, therefore you cannot really compare our cost income with other Bank s because we are early stage, you give me 15 years I 'll show you what cost income will be . So, therefore, you cannot compare a three year old Bank cost to income with a 20, 25 year old Bank with cost to income. And particularly, let me tell you something very important for you to note, you go to see the numbers

it's there in the public, the cost to income of our Bank pre-merger was 92%, the numbers are there on the website. So, when 92 has come down to 74 point something, though it is a major progress. So, it just tells you that incrementally, you 're building the Bank at a very good cost income and as an when the story plays out it will come down. So, this is to be very much remembered. So, don't worry about the cost income

, I 'm not stressed about it at all, I know I
just have to play a normal game and it will come down .
Ashutosh Kumar Mishra: Got it. And displaying and deposit the liability franchise which we have built over the last three years. So, how much of them has now been breakeven or if you can give some light on that that will further get more clarity on the start, the new branches and how much we are open and what is.
Vembu Vaidyanathan: See there is no real benchmark about how to compute this, for example in the sense that you do compute the set including allocated costs from the head office or it 's in a pure variable basis, and everything will give you different results. But broadly, I 'd say that our close to about maybe 300, abo ut 450 odd branches or maybe 400 branches on a variable basis would be profitable.
Ashutosh Kumar Mishra: No, I was asking you about out of our total OPEX, h ow much is the technology expenses in our rough estimate ?
Vembu Vaidyanathan: We haven't specifically gone there.
Moderator: Thank you. The next question is from the line of Sahil Sharma . Please go ahead.
Sahil Sharma: First question I have is , we are building a Bank for the next many decades and I'm sure we are also hiring with that in mind, can you please talk a little bit about the kind of credit risk team

that we have on the retail side because in the Bank ing the most important thing is to get the money back , it's not just about giving it out?

Vembu Vaidyanathan: Absolutely , I agree with you 100%. So, in terms of people we are hiring it 's not so much a great managers anymore, that 's a bit of five years ago but as you know every five years India is changing so fast, earlier in credit we used to hire credit managers who really look at a file in great detail and evaluate it and all that stuff. Of course, we still need to do that in pro ducts like loan against property or home loan , etc., you still need credit managers to physically look at some of the files, but incrementally a lot of people, or machines are doing all this work. So, our focus, of course is on developing really good high quality algorithms using AI, and et cetera and the skill levels of people we are looking to hire it's a really higher order, not the traditional people who will prepare files and all that. So, we are building that kind of people , the other kinds of people we 're trying to build is the people who can build some really since quality kind of people, you of course need high quality technology people , people good high quality engineers , we provide as a Bank we provide really, really good working environment. And our employees are very proud about the Bank they're building because they can see from within the quality of the Bank we are building and the ethics and all that. So, we're able to hire really high q uality people , any position we look out for like the hundreds of applications pour in, we are literally a

spoilt for choice because that comes through , there will be, we're looking at hiring design people for example as you speak, if any of you are hearing the program, and if you 're probably very, very good high quality , high end design person, please let us know. I 'll be very happy to hire you right now. You 're looking for a head of design who can set across our , you have to build really goo d user interfaces and UX. So, we're looking for that kind of profile of people. High quality technology , coders, DevOps people and all that.

Sahil Sharma: Thank you so much, sir. And the second question I wanted to ask about just tying back to the other sp eakers question . What we as investors really appreciate, I 've been with the Bank for like three years now roughly, is that we have really turned around the DSI institutions, plus NBFC into a retail Bank . And that has been a fairly long and strenuous journe y and on most

fronts we

have made tremendous progress, the last remaining thing now, which is at the top of your mind for most investors according to me is cost to income which is like most of the questions are also around them. And so the answer is brilliant on the income side special ly, which is that how the income will expand. But , one of the things which we would really appreciate as investors is, if you can also share on the cost si de, if there are like, is this the correct leverage for the cost or for example if we double our AUM, you probably shouldn 't expect to double the operating expenses for example probably the branches won 't double from here. The lease cost won't double from here, and things like that. So, once you start to really to really help is , if you can give some rough guidance for the cost to income for FY23, FY 24, based on your best understanding ?

Vembu Vaidyanathan: Okay . Now, first of all thanks for that. Yes, when we are thinking of the Bank , we're really thinking long, we 're not doing any shortcut I notice three years have gone by , we've not done one item that's a shortcut , so we will not do shortcut things. Now the second thing is about when you said you 're happy about stuff, thanks for that but I 'll tell you we 're not just building a DFI converting to retail that frankly anybody could do , but the thing is that it 's hard but people do it but what we are very proud is about with the culture we building the Bank , it's very clean , it's very ethical people are trained to be ethical , people come to any organization we tell them this is why we do work here , not that other people are bad they 're all good quality ethical people but at least we are building in the DNA all that is , that talks on within . So, that's what it is, now coming back to your cost income comment. One is of course I specifically reconcile for you to earlier one of the speake rs who talked about the weight they adde d up that three items of legacy, et cetera . You add that , you will find that cost to income has come down I 'm telling you within three years, you will see that you will get there , you just watch the story play out ye ar after year after year it will go there , honestly I 'm not disturbed because I can see it from I 'm an insider of course I can see it, you will also see it. So, as the scale plays out automatically cost to income will sort out that's how it plays initially there is cost after that there is income. So, that's our base. So, now with regard to the , there is one data point which none of you which I 'm going to share some data points with you and this will help you understand the Bank , how the Bank has progressed okay. Now, if you take the core PPOP of the Bank , core PPOP without any other income lines , the core PPOP of the Bank in FY19 was ~Rs. 1,105 crore , annualized for the half year that is Capital First and IDFC FIRST Bank put together both put together for December 18 quarter and March 19 quarter that is the first half year after the merger . Now, if you take the , even if you assume credit cost maybe about 1.4% on the whole book, retail being 1.5 , 1.6 a nd wholesale being little less than that then blend, if you take 1.4 which is a very reasonable assumption we were that would come to Rs. 1,300 crore in the book. So, actually on the core the Bank was a loss machine even afte r merger for the first half, pre -merger, I can tell you that it was basically the income was Rs. 743 crore. And assume credit cost was Rs. 988 crore so it is actually a loss situation. So, that 's not the point , the point is tha t this was Rs. 199 crore to negative. Now, FY 20, when you do the same analysis, core PPOP minus core credit loss it will come into 250 crore positive , FY21 has gone to Rs. 400 crore , FY22 has become Rs. 1,079 crore and FY23 you can multiply this quarter 's numbers

or whatever it is and analysts have put out some numbers about operating profit. So, it is not difficult for you to guess. So, we already guided about 50% over last year that means about Rs. 4,200 crore of PPOP . So, the point I 'm trying to is that, if something is rising from minus Rs. 200 crore to positive Rs. 250 crore in FY20 to Rs. 400 crore in FY 21, to Rs. 1,000 crore in FY22 to whatever number this year it will be a substantial increment, you can see how this chart is rising. So, we as insiders can tell you that the core is delivering very strong. So, all items will fall in place as it plays out . Now you watch at 23, watch at 24, you watch a 25 I don't think this trend is changing.

Sahil Sharma: Yes, thank you so much sir. My last question is on capital adequacy , there are around 15%. Are you comfortable with this and would there be any need for fundraisers in the next one or two years to support the kind of 20 %, 25% loan book growth that we want?

Vembu Vaidyanathan: Well, we evaluate this from time to time because internal accruals was also going to be strong now, growth is also strong. So, we will play out this equation.

Moderator: Thank you. The next question is from the line of Sagar Shah from Phillip Capital. Please go ahead.

Sagar Shah: I have just two questions actually. So, first of all we have already reached about 10% R OE in this quarter itself actually instead of the fourth quarter that you were guiding for. So, we are earning the gain actually. So, going ahead, what are the key drivers for further traction in the ROA if we are expecting anyth ing around , anything traction in ROE for around 13 % to 15%. So, what are the drivers first of all for the traction in the R OE and ROA ? And the second question is, going ahead since we are having almost a very good run as far as the economy is concerned. So, going ahead, do you see even on your corporate front your corporate growth, use for credit will go up as compared to retail and my last question was, have we seen the average cost of the deposits and borrowings that is coming at around for 6% if we compare for this quarter, sorry are peeking out on the average cost of deposits and borrowings actually at least for this quarter as per going ahead?

Sudhanshu Jain : Yes, I will start with the last one. So, on the average cost as I said, average cost for us for Q2 was about 5.5%, which was about 25 bps higher than the previous quarter, of course and many of the repo increases , are factored in the market rate and that 's how it 's playing out. So, we don 't see a substantial increase going forward , the offset to this as I said even the loans get repriced in

the equation, and hence we see that both should move in tandem. So, we are not very worried on that front.

Vembu Vaidyanathan: Sorry, one thing to add to that, from our point of view we don 't take any fixed positions on interest rates in the market. So, we are right now frankly we 're paying only 4% up to 10 lakhs and we don 't intend to touch that honestly. But , I've always said that we have enough margin, and if required we will always start something or the other but we won 't let a deposit machinery slow down. We don 't see the need as of now, but we 'll watch.

Sagar Shah: Okay , sure sir . Now, for my first question what are the key drivers for the ROE going ahead ?

Vembu Vaidyanathan: Scale.

Sagar Shah: Okay, scale . But is this anything related to maybe your OPEX growth normalizing and your income growth increasing can we relate to that extent ?

Vembu Vaidyanathan: That's what scale means right , because expenses increased by maybe 20% to 22% but income goes by 30 % odd; that straight away improves cost to income. And remember income is , we expect it to grow by 30% on a larger base and the expens es to tend to grow on a smaller base, obviously even, so you know

how scale plays out , that's exactly scale and operating leverage. And of course, there are so many other product lines like fees and all that stuff. You know, so many new lines of business launched all that w ill grow.

Moderator: The next question is from the line of Franklin Moraes from Equentis Wealth Advisory .

Vembu Vaidyanathan: It's 7:30pm, I would love to wish all of you Happy Diwali and close the meeting. If you have any last few questions you can push it in one if you can do that.

Moderator: Just one last question sir before?
Vembu Vaidyanathan: Yes.
Moderator: Yes, the next question is from the line of Franklin Moraes from Equentis Wealth Advisory . Please go ahead.
Franklin Moraes: So, I just wanted to understand, from the time of opening a branch, to the time the entire cost are loaded, what is that period how many months does it take?
Vembu Vaidyanathan: I told you earlier, it 's hard to, everybody numbers on these things, if you take it on the basis of pure variable cost you 'll get one answer, if you fully take a fully loaded cost, you will get another answer. So, we thought depending on which way you look at it, it could even be 18 months, it could be 24 months, it could be some in that zone depending on how you wrote the cost to look at it. But we can ensure getting, looking at like that the way we look at it is that end of the day, we don 't want to give explanations to people that this is because of this reason, because of put

more branches or credit card or legacy liabilities, et cetera . These are really details which people like yourself or anybody is willing to bend a little extra back , anybody who 's willing to do some extra work, they understand these things. But for most people, end of the day, people will just look at your R OE and say, end of the day are you improving. So, whatever it is , all costs put together, we are committed that our R OE will go up. So, it will go up year -on-year from here on, we have no doubt in our mind. It 's already going up, you can see last four quarters. We feel that this will go on. I must say one last thing, because it 's very important. In the context, some of the questions that was asked earlier, now you take this quarter 's PAT of the Bank . Now, I told you that there are three items, which are those well-known items, so credit cards, legacy liabilities , and the setup cost of the branch, so you take these three items we told you it’s Rs. 525 crore , or it’s Rs. 500 crore. Now you take the PAT impact of the number then probably be about Rs. 375 crore or Rs. 380 crore . Now, in other words if this had just been a mature brand given three years or maybe four years and then you find that this amount of money will start coming to the P&L h opefully. Now, this quarter s PAT was 556 crore , so you add Rs. 556 crore and add that number of Rs. 375 crore you will go to ~Rs. 931 crore , you multiply this with four that 's ~Rs. 3800 crore . And w hat’s the equity base today Rs. 22,000 crore . So, what is Rs. 3800 crore you are touching , nudging 16 , 17 so do you have any doubt in your mind that these three items we can 't turn these things around those three items of course we will. So, in my mind, even if you do a simple plain math of just add these numbers and then do it Bank is heading to a very healthy R OE. So, for those of you who are willing to wait to give us the time you will see the numbers and we have no doubt. Thanks very much. Thanks , I wish you all a very, very Happy Diwali from our side and let me tell you that we are feeling quite comfortable.
Kunal Shah: Thanks Mr. Vaidyanathan , and the entire senior management team of IDFC FIRST Bank for answering all the questions and thanks all the participants for being there on the call. I wish you all a very Happy Diwali. Thank you.
Vembu Vaidyanathan: Thank you, everyon

e and w ish you a very Happy Diwali. So, from Sudhanshu, Saptarshi, myself and of us at IDFC FIRST Bank , we wish everyone of you a very Happy Diwali to all the people who are listening to the program today. Thanks a lot.
Moderator: Thank you . Ladies and gentlemen on behalf of ICICI S ecurities , that concludes this conference. We thank you all for joining us and you may now disconnect your lines .

Call: Jan 2023

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD/ 225/202 2-23 January 30, 202 3

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the period ended December 31, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter and nine months ended December 31, 2022 conducted after the meet ing of Board of Directors held on January 21, 2023 , for your information and records.

The above information is also available on the Bank's website at the following link :
https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Concall -Transcript -Q3-FY23.pdf

Request you to take the above on record and acknowledge receipt of the same.

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
Head – Legal & Company Secretary

Encl.: As above

"IDFC First Bank Limited
Q3 FY '23 Earnings Conference Call"
January 21, 202 3

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – IDFC FIRST BANK
LIMITED
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER
AND HEAD CORPORATE CENTER – IDFC FIRST BANK
LIMITED
MR. SAPTARSHI BAPARI – HEAD INVESTOR
RELATIONS – IDFC FIRST BANK LIMITED

MODERATOR : MR. KUNAL SHAH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the IDFC First Bank Q3 FY '23 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ku nal Shah. Thank you, and over to you.
Kunal Shah: Thank you, and good evening, everyone present on the call. This is Kunal Shah from ICICI Securities. Today, we have with us, Mr. V. Vaidyanathan, Managing Director and CEO, Mr. Sudhanshu Jain, CFO and Head Corporate Center; and Mr. Saptarshi Bapari, Head Investor Relations from IDFC First Bank, to discuss their Q3 and nine -months FY '23 earnings. So over to you, sir.
V. Vaidyanathan: Good evening, everybody. Hi. This is Vaidyanathan.
Sudhanshu Jain: Good e vening, everyone. Sudhanshu here.
Saptarshi Bapari: Hi, this is Saptarshi Bapari.
V. Vaidyanathan: Hello, everybody. Thank you very much for joining us on this earnings call. Just wanted to give a few comments from my side and Sudhanshu can bring up the numbers.
Number one, as all of you know that for the first few years, we were trying to set right th e liability side, but I'm happy to just announce to everybody that we are feeling very strong about what's going on the liability side with our bank, and our deposits are up over 40%. And we feel that we have a very strong traction on that front going by w hat we're seeing in the market and talking to our employees and seeing the deposits simply swelling at a play. So that being firmly in place now, we are beginning to grow the loan book. On the loan book front, our book is of course growing right by 25%.
Number two, is that, what I do believe is a highlight about our bank is that we're building the bank, not so much what the numbers as such because numbers will all fall in place in due course. The more important thing is how we're building it and we think w e're building it very clean, not just accounting, that every bank is and every institution is, but what I mean is that the way we are keeping our customer practices, the way we are dealing with -- making our product services, the way we're setting the mete r on charges, fees, etc., by keeping everything very reasonable with the customers, and in fact as low as possible, which we do. So all that is of course winning us a certain amount of goodwill in the marketplace we believe some way or the other.
Third thing is about assets. As far as assets are concerned, really on the -- all legacy accounts, etc., we announced last quarter, but I think some of you believed that, some of you didn't, I don't know. But we are once again reiterating that we don't have any legacy issues that is going to bother us anymore. All clean and no problems there.

On retail side, asset quality is never the issue, even today is not the issue. I'm happy to say that our gross NPA has come down to 1.87% and the net has come down to s omething like about 0.7%. So to us, it's not a surprise to some of you, you might feel it's low, but it's been like this for a very -very long time for us, eight or 10 years, not a surprise to us. So it's all, let us say that COVID was a bit of a blip, but that is operational part and we are absolutely feeling very good. So since we have a really fantastic retail lending machine, which is of delivering of good asset quality, we feel confident to keep power of EBITDA to going ahead, that's the unique capabili ty the bank has built.
As far as the capital is concerned, the bank is well -capitalized, where capital is r

unning over
16% at this point of time, first is about unit economics of the bank. Unit economics frankly are quite good now. As you might have notice d that the pre -provisioning operating profit excluding trading gains of the bank has risen by about 70% in the nine -month period compared to the nine - month period of last year. So when the loan book has grown only 25%, so how can really operating profit grow so strong, when loan book is not growing at that pace? So it's coming because of operating leverage and incremental unit economics. So we feel good about that, and we just have to keep pressing the pedal and the bank will keep getting more -and-more profitable. It's become reas onably relatively simple model to run from here on.
As fee income is concerned, it's looking pretty good for us. Our fee income is, retail fee is constituting over 90% of the total fee income. Finally, on profitability, I think bit -by-bit ROE is rising at the bank, and we are quite proud that they already touched double digits. We had guided for double -digit end of the year, but I think last quarter we did it, but this quarter it kind of reaffirmed it. We will watch next quarter, we're not very concerned no w because usually, we

feel that we are firmly in the double -digit now, and we don't think we will dip below that.
Now last, of course, is corporate governance, technology and ESG, etc., but that we will talk about in closing discussion. So that's the w ay it has been briefed, all coast is reasonably clear to us. I'll request Sudhanshu to make his comments about the numbers. Thank you.
Sudhanshu Jain: Yes. Thanks Vaidya. I'll start with the balance sheet metrics and then move to asset quality and profitab ility. The balance sheet size of the bank has grown by 27% on a Y -o-Y basis to reach Rs. 2,21, 374 crores at December end. We continue to see a healthy growth on our lending book and in deposit mobilization. Customer deposits for us has grown strongly by 8. 4% on a Q -on-Q basis and 44% on a Y -o-Y basis.
Within the same, CASA deposits increased by 39% and term deposits grew by 50%. CASA balances even during the quarter grew by 5%, and we also saw strong mobilization in TD due to increase in the overall system ic rates. CASA ratio was stable at 50% for the quarter and even average CASA ratio was at 50% for the quarter. CASA and term deposits less than Rs. 5 crores was at 83% of the customer deposits, which points to the granularity of deposit mobilization.
Movin g on, we opened about 37 branches during the quarter and the branch count now stands at 707 branches, and the bank also maintained an average LCR of 122% during Q3, as against

131% in Q2. While the ratio moderated and the excess liquidity got deployed, we are still well above the regulatory requirement of 100%.
We also saw a reduction in high -cost legacy borrowings which we have been reporting by Rs. 1,687 crores during the quarter. The residual amount is now at Rs. 18,762 crores, which will run down in the course of next two to three years. We have given more details around this in the presentation on slide number 28.
Moving on to the asset front, I'm happy to report that overall funded assets have crossed Rs. 1,50,000 crores and it grew by 25% on a Y -o-Y basis. Retail and commercial books grew at a faster pace to reach Rs. 1,16,680 crores.
We saw strong growth across all product segments; to give some more color, home loans grew by 48% on a Y -o-Y basis. We saw disbursements holding up well in this segment i n the current quarter, despite increasing the interest rates. Wheels segment, which includes two -wheeler and cars, registered strong growth of 50% on account of the festive demand and our increasing distribution. Happy to state also, that we have a 55% sha re on the EV finance in this year , in the segment.
Consumer loans comprising of consumer durables,

personal loans and cross -sell book grew by
27% on a Y -o-Y basis. The rural book also grew by 36% on a Y -o-Y basis. Credit card, which is relatively a new boo k, that grew by 89% on a Y -o-Y basis, to reach Rs. 3,146 crores. The bank has issued more than 1.3 million cards since launch in January '21. In fact, there are number of cards which have been sourced have doubled in last one year. Gross spends on credit card increased by 19% sequentially and 87% on a Y -o-Y basis. More details are given on slide 31 of the presentation. On the wholesale banking front, the non -corporate infra loans grew by 17%. The infrastructure book continues to come down. It's now 3.7% of the total funded assets as compared to 6.6% a year earlier.
Moving on to asset quality; the gross and net NPA of the bank further improved by 22 and 7 bps, respectively Q -on-Q, and stood at 2.96% and 1.03%, respectively. PCR gross of technical write -offs, stood at 76.6% at end of December quarter. In fact, if we exclude the binding infra book, GNPAs and NPAs at bank level stood at 2.11% and 0.6%, and provision coverage goes up to 83%. Even on the retail front, GNPAs improved sequentially by 16 bps, to now below 2%, and was at 1.87%, as the net NPA being just 0.7%. The corporate non -infra book continues to be well provided with a PCR of 99%. The overall restructured book as a percentage of total funded assets has further reduced to 0.9% as compared to 1% las t quarter.
The SMA1 and SMA2 book on the retail book was stable at around 1% and much lower than 3.3% a year ago, which is a good indicator of a better portfolio being built. Even in the corporate book, the ratio of SMA1 and SMA2 is sub 0.2%. Slippages for the quarter were marginally lower in the previous quarter despite the increase in the overall book.
Moving on to profitability; our profits for the nine -months this year was Rs. 1,635 crores as against a loss of Rs. 197 crores last year reported in the sa me period. This is on account of

increase in pre -provisioning operating profit (excluding trading gains) by 70% and also lower

provisions by 57%. Profit after -tax for the current quarter increased to Rs. 605 crores versus Rs. 281 crores in Q3 last year, which is an increase of 115% on a Y -o-Y basis and a sequential increase of 9%. This has been driven by strong growth in the operating income.
On a quarterly annualized basis, the ROE continues to expand, and for Q3 FY '23, it stood at 1.1%, and ROE has reached 10.72%. Net interest in come grew by 27% on a Y -o-Y basis to Rs. 3,285 crores. Fee and other income also saw a strong increase of 50% Y -o-Y to Rs. 1,117 crores. Even on a sequential basis, fee income saw strong growth. We have given more details around the fee breakup in the inve stor presentation on slide 57. The bank had a trading gain of Rs. 36 crores in Q3 as compared to a trading gain of Rs. 25 crores in Q3 last year, and a trading gain of Rs. 116 crores in previous quarter Q2 FY23 .
Core operating income excluding trading loss incr eased by 32% on a Y -o-Y basis, aided by strong NII and fee income growth, which I mentioned before. Operating expenses grew by 23% on a Y -o-Y basis. Cost to income ratio excluding trading gains improved to 72.2% in Q3 from 77.6% in Q3 last year and was als o about 1% lower than Q2. As a result of the above, the core operating profit excluding trading gains grew by 64% on a Y -o-Y basis and 16% on a Q -on-Q basis.
Provisions increased by 15% on a Y -o-Y basis and stood at Rs.450 crores. However, the credit costs for the quarter was stable at 1. 2% as a percentage of average funded assets. For the nine months , the annualized credit cost was low at 1.1 % against our guidance of 1.5%.
Moving on to the last section, the bank has maintained strong capital adequacy and its CAR includin g profits was at 16.06%, and with the CET ratio of 13.49%.

We have mobilized Tier 2
of Rs. 1,500 crores in the December quarter, which also improved our capital adequacy during the quarter. The bank is well above the regulatory threshold and look forward t o continue the growth in a profitable manner.
With this, I conclude my remarks, and we can move on to the Q&A.
Moderator: We have the first question from the line of Ishan Agarwal from Erevna Capital.
Ishan Agarwal: First of all, many congratulations on a superb performance on all fronts this time around. Very happy to see core ROE, excluding trading gains at 10.2% and appreciate the management finishing the commentary within 15 minutes, leaving more time for Q&A. I have a few questions regarding the numbers and the outlook ahead.
Firstly, so we have seen that the bank is engaging a lot of marketing activity with the tag Zero Fee Banking since its fourth Foundation Day, that is 18th December, 2022. I've been a customer of the bank since 2019, and majority of the services mentioned in the Zero Fee Banking promotion were already free. So, is it just that we have started marketing a benefit aggressively, which previously existed?

V. Vaidyanathan: First of all, thanks so much, Ishan for your comment. Now with regard to, yes, I think our bank, we're giving, most of the things free. By the way, they're not all free in the market, just for information. But our bank frankly, the last three, four years were all free. But we were charging on maybe a few items of those. We just -- we thought to ourselves, anyway we are giving everything free, we might as well remove the three, four items we are charging on and make it a much more straightforward statement and give peace of mind to customers. So, yes, so we just packaged what we were doing and added a few more to it.
Ishan Agarwal: So the addition of these few services which you've made free, will it have an impact on the future fee income for the bank, like in terms of, if you can quantify that?
V. Vai dyanathan: No, we don't quantify that. But, well, as you know banks make a lot and lot of money in fees through these 25 items, whether it is NEFT, or RTGS or IMPS, or home banks charge, non - home branch charge, cash deposit, cash withdrawals that banks do make fees. So obviously, by not charging it, we are giving up something. But we just, if you can think of it that, this is the way we built the bank from the beginning. So it's already factored in the way we've done our business thus far. So there is no ma terial movement that we will believe that will happen, just because of this move.
Ishan Agarwal: And in one of your interactions, I think you had mentioned that cost to income should trail down to 65% by Q3 FY '24, that is December '23. Looking at the traj ectory and the slightly slow pace of reduction in cost to income in the last three quarters like if I have to give you a number, 72.95% in Q1 to 7 3.34% in Q2 to 72.17% in Q3, do you believe the banks can achieve 65% by Q3 FY '24?
V. Vaidyanathan: So first of all, I think if you recollect the last time's call, we had corrected you on this front and said, it looks like '25, we will get towards this number. So we're just setting the record right on that. And number two, now you will see that year -on-year-on-year, the cost -to-income operation of the bank will come down. We don't think there is any doubt on that front. So we are more

tying ourselves down to return on equity, because end of the day, everything has to boil down to ROE.
Ishan Agarwal: So wha t is the target for return on equity for '24?
V. Vaidyanathan: We're not specifically given a guidance. But if you recollect the original guidance we put out at the time of merger of the bank, and it's there in the last page of presentation .
Ishan Agarwal: 13% to 15% ?
V. Vaidyanathan: Exactly. So we said 13% to 15%. And of course, five years

is a long time to take such a long shot and get the business prediction right. But the good news is that, we are getting it right, we feel.
Ishan Agarwal: And that too after doing an equity raise twice because of COVID, or once because of COVID. So it's actually very commendable .

V. Vaidyanathan: Thanks so much. When people put out a five -year plan that too from, if today you put out a fi ve-year plan, there is a reasonable clarity that we'll get it right. But remember at the time of merger, there were so many swinging balls all over the place. And the ball was swinging all over the place and meanwhile, so we were just peeping out in the fu ture and thinking what the bank could look like and should look like.
And to top that up, then there was COVID, who could think of COVID and the kind of stuff it brought on us. Then there were few bad loans that knocked off over Rs. 2,000 crores from our P&L and net worth got knocked out. After all that also, we feel that we will be somewhere in zone because I feel that things are on track.
Ishan Agarwal: So say, we raise, say because we formed a capit al raising committee and we will be raising capital in the next financial year. In spite of the capital raise, we will be able to achieve 13% to 15% ROE?
V. Vaidyanathan: Yes. We talked about FY '25, just for information, if you see the investor presentati on on that spot, I mean that particular page, you can go and have a look at it. But yes, there no ifs and buts around this. Even if we raise capital, we want to get there. We want to keep our eyes fixed there.
Ishan Agarwal: And there is an amazing trend o n the way our fee income is growing, I mean, if I just look at quarter -on-quarter at 18.2%. So first of all, is there any one -off for this quarter?
V. Vaidyanathan: No.
Sudhanshu Jain: So there are no one -offs as such in this.
Ishan Agarwal: And how do you see the trend of fee income? Should this trend continue going ahead?
V. Vaidyanathan: Yes, it should continue.
Ishan Agarwal: And I think the next question will not be that significant, but just wanted to know because of the news on the market, wha t is our exposure to VI as on 31st December '22?
V. Vaidyanathan: We haven't called out a number, but you can say that, at that time, we gave them Rs. 500 crores, and we had made it a quarterly repayment over a three -year period.
Sudhanshu Jain: Over a three -year period. So exposure is down to already 1/3, and the average residual maturity is now less than one year.
V. Vaidyanathan: So now you can think about, that every quarter, we're getting about Rs. 45 crores back of principal, and then, so things ar e broadly headed downwards, yes.
Moderator: We have the next question from the line of Sagar Shah from PhillipCapital.
Sagar Shah: First of all, many congratulations for another superb set of numbers actually, in this quarter. So by, maybe sorry to stretc h on the opex actually, but my question was related to your opex. So in

this quarter also, we saw almost a double -digit growth in our operating costs, and next year, you are guiding for a 13% to 15% ROE. Although we have set a very, yo ur NIMs are very healthy at around 6.36% if we annualize for this quarter, but already, we are at 707 branches. So can you give some at least a flavor that in FY '24 and FY '25, what kind of branch addition are you seeing, so that , at least we can ha ve a review that, what kind of operating cost growth actually are you factoring in your entire cost portfolio?
V. Vaidyanathan: See, we are almost coming to the end of '23, and this 13% to 15% ROE guidance we have given for '25. That's why I pointed out th is so that there is no confusion on this front. So that gives you a two -year window, as per original guidance to move from the current

number of ~10.5% to that number. So we will think we will work towards that. Now with regard to your other que stion

about branch, we should be adding, what, about 150 a year?
Sudhanshu Jain: Yes.
V. Vaidyanathan: About 150 a year.
Sagar Shah: So 150 per year you are going to add new branches?
V. Vaidyanathan: Correct.
Sagar Shah: Sorry, I didn't get your poin t previously, about the 10.5% that you were referring to.
V. Vaidyanathan: Yes, we reached 10.5% and you, I hope you'll agree that with a rather swift swing into the 1% ROA league banks.
Sagar Shah: Absolutely.
V. Vaidyanathan: I mean, actually internally , we are feeling very happy about the way this bank has swung into profits and swung into like solid one plus, one plus ROA, that has taken us into the 10. 72% ROE. Now that number, we feel there should be nothing that should stop us in this direction. Of co urse, it's not that we're not exactly assuring, guaranteeing that every single quarter, things will keep inching. There are quarters with three months, sometimes a small swing happens this way or that way. But directionally, we should definitely moving in that direction.
Sagar Shah: Now, second question was on your NIMs actually. You have clocked around 6.4% NIMs for this quarter, if you annualize it. So going forward in FY '24 and FY '25, do you visualize that our NIMs will likely face some pressure actual ly, or are you comfortable holding at around this figure on the next two years?
V. Vaidyanathan: Somewhere here. Somewhere here. It's running a little more than what we had initially guided it for, so let's play it by the year. But broadly speaking, we are already in the zone that we would like it to be at.
Sagar Shah: And my last question, sir, would be on our cost of funds. So in this quarter also, we have around 40 bps hike we saw in , I think the first week of December, in the repo hiking, as mentioned . So

have we , the cost of funds, have we factored in all these in our yields and advances, and also have we factored in, in our deposit rates, or in the coming subsequent quarters, are we going to witness some , or a little rise in cost of funds and a l ittle, even more better yields from now? Can you give a flavor on that?
V. Vaidyanathan: No. You're getting too greedy I think.
Sagar Shah: Also what?
V. Vaidyanathan: Yes. Already factored, already passed on. I don't think you should expect anything m ore than this. But you know what, frankly, the game is not so much about increasing NIM and all that. The game is now, it's about improving cost to income ratio which will happen because see, it's a very simple game of leverage and very simple game of oper ating leverage actually, not just leverage, operating leverage. So we will just watch your game.
I think most people haven't figured out our bank yet. The way this bank is fundamentally structured now in a financial sense, the income at these levels should continue for a while, because there's no reason for it not to, because after all this is a product mix and giving a certain yield, from a particular offering we are giving to the market. So, and any case, there is a little bit of buffer still for us , we are sitting on a little bit of buffer because of that, Rs. 18,000 crores?
Sudhanshu Jain: ~Rs. 18,000 crores legacy borrowings.
V. Vaidyanathan: Rs. 18,000 legacy borrowings, which are paying about 8.9% or so, that is yet to come to the P&L. So once w e replace them with today's cost of money. So let me just say that, there is enough on the income line for us now. Automatically when we just grow, you see the margins that are coming. If you're, so if a bank if having that kind of margins we have and you just grow the book from here on, then automatically income will grow and certainly, expense is not growing at the pace that the income is growing.

So it's so simple, so mathematical, just you go to the spreadsheet and just extrapolate the bank for one or t wo years, you will automatically see it will come down, it will not take any superhuman effort from us anymore from here on. And that will translate directly to the P&L and that's how it will play out.
Sagar Shah: Actually, that exactly is my point towards that the main driver for your ROE is nothing but only your opex actually, so that's why I asked about the branch addition. Because right from the merger, we had moved from 406 to almost 707 branches as on December, as on the third quarter FY '23. So going ahead, subsequently, if the branch addition, if it goes on a declining level, automatically your operating expenses and the operating leverage that you talked about will flow in. But unless we don't stop our this growth of opex actually, it will be a litt le difficult for us actually. And maybe we have to stretch it, maybe our ambition ROE maybe by one or two years, maybe even more actually. So that's exactly my point was.

V. Vaidyanathan: No. Absolutely. You're making a very, absolutely fair comment. The t hing is that frankly, the way we are building the bank, we are really not looking at this, that look whether this quarter will become this or that quarter become, will touch, precisely in eight quarters from now or nine quarters from now. If I have to put branches, I'll put the branches. If I have to reduce the rate, I will reduce the rate. If I have to increase the rate, I will increase the rate. Basically, it's a very dynamic and fluid play. All I know is that, directionally, we are set at a pretty good e conomics in this bank. So therefore, supposing I told you 150 branches, if I can make it 200, so, or I'll make it to 125. So what I meant to say is that, these are all directional stuff. We day -to-day run the bank and somewhere we are operating in the corr idor of what we say.

So therefore we are building the bank for the long run. Let me call it many years from now, and a quarter here or there, I'm not particularly bothered. So short point is therefore that is that our game from here on simple actually not cut costs, our game from here on is actually to grow the book, which it will happen and that will just feed to the , as long as incremental economics are strong, we will just feed to the ROA -ROE and profit.

Moderator: We have the next question from the l ine of Ritika from Ocean Dial.

Ritika: Yes, sir, congratulations on a great set of results. I would like to first hear your views on the outlook on credit growth for the industry.

V. Vaidyanathan: Well, it's quite strong. Market is growing very well. Basic ally, I think a bit, people are coming off a low base, as you know last year with COVID and all that. So it's all looking good and what I feel is that, when I look around and see the market, I feel that most bankers have become reasonably conservati ve now, it's not just us. I see people following fairly good practices. I don't find anybody crazy or aggressive out there. It's a general approach in banking. I think people have burned their fingers, learned their lessons through the COVID period, etc., etc..

But I think the way I'm looking at is that, there are certain structural guardrails also that have come to the country these days, which are also putting credit growth on a little more safer path than before. So if you have later time for a d iscussion, and if you're interested I'll expand on it. And I feel that, that is probably the basis of credit. So we think that's the foundation, where the key growth is coming from.

So I feel that this 17% -odd growth has happened now, well in this range at least for a few quarters it should stay, and then we'll have to take it as it comes.

Ritika: Sir, when I maybe see the results for this particular quarter, so it's a great set of

credit growth

across the portfolio. So just your thoughts on maybe the rural microfinance, which has done a good set of growth this particular quarter. And we think that like you had guided that, corporate has bottomed out and would start seeing growth and that is visible. So just your view -- outlook on or other views on what are we seeing in these two portfolios?

V. Vaidyanathan: See, in our case, the home loan business, of course, is growing very well. The Y -o-Y growth in home loans is 48%. Our MSME business is growing really very well. And some business for us

for the bank i s also new, relatively newer for the bank like gold loans, digital loans, etc., or credit cards. There also, they are of course, newer businesses. Obviously, newly launched business, who grow at a relatively more pace than the other. So these are our m achines that are firing, home loan, SME and the other three businesses I talked about.

Ritika: Sir, obviously, the outlook on asset quality has been improving, and just wanted to hear your views on the infra book. So how do we see that? You've mentioned it in the rundown. And secondly, the asset quality aspect on the infra book is where I want you to share the views on.

Sudhanshu Jain: Yes. I'll take that, and thanks for the question. The infra book, if you see is already down to Rs. 5,500 crores, and in fa ct, NPA in this segment is relatively high at ~25%. That is because we had certain cases which we have recognized in the past. In fact, there are no new additions which are happening on this front. There is one toll account, which is part of this number, wh ich is an NPA where we expect some positive outcome to sort of come in due course. So per se, we don't see any incremental stress on this portfolio. In fact, there could be some positives which could come in due course in terms of recovery.

Even on this to ll account which I mentioned, the entity continues to pay because it's an operating toll road. Our exposure has come down by about Rs. 20 crores in this quarter itself, and in the previous quarters also it came up. So we feel that, of course, we are not wr iting any incremental exposure. The existing exposure should continue to come off, basis the scheduled maturity and so on.

Ritika: Sir, the 53% coverage that we hold there, we obviously appear to be comfortable with that?

Sudhanshu Jain: Yes. We feel we a re quite comfortable there.
Ritika: Sir, just one last question. So the CASA actually was a little different than what we saw for the industry. So now everybody is showing quite a moderation. Have we taken any further increases on the rate side, or how should we rather see this? Yes.
V. Vaidyanathan: It's a fair question, I know. No, we have not done any movement on the rate front. They are what they are, or they are what they were. But somehow we are, I told you, we are getting a very strong inflow of d eposits. Our banks, I don't know how, but we are a big beneficiary of public goodwill in a major way. You do a spellcheck in the marketplace and talk about our bank. Most people will tell you that the bank is a good bank. You talk to customers of our bank, we are getting very -very positive feedback from customers. By the way, lots -and-lots of people in my own building are our customers. So I often get to hear what's going on around the place or when we visit to branches, etc..
So there is goodwill. Serv ice is great. Pricing is, let me say, in the middle of the band. If you think of the top tier banks, ICICI, HDFC, Axis, Kotak, let me just think of them as one category of -- A category banks, then think of the next category of, say, IndusInd, Bandhan, YES , ourselves, maybe one or two more. So we are the bank at the center of the pack. But somehow, we are -- but our deposit growth is disproportionate to the price we pay. That's what it is.

Moderator: We have the next question from the line of Mohit Surana from CLSA.
Mohit Surana: First question, if you can just break out the NIM improvement, the factors contributing to the NIM improvement for the quarter? And secondly, in terms of loan growth, the way you see it now, has it changed materially from what you would have thought? And on the loan growth outlook, maybe, let's say, one or two quarters back, in your mind, has the growth outlook changed an EBIT on the loan side? Those are the two questions.
Sudhanshu Jain: Yes. Thanks, Mohit, for the question. I' ll take both of them. So on NIM, yes, NIM increased during the quarter and the factors contributing to that increase, I think are three to four which I want to sort of call out. One is upper, the repo repricing benefit which sort of came in, I would say th e full impact which came in Q3, and also there was an increase in repo, which was done by 50 bps on October 1st. Even that benefit came in on the repo -linked book, which we have. That is broadly about 40% of our book which is repo linked. So that was one f actor.
Second was even on the investments, we had an increase in the yield, because of the churning of the book, which happened particularly T -bill, where the old T -bills were retired, which were at lower rates and got replaced with slightly better yields.
Third, I would say is even the excess liquidity, which we were carrying got deployed. I had mentioned earlier that our LCRs have moderated while we still continue to carry a good LCR.
So all of these factors led to an increase on the yield front, and even the incremental nodes which we have leased -- which we have sourced, right, there also the rate transmission has happened.
While cost of funds also increased by 20 bps, but net -net on the interest -earning assets, the increase was sharper. So all of these factors have led to a NIM increase for the quarter.
On the second question, on the loan front, of course, we are seeing strong buoyancy continuing on that front. We have guided that we should be comfortably able to grow the loan book into -- for foreseeabl e future, I would say by 22% to 25%. So we feel quite comfortable and a strong demand holding up on the loan front.
Moderator: We have the next question from the line of Ashutosh Mishra from Ashika Stock Broking.
Ashutosh Mishra: FY '23, we have seen basic ally a lot of positive things happening on the loan front especially, because of the repricing of the repo rate. But FY '24, everyone is indicating that it will be the year where we need to focus on how we will garner the deposit to fund these loans. So ho w do you see the deposit side of the story in the industry panning out in FY '24?
V. Vaidyanathan: Well, you mean for the industry, if you see historically, the industry, if we take a data point from 2010 to today, I plotted it once. I found that actually on average grown at 10% all through this whole period of 12 years. So, if you ask me to take a guess what next is going to look like, maybe 10, maybe 11, maybe 12, and then you might argue, then how it's going to grow deposits, credit in the market by abou t say 17% or whatever it will grow at.

Maybe banks will also raise through some borrowings, because a lot of banks have more borrowing headroom. We don't want to go the borrowing route, because we are already high on borrowings. And we'd rather take the mo ney from deposits. But if you see industry -wide

probably borrowings, I'm sure banks, the raise some equity, which is nothing, it also adds to a
little bit of the liquidity. There are other sources as well.
Maybe banks have some excess SLR also, that will a lso come back as liquidity back to the marketplace. Maybe banks that raise Tie r- 2 bonds also. So I would imagine all that will also come to the mix, if you noti

ce many banks have pretty low credit deposit ratios. So other banks have more headr oom I would say.
Ashutosh Mishra: So how we are going to play in , what type of increase in the cost of funds, do we see other than the infra book, the repricing , if we take out the infra book part of it, what type of increase in the cost of funds do yo u see in FY '24?
V. Vaidyanathan: No, I thought you are asking about the industry. So no, for us if your question was more on the deposit front ?
Ashutosh Mishra: Yes. Deposit front.
V. Vaidyanathan: Yes. On the deposit front, we are very clear. We want to grow our loa n book through deposits. So, you will see that every quarter, we would have funded ourselves entirely by deposits and of course, we never say no to good money if we found a really low -cost money for a long period, a good quantum we got, we probably will st ill take it because after all, even if it came to borrowing this low cost, it's P&L. But in general in spirit, our approach is to fund it through deposits and as I answered to one of the earlier speakers, we see absolutely no problem , you can take this from me. We see absolutely no problem raising deposits. Meaning like, we don't even worry about it, in the sense, it's coming.
Ashutosh Mishra: And on cost front type of increase do you see that deposit cost?
V. Vaidyanathan: Well, I will answer the quest ion, but I'm not ducking it. So we have no plans to increase it as we speak at this point of time. But we'll only see what's going, and if you see there is any need for it we will always touch it. But as we speak , if you ask us are you planning trust int erest rates tomorrow morning, the answer is no.
Ashutosh Mishra: Okay. Got that.
Sudhanshu Jain: And we'll see as it comes right, and seeing , depending on how sort of the competition we have to go through it.
Ashutosh Mishra: Yes. And is it fair to assume that, including infra book we will not see any significant increase in the overall cost of funds .
V. Vaidyanathan: I don't know, you are repeat ing infra book again and again and coming to liabilities, I'm a little confused.

Ashutosh Mishra: No. I was trying to separate the liability side in the two -part. One is Infra book separately, pricing of infra -book which is expected to take place .
V. Vaidyanathan: Okay. Sorry, my apologies. I think you meant inv estment on the borrowing side, actually. Okay, I got that. No, that will run itself up in due course. In fact, we'd say that that will add to the P&L. That will add to the P&L, meaning that we will replace them with lower cost obviously. But we are not factoring that in, when we're talking about the fact that I mean, will say strong, so also by itself. We are not depending on that. That'll be a bit of a bonus, actually.
Ashutosh Mishra: And we are also , you know, in our advertising, we are putting a lot of emphasis on the zero -fee and other charge. So thus, it will have any impact on our fee income growth trajectory? Or from where we will compensate what we are losing on the customer acquisition there?
V. Vaidyanathan: These things of concepts of co mpensating X for Y, etc.. Many people think like that, but we don't think like that. Everything does not have to be matched pie for pie. It's finished, we have talked of some fee and forgot about it, that's it. When we build a good f ranchise, build good customer goodwill, all that, they all pay back in due course when they pay back, maybe 1 year or 2 years. So management has played broadly in judgment only.
So it'll pay back, but if it doesn't pay back, it doesn't. But we have n't accounted for using pie to pie. But basically, anyway independent of this little bit of fee income, the bank is doing really well, I can't say really well, but I'd say that beginning to do well, let me say, cross -selling products to the cust

omers, and our branches are a little more active on cross -sell than before.
There is a very good amount of goodwill with customers. Customers notice over a period of time, that this bank is being clean with them, they bring more business. But the se brands are built and experiences are built bit by bit over like decades for an institution to get that goodwill.
Ashutosh Mishra: Yes.
V. Vaidyanathan : So it will take time for these things to play out in this generation. But surely, directionall y we will get that kind of customer goodwill in due course, and let me say that, and I hope that.
Ashutosh Mishra: So it will be fair to assume that fee income growth will be somewhat in line with balance sheet

growth?
V. Vaidyanathan: Yes. No, no. Fee inc ome will grow more no? I was meaning to say that, when you said how will you compensate, I said, we can't exactly do a pie -for-pie compensation. But with regard to fee income growth, that's the easy one no, because there are so many other business lines th at are still growing, like our wealth management business growing by 50%, naturally fee income will also grow 50%. Credit card business is growing faster. That will give us fee.
Cash management has got no connection with all these things. That is growing o n its own steam.
So there are so many lines of businesses for the bank on fee income, they don't have to be all

taken from the customer on the deposit side. There are so many ways to earn fee income by selling products to customers and that our bank is goi ng to do well.
Ashutosh Mishra: And sir, on any incremental development on credit card, how do you see that playing out for you?
V. Vaidyanathan: Going well. Sudhanshu, what's the number, 1.3?
Sudhanshu Jain: Yes. So as I touched upon in my opening commen tary, we are seeing a strong growth, right? In fact, the credit card issuances have doubled in this quarter vis -a-vis last year, and even spends are growing in a healthy manner, right? It's a growth of 86% on a Y -o-Y basis. So, I think we are making a good sort of a market inroad on that product.
V. Vaidyanathan: So that is also fee income to your previous question by the way.
Sudhanshu Jain: Yes. And so that will sort of also add up to the fee income in a big way, even into the coming quarters.
Ashutosh Mishra: And there is a lot of discussion again start happening on one of the telecom exposure which industry keeps on talking. Do you want to give any update that , where we are on that, and whether we see any incremental risk coming from that on negative side?
V. Vaidyanathan: Our opening question from whoever spoke to us, I think Ishan or somebody who opened us up on that account already right?
Ashutosh Mishra: Yes.
V. Vaidyanathan: He said that our exposure is easily Rs. 500 crores, but now it's probably come down to about Rs. 350 crores or so. So every quarter, it will keep coming down, and if you ask us our view, how we feel about it? Well, everything is in public dom ain. You are hearing news from them.
Hopefully, it should be fine .
Ashutosh Mishra: And on non -funded, how much we have rough exposure approx. ?
V. Vaidyanathan: To that entity?
Ashutosh Mishra: Yes.
V. Vaidyanathan: No, we don't have non -funded.
Ashutosh Mishra: Thank you. And then a very good set of numbers on all other fronts.
V. Vaidyanathan: Ashutosh, thanks very much for your good words and for your encouragement . Thanks.
Moderator: We have the next question from t he line of Ronak Daga from B&K Securities.
Ronak Daga: Hi, sir, congratulations on a good set of numbers. Can you provide me the total provisions figure?

V. Vaidyanathan: Sudhanshu?
Sudhanshu Jain: Total provisions for the quarter is Rs. 450 crores.
Rona k Daga: And what will be the breakup of

specific contingent and restructured provisions?
Sudhanshu Jain: We have not called out that number separately, but it's a combination of largely provisions on NPA, right? Some bit of provisioning on restructur ed. And as we've increased the loan book further during the quarter, there is some bit of standard asset provisioning, which also sort of comes up. But if you see from the previous quarter also, the provision has been quite stable, right? The previous quar ter was Rs. 424 crores, so the numbers are quite holding up well.
V. Vaidyanathan: See the good news is actually that, you should always see provisions in the context of the size of the book. So if you recollect, we always guided for the credit cost on ret ail to be , earlier we used to guide for 2%. Now this year, we have guided for 1.5%. But let me say that because of the way , the things are playing out and our book quality is really good now , credit cost numbers are, if you annualize the Rs. 450 crores divided by the book that we have, probably 1.3% now.
Sudhanshu Jain: 1.2%.
V. Vaidyanathan: 1.2%. So we are in the right corridor actually. And we don't see , if you were to ask us to give you an outlook what n ext year our quarter that looks like, etc., I'd say that we'll probably be in this corridor. The important thing is the way the credit cost is now coming. If you see the last 8

quarter trend on credit costs, it has been continuously contained, continuously. Continuously. So therefore, it gives us a lot of confidence in our own book now. And what we do just for your information . Is it Ashutosh we are speaking to?
Sudhanshu Jain: Ronak.
V. Vaidyanathan: Ronak? Okay. So, Ronak, if you look at our stuff, the way we do our math in our bank and try to predict the credit cost, is that we calculate what is the collection percentage we are getting on different buckets, buckets like 0 to 30, 30 to 60 and so on, so forth. And then we extrapolate the number from there and try to get -- and then we estimate what credit cost in the future is going to be.
The good news for our bank is that we are in the bucket X, if you are a technical person of the Retail Banking, you'll probably know what Bucket X is, basically the current bucket, which is the dominant bucket. It is a source of credit flow from their own. That bucket, our collection is running at 99.6% . Now 99. 6% is the amount wit hout taking prepayment amount, it is pure EMI due and EMI paid divide by EMI due. No prepayment considered into it.
So that number at that , if we sustain that number at that rate, and there's no reason we should not because, it's been there like for 12 m onths now. If we sustain that, then only ~0.5 flows to the next bucket and then there is a formula that works on their own. So we feel that that formula is

really very well controlled and contained and we should not give any surprise or shock there, because we'll come to know early enough.
Ronak Daga: And you mentioned that the repo -linked book is 40%, if I'm not wrong?
V. Vaidyanathan: Yes.
Ronak Daga: So can you also provide the breakup of MCLR and fixed rate book?
V. Vaidyanathan: No, I think it's 40% included both...
Sudhanshu Jain: 40% is floating rate book, out of which 60% is repo -linked and balance is largely linked to MCLR.
Ronak Daga: And can you provide the timeline for the capital raise?
V. Vaidyanathan: We haven't put out an aesthetic num ber, new data point than what we discussed last time. Last time, we had said that we would like to raise Rs. 4,000 crores by the next 1 year. So that next year will probably be September. So there's no new data point on the front as I shared. But that mean s that, between now to then, whether now , whether any time in the next 4 quarters, we do intend to raise that currently.
Ronak Daga: And just last question. Can you provide the restructu

re number?
Sudhanshu Jain: Yes. So restructuring book is 0.9% of th e total funded assets, and it has come up by 1%, which we had reported in the previous quarter. It's roughly around Rs. 1,200 crores kind of number.
Ronak Daga: Okay. And just last one data keeping question, what is the slippages number for the quarter?
Sudhanshu Jain: Slippages for the quarter are around Rs. 1,150 crores, gross slippage. However, the net slippage is about Rs. 570 crores.
V. Vaidyanathan: Thank s Ronak, for your comments. And my general comment on the context of all the questions you asked, a ll our flows indicate to us that we should be in a position to keep our provisions somewhere in the zone. And then you can have a good guess about what the P&L is going to look like over next few quarters.
Moderator: We have the next question from the line of Bhavin Gala from Marine Capital.
Bhavin Gala: Thanks for the opportunity and taking the question. Sir, with each passing quarter, our performance has been improving, and I must compliment the management efforts, pursuant to which we have come a long wa y as we speak today, and it has been a commendable effort from each one of the team out there.
Sir, the way I see our bank is, when it comes to asset profile or our margin profile, you are akin to a NBFC, and when it comes to the trust that we earn , that we get from the people, due to our

banking franchise, we are like a bank. So given that we have , we are already in such a sweet spot, wherein our asset profile is more like an NBFC and our margins are very healthier.
The only thing that I see in our P&L and earnings profile, which is acting as a very, very big -- basic provision. I know my fellow speaker already touched about it, but I also wanted to know, while we had been within the 1.5% kind of the guidance, can at any point in time, we can aspire to have a moonshot, wherein we can look forward to achieving 60, 70 bps kind of in the credit cost? Because that would materially change our profile, earning profile. That is my first question,

and I have another question.
V. Vaidyanathan: No, let's take one question at a time back. So now well you see, if you take provision numbers within 1.5%, they are like as good as any bank. So the really good thing about our bank, it's not actually an NBFC. Now we are thinking of prime player of the respective segment. I 'll give you let's take loan against property.
Now when capital for loan against property, we are probably lending at about 100, 150, 200 basis points more than what an ICICI Bank, HDFC Bank, Kotak, etc., will do, which means that , let's take to day, market conditions for simplicity, supposing today loan against property rates are going at say 9%. We're probably lending at 11%, and the top banks are lending at 9%, in today's context. Why were we doing that, because our cost of funds is high.
So ob viously, if you lend at a little 200, 300 basis points more, obviously, you are floating at the edge. But now , in every segment they're operating in, we are playing prime. So if you give a loan against property, our pricing is similar to like any other t op bank.
So, the short point is therefore, the way I think of ourself, I think we are like the prime player of the respective segment, let me put it that, which we are.
Now on the credit cost front, obviously, because the mix of a product is different, specialization is there. Sometimes people tend to think that, oh my god, if your yield is high, you must be taking riskier business. I mean, such people are often , I'd say, they haven't understood the model. It is the specialization that we have built, is what is so special about our bank.
If you think of, let me say, rates, let me say even a top nationalized bank will give a gold loan probably at 9%, but there's also M uthoot and Manappuram, which is also giving

you a gold loan
maybe 15%, 16%. That doesn't mean Muthoot and Manappuram did risky business. They just have a specialization, if it's sitting in the road , near road side corner, where customers can access them, they're giving them great service. They can turn around the gold loan in 10 minutes, where a bank may take 2 hours. So some people who have done specialization, which is giving them those benefits. So our bank is having its own specialization. So our risk is similar to banks, risk cost, credit cost, but yield is higher. This is our specialization.
Bhavin Gala: Yes. Sure sir, I can't agree more with you on this. So the latter part of my question was also, at some point in time, can we also aspire to further curtail this cost, because that can fetch us material delta in our earnings profile?

V. Vaidyanathan: Well, I told you should not and never be greedy, we should be conservative in our estimation of a credit cost. So we never want to put fancy numbers like that. If we do a particular business, we should factor first the credit cost. And we should factor for a little more. That's why we always guide for , we used to guide to 2% credit costs, when the reality was only 1.5% . Now we're guiding 1.5%, reality is less than that. So we should be conservative and factor for a little more credit cost, not less.
Bhavin Gala: Yes sir, point noted, sir. And my second question was on the scalability. I would here, take the liberty of c omparing our bank to another similar kind of a banking franchises, though they are an SSB and we are a universal bank. The run rate in the segment that we operate and they operate, they have been able to make a little higher disbursement.
For example, while you have been growing 25% year -on-year, the net addition to our loan book has been Rs. 8,500 crores at a given quarter, whereas similar player operating in similar segments which are very lesser in size compared to us, have been a dding assets in the north of Rs. 10,000 crores in a given quarter. So are we paying conservative? Are we still trying to fix certain things so that the ground is clear for us to scale, when we go to a next orbit? Your views on this, sir?
V. Vaidyanathan: It's again a good question. See, just because of the market, we should not play all our shots all the time. We have a steady model of loan book which is growing by Rs. 8,000 crores, Rs. 9,000 crores a quarter. We are very happy with that. As you kn ow, we have to factor this in the context of our capital. So, if you run ahead of ourselves, then we'll run out of capital and ahead of time.
So as management, we have to carry the bank along in terms of , about the pace of the growth , if you remembe r the first 3 years after the merger, we paced our growth in such a way to grow only 5%, Bhavin, remember that. So we paced ourselves at that way. Now we're pacing ourselves at 25%. We believe at this pace, the accrual of our profits will be s uch, that our ROA -ROE will get fixed appropriately. If you grow too fast, run out of capital, you have got to come to the market earlier than planned, it has its own implications. So we are pacing ourselves accordingly.
Moderator: We have the next question from the line of Sarvesh Gupta from Maximal Capital.
V. Vaidyanathan: By the way, moderator, it has been one hour, I thought we have a one hour call. So, if there's anybody else. Yeah Sarvesh.
Sarvesh Gupta: Good evening sir. Congratulations on a good set of num bers. So sir, first question is, on the loss - making businesses, earlier you used to allude to the run rate of certain businesses as well as

infrastructure bonds, that is sort of hurting the P&L and that should sort of normalize in the coming times. So if y ou can provide an update of the current run rate of some of these? Second, was related to the Rs. 4,000 crore fundraising. So I think that

is already answered. And
third, I think on the provision side, it looked a bit higher. Just looking at the other bank s' provisions, normally, we have seen a lowering trend in the overall provisions, although the credit cost as a percentage is lower, but I think it trended slightly upwards in the absolute amount. So are there some one -offs or any extra provisions that we have made, or is it business as usual?

V. Vaidyanathan: No, you should only look at the context of credit cost as a percentage, because in absolute terms, they mean nothing. You got to see that, divided by the average book and see if you're clearing, if the credit cost is low or high. And as of now, credit cost is quite low for the kind of business we're doing, and pretty much lower than guidance. And even absolutely, if you compare this 1.2%, 1.3% credit cost with the market, I'd say it's very attractive, that too for a yield that is relatively much higher. So that's that.
With regard to loss -making businesses, I think yes, I mean they should taper off a bit by bit in due course. Liabilities takes a long time, I don't know if you run liability businesses. I have built that in one of my earlier organizations, it takes a really long time to taper off liabilities to become cost neutral. But the good news is that, the asset side of this bank is so profitable, so profitable, that it is able to absorb those costs. So therefore, that drag will take time. But I think the credit card loss should fix itself with scale, maybe at about 2 million cards or so, it should kind of begin to break even.
Management: And Sarvesh, on the provisioning front, just to add, while we h ave seen a 15% increase. But at the same time, it has to be noted that we had -- the provisioning norm is more stringent in the previous quarter, right? We took some impact, right? So it has to be also seen in that context. Credit cost for 9 months is just 1.1%, right? And as for the current quarter, it's 1.2%, right?
V. Vaidyanathan: So hope you will agree, 1.1%, 1.2% is really nothing. I have been in the industry long enough. For our business segments, we are not exactly doing prime only home loan and car loan lik e some of the banks do. And for us to have credit costs at this order, for a yield that is relatively high, this is a very unique model. I genuinely believe, I don't know if you people are believing it or not, but I genuinely bel ieve we're building a really fantastic model of this bank. It's special because the , for our kind of low credit cost, and by the way, having low credit cost is again not a fluke, please go back and see the Capital First time also. It was very attractive. Our ROE has touched 15%, they were inching up quarter -on-quarter. It was heading towards a 20% ROE Capital First, don't forget, and its moved to 0 to 15% in that window of 5 years.
And it was still inching up at the time of merger, as you go and see the n umber, that is there in this presentation. So we have a really unique model, like one of the earlier speakers talked about the fact who questioned us saying that, look, your yield is attractive and you're getting the liabilities of a bank, I think it's ver y unique actually. So over time, people will begin to see you play this game year after year, without hurrying it, without hurrying up growth, I don't want to hurry up growth at all. It will come. If I play patiently will come. And then people will see wha t is evolving here. I'm sure you will , you watch this game for the next 3, 4 quarters, you'll get very convinced.
Sarvesh Gupta: And my final question, just in terms of understanding of your NIMs. So while you said that you are still playing that prime g ame, but our NIMs are still sort of more aligned to a SFB or an NBFC. So as we scale, are we trying to just continue doing the same thing in terms of our NIMs and also letting our co

st go proportionately higher, so are profits also growing the same way?
Or we sort of have upfronted our cost and now in the coming years, we are going to look into

lowering our NIMs and the NIM is resembling more like a universal bank, which with a lower cost will give you the same sort of returns on equity like a larger bank?
V. Vaidyanathan: So Sarvesh, if you were running a bank with some very unique capabilities like we have. Would you want to really become like every other bank? Yeah, answer me, would you want to become?
Sarvesh Gupta: Yes, perhaps not.
V. Vaidyanathan: Perhaps not, why? We have such a good model, getting good yield, very low credit cost. Historical 10 -year credit cost is quite low, so might be, the model works. And we have actually

displayed on our investor presentation in very minute det ail, how we underwrite loans. I think
you should check that out. We've given step -by-step, 10 steps that you take on and write a loan,
it's working beautifully. So it's so good.
So we don't want to become everybody else. We have a good lending model. We ca n scale up,
finished.
And now just simple -- frankly, just keep things simple, we have good lending model, keep it
going. You have good liability franchise, keep it growing. Margins are good, they're good. Now
we don't have too complicated at all. We don't have to become somebody else, we are what we
are.
Sarvesh Gupta: Understood. Thank you.
V. Vaidyanathan: Just as long as asset quality is good. As long as incremental asset quality indicators are good. I
want to just point it out to you 10 seconds before , so that you understand. So in our business, we
will come to know very much in advance, if we are going to have a credit problem. Advance
meaning what? If our collections is not 99. 6%, if it came down to 98.5% for 3 months at a
stretch, we know three quarters somehow we will have a problem.
So because after all, what we collect in bucket X, is what spills in our bucket X is what goes
next. So therefore, our objective is to make sure that our quality never suffers. Our collection
percentages continue to remain strong. That will automatically give us low credit cost, and
simply scale the book from here on. We are really keeping it simple.
Sarvesh Gupta: So that would also mean that, as we scale up and if you are playing the same sort of a name
game, and at certain point of time, you will have your cost exhaustion coming up, which will
result in probably an ROE much higher than a typical large bank?
V. Vaidyanathan: Yes, I think so. But I don't want to run ahead of myself. Certainl y, we believe that the business
model is such that it will give a very strong ROE. You just watch the game, just watch the next
4 quarters, watch next 8 quarters. I told you, we are playing a long -term game. You also play a
long-term game with us. Don't hu rry us up and don't hurry yourself also. So watch this game,
you watch next quarter, next quarter, next quarter results. It's a very simple model. In fact, almost
every quarter commentary on the same from now on actually.

Sarvesh Gupta: Understood. Thank you sir, and all the best.
V. Vaidyanathan: And the other thing is that on the provisional results, none of you asked this question as to why
we didn't put it this quarter, but we'll call it out. We don't want to give provision results anymore,
because anyway, around 23rd, 25th of the quarter closing month, we are releasing the results.
So we don't want to put out two results. We just want to put out one result, and reconcile it and
put it out clean. And so basically the process , that was during COVID, is when we started it, but
now COVID uncertainty is also gone. So we will now straightforward announce about the results
and be done with it.
Sarvesh Gupta: Thank you sir. That'

s all from me.
V. Vaidyanatha n: Yes. Anybody else ? First of all, thanks so much for being with us. I think you had many other
con calls to hear, so thanks for being with us among the many other even options and larger
banks that you were covering. We appreciate that. So if the re's anything, you can always reach
out to us from now on, and even during the rest of the quarter, and Saptarshi is there to assist
you.
Moderator: Thank you sir. Due to time constraint, that was the last question, sir. I would like to hand it over
to the ma nagement for closing comments.
V. Vaidyanathan: Closing comments made already from our side.
Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes the conference. Thank you for
joining us, and you may now disconnect your lines.

Call: May 2023

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 45 64 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD/ 35/202 3-24 May 06, 202 3
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437
Dear Sir / Madam,
Sub.: Transcript of Earnings Call for the period ended March 31, 2023
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter and financial year ended March 31, 2023 conducted after the meeting of Board of Directors held on April 29, 2023, for your information and records.
The above information is also available on the Bank's website at the following link :
https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Transcript -IDFC -FIRST -Bank -Conference -Call-FY23 -29th -April -2023.pdf
Request you to take th e above on record and acknowledge receipt of the same.
Thanking You,
Yours faithfully,
For IDFC FIRST Bank Limited
Satish Gaikwad
Head – Legal & Company Secretary
Encl.: As above

"IDFC First Bank Q4 FY-23 Earnings Conference Call"

April 29, 2023

MANAGEMENT : MR. V. VAIDYANATHAN – MD & CEO, IDFC FIRST BANK
MR. SUDHANSHU JAIN – CFO & HEAD, CORPORATE CENTER , IDFC FIRST BANK
MR. SAPTARSHI BAPARI – HEAD, INVESTOR RELATIONS , IDFC FIRST BANK
MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

Moderator : Ladies and gentlemen , good day and welcome to the IDFC First Bank Q4 FY23 Earnings Conference Call hosted by ICICI Securities . As a reminder all participant lines will be in the listen-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Chintan Shah from ICICI Securities . Thank you and over to you sir.
Chintan Shah: Thank you, Tanvi and good evening to everyone present on the call. This is Chintan Shah from ICICI S ecurit ies. Today we have with us Mr . V. Vaidyanathan – Managing Director and CEO, Mr. Sudhanshu Jain – CFO and Head Corporate Center and Mr . Saptarshi Ba pari – Head, Investor Relations from IDFC First Bank to discuss their Q4 FY23 and annual FY23 earnings.
Thank you and over to you, sir.
V. Vaidyanathan: Hello everyone, this is Vaidyanathan. I'm really happy to be here with all of you today.
Sudhanshu Jain: Good evening , everyone. Sudhanshu here.
Saptar shi Bapari : Hi everyone, this is Saptarshi Bapari .
V. Vaidyanathan: Let me just give it a start and Sudhanshu can help us with the numbers. First of all, I want to thank every one of you listening to the call very -very sincerely , for being with us over the last 3 or 4 years while we're building up the Bank and building out its foundations and all that. We believe that after those first 3 or 4 years of building, the liability franchise has come out really very strong. We're building the brand which has come out very strong by building systems, people, processes, technologies, all that stuff. Now we believe we are in a very strong position to roll out our products, scale up our businesses, get the revenue lines in and st art seeing the opening of the jaws on profitability.
I don't know if many of you remember that somewhere in FY21 when the COVID loss was going on, I had made a statement to everybody saying that this Bank will never make a loss again . There was a purpose for and first of all, I'm very happy , we have seen m any quarters since then maybe close to 2 years not a single quarter we've gone anywhere close towards the word L . The reason is that which many people didn't understand is that in the initial stages of th e Bank , the core issue for the Bank was not that there were a few infrastructure loans and all that. The core issue was that the Bank did not have operating profit because this was largely a DFI Bank in 2018 or so. And as a domestic financial institution as all of you know, we've seen this at IC ICI has seen this at IDBI , everywhere, initially the infrastructure loans are l anded maybe 10 %-11% cost are like 9%, you're left with the NIM of like about 1.6 %-1.7% and then with that NIM really all of us know it won't be very profitable. And with that then very difficult to invest and so on.
But it was really an amazing thing for this Bank to have gone and got itself a Bank license which really talks a lot abo ut a lot of positive things about my predecessor sir, Rajiv Lal l and all who really built an amazing institution and had to go and get a license. But now the license is there on the hand , now what to do?

So, I think from that the situation or from that me rger point, so to say after Capital First and IDFC, the first quarter , remember the loan book was about Rs. 1,00,000 crore s and the operating profit was Rs. 276 crores. O perating profit meaning the core operating profit, core NII, core fees minus core O PEX that is what is available for taking provisions for credit loss . So, core operating profit was Rs. 276 crores. Even after that, of course, we had to inv

est in branches and all that.
Now, by the period of 2021 -2022, Q1 FY22 that is April -May-June of '21, in that year also we did not have much of an operating profit but we had COVID on our head. But the good news is that the operating profit for the Bank , let me tell you a trend lines at the last four quarters and then you will see where this game is headed. That Rs. 276 crore s of core operating profit , in Q1 FY23 was Rs. 987 crores , Q2 FY23 it is Rs. 1,052 crores. The first time we decisively crossed the Rs. 1,000 crore s barrier of core operating profit . In Q3 FY23 that is October -November - December of '22, our core operating profit is Rs. 1,225 crores . In Q4 FY23 which is this quarter, our core operating profit is Rs. 1,342 crores . So, now even if there's a COVID theoreticall y and even if it is the same intensity of what came in Q 1 of FY22 which is that 2 months of lockdown , no moratorium. Even that extreme s ituation, our Bank will be like sailing through comfortably because we'll have a lot of operating profit now. So , this is a very -very fundamental point to note that we are on a very strong w icket . We belive the way the incremental economics are coming about , which is what is giving us this kind of operating profit that is going to look that we believe is almost reach the level of permanency and then now whatever happens to the global ecosystem, the north crisis comes. If something comes, something goes , that happens to everybody and we

will deal with it very -very comfortably.
Now the second part of the conversation is that if you see the trend line of profitability of the last four quarters on a PAT basis. It was Q 1-Q2-Q3-Q4 of this year has now moved from Rs. 474 crore s Q1, the Q2 was Rs. 556 crore s, Q3 was Rs. 605 crores a nd Q4 is Rs. 803 crores. There was some one -time income through treasury but even if we take it out , PAT of this quarter is probably Rs. 700 - 702 crores . So, therefore , you can think of it like you know sequentially it's mo ved from 605 to 700. So , we believe this is a story for go od and we're all pretty feeling good about that. It actually gives us confidence more than anything else . We were frankly insiders. So , we always knew that the Bank is headed for really good times and I always felt very good about the Bank . I feel very bull ish. But then from the market 's point of view until you see the numbers, you won't believe it. So , I agree with your feelings. So, now at least I am feeling very confident. Hopefully, after hearing today's call, you get a good color about where the Bank is headed. So , I'd like to close here and I'll request my colleague Sudhanshu to help us with the numbers.
Sudhanshu Jain: Thank s Vaidya . Friend s, I will start with the balance sheet metrics and then talk about asset quality and this will be followed by profitability.
On the balance sheet , the overall balance sheet of the Bank grew by 26% on a Y OY basis to reach about Rs. 2,40,000 crores at March end. We continue to see a healthy growth on our lending book and in deposit mobilization. Customer deposits for us grew strongly by 47% Y OY to reach Rs. 1,36,000 crore s. This the yearly growth in CASA deposit was 40.7% and for term

deposit it was 54.2%. C ASA balances grew by 8% sequentially and we saw a relatively faster growth in term deposits at 13.6 % due to increase in the overall systemic rates. C ASA ratio was stable at around 50% as on March 31st, 2023 . Average C ASA ratio stood at 48.5% for the year. Even on average current account deposits we saw an increase of 48.6% during the year. C ASA and term deposits less than 5 crores was at 83% of the customer deposits as on March 31st, 2023, which points to granularity of deposits. Retail deposits stood at 76% of the total custom s deposits at March 31st, 2023, and it grew at 53% on a YOY basis.
We op

ened 102 branches during the quarter and the branch count now stands at 809 branches.
The Bank maintained an average LCR of 120% during Q4 as against 122% in Q3. We would like to maintain the same around these levels. We continue to see a reduction of high-cost legacy borrowings. It has reduced by Rs. 7,500 odd crores during last 1 year and the residual amount left is now Rs. 17,673 crores which will run down in next 2 to 3 years . About Rs. 5,100 crores is scheduled for rundown in FY24. We have given details around this on slide #29.
Moving on to assets :
I'm happy to report that the overall funded assets have crossed Rs. 1,60,000 crores and grew by 24% on a YOY basis. Retail and commercial book which is w ell diversified , grew to Rs. 1,26,000 crore s. We saw strong growth across all product segments . To give some more color ; home loan grew by 39% on a YOY basis. We saw disbursements holding up well in this segment despite increase in interest rates.
Wheel se gment which includes 2 -wheelers and car , registered strong growth of 53% on account of festive demand and our increased distribution. Consumer loans comprising of consumer durable , personal loan and cross sell loans grew by 20% on a YOY basis. Rural Financ e book grew strongly by 48% on a Y OY basis.
Credit card which comes from a small base, grew by 74% on a YOY to Rs. 3,510 crores . The Bank has issued more than 1.5 million cards since launched in January '21. Spends on credit card increased by 92% on a YOY basis. On the wholesale side, non -infra corporate loans gr ew by 9% Y OY to Rs. 26,000 crores . The infrastructure book de-grew further by 32% on a YOY basis to Rs. 4,664 crore s and is now merely 2.9% of the total fund ed assets as compared to 5.3% a year earlier.
Moving on to asset quality :
The gross and the net NPA of the Bank has further improved by 45 b ps and 17 bps respectively QOQ and stood at 2.51% and 0.86%. PCR gro ss of technical write -offs stood at 80.29% at end of March quarter. The Bank has significantly increased the PCR in the last 1 year from 70% to 80%. In fact, if we exclude the rundown infrastructure lending book NPA, then GNP A and NNP A at Bank level stood at 1.84% and 0.46% re spectively and provision coverage gross of technical write -off moves up to 87%. Retail G NPA also improved sequentially by 22 b ps to 1.65% and net NP A is down to just 0.55%. The corporate non -infra book continues to be well

provided with the PCR of 99.8%. N et slippages during the quarter were lower by 21% despite increasing the overall book at Rs. 468 crore s. The overall standard restructured book as a percentage of total funded assets has further reduced to 0.6% as compared to 0.9% last quarter. The bank holds a provision cover of 25% on this book. The SM A-1 and SM A-2 on the retail book is stable at around 1% and much lower than 2.2% a year ago which is a good indicator of portfolio quality. Even in the corporate book, the ratio of SM A-1 and 2 is sub 0.2%.
Moving on to the last section profitability :
Our profits for the year have increased to Rs. 2,437 crores as against profit of Rs. 145 crores reported last year. This is on account of the increase in pre -provisioning operating profit , including treas ury gains by 50% as compared to last year and also lower provisions by 46%.
Profit after tax in Q4 increased to Rs. 803 crores versus Rs. 343 crores in Q4 FY22, up by 134% YOY and 33% Q OQ. This was largely driven by strong growth in operating income.
On a quarterly annualized basis, the ROA continues to expand and for the full year it's stood at 1.13% . The R OE has cross ed I would say 10%. In fact, it's at 10.95% for the full year FY23.
The net interest income for Q4 FY23 grew strongly by 35% YOY to Rs. 3,597 crores . Fee and other income also witnessed an increase of 40% Y OY to Rs. 1,181 crores for Q4. Retail fees

contributed 91% of the overall fee and other income and hence it is quite granular. We have given more detai ls around the fee breakup on slide #51.
The Bank had a trading gain of Rs. 216 cr ores in Q4 FY23 as compared to a trading gain of Rs. 36 crores in Q3 FY23. The gain during the quarter was primarily due to monetization of certain VCF investments . The Bank utilized Rs. 79 crores out of this to increase the provision coverage on loans during the quarter. Core operating income excluding tradin g ga in for Q4 FY23 increased by 36% to Rs. 4,778 crores aided by strong NIM fee income growth which I mentioned before. Operating expense was Rs. 3,436 crores in Q4 FY23. Cost to income ratio improved to 71.9% in Q4 FY23. In fact , for the full year, it has improved by 525 basis points. Core operating profit excluding trading gains grew by 61% Y OY a nd 10% QOQ basis to Rs. 1,342 crores .
Provisions for the quarter were Rs. 482 crores due to certain additional provisioning done during the quarter as mentioned earlier . The credit cost as a percent age of the average funded assets for Q4 was at 1.26% . For the full year it was at 1.16% , much lower than o ur earlier guidance of 1.5%. The Bank has maintained strong capital adequacy and the CAR including profits was at 16.82% as on March 31st, 2023, with C ET ratio at 14.2 0%. The Bank is well above the regulatory threshold and looks forward to continuing the growth in a profitable manner. With this I close my opening remarks. We are happy to take questions .
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Surana from CLSA.
Mohi t Surana: My first question and thanks for giving the disclosure on cost to income. So , I just wanted to understand that in a little more detail when you say that the cost to income and liabilities ha ve

gone down from 198 to 174. How should we read it, what should be the income that we would be getting from liability?
V. Vaidyanathan: First of all, hi Mohit, I'm happy to hear you and hello to everyone again now. This time we have given much more detail about this cost income ratio . As everybody knows that our cost income , people always talk about the cost to income. So , this time we have given two sets of information , one is we have given a full trend line year by year what the cost to income was over the last 4 years. So , it was 95.13% in Q2 FY19 , in H2 it was 85.22 %, then F Y20 it was 76.86 % then 78.79% and 77 .79% and now 72 .54%. So, you should expect this should come down from here.
Now with regard to the break up, since you referred only to liabilities but in the benefit of others on the forum who may not have seen that particular slide, let me just read out the numbers to you. On the retail lending side cost to income has come down to 63.4 % to 55 .0%. On the wholesale side, cost income has come down from 38.1 % to 31.6 %. Then you might say that , if your cost to income is as low as 55 and retail on the lending side if it is 31 on the wholesale side, then really what is lifting the cost income? So , there are two items, on e is the liability side which is 173 .7% you referred to, other is credit cards , this is 164.6%. So , the sigma -sigma of all of these four put together is the number that you see the number is 72%. Now let me just explain this number what you ask for liabilities 17 3%. So , in the liability business, just what happens is that branch raises deposits . The branch could be raising savings accounts , could be raising current account deposits. So , on savings accounts we give them a particular transfer pricing which is the benchmark for them and the difference between the ir transfer pricing and the actual money the branches pay out to the customer , the differential is the income of the branch.
Similarly, the differ

ence between the benchmark and zero is the income of the branch as far as current account is concerned, that is income for the branch. The expense for the branch is the really cost of the branch. People and premise an d rent and all that . The other income is of course a fee income. So, that sigma of all t hat at this point of time for the Bank as a whole is a loss and that is what is giving us the 17 3.7% which is basically expense is more than income. Now how will this come down? Well, very simple. By the way , I discussed the equation to you. If the branch grows more deposits, then the difference between the numbers I told you, the benchmark minus what they pay the customer that keeps increasing and then the Bank branch become profitable. And of course, if the bran ch sells more fee-based products etc. Th e branch makes more income . The short of it is that, as the branch gets more scale and size and more customers and more deposits and all that, this is a self-solving problem and we believe that this for us also it will trend that way .

Mohit Surana: Just one follow, what should be a reasonable transfer pricing for deposit that a branch did, any color on that?

V. Vaidyanathan: Normally I don't think banks disclose that number but I I'd say that clearly if you look at the G-Sec pricing o f the moment, you should expect that that would be a bit of a free pricing for the situation.

Mohit Surana: And the second question is that when we look at IDFC Bank, it's obviously done very well on deposits and a part of it is because the branch efficiency or the deposit efficiency per branch is quite a healthy number. So, just one color on that is that how many y ears probably even a rough ballpark , does it take for a branch to reach a full potential in terms of getting liabilities and deposits, any color on that?

V. Vaidyanathan: I don't know if you've been to any IDFC Bank branch and spoke n to any of the employees there, they'll probably give you a good color and I really invite you to do ing this round up in any part of the country. Our people are really very happy. That basically the branches are not the only thing. The brand that powers th e customers to come to the branch, the service they would give to the customers at the branch , all that is also playing a role. So , in our case all th is machinery is playing very well . Somehow the Bank ’s image is really very good. So , our branches are typi cally in about 24 months , you can see a kind of breakeven or probably even a bit earlier depending on branch to branch , depending on the cost of the branch and we ar e at least finding that our branches are frankly very -very productive. We are feeling frank ly that we really got this liability in machinery fantastically going for the Bank . We feel very confident for the next year and we feel that money will keep coming in comfortably and then now we have the peace of mind to grow our assets comfortably in a s afe sort of a manner.

Mohit Surana: Just last two questions. One is if you could explain what we had healthy treasury gains in the quarter, what explains that and if you could also give the comparable NIM number versus last quarter of 6.36. I am sorry if I missed that in the PPT ?

V. Vaidyanathan: Yes, it's there the PPT. But maybe it came a little late for you , so you may not have read it . But let Sudhanshu answer the question first and then in will come at the first one .

Sudhanshu Jain: Thanks Mohit for the question. First on the treasury gain, as I mentioned in my opening remarks that we had certain gains fr om redemption of venture capital fund investments which we were holding. So, that came as a gain during the quarter. It's one time in a strict sense . That was about slightly more than Rs. 200 odd crores . On the NIM for the quarter, NIM was 6.41% gross of s ell downs in I BPC and

the corresponding number for the previous quarter was 6.13%.

Mohit Surana: Sudhanshu l ast call your reported NIM if I'm not wrong 6.36. So , if you could also give a like to like or probably , I can take later if it is not handy.

V. Vaidyanathan: That that you can just adjust for the fact of this sell down and all that. But let me just say that last quarter was 6.13 % you can make the appropria te adjustment.

Moderator: The next question is from the line of Vivek Rama krishnan from DSP Mutual Fund.

Vivek Ramakrishnan: My question was going to be about the deposits only , this year seems to be a year of scramble for deposit. What do you think is go ing to propel your deposit growth? You seem very confident about that, it might by tweaking the base giving a higher rate. What is that secret sauce for getting more deposits? That's my only question sir.

V. Vaidyanathan: Thanks so much for that. Honest answer, have you been to any of our branches ?

Vivek Ramakrishnan: Yes, I have.

V. Vaidyanathan: Do you see the comfort?

Vivek Ramakrishnan: Generally, they've been very pleasant.

V. Vaidyanathan: Thanks for that. No, because the reason I asked is that if y ou talk informally to people, there is something they'll probably give you color. Somehow, we are probably paying the similar interest

rates like what, let me say the peer banks are paying , what we call peer banks in the mid -tier
banks. Think of IndusInd, Yes Bank, Bandhan, o ur Bank or maybe 1 or 2 more banks , maybe a
Bank more in that category. So , I think of this as mid-tier, we're all paying similar rates . Probably
we're a bit lesser than them but somewhere that band . But somehow our hit rate per branch is
significantly better and now we got to allocate, figure out what is the reason. If you're paying
similar rates. It's definitely a Bank is just seen as a really good brand, not that others are not ,
they are also g ood brands. B ut somehow , we've acq uired that very strong institutional image ,
feel. I think customers are experiencing us , are referring more customers because they say 'Bank
bahot acha hai ' that kind of stuff. I think all that is coming together and then rates are what we're
paying.
Vivek Ramakrishnan: Actually, beyond asking for Rs. 2000 crore have not impacted.
V. Vaidyanathan: No, you must. If you see our deposit growth , this year our CASA deposits are Rs. 71,900 crores .
But that 71 is not actually Rs. 71,000 crore because the last 2 -3 days before the quarter ended
somehow some large government institu tion gave us Rs. 2,131 crores. Really short -term money ,
we don't want to count that money . But even if you subtract 71 ,983 minus 2,131, it comes to
something like Rs. 69,800 crores. So, that's a very solid growth coming from Rs. 51,000 crores
of last year. So, we are definitely a strong beneficiary and things are moving for us well.
Moderator: The next question is from the line of Lalit De o from Equ irus Securities.
Lalit Deo: I have two questions. So, firstly, during the quarter we have seen some increase in our SA savings
rates as well. So , like on a blended basis like what would be our rates on the saving deposits and
like how much it could increase going ahead in terms of the new pricing ?
Sudhanshu Jain: Lalit, SA rates for the quarter for us was about 5.37%. And this was up by about 10 basis points
only during the quarter.
V. Vaidyanathan: So, we basically you know up to 10 lakhs we are s till paying only 4%. So , as you know that
that's where the bulk of the customers are and we pay on a progressive basis after that.
Lalit Deo: The the bulk of the majo r repricing has been done or like are there some part which is likely to
come in the coming quarters as well?

Vaidyanathan: We don't know. As you know, I never take a posi tion

on this.
Lalit Deo: In the retail loan, so while there has been a broad -based growth across segments . But particularly
in the rural finance , we are seeing some strong growth over there. So , could you quantitatively
tell us what is the nature of th is book and in which segments are we l ending in this particular
segment ?
V. Vaidyanathan: What we are going on the lending side is frankly very -very well disclosed by now , in the sense
that we have already put out a line of businesses, home loans, affordable home loans, cars. Now
we started new cars also by the way. Not in a big way but we started new car. We have started
tractor financing and now we starte d—of course we already have been doing used ca r for a long
time—we are good in 2 -wheelers, we're doing micro enterprise loans. The list is very -very long.
So, in fact somewhere in the investor presentation we have actually put out a full list of p roducts
that we are doing. This commercial vehicles , then business banking, then the list is long. So , it's
a very -very long list and over period last 7 or 8 years we just got a long list. So , for us growth ,
at least we don't think of this as a bother at all. It's just coming. In fact, we just don't have touch
the credit criteria. We don't have to relax anything. If you need more business es, have open more
locations and keep launching new products . So, at least for many years to come, I don't think
going credit is an issue at all.
Moderator: The next question is from the line of Ishan Agarwal from Erevna Capital.
Ishan Agarwal: I must say that the execution by the management has been to the 'T' since merger and ha ve
extended my projections almo st every quarter. So, now I'll begin with my questions. We have
reported total provisions of Rs. 483 crores this quarter , out of which I believe Rs. 79 crores is
one time in nature so as to i nclude the provision coverage ratio. Excluding this our provision s
for the quarter sta nd at Rs. 404 crores, which when an nualiz ed stand at 1.03% of the book which
is lower than what we have been reporting in the past quarters. Is this the structural lowering of
credit cost due to better quality of sourcing and overall b etter quality of the book?
V. Vaidyanathan: We have always put out a credit cost numbers for 10 years now and we have put out the gross
numbers , we have put out net numbers, we have put out credit cost also for 10 years now. We
have given a guidance as you know for 2% credit cost. If you remember, we always talk about
2-1-2 formula, 2% gross, 1% net , 2% credit cost. But somehow the credit cost is for us is very
low at this point of ti me. To your question on whether it is structural, we believe that this part
has become structural. We keep the guidance there because it's just that we don't want to let
anyone down and what we're guiding .
Ishan Agarwal : I'm just asking you without any one -offs or any other .
V. Vaidyanathan: That's what I'm saying. So, basically, we have given guidance of 2 % because we don't want to

let down people but we feel that structurally —to answer your earlier questions structurally —we believe it has come down. We believe we will actually not touch ed 2%.

Ishan Agarwal: I think you had mentioned 1.5 % previously, I mean no ?
V. Vaidyanathan: Yes, we have on annual report guided for 2 -1-2 but for the last year we di d guide 1.5 % but we have come below 1.5 %.
Ishan Agarwal: So, f or the next year it could be 1.5 % or lower than that?
V. Vaidyanathan: Could be there but our own internal estimates are more like th is. But we have kept our public guidance where we always lef t it. But if you have to pencil in what should be a good number, I guess yes, s omewhere there what you're talking about . But the more important thing is that your earlier question, I thought you asked important questions kind of slipped betwe

en the cracks.
The issue is, i s it structural , now really, we believe it's structural. We can't take the eyes of the ball. As a Bank we should always careful . Structural meaning , what I mean by structural is that now credit appraisal processes , informa tion, let's think of a process. Think of KYC. Earlier KYC was coming through a passport copy or a license or what ever. N ow if it's coming digitally, biometric authenticated and v-KYC and all that, it becomes more authentic . Then what is the next step , you do credit appraisal . Credit appraisal was coming through some physical paper and all that , now it is coming digital and it's that much more authentic. Then after that is monitoring . You should have frequency of monitoring, probably monthly or something. No w you're practically doing weekly or daily monitoring. So, that's also become better . Collections was coming and somebody was calling the customer and going and collecting from the customer or all that. Now all that is gone , if any UPI links are collecting . So, everything has become better now structurally and bureaus have come. You know how this works.
Ishan Agarwal: And the Bank itself intentionally is also sourcing better quality customers along with the systems becoming better , is that right?
V. Vaidyan athan: That is 100% right because now our cost of funds is lesser. We don't have to take risk like a NBFC . We can play like a Bank , like a good large Bank .
Ishan Agarwal: Moving on to the next question, this year our core PPOP growth has been phenomenal. We have to put in a 67% growth as compared to FY22. My question is, given that a significant portion of the operating leverage is still to play out in terms of cost to incom e and remember in one of your media interviews you had mentioned that core PPOP could grow by 40 %-45% in FY24 and FY25 as well. Do you believe by your internal estimates, the Bank can achieve that kind of growth ?
V. Vaidyanathan: First of all, this year a lso we said 45 -50, it turned out t o be 60 %. So, we are very happy, at least we didn't let you down this year. But next year yes, definitely we're feeling very good. We believe that we will outrun our cost growth. So, if our balance sheet grows by 25 %, yes, of course our PPOP definitely should grow faster than that because now the scale is playing up . Ishan just in case you don't get a chance, nice speaking to you. But if you get a chance, we will talk to you.

Moderator: The next question is from the line of Anand Dama from Emkay Global.
Anand Dama: One question is that if you can provide some break -up in terms of your SA deposit s how much is less than Rs. 10 lakhs and above Rs. 10 lakhs that would be really helpful to start with?
V. Vaidyanath an: I don't think we're giving that number . Sudhanshu do h ave th e number .
Sudhanshu Jain: No, so we're not , calling o ut
V. Vaidyanathan: Just repeat your question less than 10 l akh, ask question more specifically.
Anand Dama: Question was about how much of your SA deposit should be less than 10 lakh and above 10 lakh?
V. Vaidyanathan: Maybe I don't even have the number off -hand.
Anand Dama: Ballpark?
V. Vaidyanathan: I don't know how t o answer right away . But let me just say th at our Bank , if you're trying to get under the hood and trying to get a color of a customer profile, if that gives you a better sense . We are, let me say, getting a slightly higher than upper middle class -ish customer base. If that's an a slightly HNI-ish of customer base . Maybe the location of the branch or the look and feel or whatever. So, our average balances that we're getting are at least 30 %-40% more than maybe similarly placed banks.
Anand Dama: So, with that basically put more of the deposit s to be about 10 lakh bracket?
V. Vaidyanathan: Yes, for example, when you open a savings account , as

you know we have two categories. One
is the 25K account and one is a 10K account. So , the 10K account minimum balance is 10 but
people are keeping 40, 000-50,000 with us. The 25K account , minimum balance is 25 but people
are keeping a lakh and a half with us. So , that gives the color to the profile . Somehow it is that
the Bank is getting that kind of deposits .
Anan d Dama: Is there any breakup in terms of retail deposits and some kind of an institutional SA deposit
which come by in the overall SA breakup ?
V. Vaidyanathan: Again , your voice is not coming so clearly . Repeat your q uestion if you don't mind.
Anand Dama: I was saying that within the SA deposit what's the share of the retail individual deposits and the
non-individual deposits ?
V. Vaidyanathan: Well, everything is only retail in the savings side.
Sudhanshu Jain: As I mentioned, retail deposits are 76% of the total deposits and we have seen a good growth
during the year. In fact, it grew at 53% on a YOY basis.

Anand Dama: That includes term deposits as well, right?
V. Vaidyanathan: Yes, right.
Anand Dama: I'm just talking about the SA deposit.
V. Vaidyanathan: Its predominantly retail only. But I'll tell you one thing if there's one weakness our Bank has, it
is actually the fact that frankly SA our Bank is like hitting it over the park. I'm telling you we
are exceedingly doing well. We just have to take a word for it. The we ak area for our Bank is
that we are low on CA. If you see peer banks or at least peer Bank meaning the larger peer banks
so to say close to about 30 %-35% of their balance s is current account balances out of the CASA.
For us it's like 18%. So, this we say but as current account takes a long time to build because
you've got to get the whole ecosystem and all th at but we're working on that. I think we will get
there.
Sudhanshu Jain: On your earlier question on SA, 97% is retail. So, it's predominantly retail.
V. Vaidyanathan: We got your answer while you are on the call.
Anand Dama: Secondly is that what's the current employee base and if you look at the cost -to-income ratio
where you have guided that you would look at about a 65% kind of a cost -to-income ratio maybe
2 years down the line . If that is the case, how do you see that cost -to-income ratio coming down?
V. Vaidyanathan: There's lot of disturbance in your call but I just to save other people ’s feelings . But I got the
question. Let me answer your question quickly. How will it come down?
We have guided for it to come down. The question is how will it come down? It's very simple
actually. It's not so complicated. First of all, I told you the trend how the last 4 years have been.
So, it should give you confidence that it will but rather than just it will h ave to be specifically.
So, for example our key gap is credit cards. I mean actually we have two key gaps I called them
out to you. There were two things we called out for you. One was the credit card , second was
liabilities . Liabilities I have answered on e of the prior gentlemen who spoke saying that I think
it was Mohit. They were just saying that look book grows branches will pay back it’s
straightforward and I am making it too straightforward of course I have got to do the work , they
got to sell the oth er products , they got to cross sell multiple products etc. They get the fee in come
generally book grow s NII grow s for them and they break even it's pretty straightforward. Now
the second specifically the is credit cards . In the credit cards , last to last year that is in FY21
while we haven't put out the numbers on the presentation but I remember it was something like
about 300% odd. Last year FY22 it came down to 240%, this year F Y23 is compared to 1 60%
we believe in FY24, this should lik e convincingly come down. It's more like maybe 100% or
maybe eve

n less than that and FY25 we expect to break even credit cards so, think about it. So,
if that amount of credit card business starts breaking even that is straight to the P &L and that
reduces cost-to-income . So, that is one factor you can do the math for yourself , you will get it.
The second part is that what Saptarshi earlier pointed out to you that we have th at 17,000-18,000

maybe Sudhanshu said that that you have Rs. 17,000-18,000 crores tha t we are funding today
9%. Now moment we replace that with today's money this 5.7 %-5.8% you see the difference
that 3% on that Rs. 17,000 crores , that’s Rs. 500 crores . So, that is also going to come to the
income line so that straight away stall the cost-to-income ratio. So, you should not at all be
surprised it will come down and what you should actually look back and think is that if you are
already posting 1.2 -ish ROA and now at the current cost-to-income at 70 % odd, imagine and the
70 comes to 55 whenever it comes , just see do the math for yourself , that's 10% of our NIM just
do the math and add to it to the ROE, where th is ROE will hit. I'm pretty bullish about it.
Anand Dama: So, you have basically put out the slide # 53 where you put out the cost income -to-ratio across

segment? So, apart from cards which is about 155% is there a chance that basically the liabilities and the wholesale banking cost-to-income ratio can come down further . Any estimate you can give?

V. Vaidyanathan: Even liabilities will come down but the liabilities is a long game to break even to zero, let me tell you. In one of the prior banks have worked , it didn't break even for like 12 -13 years. So, these things do take a long time because what happens is that we are a startup Bank so you might say that end of the day remember that we got raised deposits so, we might put more branches and those branches you put in will have its own life cycle to start becoming profitable ag ain. So, these things drag sometimes tend to drag little bit longer but see the end of the day my own sense is that we shouldn't get keep knocking ahead on this one-line item of cost-to-income, cost-to-income . Well end of the day it is what return on equit y do you generate and we are pretty clear that even at our current cost-to-income even if the marginal dip from this 70ish coming to 60s there will there will be a massive improvement in ROE and frankly if once our Bank goes to 17 -18ish ROE forget 17 -16 ev en if it goes to the 15ish ROE ; lot of people who think about this issue a lot , all of you will come down and they will become happy. Just watch the trend , just watch three quarters more , four quarters more.

Anand Dama: So, certainly, I mean we will all be happy but then if we can get some guide path as to like which element basically you would see that improvement ?

V. Vaidyanathan: I told you two specific things. One is credit cards , second the liabilities , you want to know how , third I tell you that tha t three that legacy cost of funds that 8.9% , fourth is that fee income ; these are all the ones that are looking in the eye but let me tell you two more -line items which are also important. Fee income because we are not exactly doing a great job in getting fee income from our on the liability side as you know most of our services are free there and even our cross sell, you may not have got very many calls from the Bank to sell you the product because we keep it very little tone down because we don't want to d isturb customers but net -net there's a fee income , there's a big opportunity for us on the fee income side to grow it. Wealth management is growing by 40 %-50% a year. That will give us free income , FASTag business is growing , that will give us fee income. So, we have many buttons to press . Just watch the game and fee income will go up, the other buttons

I told you will go up so, it will come just watch this quarter I mean watch this year end , watch next year end. I assure it will come down.

Anand Dama: Lastly just wanted to check like you have given this cost -to-income ratio of 174% for liabilities. For this cost for other banks, I mean I am sure that you would be aware about broadly what kind of cost -to-income ratio that we operat e. Is it something similar or it's far lower ?

V. Vaidyanathan: No, it depends on life stage . If you go and pick a Bank like one of the big banks of which has lived is 25 -30 years like ICICI or HDFC , obviously this will be profitable , undoubtedly . It's a life stage, not everybody is forgetting . Our Bank is just 4-5 years old. 5 years meaning 4 years , 4 years after merger and that time our balance sheet wa s loan booked , deposit s were Rs. 5,000 cross -6,000 crores of d eposits we had retail so let me take it practically to start. So, you give me 15 years, I will show you what cost -to-income and what ROE t his Bank will make. It's really early , 5 years. And meanwhile remember we are rolling out all the bran ches, etc., and we would roll out more also . So, honestly, I have told you people many , many times before that I am building this Bank with a long run. I am not taking shortcuts to say that Oh my God I got to please everybody ; post some RO A, ROE do it now and kill it , we are not playing that game. We are just building the long run. It will take a little more time but I will deliver ROE that I am telling you.

Moderator: The next question is from the line of Pranav Tend olkar from R are Enterprises.

Pranav Tendolkar : I just wanted to ask one question so I understand the philosophy that credit origination yield is given by market and then we do better by selecting better credit in that asset category. So, can you just qualitatively or quantitatively highlight in which credit category we have the best credit origination processes and what are we doing about it? So, is it SME, MSME s is it vehicles and how we are improving it ? So, can we proudly say that we are #1 in terms of credit yield minus provision cost metric for the industry ?

Sudhanshu Jain: So, Pranav as you would see from the presentation, we have a very diversified retail boo k. So, we have been doing home loans , that book has been increasing , it increased by 40% on a YOY basis . We have a loan against property which we have been doing for quite a number of years. Then even on I would say on the wheel segment or the two-wheeler space we have been gaining market share there . Rural we saw a very healthy growth s during the yea r, that also meets our PSL requirement s. Then we are a formidable player on I would say consumer durables and so on. So, it's a wide asset class and we have a stated strategy to grow each and every product. Of course, at the same time ensuring that the credit standards are not compromised. If you see the presentation on slide #36, we have given that we follow a very elaborate process in terms of current screening and we in this process , we do reject many applications which come into the Bank . And it's all score card driven which is also quite evolved I would say over a period of time, the data from the bureaus is also quite enriched now. So, all these are sort of playing out and all this result s into a lower che que bounce , lower SMA and the y result in NPA formation and so on. So, we feel that with the model which we have where on the retail assets we have the blended yield of about 15 %-15.5%. The credit cost is quite currently manageable and if you are able to maintain at this pace then we feel that we are in a good run.

V. Vaidyanathan: See one of the key things to note for our Bank and I think it's very-very important is to actually think of wha

t is the collection efficiency. Right now, Sudhanshu talked about that we have good under writing process . Yes, by definition if y ou do good quality underwriting when you present cheque they should not bounce. But our cheque bounce is very low , very low. Then when the cheques are bounc es very low then whatever is bouncing someone should collect on them . I will tell you a number and this you can compare this one of a large N BFCs even report these numbers as well . Now we have actually even disclosed our collection percentage ; it is 99.5% is our collections and let me explain 99.5 % to you . This is EMI collected divided by EMI due. This does not have arrears ; this does not have pre -payments. Sometimes some entities report I have got 104% collection. How can someone collect 104% -107% only because they are collecting other pre -payments , they are collecting arrears. I am telling you pure what is due and what is collected. That's 99.6% and it is not a flow once in a while . Now it's been like 12 months in a row, it is 9 9.5%. Now therefore if we there's only 0.5% slips to zero to 30 bucket. So, that's it so that's very phenomenal and then that's it. Then after that is why that is what gives us the confidence to commit this 2% -1% and whatever we tell you.

Pranav Tendolkar : I just got confused about how you calculate branch cost-to-income . If you just explain tha t to me that will be great ?

V. Vaidyanathan: No, I think somebody else has also asked this question. So, if it's not clear we will explain one more time. Now think of a branch , let us say a branch has a cost. People , premises whatever is the cost of the b ranch . Now suppose the branch gathers deposits of Rs. 100 crores and suppose there's a benchmark X % is what is payable to that particular branch for raising savings account . So, suppose the branch is 100% savings accounts and suppose the benchmark is X and suppose the branch paid 5.5% to customers. The difference between the X and the 5.5 becomes the income of the branch. If that branch now goes to Rs. 200 crores , the income will become 2X. If the branch is of Rs. 300 crores, income will come 3X but OPEX is not becoming 3X , OPEX is what is the cost what you pay rent or people . So, that differential with scale goes up but on a current account , the branch will get in the same example will get the X minus 0 which will get the full amount because you are paying nothing to the customer. So, that's how economics work.

Pranav Tendolkar : Basically, you are communicating this to branches and that is very -very good communication mechanism actually because the banks level profitability is given by it ?

V. Vaidyanathan: For the s ake of argument let me just pick a number. Let me say 7%. So, suppose , you told the branch that whatever deposit you get , I am going to pay you 7%. Now if the branch gets Rs. 100 crores of savings account and they paid the customer say 5.5% that 7 % minus 5.5 %, 1.5% on Rs. 100 crores belongs to the bran ch. They made Rs. 1.5 crores. You got it and now if the branch is now Rs. 200 c rores branch that will going to make Rs. 3 crores and then with that's how it scaled and productivity , a bank starts making money. So, we are not worried this is how it works and I have done this before for a long time now , it works.

Pranav Tendolkar : Is it getting used for communicating various targets that your Bank has to branches also. Is that a future plan like I see that there are many branches and many banks where transfer pricing is also not clear but you have taken this step and that is a great step actually?

V. Vaidyanathan: It gives clarity to that person also. The person knows what to do. Now the other thing is there if the branch say s suppose the cross sells loan of the Bank itself. Now obviously from the branch manager 's point of

view they have spent their time selling a loan instead of raising savings for example. So, we tell them you raise , you give me a home loan. The liability of the assets team will say take this much money from me. So, that's how you pay for a job . Internally done they get paid ; externally done they get paid and that's what makes money and there's fee income and all that.

Moderator: The next question is from the line of Kunal Shah from Citi Group.

Kunal Shah: Firstly, on the growth side has given th at within a sho rt span we had almost 250 odd basis point s kind of a rise and all through over last 2 .5 years we have grown at a very rapid pace. So, now firstly maybe on the home loan do we see any moderation in the prime segments that we operate in and ev en in the other product segments no doubt you maybe you have highlighted in terms of the quality of book which we are writing but just nearly because of the rate increase , inflation do we see a risk in any of the retail product segment s? Now wherein we are growing at this pace?
V. Vaidyanathan: No, in home the issue is never risk at all. I mean I can’t say never -never, always be careful but generally we've not had any delinquency and all that. The thing is that in home loan there is no margin. There's very little margin and I mean if you think of a Bank like us just about starting up the home loan business , our cost-to-income for example in home loans are pretty high. You might say why? Because the book is small and if you book a home loan today you probably pay 1% to the DSA or whoever brought you the loan or even to the branch for that matter. And then you also incur the cost of legal , valuation , technical , all the credit appraisal processes running their shop, doing diligence all tha t stuff. All that hits you today when you book the loan but year 2 onward there's no OPEX in your home loan. So, that is the reason , if there is an upfront cost of booking a home loan but annuity income it makes money with scale. So, for us we are early stage of our home loan like Rs. 20,000 crores. So, it's not a very profitable business but it's ok ay, we are building the Bank for gene ration. So, if we tell you now somebody else who will enjoy this business. Think of H DFC today , the cost -to-income is nothing. So, it doesn't mean it's always like that because someone built it one day it's what it is today.
Kunal Shah: So, overall retail , no concerns with respect to higher credit cost after having grown at this pace over last 2 .5-3 years .
V. Vaidyanathan: No. Kunal, you correct yourself , after running it like for 12 years.
Kunal Shah: I am just saying in terms of buildup , yes definitely , it's been going on also but during COVID , so I was just highlighting may be during this pandemic as well we have grown?

V. Vaidyanathan: Listen you've been tracking this busines s on Capital First time . Then it was Capital First, then you were in Edelweiss, when you practice when it came to ISEC and now you are in Cit i. Have you ever seen our Bank having NP A more than 2% ever? Have you ever seen a net NP A more than 1%, marginally 1%, maybe 1-1.1 whatever. Have you ever seen our credit loss being high? This business is fantastic. At least the way we underwrite it and the way we constantly improve our credit underwriting norms we have been like 12th year in business but we still don't let our guard down . Every quarter we still sit and tighten some part of the machinery the other and so we do that. So, this so we don't think we will drop the standard s of 99.5% collection and if we don't drop that we will not have an NPA problem. That's our sense . And if we were to have a problem, we'll come to k now 12 months in advance because the 99.6 % will dip to …it has to dip to something. It has to come to 99, our risk management committee will see

it. Our board will see it and before that, of course, we will see it. The world will see it next quarter because I'm reporting this number. We are putting it every quarter out publicly. If we have a problem, you'll come to know much in advance . At least we'll make sure as management that we don’t have any problem in this front. We have our own t rack record s to prote ct.
Kunal Shah : Yes, sure. I'm sorry, I didn't hear your remarks about any one -off in reported margins in this quarter.
V. Vaidyanathan : So, I think Sudhanshu answer ed that question. 6.3 % or something like that.
Kunal Shah : And on PSL positioning how is it now? Our RIDF is coming off every year, but otherwise overall PSL requirements are given March end , are we through and there is no drive over there?
Sudhanshu Jain : So, we have given the presentation that we have not been investing in any more in RIDF . So, that book has been running off. Of course, the proxy to that to meet PSL requirement is PSLC certificates which participant can buy from the market. I would sa y we are doing quite well on this front . In fact , for us, the PSLC drag for the year was just about Rs. 30 crores . So, we are, I would say very much there , and we want to ensure that we meet PSL requirements on our own and that would continue to be our end eavor.
Kunal Shah : And this Rs. 30 crores compared to how much last year?
Sudhanshu Jain : It was a much larger number. It was about Rs. 160 crores in the previous year.
Moderator: The next question is from the line of Ja i Mundhra from ICICI Securities. Please go ahead.
Jai Mundhra: Two questions, actually. One is on ROA progression . So, if I were to adjust on slide 60 of the PPT, adjusted for the one -time item, the ROA would have progressed to 1.2 3, which is like 10 - 12 basis point increase. If you can talk about the likely progression from here on , that would be really helpful.
V. Vaidyanathan : First of all, I hope you and all members listening today will recall that we have guided for double digit R OE 4th quarter. And already is 10 % and many people I think pretty much roasted us

saying, you guys are not going to do it very hard and all that. But listen, I'm happy to report all of you, it's not 10 , it's 12. So , we're happy about that. Now, guidance , Yes, we have already guided for, y ou know, a couple of times ago I alluded that we will meet our R OE targets, not only targets actually coming naturally, we're not even having to force things. So, we said, if you remember the guidance we gave that at the time of merger that we will touch 13% to 15% R OE by FY25 . I'm happy to say that we will touch the upper end of the guidance .
Jai Mundhra: By 25, right?
V. Vaidyanathan : Yes. And i t won't stop there also, that's how the economics for the Bank are. But we are talking about exit quarter because e very quarter it will keep moving in that direction, Yes.
Jai Mundhra: And then, Sir, maybe from next quarter if you can redo the guidance slide, because you have already achieved quite a number of parameters in the guidance slide that we had given at the time of the merger . You are already ahead on asset quality and some of the other parameters. Maybe you can put out a new slide for the next maybe 2 -3 years based on current numbers that we are delivering.
V. Vaidyanathan : Okay, we will think about it. Let's just get close , you know, we have to meet every one of th e guidance and that's when we'll feel more happy. So , let's get close to it. 2025 is still a year away.
Jai Mundhra: And lastly , if you have the number for slippages in this quarter and may be for the full year, the gross slippages and the recovery write off and upgrades .
V. Vaidyanathan : I don't have it offhand , but maybe we will put it out , it is there somewhere in the presentation . But see, end of the day, it is what does it

translate to credit loss? Because you may have slipp ages in the collection, if there are some natures of portfolios , you have some portfolios which have maybe 1.5% slippage but have lesser collections from the bucket. Some portfolio s have 2.5% slippage, but the collection from that bucket is more . So, net-net it all comes back to what is your credit loss. That's it. An d as long as you meet guidance of 1.5 % credit cost and the met for the last year, I think we should be okay , but we'll share the numbers .
Moderator: Thank you. The next question is from the line of Sonal Min has from Prescient C apital. Please go ahead.
Sona l Minhas: Great set of numbers. I have been an investor for last I guess 3 -3 ½ years.
V. Vaidyanathan : Let me interrupt you and say special thanks to you, because if you have stayed with us for 3 years at a stretch, when the numbers were not good , we want to thank you for that.
Sonal Minhas: So, just want to add to that the first charge the gentleman before was talking about, I think that was all that we saw as a promise 3 years back and I think it may be wonderful to see numbers slowly and gradually inching towards what targets and benchmarks that you have put for yourself. So, appreciate it again. I have two questions . First one, is around the infra book

basically which is being run down slowly and gradua lly. I think we're retiring close to Rs. 12,000 crores of that as of FY24 end. So, what will it be most likely be refinanced by ? Will it be CASA ? Will it be CASA TD ? Just want to get to understand like what 's the spread we're talking about here that we are basically saving.
V. Vaidyanathan : Think of it , then we replace it with deposits. It could be assuming for a minute that we keep our CASA in the zone of the same 45 -ish to 50 -ish. And we'll replace it with deposits. Our mind is sorted on this issue.
Sonal Minhas: And the re'll be enough liquidity of that order in C ASA TD to replace this because there's a large amount , that's what I just want ed to clarify.
V. Vaidyanathan : We'll raise it. We'll do it. No problem.
Sonal Minhas: Second question, just if you could throw some more light on your credit card business , we are close to 15 lakh to 16 lakh odd cards. What card number or what matrix does it basically the business become breakeven ? And secondly like probably a little bit more about the competition you see in that business because there are s ome tech players coming, and I think some other larger banks are also doing well. So, aspirationally what is your space in that market and profitability wise, how far are you basically in terms of card count, the kind of target audience you're approaching? So, just want to get a sense of that part of it.
V. Vaidyanathan : On an earlier occasion, I think someone else had also asked this question. Not today, but one of our earlier calls and at that time we had said like 2 million kind of cards I thought we'll kind of breakeven. The thing is that now maybe a better way when we reflect on it internally, we think the issue is not whether it is 2 million or 3 million, the issue is that had particular kind of book size where the economics start playing in our favor. So, our current estimates are very much what we had guided earlier . We had earlier also said that I think twice in two conference calls earlier we have said that FY25 we will breakeven . And we are saying breakeven, but frankly,

our own internal estimates that we will be profitable by that time . So, think of it in terms of timelines more than in terms of number of cards. Does that answer your profitability question ?

Sonal Minhas: Broadly , yes.

V. Vaidyanathan : Take 25 and you can hold us to it. I think we'll get there. And that is actually one of the items that will help us on our overall economics , ROE, what we are guiding for this 1

5% exit , all that will come from th ere. That will be one of the criteria , one of the input variables.

Now your second question, how we are doing as compared to the others. As you know, there are really good players, you know all the good names HD FC, ICICI are all wonderful , people are doing wonderful jobs on t his front. And of course, even the other players we talked about . Now, somehow like I said, we have a really good pos itioning of o ur own . Of our own meaning tha t our brand enjoys a certain respect. People call for our card. We don't have any DSAs , but peop le are requesting the card s and we are issuing to them. Our spends are pretty good. I don't have the

number of fhand. But our spends are really very good and we offer pretty attractive reward propositions. We make it evergreen, so we don't have to hurry customers to spend it. We are giving customers even the reward redemption option through online propositions. So , there are some really good things. So, people who experience that card , they get to see it. So, if you don't have one , please have one also. I'll be happy.

Sonal Minhas: I'll definitely do so .

V. Vaidyanathan : I hope you're not being polite about this. If you are , seriously, you tell us , you can speak to someone .

Sudhanshu Jain : Sonal, just two data points , on spend s, we are almost reaching a spend of about Rs. 1,800 -2,000 crores per month. In fact, it has grown by 90% on a Y-o-Y basis. To the earlier question on liabilities, even this last one year we successfully sort of paid about Rs. 7,500 crores of legacy liabilities. This year we have about Rs. 5,000 crores odd. We feel we will be comfortably able to meet it.

Sonal Minhas: Just want ed a follow on, Sir, if I can on the cards. Like what share of it would be people who are rolling over. If 100 cards are enforced and what would be transactors who basically on time, just trying to like get a product sense of it.

V. Vaidyanathan : I think it's like 24 -ish, 25-ish percent are the revolvers . To the best of our knowledge many other people in the industry have like maybe 30 %-35% odd. So, let me say we are a little less than the market . But I see it as an opportunity to improve.

Sudhanshu Jain : And just to add, in addition, there are people who also opt for EMI conversion. So, I'm saying we generally see revolvers and these EMI put together . That number would be slightly more than 50 % for us.

V. Vaidyan athan : Yes, that's a combined number. So, people also use the card and they take EMI s, they convert their spends basically . That's not called revolver s. The y are people who convert it to EMI. So, we do that also. But these things always catch -up build over time and again it is only 2 years since this, 2021 or 2 ½ years. So, we have a lot of scope.

Sonal Minhas: I agree. I think there is enough headroom and it's a high -cost business and I think your te ch stack is a little better than a lot of people i n the m arket have been observing. So, I think that's the additional advantage you all as a company have . Maybe it's a newer tech stack that's why, I guess .

V. Vaidyanathan : I don't know, but there are many good players. B ut the thing is that, like I said , we are new so our performance may be a bit under par today in terms of revolver and all that, but really, I'm not telling you just not like a statement . I am telling you, really, we're treating customers differently. For example, we are not trying to, you know, I'll give you an example. For example, if customers went over a limit and somebody has a limit of Rs. 1 l akh and suppose customer is

at Rs. 90,000, if the customer went over the limit and spent for Rs. 1,02,000, banks make a lot of fee s out of that , oh, you went over , pay me Rs. 500 or Rs. 400, whatever. We are texting c

ustomers in that example to say, okay man, you reach 80,000, I'm texting, you don't spend any more , if you spend it really you'll go over the limit .

Sonal Minhas: A lot of advantages there for making money.

V. Vaidyanathan : But we don't use , at least we try not to use that advantage. We're actually reaching customers and trying to keep the customer interest in mind and try to say that listen, of course, if the customer ch ooses beyond our reminders to go and spend it over the limit and pay us fees , well,

thank you. But we are doing our bit to really run this Bank in a way where it's truly customer friendly . So, these s mall, small things, many things like this we do.
Moderator: Thank you. Due to time constraints, this was the last question for today. I now had the conference over to management for closing remarks.
Sudhanshu Jain : Thank you everyone. I know it's late in the day but thank you for a patient hearing and th ank you for the valuable questions which sort of came across .
V. Vaidyanathan : And also thank you for the last 3 years for being with us. I mean, you know, this is FY23. So, you've been with us since 4 years now . I think many of you may have felt that everything is fine, but damn the result is not showing. R OE is not showing , ROA is not showing , cost to income . Just watch the next, I feel that it's just a setup stage. It was like that because we had to set up the Bank . There’s no way of doing it. At least we didn't know. But from now on, we believe that the numbers will show, and you will get more confidence if you see us for 3-4 more quarters. Thank you everybody again. Bye.
Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4 564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD /99/202 3-24 August 4, 202 3

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the period ended June 30, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended June 30, 2023 conducted aft er the meeting of Board of Directors held on July 29, 2023, for your information and records.
The above information is also available on the Bank's website a t the following link:

https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/announcements/Concall -Transcript -of-IDFC -FIRST -Bank -Q1-FY24 -Results.pdf

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
Head – Legal & Company Secretary

"IDFC First Bank Limited
Q1 FY '24 Results Conference Call "
July 29 , 202 3

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – IDFC FIRST BANK LIMITED
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER AND HEAD CORPORATE CENTER – IDFC FIRST BANK LIMITED
MR. SAPTARSHI BAPARI – HEAD INVESTOR RELATIONS – IDFC FIRST BANK LIMITED

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to IDFC FIRST Bank Q1 FY '24 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chintan Shah from ICICI Securities. Thank you, and over to you, sir.

Chintan Shah: Thank you. Good evening, everyone, and welcome to the Q1 FY '24 Results Conference Call for IDFC FIRST Bank. We have with us from the management, Mr. V. Vaidyanathan, Managing Director and CEO, IDFC FIRST Bank, along with the management team.

So without further delay, I would now like to hand over the floor to the management. Thank you, and over to you, sir.

V Vaidyanathan: Hello. Good evening, everybody. This is Vaidyanathan.

Sudhanshu Jain: Good evening, everyone. I'm Sudhanshu Jain .

Saptarshi Bapari: Hi, everyone. This is Saptarshi Bapari .

V Vaidyanathan: So, first of all, thank you very much everybody for joining us for this evening call. We are all very happy to speak to you. We are quite happy as we are presenting this quarter's results because this is now establishing the steady direction we have set for ourselves and almost all the numbers we have that in the last few quarters, they seem to be just c ontinuing on a linear curve in terms of the loan book, in terms of earnings, in terms of profitability. So I'd say that it's pretty much on track, and I'd imagine no major surprises, but I'd like to step back and actually share with you what are the key th ings that is we feel the top line comment that come to our mind of the curve. One is that when we look at our Bank, oftentimes, we tend to think of it that we have a loan book that is now coming across linearly and so as the deposits. But actually , when we look at the Bank, it's a lot more than just a loan book . We have brought out in the presentation what are the various lines of business we do. So apart from the lines of businesses we've mentioned, we have now beginning to have a very strong presence in the NRI banking, wealth management, credit card business, within which we got Private Card, Millennia Card, a number of various versions of that. We got this FASTag. We are now gaining traction in trade finance, in transaction banking, cash man agement, treasury, supply chain solution, corporate lending, the whole thing. So, let me just say the first point, therefore, I'd say is that the Bank is becoming more and more universal bank and the lines of revenue are pretty much getting much more diversified compared to, let me say, being only a lending business where fee income normally becomes disbursement income or maybe the annuity we get from customers as they start transacting with us with a much wider range, on a Bank platform, we're able to, of course, deliver to th e customers a much wider sort of services and the consequence, of course, start getting the revenue lines across. The

second thing to note for the Bank, of course, is that on the lines of businesses within lending, it's now really very diversified.

Close to about 24% of the loan book of the Bank is backed by mortgages, which is home loans and loan against property. We got business banking product, which is basically working capital to small businesses, that is again backed by property or mortgages. We got Kisan Credit Card, it's about 1% of our book, book meaning the whole book, not retail, the whole Bank -level book. So we got that. We got business banking, it's about 3% of the book.

If you add all of them up, close to about

28% of the book is now backed by mortgages. Then we got Wheels, which is about 10% of the book. Commercial vehicle and construction equipment financing is 2%, consumer loans is 13%, education loan is 1%, credit card is 2%, other ret ail loans is 7%, gold loans is, just what started, I guess, less than 1% now. Then rural finance is 11%, SME is 5%, large corporate is 1%, emerging corporate is 7%, financial institu tions like lending to NBFCs is about 8%. So you get the drift.

And now, infra, of course, is now 2%. So the second point, I'd like to leave behind with you is that the Bank's advances have become really very diversified. So we also feel very much at peace that no one business can really -- the movement or odd behavior in any one business does not

really significantly alter the credit performance of the Bank on an overall basis.
The third thing that I want to flag to you is the way the deposits are growing. Now frankly, it's a good nice credit environment and I think most banks are now posting really good results. If you see all of the results that came out, I think they're all growing well and NII is growing well for most banks. So it's income and so profits, etcetera, I'd say.
But I think what is really standing up for our Bank is the way deposits are growing. This is very important actually because our Bank as compared to many other organizations, we have to also pay off legacy liabilities of the infrastructure era that we inherited in the Bank and which helped us in our days, but as of today, there are other high costs.
So most banks I'd imagine will need deposits for growing the loan book and for getting the corresponding SLR, CRR. But in our case, we need that plus we need the need to pay off those deposits. So the good thing is that deposits are growing. To give you an idea, our total customer deposits have grown from Rs. 38,455 crores as on 31st of December 2018, that's at the time of merger. Today, it is Rs. 1,48,000 crores, that's a growth of Rs. 1,10,000 crores in 4 years.
So this is something tha t is like really stunning for our Bank the way the deposits are coming, it's coming really very strong. But this also does not tell you the full story because you might argue it's Rs. 1,48,000 crores, and it looks good on the face of it. It's a CAGR of 36%. But what is more important actually is the composition of this, because the composition of the original Rs. 38,000 crores we talked about, 73% of that was wholesale d eposits and 27% was retail. Today on a Rs. 1,48,000 crores of deposits, 77% is retail on much larger base and only 23% is wholesale. So you see that's what's happened here that not only the deposit base has grown, it's just diversified very much at ret ail, which is really a very, very positive thing. The last thing, again, talking of deposits is that CASA deposits are now touching Rs. 71,000 crores. Now, again,

this is very good for a reason. If you recollect, when the merger had just happened, we had a large deposit base, I think something like Rs. 28,000 crores or so or a bit more than that of legacy high-cost depo sits, where we're paying 9%. So for us 7% look very inexpensive. So we started paying 7% on savings rates at that point of time to raise the money. But what we did was along the way, somewhere in 2021, we dropped that rate from 7% to 4% for deposits up to Rs. 10 lakhs.
Now that is a big drop. I hope everyone will agree, like it's not like 25 basis points, 50 basis points, it's like 300 basis points straight from 7% to 4%. But when we did that, the surprise is that deposits still rise. I'd ask Sudhanshu to help me with the numbers on this, but if I'm not mistaken, something like about 44% or 45% of the growth in retail deposits is still going on. And on the CASA front, our deposits have grown by Y -o-Y of 27%.
Sudhanshu Jain: That's correct.
V Va idyanathan: So, 27%

growth in Y -o-Y CASA deposits in this environment when money shifting over to TDs, and that too after we dropped our primary bucket, because 1 to 10 lakhs is a primary bucket, almost most money will be here. And after that, it dr opped to 4% is something that is really quite -- I don't know what to say, it's looking so good. So our deposits are coming really very well.
Now the next thing is about what's happening to our asset quality.
In terms of asset quality the Retail, Rural and SME financing, that is Rs. 1,36,000 crores. Now which is the larger part of the book, has a gross NPA of only 1.53% now. Our net NPA in the segment is only 0.52%. Now our infrastructure financing is still, of course, NPA is quite high, it's 23.27%, but the good news is that the book itself has come down to only Rs. 3,571 crores. So all in all, the Bank level NPA has come down to 2.1 7% including infra. So if you strip out infra, which is just the legacy book will go away, it's only a matter of time. Even today, our gross NPA has come down to only 1.71%, and our net NPA has come down to 0 .44%, again excluding infra.
So when you think of our Bank, I know all of you look at the headline number of the Bank -level NPA, which everybody does, 2.17%, you should because there is a fact. But for a moment, you should strip of infra and see the numbers at 1.7 1% and 0.44%, and this will give you a lot of comfort. And frankly, at the Board level in the Bank, it gives us also a lot of comfort because we know that there is not much to bother about from here on. The next thing is, of course, i s the way our SMA is there.
Our SMA numbers are really quite good now. Our SME and the Retail front is only 0.85%. So to calibrate that NPA is low is one thing which it is, but to know that the pipeline leading to NPA, that is SMA, which is SMA -1 plus SMA -2, which is 31 to 60 bucket and 61 to 90 bucket, that is only 0.85% means that the feeder, that feeds into NPA is really so low.
So, therefore, we look forward with great confidence about asset quality in the coming quarters also. If I want to step one step back and see what is leading to such a low SMA, then it is actually

collection percentages. So in collection percentages, we trac k what is the collection we get in our primary bucket, our industry term uses a few terms that I don't want to confuse you, but the

term that we use is 0, that is the current bucket we track for collection efficiency because after all, it's t he current bucket that leads to 0 to 30 and 0 to 30 lead to 31 to 60, and 31 to 60 lead to 61 to 90, and so on.

Let me talk the current bucket. So in the current bucket, our collection efficiency is 99.5%, and this 99.5%, sometimes people say, Oh my God, i t's a benign environment, so you must be so good. But no, if you go back in this investor presentation, we've actually given that field for 24 months in a stretch. And every time, it is like in that zone of 99.4%, 99.5%, 99.6% . So it is very, very, very stable, rock stable.

Now what is even more interesting about this is that you might have noticed that some lenders report the collection percentage is 107%, 105% and all that. We never cross 100%. Why? Because in our calculation , we take only EMI collectible this month, and we compare that against what is the EMI collected this month, just EMI to EMI this month. So we don't take any arrears in this calculation, and we also never take any prepayments in this calculation because th at takes the numbers all wonky because the numbers can go above 100%, below 100%, and all that. So when we exclude arrears & prepayments, our collection continues at 99.5%.

So that is what is feeding to in SMA and then SMA feeds to NPAs and you know how the rest of the tricks works. So overall, all in all, we feel that our deposits are coming strong, our SMA is low, and NPA is low, et cetera . We're l

ooki ng forward to a good few quarters coming up. In fact, we are feeling more confident for the next quarter and even more confident for the next quarter after that. But almost, I wish we had a time machine, we can jump a couple of quarte rs and report numbers to you.

At least from our end, it's looking that good. So if you have any concerns or anything, please feel free to share with us because we are giving our point of view because that's what we are seeing from within, and sometimes we don't want to get lost in our vo ice. So we do request you to be open with us and tell us if you have any concerns. I understand we don't have a vintage of, let me say established players of, let me say the big 4 banks, who all have 20 years, 25 years, 30 years. So you may have a lot m ore to track for them and feel more comfortable with them, I can understand that. But we are seeing our numbers, we're feeling pretty good from within, but you feel free to really ask us any questions which you feel is important to ask at this stage, so th at you can comfort, get the right track, the quite comfort.

Sudhanshu Jain: Thanks, Vaidya. I'll just again touch upon a few key numbers, while Vaidya has covered few of them. So some repetition may be there, but let me just call out the key numbers from my perspective.

Sudhanshu Jain: To start with, I will say the overall balance sheet of the Bank grew by 24% on a Y -o-Y basis to reach Rs. 2.49 lakh crores. On the lending side, we see a strong growth as well as on the deposit front, as Vaidya mentioned. Customer deposits grew by 44% on a Y -o-Y basis. In fact, the growth in retail deposits was higher at 51% on a Y -o-Y basis. CASA deposits for us grew at 27% on a Y -o-Y basis. Even sequentially, the growth was 3%, if we adjust for outflow in Q1, which happened from one large corporat e government banking account, which we had called

out in Q4 '23. Average CASA ratio stood at 46% for Q1 '24. Average current account deposits increased by 38% during the year, while average CASA increased by 30% on a Y -o-Y basis. Term deposits, of course, we saw faster growth due to overall increase in the interest rates in the system. I would say the growth even in term deposits were largely driven by retail. CASA and term deposits less than Rs. 5 crores was 81% of customer deposits, which points to g ranularity of deposits. Retail deposits stood at 77% of the total customer deposits, which used to be as low as 27% at merger as Vaidya touched upon.

We opened 15 branches during the current quarter, thereby taking the branch count to 824 branches. The high -cost legacy borrowings which would run down in next 2 years to 3 years has come down to Rs. 16,000-odd crores. About Rs. 3,005 crores is sc heduled for rundown in balance of this year itself. We have given more details around this in the presentation on Slide 27.

Moving onto the funded assets. It grew by 25% on a Y -o-Y basis to reach Rs. 1.7 lakh crores. I'll then split this into 4 segments, one is Retail for personal consumption, second is Rural financing, third is SME and Corporate financing for business purpose, and lastly, the Infrastructure segment, which is a ru ndown book. The Retail book, which comprises of mortgages, consumer loans, credit cards and Wheels grew by 27% on a Y -o-Y basis and 6.8% sequentially.

We have seen strong growth across all categories, like home loans grew by 31% on a Y -o-Y basis, Wh eels segment, which includes 2 -wheelers and cars grew by 45% on account of increased distribution. Consumer loans comprising of consumer durable, personal loans and cross -sell grew by 15% Y -o-Y. Credit card book grew by 68% on a smaller base. The Bank has now issued more than 1.7 million cards since the launch in January '21. Gross spends on credit card increased by 72% on a Y -o-Y basis.

Moving onto the Rural financing book, which primarily

helps in meeting the PSL requirements
of the Bank that grew by 46% on a yearly basis. Funding to SME for business purposes and corporate segment increased by 23% on a Y -o-Y basis. Infrastructure book, which is the last portion, which degrew by 44% Y -o-Y and is now nearly 2.2% of the total funded assets. We have given more details in Slide 46 of the presentation.

Moving onto the asset quality. Gross NPA of the Bank further improved by 33 bps to 2.17% and net NPA improved by another 15 bps to 0.70% during the quarter. PCR gross of technical write - offs stood at 83% at the end of June quarter. Even in the Retail, Rural and the SME segment, GNPA improved sequentially by 12 basis points and net NPA is down to just now 0.52%. The corporate non -infra book continues to be well provided with a PCR of 99.4%. Gross slippages were lower by 1% and net slippages were lower by 30% on Y -o-Y in absolute basis.

Net slippages were lower by 19% even compared to the previous quarter. The overall standard restructured book as a percentage of total funded assets has further reduced to 0.47% as compared to 0.59% last quarter. The Bank holds a provision cover of 25% on this book. Also to note, more than 85% of this book is secured in natur e. Vaidya touched upon the SMA book

position in the retail segment, I would add that even on the corporate book, the ratio of SMA -1 and SMA -2 is around 0.2%.

Moving on to profitability. Profit after tax for Q1 increased to Rs. 765 crores versus Rs. 474 crores in Q1 FY '23. Adjusted for one -time items, which we had called out in Q4, PAT increased sequentially from Rs. 701 crores to Rs. 765 crores. This was largely driven by strong growth in the core operating inc ome. Core operating profit which is NII plus fees, excluding trading gains and opex grew by 45% Y -o-Y to Rs. 1,427 crores.

On a quarterly annualized basis, the ROA stood at 1.26% and the ROE stood at 11.78% for Q1 '24. ROE was impacted by about 60 basis points during the quarter as compared to Q4 '23 on account of capital infusion which happened in the last week of March '23. NIM on an AUM basis moderated by 8 bps to 6.33% for Q1 '24. The credit cost on an annualized basis as a percentage of average funded assets was at 1.16% for Q1, which is well below than earlier guidance of 1.5%.

Moving on to the last section in my opening remarks, the Bank has maintained strong capital adequac y and CA R was at 16.96% at June with a CET ratio at 13.7 0%. During the quarter, we raised Tier 2 of Rs. 1,500 crores. The Bank has maintained an average LCR of 125%. We would like to maintain the same broadly around these levels. Our long -term credit r ating was upgraded by 2 rating agencies during the quarter. So that was also a positive development for the Bank.

With this, I conclude my opening remarks. And we can move on to the Q&A. Thank you.

V Vaidyanathan: So, thank you, friends. I must make one sm all confession to you. I just dosed off in the last maybe a hour or so just before the con call. So just I woke up and suddenly Sudhanshu said con call is starting. So I just hope that whatever we made in our opening remarks, I mean Sudhanshu was well prepared, but my opening remarks were at least in context. And in case, there were any gaps in my opening remarks, please excuse, and you can fill them up in the course of the conversation. So I'm completely up and running as we speak now.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Yes. Congratulations on a great set of numbers. So, sir, like I have 2 quest ions. Firstly on the branches side. So, like we have added about like 15 branches during this quarter. And now on the competitor side, like we are seeing some large private banks becoming aggressive and adding newer b

ranches. So how ar e we looking in terms of adding newer branches over the next 2 years to 3 years?

V Vaidyanathan: We'll keep adding as required. Maybe 150 in that zone.

Lalit Deo: So like 150 on an annual basis like or like over the next...
V Vaidyanathan: Annual, annual, maybe. We keep ourselves fluid on this front. Basically, we keep planning our liability requirements. So we know that we need to grow. We are planning at least to grow the balance sheet by 25 -odd percent. So 25 -odd percent meaning that we need Rs. 40,000 crores on

Rs. 1,60,000 crores. If we need Rs. 40,000 crores, actually, Rs. 50,000 crores of deposits. So , we will put as many branches required to roughly take us in that zone. So could be 150, could be 200. We keep ourselves in that window. We're not putting out any specific number, like we don't put a specific target on this because we just plan it to the requirements, rather be implement our requirements.
Lalit Deo: Sure, sir. And sir, second question will be on the deposit side. So currently, like what would be our average cost of saving account deposits as of now ? And like we have recently increased our peak saving rates to 7% in that Rs. 10 lakh to Rs. 50 crores category right now. So like, do we foresee any other further increase in terms of peak rates?
V Vaidyanathan: No, we don't intend to. If you notice the biggest difference between this and what we did earlier is that up to Rs.10 lakhs, we pay only 4%. So really whether we pay 6.5% or 7%, makes no difference to that bucket.
Lalit Deo: And sir, like what would be our average cost of our saving account deposits as of now?
Sudhanshu Jain: Average cost of saving deposits is about 5.6%.
Moderator: Our next question is from the line of Rahul Jha from Bay Capital.
Rahul Jha : Yes. Great set of numbers, congratulations. So, my question was on the regards of 2 things. One, the profitability has consistently improved over the last, say, 6 quarters. So , what levers are you tryin g to pull to get to the next stage, like more philosophical and strategic question? Second on this thing, like earlier on the credit cards, I think the Bank was only offering it to existing customers. But now that you have launched a few co -branded and oth ers. So what is the strategy? Are you open to outside of new to bank and other kinds of customers as well?
V Vaidyanathan: So we'll take the first things first here, profitability, what levers are we pulling? See, frankly, ours is a pretty steady machine. We always maintain that our retail assets, return on equity is running upward of 20% on stock, not on the incremental . When we see our earnings minus cost of funds, that kind of stuff. So that's getting 20% return on equity. So as this machine tree keeps growing, the ROE of the Bank will keep going up now, and this would hopefully stay there for a while. The second thing is that there are many other levers, right at the beginning, I pointed out to you that no w the Bank is operating on many new lines of business, which are not normally visible to the market.
For example, if you take cash management system, it's not visible to you. If you give a home loan or a car loan, you can see it in the market. Cash management is coming up, that's throwing up nice income. Our FASTag is throwing up nice income. Our wealth management business with some select few of you may be experiencing, but that's quite profitab le. So all of these things are one after the other beginning to give income actually to us. FX Solutions, for example, trade and FX is a big revenue earner. We plan to expand revenue on that front quite significantly , as part of the India's external tra de both imports and exports that solution.
Our services in the branches about the turnarounds we give for people who want to import or export, et cetera . I'd say it's okay, it's good, but not th

e best in the market in terms of turnaround.

For example, there are things, exporters get their money converted sometimes in our Bank in 24 hours, maybe in some banks, they even get it converted in maybe 2 hours. So when we fix that issue and we are working on that, then that can be a big revenue generator for the Bank. So, there are many, many lines of business that is going to fire for the Bank.
Rahul Jha : On the second one, please?
V Vaidyanathan: Seco nd one is very simple to answer, because in the credit card business because what we launched initially was Vanilla -Vanilla product, which has been quite successful for the Bank, because product features were good. But the core Vanilla feature alone does n ot meet all needs of a customer. For example, if we give a customer a good APR and zero annual fee and give a good product, it's good but there are many customers who have needs which are related to travel.
Rahul Jha : Right.
V Vaid yanathan: So for them, a co -brand partner brings much more value or brings value to the card, just like we can. And then the power of the card doubles, like for example, the Vistara card we launched

recently. So it's already a big success. I can't say big success in terms of stock, but incremental flow demand is quite strong. So these are specific needs customers have in the market and we will just open, many more of those co -brands are open in the market for that.

Rahul Jha : Okay. So would you be open to g ive customers say more than one card if they already have a card because now that you have co -brand and other portfolios?

V Vaidyanathan: Yes. Well, it depends on the limit we are comfortable on a customer level.

Moderator: Our next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Yes. Congrats on a good set of numbers.

V Vaidyanathan: Thank you, Nitin

Nitin Aggarwal: Sir, couple of questions. One is on the fee income, if I look at the fee income growth has been running very strong and the fee as a percentage of total assets also this number is moving up and has now come up to almost 2.4%. So what is really driving this? And I'm curious to know because like a couple of quarters back, Bank launched zero banking wherein you wai ved out fee for almost 25 banking services. So , somehow seems to be no impact of that. So how much like fee loss have we experienced because of that waiver?

V Vaidyanathan: No, in many of the things we were not charging earlier also, i t didn't make a big delta difference to the Bank. Of course, we've waived off on quite a few charges. We felt that the fee structure in the Indian system, even for us to the extent that we were charging were very complicated actually. And the more we poure d on it, we felt the need to abolish it and that's why we took it off. But that is not the key driver. We still have other lines of businesses. Sudhanshu, can you explain , which line is giving how much income?

Sudhanshu Jain: Yes. Nitin, we have giv en details on Slide 50. If you see, it's a very diversified pool. In fact, the loan origination fees is coming down on a quarter -on-quarter basis in terms of the proportion,

that is now about 30%, whereas the other, I would say, non -capital -consuming busin esses are also started generating fees, right, like the toll business that is giving fees where we have a good market share. Credit card, we know is a good fee enabler, right, that also book is increasing. So between credit card and toll alone, the composi tion is about 17%. Again, as we're increasing customers, we are getting more revenues on the trade front, on the FX front and so on. Then third -party distribution, distribution of other products like mutual funds, SIPs, and all that has been increasing. So it's a very diversified pool, right? In fact, if yo

u see that the distribution from third -party and wealth management pr oducts, that fee has increased by 87% on a Y -o-Y basis, right? So it's a well diversified pool. And, of course, we have already reached to about 2.3%, 2.4%. We feel that we will be able to maintain a strong momentum even into the future quarters on these f ronts.

Nitin Aggarwal: Right. –So, how should we really model this in terms of growth going ahead, because the current growth is like 2x the balance sheet growth. So will this continue to grow at the current run rate or closer to the balance sheet growth.

V Vaidyanathan: We will have to probably pull through our own internal projections to be able to answer that. But directionally, let me say that now the Bank has so many lines of business we launched, last 2 years or 3 years, all the lines we called out, credit card, wealth management, trade, client, FX, all the stuff whatever Sudhanshu pointed out, toll. So all of these are fee businesses. So we feel that there is strong growth. Let me just say that if you want to model it, we can say that if balance sheet grows by 25, fee will outstrip it by a margin, let me say that.

Nitin Aggarwal: Okay. Sure. And sir, the other question is on margins. Where are we on the cost of deposits repricing, where is it likely to peak? And therefore, what is the outlook for margins going forward?

V Vaidyanathan: We feel it's already peaked. We're not seeing any more increase and at least we are not finding a need to increase. For example, what we pay to 0 to 10, we have to pay 4%. We feel just no need to touch it because even at these rates as I mentioned earlier to you the numbers, the way they're coming in very, very strong. So we don't feel the need to increase it from here. And anyway, it looks like also the Indian system is tapering off. So margins should be stable from here.

Nitin Aggarwal: Okay. Sure. And...

Sudhanshu Jain: Sorry, just to add, since the cost of TD comes with a lag, and I would say, a good portion already came into this quarter, there may be some more increase which we could see, right? But as Vaidya mentioned, NIM should be broadly stable.

V Vaidyanathan: Increasing the cost of funds slightly.

Sudhanshu Jain: Yes. But again I'm saying there is a book, which is also linked to MCLR, that also happens , with sort of frequency. So some of these would get offset, but I see NIM to be broadly stable as Vaidya mentioned.

V Vaidyanathan: So, give or take, 10 bps, Nitin. So things should not be very different. If you go and do your modeling, feel comfortable to focus approximately where we are today. And also feel comfortable to take our credit cost, pretty low around the lines what we already said, because we hardly have any SMA. So we don't expect any increase in NPA also. So pretty st raight -line stuff, just do it in a spreadsheet, you'll get the results for the next quarter or maybe the next year.
Moderator: Our next question is from the line of Pritesh Bumb from DAM Capital.
Pritesh Bumb : So, two questions. Basically, some months back, there was an article on regulator may increase risk-weight assets on retail, especially the unsecured side. So we having a well -managed retail unsecured book as well, so what do you see impact on our book? And if anything comes, how do you mitigate that in terms of strategy?
V Vaidyanathan: Well, our sense is that no such deal or proposal is in the table or something like that, but your guess could be as good as mine. But our sense is that even any such thing comes in the wisdom of the regulator, then it must be good for the system, and that may be proactive, so that's okay.
So, we are running quite strong on capital adequacy at this point of time.
So our fundamental business model is generating such high collection percentages of 99.5%, giving us such l ow SMA, giving us a slow NPA.

So our fundable strategy should not change.
And if there is a slight risk -weight impact and if it has to be passed on to the customer, it may be passed on also, who knows, or if you could absorb it, we'll absorb it, we will ta ke by the year.
See, we have pretty strong margin. So these small movements of 10 basis points, 20 basis points here or there are not really disturbing us whether in cost of funds or any of these line items.
Pritesh Bumb : Got it. Sir, second question was generally what we have seen in the large bank side, whatever disclosures have come in, the lower end of the staff or the employees have a big churn, for a bank which is growing well strongly, how are you managing that? And what are our churning percentages or if you can give some light on that?
V Vaidyanathan: Yes. We've seen the numbers that have come from others. And we broadly feel that in the industry, like in the industry across the system, the lower -end people who are just joining the Bank, doing sales roles, e tcetera, their attrition were relatively higher, as compared to the environment lesser, and as you go up, things are even lesser. We've seen our numbers. Our numbers are slightly lesser than what has been reported in the press for few other banks.
But you could call us somewhere in that zone, but maybe the lower end of that. But particularly what we see is that this year, Q1, it's better than what it was in all of last year and last year was better than what it was the prior year in a trend line sense. Numbers are getting better when we come out with the Annual Report, we will put some of these numbers up there.
Pritesh Bumb : Great, sir.
V Vaidyanathan: In short, this trend line is getting better, it's getting better and we are slightly better than the system numbers you're seeing in the press.
Moderator: Our next question is from the line of Ishan Agarwal from Erevna Capital.

Ishan Agarwal : First of all, congratulations to the manag ement again for delivering a good set of numbers.
V Vaidyanathan: Thanks so much, Ishan.
Sudhanshu Jain: Thanks, Ishan.
Ishan Agarwal : So, my first question is regarding our cost structure. I'm unable to get my head around it. As on date if we see, we have close to 825 branches with assets worth Rs. 1,71,000 crores, and say if I have to name a large private sector bank, say Kotak, they h ave around 1,800 branches and Rs. 3,60,000 crores on advances. Our opex excluding employee expense is higher than Kotak, it's much higher than Kotak this quarter. So why do we have such a high cost structure? What are the components whic h lead to such a high cost even at half the number of branches?
V Vaidyanathan: See, you tend to think that branches are costs. Let me just tell you that, it is just one part of the cost. The main cost is driven by fundamentally the line of businesses you're in, you take a bank, which is probably doing home loans, yes. And Ishan, right, whom I speaking to right now?
Ishan Agarwal : Yes. Yes. Yes. Yes.
V Vaidyanathan: So, Ishan, you take a bank, which has probably done only home loans, o nly car loans, obviously, the opex will be much lesser for that business. But if you take a bank, which is doing probably more of a lines of businesses that we do, let's say durable financing or 2 -wheelers or used cars or micro enterprise loans, so these a re relatively higher -cost businesses. So we do have home loans. Of course, like you pointed out, we have about a Rs. 20,000 crores home loan book and

we have a Rs. 20,000 crores loan against property book.
But let me say in a proportion sense, let me say the ex -home loan business for our Bank is a little bit higher. So that itself is fundamentally how it's all. So that's why our yield is much higher, our opex is higher. So really you can't pick only the opex number and say that, Oh my God, your opex is higher. What abo

ut income? Why don't you compare our income with other banks and say...
Ishan Agarwal : No, I'm just saying that when I compare it with the total asset book as well as the number of branches, and you're currently saying that the number of branches cannot be compared but even on an advances front...
V Vaidyanathan: That's why I'm saying, Ishan. Just hear me out. So the point I want to tell you is that composition is different. So let's take 3 cost structures separately. Okay. So that'll help you and everybody listening to understand this better. Let's take the asset lines. So asset lines, like I said, somebody running our business lines have more rural, for ex ample, rural are more expensive. So our income line is more, opex is more. Other banks may have lesser income, lesser opex . In the end, we will deliver a certain ROE, they will deliver a certain ROE. Our belief is that our ROE is already running 20% plus, okay, on the lending side. So, therefore, as I said, so our combination is higher income and higher opex, put it like that.
Now let's move to liabilities. On the liability side, of course, we are setting up all the branches because you should know that we are a new Bank, and we are having to set up a number of all

this infrastructure in a rapid pace. In the last 3 years alone, we have put probably close to about 650, 700 branches.
So 600, 750 is not the great, may not be very big number compared with big banks, but considering it comes on the base of 150, it's like a massi ve 4x increase. So that's where that cost structure comes. Number three comes in the other businesses like FASTag or wealth management, et cetera, those are fee -generating businesses. So these are 3 areas that each line of business for us is looking more ex pensive because we are starting off from a zero base and building the Bank, while the other banks may be already built for 20 years, 30 years.
Moderator: May I request the management we move to the next participant?
V Vaidyanathan: No, let the person ask, if he was not satisfied, he can.
Moderator: Sir, the line for the participant has dropped, sir.
V Vaidyanathan: Okay. no problem. So, basically, just to conclude, one is the stage of institution we talked about it. Our stage is new, so no one, no listener, no one should forget that, our stage is new, we're 5 years old, others are 25 years old, 30 years old. The second thing is that even for our Bank, apart from the factors we talked about earlier, there are a number of opex , which you take for granted or rather number of builds which you take for granted in established institution, for a new institution, someone has to pay to build it.
So for example, let us say that you're giving a cash management solutions today, we are building it up, it's our opex today. But someone who built it 15 years ago, for them, the opex is already built, today they're only earning income out of that. So think of anything, if you want to build a mobile app, we are building mobile app today, someone who built it 10 years ago i s just reaping the income out of that today. So a new bank will go through all the setup expenses. I think this can't be avoided because we're building the Bank for the long run. We will take it as part of our, let me say our karma to do it at this stage. Yes.
Moderator: We move to our next question, that is from the line of Sagar Shah from Phillip Capital.
Sagar Shah : So first of all, congratulations for another great quarter. And now I just had some few questions. My first question was on the demand front, especially on all our segments actually. So now almost we are seeing almost the peak of interest rates. Now I wanted to understand the general nature on ground that how actually customer s are actually absorbing these.
Are they being abl e to absorb the hike in rates or are they able to absorb the increased interest

rates and because of that, what is the actually effect of that? Going ahead, will we see some increase or decrease in demand for loans, especially on the retail front this year and next year or you are seeing that customers are being able to easily absorb the interest rate hike? So my first question is that.
Sudhanshu Jain: Yes, Sagar, maybe I'll take in that. Thanks for the question. As we said, we are seeing a very strong demand right across all products, right, of course, in some products, we are also able to

increase our market share. And I would say in terms of customers' ability, the proof of the pudding is the numbers, which we are seeing in our SMA and that kind of a buildup, right? I think rates has not much of an impact in terms of demand, the customer ability to pay and so on, right? So in fact, if you go and check the rate increase which has happened, still I would say, even after the increa se, the rates have reached pre -COVID, right? So I think we are quite comfortable in terms of the growth, which can come in for the Bank, and we don't see this as a concern at all.

V Vaidyanathan: See, it is a very good question, by the way what you asked, saying that, look, interest rates have gone up, how are customers coping with this, right? That's a short question, that's a point.

Sagar Shah : Yes, sir. Okay.

V Vaidyanathan: The thing is that I think when lenders are lending to people, they are keeping a cushion. No one is lending to the customer to the brim . So let me give an example. If suppose a customer has, say, Rs. 1 lakh in the bank as a cash flow, and for the EMI, the bank now reverse calculate saying that, okay, the customer on average keeps Rs. 1 lakh in the bank on the 1st to 7th of the month, let me give the customer a loan, where the EMI is Rs. 50,000.

Now , if you say that interest rates have gone up, and the customers' affordability has come down, but remember there was still already a cushion of Rs. 50,000 in that example, they had a cushion of Rs. 50,000 already. Now even if we had a little bit of a cushion, customers are still honouring . At least we are finding that 99.5% collection we are getting, we are getting, say, 24 months, interest rates are high, interest rates are low.

So I think it's probably because of the cushions lenders are keeping and lending. And also one important thing by the way, Sagar, to also note that lenders are always lending at a point of time after assessing a customer today. But with the growth of GDP, suppose we lend to somebody 2 years ago, so interim GDP growth on a nominal basis by 12% an d the customer's income probably has grown by 12%. So that also adds to the cushion actually. I'm guessing that is the reason, at least that could be the reason why this collection percentage continues to look good.

Sagar Shah : Yes. Certainly, it looks by your numbers, sir. Certainly, I agree that your numbers are quite robust in terms of asset quality. But my concern was related to the recent hike in interest rates, what is the effect on ground, but that's okay, I got your point. Now my second question is related to your loan against property. Your loan against property segment has almost remained flat quarter -on-quarter. So are we facing competition or have we actually stopped disbu rsing in the segment, any reasons for the same?

V Vaidyanathan: Not really. I mean sometimes, I think we also sold out a small part of the book actually. So that also brought down the numbers at this time.

Sagar Shah : Okay, okay. S ure, sir. Now just a bookkeeping question actually related to the slippages number and the write -offs number for this quarter, and another I wanted the floating provisions for this quarter, sir. How much are you holding in your balance sheet?

V Vaidyanathan: No, we don't keep floating provis

ions in all. But we do the normal credit cost is 1.2%. Maybe Sudhanshu can tell you the numbers.

Sudhanshu Jain: Yes. So slippages as I mentioned in the opening remark, though that has co me off, in fact, net slippages is down by 30% on a Y -o-Y basis, even sequentially, it's down by about 20%. And in absolute terms that net slippage number is about Rs. 380 crores for the quarter.

V Vaidyanathan: If you annualize that, that would be not very much, it's quite comfortable.

Sagar Shah : Okay. And what are the write -offs for this quarter? How much have you written off in this quarter?

Sudhanshu Jain: We don't call out that number specifically. But in our Pillar 3 disclosures, you will get that number in due course,

V Vaidyanathan: But more than that, end of the day, just to get the technicalities out of the way, so that you are clear about the provision versus write -off issue. What hits the bank's P&L? Provisions.

Sagar Shah : Provisions.

V Vaidyanathan: That's it. After provisions, you write off at a particular stage, whether some people write off at 360, some people write off at 540, some people write off at whenever. So how much you write off & when you write off is not a material thing, what you provide. So what we are providing is costing us about 1.2% on a credit cost basis.

Sudhanshu Jain: Yes. 1.16% for this quarter.

V Vaidyanathan: 1.16% for the quarter. So you should model that in your math, of course, we guide for 1.5% and all that, but right now, it's coming much lesser than that. So income minus opex minus that amount of provisions that we'll take will be a P&L, whe n we write off is a matter of technicality.

Moderator: Our next question is from the line of Ritika from Ocean Dial.
Ritika : Congrats on the great set of numbers. I have two, three questions. One, I would again request you to maybe share some of your thoughts on the industry growth. It feels obviously, after coming off a low base, but it's been quite some quarters and the growth remains very healthy for the sector. What as per y ou is like the key to the same? And another surprising thing is that it's like across board. It's not just obviously a couple of banks. Just like every banks are showing a superlative number on a quarter -on-quarter basis. So that's one.
Secondly, you've be en consistently showing good numbers in the profitability side. So how should we really see , any guidance on that front as we look forward to? Maybe by the end of FY '24, how do you look the ROA should settle or if you want to give a little more longer could also be fine? And thirdly, you did answer on the LAP bit, but I would still maybe want to still maybe check your thoughts again on the strategy on the mortgage, please, including both home loan and LAP?

V Vaidyanathan: No, thanks. All very good quest ions. So the last one is easy to answer, because see, frankly, this mortgage and home loans will grow forever and ever and ever, there is no end to the growth in this country, and we will keep growing it. So that's easy one. Now with regard to industry gro wth, just what is happening, we feel is that there is a lot of business that is getting opened up in the small and medium enterprises business and in the retail business because the Indian ecosystem has opened up, has become more conducive to organized len ding. If you notice, all banks are basically by nature conservative lenders and nobody wants to take undue risks.
So what is happening is that because of the opening of the cash flow evaluation, tools have become much more better, now most peopl e are now doing transactions with a bank account which was not so earlier. So when people are doing transactions on a bank account, we are able to see their transaction trails or GST trails. So with these trails, people are able to lend. So this by itself opened up the market to organi

zed lending.
So this is one really big factor why everybody is able to grow because the control systems have very much improved. For example, earlier we used to do collections by calling customers , if somebody has skipped an installment, or maybe sent an agent to the customers' home to pick up the money.
These days, we are simply sending a UPI link and then the customer is paying on the UPI link, no agent doesn't need to go in many cases. So I'm saying the whole ecosystem, whether originating, evaluation, collection, monitoring, everything has become more conducive and feels more safe now because of availability of data and tools and all that. So that could be one reason why you're beginning t o see growth I guess with everybody. So one was your question on what we'll do with mortgage LAP, I told it will grow. Second question on why growth is coming. What is the third question? You had one more question.
Ritika : Sir, it was on the ROA trajectory , because you are already at like 1.26% for the quarter.
V Vaidyanathan: See now we clearly feel that ROA will stay healthy now. I don't think we're going to dip on this front because the very important thing that we call out right from the beginning since 2018 is that we only focus and tell the market what we are truly doing on the core income. We don't try to take some cute advantage of what happened in treasury markets and all that. So since the core operating income is now touching like Rs. 1,450 cr ores. Correct, Sudhanshu?
Sudhanshu Jain: Rs. 1,427 crores.
V Vaidyanathan: Rs. 1,427 crores, core, by the way, which is sustainable number every quarter from here on. So that number is so strong. And minus credit cost numbers we told you, we should be comfortably above 1% for a long, long time, probably increase from here. So , let me talk about next quarter and all, I told you we are feeling quite confident about even second quarter, third quarter, fourth quarter, etcetera.
We feel it's a pretty much straight line model, sometime an odd quarter, ROA can come down by 2 basis points, 3 basis points, can go up by 2 basis points, 3 basis points, you should not expect that every single quarter for l ifetime, this will keep on increasing. These things don't work like that and odd things happen. But if you take a year by year measure, definitely, you should

see '24 should be better than '23, '25 should be better than '24, '26 should be better th an '25, that is something you should expect from us.
Moderator: Our next question is from the line of Sonal Minhas from Prescientcap Investment Advisors LLP.

Sonal Minhas : This is Sonal Minhas. I hope I'm audible.
V Vaidyanathan: Yes, Sonal.
Sonal Minhas : Sir, I wanted to get a bit of a broader macro understanding around the CASA in the market. We've seen the results of a couple of banks, and it almost seems like at a broader level, the CASA has dried up, and you mentioned in your notes that it's linked to intrasta tes. But just wanted to understand from your perspective and how you are seeing the market, your take on CASA? And what is it happening in the market? That's my first question.
V Vaidyanathan: See, CASA comes from two things. It comes from the abil ity to provide solutions to customers, especially in current account, everybody is being zero, then what are you going to compete? And it's not even about rate, it's about what solutions you give the custo mer, that is why you will find all the large existing banks who have been around for 20 years, 30 years, they have tied up the entire solutions for clients end to end in the supply chain, for example, or end to end in a government banking business, right f rom the time the money is released from the Government of India to the last festival . There is a chain of flow that happens.
So it takes time to build these things. Once you build the solutions, then you st

art getting quite
a lot of annuity income, you basically start getting annuity flows, and then you start getting annuity income. So, therefore, when you think of it like that, I really believe we have terrific opportunity because we are a new bank , we are a very good tech bank.
So our ability to build all end-to-end supply chain solutions is very good. And therefore, when we build a solution, it's already making good headway, but not great I'd say, not as good as it should be for a well -developed bank, we are still very low on CA. But we are making very good progress on this front. That's on the CA front.
On the SA front, that market is a bit different. Because it's a very service -oriented business. For example, we are paying 4%, but money is flowing in like crazy into a bank on the deposit front. So when we are paying only 4% up to Rs. 10 lakhs, why is money coming to us like this? I'd imagine brand.
Definitely when you become a brand, that's a very crucial moment in a institution's life. When you become a good brand, money starts coming in. Then service levels, I really get upset about anything, but the one thing I get personally very upset is, say, if some customers have been dealt very badly or anything of that and there's some systemic issue at a bank. So we go really take customer service very, very seriously and we try to offer high -quality service to customers.
So let me just say brand, servi ce, even pricing to an extent, all of these things combine to give a good SA balance. At least in our case, SA is coming from other banks obviously. We are not

obviously growing at 40%, it's not that India is growing at 40%. It's coming to us from somew here, but I think it's coming because of brand, I'd say one of the factors in brand.
Sonal Minhas : And you expect the trend to continue like the way it is going forward?
V Vaidyanathan: Yes, we feel so. At least for us, we feel very confident for the upcoming 3 quarters, 4 quarters, 5 quarters, you should expect that our liability and deposits should be 40, 45, 40, 45. We should continue to report numbers in this zone. We will, I'm pretty confident of that, because that's how we're seeing flow in our branches right now.
Sonal Minhas : Got it, sir.
V Vaidyanathan: So it is something that is interesting with the brand. Brand is just not being that, Oh my God, people know about your brand. It's not about knowing.
Sonal Minhas : The ser vice quality is.
V Vaidyanathan: No, no, no. Not in quality. Quality I talked about already. I want to say something different.
Sonal Minhas : Sure.
V Vaidyanathan: See one thing is the brand saying that, do people know your brand. Obviously, our brand is much less known than, say, an ICICI Bank or an HDFC Bank or any of those banks. So obviously it is so, that's fine, but that's the reality of our life stage at this point of time. But question is, even among people who know, what th ey think of you, this is very important. That's where the brand character comes. So , you may think of the top 4 banks, let me say, ICICI, HDFC, Axis, Kotak, who are all pretty well -known banks and great banks.
If you see the next tier banks, that is say, our bank, Bandhan, IndusInd, YES Bank, et cetera.
Now, let me say that we are a mid -tier bank in that family of banks. Now, but even among these banks, you cannot say that all customers think the same t hing about all these 4 banks. We may be similarly known, but people just think fortunately quite well about our bank. So , what people think about us and whether they know us are 2 separate things actually.
Sonal Minhas : That's exactly, that's I think the longer term, as you said that gets built up over time.
V Vaidyanathan: That builds over time, but somehow we are enjoying that image. How it comes, I don't know.
But we are enjoying that image and money just come to us. Whenever you go

to any location,
open a branch, one flush of cash comes to the bank straight away.
Sonal Minhas : Got it, sir. Sir my second question is linked to the credit card business, it's a small -ish business, which is going fairly well. Just wanted to understand if you could disclose broadly what is the credit cost we're working in that particular business? Just to understand, because I think there is not too much of a disclosure, which is understandable. But broadly, if you could just guide a little bit on credit cost on that business, that will help understand where are we heading in that business?

V Vaidyanathan: So we should expect a really good return on equity in the business. I've personally done that business for close to over 20 years, 25 years now. My colleague, Madhivanan, has done that business forever and he's pretty much a master in that business. Under him, there is a colleague called Shirish Bhandari, who has also done the business for long. So we are a set of people who know that business really very well.
Sonal Minhas : Sure.
V Vaidyanathan: And, of course, there's people in this. So we are very confident of that business. And we believe return on equity on credit card business will exceed to 24%, 25% whenever it comes of age. And if you want to understand truly the credit card business economics in a strip -down basis end to end, you take the listed company, SBI Card. It's a monoline credit card financing business, see the economics.
Sonal Minhas : No, it's a great business. They have a credit cost of 6.5%. So that's why I was just trying to benchmark here.
V Vaidyanathan: No, no, no, that's a little high. We have lent largely credit cards to our existing customers at this point of time and people who have savings account with us and all. So , I think we put out our NPA numbers in the Investor Presentation somewhere, gross is some 1.7% or som ething, net is some 0.2%, 0.3%, 0.4% something like that. So , we are not in those kind of numbers of credit costs. But still, if you understand the economics of that business, just look at SBI Credit Card, they are doing a wonderful job, a nd you see the economics there. Are we done? Folks, I thought we spent quite some time, I think it's crossing 7 pm .
Moderator: Sir, we have a question from the line of Mr. Jai Mundhra from ICICI Securities.
V Vaidyanathan: Okay. Can we take that as the las t question, Jai?
Jai Mundhra : Yes, sir. So this would be the last question, sir. So I wanted to check, sir, now that asset quality outcomes have been much better. And as you said that we have been following a very, let's say, robust process, which is givin g us the confidence of that asset quality should remain benign. In that context sir, would you like to sort of accelerate the loan growth from current 25% level, which is what we are reporting or you think this kind of a level of loan growth is commensurat e to kind of asset quality outcomes that you are seeing? So what I wanted to check is, are the better operating environment would help you to push the pedal on growth or you think this is a fine balance as of now?
V Vaidyanathan: : I said that we should be very careful here. Of course, like I said, the enabling environment has become much better today than before. But we have one fetish in our organization that we have a 12-year record that our gross NPA is low, net NPA low, it gives us a lot of confidence t o continue to do the business. We would hate it if that moved up even 10 basis points, 20 basis points to be in the wrong side. So that's very important. That for us our gross NPA stays around 1.7% -ish or so and net stays around 0.4%, 0.5% is very important to us.
Number two , we don't want to test the limits on that front. Second thing is that for us to grow, we tell ourselves internally all the time that we don't need to relax norms at all, at all, j

ust you

don't have to do it. So we're relatively such a small player in the market that if you want to do some more business, all you need is just in the same city, just add some more distribution points, just tap on one more city, just add one more credit business line lik e we just launched gold loans recently or education loan, just add one thing more and go meet that volumes. So we don't need to grow anything anymore. And to give guidance on the question on the . You said can we go beyond 25%, let me answer that very specifically.
So thus far, for the last 3 years or 4 years, what you've been seeing is that the wholesale is coming down, infrastructure is coming down and retail is growing greater than 25%. So blend -blend, bank is growing at 25%. Let me say in a couple of years from now, the degrowth in infrastructure will stop because it can't go below 0 and it will head towards there. But even then we'd like to

grow the balance sheet only at 20%, 25%.
Let me say, 23%, 25%, which means that the retail growth itself will taper down towards that
number. Today, retail is growing more than 25%, wholesale is growing less than 25%, blend is
25%. Let me say in a couple of years, retail still grow only at 25%. A nd if you keep it at 25%,
25%, it can go for a long time. We don't need to disturb that & go faster than that.
Jai Mundhra : Sure.
V Vaidyanathan: Even if you grow something at 23%, 24% for a long time over 8 years, 10 years, 15 years, that will be a pretty good component story, why grow faster than that.
Moderator: Thank you. Due to time constraints, that was the last question of our qu estion -and-answer session. I would now like to hand the conference over to the management for closing comments.
V Vaidyanathan: No, I have no closing comments to make. I want to just thank all of you. Sudhanshu, do you want to say anything?
Sudhanshu Jain: Yes. Thank you, everyone. And thanks for patient hearing. Have a great weekend.
V Vaidyanathan: And all we can say is that, you've been with us even in our, let me say, harder days. Now we probably have a little more happier moment coming our way. If you watch our story for the next
2 years or 3 years, even those who are not convinced, bit by bit you'll get more comfortable with
us. That's all I can say. Thanks so much.
Sudhanshu Jain: Thank you.
Saptarshi Bapari: Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2023

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail: bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD /195/202 3-24 November 03 , 202 3

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter & half year ended September 30, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter and half year ended September 30, 2023 conducted after the meeting of Board of Directors held on October 28 , 2023, for your information and records.
The above information is also available on the Bank's website at the following link:

https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Concall -Transcript -of-IDFC -FIRST -Bank -Q2-FY24 -Results.pdf

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
Head – Legal & Company Secretary

"IDFC First Bank Q2 FY'2 4 Earnings Conference Call"

October 28, 202 3

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , IDFC FIRST BANK
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER
&H EAD, CORPORATE CENTRE , IDFC FIRST BANK
MR. SAPTARSHI BAPARI – HEAD, INVESTOR
RELATIONS , IDFC FIRST BANK
MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of IDFC First Bank hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that thi s conference is being recorded. I now hand the conference over to Mr. Chintan Shah from ICICI Securities. Thank you. And over to you.

Chintan Shah: Good evening, everyone, and welcome to the Q2 FY24 Results Conference call for ID FC First Bank .

We have with us from the senior management Mr. V . Vaidyanathan, Managing Director and CEO, along with the senior management team.

So, without further delay , I would now like to hand over the floor to the management. Thank you and over to you, sir.

V. Vaidyanathan: Hello , everyone . I'm Vaidyana than.

Sudhanshu Jain : I'm Sudhanshu Jain. I'm the CFO and Head of Corporate Centre .

Saptarshi Bapari : Hi, everyone. This is Saptarshi Bapari, Head, Investor Relations.

V. Vaidyanathan: Hello , everyone. First of all, thank you very much for joining us this Saturday afternoon. We just announced results just a very short while ago.

The key highlights I'd like to call out for this quarter is as follows :

As far as our broad direction of the deposits , of loan growth , of profitability , of asset quality, all of them are quite stable and I think things are proceeding very well at our Bank . The numbers briefly are as follows :

1. On the deposit front, I think is one of our big strengths I'd say now it has been established for many, many years in a row we 're able to raise deposits in a very strong manner. So , our deposits have now reached over Rs. 1.65 lakh crores and it's grown by over Rs. 50,000-odd crores with the growth of about 44% over the last year.
2. The second thing that I point out is that the CASA ratio, a ll of you know there is a movement of money from current , saving into term deposit etc. But we have seen a CASA ratio being quite stable at 46.4% this quarter , down marginally from 46.5% last quarter, but really that's marginal .
3. Our plan to diversify our liability base , the strategy which we started about four or five years ago continues . 77% of our customer deposits of Rs. 1.65 lakh crore is now retail diversified deposits . Just for context by the way that when we started

73% was wholesale and 27 % was retail. Now it's the other way around . So that's one massive progress I'd like to call out and that process continues .
4. What is interesting is that our ability to raise deposits is so strong that we're able to fund our growth of the loan book at 25% comfortably and also , be able to repay the high-cost bonds as and when they are maturing . As you know we had closed about Rs. 25,000 - 26,000 crores of high-cost bonds at the time when the merger started. Today, that number has come down to something like Rs. 15,000 crores. Even I think for the rest of this financial year, another Rs. 3,000 c rores coming up for repayment . We are quite confident that our deposit gathering machine is so strong that we can fulfill our obligations for the past as well as fund growth of the future.

The next thing on the asset side is the second part I'd like to speak about . On the asset side, really good thing is that our asset side is very diversified. The only book that is 28% of the total book is mortgages -backed. So , except that book, which is the big block, rest is all highly diversified. There's vehicle financing is close to 10% of the book. commercial vehicle is 3%, rural finance is 11% , consumer loans , personal loans and digital loans , etc., all that

is like 13% education loan
is 1% , credit card is 2%, other retail loans are 8% , gold loans are like less than 1% , SME loans are 5% , large corporates are 1% , emerging enterprises are 6 %, financ ial institutions like NB FCs at 8% and other co rporates are at 2% . So, you get the drift . They're all like 2 , 3, 4, 5, 6, 10%. So, this makes the book very diversified and now we're feeling quite happy for the future because we feel that such a diversified book we can stand the test of time up and down .
Now, we wanted to call out, there is a talk about unsecured c redit and what is the performance of unsecured credit so and so forth and a lot of media stories around that. So , I'd like to speak two minutes about that. The key thing I'd like to point out is that the entire lending of unsecured credit minus only the credit cards and BNPL kind of loans , I'll call them out separately to you in a moment , our entire retail lending book , whether it is secured or unsecured, it follows a fundamental philosophy that we do cash flow assessment . This is very important to note . What is cash flow assessment ? Cash flow assessment, you pick a Bank statement of a customer and see through , what is the balance customers maintain s in the Bank account. So , if you see for example customer keeping Rs. 2 lakhs in the Bank account , then the customer can honor EMI of Rs. 1 lakh . If the customer honor s EMI of Rs. 1 lakh, then we give a loan that can fit within that Rs. 1 lakh of EMI. So similarly , we do GST filing, that's a cash flow , you can see what kind of cash flow .
Third is, there is a lot of data in that bureau which indicates a certain cash flow. For example, if the customer is honoring a particular EMI of Rs. 50,000 to another Bank , you estimate the cash flow on that basis. These are various examples of understanding cash flow. So , our entire book of the Bank is built on this concept of cash flow and that is the main reason why frankly our book we think do well all this period. But we want to specifically call this out.

Now , the second part of the point to understand is that cash flow supported is what ? Suppose there is cash in your Bank . How do you pick it up from there? So, there is a Point -B that goes along the cash flow and that point is we take a debit instruction to your Bank account if you take a loan from us , it could be any other Bank or it could be our own Bank also. So, the natural activity of the customers Bank account and then we also take a debit instruction to that account. Then on the due date we simply pull the money from that account. So , this is a very fundamental point and these two in a way is security. Just wan t to let you know. If you hear Nandan Nilekani speak about this , Nandan calls it a digital security . So, this is very important to understand . This is the reason why , we treat this concept for both secured and unsecured .
Now , the other thing is that we saw some bureau information and data which says that less than Rs. 50,000 ticket size loans , the delinquency is relatively higher in the industry. So , we want to call out the number of the extent , of our loan book that is less than Rs.50,000. So that exposure for us in personal loans is Rs. 540 crores, which is about 0.29% of the overall funded assets . Sudhanshu will t alk about this number . But I want to just call out the amount to you so that give you full picture. The short point is that we don't lend in a really small ticket size of less than Rs. 50,000 . That's really a small portion of a book . Now, this does not include a BNPL book or e-com kind of a book which we have.
Therefore, the short point is that we are very careful and with the kind of heightened attention to this matter , we have been very cautious , but I think we have become more cautious now. So , we have tightened many of our norms because we

don't want to be caught on the wrong foot and
there's a long list of tightening that we have done over the last two years which we presented to our risk management committee of the board in today's board meeting as well. One is we want to demonstrate the seriousness of the issue , but also wanted to be sure of ourselves because we don't want to spoil our own track record of asset qu ality.
The next thing I want to bring out to you is that what is the total asset quality of the Bank . Now , the good news is that the Bank 's gro ss NPA has come down to 2.11% , the net NP A has come down to 0.68%. The breakup is more important because if you ex clude infrastructure and all that because we know there are known issues and they will go away with time . The Bank 's NPA without infrastructure is 1.69% gross , net NP A is 0.46 %. So, you can see that's also really very strong. We have not seen any disturbance. So , investors should take heart that nothing is disturbing us at the Bank and asset quality is in fact only improving.
The last thing that I want to specifically call out is the retail, rural and MSME finance . This is the three what traditional Bank ing system also calls it RAM . That portfolio our gross NPA is 1.53% which is di tto same as last quarter and our net NPA is 0.52%. So, the long and short of it I want to share with you is that, nothing to worry here . At this Bank things are absolutely stable, and we will try to maintain it like that going forward.
Then we also want to call out one more important piece of information, because you might say, or anybody might say that asset quality is good , but how do you feel good for it for the future?

There's one point I want to share with you that we monitor collection percentage because after all its collection percentage that leads to SMA and NPA and all that. Now, our collection percentage in the current bucket continues at 99.5 %. It's been so if you've been tracking our Bank for a while, it's been like close to 2 .5 years since the since the COVID ended , those days it used to be 99.1 % to 99.3% and now it has been at 9 9.5% little like 12 , 13 months in a row. And frankly it's been that way for a long t ime now , not just 13 months like 12 -13 years ago, it's been quite strong.
So, my quick comment therefore is that as long as these numbers are what they are, our net NPA will also remain low only because net NPA is after all a derived number from how much collection efficiency is . So, we disclose in our Bank these numbers month -by-month . I mean every quarter , we disclose for the three months of that quarter , and then we also historically trend it for 2-3 years also . Why we say it's important is that if we were to have a credit quality problem as in gross NPA and net NPA in retail, you will first see it in our collection percentage dipping from 99.5%. Until the day you don't see that number dipping from 99.5 %, you can think of this as a lead indicator . And therefore , we'll know maybe it's just three months before you, because every quarter we are now duty -bound to report it .
The last thing is SMA continues to be very low ; it's 0.77% is probably the lowest we've seen it . And for the reason I told you earlier , we feel confident about that .
Now, we have also disclosed product -by-product gross NP A, net NPA and we've been disclosing it for quite a while now , maybe I think 4-5 quarters where we actually disclose our NPA in loan against property specifically , consumer loan specifically , for example in consumer loans our gross NPA is 1.96% and net NPA is 0.52%, vehicles, credit cards, digital loans , SME , home loans , rural , we disc lose every one of them and the sum total sigma tending to 1.53 % and 0.52%.
So long and short, I'd like to say that it's a pretty stable quarter. We feel quite confident on the overall growth prospects and every

thing looks good. So , you should expect this kind of a stable performance from the Bank for a while now because we don't see anything fundamentally changing in our story. And if there's anything changing, we'll of course constantly make changes to our strategy, but we assure you from our side that you can feel comfortable about us in all the parameters.
I would like to p ause here and thank all of you for being here with me. And maybe Sudhanshu can give some more color . Thanks so much, folks.
Sudhanshu Jain: Thank you, Vaidya. A gain, good evening, everyone.
I will touch upon key numbers for the quarter and the half year ended on September '23.
To start with the balance sheet size now stands at Rs. 2.64 lakh crores and expanded by 24% on a YoY basis. We continue to witness a strong momentum on our lending book and in deposit

mobilization as Vaidya said . Our customer deposits he already said that we had a very strong growth of 44% on a YoY basis to reach Rs.1.64 lakh crores. In fact, the growth in retail deposits was higher at 50% on a YoY basis . CASA ratio was also very stable at 46.4% , CASA deposit increased by 26% on a Y oY basis. Average current account deposits increased by 31% on a YoY basis, while average CASA increased by 24% on a YoY basis. We continue to see a faster growth in term deposits, which grew by 68% on a YoY basis and 11% sequentially as customers are looking for locking in the higher interest rates in the system . The growth here was predominantly driven by retail.
We opened 38 branches during the current quarter, thereby taking the branch count to 862 branches. The high-cost legacy borrowing has come down by about Rs. 1,000-odd crores in the current quarter. In the balance half of this year, there's about Rs. 2,600 crore which is scheduled to further runoff.
Moving quickly to assets, the overall funded assets grew by 26% on a YoY basis to reach Rs.1.8 lakh crores, I will cover this in four parts. First is that the retail book which comprises of mortgages, consumer loans, credit cards and vehicles that grew by 29% on a YoY and 7% sequentially.
We have seen strong growth across all categories . To mention a few, home loan book grew by 26% on a Y oY basis. The vehicle segment which includes two wheelers and car it grew by 41% on account of increased distribut ion. Consumer loans increased by 22% . Credit card which is coming from a small base that also had a very good growth. The Bank has now issued more than 1.9 million cards. The gross spends on credit card increased by 64% in H1 of FY24.
Rural book, which primarily helps us to meet the PSL requirements, also registered a strong growth of 51% on a yearly basis. Funding for SME for business purposes and corporate segment

increased by 22% on a YoY basis. Infrastructure book now is just nearly 1.8% of the total funded assets at Rs.3,300 crores. You can refer to slide 93 for more details around the product growth.
Moving on to asset quality :
The gross NPA of the Bank further improved by 7 b ps during the current quarter to 2.11% and net NP A improved by 2 bps to 0.68% during the current quarter. If we exclude the rundown infrastructure book, this GNP A is more like 1.69% and net NPA is 0.46% at Bank level. PCR gross of technical write -off was at 84% as of this quarter. GNPA in retail , rural and SME segment on a combined basis stood at 1.53% and net NPA is just at 0.52%. The corporate non -infra book is well provided and as a net NPA ratio is only 0.11%. The standard restructure d book continues to come down and has further reduced to 0.38% as compared to 0.47% last quarter. More than 85% of the restructured book is secured in nature . The SMA -1 and SMA -2 as Vaidya mentioned , that is reduced to now only 0.77% , which is a good indicator of a better portfolio . Even in the corporate book, the ratio of SMA -1 and 2 is very low a

t around 0.3 %.

Moving on to profitability :
Profit after tax for H1 F Y24 increased to Rs.1,516 crores versus Rs.1,030 crores in H1 of last year and this was up by 47% . For the quarter , profit grew by 35% Y oY to Rs.751 crores v ersus Rs.556 crores in Q2 FY23. This was largely driven by strong growth in core operating income. Core operating profit which is NI I plus fees excluding trading gains for H1 grew by 41% Y oY to Rs.2,883 crores. For the quarter, it grew by 38% to Rs.1,456 crores. NII increased by 32% on a YoY basis to Rs.3,950 crores. The net interest margin was steady on a sequential basis at 6.32% . Fee and other income increased by 46% to Rs.1,376 crores for Q2 FY24 and this was largely retail -led which is at 93% of the total fee. Operating expenses increased by 34% on a YoY basis due to increase in business volumes, branch expansion and increase in some tech expenses. We had a trading gain of Rs.54 crores during the quarter and provisions came in at Rs.528 crores for the quarter. The credit cost on an annualized basis as a percent of average funded assets was at 1.19%, which is well below our guidance which we had given earlier . On an annualized basis, RO A stood at 1.2% and ROE stood at 11.36% for H1 FY24.
Moving on to capital adequacy :
The Bank has maintained strong capital adequacy, including profits for H1 FY24 was at 16.54% at September 30, 2023 with CET ratio at 13.49%. During first week of October '23, the Bank successfully raised Rs.3,000 crores through a QIP from a set of marquee investors. Considering this, CET -I and total capital adequacy would be higher by about 150 bps at September. We continue to maintain healthy liquidity levels and average LCR was at 122% for Q2 FY24. We would like to maintain it around these levels going forward as well.
With this we can move on to the Q &A.
Moderator: We will now begin the question -and-answer session. We have our first question from the line of Lalit De o from Equ irus Securities. Please go ahead.
Lalit Deo : So, sort of just ask a couple of questions. So first in the retail loan portfolio , so like we are seeing a strong growth in the digital loan segment. S o, could you give us more color like what is the nature of these loans and what is the ticket over there like like who are the major customers as well?
V. Vaidyanathan: These are the digital loans, like how every other institution is doing digital loans, because these are loans that we can originate either through partners where loans are originated digitally, they could come from a partner, even be loans that are maybe we advertis e in Google or somewhere and prospective customers click on it and then you process them digitally end -to-end.
Lalit Deo: So again, how would it be different in terms of ticket sizes as compared to our consumer loans and digital loans ?

V. Vaidyanathan: Much bigger, much bigger. For example, consumer loans of durable financing that we do that ticket size could be as low as even Rs.30,000 - 50,000. But these loans maybe like Rs.3 lakh.
Lalit Deo: My second question was on like while we have indicated that our co llection efficiency has been strong at about 99.5%, but if we see the segment wise GNPA in the retail segment, we see that in the credit card , consumer durables, there has been a small increase on a sequential basis in the GNPA . So, on a sequential basis, d o we see higher slippages in these segments , could you tell us more color in this ?
V. Vaidyanathan: No, I mean, if you see the numbers here like marginal movement of 10 basis points up or down can keep happening in any business , any month. But if you see for example, the credit card , 1.87% gross , 0.46% net. If you see, vehicles 1.76 % gross, 0.73% net and it is unlikely to be any

materially different than the last quarter.

For example, if you see SME loans gross is 1.4 2%, net
is 0.47%. So, like last quarter, it could be like 1.52% or 1.32% . What I am trying to say is a ll
operating in a particular range and nothing has fundamentally changed . That's where we focus
on sigma , the sigma is 1.53 % and 0.52 %.
Lalit Deo: Could you give the gross and net slippages for this quarter?
Sudhanshu Jain: Gross Slippages for the quarter were about Rs. 1,350 crores and net slippages w ere around Rs. 850 crores.
Moderator: We have our next question from the line of Hardik Shah from Goldman Sachs. Please go ahead.
Hardik Shah: The bureau data indicates that the unsecured loans per borrower has been increasing in the last couple of years. Can you share some color around this for your book in terms of what the data is like?
V. Vaidyanathan: See, specifically for less than Rs. 50,000 I called it out earlier in the discussion. Our book is Rs. 540 c rores, that is below ticket size of Rs. 50,000, which is what was flag for us . Even that book is behaving well , it works out at 0.3% of the overall funded book of the Bank and it works out to 0.37% of the retail , rural and MSME book. That is the number that we are calling on specifically . But other than that , as we discussed earlier, there are three categories , just to give a little more color. The way we do it is that whether secured or unsecured, we follow the concept of cash flow . Because we believe this trapping of cash flow is itself a security. So , we follow the model . We believe that is a discriminating factor. For example, let me give you color. For example, if there is a product in which a customer has to pay you on due date vis-à-vis there is a product in which you take the money from the customers Bank account on the due date. So, the performance is very different between the two. The f ormer is an example like a credit card. Now , imagine I give you a credit card . On the due d ate, what do you do? You pay us . I can't touch your Bank account and take money from the Bank account. But imagine , you take a personal loan from us. What do you do? You are not paying us. We're taking money from your Bank account. So, there is a fundamental difference between the fact that you can pull money

from the Bank account, or we have to wait for you to pay off. This is a very, very fundamental point and all our unsecured loans or secured loans with the exception of credit card business is where we take money from the customer’s account . Think about it like retail book , MSME book and rural book , all put together of about Rs. 1.46 lakh crore s. And of that, only the credit card book of Rs. 4,000 -odd crores is where you pay us and everything else, we pull money from your Bank account. I'll give you a breakup if that gives a little more color. There are three categories of financing we do . One is a retail financing book , that includes home loan, vehicle loan, consumer loan, education loan, credit card, gold loan , etc., So that book is Rs.1,04,000 crores. Seco nd is rural finance , that is Rs. 22,800 crores. Third is SME finance, that is Rs. 9,500 crores. So basically, if you take these products and all of these products except credit card, which is Rs. 4,282 crores of exposure , everything else is we take money from the customer’s account .
Hardik Shah: But s ir, my question was coming from the fact that what we are seeing is that the borrowers w ho are taking unsecured loans , they are taking those unsecured loans from multiple institutions. So, if we can share the color on our borrower wherever we are lending, if you have that kind of a cut in terms of whether that customer is an exclusive customer for us or if that customer is borrowing from multiple institutions ?
V. Vaidyanathan: No, I don't have the color of f hand.
Hardik Shah: One more company reporting yesterday , SBI Cards

which sounded caution on the stress building
up in the unsecured loan book and that is also showing stress in their credit card book. So , are we seeing any of that sort in our book?
V. Vaidyanathan: No. Interestingly, to take out credit cards as an example, I really believe that, every product whether secured , unsecured or credit card , everywhere we should be careful, because that's the nature of lending . But in credit cards you should be extra careful , because credit card customer pays when they pay. So even if the customers have money in the Bank , we can't touch the money, right? So , we should be ex tra careful in credit card. As far as we are concerned our credit card book is 1.87% gross NPA and our net NPA is 0.46%. Particularly in credit cards what we do , because we want to be extra careful, we lend credit cards largely, I don't say exclusively, but largely to our customers who have our relationship , maybe savings, etc ., So, it just makes it a little better for us I think.
Moderator: We have a next question from the line of Di xit Doshi from Whitestone Financial Advisors. Please go ahead.
Dixit Doshi: So almost on all the front s, be it advances , asset quality , deposits we are doing exceedingly well. Just one question is if I see our H1 or even the Q2 numbers, the operating income growth is

around 3 5-37%, but at the same pace, our operating expenses are also growing , we are in that
71%, 72% cost -to-income from last almost three quarters now. Obviously , we are expanding the
branches for the growth also, but when we will start seeing the material reduction in the cost -to-
income ratio if you can touch upon that. And my second question is regarding the credit card

business , in earlier call s you were saying by FY24 end we may touch breakeven. So where do
you feel that we will be breakeven by this year end, maybe start making profits next year?

V. Vaidyanathan: On the c ost-income front, yes, I mean, as long as expansion is continuously going on because remember , we are growing our deposits very strongly by Rs. 50,000 crores a year. So probably next year we'll need to raise Rs. 65,000 crores. So ye s, we'll continue to incur the necessary expenses and the drag is coming on the liability side. Our retail asset side is posting a return on equity of 20% even though we give transfer pricing at some rates from the liability point of view. So, as long as we keep expanding, I guess on the liability side, there will always be a bit of a drag. But we should look at in composite sense . As long as we meet the return on equity because after all cost -income is a component that is going to deliver ROE. Since we have a slightly higher NIM that for the street when we did the merger, we had guided 5.5 %, we are running 6.3 %. Our fee income is also very strong at about 2.2-2.3% . Even if a slightly higher cost -to-income ratio than what we initially guided for , the way the economics fall in the P&L, the return on equity front, we are broadly quite confident that in the exit quarter of FY25 we should be able to meet our guidance. So that's one important thing to remember about cost -income that look , after all, it's an input material and it's not an output item , output item is ROE . Now, what's the second question?

Dixit Doshi: Credit card business profitability ?

V. Vaidyanathan: Broadly , we don't see any major discomfort to it. Yes, you're right , we had said that by FY25 we should be able to breakeven and in FY26 we should start making money , that's probably the direction continues.

Dixit Doshi: If you can throw some update on the merger. So , have we already applied to the Reserve Bank and all ?

Sudhanshu Jain: Yes, we have applied to Reserve Bank of India as well as to SEBI, NSE and B SE. As you would have also noted that we have already received the approval from CCI. There

are a few other
bodies where approvals need to be sought. We are very much into the process , I can say that this is very much on track. Of course , it takes its own time, difficult to predict, but things are moving smoothly on this front.

V. Vaidyanathan: Things are going smoothly , friends. I know you people may want to know more details, but regulator, BS E, NSE and competition commission, all the process is working and there are no hiccups anywhere.

Moderator: We have our next question from the line of Kait av Shah from Anand Rathi. Please go ahead.

Kaitav Shah : First question from my side would be on the interest rate on the deposit side. So , are we largely through you think on the interest rate pricing on the deposit front or do you see that there is still some sort of increase left for your deposits to get repriced ?

Sudhanshu Jain: I would say a large part of the catch -up cost has already come in. There could be another 10 , 15 bps which could happen in H 2. Having said that, as I mentioned earlier, we have also some legacy borrowings which would retire. So , that came down by Rs. 1,000-odd crores in Q2 , another Rs. 2,500 crores which is broadly evenly spread between Q3 and Q4 , that will come off that is at 8.9%. That should give us some relief on the interest cost. So , we feel that cost of fund could go up marginally from the current levels, but the large part of the term deposit pricing has sort of come in. Maybe some increase could happen in Q3 and then things could play too or if the interest rates have to come down, then we could see some benefit down the quarter.

Kaitav Shah: The second question is more on the exposures that you have towards the NBFC . If you can kind of give us some sort of numbers that you look at to get comfort on the lending to NB FCs because the exposure to below 50,000 or smaller ticket size has largely been through the NBFC route. So, what sort of comfort do you look at and if you can just make us understand a bit more about ?

Sudhanshu Jain: So, on the NBFC book we are seeing a very strong performance. Again, we have been doing this for quite a while, right. That book is broadly about Rs. 15,000 -odd crores today . On a rating , just to give you more comfort, more than 80% of the book is rated “A and above ” and rest is “BBB / BBB+ ” and only 1% of the book is “BB and Below .” So, we see very strong performance on this book. We have not seen any blown ups.

V. Vaidyanathan: To your question about how we think about it, the one fundamental thing in NBFC is that we should be very careful about the NBFCs ability to manage cash flow. It is never really the underlying , whether the lending for less than Rs. 50,000 , more than Rs. 50,000 because internally they also have a strong amount of capital and the capital cushions are most N BFCs are running at 15%, 18%, 20%, some of them even more . So unlikely that you're going to blow up so much of the book that capital gets wiped out , that's pretty less likely . But it's more important to understand the ir cash flows. So, when we lend to NBF Cs, we look at basically the level of capitalization , their ability to raise capital that's also very important and that make a reasonable assumption and guess based on understanding of the people , who are the founders, promoters, their own track record, their historical record of how they raise capital from time -to-time. We also understand the discipline of their lending practices themselves. We understand reputation, as all of you know reputation makes a very big difference. Then we also understand trends of their asset quality, their flows , etc. So, when we look at this and we feel comfortable then we le nd.

Kaitav Shah: Given what has kind of been a llude d to within the retail space and of course lot of players have been going on their own on the unsecured lending fees, pers

onal loans , a lot being said there.

Does it in anyway change the growth trajectory for you or you will be more data dependent on what's happening within your f irm and you will be going ahead with the show as it's been going ?

V. Vaidyanathan: See, it is our job to very carefully heat the market. Because when there is a particular news flow, we have to look at it and we have to immediately call for the data and double check, triple check . To be honest , we evaluate our portfolio really at a microscopic level in the Bank . To give you

one idea , we have like four or five or maybe six levels of controls. Let me speak to them out to you. Number one, the teams which are doing the underwriting themselves, so they have their own KPIs that their NP A should not cross x and net NPA should not be more than x and y. Then beyond that, there is a policy management team, who approve the policy . They have their own conditions and they are an independent team. Then thirdly is the risk management division of the Bank which runs independent of the underwriting teams . So they have no truck with the first team that either wrote the policy or the people who wrote the underwriting , they are independently evaluating , every month they're look ing at every city, every state, every location, every segment, everything is micro monitored and they all track the numbers and see the numbers going up and down. Anything goes up, they keep identifying what went up and they keep making changes . Then next at my level because after all of this en d of the day , I am responsible to the market , I am responsibl e to the board , I am responsible to the shareholders. So, I am keeping a very hawk eye on this issue because like I said we are very proud record of 13 years where a gross NPAs never crossed two and net NPAs has never crossed one. So why would we disturb that? When I look at it , I take it very seriously. Even if I find an incident in the marketplace where I find that , Oh My G od! how did this customer of our Bank get this offer from the Bank . We turn the unit upside down , thinking that how did this loan go through our Bank . Then after my level of valuation , I can call myself the fourth. Then after that there is management committee of the board . The risk management committee is presented with 160-170 pages and there we present a full trend line of 12 months or four quarters or eight quarters as required. There it is presented by ticket size, by LTV, by geography , everything. Then after risk management committee , then come to the board, then we finally present all of these numbers to the board and literally in every single board meeting we present all the key parameters to the board . Just for information, I hope this will give you some comfort . To the board , we don't present overall retail NPA numbers . That would be really very basic and that doesn't give any color. So back to the board we present all these numbers and then we present all the trend lines and everything that are material , secured , unsecured , unsecured but secured by cash flow, etc., And then finally the shareholders and analysts, etc. , So imagine it is just going through so many levels that almost everybody here is becoming a Ph .D. in credit in terms of asset quality monitoring. So, I'm only assuring you , I'm saying this I am on record , that we have so many checks and balances , I'm personally focused on it, but it's not only me, because whole team has to work and that's how we focus on it. So , our board will hear this call and they will take it even more seriously because I'm invoking their name as well, but I can only say that we are that fast. In fact, in yesterday's risk management committee, we presented vintage analysis. Vintage analysis , what we do is that we see a loan booked in, say, January of 2019 and then we see that six months later , i

.e. June of 2019, what was the delinquency. So, then we take a loan that's booked in January of 2023 and then we see after June of 2023 , exact six months, so that is very comparable , what is the deli nquency. So, then we see, has it gotten better over time or has it gotten worse? So , for every single product we present vintage analysis , like yesterday we did with RMC. So , we do this level of details . So, I can tell you that it's very unlikely that so many people can miss up an item.

Moderator: We have a next question from the line of Nitin Ag garwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Two questions. One is on margins , like while we have reported a stable margin, but this quarter we have also raised a lot of liquidity and deposit growth has been very strong. But for this looks like margins could have been better this quarter and now that we have sailed through the entire last year with a relatively higher mix of fixed rate book, how do you look at the margins going ahead , what levels will be comforting to us given that that some risks on the delinquency side that the indus try is watching for and how do you want this to progress going ahead ?

Sudhanshu Jain: Nitin, we expect the NIM s to be quite stable, right. In fact, as you saw for this quarter also we came down by 1bps, there was 2bps impact which came because of ICR R. Going ahead , as I said, large part of the deposit cost has come in on the term deposit front. There could be some increase which could happen, but at the same time we are also seeing some benefit which continues to come in in terms of repricing of investments when they get churned on the liquidity which we get deployed, interest rates have moved over a period of time , then even on advances because we had certain loans which were linked to one-year MCLR some benefit is coming in. So, we feel that NIM s will be quite sta ble for us even into the remaining quarters of this year.

Nitin Aggarwal: So, if I look at the deposits, the traction has been very, very strong over the last 4, 4.5 years and the deposit per branch now is quite comparable to some of the large private Bank s. And while they have been in existence for more than two decades and we have started our journey like say four to five years back. So how do you look at th e trend going ahead and if you can provide some color on the deposit productivity, therefore, as the branches they achieve vintage and how are you looking at that , because we have also opened a large number of branches in the recent years. So how do you distinguish in terms of productivity between the early branches that we opened and versus what we are opening now ? How good is this metric to really look that like deposits for branch for ID FC Bank ?

V. Vaidyanathan: See, I'll give you more specific response. Our deposit per branch is running like Rs.185 crore s. Like you rightly said, it's comparable. I think some large private sector Bank s are probably better than us. They're probably in the mid -200 kind of zone, but the pace at which we caught up I think is really something. In fact, I'd say that we've almost caught up with Bank s, which have been there for like 15 , 20 years in terms of deposit per branch. The good news is that our brand has become ver y strong. You may have missed the annual report, but one comment I've written out there ; it's not about how many people know a brand, it is about what people think of a brand and that is the hardest to crack . If you advertise a lot or you are in some news for some good reasons and bad reasons, you can be the news but not the same thing as being known for the right reasons. I don't know how it came to us, but can't put a finger on to it. People say good things about us in our brand surveys and our own employees , when I go and visit branches and talk to them . I do that quite frequently ,

I go and employees are almost like jumping with happiness and walk around , they say, customers are coming and appreciating our Bank and our products are well appreciated , etc. So the point is that is a good thing. Now with that power of the brand, our products are quite good , genuinely clean , we don't charge any penny from customers through this route or that route and don't change fee structures on the fly without the customers' knowledge . So, when you have a good image and a good brand and good products,

then you open a branch. Straight away we get a lift off . Any location we go and put a branch like almost our Bank gets like the flow of money into our branch is quite fantastic. So , we think we are very encouraged by all this to be honest.

Moderator: We have a next question from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: Sudhanshu, i f you can come to slide 93 , loans and advances , firstly, could you give us the size of the credit substitute book?

Sudhanshu Jain: It's a small book of about Rs. 5,000-odd crores, which includes certain bonds and also the PTC portfolio which we have.

Manish Shukla: And then o n unsecured retail, right , in all form and shape, if I were to look at this loan mix, where does it sit and what is the size of the total unsecur ed retail book, I'm not talking small ticket , I'm talking about overall unsecured retail ?

V. Vaidyanathan: We have given more of a product wise cut in this portfolio and that's the kind of disclosure we put out since the beginning.

Manish Shukla: Which is what I'm trying to understand that of the consumer loan book, for example, 22,000

crore s, how much would be unsecured retail of the other retail which is 14,000 crores , how much would be unsecured retail?
V. Vaidyanathan: No, I think I've answered this to you already that it is for people to take a reasonably informed assessment of what p ortion is secured , unsecured, for example , you can imagine that home loan is secur ed, you can imagine LAP, you can imagine vehicle , consumers portion is not , gold loan is, tractor loans is , say equipment financing is , commercial vehicle is , education is not , consumer loans, these are well known for business Bank ing yes. Business Bank ing is basically working capital pro duct finance to small enterprises. So , it is for you to make a good guess. I think these are well understood businesses.
Manish Shukla: If I were to guess, I can guess anywhere between 25 % and 100%, right? So, it will be better if we could have a n estimate from you rather than us guessing it ? Secondly, Mr. Va idyanathan, in the opening comments you made a statement that given so much of noise around media you have change d certain policies if I heard it right or made some changes and made that presentation to the board as well today . Can you make some qualitative comments around the same what exactly is it that you're trying to do incrementally?
V. Vaidyanathan: See, we are constantly identifying pockets . It's a continuous process , it's not just for only this quarter . Any good organization would continuously do it. We have to be sensitive to the news flow, but we have to do our own thing, with or without news proactively also. Let me give an example. Now , suppose the income installment ratio you play is 50 % and you have given out loans at 50% and then this income installment ratio in one particular segment you're finding that delinquency is more than the other. You might then say that okay, for this segment, I don't want

to take 5 0%, I want it at 40% whereby in other words we'll lend only Rs.40 to the amount of income . So, these are continuous criteria that that we touch like this. I mean there are many more examples. There could be a location , in the case of another tightening

could be say for example,
secure d example, for the sake of argument, if you find that loan against property in a particular city is not behaving as well as other city and of the mean, then you might say I don't want to give 65% L TV to this market, let's give 50%. It's a continuous process and it's a long list , it runs into like what we presented today to the board we comp iled this for a quarter, it ran into some four pages of changes to credit policy . It is a continuous process.
Moderator: We have our next question from the line of Jay Mundra from ICICI Securities. Please go ahead.
Jay Mundra: Sir, wanted to check on your term deposit pricing strategy, right. So, if I look at your current structure of term deposit , right now, we are offering up to one year at 6.5%, whereas our SA rate above 5 lakhs is 7%. So that looks a bit unusual. What does it mean? Could TD rates be revised upward or you think there is a chance that SA rate could move downwards or how should one think of this and what are we trying to achieve ? Of course , given a choice at 6.5% TD and 7% SA, you would see a lot of infl ow in SA on ly, but from your ALM perspective is that the optimal way you would want to strategize?
V. Vaidyanathan: So, I will tell you our rates and then you can derive our view from that. So , our interest rates on term deposit for let me say 180 days is 4.5%. So, we pay 3% up to say 45 days, so 46 days to say 180 days we pay 4.5% and let me say 181 days to say a year we pay 5 .75% and up to one year w e pay only 6.5 % for your information. So, one year, one day and above we pay 7.5 %. So, by the way, these rates are not too high let me tell you . If you go and check out the interest rates for, let me say. Even leading state-owned Bank s, our rates are very competitive, competitive meaning not high , on the lower end and even one year one day 7.5% it's fine, maybe 30 -40 basis points more than some leading Bank s. So , we find that our Bank has acquired that sort of a stature now or whatever goodwill now . I told you this before that we are able to raise deposits like this.
Jay Mundra: No, no point taken, sir. What I was trying to understand the relative strategy of term deposit and SA, right. So , your term deposits are competitive and maybe a few basis points spread over other Bank s. But within your Bank s you are offering SA at 7% above Rs.5 lakh and you have the TD rates which are much lower than even SA . So, how does this benefit Bank from ALM, what are you prioritizing SA over TD or how should one look at it?
V. Vaidyanathan: Okay, that's a good question. For our Bank , whether frankly you brought money to the form of TD route or whether you kept money in savings , end of the day it's costing us a certain amount of money. So , the Bank s which have traditionally been in business for maybe 20 -30 years, they hate to change the savings rate because it changes the interest cost of the whole base. So, they normally prefer to just raise the interest rates in the TD front and pick up money and hope for the interest rate cycle to change where TD rates come down and they can protect the low-cost savings rate . They are interested parties in never touching this. We are free -footed people. We

have no interest to protect the whole base because my whole base is new, it's a new Bank . So, we say no, no, we don't want to play th is game. If we 're willing to keep the SA rates what they deserve to be from the customers point of view and even from our point of view it makes sense. So that's our thinking on this issue. So that's how we play our card s. That's why I always say to all of you that look on the savings front, I make no forward commitments on what the rates will be. They will be . Sometimes when market will be tight, I will increase it and not tight, I will drop it , that's how it works. And right now, just se

e what we've done. You may have missed it.
That zero to 1 lakh, we have dropped savings rate to 3% now . At 3% it's in the league of many other well -known Bank s. But amazing thing is that we still feel the p erson will come to us and is coming to us . So, we feel that it's a very epochal moment that we drop the rate to 3% on the savings rate, zero to 1 lakh . And if our deposit trend continues like this for another three, four, five months, six months, etc ., then we may even extend the zero to 1 lakh, even 2 lakhs, 3 lakhs, who knows. But it's a very important moment to the Bank that we dropped we dropped the rates to 3% on zero to 1 lakh. So that's how we see.
Sudhanshu Jain: Just to add , as I said that we continue to see strong inflows in the term deposit as you see the rates for one year one day to two years is 7 .5%. So, if people want to lock it it's a good rate, right? And we are getting deposits in that bucket . Of course, if you keep money in savings account, it gives you more flexibility and we off er the rates that Vaidya mentioned about.
V. Vaidyanathan: So just finish this point, the thing is that we feel very comfortable with our strategy at this point of time and if you notice , see, we think of banks as two categories of Bank s. One is a big four. Big four is another league. They've been around for 25 years, 30 years , they have a great brand, maybe good product, good service, everything and they have also been there , the entire ecosystem has been service d by these Bank s. So, the whole chain of money coming from a vendor to the principal , principal to the dealer, dealer to the distributor, distributor to the dealer , there is a whole chain. The government money from the government to the scheme right to the taluk or zila parish ad levels are there . So, a lot of the se institutions have very strong brand and good capabilities. The good thing is that as far as our Bank is concerned, despite being a new entrant, like I said, just a goodwill brand image, whatever you call it, even if you're paying competitive pricing, we are competitive to our peer group, we are able to get to the deposits . I just put this in one more thing. So , let me say a big four , they have all the legacy benefits I told you. Now, think of the next four Bank s like, say, IndusInd Bank , YES Bank , say, maybe Bandhan Bank , our Bank , maybe few Bank s which are t ier-2 Bank s in that sense . Among those Bank s we are like very well priced , like competitively priced , we don't pay more. In fact , now we are nudging in the bigger Bank category by offering 3% from zero to 1 lakh. And still this kind of deposit s are flowing to us. So , it gives confidence to us.
Jay Mundra: A small observation and maybe you can correct, right . So, FY23 slippages as a percentage of AUM was around 3% and considering current quarter slippages are also around 3%. So is this the normalized run rate for slippages or you think basis your 99.5% collection efficiency, the slippages should ideally be around 2% and hence there is some scope. So yes, that is the broader question.

V. Vaidyanathan: This concept of slippages and etc. , and their correlation with credit costs has to be very carefully understood here. That will define what is that 99.5 %, 99.5% m eans 0.5% moves from zero bucket, that is current bucket of zero to 30 , and 99.5% is collected from that current bucket. Now, from that bucket that is 0 - 30 to 31 - 60 some more customers slip . From 31 - 60 to 60 - 90 some more customer s slip and so on. When we look at slippage , there is also flow forward , flow backward . Different Bank s have different kind of product suite. So, for example if you have a home loan probably never slip at all. If you went to a company for the commercial vehicle , they will probably have a lot of slipp age, have a lot of collection back , right , even aft

er 90 DPD .
So, therefore, depending on businesses, they all have different slippages, different collections. But the way to look at is not only one metric, there are these five metrics you should track . As far as we are concerned, the five met rices to track which has helped us very well for over a decade now, and this makes process follow . #1, what is the collection percentage? We told you the number 9 9.5%. #2, what is the SMA ? We told you the number like 0.77% . #3, which is you could probably be in a band, even 1% is also good enough #3, what is the gross NPA ? #4 what is the net NPA ? #5 what is the credit cost at our provisioning policy ? So, if these five things are met, then the rest is taken care of . We are following this for a long, long time. And mind you, I specifically fla g credit cost because the Bank or anybody can take more provisions or write -off

more and claim to have low gro ss and net N PA. But we don't do that. We also show a credit cost and we guide the credit cost and we meet the credit cost.

Moderator: We have a next question from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: A few questions have already been answered. A couple of questions . I heard that you talked about more in a detailed way on the branch vintage and all that thing. If you can also talk about on the customer acquisition run rate, what has been in your Bank for the last couple of quarters and vis-à-vis what was the run rate for, let us say , a few years back on that ? Also, nowadays I mean when I hear a lot of Bank s, I mean people all talk about going more penetration on the existing customers base. So , on that front I mean , what would be your product per retail customer, how has been that trend if you have any analysis or any thoughts there?

V. Vaidyanathan: So now this thing about number of accounts and how the trend line of product per customer etc ., is, see, we are let me say little underperforming on product per customer . If any of your customer you may have notice d that you're not getting aggressive calls from the Bank , you don't get too many calls from the Bank and pushing product s, we are trying to tone down our team , so that we don't disturb the customers too much. Of course , it's an exception to the rule and if any of them is disturbed, I apologize for that. But generally , 99% of the time you will not get very many calls from the Bank . So, our product per customers a re little lesser than and we find i t's an opportunity actually but we want to keep the current strategy of keeping the smell of a bank good and #2, if you take any of the establish ed Bank , who have been there for maybe 20 , 30 years , they have two engine s that fire for them every year. One is, imagine a Bank that's already sitting on 10 lakh crores of deposits and imagine that 10 lakh crores maybe about 10 %-odd will come anyway growth because Indian economy is growing , if you're a salaried customer, salaries

have gone up , and some deposits come from existing customer s anyway, just by the growth of the economy and growth of financial services . Then they raise a little more money through NTB . In our Bank since we don't have that base of 20, 30, 40 years, almost everything is coming through NTB. So, we believe that as the years progress, let me wake up in say FY27, FY28, FY29, FY30 then hopefully at that time our deposit will be like 3 lakh crores or something like that. At that time , you will find that a certain amount of good balances will come from existing customers and NT B. If other Bank s are running in two engines, we are probably running on only 1.2 engine because we are largely NTB bank . But that's the price of being a new Bank , because you have to go and acquire .

Suraj Das: But, sir, do you have any number on the customer acquisition side , what was the customer that yo

u acquired in the last quarter?

V. Vaidyanathan: We've not put it out specifically. It must be a lakh, lakh and a half something like that. W e also acquired digitally, but somehow maybe 7 0,000 - 80,000 customers a month or so , earlier, we used to acquire more than that, but then later we figured out that these customers are not keeping enough balances. At one point of time we were acquiring 1.5 lakh, 1.6 lakh customers digitally. Then we figured out the customers are not keeping enough balances , then we put a specific condition in the p rocess that please fund the money as part of the process itself. Then it drops in number of volumes ; it came down from 1.5 lakh to 70,000 - 80,000 . But at least now we're getting better quality because customers are coming with the money. That's on the digital side. Then maybe on the normal account opening side, maybe 70 ,000 - 80,000 accounts per month. So, we are focusing more on quality customers, we're not amassing millions of customers and supporting millions of customers in the market. So those things don't give us any joy. We are trying to get customers both digitally and physically meaningful relationships because we don't want to crowd our branches unnecessarily for the little ex perience for our existing customers. That's a strategy that gives you a little bit of color.

Suraj Das: Obviously , you have a proven track record on the asset quality side in this retail book. If I see your retail and SME loan, GNP A and NNPA, it is probably best in line in the industry and probably we are one of the best when compared to large peers . But at the same time, sir, I mean, do you have any other contingent provision for say in your book that is not included in the PCR calculation? And do you intend to bill, I mean, because few of the larger peers, they have built contingent buffer over t he last few quarters , in your plans , in your strategy, do you intend to build any kind of countercyclical contingent provision just to keep this retail asset quality , probably we are in the best time of asset quality and probably in the next two, three years down the line when any retail cycle comes , do you have any plans for that , creating any contingent provision buffer or something like that?

V. Vaidyanathan: First of all, that is also a good question by the way. It's just not because of the benign time I point out to , to you to look at our when the timing was not benign also. Look at demonetization, our NPA never been disturb ed. Look at ILFS Crisis or GST implementation. So, we've had good times, bad times, the quality has been good. But I do agree that it's an extraordinary even like a

COVID comes , right , when India goes into lockdown and there's no moratorium for customers . And if those kinds of situations happen, those things can happen and we should be very aware of that. We feel that barring those situations, we are really well , well covered. Now , as far as the contin gency is concerned, what we have done is we have taken our provisioning policy itself basically starts at 90 DPD in a pretty conservative manner, and actually depending on product category either between 120 days to 150 d ays to 180 days is all pro vided for. So , with that kind of a super -conservative pro vision ing policy, it's pretty unlikely that we'll have a problem. But we'll watch carefully.

Moderator: Ladies and gentlemen , that was the last question for today. I now hand the conference over to the management for closing comments. Over to you , sir.

V. Vaidyanathan: My God, it is like one hour and twenty minutes. That's a lot more than we expected. So maybe moderator , you can keep track of next time for our sake. So , thanks very much, friends for being with us today.

Sudhanshu Jain: Thank you, everyone. Have a great weekend.

Saptarshi Bapari: Thank you, everyone.

Moderator: On behalf of ICICI Securities, that concludes this conference . Thank you for joining us and you may now disconnect your line s.

Call: Jan 2024

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Ban k Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail: bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD /258/202 3-24 January 25, 202 4

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter & nine months ended December 31, 202 3

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter and nine months ended December 31, 2023 conducted after the meeting of Board of Directors held on January 20, 2024, for your information and records.
The above information is also available on the Bank's website at the following link:

https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Concall - Transcript -of-IDFC -FIRST -Bank -Q3-FY24 -Results.pdf

Request you to ta ke the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
Head – Legal & Company Secretary

"IDFC First Bank Limited
Q3 FY'24 Earnings Conference Call "
January 20, 202 4

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – IDFC FIRST BANK
LIMITED
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER
AND HEAD CORPORATE CENTER – IDFC FIRST BANK
LIMITED
MR. SAPTARSHI BAPARI – HEAD INVESTOR
RELATIONS – IDFC FIRST BANK LIMITED

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to IDFC First Q3 FY24 Earnings Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Chintan Shah from ICICI Securities Limited. Thank you, and over to you, sir.
Chintan Shah : Yes. Thank you, D orwin. Good evening, everyone, and welcome to the Q3 FY 24 Earnings Conference Call for IDFC First Bank. We have with us from the senior management, Mr. V. Vaidyanathan, our Managing Director and CEO, along with the other members from the senior management team.
So without further delay, I would now like to hand over the floor to the management. Thank you, and over to you, sir.
V Vaidyanathan: Good evening, everybody. This is Vaidyanathan. Thank you very much for joining us.
Sudhanshu Jain : Yes. Good evening, everyone. I am Sudhanshu Jain. Thank you for joining.
Saptarshi Bapari : Hi. This is Saptarshi Bapari. Thanks for joining.
V Vaidyanathan: So good evening, everybody. First of all, thank you very much for joining us on this late Saturday evening. You have many results to deal with, so thanks for joining us. The key highlights for this quarter is that we have come out with Guidance 2.0. So when you think of for Guidance 1.0, which is what we gave at the time of the merger in December 2018, at that point of time, we almost thought that the first year will be gone in just dealing with many matters. So we gave a guidance for 2025.
While that guidance stays, and we will still keep it on the website and we'll track ourselves to it, you will continue to see it. In the interim, we just saw that this quarter marks exactly the end of 5 exact years after merger. So we've come out with the Guidance 2.0.
When we gave the Guidance of 1.0, we could just say that we really had very little visibility, because merger just happened, Capital First-IDFC just merged and the retail deposit book was something like about Rs.10,400 crores to be precise. The loan book was something like about Rs. 1,04,000 crores.
We had bonds about maybe Rs. 50,000 crores or Rs. 55,000 crores. We had wholesale deposits of about Rs. 30,000 -odd crores. We had certificate of deposits, just two -month money, which was about Rs. 28,000 crores. So that's sort of an odd base on the deposit & borrowing side was largely institutional, we call it, 92% institutional.
Again, on the asset side, a lot of things, would have been under uncertainty. Under those circumstances, we still came out with the guidance. And then after that, we saw COVID, we saw

many things. But I'm happy to say that almost literally on every benchmark, we are coming good. On one front, probably maybe 1 or 2 elements, they are not right up there, but I think we'll get close.
So, let me just say that during this period over the last 5 years, the key success for the bank has been deposits. Just to share with you that the retail deposits of 31 December, 2018 was precisely Rs. 10,400 crores.
Today , just 5 years, it is Rs. 1,39,431 crores. That is a growth of Rs. 1,29,000 crores. If you take the total deposits, we also had Rs. 29,000 crores of wholesale deposits with us. So Rs. 10,400 crores plus with wholesale deposit of about Rs. 29,000 crores, have made it Rs. 39,602 crores to be precise. That Rs. 39,600 crores is today Rs. 1,76,481 crores. So that is again a good growth on deposits. So the third is CASA ratio. CASA ratio now has come to about 46.8%, which is again quite strong.
So let me just say tha

t one defining factor for the last 5 years has been deposit growth period.
And all of us know the deposits practically are the foundation of any bank. And this kind of deposit growth has come , despite the fact that along the way, we dropped the interest rates. Most people thought that we stay with a 6%, 7% strategy for long time. But literally, within 3 years we dropped it. And now we pay 0 to Rs. 1 lakh, we just paid just 3%. And still, last quarter, we saw deposit grow by 43% Y-o-Y.
So I think that, once deposit is strong, we are sorted. We are sorted I say because the contra side is loan book. Now the loan book, if you see, has not grown very much during this period over

the last 5 years , the loan book has grown from Rs. 1,04,000 crores to Rs. 1,89,475 crores . So you might say that if the deposit grew so fast, 4.5x in 5 years from Rs. 39,000 crores to Rs. 1,76,000 crores, then how come loan book only grew this much? All of you seasoned investors know the reason that we slowed down loans just because we wanted to fix the CASA ratio.
So basically, the point is that on the asset side, we have a strong, stable business model. I'm actually happy to share that our NPA now for 14th year running, meaning it will become the 14th year in March of 2024. Now 14 years really a long time, I hope you all agree that our gross NPA and net NPA has been 2% and 1%, really long time. And in these 14 years, we have broadly migrated from lending to the largely unorganized segment when we start ed, to now we have become relatively more like prime bank, for example, if we did give loan against property, say, 8 years ago, 10 years ago, we would lend at maybe 12% or 13% because the banks were doing the prime loan against property of maybe 9%, 9.5% then. Today, we lend at 9%, 9.5% on the loan against property and then maybe there are other NBFCs lending at maybe 13%, 14%. So we've come down the risk curve. And therefore, we're feeling much more stable about our credit quality going forward.
Now the gross NPA at the end of this quarter is just about 1. 45% on the retail side, retail MSME and rural side and the net NPA is only 0.5 1%. So it's been a very long time to have sustained quarter -on-quarter, year -on-year for 14 years, let me say, 13 years and 3 quarters to be more precise. It really gives us a lot of confidence. And now anyway, since you come down the risk to become a littl e more like the mainstream bank, I think this should continue now for a while.

So therefore, there are 3 things that jump out at our last 4, 5 years of work is that the deposits grew, the loan book grew, the asset quality is stable. Now the second part is that when we look at our bank, there's a lot of harmony within our bank. Harmony, meaning the way the bank is working, the way the system is working up and down across, up and down the chain, interdivision. There is a lot of tranquillity and they just focus on our work. And that gives us an ability to move smoothly ahead.
And with all a lot of teamwork going in the bank, today, myself, Sudhanshu speaking to you and Saptarshi . But frankly, we're speaking on behalf of all our employees, that this success is actually comes back a while from Dr. Rajiv Lall because I really don't want to go back in time and say this was the issue or that was the issue because really someone worked very hard and almost against impossible odds got this bank, a bank license.
So let me just say the first note of thanks starts with him. It's like an impossible feat. But after that, if he had not got the license, I guess, there will be no IDFC Bank today , or IDFC First Bank. And after that, it starts about how the bank has built over the last five years and things all come good. Now, based on what has happened and how the foundation is built, and also based on the momentum that we are having, we are now looking forward to h

ow the next five years would
look like. When you look at the next five years, today we have a lot more visibility.
I started this conversation by saying we had less visibility when we started, when we gave the guidance 1.0. But now we have far more visibility. We have a stable lending model. We know we are originating about Rs.45,000 crores a year on deposits. And now we are trying to only extrapolate what it would take for us over the next five years. So we are now guiding that our deposit base as of December 31, 2023, is Rs. 1,76,000 crores as we close this quarter.
We believe that we will be something like about Rs. 5,85,000 crores as of March 31st, 2029 . Now, if you think that's a very steep climb, just remember that we came from Rs. 38,000 crores to here. Now, the other reason why we should be reasonably confident about this is that currently deposits are growing upward of 40 %. For the next five years, we've assumed a deposit growing only by 24.8%. We think this should be reasonably easy for us.
Next is assets. On the assets front, as you know, we started with Rs. 1.04 lakh crore , and today we are Rs. 1.89 lakh crore . Now, we are guiding that our assets will be Rs. 5,00,000 crores in March 31st, 2029. So, again, don't think it's too steep a jump from Rs. 1.89 lakh crores to Rs. 5,00,000 crores because we are guiding for only a 20.3% growth , five year CAGR. We are currently growing 24.5 %. So, 20% should be easy, should not be a problem.
So, a Rs. 5,00,000 crores loans and advances book, now including SLR, CRR etcetera, will take us to an assets of about Rs. 7,00,000 crores. Third thing is, after deposits and assets is asset quality. Now, asset quality, today, our gross NPA is only 2.04%. But remember, this has infrastructure. We know infrastructure will go away. We are bringing it down. So, if you see excluding infrastructure, today our gross NPA is 1.66% and our net NPA is 0.47%.
We are guiding for a gross NPA of 1.5% and net NPA of 0.4%. That's what we'd like to keep the bank at. Again, considering already 1.66%, 1.5% should not be a problem. And considering

net NPA at 0.47%, maintaining 0.4% should not be a problem, broadly. Give or take economic conditions, another COVID coming, caveating, those kind of events happening. This should be achievable the way we are building the business.
Fourth is profitability. Now, we believe that the bank is comfortably moving towards an ROA of 1.9 % to 2.0%. Now, if you do the maths and you multiply 1.9 % or 2.0% on Rs. 7 lakh crores of assets, you can see that Rs. 7 lakh crores was a closing number. So, the average assets of FY 28-29 should be something like about Rs. 6.3 lakh crores. On Rs. 6.3 lakh crores, you apply 2%, you're getting to about, Rs. 12,500 crores.
So, we are thinking that our broad guess is that we could be somewhere around Rs. 12,000 crores to Rs. 13,000 crores in profitability in March, 2029. For context, for this year, nine months, we are like Rs. 2,230 crores. On the annualized basis , you're getting something like about Rs. 3,000 crores. So, we believe that Rs. 3,000 crores going to Rs. 12,500 crores should be very possible. And, if we deliver the first four items, you grow the loan book to, about Rs. 5 lakh crores, grow the deposits to Rs. 5,85,000 crores. The rest should fall in line because our business model is pretty straightforward and if you maintain asset quality. Now, ROE is the last one. We've had a tough time dealing with our cost -to-income ratios and ROE, etcetera, because our cos t-to-income was always high.
We did explain to many of you that it's because of the set -up stage of the bank. We had branches, this ATM network technology, all the stuff we told you. But, net -net, it's been part of, we are very clear it was the set -up stage of the bank and we had to do what we had to do to build the bank for the fut

ure. So, think of it like the first half, or let me say the first five years have gone into building the foundation of the bank.
That process of laying foundation never go away because banks are forever getting built, but we believe phase two, we will be able to reap the benefit of phase one. And therefore, we are guiding for ROE of somewhere in the zone of 17% -18%, give or take. S o, I would say that these are all in good faith because we have done a reasonable, we have done our spread sheets and we've analysed it many times over between Sudhanshu, myself, Saptarshi, etcetera.
But we're still saying this in good faith as results may vary. It can happen. We may have achieved, overachieved, underachieved, whatever. But hardly I'd say more than achieved in guidance one. May, may not be achieved in phase two. So, please take all ou r caveats seriously. But these are being given in good faith with numbers which we believe are reasonably achievable.
And, for a bank starting where it was in 2018, December, in 10 years, to reach a position of Rs. 5 lakh crores of loan book and Rs. 6 lakh crores of deposits and Rs. 12,000 - 13,000 crores of PAT, with ROA of 1.9 % - 2.0%, ROE of 17 -18%, will be a solid position to be in. And more importantly, the directionally will be looking good.
And other things, anyway, apart from these numbers, the bank is a good bank, really high -quality bank, good customer practices, good culture, good governance, really very high -quality board

with high -quality people. All of them have been to a lot, very sensitive to regulatory commentary and so on, and wanting to work within the guidance of the law and guidance of regulations.
So, that sort of, compliant bank, I think that we are set for, we are reasonably well set. So, that would be my brief comment to start the discussion.
Sudhanshu Jain: Thanks Vaidya. I'll quickly touch upon certain key numbers. I'll try to keep it short. To start with, the overall balance sheet size now is at Rs. 2.7 lakh crores, and balance sheet expanded by 22% on a Y-o-Y basis. We continue to see a very strong momentum on our lending book as well as the deposit book. As Vaidya mentioned, customer deposits increased by 43% on a Y-o-Y basis. It's now Rs. 1.76 lakh crores. In fact, the growth in retail deposits was higher at 47% on a Y-o-Y basis. CASA ratio also, you would have seen, has improved sequentially to 46.8%. CASA deposits increased by 29% on a Y-o-Y basis. Average current accounts have increased by 33% on a Y-o-Y basis. And by average, CASA increased by 26% on a Y-o-Y basis.
We also continue to see a faster growth in term deposits, which grew by 59% on a Y-o-Y basis, as customers preferred to lock in the interest rates which are prevailing in the system. The growth here also was predominantly driven by retail. Retail deposits ratio to total customer deposits continues to improve and has increased to now 79% vis -a-vis 76% at the start of the year.
We have opened about 35 branches during the current quarter, thereby taking the branch count to close to 900 branches. The high cost legacy borrowing is further reduced by about Rs. 1400

odd crores during Q3 and another Rs. 1300 crores is scheduled for runoff in Q4 FY24. We have given more details around this in the presentation.
Moving on to the asset side, overall funded assets grew by 24.5% on a Y-o-Y basis to reach Rs. 1.8 lakh crores. I will cover this in four segments. Retail book comprising a mortgage, vehicle portfolio, that's essentially car and two wheelers, then consumer loans, credit card, education loan and vehicles. This portion of the book grew at 29% on a Y-o-Y basis.
We have seen strong growth across all categories. Growth in certain segments like vehicles and consumer were also relatively higher on account of higher demand due to festive seasons and our increasing presence. Talki

ng of credit cards within retail, the bank has now issued more than
2.2 million cards. The book has almost touched Rs. 5,000 crores. The gross spends on credit cards increased by 61% in 9M FY24.
Further, the SME book, which is for business purposes and the corporate segment increased by 16% on a Y-o-Y basis. Also, happy to report that infrastructure book is now just nearly 1.6% of the total funded assets and now below Rs. 3,000 crores.
Moving on to asset quality. The gross NPA of the bank further improved by 7 basis points during the current quarter and stood at 2.04%, and net NPA ratio stood stable at 0.68% during the current quarter. As Vaidya mentioned, if we exclude the infrastructu re book, the GNPA improves to 1.66% and net NPA improved to 0.47%.
GNPA in the Retail, Rural and SME segment also improved by 8 basis points to 1.45% and the net NPA is now just at 0.51%. The overall standard restructured book continues to come down

and has further reduced to 0.35% of funded assets as compared to 0.38% last quarter. More than 93% of the restructured book is secured in nature.
Moving on to profitability. Profit after tax for 9M FY24 increased to Rs. 2,232 crores versus Rs. 1,635 crores in 9M of last year, up by 37%. For the quarter, profit grew by 18% Y-o-Y to Rs. 716 crores. This was largely driven by strong growth in core operating income. Core operating profit, which is NII plus fees excluding trading gains, for 9M FY 24 grew by 35% Y-o-Y. For the quarter, it grew by 24% to Rs. 1,515 crores. For the quarter, NII increased by 30% on a Y-o-Y basis to Rs. 4,287 crores.
The net interest margin improved by 10 basis points on a sequential basis to 6.42%. Fee also registered a strong growth. It increased by 32% to Rs. 1,469 crores for Q3 FY 24, and this was largely retail -led, which is at 93% of the total fees. Operating expenses increased by 33% on a Y-o-Y basis due to strong business volumes witnessed during the quarter, I would say, branch expansion and some increase in other expenses, like marketing and so on.
We had a trading gain of Rs. 48 crores during the quarter, and provisions came in at Rs. 655 crores for the quarter. The credit cost as a percentage of average funded assets for 9M FY 24 stood at 1.26%, which is well below the guidance which we have given earlier. We are not impacted by the guidelines which came recently around AIF investments at all.
On an annualized basis, ROA stood at 1.16% as against 1.05% in 9M FY23 and ROE stood at 10.7% for 9M FY 24 as against 9.9% for the same period last year. The bank has maintained strong capital adequacy. The capital adequacy now stands at 16.73% at December 31st 2023, with CET ratio at 13.95%. This takes into account the capital of Rs. 3,000 crores, which we mobilized in earlier October.
We continue to maintain healthy liquidity levels and average LCR was at 121% for Q3 FY 24. We have been maintaining this on a consistent basis across quarters, if you see our previous numbers. With this, I have covered broadly all the facets, all the numbers, key numbers, we will be happy to take the questions.
Moderator: Thank you. The first question is from the line of Ishan Agarwal from Erevna Capital. Please go ahead.
Ishan Agarwal: Hi, good evening. Thank you for the opportunity. I would say, decent but slightly underwhelming performance by the bank. So I have three questions. Should I ask them together? Or should I shoot them one by one?
V Vaidyanathan: One by one better.
Ishan Agarwal: Okay. So the first one, in our previous earnings call the management has always highlighted that core total income will grow faster than opex for FY 24, FY 25 and FY 26, and that is how operating leverage was going to play out. It is slightly disappointing to see opex here growing 33% Y-o-Y and income growing 31%, which, in turn, has upped our cost to income from 72.

1%
last year to 73.3% this year. What is really causing this pain in opex? What are the factors playing out? And what the management could not envisage while giving the past numb ers?

V Vaidyanathan: Let's take them one by one. So thanks for that very crisp question. See, the thing is I have always mentioned to you, I don't know Sudhanshu may have told you again and again that listen, please don't track it every quarter by quarter.
See, very early stage banks, sometimes one odd item expense scatters up, some digitization expense scatters up on some other product, something happens one quarter to the other. If you go Y -o-Y, all our past guesses have come right, I want to just point out one number to you, that if you take a 4-year window, that is 2019 to 2023, you have seen that the balance sheet has grown by 9% from the time of merger to today , but PPOP has grown to 43%. So my point, and by the way, I'm not claiming jaw will be that wide . But definitely for a balance sheet , loan book growing by about 20%, and for the operating profit to increase about 30% to 33%, should be the kind of zone you should look for the next 4 -5 years.
So, you know, really one, I told you, it's an early stage bank, really difficult to point out, this quarter, this happened, that happened, it's a waste of your time and waste of our time.
Ishan Agarwal: I understand, but this was a Y -o-Y increase in cost to income, and that is why I highlighted this. So it's not quarter on quarter, which I'm comparing, even year -on-year from 72.1, it is up to 73.3, whereas we are expecting maybe a plateauing or maybe a d ecline from here on?
V Vaidyanathan: So, I agree with that. I fully agree with that. I'm just pointing out to you that , I say this result is a bit underwhelming, we should have expected to post a little better, at least at PAT level, we should have posted a bit better.
Ishan Agarwal: Actually, core operating profit , not even PAT, I mean there can be some one -offs, but that is slightly underwhelming on that part?
V Vaidyanathan: I agree, 100% agree. Could have done a bit better, could have expected a little better. But it's, you know, like I said, we are running a long game here for 10 year game, out of which five, we finished, maybe even longer from there, maybe many, many decades after t hat. You know, just take this part of just slight moments upon people here.
Ishan Agarwal: So, going ahead, do you expect that cost to income should start declining from year on, or do we still expect it to keep at this level for a year or two?
V Vaidyanathan: Our sense is that Q3, Q4 of FY 25 should begin to see material movement onwards. We feel that, there are some movement, for example, in next one or two quarters there will be some impact because we do the digital loans . In the digital loans, for a period of time, there was no FLDG permitted .
And last quarter, FLDG got permitted. Now, we had a certain structure with the counterparty. Now, we moved on to the structure with FLDG.
When we moved to FLDG structure, the benefit of not having credit cost, because the counterparty will guarantee that FLDG, that benefit will come two quarters from then, meaning when the credit cost would have hit us, they would have supported us, they wou ld have paid for it. But in the interim, the impact would be there. So, I don't want to confuse all of you with all

this mathematics, but the point is that our own sense is that next quarter we'll move over to the FLDG structure.
So, the benefit of moving to FLDG structure will come in Q3, Q4 of FY 25, and which will show up in credit cost line. So, therefore, these movements will slightly give better benefits for us by exit quarter of FY 25.
Ishan Agarwal: Okay. So, now, as you mentioned about FLDG, my next question was actuall

y regarding credit
cost. While our loan book has grown by, say, 24% Y -o-Y, our provisions have grown by 45% Y-o-Y in spite of all collection efficiency numbers, SMA numbers improving Y -o-Y. So, what is the reason for this?
V Vaidyanathan: Yes, I said this to you earlier also. Oftentimes, when we compare Y -o-Y for early stage banks, either last time there would have been something very much in effect. Remember, we were running credit cost of only 1.15%.
Ishan Agarwal: So, is there any one -off this time, or this is normalized?
V Vaidyanathan: Just hear me one second. So, we were running really very low credit cost for a book that is giving the kind of yield and NIM it is giving us. Our credit costs were running so low. In fact, many people used to scratch their head here, how can a credit cost be only 1.1%? Even lower than many top banks. So, during post -COVID, we were getting certain recoveries. Because, if you remember, during COVID, we took provisions. Now, many of the recoveries started coming.

So, the last two years, we were getting the benefit of the recoveries.
So, some of the recoveries we also paper off. So, that is why I said sometimes, there might be some odd jumps here and there. Also, we moved over to the 90th day recognition of NPA rather than 91st day.
And that also had some impact. Think of it like here and there. But our guidance is that, let me step back for two minutes, because this quarter had a few items here and there . Let me just step back and just give you what we see. And that is the heart of it. What we are seeing is our collection percentage, which we reported at 99.5% now for literally like two years at a stretch now.
Last month in December, it stood at 99.6%. Let me call it 99.5% for simplicity's sake. So, if collection percentage stays the way it is . Cheque bounc e is also very low at 6.3% , which also we are collecting during the same month in a big way. So, the point is that the underlying parameters are strong. So, there is no reason like fundamentally to be disturbed or anything like that. I mean, you watch our next quarter, you see the results for yourself.
Ishan Agarwal: Okay. Okay. And one more from my end. With the new RBI norms on risk weights for unsecured credit, our Tier 1 capital adequacy is down to less than 14 in spite of the capital raise that we did last quarter, that is in October. So, now given that it is at 13.95%, when do you think we will again have Tier 1 capital to show up the capital adequacy?

V Vaidyanathan: We will watch the numbers with the way the profits emerge over the next four quarters and then make up our mind.
Ishan Agarwal: Because we do have an idea of the capital consumption that the bank will do. So, what is your target that, okay, we do not want to go below Tier 1, say 12.5 or 12%
V Vaidyanathan: No, we do not spell out precisely when you raise capital. It is not a good strategy for any bank to exactly put out in the market and raise capital. I hope you will agree. So, we will make up our mind as it goes along, depending on the numbers.
Ishan Agarwal: Okay. Just one more. So, if I look at the cards data released by RBI, it is unusual to notice that the number of debit cards enforced for IDFC in November has reduced for the first time as compared to September. So, from 67.8 to 66.5 lakhs. So, is there s ome reason? Were there some dormant accounts closed or what?
V Vaidyanathan: Yes, there could have been some dormant account cleanup being done by the respective teams. Otherwise, in flow, see basically the bank is more and more moving towards quality. We are like very first about it.
So, we are opening lesser number of accounts than before on the bank account, especially on the digital side. But we are focusing on quality. So, the inflow is very strong. That is how we saw growth of close to about Rs. 4,000 crores a mo

nth of deposit that kept coming in. So, let me say deposit is rising very well. There would have been some closure of some customers or inactive and those kind of respective product teams keep doing the work.
Ishan Agarwal: Okay. Thank you and all the best. It is really commendable the way the bank is growing the deposits. Thank you.
V Vaidyanathan: Thank you very much.
Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from Philip Capital. Please go ahead.
Shubhranshu Mishra: Hi, good evening. Thank you for the opportunity. Two or three questions. The first one is around the personal loans. I just wanted to understand the run rate of personal loans that we originate from various fintechs and the level of FLDG that we do from t hese fintechs. My fair understanding is that a lot of lending partners do slightly above 5% or maybe above 5% which is the mandated requirement of FLDG?
The second is on the vehicle finance. If we can give out the split of a car finance, new car finance and used car finance and the outlook for the industrial search and our own growth estimates in FY 25. These are my two questions. Thanks.
V Vaidyanathan: We do work with fintechs broadly but we have not exactly calculated and put out who is doing how much . But let me say broadly it is growing. We are very conscious that on the personal loan front, personal loan meaning basically the unsecured personal loan given, our model is largely lending to salaried people who want to take personal credit, typically te rm loans.

In that model, I think things are running pretty well for us. Some originated through partners,

some originated by ourselves, some originated through DSA , etcetera. Second question is about vehicle finance. We have more on the used car financing side than the new car type though we also do new cars. But new cars have no margin and it is just a waste of time and money. So we give it only to our customers.
Our customers who come to our branches and our base, we lend for new cars. With our limited capital, we will use it for either two -wheeler finance or for used cars. And credit quality has been so fantastic. So why waste money on the new cars?
Shubhranshu Mishra: Thank you for that. If I can just squeeze in one last question in terms of fintechs. When we on -board a customer onto our balance sheet when we are taking the risk, that customer permanently becomes ours.
What I mean by that is that once it is on -boarded to our balance sheet, it is only we who own the customer in terms of any kind of cross -sell, up -sell of credit, non -credit products. So the fintech through which it was originated can also do any kind of cr oss-sell, up -sell as well?
V Vaidyanathan: This is the typical complication that happens in this industry. So typically, digital partners like to also , do other things for the same customer. But, we are very clear when we work with them that with anybody for that matter, that our bank have absolutely one condition non -negotiable for us is that we have full rights to access the customer and we will do business with the customer.
This is very important to us. It's a fundamental consensus issue. Now, the same party, if some party originated with a stockbroking firm which did stockbroking and by the way gave us some personal loan, well, I'm sure they'll do other things for the same c ustomer as well.
Shubhranshu Mishra: Understood. So the status of the customer is transient and not permanently ours. That's a fair understanding?
V Vaidyanathan: That's a fair understanding, Yes. But when we get our salary customers and we lend to them, we feel more in control because it's our customer, 100%. But when it's originated by a party, sometimes the party also does something with the customer.
Shubhranshu Mishra: Understood. Thank you so much. I'll come back and mee

t you. Thanks.
V Vaidyanathan: We should be respectful of their income and P&L also. Let us be happy as long as the customer is happy.
Shubhranshu Mishra: Understood. Thank you so much. I'll come back in the queue.
Moderator: Thank you. The next question is from the line of Gao Zhixuan from Schonfeld. Please go ahead.
Gao Zhixuan: Thanks so much for the opportunity. So the first question is just data keeping. How is the growth and the net slippage number this quarter?

Sudhanshu Jain: Yes, slippage for the quarter was about Rs. 1,400 crores. If you see, it's broadly flat as in the previous quarter. And even if the net slippage is flattish, it's at about Rs. 850 crores for the current quarter.
Gao Zhixuan: Got it. So last quarter, we talked about there's some timing issues at one of the last quarter slippages. So is there any such issue that is repeating this quarter? Or are we expecting, you know, slippage to be gradually trending up from here?
Sudhanshu Jain: No. So we feel quite comfortable as Vaidya mentioned that we are seeing a consistent asset quality. Right. So even in this quarter, the slippages are not gone up as the book has expanded. So we feel that we should be quite okay on this one.
Gao Zhixuan: So why does our credit cost is trending up while our slippage were similar to last quarter, you know, our credit cost should not be trending up. And our coverage ratio is similar to last quarter. So I just want to understand that?
Sudhanshu Jain: If you see that credit cost has been for this nine months has been just 1.26%. Right. We had guided the market for 1.5%. Of course, we have been coming lower. This quarter we have seen a slight jump. Right. But that's a combination of an existing book where you as the aging happens, some more provisions co me in. So as you rightly said, the growth in the gross slippage that has been quite stable.
Right. And other indicators also like if you see the cheque bounce rate which we have presented the data in the presentation that it continues to be lower. Right. First cheque bounce is about 6.3%. Even the collection efficiency is quite stable. Right. Over the quarter to 99.6 %. So which talks of that the incremental book which is getting built is quite pristine. Right. We may have, as I said, some of these provisioning impact become because of aging and so on.
The point which I trying to make mentioned was that gross slippage and net slippage has been quite stable. If you see the asset quality indicators, right. In terms of our cheque bounce, right. That's down from 9.9% to 6.3% , right, over the period. And similarly, collection efficiency is quite stable for early buckets in 99.6%. So we feel quite sort of confident on the incremental assets which are getting generated.

As I said, some of these provisions could come in because of aging, there could be some smaller, lesser recoveries during the quarter. So that is precisely the impact, which some of that impact, which has come during the coming quarter. For the nine months , if you see, the credit cost has been just 1.26%, and which is well below the guidance, which we had given earlier. So we feel that things should normalize from here and should continue to stay so.

Of course, we are very cautious in terms of sourcing, in terms of credit underwriting and so on. So we'll continue to exercise prudence on this front.

Gao Zhixuan: Got it, sir. And second question is on the guidance. Just wondering, if I remember correctly, previously, we were talking about next four to five years, 25% growth is quite sustainable. So I'm just wondering, our 20% growth kind of guidance now is it just on a conservative basis? Or

is there some change in strategy that we may be focused a little bit more on the profitability side, maybe slow down gro

wth a little bit or it's some RBI -related issue?

V Vaidyanathan: See, basically, when you look out, probably better to be guiding at a number which you feel is reasonably safe and in the bag. Does that answer your question?

Gao Zhixuan: Yes, sure. Thank you, sir.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Yes, hi. Good evening. So, o ne question on CD ratio. While the bank has been doing well and the CD ratio has been coming down pretty consistently every quarter. And any discussions about this with the RBI given the ongoing like media reports about this? And any near -term targets, therefore, that you have?

Sudhanshu Jain: So if you see that we have been bringing down the CD ratio because deposits have been growing faster, right? Of course, we had legacy problems, right? That's why our CD ratio was 137% at merger, right? If you see even into this year, so far, we have brought it down from 109% to 101%. And maybe by the end of the year, we will be lower than 100%. And even in the guidance, if you see our deposit growth is at faster than the loan growth, which we are guiding. So this should keep coming down as we sort of move along.

Sudhanshu Jain: So I'm saying, just for the one data point is that incremental CD ratio if you see for this year is about 80%. And for this quarter, it was just 65%. So as long as our deposits continue to come strong, right, and we feel that we should be able to improve on this ratio. We feel quite confident of bringing it down.

Nitin Aggarwal: Okay. Sure. And second question is on the opex, wherein we are seeing a fair bit of an increase. So if you can provide some colour as to what are the key drivers within this number so that we can better appreciate the operating leverage that is likely to p lay over the coming years and from Q4 FY25 that you are indicating?

V Vaidyanathan: If you look at the guidance . See, for you to really appreciate where this gain is headed and I read out the operating leverage numbers at a bank level that we've been seeing year -on-year. This year let me say that the operating leverage has not paid out that much because there's digitization expenses and technology and we are building the bank for the future.

And that has been our consistent strategy, as you know, thus far. So therefore, we feel that from next year onwards, like we said, Q3, Q4 of FY25, we should see meaningful movement. And our own estimate is that the opex of FY25, should just increase by about 20%, where the loan book or the income could rise by maybe 24 %-25%. So, we feel that in FY25, we should start seeing material opening of the jaw.

And again , one thing you should know , in the way we are building out Story 2.0, that the deposit numbers we have kept very modest . Imagine just going at 20% or 25%. We used to be going at 40%, 25% is nothing. And remember , what is something unique will play out after FY26 onwards . I'll tell you what is unique.

Today, even when you're growing the loan book at 24.5%, bank is funding this growth of 24.5% from deposits, and assuming we were not borrowing anymore, funding it from deposits. Plus, we are repaying bonds pertaining to the pre -merger. So we are carrying double burden. You fund yourself and also pay the past liabilities.

Now, by 1.5 years from now, that lot of it would have gone away, let me say two years. And then after that, you're only funding a loan growth. For somebody who's used to carrying such heavy weight, that should be relatively lightweight actually for us. So that is a material change coming in our life from FY26 onwards .

And we've done the math, there is a big relief in the requirement for deposits then. And actually,
who knows, we might even cut deposit rates, and that might be positive for the bank.
Nitin Aggarwal: Right.
V Va

idyanathan: Or we'll put lesser branches, one of the two, if you give.
Nitin Aggarwal: Yes. And sir, last question is on the Guidance 2.0 wherein you are giving guidance on key metrics. But when you look at the ROA of 1.9% to 2% by FY29, what levels of margins and cost to income ratios are you baking in?
V Vaidyanathan: Cost to income ratio looking like more like about 55% by the exit year FY30, that would be like like 57-58% or something like that by FY29.
Nitin Aggarwal: Okay. And margins?
V Vaidyanathan: Margins resuming similar stuff.
Nitin Aggarwal: Okay. The earnings is like implying a 30% CAGR .
Moderator: We request you to please re -join the question queue for further questions.
Nitin Aggarwal: Sure. I am done. Thank a lot.
V Vaidyanathan: Thank you.
Moderator: The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.
Sameer Bhise: Yes, hi. Thanks for the opportunity. Just wanted to get a sense on the others portion of the loan book, which is roughly Rs. 15,000 crores and growing at a fast clip.
Sudhanshu Jain: So this would include digital loans portfolio, which we have. We have given in the presentation that it includes digital loans, it includes some portfolio buyout, which we have done and some revolving credit. So that's part of the others book.
Sameer Bhise: And would this portion be secured or unsecured? I mean in entirety.
Sudhanshu Jain: It depends on what you're buying, no? But chances are we'll be buying the secured portfolios to the extent of the buyout. And to the extent digital loans could be unsecure also.

Sameer Bhise: Okay. This is helpful. And secondly, I think in the opening remarks, Mr. Sudhanshu said that there's no impact of the AIF guidelines on the bank. I just wanted to reconfirm.
Sudhanshu Jain: Yes, that's correct. We have nil impact on that account.
Sameer Bhise: Okay. Great. This is helpful. And congratulations on a good quarter, strong guidance. Thank you.
Sudhanshu Jain: Thank you, Sameer.
Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: Thanks for the opportunity. Just on that guidance for FY 29. What will be the normalized credit cost that we are assuming there? That's first. And secondly, what would be the losses that we are incurring currently on the credit card portfolio and on the branch liabilities piece right now?
V Vaidyanathan: See, all products are mixed up, when we announce a bank level credit cost , we guide for 1.6% , so our current numbers include everything. So we will not step -- product by product. But let me just say that , for the upcoming five years, we have assumed a little higher credit cost than what we are currently incurring because there's one benefit we have been getting in our credit costs thus far.
One is that I mentioned earlier, during COVID, there were charge -offs and now recovery is happening because you may charge off a loan but end of the day you're collecting. So that kind of a recovery has been coming to us last two years. And we believe that all those benefits will go away. And also, we should be prepared for a slightly higher credit cost, generally, in the ecosystem, nothing to do about us.
So we assume a slightly higher numbers than what we're currently incurring. At least when we've given this guidance, we've parried it up reasonably, I'd say.
Rohan Mandora: Sure, sir. So this essentially means ROA expansion is predominantly driven by improvement in opex, so NIMs is flattish and credit cost would marginally go up from current levels. Okay. And on the question on credit card portfolio losses that we're incurrin g right now and the branch expenses?
V Vaidyanathan: I told, we're not calling out how much we lost in LAP or at this sort of used car. We're not giving you product by product.

But broadly, at a bank level, we are in a very good control. It's super low.
Rohan Mandora: Yes. I was trying to understand operating losses in the credit card portfolio, like we used to disclose earlier?
V Vaidyanathan: So I told you when we put out our numbers, we put our credit cost numbers at the entire retail level or at the overall bank level, because some products you have a good quarter, some products doesn't have a good quarter, some products have more slippage, something has less slippage,

something else. But you should look at a composite manner from quarter -to-quarter and year -to-year.

And that number is trending very well. Last year, our credit cost was 116 basis points. Even in the month of year of COVID, just think of two minutes, I don't want to take it too much back in time, FY 21-22 was a period of COVID second wave. I think April, May, June of 2021. In that period, moratorium did not happen, but lockdowns happened.
So obviously, in Q1 a provision was taken. But for the full year, provision to average book was only 2.51%. So we feel that one of the best things that is happening to our bank is that even in the worst period of COVID, our credit cost average book was, among the best among the peers. You would imagine for a book that is yielding a NIM of 6.3%, 6.5%, you'd imagine 2.5% or maybe 2% even in normal conditions. In COVID, we had only 2.51%. So , the moment COVID vanished, that is FY 22 & FY 23 credit cost came down to 1.17%. in FY 22 -23. This is super low. So, we are very confident that we're underwriting good credit, numbers are speaking for themselves.
But we believe it cannot stay this way all the time. So , we have now factored for higher numbers.
Rohan Mandora: Got it, sir.
Sudhanshu Jain: And just to add with respect to your question on credit card, there is definitely, the economics have been improving there as we are building in more book, right? The cost to income, we have given out numbers that, that was 164% as of the previous year. And we expect that to come down meaningfully to around 110% for this year . And so we have been guiding that we expect credit card to sort of breakeven into next year and be profitable in the year to follow.
So we feel that it takes some time, right? We have been just three years before when we had launched this product. So we feel that we are well on course on this book.
V Vaidyanathan: See, one thing we want to tell all of you and I want to just share with all of you, that we have never let you down in credit cost and asset quality for like 14 years now. Anybody who's been with us in capital first years will testify that we never had a credit problem. It's been five years, we haven't put one foot wrong on credit . Every year -on-year NPA is good, year -on-year credit cost is low, it's been like 14 years.
Now obviously, such a long period of time comes from disciplined underwriting processes, continuous tightening of the norms and revising the norms, continuously staying in the cutting edge of technology, good governance in terms of the number of people who ins pect the portfolio.
So all these things, we have no intention to relax.
And at least, while we have mentally factored for a slightly higher credit cost because we believe we should be generally pessimistic about these things, or cautious about these things. But we haven't had a problem and we'll make sure that we'll try our best to ensure that we don't give you any surprise on this part.
Rohan Mandora: Okay, thank you.

Moderator: Thank you. The next question is from the line of Anand Bhavnani from White Oak Capital.
Please go ahead.
Anand Bhavnani: Thank you for the opportunity. First of all, congratulations for the strong deposit growth in such a challenging environment. A commendable job b

y the management. Sir from our business model perspective, just wish to understand how much of the collections we do is outsourced.
V Vaidyanathan: It's increasingly becoming more and more digital and online. You know, there's a massive shift underway there. The whole thing is changing , to give you one very simple idea for you to understand. Earlier, if a customer bounced a cheque , we'd have a call center, call the customer and request the customer to pay and some agent would go and collect the money from the customer.
Now, it's not like that. Now, you just lot of analytics and technologies that happen. Calling itself is not necessarily done by human being. The call it will probably done by a bot and the bot will take some promise and then the bot will send a link to the customer saying that, you promised to pay me , here's a link for you to pay. And customer just pays from the link and the bank gets the money. So bank is a very digitized bank and we are able to do such massive progress.
Anand Bhavnani: Sure. I specifically want to understand the outsourced collection cost. So if I were to look at the nine-month total operating expenses, it's around Rs. 8,200 crores. Approximately how much would be the cost we pay out of the Rs. 8,200 crores to outsource collection agencies?

V Vaidyanathan: I don't think we know the number offhand or nor have we put it out. But broadly speaking, the directionally, let me tell you that we're trying to become a more direct to consumer bank.
But of course, we do have agents, for customers who don't pay through your digital methods.
For s ome of our customer s, agents chase them down and follow them up for PTP.
And by the way, a lot of our collections in rural areas happens directly by our own employees, not even the agents. Just for information, many locations, we don't use agents in rural India.
There are many products in which the early bucket collection done by employees themselves where customers are not. So all that comes to cost of a bank.
Anand Bhavnani: Thank you. All the best.
V Vaidyanathan: Thank you.
Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.
Jai Mundhra: Yes. Hi, sir. Good evening. Thanks for the presentation and the slide on guidance.
V Vaidyanathan: Yes.
Jai Mundhra: I just one question that we earlier had a guidance of, 65% cost to income by exit FY 25 and 1.4% and 1.6% ROI by FY 25. Does that still hold both these things or, you know, or how could one look at it?

V Vaidyanathan: The first of all, we'll keep the slides out there for Guidance 1.0. Because we've given Guidance 2.0, we don't want to escape from a Guidance 1.0. So , we will be true to that guidance and we'll retain the guidance for sure. We'll keep it publicly out for you till the last day. That's our commitment.
Now, second part, your question about how we're going to perform against that. You know, the cost to income ratio, I think we are a little behind what we set out to do. The good news is, let me tell you one countervailing factor for being behind schedule. Supposing we are at 65 and we turn out to be 68. I'm just making up a number, but I could broadly be right. Let me put it like that. So let me just say that we are behind to be just to be straightforward with you. Now, how does this play out? What plays out is that income line turns out to be higher than what we guided. Remember, we guided for 5.5 %, now we're delivering 6.3 %. So we're already delivering about 1.3% more over on income. So even if your cost to income is higher, your ROA may still you get there. Are you with me on the mathematics? Jai?
Jai Mundhra: Yes. Yes, sir.
V Vaidyanathan: Therefore, the way we look at it is that , if composition of book change s, more than slightly, it turn out a little different than what we init

ially planned . When we gave the guidance of 1.2%, we had only that much visibility . But broadly, give or take, we are in zone. We are going to be in the zone of meeting our deposit numbers. We are in the zone of meeting our loan numbers, let me say, our asset quality numbers, capital adequacy numbers, we're hitting all the marks. We don't expect to meet exactly the cost to income numbers. But because the equation I told you right now, we may still meet the ROA and the lower end of the ROE mark by that time.
Jai Mundhra: Understood, sir. And sir, the ROE mark is, I mean, this, of course, assumes capital raise at a frequent level as you would still be growing at a much faster pace. So is this ROE is a more normalized kind of an ROE that one should see?
V Vaidyanathan: You'll be a little surprised about how the game has changed. Because what's happening is that we believe that from FY 25, FY 26, as it is I told you Q3, Q4 of FY 25, we do expect a positive momentum cost to income ratio definitely and improvement in ROA, ROE, okay? Just take that as a sense as of now. When you move forward into FY 26, now remember, we are talk ing of a loan book growth of only 20%. We're talking about deposit growth of only 25%. So our need for investing opex is going to be much lesser than before. The first 5 years, we are in complete build -out stage. We had no choice. We were racing against time, back against the wall, huge amount of big deposits, corporate deposits, certificate of deposits, bonds to pay back, it was like really tough. It's not going to be that tough now.
So our expense requirement will be lesser. So FY 26 over FY 25, the expense growth will not be very much. FY 27 over FY 26 expense ratio will be even lesser. And also by the time bonds will be paid back, need for money will be much lesser. So we feel that , like I said earlier, the things will get easier for us from that point of view. And life is never easy, God knows what new problems will come. But at least on these front of deposit raisings, we feel much more assured now.

Jai Mundhra: Understood, sir. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Manish Shukla from Axis Capital. Please go ahead.
Manish Shukla: Good evening and thank you for the opportunity. If I look your sequential growth in assets or loans, it is one of the lowest in the last 8 or 10 quarters. Anything particular to read into this here for the quarter?
V Vaidyanathan: No, we want to keep our asset growth within a zone where our capital adequacy and our credit deposit ratio, etcetera, all good. So then we have access, we do IBPC and take them off the books.
Manish Shukla: Interestingly, if I look at it, your sequential moderation seems to be driven more by home loans and LAP rather than other products.
V Vaidyanathan: Sometimes we do IBPC and sometimes we do assignments, meaning direct assignments with other banks also. Basically, we are clear that we don't want to grow the loan book too much even now. So we have taken out some of these loans and done IBPC, inter -bank p articipant certificate, with other banks purchase these loans off from us.
Manish Shukla: Understood. Specifically on personal loans and credit cards, any change of strategies since RBI regulations on risk -weighted assets?
V Vaidyanathan: No change of strategy fundamentally, they're good, phenomenal products in the sense that there's a real customer need. Asset quality is good, they're all cash flow analyzed, they're risk adjusted, they make good returns, and they are shareholder value accr etive, fundamentally nothing. But yes, what we have done is we increased interest rates on these products because cost of equity has gone up.
Manish Shukla: Okay, sure. Last question for me. The 25% to 20% CAGR loan growth over the next 5 years, right?
V Vai

dyanathan: Correct.
Manish Shukla: Is it likely to be a step function now or more a glide part, in the sense that you grow more than front end and back years as balance sheet becomes bigger, you grow slower? How should one think about it?
V Vaidyanathan: As you know, when you look 5 years ahead, we can't be sitting and taking judgments on these step function jumps, what happens 5 years from now. So to be more fair and reasonable, what we have done is we have just extrapolated it at 20%, like five years at a stretch . But we have not not done steps up, step down. We have not complicated it.
Manish Shukla: Got it. Thank you. Those were my questions.
V Vaidyanathan: And in this country, you see on large banks, forget our loan book is hardly anything, Rs. 1.8 lakh crores to Rs. 1.9 lakh crores . With the large banks having Rs. 10 lakh crores, banks having Rs.

15 lakh crores, Rs. 20 lakh crores, they're all growing 20%. So really, 20% is nothing. And we have to do nothing crazy for that. In fact, growing at 25% with good asset quality , imagine growing at 20%, we can further cut -out the edge customers and further improve asset quality. So 20% is nothing, trust me. We don't feel there's any stress at all growing loan book at 20%.
Moderator: Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Jai Mundhra for closing comments. Over to you, sir.
Jai Mundhra: Sir, just a small clarification. I think it looks a bit confusing. So just for the benefit of all. If you can clarify that what we have done is we are growing at a much faster pace at around 25%. And I think that was more or less understanding given to th e participants. And now we have unveiled the new strategy, new guidance, which talks about 20% CAGR. So is this going to be the new normal? Or do you think because of conservatism, forecasting 5 year out, you have given the 20% range? I mean, t hat is the clarification, I think, that is needed.
V Vaidyanathan: I appreciate the question. It's a very good question. It's our job to clarify this. See, this thing about 25%, the current growth, it's not that next quarter is going to come to 20%. It won't happen. There's no such plan that, oh my God, you have to apply breaks, there's no such need. But yes, I mean, if you wake up in FY 25 and see the book growth, then you might see that the bank's loan book growth is growing by 20% - 22%. It's possible because we are planning to slow down . There are 2 reasons. One is , it eases a lot of requirements on the deposit side, and we need to put less branches. We could even cut rates. So things happen there. Two is that in an era when everything is looking so fantastic on credit cost front, we do want to warn ourselves again and again here, a trim off the bottom marginal customers . And for example, if your score for lending a customer , I don't mean bureau score, I mean internal score. Suppose there's a cut-off score of 750, you might say let's say move 750 to 780 so that the marginal customer goes away. So we might tighten credit or all that kind of stuff.

So the intention is more to slow this down on a sustainable basis, this can compound for a long period of time. I know you might be a little disappointed with 20% , you may be, I don't blame you for that. But trust me, even at 20% compounded for a long period of time, especially when the operating leverage will open out from there and the opex requirement will be lesser, it actually is a good strategy, a more sustainable strategy. And like that.
For now, we have assumed this strategy. We could be slightly higher. God knows, maybe slightly lower. But think of us in that range as an intention at this point of time. Did I answered the question?
Jai Mundhra: Yes, that answers very well. So yes. So that is all, sir. If you want to have any closing comments?
V Vaidyanathan: No, no, c losing comments, really, I wanted from you only, you can be honest with me. Are you disappointed about the 20%? Or are you okay with it? What would you think would be the feel of the house?
Jai Mundhra: No, no, sir, it is not about, being happy or disappointing. As you said, you are clearly right that , if this helps you in maybe a more better filtering of the marginal customer, that is one. And of

course, it will ease off some pressure on the deposits. It looks like, at the system level, a narrative build up that suggests that RBI or at system level, the growth needs to be calibrated a little bit. So I think that is in that direction, but nonetheless, sir.
V Vaidyanathan: You could say that. To be honest, you could say that also because yes, there is a message from the regulator also to curb exuberance. And you could hear public comments on this and exuberance does build up in good times. So we do think seriously about that. So this is a time to cut, trim the marginal customers and the slowing down from 25% to 20% also helps in that process.
So it will be a more stable story . I hope. Even if you're disappointed, hopefully you'll become or convert after some time of our line of thinking.
Jai Mundhra: Sure, sir. Yes. That is all from our side, participants. Thank you so much for joining. And thank you, management, for giving us the opportunity to host the call.
V Vaidyanathan: Thank you.
Sudhanshu Jain : Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2024

"IDFC FIRST Bank Limited
Q4 FY '24 Earnings Conference Call "

April 27, 2024

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – IDFC FIRST BANK
LIMITED
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER
AND HEAD CORPORATE CENTER – IDFC FIRST BANK
LIMITED
MR. SAPTARSHI BAPARI – HEAD INVESTOR
RELATIONS – IDFC FIRST BANK LIMITED
MODERATOR : MR. CHINTAN N. SHAH – ICICI SECURITIES

Moderator : Ladies and gentlemen , good day, and welcome to the IDFC First Q 4 FY '24 Earnings Conference Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing star and then zero on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Chintan N. Shah from ICICI Securities Limited. Thank you, and over to you, sir.
Chintan N. Shah: Thank you, Dorwin. Good evening, everyone, and welcome to the Q 4 FY '24 Earnings Conference Call for IDFC First Bank.
We have with us from the senior management, Mr. V. Vaidyanathan – Managing Director and CEO, along with the senior management team.
So, without further delay, I would now like to hand over the floor to the Management . Thank you, and over to you, sir.
V. Vaidyanathan: Good evening, everybody. Thank you very much for joining us this evening . This is Vaidyanathan here.
Sudhanshu Jain: Good evening, everyone. I am Sudhanshu Jain.
Saptarshi Bapari: Good evening, everyone. This is Saptarshi Bapari.
V. Vaidyanathan: Hello, everyone. Good evening and between the three of us, we will be able to take you through the key points about our Bank and more importantly, the outlook for the next few years.
Now, when we look at the picture we all know that India is well placed to becoming something like a $7 trillion economy by 2031, or 2030 and we know about 66% of India 's economy is consumption, of which about 56% is private and 10% is government.
Now 60% of a $7 trillion economy will be something like a $4 trillion economy will be consumption and we feel that we are extremely, extremely well placed to participate in this extra growth. The second part is, of course, when we are looking at the numbers of India 's credit today, it 's close to about $2 trillion and by any estimates, by 10 years, it should be something like $6 trillion.
So, a good part of India is yet to be built. So, even though we may be a new Bank and an early - stage Bank , the big story for India 's growth is yet to happen and the big story for our Bank is

also yet to happen. Because all we got to participate in the incremental story, and we will still have a big part to play there.

So, for example, one key change that 's going to happen when this credit book for the country grows from say $2 trillion to $6 trillion, the big change compared to the past is this $4 extra trillion, which is going to come in the next 10 years, is going to come significantly from retail, is going to come from micro enterprises, medium enterprises, small enterprises, agriculture, rural India . This is one big area waiting to open up over the next 10 years and therefore, this opens up a very big opportunity for us.

Now, because something 's an opportunity doesn 't mean that we will get it. There 's no natural right to it, there has to be a reason why we will be the best place to get that opportunity. So, today I will spend a few minutes with you just sharing with you how we feel about how we are placed for that opportunity and then , of course, later in the conversation, we will come back and discuss the financial results.

I point this picture out over the next five years or so, because we have completed exactly five years from the time the merger has happened. And therefore, it 's a good time to just step back and talk about the next five years all over again or say 5 to 10 years . Now , therefore, why is it that we are well placed?

Now, one of the biggest things to be able to grow and participate in this new big growth tha

t's
coming up on all the sectors we talked about is basically deposits . We really feel that it 's not today, not because we have been successful in deposits, we are not building the story around it today. From day one, that is in December of 2018, or March 2019, we have been maintaining only one line that the Bank has to really crack liabilities, has to crack deposits. If we solve for deposits, frankly, on the asset side, we really have a good machine, which is really tested now for 14 years . We get a good NIM , we get good margin , we make a return on equity of over 20% in that. So, really , the asset is not a problem. We will talk about that in a moment.

Let me come back to deposits :

On the deposit s side, our deposits today is close to about, total deposit is about Rs. 2 lakh crores. Out of that about Rs. 6,000 odd crores is certificate of deposit. So, you can say customer deposit is like Rs. 1,93,000 crores. Now that is like not even 1% of the Indian Bank ing system deposit , which is like Rs. 212 lakh crores. 1%. We are just 1%. Just put it in context.

Now because we are 1%, doesn 't mean we are going to grow. What is the reason again? The reason is that we have built a good brand and the brand attracts deposits. This is one really big achievement our Bank has had over the last few years. The brand is seen, let me say, as a really high-quality brand , seen as an institution. And if it is seen as an institution, it automatically has some amount of people get a sense of safety, security, comfort about dealing with the brand.

The second thing is that as a Bank we have focused upon building really fantastic products. Now our view of Bank ing is one way of expressing when we say that we mean to give customers, we don't want to touch the customer 's pocket for this reason or that . When we charge a lot of fees

to customers, then it is always tempting for any Bank to say, okay, I am charging Rs. 2 for a particular transaction. Let me make it 2.5 and the Bank books a lot of fee income. So, we charge 0. So, there can be no temptation for product managers to there is no opportunity for product managers to just touch it by this combination or that combination. This option doesn 't exist.

So, therefore, when we make fee income, we make it a truly clean way. We sell a particular product. We sell, for example, credit cards. We say, okay, put a photograph on the card and pay me a fee of Rs. 500 or we sell a Wealth Management service and specifically charge customers fees for a particular service given. So , we are building it the clean way. And then that does give a strong feeling about the brand because while the customer is sleeping, not watching, we don 't touch Bank accounts by changing some terms here and there and all that.

So, this is very, very fundamental. And I must share with you, we know the success of a deposit, which all of you know, our success of deposits, I don 't want to delve into this too much, but just want to leave one data point with you to drive it home. So, our retail deposits was Rs. 10,400 crores in December of 2018. Now , today that retail deposits alone, just leave everything else out, retail deposit alone is Rs. 1,51,000 crores. That 's a growth of Rs. 1,41,000 crores in retail deposit in five years in this Bank and mind you, we were a new Bank .

Now I look forward to more optimistically about our deposit growth for the next five years for a reason. If you think of large Bank s, let me say, the largest Bank in the country, let me say having maybe 40, 45 lakh crores of deposits. These Bank s or many of the other large Bank s as well, they have a large deposit base, and they get deposits from two means. One is called ETB, existing to Bank customers. So, here, if you have a large deposit base of 40 lakh crores, you credit interest to those customers strai ght

away of 5% in a year. The same customers bring some more money, and then you are done. You are done with 70% growth just by existing customers. The second engine to fly on is new to Bank customers, where you got to bring customers from outside into a Bank . So, many of these Bank s straightaway get benefit of ETB . So, there are two engines. Our Bank has been flying on one engine, which means because of a new Bank , we only got new to Bank . We do not have an existing base.

Now, when we wake up and say, now we only have Rs. 2 lakh crores, now these Rs. 2 lakh crores will give us some deposits anyway. So, our engine too , therefore the reliance on NTB will come down and therefore our ETB itself will start giving some deposits to us. So, this is one reason why gradually as we gather momentum, we will have two engines to fly rather than one and flying on one engine for the past five years has been more difficult that subsequent years are going to be easier.

So, this is one reason that makes us very confident. Core retail deposits are now at Rs. 1.5 lakh crore out of Rs. 2 lakh crore of total deposits , and the Customer Deposits are at Rs. 1,93,000 crore of a total deposit. We have guided that the customer deposits will be ~Rs. 6 lakh crores in five years. Let me tell you pretty straight and honest that we don 't see a risk to this at all. We

believe it will be achieved and we don 't need to go crazy on interest rates and things like that. Just normal interest rate what we are doing today , probably it can even drop it over time. But still this Rs. 6-lakh crore, we feel is very achievable for the reason I described to you.

The second thing that is going on is that if you see large institutions , they have been building the capabilities. They have been part of large ecosystem creation. Someone has cracked the entire broker market. Someone has cracked the entire NRI market. Someone has cracked some of these markets for 15, 20, 100 years or maybe for 40 years.

In our case , these are still being built. For example , our current account business is still being built. Our ecosystems are coming along. But the good thing is that whether it is a supply chain financing, whether it is getting the accounts of the small retailers, merchants, traders , it's all hard work because you have got to build them brick by brick. But the good news is that we are really doing very well on current accounts. Now it 's coming along pretty well and gathering momentum. We are very confident that the current account business will grow into the next 4 -5 years. And again, once you crack, once you get deeply embedded into an ecosystem , then that machine then fires for itself. So, that's about the deposits .

The second part of the story I want to share with you is the fact that we are now a universal Bank . Now this is point #2. First I describe d liabilities to you. Second I want to tell you universal Bank . Now universal Bank , there is some extra , let me say, stability of earnings across multiple lines of business es in a universal Bank . In our case now we are not just a large so to say it 's not a large retail Bank . That 's not the way we are thinking about ourselves also. So, we have retail, SME, rural of course. We also have corporate. We build fantastic solutions on trade now. We have got very good digital solutions, cash management. On Wealth Management , it's just been 5 years. We have our Wealth Management business now touch something like Rs. 16,000 crores and it was like Rs. 1,500 crores 5 years ago. It 's like 10 x growth in the last 4 years. Not 5 years. In the last 4 years, i t's grown 10 x. It's like Wealth Management is just flying off the roof for us. I mean , off the charts for us. So, there is something special about our products. In everything we put, we have something special. We just do

n 't make regular products and the rest of the brand takes over, distribution takes it over , digitization powers it up.

So, second part , therefore , the universal Bank , for example , Wealth Management . NRI Bank ing is good. We are developing, making strong inroads. Treasury solutions all in all universal Bank s.

The third reason why we feel good for ourselves , again we say that the big opportunity is there. Why should it come to us or why should we be able to get it? We are embedding ourselves deeply in this customer first theory. Now we are not trying to chip a quick buck on this or that side, all that I told you. And therefore , the product suit es we are putting together are all customer friendly. Our people are trained to be very friendly to customers. We really take a dim view , in case, people are found to be rude, or they write stupid circular mails to customers. If a customer writes an email , we write back an email with a holding message not responding for 2 -3 days. We kind of look at those practices and we say , "Look , this is bad. "

We keep improving every single day. We found that our access was not up to the mark. Then we opened out so many gates for customers to reach us through the Internet , the call center . On the website now we show our ways to reach us very prominently. So, we are making every way for customers to reach us. We want to solve customers ' utter issues in the first interaction. So, those are things that I mean the customer friendly.
Then fourth thing I woul d say is that our customer in terms of positive culture, we are trying to keep a positive work culture in the environment, in the Bank and all that.
Now the fifth thing I would say is probably the last couple of points is that on the loan side, after all we are raising money. Frankly , for us to raise money at 6.3% is like a dream. When we were running the previous part of the NBFC for us to get money at even 9.5% looked like a déjà vu. And suddenly at 6.5% we feel like we are swimming in oxygen all the time. It's just so fantastic to be able to raise Rs. 50,000 crores , Rs. 60,000 crores at 6.3%. We just feel so much in the money just because the amount of deposit we are able to raise and just feel so , let me say, so easy, or i t feels so nice and makes our life job much easier.
So, the third thing coming back to is the deposit. So, oftentimes people think of our loan book and say, "Hey, guys , listen your NIM is 6.3 %. People scratch their head. How is it possible to have such low credit cost? " It's a common problem that we face when we meet investors in investor calls. They spend 20 minutes on this one subject saying how is it possible .
We have a reason for that. End of the day, there is 14 years a long time for the NPA to stay at 2% gross and 1% net with low-credit costs. It's a very long time. We explain this by cash flow, cash flow, cash flow, because we are a super specialist in cash flow financing. And I think time solves a lot of questions and one of them is cash flow.
But there is one more reason that we are specialists in rural India. I want to bring this point out to you. Because end of the day, rural India is so unserved. Let me just share with you that we put out our rural financing book in the Bank . If you see the slides there, you will find that the rural book is Rs. 24,000 crores.
But really, in the balance book, what we call the rest of the portfolio, there is close to about Rs. 16,000 crores, which are not categorized in rural, but actually rural. Things like, they have gone into loan against property or home loan, they have gone into that categorization. But if you classify them back in rural, that 's another Rs. 16,000 crores. Meaning that Rs. 16,000 crores of rural home loan is shown as part of overall home loan. So, if you strip them ba

ck and put rural,
that's like Rs. 40,000 crores.
But if you see the growth of the loan book of the last five years, the loan book has grown by Rs. 90,600 crores in the last five years and of this Rs. 90,000 crores of loan book , Rs. 34,200 crores has grown in rural financing alone, which means 38% of our incremental book built in the last five years has gone in rural.

Now this has helped us meet two, let me say, I don 't like to say birds with one stone. I don 't like to say that someone can kill birds. But let me give, let me think of some of the metaphors. Frank ly, it's a bad metaphor. So, let me just think of some of the, let me say we solved two problems with one solution. So, which is what are the two? So, one is they are able to get good margins because the rural India products, for example, our products in rural India are JLG, of course . We do micro enterprise loans . We do micro housing loans . We do micro -LAP . We do commercial vehicle . We do tractors . We do all that stuff. So, we do KCC . We do two-wheeler . So, we just started selling gold loans. So, think of it, the product suite is large.
So, the benefit of starting a diversified portfolio in rural India are two things. One is it gives us a net interest margin, which is very good. It gives us to play in a market that is underserved, underpenetrated massively. You can just do enough and enough business and keep going forever and it 's not getting saturated at all. So, that's one big benefit. We get margins.
Number two problem we are solving is PSL. Now when we started in March of 2019, we were short on PSL by a big margin, and we had about Rs. 75,000 crore of IDFC book. We had about Rs. 25,000 crore of Capital First book, that 's about 1.04 lakh crore. And believe it or not, we had Rs. 3,500 crores that we had placed in RIDF , which means that we were not able to meet our PSL requirements and we were placing money in RI DF at some really ridiculous rate of some 3.5% locked money for 7 -8 years and all that.
Because we built a rural business so strongly, our RI DF outstanding, so we are now able to meet our own requirements and able to sell portfolio to the market. That's a surplus. And therefore, now we are making a bit of a profit by selling PSL certificates and therefore our RI DF bonds outstanding have come down from Rs. 3,500 crores to Rs. 926 crores.
So, that's why I told you that two big benefits we are getting, not one, which is I told you is the better margin and second I told you was solving PSL problem, which by the way is a big drag

on the Bank .
The third problem we are solving for is also asset quality, because somehow for whatever reason the rural people are that much more conscious, more sensible, they are not exactly supported by lawyers and all that stuff . They just pay the dues. And maybe just that much of god fearing or whatever. Credit performance is fantastic , our Gross NPA here is not even 1.5 %, and net NPA is not even 0.5 %, so you know it 's behaving very well, and we wanted to do that closely. So, let us say these are the three benefits that we are getting on that front.
So, I as I started the conversation that in India, opportunity is going to be very big, but more important than that, we are well placed because we have unique products on the asset side, which can give good margin at low credit cost. And so that 's a very, very unique capability our Bank has developed. Second, I told you the liability side.

The last thing I want to say is that the Bank is investing on technology all the time. Frankly, technology investment, a lot of people say, okay , guys, I invested well, I invested well. It 's not about investment. It 's not about pumping money down technology. People can do stupid things in technolo

gy also. You can move a lot of things to cloud and if you move the whole architecture to cloud as it is, without using the tools and technologies and well-integrated cloud, then it is as good as just keeping it on -prem, just scaling it, scaling it more on infrastructure. Those are not really value -adding.
We have developed some really fantastic capabilities of bringing our data lake together, single source of truth, a golden source of truth. We have migrated all our systems. Individual business units are no longer going and pinging the individual systems. They are now going into a single source of truth with the data lake. T hese are fundamental architecture capabilities the Bank is building. Below the hood, which you can 't see as an outside investor, there are really very powerful things happening at the Bank on the technology front. So, that's, and then of course, you have a strong stack of technology. Of course, you can build the rest of the UI, UX, and then we are focusing on that.
So, the last thing I would say is technology. And of course, finally, to be profitable is a very big plus, because frankly, when we were posting losses for 2019, 2020, if you met depositors, of course, I must say that people were still good to us and gave us a lot of deposits, but you are still a little bit backing the wall when you are raising deposits, the Bank is posting losses. So, it was hard. And now, two years of profit last year, Rs. 2,400 crore , this year Rs. 2,900 crore , when you are talking with that level of profitability, people also feel more comfortable to raise deposits . Our employees feel that much more spring is in the feet.
And lastly, of course, ESG has become a big deal. We never focused as much on ESG before . Since we thought of natural ESG, we were not looking at it with a frame, and we didn 't study it so closely. But the more we are studying ESG now, we are finding, oh, my god, we have done so much for the elimination of plastic, making the offices green, elimination couriers, moving out to email, avoiding printouts, double -sided printing, avoid color printing the whole thing . It's a long list of things, but I can just say that we are working on it very seriously. But let me say for initiative last two, three years, and it 's already beginning to show in our scores on the ESG front.
So, let me just say that these are important foundation blocks the Bank is building. And at least if you ask me personally, I am very bullish about our Bank for the next few years. And for this quarter 's numbers, you may have seen it . I am quite happy to open it up for any discussion.
Sudhanshu Jain: So, maybe I will just touch upon some key numbers. As you would have noted that now our balance sheet is almost touching Rs. 3 lakh crores. It expanded by 23.4% on a Y -o-Y basis. The growth is largely driven by a strong deposit franchise and a growth coming in from there. You would have noted even individually, the deposit book has also crossed 2 lakh crores and so has

the lending book. Customer deposit continues to be strong. You would have noted that it has grown by 42% on a Y -o-Y basis.
Another area where we feel that we have done reasonably well is on the CASA front. If you see that we have been able to maintain the CASA ratio , excluding the short term flow from a government banking client, at about 46.5%. Even average CASA deposits for us have grown by 28% on a Y -o-Y basis.
We continue to expand our footprint. We are now at 944 branches. We have almost opened about 135 branches during the current year.
If you see on the high-cost legacy borrowings, we continue to repay those that have come down

sharply, almost by about Rs. 6,000 crores in the current year. There is a runoff , which is scheduled for about Rs. 7,000 crores , which will happen into the next year as well.
The incrementa

l credit to deposit ratio has been 76% for us. So, that’s largely driven by a strong deposit which has been coming in. The cost of funds for the quarter has been stable at about 6.43% , largely stable over the last 2 quarters. While the cost of deposits have slightly inched up by 7 basis points during the quarter , some benefit came in because of the runoff of the high cost legacy borrowings.

On the funded assets, the growth was strong at about 25% on a Y-o-Y basis. We have a very diversified business in a product segment. We have given quite a lot of details in the Investor Presentation. Maybe that can be referred to. The infrastructure book, which is a rundown book now is sub 1.5% of the total funded assets and the book is only now about Rs. 2,800 crores.

Credit cards, again that ’s a relatively new business. We have already issued about 2.5 million credit cards and the book is now at Rs. 5,500 crores. The card spending has been quite strong for us. It has increased by 58% on a Y -o-Y basis.

Quickly, touching upon asset quality, you would have seen that our gross NPA is now less than 2%. In fact, it has improved by 16 basis points during the current quarter and the net NPA is also now down to 0.6% with the sequential improvement of about 8 basis points. If we exclude the infrastructure book , which is a rundown book, in fact the GNP A is more like 1.55% and net NPA is only 0.42%. We are maintaining a healthy PCR of 73% on the book if we exclude the rundown infra book.

Similarly, on retail, the GNP A is now down to 1.38% and the net NPA is only 0.44%. The standard restructured book is now only 0.31% of the funded assets. The point to note here is that 95% of the book is secured in nature and we are holding about 20% provision on this book. The SMA 1 and the SMA 2 book of the retail book is stable around 0.85% and on the corporate side, this number is actually quite minimal.

The gross slippages for the quarter were lower at Rs. 1,347 crores compared to Rs. 1,422 crores in the previous quarter. This is almost a reduction of about 39 basis points. Similarly, net slippages were down to Rs. 724 crores as compared to Rs. 866 crores for the previous quarter and here also the reduction is about 16 basis points.

Moving on quickly to profitability, the profit for the year is up by about 21% at Rs. 2,957 crores. In fact, we had slightly higher treasury gains in FY23 as compared to this year and if we exclude that from both the years, then the growth in profit is actually 28%.

Profit for the quarter was marginally up at Rs. 724 crores against Rs. 716 crores in the previous quarter. Core operating profit was very strong. It grew by 31% and is happy to report that it has now crossed Rs. 6,000 crores.

The net interest income has grown by 30% on a Y-o-Y basis. The net interest margin on an AUM has improved by 31 basis points during the year.

Fee income also had tremendous growth that increased by about 40% on a Y-o-Y basis and large part of this was retail led, which you would have seen from the presentation that almost 93% is retail.

Operating expenses increased by 33% on a Y-o-Y basis. The increase was, I would say, across employee expenses due to business volumes, due to branch expansions, an increase in some tax expenses and so on.

Credit cost as a percentage of funded assets was at 1.32% for FY24. We saw some normalization during the course of the year, and this was around 1.5% for Q4 FY24.

Moving on to the last section, which is capital adequacy. The capital adequacy stands at 16.11% for us vis-à-vis w ith CET -1 ratio at 13.36%. During the year, because RBI had increased certain risk weights, we had an impact of about 100 basis points on the overall capital adequacy and about 82 basis points in CET -1.

LCR was strong at 118% at March end and we continue t

o maintain healthy levels around LCR.

With this, I have covered broad numbers for the quarter and for the year and we can move to the Q&A.

V. Vaidyanathan: Good. We have got 30 minutes, friends, for Q&A . So, please make yourself comfortable and feel free to ask us really anything you feel like at this stage.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Pritesh Bumb from DAM Capital. Please go ahead.

Pritesh Bumb: Two questions from my side. One is, as you mentioned about the deposit franchise being more now sustainable and can run on a two -engine side. So, will it be possible to outline that we should not incur the cost we were incurring earlier, given that branch Bank ing was a major cost center earlier? Can we see that inflection point from now on that the cost, the OPEX ratios will start going down?
V. Vaidyanathan: Yes, of course, you should expect that from us.
Pritesh Bumb: So, any targets because our guidance does not include any, in next five years, any cost side type of guidance, but anything you can outline for next two, three years?
V. Vaidyanathan: See, by end of this year, we expect the cost increase to be roughly flattish for the next two quarters and Q3 and Q4, we see meaningful reduction. So, like Q4, clearly we feel will be in a strong wicket. The reason is actually simple to understand . As all of you know, our credit card business will start moving to profitability by Q3, Q4, so the Bank on plan. If you remember, we had always said that the '25-ish end -ish, it will start moving and the '26 will make money. So, that's a crucial inflection point coming towards Q4 of this year.
So, for example, the credit card business, our cost income ratio in FY '2 2 was 240%. In FY '2 3, it's 165% . In FY '2 4, it is 116%, a big drop. And by FY '2 5, we expect it almost sub-100% . It will come below 100%. So, this is one reason why we expect the Q4 to look very good.
Similarly, our cost income ratio on retail, rural and S ME business is running at 55% now for two years at a stretch. So, it could marginally come down, but it's stable at 55%, should come down, of course, in due course. Our wholesale Bank ing is running stable at like 33%. So, therefore, the only drag was liabilities.
So, coming to your, so therefore, just to conclude that point, we feel that with scale, our cost income ratio should start turning down, but material, let me say in Q3 & Q4.
Pritesh Bumb: Second question was on basically a lot of discussions around tech and how things are playing in the industry. Just a small question was that you have some of the products where you have leadership in, for example, FASTag , you have significant UPI volumes. How are we geared up to handle these kinds of volumes? Because these seems to be a niggling issue in the industry.
V. Vaidyanathan: Actually, our Bank , let me just say that nobody can ever be too sure, first of all. Okay . This is an area we always watch for , and frankly, we can never be complacent. Let me say , we can never be too secure. Because we are conscious of the risks of the tech or not being invested in tech can play a role, we have been implementing, let me say , the latest technologies. Many of you call us a high -cost Bank and you call us names, but I can just say that if well spent . That I can assure you.
So, we have invested in the best CRM system, in the best ticketing system, in the latest versions of the middleware . Our applications are, let me say, the best of what India has to offer because

some of these things are they are industry standard. So, applications are applications. We have built a really good engineering team. We do performance testing literally all th

e time of our
engineering teams.
We are building fantastic, I hope, I don 't know if you, Pritesh, yourself have used it or maybe anybody else who can speak on this forum and over 200-300 people are here. I can almost tell you that any one of you would have experienced the Bank , experienced us, not just known our brand name, experienced us. I would say that you would say really good things about our app. Our app is really becoming fantastic. I am scared to use the word fantastic for ourselves, but let me just say good. Let me just say that probably our app is really good and we are developing , its response time is really very good. Our uptime is fantastic really on almost all lines of business. So, let me just say, we invested wisely in technology. And as I said earlier, it 's not about the money we spend . It's about how we use them.
So, we really spend a lot of time right at my level, my one down level . We try not to take any chances and if we find any issues, then we take it very seriously. If anyone else flags an issue to us, we really jump up and down to figure out how to solve it in the quickest possible time. Our board is very engaged . Our board also is, even at my level understand technology , the subordinates understand technology, my two down understands technology, our board has a specialist of understand technology . We all put an effort after that.
Moderator: Thank you. The next question comes from the line of Gao Jaixuam with Schchontao . Please go ahead.
Gao Jaixuam : Just want to understand on the deposit front, I mean, we have been doing a fantastic job in terms of outgrowing everyone 's deposits, but when I look at the deposit per branch, that has shown a pretty good growth of 14% in the fourth quarter, which is similar to that dropped 13% in the fourth quarter last year. So, I just want to understand, how should we think about branch level deposit growth going forward? When do you think we will actually outgrow the industry, right,

because the industry deposit growth is 13% , 14%? So, on the branch level, when do you think we will see ahead of industry deposit growth?
V. Vaidyanathan: If you think in terms of vintage, we have just been five years, I reminded you earlier that our deposit in 2018 was Rs. 10,000 crores, which is, you think of it like a start. So, in that sense, we are new . But our deposit per branch is only running at Rs. 200 crores, just for information, Gao . Rs. 200 crores per branch today.
So, there is something very strong about the way we have built the capabilities of our employees . Of course, a lot of it is got t o do with the digital . Some is got to do with the culture . We are like crazy about customer service . We really get pretty we take that . So, I think we have culture, service, tech . All that is coming along . So, I say that we are now in terms of, we don 't want to

only depend on branches, because we feel that 's not efficient . In tech you invest once & multipl y it many, we can give far better returns and invest in branches.
So, our incremental going in thesis in the next five years is that we don 't need as many branches. We just don 't need as many branches. We feel that our current tech is firing very well. So , as many branches meaning that , in other words , to grow to a current deposit base of Rs. 2 lakh crores , we needed say 950 branches. It doesn 't mean to take the business to say Rs. 4 lakh crores , we need 1,800 branches and to take to Rs. 6 lakh crores , we need 2,700 branches . It's not like that. It 's not needed anymore.
For example , when we take our book from say currently Rs. 2 lakh crores to Rs. 6 lakh crores , we don 't expect to add not more than just about maybe five or six maybe 700 branches more or 600 more. But it 's not 2,700 more. So, the incremental throughput p

er branch for the Bank is
very good. I mean what we are saying is that the deposits have grown disproportionately more than the number of branches we will add. That we are very clear about.
Gao Jaixuam : That's good to hear and very clear. Do you mind giving out FY '25, sorry, your next five -year guidance ? Do you mind sharing with us what kind of assumption we are assuming in terms of per branch deposit growth? Because I guess that affects our cost assumption as well , right. So, to understand a bit more on that.
V. Vaidyanathan: To be very specific , we have said that currently we have 900. We said we will get 1,800 branches . That is 2x . That is 900 more for Rs. 4 lakh crores of deposits. Today we are Rs. 2 lakh crores . We are going to say , we are going to add Rs. 4 lakh crores of deposits by adding just 900 crores more. So, which means that our branch productivity is going to double on incremental branches. That's briefly the way we are thinking about it.
Frankly , internally we are feeling very confident about this. There is in our senior management , if you were a fly on the wall , if you just walk across any branch and talk to , I really invite you , please , any of the 200 or many of you on the branch , please walk across any of a branch , talk to any of our branches and staff , be friend with somebody whomever you want to know and talk to them how the Bank is doing. They will tell you how the Bank is doing. The feeling is very, very nice within the Bank .
Gao Jaixuam : And the last one is on the credit cost. How should we think about the credit cost going forward? Obviously, we are kind of normalizing back slowly, right , from a very depressed level, similar to the industry. So, do you think this process continues smoothly in the next year? How should we think about this?
V. Vaidyanathan: See, credit cost is a direct benchmark of what happens, the input parameters that flow into, that become a credit cost, like how the check bounces or collection efficiency, etc., that lead to it. Now, we are finding very stable performance on our books. We feel that our credit cost for the next year could be, currently i t is about 1.3%. As it normalizes , expected to be 1.65% or so next

year. But it will be more, it 's likely to be more front -ended for a reason , I will describe it later if we have time. But we feel Q3, Q4 credit cost to be, we expect to be quite low. And think of it like almost like a flat line all through the next year. But think of it like 1.65% next year.
Gao Jaixuam : For the fourth quarter, what 's the credit cost as per y our calculation? Per your definition, what 's the fourth quarter credit cost? For the full year, it 's 1.3% . Just wondering for the fourth quarter, what 's that?
V. Vaidyanathan: It is 1.5% for the quarter. And next year, we are guiding for 1.65%. Actually, we feel internally more like 1.6% , but think of it like 1.65% . But I just want to just flag one second. What we feel very, at least good about us within this, is that it 's not that our yield the book is high or NIM is high. The fact that we are able to do that with low credit cost is a very unique capability. We really believe that. So but your specific question on guidance, I told you.

Moderator: Thank you. The next question is from the line of Deepak Vohra from Premier Capital. Please go ahead.
Deepak Vohra: My question is largely on the cost to income ratio, again. Although we have come down from the levels five years ago, I feel that we are still at a much higher level than the guidance shared during the merger, which was around 55%. Also, if you see the Financial Year '24 versus '23, on an annual basis, the cost to income has actually gone up rather than scaling down. And in the last year, we have made a significant investment for the BCCI sponsorsh

ip. So, I just wanted to get a better understa nding on what drove the higher levels for the Financial Year '24 .
Sudhanshu Jain: Yes, cost to income has been, we agree that it has been stable during the current year. It has not improved that significantly. But if you see, in the previous year to that, we had an improvement about 500 basis points. As Vaidya said that we expect cost to income to meaningfully come down starting H2 because of legacy liabilities sort of coming off , because of credit card moving towards profitability and many other factors. So, we know this is a one key deliverable for us , and we expect to better on this front as we mo ve along.
V. Vaidyanathan: We want to fly one more point to you. Everything you are building in the Bank ; I understand many of you are concerned about the cost at the Bank . The thing is that the trend line is good. Of course, this year, we didn 't do a good job in the sense it just flattened out . Interest rates went up and that kind of chewed a little into the margin. Otherwise, we could have done better. But still having said that, let me just say that everything I am building in the Bank are thinking long. And this is super important to note.
For example, there was no pressure for us to have launched credit cards. Well, we could have lived without credit cards and life would have been okay. But then, we would have paid a price when we woke up in 2025, 26, 27, 28. When we started to launch a credit card business, we woul d have to come back and be defensive or the numbers would be going the other way round when it's supposed to be improving.

So, w e just launched so many lines of businesses, whether it is gold loans, whether it was Kisan credit card. We launched the prime home loan, which is also by the way a drag on the Bank at this point of time, it's not making any money. It is just because that's the way that long -term nature of these products are. For example, if you take a home loan , you book all the DFA payouts and cost evaluation , everything upfront today . The money will come, and it comes over the life of the contract .
But we are not holding back . We are building what we have to build because otherwise the future will be difficult for us . So, prime home loans we started . Credit cards I gave the example . Then education loans we started . These are commercial vehicles ; we want to meet a PSL requirements . They are all negative , negative products today . They are not making any money . In fact , they are negative .
We started cash management business . A lot of technology built it goes into it . These are a trade finance solutions . These are a lot of builds for that . Forex solutions we are building . Negative drag on that . Gold loans we started . Negative drag on that . Losing money as of today , but it will not lose money forever , but just a build -up stage . We have a thousand c rores. So, KCC I told you.
Farmer loans , tractor loans , Wealth Management, FASTag, Forex card . You can name the list of products we are launching one after the other inside the Bank. They all lose money initially because everything needs a scale up time. So, that's why we are confident that once they all start gaining momentum and they come out of the J -curve, then you wake up in 26, 27, 28, 29, they will all be throwing back cash.
Moderator: Thank you. The next question is from the line of Prakhar Sharma from Jefferies . Please go ahead.
Prakhar Sharma: I just wanted to ask you a couple of things. One, could you give some sense of the loan growth expectation, let 's say how you are building up for the next year and as the operating efficiencies start to play out, maybe current costs start to normalize at a slightly higher level, in a three -year view, what should we think of ROA, ROE terms?
Sudhanshu Jain:

So, Prakhar, maybe I will answer that question. So, loan growth has been 25% in this quarter . If you see in fact on a quarter -on-quarter, the growth is 6% and within that also in certain segments, we have slowed down , like consumer loans have slightly come off . Even digital loans have not grown in that proportion. So, we feel that loan growth will be more around 22 % to 23% into the next year. Moving on to the credit cost, as Vaidya guided, we should range around 1.65% and certainly our endea vor on ROA would be to touch more closer to, I would say , 1.45%, 1.5% the next two to three years.
V. Vaidyanathan: And Prakhar, by the way, thank you for your research report on us . It's so detailed and in -depth.

Wow. It's a great job. So, thanks so much. Not because it 's a good thing about our share price, but just the quality of the report is something that we are super interested to talk about.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from Motilal Oswal . Please go ahead.
Nitin Agarwal: Good evening and congratulations on our strong performance and really the deposit progression is nothing less than outstanding , sir. So, hearty congrats on that . So, I have two questions. First is on the LA P portfolio growth. So, after a gap of four, five quarters, we have seen a double - digit growth in the LA P portfolio. So, how are we looking at this as there has been an improvement in the credit environment, and this used to be one of the main businesses and now seeing this traction this quarter ? So, anything more to read into this? And second is on the liquidity coverage ratio . Because while the deposit growth has been very strong, but since there has been a slight drop in the LCR on a sequential basis. So, what has really caused that?
V. Vaidyanathan: Let's take one by one. See LAP, frankly, whether it 's LA P or any other business, it 's just in our hands. We can book as much as we want. We are a small player . We have fantastic tech capabilities on being able to originate loans with good asset quality. So, well, if you need to do more, we don 't have to relax any credit norm . We just have to just open some more locations and we are in.
So, current ly LAP is growing 20%, but we are moderating more with the amount we want to grow, keeping the amount of capital in mind. We should be thinking of raising capital now. So, we want to make our capital run longer. So, we are more conscious about how much we want to grow the balance sheet in a given year , and that 's why we guide for this 22-odd percentage as Sudhanshu said . So, the short point is therefore that we don 't have any problem . You don 't have to worry about growth for our side . It's in ou r hands in that sense. With quality , not to worry.
Now LCR , frankly , it's marginal . I don 't think there is any specific , if you keep g rowing the way we are growing deposits , we are very clear next year deposits also will grow . We will keep our LCR certainly no higher than 80 %. Not LCR. I mean, the CD ratio.
Sudhanshu Jain: Yes, CD.
V. Vaidyanathan: But CD ratio next year, for example?
Sudhanshu Jain: Yes, should be around 75 to 80.
V. Vaidyanathan: So, we are so confident , Nitin , that on a deposit story that next year also , I mean , by the way , it's been 5 years going, our incremental CD ratio is really very good, and we believe even next year we can keep it under 80%. On LCR, maybe anything you want to add.
Sudhanshu Jain: So, Nitin, on LCR, we would continue to maintain around 115% levels and so we feel quite comfortable. We don 't see it as a challenge.
V. Vaidyanathan: 115%, 120%, somewhere in that zone we will rest it.

Sudhanshu Jain: Yes. So, s ome liquidity was deployed during the current quarter

, but we feel quite comfortable.
V. Vaidyanathan: Nothing to worry.
Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities . Please go ahead.
Rohan Mandora: Just continuing from the previous question on LCR, sir, on the previous four quarters if you look at, LCR has been more than 120% , but in this quarter for 4Q , annual average we are giving 114. So, is there some reclassification of deposits that have happened? That is what I wanted to understand. That is one.
Second, sir, thank you for the elaborate discussion on the rural business that we are building. So, if you could just help us understand what will be the rural ROE that we are making right now. And second, if you look at the last 5 years, it has been good from our monsoon 's perspective. So, in case the macro turns adverse in that, are we building in some safeguard of the first on that portfolio or what will be the consequences around that?
V. Vaidyanathan: Why don 't you take the LCR question ? I will come to the rest.
Sudhanshu Jain: So, as I mentioned to Nitin that , of course , we were maintaining slightly higher LCR into the previous quarter. This quarter we have come down to about 114% on an average. One is we did not want it to play the rate game. It is quite intensive as you know, right, in the last quarter. So, we feel that even into the future quarters we should be able to maintain LCR comfortably around 115%. So, it's more , I would say , a quarter phenomenon where slightly some normalization has happened. But we feel quite comfortable on that.
V. Vaidyanathan: Like the answer to the previous speaker, Nitin, this is like business as usual . There is like lots of liquidity. In fact, if you do a smell check in the market and I really request you to do that, you

find out will you ever find a Bank ever in any corporate fighting for deposits in a large corporate. And there are a lot of these names that go around during year end. Somebody wanted to pay Rs. 500 crores, Rs. 800 crores, Rs. 1,000 crores. We just genuinely say thank you to them saying that l ook, we are just not there in this. We just don 't need it. And that 's because our retail flow is so strong, that from the branches and everywhere so strong, we just don 't need it. So, I assure you, please check it. Nobody will ever tell you that our Bank is out in the market for the bulk deposits. It is not there. So, coming back to the point, therefore we are good.

Rohan Mandora: Just a follow -up on that, because the investment has also gone up by almost 19% Q -on-Q. So, that should have typically prompted an uptick in LCR. The liquidity has actually increased. So, that's why there was some confusion.

V. Vaidyanathan: No, no, but we clarified that. Currently, it 's a lot of liquidity. Think of the 1 -2% here or there. Let me just say it 's not a material amount. Now let me come back to the rural question. Now, well, the rural economy, see it's not about rural economy, urban economy. I think people just

kind of give stamps and tags like these. We don 't like these kind of classifications. They are just not one homogenous rural market or homogenous urban market.

So, the thing is that within rural market, there are just so many markets. For example, if you are giving a home loan or a loan against property or you are doing a good cash flow assessed models, then they perform well. And you have to treat them over cycles. And we have seen 14 years. Let me tell you what 14 years is so that you get to appreciate that better. Every loan, every month is a cohort to track over a life cycle. 14 years means just think about it. That 's the number of cycles we have gone through. Not the 14 -year cycle. Every year within that 14 years of the cycle. So, we have been through just so many cycles.

We understand this economy very , very deeply. Whether it is rural housing or a rural home loan or urban home loan or urban rural market or micro enterprise loans , our JLG business was happening even before the merger happened. The merger happened in 2018 . But m y predecessor Dr. Rajiv Lall, thankfully, had acquired a J LG company called, I think, Grama Vidiyal . And that turned out to be phenomenal company for us. And I often thank him from my heart. Thank God , he gave me a good franchise there. So, we have been tracking this very , very closely.

The main thing is systems and domain knowledge. Systems and domain knowledge. Systems are systems. There is no substitute for good systems. But good systems plus domain knowledge. Don't worry. If there is anything to call out, we will call it out also. We will be totally honest and transparent. As you know, you have been with us for many years. Hopefully many of you are. We have never hidden problems. If there is an odd issue somewhere here, let us point it out. Nothing as of now.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, this entire breakup in terms of the cost to income , if you can highlight in terms of the proportion, how much would be getting into the credit cards and the liability of the total cost of Rs. 16,000 odd crores ? Just trying to see in terms of how much of leverage can it bring about in terms of the overall cost to income as and when it normalizes.

V. Vaidyanathan: I don 't know the number of f-hand.

Sudhanshu Jain: Yes, Kunal, we are not calling out that number. But Vaidya talked about credit cards . We certainly see the trajectory improving there. And on liabilities also, why we saw some uptick during the year ? Because we have put out more branches and so on. But we expect to sort of improve on these numbers. But incomes from insurance and selling of third -party goods are improving. We have still some ground to cover there. So, I feel that with a combination of fee, better cross -sell, distribution of asset products from branches, insurance products and so on , we should continue to get an uptick on the fee income as well as our costs should normalize on the liability front into the next year.

V. Vaidyanathan: And Kunal, let me add one more point to you and frankly to everyone hearing this call. We talked of a long -term picture, like five, eight years. We said, look, India will grow like that. And we believe we will do well in that for the reasons I described earlier. But let me just give you a short -term view, like a one -year view so that you know what to expect from us.

Now, what our view is that the next couple of quarters, we should expect, maybe next quarter, we should expect flattish kind of performance from us on earnings front or somewhere in th at zone. And maybe Q2 should see some improvement, but Q3 should see good improvement and Q4 should see strong improvement. So, it's going to be very back -ended this year. I will describe that reason also to you. And if you understand the reason, then you feel comfortable. So, that's

why I mean to give you a short -term guidan ce.
Now, it goes like this, that in the first quarter, of course, we will get salary increments and all that stuff, which of course happens to everybody , but it does cause a temporary, slight touchdown to the numbers.
The second thing, but more important, I called out last time and I will say it again to you , about FLDG. So, we are good players in the digital market and there are certain partners with which do business. Now, we were earlier in a model whereby when we did a digital loan, the income, the full income, maybe 17 %, 18% came to us and the full credit cost came to us because there is no FLDG.
Now, recently, the FLDG is permitted.

Now, what did we do? It is a good thing in the interest of the Bank in the longer run to move to a model where the partner absorbs the credit cost. But well, it works both ways so that the partner wants the income today. So, what we are doing is that this quarter onwards and that happened as well as the quarter that will come up in the next two quarters, you will see a payout to that partner. But therefore, our OPEX will go up in Q1. But what will happen is that when Q 3, Q4, these are the short -term loans, six -month loan kind of stuff. So, when Q3, Q4, when the credit cost will come on those loans, that credit cost will be incurred by the partner, not by us. Therefore, you will see that the credit cost in Q3, Q4 will be quite low and benign , and you will suddenly see a PA T going up in that time. And Q1 you will see cost because we are going to pay the partner , it's going up . So, this is one reason this FLDG.
The second thing liabilities. We will be paying off some Rs. 7,000 odd crores of liabilities at 9% in Q1, Q2. So, you will see by the time Q4 comes, you will see that benefit will come to us.
Credit cards, of course, Sudhanshu said and all that. So, you should expect a moderate performance from us next quarter. And I mean, on the profitability front and then take off during the report . So, please factor this in your mind. And many people have put up research reports on us and we will hope not to disappoint you on that , on the overall number . I saw Prakhar's report recently. We will try not to disappoint you. And we will be somewhere there hopefully. So, that's on this front on how the FLDG and the story sort of plays out.

The other thing is that, like I told you, we are not binding ourselves to exactly what the market is expecting, etc. I am just making it very plain to you. We are building for the long run. If something is important, we will invest. We will just go and just do it , and like we have been doing. And it 's important to be disciplined. We don 't waste one penny, but we are building for the long run. We will build what we have to build, but I can only tell you the long -term result of our approach will be very, ver y good because we will come on a very good platform.
Kunal Shah: This is very helpful. And secondly, in terms of the core PPOP , so you clearly articulated the trajectory over next four quarters, but looking at maybe what you are targeting 1.4% ROA with almost like say 1 .65% credit cost, so ideally when we look at the PPOP from 2.25%, 2.3% , what are the levers which can take it up further, say , from here on ? Will it be more cost to income or maybe still there is some, obviously some borrowing requirement will help in terms of the lean trajectory. But besides that, are any other levers available ? Because fee income is also upwards of 2% , margins are also at this level . So, will it be largely cost to income?
V. Vaidyanathan: Largely, let 's say , cost to income . But also, see, frankly, when people look at cost to income, they often miss a point that cost income is a derivative item. It's not an input item.
Kunal Shah: Yes, cost to asset, broadly, if I were to look at cost to asset.
V. Vaidyanathan: Yes, that's where we look at it. The way to look at it is that, are the incremental unit economics strong? If you look at how our PPOP has grown and over the last five years . You see our loan book has grown at a compounded rate of 13% over the last five years. So, for a normal Bank , usually, the PPOP grows at the rate of a book growth . But you know what is unique about our Bank ? Our loan book is growing by 13%, but PPOP is growing by 40%. How is magic possible? Possible because only increme ntal book is more profitable in the past.
Kunal Shah: Yes, it's more retail, yes, retail driving the overall .
V. Vaidyanathan:

It's profitable. It must be throwing more money to the P&L. Otherwise, how would book grow by, even this year, the latest quarter that went by, the latest year that went by, even in the period when interest rates went up, everything happened , our PPOP has grown up by 31%. Loan book grew by 25%. How did this magic happen? Think about it. 25% was the loan book growth this year. Operating cost is under 31%. So, this kind of a story is clearly telling you, this is I am telling the latest quarter.
So, this is something that 's telling you that the fundamentals of a Bank are really very strong. We have to be just patient, not get in a hurry and not become a please all people, stick to discipline and build this book patiently over the next two, three years. And this is how this magic

happens. If you are stable about it, one or two years, we will find our ROA will probably be stable , 1.1% probably still be 1.1% next year, because it still is a form we will build it.

But when maybe you play the same stroke over and over again and this joy of the fact that PPOP grows 30% and the book g rows 25% or 22% or 23 %, then that jaw continues to open . You do that year after year into 25 , into 26 , into 27 , and 28 . Suddenly you say wow , this Bank is now this is just fantastic and the numbers will look very good . But I am really requesting all of you to be calm about this and patient about this because we are building to a plan . We are sharing our plan and you can read any incrementa l economics . You can talk to our people . You can do all your research . I am quite confident that this will smell right to you.

Moderator: Thank you . The next question is from the line of Vikram Subramanian from Marshall Wace . Please go ahead.

Vikram Subramanian : Just wanted to check on the growth guidance . So, you had mentioned 22 % to 23% advances growth with incremental LDR of somewhere close to 80% . So, should we assume 28 % to 30% deposit growth for FY '2 5 and do you think that is internally achievable ? Just some comments on that , please.

V. Vaidyanathan: Yes, easily achievable.

Sudhanshu Jain: Grow deposits by slightly above 30% and achieve those numbers.

V. Vaidyanathan: See one key thing , Vikram , to note and it 's a good question by the way, is that our Bank is doing two jobs today . Okay, this is a very important note. We are funding our own growth, and second is we are also repaying the legacy liabilities, I mean the bonds and all that. So, Rs. 29,000 crores we paid off.

How did we get Rs. 29,000 crores plus grow our loan books ? So, we are having to do two jobs today. So, after the end of this year in '25, most of the legacy liabilities will be paid off. So, when you wake up in FY 25 -26, at that time we will only need to fund our growth. We don 't even need a deposit growth going at this pace. So, this is a very important point actually. So, therefore, the pressure on the Bank to raise deposits also come down, let me say certainly after '27, '28, '28, '29, we have only one job, just fund our growth. We don 't have to pay any past dues. So, in fact, Bank may be, depending on the environment at that time, may even bring down rates . We give it a good probability that we will do that and that 's how we will play it. So, that could actually add to the margins at that point of time or profitability and all that.

Vikram Subramanian : So, that was clear and good to know. Just another question . Sorry to harp on this liquidity coverage ratio . I guess a couple of other participants asked as well . Just not able to reconcile this almost 7 percentage point fall in LCR, despite deposits increasing 9%, 10%, Q-o-Q and liquidity on the balance sheet has also increased. So, are there any change in the buckets? Not able to understand that.

V. Vaidyanathan: Two-three people to ask this question, why don 't we just come back to you on this, but Sudhanshu has answer ed it a couple of times, I tried to answer it a couple of times. So, maybe we are not able to add through this one, but is there anything else you want to add, Sudhanshu?

Sudhanshu Jain: No, I am saying 115% itself is a very strong number and there could be some short -term, because LCR is generally repayments within one month, right? So, there were some borrowings which sort of came up for repayment. As I said, I didn 't know, we didn 't want to play the rate game. We could have mobilized some more funding to sort of keep the LCR at higher levels, but we chose to maintain LCR at around 115% . And we feel that we will be comfortably able to maintain it even going forward.

So, the RBI requirement is 100% . So, I am saying we also have to optimize our liquidity. So, I feel that if you are maintaining around 115% , that should be broadly okay . And believe me that our deposits are granular . If you go and see the LCR disclosure , deposits from retail, customers from small businesses, those ratios are quite steady while the overall customer deposits have grown by 41%. These segments have also grown I would say at least slightly better. So, you should not get too much worried on the LCR side.

V. Vaidyanathan: And I woul d say one more thing to go back to the previous question that you asked to one prior participant. The thing is that why is it growing deposit at 40%? I told you we are having the growth need as well as past liabilities. So, we have right now about maybe Rs. 12000 crores of legacy liabilities. And also, there are some more liabilities like bonds , etc., which were not legacy but we borrowed after the merger happened. That 's like close to Rs. 15,000 crores. So, this is because it is available at a very low rate during COVID , so we took it.

Now during the next couple of years , we plan to even pay that off by deposits , not the borrowing.

So, therefore , you will see us grow deposits strongly over the next two years and for paying off both the legacy borrowings, I mean, the bonds and loans. So, we will pay that off with deposits. Next year also we will do that , both the legacy as well as this one. So, we will pay off everything and then we will be Deposit Funded Bank . So, this is the reason why for the next couple of years we will see us raising it.
After that, like I said earlier, we will slow down the growth of deposits. And then life will be relatively easy. By the time engine 1 will also be firing, engine 2 will be firing because existing stock of deposits will be like something Rs. 4 lakh crores. Well, Rs. 4 lakh crores will give us probably about Rs. 40,000 crores just like that from existing. Maybe if not Rs. 40,000 crore, maybe Rs. 30,000 crores will become existing stock itself. So, you should see us may be dropping the rates like I said earlier.
Moderator: Thank you. The next question is from the line of Sonal Minhas from Prescient Cap Investment Advisors LLP. Please go ahead.

Sonal Minhas: Sir, again great set of numbers on the deposit side. I think that has been the standout trend for the last 4 -5 years. And thanks for including disclosures on the NPA side as well segment wise . I just had an observation on the same slide number 42. Our slippages have been in the range of 2.75% on an annualized basis of 3%. And the NPAs as we see are between 1.5 % to 2%. So, I just wanted to understand subjectively which segments are we slipping more? Are we putting some speed breakers among these segments specifically mentioned in slide number 42? Anything subjective commentary on that would be really helpful.
V. Vaidyanathan: I don 't have the specific slide on hand right now that we are listening to.

But let me just take your question generically.
Sonal Minhas: The question is where are we slipping more? I think that 's where.
V. Vaidyanathan: No, that 's fine. So , see, there are some businesses. See, f irst of all, the blend of our slippage on a net basis used to be about 2% , on a net basis. We always have gross . We always have recoveries . We always have a net. So, that's like 2% o dd.
Sudhanshu Jain: Yes, 1.8%.
V. Vaidyanathan: 1.8% right now, but maybe 2 %. We are quite comfortable with 2 % also. And since you know you provide for about 70% of that 1.8 %. 1.8% becomes like ~1.4%, we guide for 1.6% . So, you think of it like that. But usually obviously needless to say, your home loans are probably slipped the least because just the nature of that cash flow assessment and customer profiles obviously are of a higher income profile. The more you go down the pyramid in the customer income profile, like your two-wheeler financing or let me say consumer durables, etc., you will have higher slippages, higher credit cost.
But we think of it in a very disciplined manner. We just don 't want to run any business that really outstripped the whole book. Or we are not so greedy about income to post , etc. So, we want to be disciplined. We have a particular mix we play to. That mix has been very stable for long periods of time. And as a combination, we are quite confident that this number will cover gross NPA 1.38% , net NPA 0.44% .
Think of it. We will maintain it. And if it goes up, nothing ever stays stable forever. 1.30% can become 1.40% , can become 1.45% . But it 's never going to become 2% or 2.5%. We will not give you those kind of shocks. It won 't happen. I mean, it will be like in that zone. Because it 's not going to come down forever because it 's come down sharply. But think of it like stabilizing from here on, on those fronts.
Sudhanshu Jain: And just to add, you would have seen that slippages have slightly come off. But in terms of credit costs, there is also a function of recovery, right? So, while you may not have slippages, right, which sort of increase , but we are seeing that we had slightly higher recoveries in last couple of years, including the current year, which came from a COVID book, right?

V. Vaidyanathan: COVID book meaning the book that got charged up during COVID does not mean the provision taking of COVID which we were reversing. That's not that. Just the book that gets charged up for the COVID policy, we were getting recovery from that, not now.
Sudhanshu Jain: So, as some of this is tapering, you are seeing some normalization of credit cost.
Sonal Minhas: Yes, I understand that. And just a request . You have been brilliant in your disclosures in your deck as well. Typically, like good Bank s, like I have seen in their decks, they have a code opening, closing schedule of NPAs, where you add back slippages, where you have technical write -offs, you have provisions, all of that in a single slide. I understand you started, I think, reporting the gross slippages as a footnote. It's just a schedule of the NPA at the opening closing

level, which is like, I think, pretty standard for a good Bank . If you could include that in the deck, that would be great. That's a small thing from my side actually.
V. Vaidyanathan: We will definitely do that. But on slippage, things are pretty good. So, just one point I want to explain to you, for example. So, if you see one of our slides, we have disclosed now for 24 months in a row, we have given our collection percentage.
Now, you see number 99.5 % there. Now, frankly, that number is a very important number, because if you keep 99.5 %, you are only going to have 0.5 % slipover to be 1 to 30, 31 to 60. And the next bucket. So, 99.5% is very important. But if you see the 99.5 %, it is a

composition
of many products, which is coming as a composite one item. You could go to two -wheel er financing; you will see the 99 %. If you see the consumables, you will probably see the 99 point something. If you see that the home loan probably will be 99.7 %.
So, the composite comes to 99.5 %. So, the products which are running 99 % and not 99.5 %, they will have a credit cost of maybe 3%, while home loan will have credit cost of probably 0.1% or something. So, the blend eventually becomes the credit cost, and that we told you 1.65%. We are quite comfortable with it. Don 't worry about it. Except I am saying this now so that you all can expect it from us properly.
I wanted to be aware and comfortable with it, that Q1, Q2, because of the way the flow plays out, because I don 't know if you remember or not, a couple of quarters ago, we pointed out that we moved over to a 90 -day NPA recognition. We were earlier 91 days, because of some technicality. And therefore, the cycle works out in such a way that in Q1 and Q2, and also because of the FLDG matter I talked about, you will see a relatively higher credit cost, nothing like out of the ordinary, but just to tell you rel ative. And Q3, Q4, you will actually see it flattening it out. So, by Q3 & Q4, Income also will grow up, because the book would have grown ; The credit card liabilit ies will happen ; in Q3 & Q4 credit cost will come down.
So, that's why we are pointing out the fact that expect moderate performance from us, on a PA T front, next couple of quarters ; for Q3 & Q4, expect better from us. And also, let me also point out to you that the core fundamentals, the core fundamentals meaning the liability growth,

deposit growth, NPA, asset quality, all that are the core . Those are input parameters . That will be very strong, every quarter from now on for four quarters.
Moderator: Sir, we have one question from the line of Mr. Ja i Mundra from ICICI Securities. Please go ahead.
Jai Mundra: Just a small clarification. You also I think clarified in part, but I think for the benefit of all, if you can suggest that this quarter we had a credit cost of 1.5%. Now we are saying that for the next two quarters it may go a little up, maybe 1.65% for the full year FY '25. But in the second half FY '25, it should decline , right? So, mathematically it looks like that first half FY '25 would have slightly higher slippages. Of course , a part of this could be normalization, but is that the understanding right that the credit cost may go up, but then it will come down in the second half ? Just a small clarification.
V. Vaidyanathan: No, first of all , it is not like any slippage issues or nothing like that. First of all , just be aware that, I just want to take you back a little in time. If you notice any Bank has to disclose gross NPA and net NPA. We take it five steps back. We are showing the credit underwriting norms, then we are showing collection cheque bounce. Then we are showing a full trend of 24 months of collection percentage . Then we are showing our SMA . Then basically we are showing the full feeder that is coming into the NPA . Then we are showing product wise NPA. So, you can see the full chain transparently end -to-end at our Bank . You just don't have to see the NPA . That was number one.
Now in this flow therefore, to your question, so Q1 and Q2, the reason I told you , right, the technicality of the 9 0, 91 day etc. , and also Chennai , there was this floods. So, on the JLG portfolio, the flow was relatively higher, but that 's already started normalizing. But to some extent you will see, let me say a portion of that coming through in Q1. But these are like normal cycles that happen . Flood can happen somewhere, and people can pay and they can pay later. So, some of these are the reaso

ns that you will find some technicality.
But so therefore, by Q3 & Q4, anyway like we said, if the fundamentals are strong and flows are strong, strong meaning the collection percentage continues to be like this, nothing will happen . By Q3 & Q4, you will see some normalization and you will see FL DG being absorbed by the FLDG partner. So, therefore, Q3, Q4 will look good and Q3, Q4 will not look like horrible anything like that, just be a little more elevated. But nothing that will disturb you so much , anything like that.
Jai Mundra: Sir, that is very , very helpful. We will close this call . If you have any closing remarks to make,

please.
Sudhanshu Jain: Thank you everyone for coming on Saturday. The call went for almost one and a half hours. Thank you for being patient and have a great weekend.

V. Vaidyanathan: Thank you very much and this is a full five years. The merger happened in December of ‘18. So, March 31, 2019, was the first financial closing. So, this is exactly five years. You have been very patient with us. I must say very , very patient. I don ’t know, we enjoy a lot of your goodwill, and we want to , even when numbers are like really bad, not just the bad loans, our operating profits very bad initially for the first two years, you supported us even then. We thank you for that and we feel that next two, three years, four years, if you stay steady, we will live up to your goodwill and trust.
Moderator: Thank you.
V. Vaidyanathan: Thank you. Thanks , everybody. Bye.
Sudhanshu Jain: Thank you.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail: bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD /147/202 4-25 August 02, 202 4

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter ended June 30, 202 4

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended June 30, 202 4 conducted after the meeting of Board of Directors held on July 27, 2024, for your information and records.
The above information is also available on the Bank's website at the following link:

https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Earnings -Call-Transcript - Q1-FY25 -Final.pdf

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
Head – Legal & Company Secretary

"IDFC FIRST Bank Limited
Q1 FY'2 5 Earnings Conference Call "
July 2 7, 202 4

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – IDFC FIRST BANK LIMITED
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER AND HEAD CORPORATE CENTER – IDFC FIRST BANK LIMITED
MR. SAPTARSHI BAPARI – HEAD INVESTOR RELATIONS – IDFC FIRST BANK LIMITED

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the IDFC FIRST Bank Q1 FY'25 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chintan Shah. Thank you, and over to you, sir.

Chintan Shah : Yes. Thank you, Sejal. Good evening, everyone, and welcome to the Q1 FY 25 Earnings Conference Call for IDFC FIRST Bank. We have with us from the senior management, Mr. V. Vaidyanathan, Managing Director and CEO, along with the senior management team.

So without further delay, I would now like to hand over the floor to the management. Thank you, and over to you, Vaidyanathan, sir.

V. Vaidyanathan: Hello, everyone. Good evening. This is Vaidyanathan here.

Sudhanshu Jain : Good evening, everyone. This is Sudhanshu Jain . I'm the CFO.

Saptarshi Bapari : Hi. This is Saptarshi Bapari, Head of IR.

V. Vaidyanathan: So there's Saptarshi, Sudhanshu, and myself. First of all, thank you very much for joining us on a Saturday evening. We put out our results maybe a couple of hours ago. We hope you've had the opportunity of going through the presentation. We'd like to definitely talk about all the key items of this quarter. And certainly, later in the conversation, we'll come to cost -to-income ratio , we'll talk about credit cost, which has gone up in the quarter, and I'm conscious of that, we'll go through that. But just simply the sequence of this presentation, which we put out for you to review, let's just go through the numbers which we think are imp ortant, and then we'll definitely come to the point which are more critical items.

Now the way we look at it is that for any bank, and certainly for our Bank , raising deposits is the key, key capability that we need to have, because this is just the raw material and I'm very happy to say that our deposits momentum continues through this quarter and just to run you across some numbers, now our deposit numbers are now touching about Rs. 2 lakh crores, which we think is pretty much a landmark number for us, because we started with a pretty low base and even last year itself, our deposits Y -o-Y have grown at 38%.

Then when we look to the retail deposits, that's also coming very strong for us. Our retail deposits have grown from March '23 pardon me, from June '23 to June '24 have grown by 44%. And in fact, we got rather emboldened by this kind of deposit inflow that is coming to our Bank , and that we actually reduced the interest rate just now on our retail deposits , on the savings front, we reduced it to straight 3% for up to Rs. 5 lakh. We just did this about maybe 8 or 10 days ago, and the benefit of which I guess we'll begin to see a little more in the coming quarters. And the deposits still coming for maybe multiple reasons, which we will talk about that. We think one

of the key reasons is customer service levels and the way we build the brand and the positioning and digital capabilities. But the thing is that it is coming so strong.

The third thing is CASA. As you know, CASA is a hot pot item in this market. Our CASA Y -o-Y has grown by 36%. We are now reaching around Rs. 97,000 crores.

Fourth is that CASA ratio continues at around 46.6%. Just for context, I think last quarter it had been a little higher, maybe around 47%. So that's about that.

The fifth thing is in terms of retailization. Now 80% of our deposits are retail. It gives us a lot of peace of mind, because retail customers get used to transaction ID, pa

ssword, relationship managers, branch managers, branch services, auto debit, standing instructions, mutual fund investing. So they use a number of services, so it becomes very sticky. And I think this is one of the hardest things to build in business rather than building the wholesale deposits. So that's 80%.

Now, fifth thing is that certainly, in the last five years, we've had success, as you'll agree. And we have repaid legacy borrowings and certificate of deposits of around Rs. 65,000 crores since merger. So all such monies were maturing, and I'm happy to say that our Bank has been able to raise retail deposits of this order of magnitude that we could pay off and we could settle all those dues on the respective due dates, which is obviously expected of us. But the fact that we have raised it is still a moment of happiness for our organization and our team members. And that is something, again, calls back to our ability to raise deposits.

Now the next thing is the credit deposit ratio. In the credit deposit ratio front, our incremental credit deposit ratio from June '23 to June '24, i s just 72.1%, and this is one of the things that is being talked about. Our credit deposit ratio has come below 100% now. Maybe by end of the year, it will go to some 92% / 93% and next year it will go to the 80 s. So this is coming really very strong for us.

Now on the lending side, I'm happy to say that our portfolio continues to be highly diversified. We have close to about 25 business lines. And we have issued the joint liability book. We called it out in the last quarter also, but now later in the conversation I'll bring out more specific numbers for you. But barring that, let me say that all the rest of the businesses are behaving well and roughly in line with what we discussed last time or last quarter.

Now , one key thing that you may have kind of in all the melee may have missed your attention, but I'd like to point it out to you, because it's a very key capability our Bank has built and all our shareholders will be happy to note is that we had closed about Rs. 3,500 crore of RIDF investments. I'm really happy to say that since we are meeting our PSL requirements now, it's wound down, it has come down to close to about Rs. 840 crores.

And more importantly, we were buying PSL certificates to meet our private sector needs for the last three or four years. I'm happy to say that last year, we turned the corner. We are developing our own private sector, in a sense we are generating our own organic PSL, which is a key capability build. And in fact, last year, we actually posted a small profit because we sold PSL certificates.

Now I'd like to quickly come to the collection percentages and how the asset quality is behaving. Now on the asset quality front, there are two things. One is the core business. In fact, in our investor presentation, we have actually given a step -by-step process about how we are underwriting loans.

The first step after giving a loan is basically what we call the first EMI returns. The first EMI returns is basically indicator of how good a loan you booked last month. Basically, if you booked say 100 loans last month, this month is the first checks going into clearing, outstanding instruction or eNACH, and we see how many of them are returning.

So on this front, earlier we were getting -- about 7% were returning, and now only 5% are returning. So that is down 30%. So that is a clear indicator that incremental booking of the Bank over the last many years is obviously better than the past. The collection percentage continues at around 99.5%.

I mean, excluding joint liability group business, we'll talk about that in a moment. So it continues at 99.5%. In April of '24, we saw collections dip to 99.3%, it came down, but it's back to 99.5% in May and June. There is an impact of the 99.3%, because to

that extent slightly it affects the
SMA , but these are just events that even out over time.

Now on the joint liability group, while we are saying that we are collecting 99.5%, and frankly, just for definition I want to share with you that these numbers are excluding prepayment collections and they're excluding arrears, etcetera, still coming at 9 9.5%. That's not the issue. In joint liability group, we saw this number come down from 99.7%, which is the number we were used to in the past. It's compared to 99.2%. So this time, many of you would be concerned on why did we have to do so much provisions this quarter. Even sequentially it has gone up, but certainly Y -o-Y it has gone up.

So what we have done is that on Page 29 and 30, we have specifically called out two very, very important slides. We have, for the first time, publicly put out a proper vintage chart of the loan bookings that we are doing right now. So how this works is that basically, we draw the chart of the loan bookings, the vintage analysis of loans booked, let me say, pre -COVID. So we see that what is the 30 DPD, 30 days past due after, say, 6 months, 9 months, 12 months, etcetera. Then we take the bookings done last year, and then we see, at the same vintage, for the same 6 months, we see how much is the delinquency, how much is the 30 DPD. So we have put it out. And you can see from the chart that in 6 MOB, 6 months on books, both series of transactions being after 6 months. So if you book a loan in January 2020, and then see it after 6 months, it is in June 2020. If you book a loan in, say, January of 2023 and see it after 6 months, that is on June 2023. So just like -for-like vinta ge.

So that number has come down. It used to be 2.39%. Now it's coming at 0.83%. If you take 12 months on book, it was 3.87%, now it is 1.75%. So this is a very important slide. If you have time, I request you, of course, peruse it. It gives you a comfort about the longer -term picture, because some of you might be concerned what will be like one year from now? How do we model 2027? And how do we get a comfort that the credit quality will hold well?

Now this chart will tell you that if this is what the delinquency is at the end of this graph , so this will give you a longer -term picture about how credit will behave. And we believe it will continue to behave well because these numbers are holding up so well.
Now I want to come to the joint liability group, which is the key subject that we want to talk about today. Now if you recall, in the last quarter, we brought out to all of you that our credit cost for the year is expected at about 1.65%. And we had kept a rain check on the JLG thing that look, we'll have to watch out for the JLG business , JLG meaning the microfinance business, and we had told you that we will come back to you and we will look to it and all that.
Now during the quarter, we have assessed it properly. We believe there is an impact of the joint liability group. Basically, we have a portfolio of joint liability largely in Tamil Nadu, and Tamil Nadu had massive floods. So that portfolio did get impacted . And that book, the delinquency on the book has gone up in the joint liability book. Normally, pre the floods, our credit loss in the JLG book used to be around 1.6%. Frankly, it was quite low as compared to the industry. Industry used to run at 2%, 2.5%; we were running 1.6%.
Now our estimate of credit cost for this year on the joint liability group, because we are 60% concentrated in Tamil Nadu, it is expected around 5% or a little short of it. So that impact of about maybe 3.2% has come on the microfinance book. But fortunate ly, it is only 6% of the book. And the impact of that amount is giving us about 20 basis points more. So we'd imagine that about 1.85%, including the impact of the JLG book is what we are expecting, but it will be more

front loaded for Q1 and Q2 because of the reason I talked about.
So the only thing I'd like to point out, the floods really are a one -off episode. It comes, it goes, and the impact, fortunately, the JLG book is only one or two years in life. So in quarter -to-quarter, this will go away through the books. But we want to just point out to you, so that you don't feel that the whole book has a problem. It's the joint liability group and we pointed out to you. Rest is behaving at 1.65% as we guided earlier.
Now I want to further tell you that how we are going to deal with this, because, of course, one thing is to take it through the P&L this quarter, next quarter, but the issue is more about how do we deal with it in the future. What we have done is that since January of this year, we've been insuring our joint liability loans. So we pay up our premium of about 1% to CGFMU and therefore, if any such situation were to come in the future, the book would stand insured. Also, we've kind of tapered this book. The book is at about Rs. 12,700 crores, which is kind of flat over March of 2024. Now if you look at SMA and SMA -2, that's not materially moved except for the joint liability group, maybe a little bit of here and there.
Now let me just sum it up, therefore, by saying on the asset quality that we had a bit of an issue on this microfinance book, which we called out. Calling out more specifically now, but last quarter also we called out. And we will, like any other episodic event, like COVID is an episode, COVID went, but portfolios have normalized, like this too will normalize. But it has not affected the fundamentals of the business, which we'll talk in a moment in terms of cost and cost -to-income ratios.

Now I'd like to move quickly to the cost -to-income ratio at the Bank. Now on the income front, let me tell you that the income is holding up quite strong. Fee income is really very diversified, coming out quite well. Now the issue that many of you would like to know on the cost -to-income ratio is to say that how does this 72.9% cost -to-income ratio which we had last year, how does this trend for the future? Now first to tell you that the Bank has done massive digitization in all our businesses. And that is really helping us reduce cos t-to-income ratio.
To give you an idea, on the deposit front, I'll tell you how it helps. For example, we are now Rs. 212 crores deposits per branch on our balances. On an incremental basis, we are getting close to about Rs. 55 crores to Rs. 60 crores per branch per year. This is obviously not fully generated by the branch. Our digital capabilities are helping us and therefore, helping us in our overall equation. So same logic goes for loans and all that. But let me come back to the cost -to-incom e more specifically.
So our cost -to-income ratio, the key picture we want to give is, because we had given a picture for 2029, and then we said that we expect the ROA to start becoming quite respectable, probably meeting the best of the industry or probably beating the industry norms. But we did get a sense that okay, folks, but still an interim picture of 2027 could help rather than why wait till 2029, looks like far away. So what we've done is we have tried to es timate how our cost -to-income ratio will play out for 2027. And that is what we'd like to present to you.

Now I'd like to take you through numbers so that you can understand them better. Let me take the assets business, which is both the wholesale assets and retail assets, all put together. Now there, our cost -to-income ratio in FY 22 was 60%. Now last year, that is FY 24, it was 53.2%. We believe this will comfortably come below 50% between 2024, '25, '26, '27, we are talking about three years. Frankly, a 1% a year is comfortably doable in this space just because of scale. So I don't expand too much on it. Maybe if yo

u need help , Q&A on that, I will take it there. So
basically on the core, core franchise of lending, we are doing pretty well. At a 50% cost -to-income ratio, life will be good.

Now let's talk about retail liabilities. On the retail liabilities, we've discussed before ; branches, ATMs, all that. I don't want to expand on that. But I can say that because we're a new Bank , our cost-to-income ratio is high. It's running 193%. Now, it is 193%. It has come down from 226% in 2022. Over the next three years, something very important is going to play out in our respective lives. What's going to happen in our lives, I mean, the difference is that in the next three years, the requirement of deposits in the Bank is going to come down.

As we speak, in the last five years, we've been handling a double burden, in the sense, one, we fund our loan book growth also, plus we are also paying Rs. 50,000 crores or Rs. 60,000 crores of past liabilities, which is bonds and all that. Now in the next three years, since then bonds will be almost paid off, we need money only for growth of the Bank . So we need only one, not two. And that is a big one. And therefore, our need for branches is going to come down.

So we are going to grow branches at 10% annually , but we are expecting deposits to grow by at least 25% annually. We're currently growing 39%, so 25% should not be difficult for us. So if the branches grow 10% and deposits grow 25%, automatically, the cost -to-income ratio of

branches will come down. It has to come down mathematically. So this number in FY 27, we expect this to be 140%.

Now I want to move to the credit cards. In the credit card business, in the first year of operation, we were running 240%. In FY 23, we came down to 164%. FY 24, we came down to 116%. And this trend will continue with scale. This will happen. So by FY 27, we expect this to be 75%. So retail liabilities, I have told you, dipping from 193% to 140%. Credit cards, I have told you, dipping from 116% to 75%. And assets, I have told you, dipping from about 53% to 50%.

So these 3 combined put together, we've done the math, the combined, combined, which is currently running 72.9% will come down to 65%. That would be about a 700 basis point reduction on cost -to-income. And all of you know how that math works out if we cut the cost, but at order of magnitude.

So these were the key things I wanted to share with you, so that you get a picture about how the story is headed in a more clear way , rather than our earlier conversations, where we just used to tell you that it will , cost-to-income will come down at scale. Many of you would scratch your head and say, fine, logically sounds okay, but what, how much? So today, we put the numbers for you can model it internally. So that's what we are heading towards.

So finally, of course, I believe we've built a really phenomenal technology stack in the Bank . I hope many of you are using bank app, hopefully will testify that or will agree that it's really one of the fantastic apps. Just to tell you that we have a Google Play Store rating of 4.9. Very, very, very few banks have achieved something like that. Your has app has to be really good to get 4.9 there. On App Store, we have 4.8. As per Forrester, we are among the only Indian bank to feature on the top 15 global banking apps. So these are some really good things we're doing. But end of the day, this matters, because the customer experience matters, and that's where we get to deposits and loans and all that.

But to step back for a moment, this is our strength, but you will be able to convert finally, you'll want to see it in ROA, ROE and it will need the cost -to-income ratio the way we're guiding it, which we think we will, then things will fall in place. And this joint liability group will be an episodic thing and episode will pass. So that's my quick

comment to just open the discussion.

You know what, after mine, Sudhanshu had some key points to make. We will request him keep it quick, so that you have time for Q&A. Back to Sudhanshu if you can take them through your key points.

Sudhanshu Jain : Yes. Thanks, Vaidya. In fact, you have touched quite a bit of numbers. So I'll try to restrict myself to only some incremental stuff. Yes. So one, the number which I want to call out was that the CASA ratio was quite healthy. In fact, the average CASA depo sits have also increased by 34% on a Y -o-Y basis. The average CASA ratio for the quarter was around 45%. So we continue to see a good traction on this front. Even on term deposits, we all know rates have a

factor to play in there. Retail te rm deposits have grown at 54% on a Y -o-Y basis.
Our branch count now stands at 955 branches. We have added about 11 branches during the current quarter, and maybe we'll add a few more in the year to pass -by. Another good point to

note is that our high -cost legacy borrowings have now come down to about Rs. 10,000 crores. About 50% of this will further run off in the balance year. And so at the end of the year, we'll be left with just sub Rs. 5,000 crores on this front, which will definitely help us to look for lower deposits and other benefits that will kick in, which Vaidya already touched upon.
The credit -to-deposit ratio is quite good for the quarter. In fact, the incremental was only 68% for the quarter if we exclude one short -term deposit outflow, which we had called out from a government account during Q4. So that is coming quite healthy.
On stock, the credit -to-deposit ratio is now down to 98.1%. In this aspect, the cost of funds, if I have to touch upon, that increased marginally by 4 basis points to 6.47%, and the deposit cost was higher by about 11 basis points to 6.38%. The increase in deposit costs was primarily due to the repricing impact on FD.
Moving quickly on to assets. You would have noted that the growth on a Y -o-Y basis was 22.0% and on a sequential basis, it was 4.2%. We have given a detailed breakup product -wise in Slide 84 of the investor presentation.
On the non -infra corporate book, that also increased by 14% on a Y -o-Y basis and the infrastructure book is now down to 1.3% of the total funded assets. By the end of the year, we expect this to come more around 1%. Talking of credit card very quickly, we have now issued more than 2.7 million cards. The book size is about Rs. 6,000 crores. And the gross spend on credit card has increased by about 49% on a Y -o-Y basis.
Very quickly, moving on to asset quality. The gross NPA stood at 1.9% at Jun -24 and net NPAs down to about 0.59%. It's broadly stable if we compare to the previous quarter. In fact, if we exclude the infrastructure book, the GNPA would be more around 1.6%, and Net NPA will be more around 0.43% at bank level.
We have increased the PCR by about 60 basis points during the current quarter, and it now stands at 69.38%. Again, here, if we exclude the infrastructure book, the PCR book stands increased to 73.5%. The GNPA in the retail, rural and MSME segment put toget her saw a slight increase during the current quarter, and it was at 1.46%, but the net NPA here is only at 0.46%.
Moving on, the standard restructured book. That continues to come down. That has come down from 0.31% in last quarter to now 0.26% of funded assets. It has to be noted that around 95% of the restructured book is secured in nature and we hold around 20% pro vision on the same.
Vaidya has already talked about SMA numbers, so I'll skip that, but the increase during the quarter was largely led by JLG.
Gross slippages for the quarter were Rs. 1,657 crores and net slippages were Rs. 1,132 crores. We saw some moderation in recoveries and upgrades during the quarter, and that number stands at Rs. 526 crores in Q1

vis-à-vis Rs. 623 crores in Q4 FY '24.
Moving quickly to profitability. NII saw strong growth. It grew by 25% on a Y -o-Y basis. The net interest margin for the quarter was at 6.22%. On a sequential basis, NIM was lower by 11 basis points. But as we have mentioned in the presentation that a prim ary part of this reduction

was because we were carrying slightly higher investment book in the form of T -bills, which had an impact of about 8 basis points. The rest of the impact was due to a slight increase in cost of funds, as I mentioned earlier.
Fee and other income for the quarter increased by 19% on a Y -o-Y basis and the growth was largely led by retail, which grew by 21% on a Y -o-Y basis. The trading gain for the quarter was around Rs. 24 crores. Operating expenses increased by 21% on a Y-o-Y basis and it was, in fact, flat on a sequential basis. As a result, the cost -to-income has come down to 70.45% for Q1 from 73.15% in the previous quarter.
Core operating profit, as a result, also increased by 30% on a Y -o-Y basis to Rs. 1,858 crores for the quarter. As you would have noted, provisions came in slightly higher at Rs. 994 crores for the quarter and was higher by 38% on a sequential basis. This was largely led because of normalization and some uptick which we saw in the JLG portfolio.
Credit cost for the quarter was at 190 basis points, but if we exclude JLG, then it is more around 170 basis points. Tax for the quarter is at Rs. 681 crores. This was lower by 11% on a Y -o-Y

basis, but if you exclude trading gains from both the periods, then the decline was more around 7%. Provisions in this quarter were higher in JLG relative to Q1 of last year by about Rs. 132 crores. This also led to a lower PAT if we apply the tax rate by about Rs. 100 crores.

Moving on to the last piece, which is on capital adequacy. The Bank now has a capital adequacy of 15.88% at June '24, with a CET1 ratio at 13.34%, which is including the profits over the quarter. We had a benefit of about 14 basis points due to the transition to the new investment circular with effect from April 1, '24. H owever, if we take into account the capital which came in July '24, then the CET1 ratio at June stands increased to 14.67%, and the total capital adequacy will stand increased to 17.21%.

Last point on my front before we open up. LCR, we have maintained about 118%. This has increased from 114% in the previous year, and we have been maintaining healthy liquidity levels.

Moderator: The first question is from the line of Pritesh Bumb from DAM Capital Advisors.

Pritesh Bumb : Sir, two questions. One is that the industry has seen a bit of NPAs in the unsecured piece, and we are one of the significant players. What is the reading from the early indicators, if this can move up further, any geographic concentration? And is this driven more by the early age group of borrowers?

V. Vaidyanathan: Our unsecured retail is around 50 % of the retail book, which is the key focus area for the Bank , and key focus area any way in terms of people observing the book, so to say for performance. Not the focus of the Bank , but the area where it is focused upon for credit quality.

Now on this front, roughly, we are seeing that it's varying broadly normally. That is why we are able to stick to our credit guidance of 1.65% overall at the Bank level. No material movement at this point of time. But like everybody knows that we got to be very careful here. And we'll keep an eye out.

Pritesh Bumb : But sir, any age group which is driving for the industry, because a lot of millennials and everybody is raising money from , or borrowing money from even the fintech lenders. So anything there we can call out?

V. Vaidyanathan: Yes, yes, yes, we can call out, if you want to go deeper. So in the sense that when we analyze our credit card business, for example, I don't mean the overall unsecured, I'm not talking uniformly for the entire 50%, but I'll take 1 sliver of credit cards and talk to you. So on that, we find that people in the age group of 40 to 50 to 60 are the best performers of credit. The 30 to 50 or the 30 to 40, 50 are the next best. And the people who are the youngest borrowers, the 20 to 30, their delinquency is relatively higher. So we do see a definitive age pattern, but I think it's not news in that sense. People always know that youth are a little less responsible so to say. So that's one.

And the other thing is that on the comment on fintech that you talked about, we also experienced that in the buy -now-pay-later business. We did find that our delinquency, especially the 1 month kind of loans that we were doing, we were one of the early pla yers in that game when we were tying up e -comm companies and doing buy -now-pay-later businesses, where somebody could come to an e -comm, set up the preset line and they could draw and they could pay 1 month later. Now again, small ticket, age group usually low, the delinquency is relatively high for us. So we dealt with all that, but nothing that's like disturbing us, because it's like normal course, part of the same 1.65% we're talking about.

Pritesh Bumb : Got it. Sir, second question was on the LCR impact from the recent guidelines. We are at 118% in Q1. So any impact assessment on that? And as you mentioned in the opening remarks that our deposit raising intensity moves down, and also the resultant cost -to-income. So any thoughts on this one, if that will slightly delay or do something on our end results?

Sudhanshu Jain : So on the LCR, as I said, while these draft guidelines have come in. And if you see that we have been maintaining a very high solid base on the retail deposits. That is one of the highest in the industry. If you see as per the LCR disclosure, that is at 58%. And because now the runoff factor is sugg ested to be increased, we would have some impact on that front. But we feel quite confident because deposits are coming on very strongly. In addition to that, we feel that we have not drawn much in form of borrowings, right?

So we have lines available in the form of refinance. We have a very small portion currently utilized in the form of certificate of deposits. Then forex borrowings is also an option. So we feel that if we have to meet that ratio on April 1, we will be able to mobilize through some of these sources. Incrementally, if you ask me, there would be some additional ask which could come in, but we feel that our deposit machinery is quite strong enough to mobilize some additional deposits.

Moderator: The next question is from the line of Ishan Agarwal from Erevna Capital.

Ishan Agarwal : Firstly, I would want to appreciate the customer service and the mobile app of the Bank . Superb as compared to other banks that I have experienced. And I'll move on to my questions. So my first question is, you had guided for a cost -to-income to be stable at 72% for Q1 and Q2, and

then start dropping off and break the 70s by Q4. This quarter, the cost to income is at 70.5%. So how does the trajectory look like for the coming quarters of this year?

V. Vaidyanathan: First of all, we're very thankful that you said what you said about our app. We go crazy building it. We are just loving it. All of us are doing user testing on it every day. So it's built on really superb platform. So we're very happy that you liked it. S o thanks.

Now on the cost -to-income ratio for this , we'd like to actually really guide for FY27, one quarter maybe a little up and down. So sometimes it can give signals one way or the other but directionally, of course, this year, we expect to grow opex only by 20%. Last year, our opex grew by 33%. So we are definitely slo

wing down opex growth of this Bank . And that, as you know, once you slow the opex growth, straight away it feeds into cost -to-income. So we expect that this year we'll grow opex only by 20%. Even first quarter, I think opex growth was only 20% -- 21%. So this quarter's opex has grown only by 21%. So you should expect of us that when you track us Q -on-Q-on-Q for the next 4 quarters, we should not grow opex more than 20%, let me say. Income, of course, should grow by maybe 23% or so.

Sudhanshu Jain : 23% to 24%.

V. Vaidyanathan: 23% to 24%. So automatically, the jaw opens. So that's what you should expect from us. And therefore, there should be a reduction. But more importantly, the picture that we've given for FY27, where we have done our work, done our modeling, that should give you a better glide path.

Ishan Agarwal : Okay. So moving on to my next question. You have guided...

V. Vaidyanathan: Ishan, just before you continue, just one quick feedback from you, it will help us. This picture that we gave about how the credit card cost -to-income ratio and retail liabilities and assets, how they'll come together into the overall Bank . You can be honest with us, did that help clarify? Or you still feel the doubt. So if you have doubts, please ask us .

Ishan Agarwal : Actually, for me, as an analyst tracking our Bank for a long time, for me what really helps is the blended number, because for me to see from outside the internal moving parts does not really help me, to be honest.

V. Vaidyanathan: Okay. Thank you for the feedback.

Ishan Agarwal : Yes. Now my second question is, you had guided for our ROE touching the lower end of our guidance by Q4 of this year. Now with the increased equity capital base and increased JLG provisioning, which we did not anticipate, say, 2 quarters or 1 quarter back, do you believe you can still achieve that? And if no, then what ROE number can we look at by Q4 of this year?

V. Vaidyanathan: It would be good to see the number, but it looks like it's difficult because there is capital and also the extra provision that is coming because of the microfinance book, so to an extent. But I think let's talk ROA, Ishan, if that helps you, and then ROE is just a multiple on that number. So let's talk ROA. So our estimate is that we'll probably be flat this year , flat over FY24, and next year probably 1.2%, and by FY27, 1.4%. That's how things are moving in our estimates.

Sudhanshu Jain : And Ishan, just to add, we continue to sort of hold that profits in H1 could be slightly lower because of the JLG impact which we have called out. But H2 profit should be much better than that. So you would see an ROA uptick as we move on during the quarte r.

V. Vaidyanathan: Yes, yes, that's right, Sudhanshu. Basically, see, for us, our profits would be more back -ended this year because the JLG impact is coming in the first 2 quarters. And maybe a little bit of tail will come in the third quarter, but not so much. But next qua rter you must expect that the numbers on the PAT front, though we do expect the deposit growth to be very strong, we expect the loan growth to be well -moderated, and that should define NIM and cost and everything will be fine, but provisio n will be more elevated next quarter also. But then that for the reasons we already said many times in this session, so I don't want to repeat it. But then Q3 should be okay, and then Q4 will look good.

Ishan Agarwal : Okay. And one last one with respect to the reverse merger with IDFC Limited. So IDFC Limited recently declared an interim dividend of Rs. 1/-. So was this a part of the merger? Like was this capital going to flow into the Bank ? Or was this already discussed with the parent?

V. Vaidyanathan: No, no, it is clearly discussed with IDFC Limited, because basically there was a project that, that entity had invested in, in their pro

ject financing hat. And that project was still sitting with IDFC Limited. So when we had done the work, there was a clea r understanding within the 2 parties that, that cash flow, outflow of cash from that entity will belong to them. And it was structurally contracted like that. So this is part of that contract. And there were some timing issues on the front , but we felt in good spirit that they should get what is theirs and they paid the dividend. It's fully with our understanding, with our support. And as per the agreement, between the 2 parties. It does not affect the cash and it doesn't affect the economics of the transaction.

Moderator: The next question is from the line of Shubhranshu Mishra from Phillip Capital.

Shubhranshu Mishra : I've got two questions, actually, both on two different asset classes. One is the digital person loan, the second one is personal loan. And the other one is on digital consumer durable loans and consumer durable loans. Just wanted to understand what is the difference in terms of ticket size, the cost of acquisition, the customer segment that we are targeting in both these segments? And what is the sourcing difference here? And my last question would be what kind of zero plus are you seeing in salaried PL and digital PL now versus, say, two quarters ag o?

V. Vaidyanathan: Let's take it one by one. If you meant to say is the credit consumer durable different than digital consumer credit? Is that what you asked?

Shubhranshu Mishra : Yes. Correct.

V. Vaidyanathan: So the consumer durable business is how, let me say, you go to a Vijay Sales and regular consumer durables, you go to any Reliance Digital store and you buy goods. So these are offline purchases, like physical purchases, where usually one of our representa tives is sitting there. They are engaging with the customers and they are onboarding customers. And they are providing them instant credit on the spot to customers. So that business, maybe Sudhanshu can confirm to me, but like close to abo ut Rs. 4000 crores, Rs. 4,500 crores of loan book we have on that front.

Sudhanshu Jain : About Rs. 6,000 crores.

V. Vaidyanathan: About Rs. 6,000 crores of loan book is there on the consumer durable business. So that business pretty much works like how the other large NBFC in India is operating. So that is how consumer durable business is. So our book is about Rs. 6,000-something crores. And we've been doing the business now for 14 years. We are, let me say, number two player in the country after the #1 and have got really fantastic capabilities at the store point. It is a very, very difficult business to do because of the economies of scale, ticket size is small, tenor is small, and just a difficult business to do, but we are happy we did that and we learnt that business. It takes a long time. And scorecards and technologies and all that.

Now the second business that you're referring to is the digital consumer is what we do on the online stores. If you go to any of the large e -com companies and go to check out there, then we could finance the product for you just on the fly, just as you would have done it on the physical store. That's what is called the digital consumer durable.

Shubhranshu Mishra : And the average ticket sizes in the customer segment? My sense is that in offline, we would be doing a lot of NTB versus the other format, where we would largely do a KPB. Is that a fair assessment?

V. Vaidyanathan: So I remember, ticket size would be more like about Rs. 50,000-60,000 on the consumer durables. See, even the digital personal credit, consumer durables we talked about, it comes in 2 types, actually. One that comes with a 1 -month kind of product, 1 month, like you pay back in a month.

Now I told earlier in the call that, in answer to somebody else's question, probably Pritesh's question, that we do find more de

linquency in that. But we do continue to do the longer term.

So if a consumer did buy a mobile phone on a Flipkart or somewhere, or let me say, any other this one, so we do finance them for a longer period, like 6 months or 9 months. That we continue to do , we like th is business also. So these are the 2 things. But frankly, what is really good about our Bank is that we have developed really fantastic capabilities. You try doing this business at scale, it just has a lot of tech involved, a lot of scorecards involved, fraud score card and credit score card and identity checks and collection capabilities. Everyt hing is required for this business with digital and we've built these capabilities.

Shubhranshu Mishra : Understood. And the question on personal loans. There is digital personal loan and then there's a salaried personal loan. So what is the difference in the ticket size, customer segment?

V. Vaidyanathan: These are 2 types. One is a salaried person loan. These are regular personal loans. Like how you are employee of any of the large scale A cat, B cat companies, and you apply for a loan and take maybe Rs. 2 lakh, Rs. 3 lakh personal loan, or maybe Rs. 4 lakh, Rs. 5 lakh . And then you pay back over 2 or 3 years, or maybe 4 years. So that is one kind of personal loan. But those are

typical users that could be like really personal use, could be medical or whatever.
Now the thing is that the other kind of personal loan that we have started doing now is for customers who come to , so the former is regular, it has been going on in India for 20, 30 years.
The second one, which I'm going to describe now to you on more specific question from you is

that if you are an existing savings account customer of our Bank , and then we are consistently seeing that your salary credit is coming to your account at, say, maybe Rs. 2 lakh or Rs. 1 lakh per month and it gets continuously credited in our account, and then we see that you're constantly meeting, say, Rs. 2 lakh, or Rs. 3 lakh in your bank, let me make it up.
So then what we do is that we assess that flow of cash and then we set up a limit for you. So then you can come to our app and you can draw that money literally in a few seconds. So we set up a limit for you. What we do is we set up a limit of Rs. 2 lakh. You can come in tomorrow, draw Rs. 30,000 out of that limit and start paying EMI only on Rs. 30,000, and we allow anytime prepayment and best part is we don't charge for prepayment fees at all. So we just close it any day you want, any time, no prepayment fee. So we do this facility, and we were also being pretty much loved by customers. That's a difference between the 2, because this on e can go in multiple tranches with no prepayment, the digital personal loan, versus the other salary loan are regular ones with the prepayment fee because it's an offline originated and all that.
Shubhranshu Mishra : And what is the difference in the ATS?
Moderator: Sorry to interrupt you, sir. May I request you to please rejoin the queue for your follow -up question.
Shubhranshu Mishra : Sure.
Moderator: The next question is from the line of Nishant Shah from MLP.
Nishant Shah : Congratulations for a very good quarter. And well appreciated on the cost -to-income kind of trajectory going on. Sir, I just had like one question. You've answered one on the LCR already. Just on the merger consummation, when can you expect that merger consummation? And a related question to that, does that have any net worth accrual benefits to it?
V. Vaidyanathan: Yes, About maybe Rs. 600 crores of net worth accrual.
Sudhanshu Jain : Yes, about Rs. 500 crores to Rs. 600 crores.
V. Vaidyanathan: Rs. 500 crores to Rs. 600 crores. And it looks like a Q2 item.
Nishant Shah : Q2. Okay. So basically any time in this month or like next month or so?
V. Vaidyanathan: This quarter. I think ther

e was an NCLT hearing yesterday.
Sudhanshu Jain : Yes. So there was an NCLT hearing, which has been slightly adjourned. While we are still awaiting the official date, but we are hopeful of this getting concluded by end of Q2, more around end of September.
Nishant Shah : Okay. Got it. And you've already addressed this a bit on the LCR front. So what do you anticipate like the NIM impact could be from this like? Is it just the simple on math of, okay, HQLA goes up by a certain percentage and whatever is the cash drag there has been an impact? Or is there some more nuance to it than what we understand?

V. Vaidyanathan: See, since the norms itself have been so tightened by now, made more conservative, then we got to watch out for the rest of the industry also as to how much is the new benchmark of extra you want to hold over the 100. We haven't yet come to sort that throu gh, because earlier it was a norm to keep 116, 118, 120. We don't know, maybe we will keep 110. I don't know. We've not yet made up our numbers, because we've got to see the emerging protocols. But let me just say suppose you have got a number, so our own estimates are something like you might have to incur 1% of a drag on the incremental amount that comes our way. So we've got to see what the number turns up to be.
Sudhanshu Jain : Yes, and some part of the cost we could also pass. So we'll see in terms of how the industry also reacts to it. So where they are saying 1%, it could be more around 0.75% to 1%, in that zone. So we don't see a major impact out of this, but we feel that we need to see how this pans out.
V. Vaidyanathan: But let's simulate it for a moment, so that you get some clarity. Let us say that it's like Rs. 10,000 crores. And then you say that, look, if it's 80 basis points, let's call it Rs. 80 crores. I'm just giving you some picture, but don't think this is like a final word from me, but I'm giving you some color, so that you can get a sense of what numbers we're thinking in our mind.
Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal Financial Services.
Nitin Aggarwal : I have 3 questions. And before that, firstly, thanks for the additional disclosures and the FY '27

projections on cost -to-income ratio. This really helps to understand the glide path on the cost -to-income. So sir, first question is if I see like the bulk of the improvement in cost -to-income is likely to come in from the retail liabilities, because on assets, we are broadly there at 53%. And on cards, it's a very small part of the total business.

So now that as you have worked with large banks also and would have a sense about how the industry data moves on this. So if you can talk about how the cost -to-income ratio will be for bigger banks and how this generally evolves as such, because IDFC Bank, if I look at, this is like fifth or sixth year of its operations post -merger. So how does it really evolve over the long er period? How do you see that?

V. Vaidyanathan: Thanks for that, first of all, Nitin. See, the thing is that, just see that our retail deposits in December of 2018 was ~Rs. 10,000 crores. Okay? So think of it like practically, it is at 0 base. In the context of Rs. 2 lakh crores, let me say, Rs. 10,000 crores pretty much 0 base. So let me say it's been 5 years. Now it's not exactly 0 base, because the teams had been working on it 2, 3 years before that also, but just for context.

So it's been 5 years. So now, if you think of other objects, I'd say that it would be like 14, 15 years for banks to completely break even on this space and start making money if you start from 0 base, because it does have a drag, similar experiences that other large DFIs that converted, et cetera, li abilities took a long time to break even, from what we know.

But in our case, there is one very positive thing coming in our favor

. Because of the new winds of change of digital technology that have come and something that we have really gotten a grip of and if you check out informally in the market, they'll probably tell you that we are one of the best banks in terms of digital capabilities. So because of the digital capabilities by us and the

brand we've built and the image the bank enjoys, etcetera, we are getting our deposits quicker than anybody would have anticipated.

Therefore, that period when this negative drag will 0 out may not be that long, like 5 more years, in our estimate. So in 5 more years, it would have dragged out, and by the fifth year from today to be 0, in our estimates. And by sixth year, should have st arted making money, that's our estimate. Maybe the 6th year kind of breakeven. Think of it like a year here or there. So definitely, one thing is pretty certain, the way we are looking at it, we are running ahead on the cost-to-income at least on the liabi lity side, because it's not going to be that long -drawn for any other start -up DFI converting, no.

And to just add one extra point to that. The reason is also easy to see. I bet, Nitin, even you would not have imagined that this Bank is going to raise Rs. 2 lakh crores in 5 years. Did you imagine? I don't think so. Nobody imagined. So , imagine, in the next 5 years, we think it would be Rs. 6 lakh crores. So , the book is going to grow by Rs. 4 lakh crores, but we're going to add only maybe 500 branches more. Right? So maybe 500, 600, in that order of magnitude. So think of the efficiency of the incremental product coming up.

Nitin Aggarwal : Right. Got it. And sir, second question is like, have we taken some portfolio actions and tightened the writing in our retail business other than JLG, because we are guiding for unchanged credit cost and all the impact on the guidance is because of the ris ing cost of the JLG, while most banks and other large NBFCs also are reporting an increase in credit costs already. So what is really driving that stability in the rest of the retail business?

Sudhanshu Jain : So Nitin, we have been watching the portfolio on a continuous basis. In fact, we have also taken a lot of policy interventions. Of course, we all know that if you take some intervention in a particular quarter, it takes a bit of time for it to play out. So we have been watching this. We have been also picking cues that things have been normalizing. So we are constantly monitoring the portfolio. We gave an example of a vintage analysis for one particular product. This is something which we do and assess on a continuous basis for all the products, right, including check bounce, including collection efficiency, how things are moving, as I said, on a vintage basis.

So a lot of interventions we have taken in a few other products. And hence we are guiding that credit cost could start normalizing more so in H2. So these interventions could be more around leverage related, could be that we reduce our disbursement in the bottom of the pie. So there could be many factors which we sort of look into and take into account.

V. Vaidyanathan: So I'll give you some examples, if you're looking at. Now in some businesses, we chose that customers below a certain CIBIL leverage, because what we take from CIBIL is not exactly the score only, that's just one data point. We actually go and take the und erlying criteria. So we tightened, in one product, say, in our cross -sell product. What we do is that we cross -sell -- I will give you color about 1 product. For example, we cross -sell personal loans to consumer durable customers who have been on our books for a period of time and who have performed well. And that's part of the profitability of the consumer durable business.

Now in that business, some months ago, we tightened

the CIBIL leverage, how much leverage
the customer could have. Then we cut the lower end of the size. For example, the cutoff was say, x, we tightened it to cut 10% of the lowest end of the customer base. We do stuff like that. Basically, we've identified those kind of businesses and taken some actions. For example, in another business, we cut out certain pin codes. In some of the businesses, we figured out some phone locking model, there was some fintech that are giving us the capability of locking a phone if a customer doesn't perform and with the customer's permission. So that we introduced and that we think is a nice control. In another business, in some smaller cities, we cut out below certain cutoff, or certain dealerships, we cut out the volumes. So that kind of wor k, we keep doing all the time.
Sudhanshu Jain : We also said that BNPL also as a product, we were seeing slightly higher delinquency there. So that also is a product we have shut down. So we are not disbursing there on that product.
Nitin Aggarwal: Right. Got that. And sir, lastly, just 1 housekeeping also. Like if you can share the NPA recovery and upgrade and write -off data also?
Moderator: Sir, may I request you to please rejoin the queue for your follow -up question?
Nitin Aggarwal: Okay, sure. I will join back the queue.
Moderator: The next question is from the line of Manish Shukla from Axis Capital.
Manish Shukla If I were to look at the vintage analysis slide, this graph A and graph B. Of your outstanding book, what proportion would be graph A and what proportion would be graph B? If retail rural, SME is about Rs. 150,000 crores. How does that...
V. Vaidyanathan: That's a very, very good question. So the graph A would have become much lesser by now, because graph A pertained to pre -COVID booking. And that was basically an FY18-19 slide. So FY18-19, frankly, the book itself at that point of time used to be, I'd say, about maybe Rs. 35,000 crores or Rs. 40,000. It would have gone up by now. So it's largely the new book.
Manish Shukla: Okay. Perfect. Moving to the SMA slide...
V. Vaidyanathan: It would largely be the graph 2.
Manish Shukla: Understood.
V. Vaidyanathan: Yes. Because graph 2 , just to be technically correct with you and so that we're all talking about the same sheet. Graph 2 represents booking done between April 1, 2022 to 31st March 2024.
Manish Shukla: Okay. Very clear. Yes. Moving to the SMA slide, Slide #32. Overall SMA has gone up by 16 bps, and considering that JLG is only 6%, it has contributed only 3 bps to this increase, barring 13 bps has come from rest of the portfolio. Clearly, that is stress b eyond JLG as well, right?
V. Vaidyanathan: No, no. First of all, it's not only 3 bps. I think it's a little more than that. But let me just say that, of course...

Manish Shukla: So that's straight math, right? 0.85% going to 1.01% and it's 6% of the book.
V. Vaidyanathan: We will come to that, of course. So we want to do that. Basically, the core book is about 0.91%, or 0.95%?
Sudhanshu Jain : 0.95%.
V. Vaidyanathan: 0.95%. So just to get your math right, so you can do the math offline, but we're telling you the numbers. So , 0.95% is the SMA excluding the JLG impact, and that is 10 basis points over March '24. And if you went back to the slide in collection efficiency, you saw the April number at 99.3%. If you remember, I called it out when I was speaking to you. We were normally running at 10.5%. So that is some amount of our money, because that period of April, Ma y, elections were on, holidays were on. So it is a small thing. But frankly, some slight movement comes there and seasonal things go away, collections have recovered after that. It's back to 99.5%. So if you see May '24, it's already back to 99.6%. June is back to 99.5%.
So these things happen in the industry. If you see last year

, you go back to the same slide, Page
#27, we have clearly shown that April '23 also we reported 99.3%. Though, of course, there was no election at that time. I don't know what happened. I mean, I got to go back in time and see what happened then. But by some good coincidence, even April '23, it is also 99.3%. But the good thing is that now our Bank is continuously achieving this 99.5% for a long time.
Manish Shukla: Yes, looks like an April phenomenon every year.

V. Vaidyanathan: I don't know. In fact, I requested my team members to actually go back and check what April '22 also was. Oh, yes, it's there already. April '22 also has 99.3%, so '22, '23, '24. So 3 times in a row, April has this dip.
Moderator: The next question is from the line of Raghu from Travest Capital Private Limited.
Raghu: I just want to come back to the cost -to-income ratio again. Sorry for raising it so many times. The FY 27 guidance that you have given, is it for the start of FY 27 or the end of FY 27?
V. Vaidyanathan: For FY 27.
Raghu : Okay. So the reason why I was asking, I was a bit disappointed by the 65%. I'll tell you why I was. Because the Capital First, the exit cost -to-income ratio was something around 56%, 57%.
Sudhanshu Jain : 48%.
Raghu: 48%, okay. So yes, at least the March end of the year. I saw it for March FY 17. So even after 8, 9 years of operation of the Bank and we doing so well with deposits, we still are about 10%, 15% higher than one we were with as an NBFC. It somehow doesn't fit. So can you please explain why is it that way?
V. Vaidyanathan: No, it's a very fair question. The thing is that you're right, by FY 27, this would be 10 years of the Bank . But just to be honest, you see that this was running 95%.

Raghu: Yes. Correct.
V. Vaidyanathan: So we started with a big sandbag on the back, and then on top of it, then after that, one second, let me open my slide, so I can have a good conversation with you. Yes, my slide is in front of me. Now back to you. So therefore, when we look at the number, we started with that sort of a situation of having a high cost -to-income ratio, so it rapidly came down. By the way, to move from 95% to 72% in 5 years is really not a joke. I can tell you that it's been very, very, very hard at our end to achieve this. I mean, you are not happy with the numbers even at 72%. I understand that. You are an i nvestor and you would have other areas to invest, and therefore, your choices. But from our point of view, even 72% has been very hard because we were investing in branches, ATMs, people, technologies, tax change , everything changed , and people, the branches, et cetera. So it did come down. Now therefore, when we look ahead, well, at 65%, should we be unhappy or happy, depends on what your expectations are. Because even this movement of 700 basis points, from 72% to 65%, it is coming because there is very concrete action being taken on each of the 3 subcomponent businesses. Really, for a bank , bank fundamentally is heavily more loaded. There is 30% of the book goes away earning nothing. And NBFC every penny earns. And it's a very big difference . By the way CRR, SLR, its drag, compliance costs, now even LCR. So 30% of your money just doesn't earn anything at all.
So I'd just imagine that's probably one of the reasons, but still at 65%, frankly, last year, it did not drop. I concede that. But generally speaking, the pace at which it is moving down from 95% to 65%, let me say, a 30% drop, if we achieve this in 2027, I'd say that, from our point of view, it would be quite a movement.
Moderator: The next question is from...
V. Vaidyanathan: Wait a minute, madam. Just one second. Let me just confirm with him, because I'm not sure he is aligned with me or not. So what would you think? Would you think, Raghu, it's a fair comment? The reason I gave you, 30% of the m

oney in a bank doesn't earn any thing at all,
maybe that's a reason, would you agree with that? Or you would disagree with that?
Moderator: Sir, the line for the current participant got disconnected.
V. Vaidyanathan: Okay. Got it. Let's move ahead.
Moderator: Let's move on to the next participant. The next question is from the line of M.B. Mahesh from Kotak Securities.
M.B. Mahesh I just had this question on Slide 27. Historically, you kind of indicated that it's a good reference point to understand what credit cost looks like? But if you go back and see this quarter, it doesn't seem to be showing that representation, because the in crease in credit cost seems to be much higher. And you also asked us to look at '23 and '22 data as an example of the same. But if you go back into those quarters also, you don't see such kind of a credit cost increase. Just wanted to understan d, does this chart actually give you a reference point of credit costs in the first place?

V. Vaidyanathan: Well, as you know, this is the current bucket. And by the time it moves to credit cost, 6 months after this chart, but it's a good indicator. Because end of the day, if you're collecting 99.5% of the current bucket, it is a really good indicator.

Now number two, the credit cost itself, as you know, Mahesh, and you're tracking financials and you're really good at it. We think that there is a normalization happening this year. What is normalization. So this will benefit everybody. normalization meaning that, look, when the COVID is going on, there was a certain amount of charge -offs and provisions people took. Now some part of the money kept getting collected through '22, '23, '24. So that kind of reduced the amount of impact people were taking on the credit cost until l ast year.

Now this year, that kind of the portfolio, whatever we had to recover is kind of recovered. So that normalization is happening. And of course, on top of it, the JLG happened. But normalization, frankly, I'm not very disturbed about because, Mahesh, I hope you'll also agree, 1.65% without JLG. Would you agree with me Mahesh, if you think of the other large institution, which is also in very similar lines of business like ours, it's almost very similar, and they are also talking of 1.85%. Isn't that a fair comment, Mahesh?

M.B. Mahesh: That is fair.

V. Vaidyanathan: So if they are running 1.85%, and we are talking of 1 .85% with the impact of JLG, an d without JLG, we are talking 1 .65%, would you not agree that it's really best-in-class performance, Mahesh?

M.B. Mahesh: No, it is. I'm just trying to reconcile the way you're presenting the information to see whether this slide has any predictive power, that's it?

V. Vaidyanathan: Eventually, it does. Because end of the day, this is current bucket, but eventually it translates over to the bucket s subsequently.

M.B. Mahesh: Yes. S ir, just one question. This Rs. 720 cr ores going to, let's say, Rs. 995 crores, the provisions and contingencies. You've kind of alluded to the fact that this quarter, recovery from previously written -off assets was on the lower side. But from a Delta perspective, nearly about Rs. 250 crores has essentially gone towards the MFI book?

V. Vaidyanathan: Rs. 180 crores, no? How much has gone to provisions in MFI book this quarter?

M.B. Mahesh: I'm just trying to understand the Delta ?

V. Vaidyanathan: Yes, referring the Delta.

Sudhanshu Jain: Yes. So , you're saying, over the sequential quarter ?

M.B. Mahesh: No. Sequential quarter is better for me, because that help us to understand the numbers a little bit easier ?

V. Vaidyanathan: No problem.

Sudhanshu Jain: No. On sequential quarters also, we saw increase in JLG as wel l. While we have called out Rs. 130 crores is the impact over this Q1, but in

this quarter also, we saw some bit of increase coming from JLG and there were additional impacts which came in because of heat wave and some of, I would say, seasonality, elections and so on. So we saw some effect on the collection efficiency overall, particularly in April and some bit in May.

So the increase has come in JLG plus in some other portion of the book. We had, in fact, in Q4, when we had called out that H1 credit cost could be slightly higher, right, and it could come down into H2, we had also called out one factor like an FLDG, wher e we have done some disbursement, right, which was not to the FLDG route, where we are getting some NCL and we'll get some NCL in H1. And that will sort of not be there in H2.

V. Vaidyanathan: Just to be clear, that is not an NCL that is out of the ordinary. It is like it's a normal course of business, except that it won't come in H2, because, let me just say, it is secured by the counterparty . It's a default guarantee. So FLDG, we should not bother too much about it, because I mean, even we take it as part of a normal business, because you're booking in the book getting the income, and we have the credit costs, so that's normal.

But let me come back to more about the credit cost as such. People have talked about heat wave, people have talked about lots of things. We said everything is subsumed in the numbers. And everything subsumed also, at least as far as our eyes can see right now . As Q2, Q3, Q4 rolls out, God knows, maybe 5, 6 basis points more or less, I don ’t know. It could be somewhere there. But as far as our eyes can see and the way we can model the book right now, it looks l ike 1.65%, and including JLG, 1 .85%, let's take upward bars, let's call it, 1 .90% for a minute. It's still much lesser than, let me say not lesser than, but at least it's the best -in-class performance of the industry in these customer segments.

Moderator: The next question is from the line of Jai Mundra from ICICI Securities. Please go ahead.

Jai Mundra : On this aspect only, in JLG, I mean, so the rise in delinquency has been because of the Tamil Nadu floods, but do you see any impact due to heatwave or maybe any disturbance due to general election? Or it should subside as you had expected last quarter by second quarter?

V. Vaidyanathan: Well, these numbers subsume everything. So we don't have anything more to call out because of the reasons. But you're right, when we talked to our people, our people did give feedback.

They said, elections, so many people were on leave. It was very phased and long -term process. So these kind of things keep on happening. These kind of cycles happen, come and go. But I mean, kind of small incidents happen here and there, but our numbers are all broadly, it's all subsumed.
Jai Mundra : Right. And sir, in JLG, I mean, do you also run individual MFI book also, or all the MFI is JLG?
V. Vaidyanathan: All the MFI is JLG only.

Jai Mundra : Right. Lastly, sir, cost of deposit, how should 1 look at cost of deposit when your ask rate for deposit is going to come down? Maybe for next 2 quarters, 3 quarters, how do you see the cost of deposit panning out?
V. Vaidyanathan: Let's think cost of funds actually. That is probably a good benchmark, because end of the day, that's what we transfer the profitability. So our cost of funds right now running at 6.47%. And out of this, close to ab out, as you know, around Rs. 10,000 crores is still h igh-cost money sitting with us.
So when the high -cost money goes off, we modelled it and then we ass ume for a minute that, that Rs. 10,000 crores of high -cost money, let us say it is replaced with the normal cost of deposits of the Bank . We found that this number of 6.47% has come down to around 6.36% .
We'll get a 11 basis points improvement.
So think of another word, think of our Bank at cost of funds

of 6.36 % today as in the pay of the bonds, it is like a year from now. And frankly, 6.36 % is lower than at least the peer banks, peer banks meaning the mid -size banks. So we are probably the lowest among th e mid -size banks today at 6.36.
So we are very proud, just to step away, just probably to digress for a moment, that our deposits are coming so strong because of the brand and many of the things. But they are coming at this pace of a 39% growth or 30% growth despite having cost of funds lowest in the mid -size bank group. So that's very important, and I hope you'll agree, it's a very significant thing actually.
Moderator: The next question is from the line of Hardik Shah from Goldman Sachs . Please go ahead.
Hardik Shah : I have 2 questions. One is, for a couple of weeks, I think you tweaked your savings rate rule by offering 7.25% for more than Rs. 5 lakhs instead of more than Rs. 10 lakhs. Anything that you can share on how much can that have the impact on the cost of funds according to your model?
V. Vaidyanathan: No, we did 2 things at the same time. So as you know, we were paying 7%. And if I'm not mistaken, up to Rs. 1 lakh, we were paying 3%. Actually, up to Rs. 1 lakh, earlier, we were paying 7% through. But no w, we have now dropped 0 to Rs. 5 lakh to 3%?
Hardik Shah : Correct. So is it going to be net -net positive because of this?
V. Vaidyanathan: Yes, net -net positive, yes. So one interesting thing that we are observing that the savings account is actually not interest rate sensitive. At least we are experiencing that. So whether we were paying 4% or 5% or 7% or 3%, in the 0 to Rs. 5 lakh now, we've emboldened and moved ahead and taken our call, now we did it. I don't know, there's not sensitivity. Money is coming to us. Brand, I don't know, it's hard to pick what exactly moving, but I think brand is strong now, and app is good, service is good. I think these things are more material than the rate now.
Hardik Shah : Interesting. Okay.
V. Vaidyanathan: Hardik, I would like to pause it just for a second, if you don't mind. Now like if you were to take a call now and say that, look Vaidya, 2 quarters you're going to struggle, or would you say, no,

you'll be fine. What would be your guess as an analyst? For having d ropped the rate to 3% up to Rs. 5 lakhs. What's your guess?
Hardik Shah : I don't know what your bucket movements are, to be honest. That's why the question.
V. Vaidyanathan: No. When we drop rates so sharply, would you say that we may find it difficult to raise deposits? Or would you find that we'd be fine? As an outsider analyst, what would be your professional opinion for us?
Hardik Shah : It's not clearly, right, because still the rate s are quite high, more than Rs. 5 lakh, with the 7.25%. So as a customer, again, I would say that the depositors are still rate sensitive, the ones that are holding. So when you actually drop the rates on the entire to the 6%, that is when we will see the real impact. That's how I would view it.
V. Vaidyanathan: Got it. Thanks for that. And your question.
Hardik Shah : And second question is on the SMA, sir, if you could share the SMA 1 SMA 2 numbers for consumer loans and credit card level the way you have shared for JLG.

V. Vaidyanathan: I don't think we have it ready off -hand explaining what the SMA with respect to products are. But overall numbers , maybe Sudhanshu, we can ask our next question and I'll try to figure out if in the interim we can figure it out.
Hardik Shah : No, this was the only question I had.
V. Vaidyanathan: No, I'm saying maybe Sudhanshu, if you have the answer, you can fill in .
Sudhanshu Jain: Yes. So we generally don 't give out product -specific numbers, while we have called out for a reason .
V. Vaidyanathan: The thing is that if you have it now, you give it.
Sudhanshu Jain: I don't have it h

andy .
V. Vaidyanathan: But hopefully, in the next maybe 5, 10 minutes, by the time another question goes through, we will find it and we will tell it to you.
Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Vaidyanathan sir for closing comments.
V. Vaidyanathan: Sure we discussed long enough. I have no closing comments to make, except to say that thank you very much for being with us through this discussion. It's a long one. And number two, if you can see how the bank has progressed at least over the last few years, you c an hopefully see this as an episodic thing.
And once couple of quarters go through, then even if you feel that the numbers are weaker this quarter or next quarter, we come in in the painter sense we don't expect balance sheet numbers

to be weak, okay? Even if you to see it, I would say that don't be very disturbed, because Q3 will come , Q4 will come, and then things will normalize, and life will be good after that.
I mean, it will be good for the stage of the bank as it is today. And then if you track us to FY26, we expect FY25 to be like similar to the zone of FY24, but we expect FY26 to be a breakout year in terms of profitability. We expect FY27 to be a breakout year in terms of profitability. So FY26, '27, '28. '29, we see a good runway, the way we are looking, because of a very simple fundamental logic that our costs will definitely slow down from here.
Cost increase will slow down from here. Maybe it's 20% this year, will be 18% or 17% year after that, and so on, and further down from there, and then income should rise. So basically, we should see the jaw opening. FY26, ‘27, ‘28, ‘29 should be materially improving years. And those of you who are with us through that cycle will hopefully experience it with us.
I have seen this before, turning capital first and in other organizations. So I'm expecting the good cycle to come at us in that window. Thank you, everybody. We want to just thank you for being with us. Thanks.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail: bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD /237/202 4-25 October 30, 202 4

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter ended September 30, 202 4

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended September 30, 202 4 conducted after the meeting of Board of Directors held on October 26, 2024, for your information and records.
The above information is also available on the Bank's website at the following link:

https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Concall - Transcript -of-IDFC -FIRST -Bank -Q2-FY25 -Results.pdf

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
Head – Legal & Company Secretary

"IDFC FIRST Bank Q2 FY25 Earnings Conference Call "

October 26, 202 4

MANAGEMENT : MR. V. VAIDYANATHAN – MD & CEO, IDFC FIRST BANK
MR. SUDHANSHU JAIN – CFO, IDFC FIRST BANK
MR. SAPTARSHI BAPARI– HEAD, INVESTOR RELATIONS

MODERATOR : MR. JAI MUND RA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to IDFC First Bank Q2 FY25 Earnings Conference Call hosted by ICICI Securities .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jai Mund ra from ICICI Securities. Thank you and over to you sir.
Jai Mund ra: Hi Siddhant. Good evening, everyone, and thanks for joining the call. On behalf of ICICI Securit ies, we welcome you all to Q2 FY 25 Post Earnings Conference Call of IDFC FIRST Bank.
From the Management side, we have with us Mr. V. Vaidyanathan – MD & CEO, Mr. Sudhanshu Jain – CFO and Mr. Saptarshi Bapari – Head Investor R elations.
I would request MD & CEO sir to open the call with his "Opening Remarks ," post which we will have a Q&A session. Over to you sir.
V. Vaidyanathan: Good evening, everyone. Pleasure to speak to all of you this evening. This is Vaidyanathan here. I got Sudhanshu with me.
Sudhanshu Jain: Good evening, everyone. Thank you for joining.
V. Vaidyanathan: Thanks for joining and good evening again.
This quarter, as you could see, was impacted by provisions by two significant items, which was basically the microfinance business and One Toll Road and we will definitely attend to that because that is the one sticking issue about this quarter's results. But before that, let me just share with you the key highlights, which are also significant positives for the Bank . Lest we get drowned in the question of provisions , we should just notice the overall picture, and then, of course, come to the key issue of provision s.
Now, one key strength for the Bank is the growth in depo sits. Now this quarter again, Y -o-Y growth in deposits is now 32% for the Bank . Now, if you grow deposits, then it gives us license to grow the loans because you've got to keep credit deposit ratio.
1. In our Bank , we like to keep it about 75% on an incremental basis. So, it gives us a license to grow the loans and that's a very big thing. So, now our deposits have now got a significant traction, now touching Rs. 2,18,000 crores. And like we said earlier, we don't see any problem growing at 30%, frankly, for our Bank .

2. Retail deposits was up 37% year -on-year to now reach Rs. 1,75,000 crores. And this is despite the fact that we dropped savings account rates to 3% last to last quarter. So, some of our customers and markets have accepted it, obviously, and still deposits are growing very well.
3. Our CASA deposits have grown by 37.5% this quarter. It has now reached Rs. 1,0 9,000 crores. Our CASA ratio is upwards of 48%.
4. And our cost of funds this quarter was stable at 6.46%. But this 6.46 % includes, let me say, the legacy cost that we are sitting on, which is the pre -merger IDFC, what we carried into the Bank . If you exclude that, our cost of funds is 6.37%, which is quite stable.

Now on the Loans Front:
We saw strong growth of 21.5% year -on-year. If you remember, this is what we had kind of guided for earlier. And our total loan book has now got reasonable traction. I'd say we are now Rs. 2,22,000 crores. Our retail loan book grew by 25% year -on-year. And later you will see that this 25% is also accompanied with good asset quality . So, the retail gross NPA is 1.57% and the net NPA is 0.53%. So, basically what I am mentioning is that retail has grown by 25 %, but asset quality is still very good on this front. We will talk about collec tion efficiency a moment later.
I want to add one more thing on loans. Basically our corpo

rate loans, which is the non -infrastructure,
but the corporate loans grew 20%. Obviously, initially, when the Bank was merged , our fingers were scalded by the memories of what had happened in the past. So, we were slow on corporate loans , but

now we are getting more comfort having experienced it for 5 years. We've had no NPA. So, corpor ate loan book has grown by 20%.
Now on the Asset Quality :
On the asset quality, the Bank level gross NPA is 1.92% and the net NPA is 0.48%. The PCR of the Bank has now touched 75%. Now, many of you might want to know that if the NPA is holding up at 1.92% or 0.48 %, then what is SMA? Because after all, SMA is a feeder to the NPA. The SMA of the retail, rural, and MSME book, but excluding microfinance . I will talk about microfinance separately. But the SMA -1 and 2 of the retail books (excluding microfinance) is 0.87% actually reduced over last quarter. It's come down by 8 basis points. Now we also track bucket zero, that is early bucket collection efficiency in the urban reta il book. It's running at 99.5%.
If you go to slide or Page 28 in the presentation, y ou will notice that we have given from Q1 FY23, that is April, May, June of 2022 , till today we have described our collection efficiency. It is stable at 99.5%. So, this is something important to note that our collection efficiency of this f ront is holding up pretty well.
Just a couple of more points :

Our rating continues to be AA + (Stable). But on the fixed deposit program, CRISIL has rated us AAA, which to us is a huge arrival moment because of AAA by CRISIL , even on the FD program, it's a huge moment for us. Obviously, they reviewed our capital. They reviewed the way we manage our books, the way our trend lines are, our utilization of deposits, our liquidity , and all that. And we feel good about that.
Now I would like to come to Provisions:
Now provisions for Q2 was Rs. 1,732 crore. Now this Rs. 1,732 crore includes a Rs. 568 crore extra provision we had to take this quarter and we will just describe both of them to you. Maybe Sudhanshu will tell you in detail, but I will j ust keep it very brief for you.
Now the microfinance business :
As we have been pointing maybe for three quarters now. There has been enhanced increased delinquency. So, the Bank has taken a conservative contingency provision of Rs. 315 crores. Basically, what we've done is that we already had quite a conservative provision policy for microfinance . On 90 DPD basis , we have 80% of the book already provided .
Now, what we have done this quarter is because microfinance is an issue and we cannot wish it away because the microfinance portfolio is disturbing in many parts of India. So, what we have done is that in SMA -1 and SMA -2, we have taken provisions and therefore with this, almost all of SMA -1 plus SMA -2 has been provided for by the Bank . Like almost 99% of SMA -1 plus SMA -2, that is 31 to 60 and 61 to 90 have been provided for by the Bank , fully. So, this is what gave us Rs. 315 crore s. There was a second item of provision this quarter, which was a legacy toll road. Now, we had called out to you like many years ago, like 2-3 years ago saying that, listen, we've seen the back of infrastructure. There were many, many accounts worth about Rs. 12,000 crores or Rs. 13,000 crores, which one by one, we all sorted. And we almost told you the look, infrastructure is all broadly done. But this quarter came a bit of a surprise to us. It was a shock to us. We were deeply disturbed ourselves when the state government announced that the toll doesn't have to be paid by customers for vehicles. Now, our clients , which is the entry point into Mumbai, we had an exposure of Rs. 1,100 crore at the time of merger. Now, even though the client went into NPA, we were collecting from the client. So, our exposure came down to ~Rs. 500 crores.

Now, suddenly, and we were happy about that because end of the day, we
already collected some Rs. 700 or Rs. 600 odd crores, and we thought e ven if NPA, the client will keep paying and life was okay because toll was getting collected. But now because toll got stopped by this directive, then our client is going to struggle to pay. We thought that we don't want to carry this problem on the books and keep troubling all of you. So, we've taken 100% provision against this legacy toll account. Now with this, there is no more exposure left in the account. We believe that the end of the day, the government will pay for this because I don't think any gov ernment will really cancel a contract like this and not pay. So, eventually when the government will pay, we will recognize it back to our income. So, this is the point that took away close to about Rs. 250 crores this quarter. So, these two items did affect our provision item. And that is why this number was Rs. 568 crore of extra provisions.

Finally, I must say that if you exclude these two accounts and then see the core, that is ex -microfinance , and this of course is toll account, our credit cost for this quarter was 1.8%. Now, which is very much in line with what we've been talking about. So, we want to mention that. Now, lastly, in terms of profitability, in terms of profitability , our NII was up 21%. Our net interest margin was 6.18%.
Our core operating profit was up 28%. So, it is true that we have disappointed many by these

provisions, and even we don't feel very good about this toll account suddenly coming in, bothering us like this. But the important thing is the core operating profit. So, core operating profit is up 28% Y-o-Y. So, we feel that sooner or later, when we see the back of this microfinance business, which we will, then you will get to see a normalized profit of this Bank . So, therefore, our capital adequacy , I think, including the benefit of the merger that just happened, it'd probably be CET -1 of 14% is quite so strong and CRA R will be 16.6%.

So, I must say that the key points of call out this quarter was really the provisions item. But I think, like I said, we will want to put this behind us. The other thing is really a number of employees who might be hearing the program. I want to say that becau se the profits are down to Rs. 200 crores , maybe some of you might want to think how could this reduce so sharply? I want t o just say to every employee that frankly, we are really, very proud of you. All of you are working very, very hard and brought the Bank to this position of strength from where it was.

I really want to thank every one of you personally and on this occasion, the banks, the deposits, growth, everything's looking very strong. All of you are experiencing what a fantastic technology stack that you have. All of you are experiencing how our app is being experienced by our customers and they're talking to you about it. All of you are experiencing the systems we have given you, the products we have given you. So, all of you are experiencing that from within that we are building a good Bank . And as and when we see these provisions through and this microfinance issue through, the core will continue to emerge strong. And frankly, when you look ahead, I have no doubt in my mind, when we look ahead of we talked of this Rs. 6 lakh crore of deposits by FY29, frankly for us growing 25% is not an issue to grow the loan book to the numbers we talked about earlier, honestly I don't see any, those stories fundamentally change. And sooner or later you will forget this quarter and this legacy toll account and all these things.

That's my quick comment to all of you. Thank you.

Sudhanshu Jain : Sudhanshu here, I will touch upon a few other key numbers. There might be some repetitions, but I will try to sort of give some additional data poin

ts.

As Vaidya spoke of, that the customer deposit growth has been quite robust. It is at Rs. 2.18 l akh crores now at September 30 , 2024 . The Y-o-Y growth was 37% in retail deposits . CASA deposits increased by 38% on a Y-o-Y basis. In fact, if you see on an average CASA basis, the growth was at 37%. Term deposits also grew at about 27.5% on a Y -o-Y basis, with retail term deposit growing at 38%, which means the growth in the wholes ale deposits was only 8% on a Y -o-Y basis. Our branch count is now at 961 branches . During this half year, we have opened about 17 branches for the year.

As we mentioned on slide 19 of the presentation, the high-cost legacy borrowing further reduced by Rs. 2,400 crores during the current quarter. At the end of this year, there will be a few more repayments and we will be left with just about Rs. 4,800 crores to be paid off. The credit deposit ratio improved on a sequential basis to 97.7%. The incremental CD ratio during the last year is at about 78%.

Moving on, if you see the cost of funds and the cost of deposits , both have remained quite stable during the quarter. The cost of deposit was 6.38%, broadly the same number was in the previous quarter. And the cost of funds for the quarter has reduced by one basis points to 6.46%. On the asset side, if I could then, as you would have noted, the funded assets registered a strong growth of 21.5%. The funded asset book is now Rs. 2.22 lakhs crores roughly. The sequential growth was at 6.3%. We have given a detailed product -wise cut in slide 23 of the presentation. You may further note that retail has grown at 25% on a Y-o-Y basis. Within this, the secured book has grown at a faster pace at roughly about 30% - 31% on a Y-o-Y basis. We have increased our growth in the corporate book. You can see that sequentially the book has grown at about 11%. And on a Y-o-Y basis, the growth is about 20%. The infrastructure book is now down to about 1 .2% of the total funded assets.

Another point to note here is our outstanding to one telecom major that's now almost reduced to zero. On the funded asset side, in fact, the outstanding is zero. And we have a very miniscule exposure to the non -funded exposure.

Talking of credit cards , we have now issued more than 3.1 million cards. The gross spend on credi t cards increased by 46% on a Y -o-Y basis in Q2 and the book now stands at Rs. 6, 332 crores.

Moving on to asset quality, the GNPA increased marginally by about 2 basis points to about 1.92% and the net NPA stood at 0.48%. If we exclude the microfinance book, the GNPA in fact improved by 4% on a sequential basis. We have stepped up the provisioning during the current quarter and the PCR now stands at 75.27%. This was primarily contributed by the increase in provision on the Mumbai - based toll account. GNPA in the retail, rural and MSME book stood at 1.57% and the net NPA stood at 0.53%. If we exclude the microfinance book, then the GNPA stands reduced to 1.50 %. The overall standard restructured book continues to come down and has further reduced to 0.22% of the funded assets. This was 0.26% in the previous quarter. About 95% of the restructured book is secured in nature and we hold about 19% provision on the s ame.

Moving on to SMA1 and SMA2, we have already touched upon that we have seen a reduction of about

8 basis points from the previous quarter. The SMA1 and SMA2 book excluding microfinance, it was at 0.87%. Gross slippages for Q2 were Rs. 2,030 crores and net slippages were about Rs. 1,392 crores for the quarter. Recoveries and upgrades were slightly higher at Rs. 638 crores in this current quarter against Rs. 526 crores in Q1 FY25. The net slippages in value terms increased by Rs. 260 crores vis-à-vis the previ ous quarter. And 40% of it came from microfinance. Balance, I would say, was spread across products. In percentage terms, ex -mic

rofinance, the sequential increase in the net slippage ratio was about 20 basis points.

Moving on quickly to profitability, NI I increased by 21% on a YOY basis to Rs. 4 ,788 crores. NIM was broadly stable, I would say, at about 6.18%, which was lowered by about 4 bps on a sequential basis. Fee increased by 18% in Q2 on a Y -o-Y basis. Now 92% of the fee is contributed by the retail book. And the fee to total assets was at about 2.05% for the quarter. We had a good decent quarter on the trading front. The trading gains for Q2 were at Rs. 105 crores. Operating e xpenses increased by 18% on a Y -o-Y basis and cost to income was broadly stable at 71% for the current quarter, vis-à-vis 70.5% in the previous quarter.

Operating profit, including trading gains, increased by 30% on a Y-o-Y basis. And if we exclude trading gains, then the increase was a bout 28%.

Provisions, I would skip where they are adequately covered. But just one point to add that if we exclude the provision which we have taken on the toll account and the additional provision on the microfinance business. Then for the balance book, ex -microfinance and toll account, the provision was at 180 basis points. This was roughly 170 basis points in the previous quarter, which is to further state that we have not seen a much of an increase in the rest of the book. Profit after tax for the quarter was at Rs. 201 crores. And if we adjust for these additional provisions which we have taken, then the adjusted PAT would be Rs. 626 crores. Capital adequacy, as Vaidya touched upon, including the benefit which is expected to come in from mergers of about 24 basis points, our CET -1 would be 14.08%.

We have also taken an impact on the microfinance book where the risk weights have been increased from 75% to 125% during the quarter. This had an impact of about 21 basis points on RWA. LCR was broadly stable at 116% and this is well within the range which we have been guiding over the quarters.

With this, I will end my opening remark, and we ca n open the floor for questions.

Moderator : Thank you very much, sir. We will now begin the question -and-answer session. Our first question is from the line of Shivam Gaho i from Abu Dhabi Investments. Please go ahead.

Shivam Gahoi : Hello sir, every quarter there are some surprises coming up in our Bank . How should we model for the next 3 to 4 quarters? And how are you seeing the environment for the housing fi nance in the next few quarters?

V. Vaidyanathan: Housing finance is stable and growing, so I think it's growing for everybody. For us, I think housing finance is growing at 20 % and that should be quite stable. Now to your first question actually that we gave a surprise this quarter. Frankly, we are sorry about this because we really believe d that our issues on infrastructure were behind us. They were like, we haven't put out the list, but we wanted to put it on nameless basis. Next time we will put it. We have Rs. 14,000 crores of such loans which we identified, and we have dealt with it, dealt with it over the last 5 years, Rs. 14,000 crores. And that of course includes Vodafone, which is Rs. 3,244 crores, which eventually did not default, but gave us all quite a scare and fright and bad news in the media and all that stuff. But barring that also, including that there were Rs. 14,000 crores, we dealt with all of them one by one. I must tell you that many of them was very difficult. Some of them were in court, some of them were in the ARC. They were

difficult calls all over. So, really, we took it out of great difficulty, and we finally thought we saw the back of it. This transaction by the state government to waive off fees for toll here was completely out of the blue. It was just nowhere in the picture, just a wild thing. This is one of the reasons we don't

like project infrastructure financing because we are hostage to this kind of movement outside of our control. So, this was a n odd one that came through.

Shivam Gahoi : Okay, and the second question regarding the credit card business. So, are we on the break even and what are the delinquency because the RBI already saying like there is a discomfort in the unsecured lending. Yes, so what's your thought on that ?

V. Vaidyanathan: On credit card , this time we have given a lot more disclosures. So, while my colleague pulls out the number of credit cards, we have actually shown on our presentation the credit cards SMA. SMA for credit cards this quarter was 1.69 %. Last quarter was 1.88 %. And the quarter prior to that , the March 24 quarter was 1.74 %. So, let me bring the other order of simplicity. March 24 was 1.74%, June 24 was 1.88%, and September 24 is 1.69%. So, for us, the credit card is behaving well and really on expected lines on the credit portfolio. And we are, of course, watching it very closely because we saw the numbers of the other credit card company which is monoline in this business and we saw those numbers and we saw another Bank 's numbers and credit cards. It will be very thoughtful, but as of now, we are transparently sharing our numbers with you. It's quite stable. And in fact, on page 38 of the presentation, we have even put out data about the civil trans -union data of June 24. In that, they are seeing that the 30 DPD for June 24, for the industry is 4.6%. IDFC First Bank 30 DPD for June 24 is 3.6%. For March 24, industry was at 4.3%, we are at 3.3%. Similarly, there is also 90 DPD data. In the 90 DPD data for June 24 , the industry is at 1.9 %, IDFC is at 1.4 %. And for March, it was 1.7 % for industry, we are 1.4%. So, from these nu mbers, we conclude that we are doing well on credit card asset quality.

Sudhanshu Jain: And Nikhil , just to add, we have not seen an increase in credit cost in Q2 vis-à-vis Q1.

Moderator: Thank you, sir. Our next question is from the line of Ishan Agarwal from Erevna Capital . Please go ahead.

Ishan Agarwal : Firstly, excluding the prudent extra provisions on microfinance, SMA book, and the legacy toll account, you mentioned that the credit cost i s 1.8% of the average loan book whereas my calculated number comes to 2.15% of the average loan book. Is there s omething that I am missing here?

Sudhanshu Jain : Yes, so essentially, if you exclude the pro visions of the entire microfinance book.

Ishan Agarwal : Why would we do that because in the last quarter, when you're comparing it with the last quarter , so including at microfinance , our provision is 2.15% and last quarter we had reported a provision of 1.92% including microfinance . So, the 30 bps is adding because of the microfinance this time, the 30 bps provision for this quarter.

Sudhanshu Jain : Yes, so I think I had mentioned that we are seeing 1.8% excluding the microfinance book and the additional provision which we have taken under toll . This number was 170 basis points in the previous quarter, while the overall credit cost was 190 basis points. If we exclude similarly microfinance book in the previous quarter, then the number was 170 basis points. So, just to fill in the reconciliation for you, 180 basis points is ex-microfinance . We have seen additional provision on account of this toll and the microfinance additional provision that we have taken that is consumed about 105 basis points. And the rest is coming in the normal course on the microfinance book.

Ishan Agarwal : Okay, so our provision on the rest of the book has increased from 170 bps to 180 bps this quarter, but our SMA movement has actually gone down. So, what is leading to this jump? Like which portfolio is actually contributing on the higher for th e high provisions this quarter?

Sudhanshu Jain : See 10 bps is not a major i

ncrea se right as I said in credit card.

Ishan Agarwal : Nothing to worry in the personal loan segment or any other segment as of now ?

Sudhanshu Jain : Small bit of increase would have happened there, right , because as I said, that we can see the normalization or so on, but it's not worrisome. That's why we have given a lot of data points. But the 10-bps increase is, I would say, is on the rest of the book, right , and some bit of increase would have come in the personal loan segment, but it's not material. Another comfort which I sort of, I am again reiterating is the increase is also not ascribed to credit card. There we are seeing stable credit costs in Q2 vis-à-vis Q1.

Ishan Agarwal : Okay, so for the remaining two quarters, I think Mr. Vaidyanathan had men tioned at the end of Q4 that FLDG comes into play from Q3 and Q4. And given that we have provided the SMA microfinance book as on date, how do you see the credit cost nu mbers shaping up for Q3 and Q4?

Sudhanshu Jain : So, while we continue to be cautious, right, because there's a lot of moving parts. But our best estimate as on date is that on this, I will split into two or three parts . On the toll account and the microfinance book we may come in at about 165 to 170 basis points, right, which you would notice that it's a slight improvement which we are sort of guiding vis-à-vis what we got in H1 because of some benefits coming from FLDG.

Ishan Agarwal : This includes the microfinance book completely?

Sudhanshu Jain : No. I will again sort of clarify. I am splitting this into , one, I would give you a data point on microfinance . How do we see the credit cost for the year? Second is an impact which we see on this toll account, right for the year. And third would be the rest of the book. So, let me start with the toll account, the annualized impact for the year could be about 10 to 11 basis points for the year. For the microfinance book, the impact would be about 45 to 50 basis points for the year and in terms of credit cost and for the rest of the book, it could be about 170 basis points. So, if you sum it up, it could be somewhere around 225 basis points for the year.

Ishan Agarwal : So, the retail would be around 2 15 bps and 10 bps is the toll, now retail I am including the microfinance

(MFI) book.
V. Vaidyanathan: Yes, that's correct.
Ishan Agarwal : The entire full year credit cost could be 225 bps which includes the microfinance book, the toll account, and the normal retail provisions of around 165 to 170 bps. So, this 225 bps also includes the prudent provision that we've made today on the microfinance book, right?
V. Vaidyanathan: Yes, it subsumes that provision as well.
Ishan Agarwal : Now, from FY26 onwards, the new ECL provisioning norms that come into effect, what could be the steady state provisions we can expect under ECL norms for our Bank ?
Sudhanshu Jain: So, it's difficult to comment on the timing on the ECL as far as concerned, right, while there have been indications that this might come in, but at the same time, the draft guidelines which came in also suggested the banks will be given a one year window to prepare in terms of system to work on the models, recalibrate and all those stuff. So , my belief is that ECL impact could come in certainly not in the next year, but could be earliest maybe FY26, FY27.
Ishan Agarwal : So, whenever that happens, that will lead to a credit cost impact of around say 10 -20 bps or more ?
Sudhanshu Jain: Could be around that, but I am not guiding . But it could be roughly that .
V. Vaidyanathan: Ishan s ince you understood the numbers and Sudhanshu split it for you properly, the thing is that even at 225 bps for other entities with similar business models on the lending side, I know our cost to income ratio is higher, but on the lending side for similar models, similar yield, 225 bps con

sidering the microfinance given broken our back so hard , still to come back and be in that zone, this would actually count for really good credit in an overall sense , Ishan.
Moderator: Thank you very much, sir. Our next question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Just a couple of clarifications. Firstly, the toll road account was Rs. 250 crore account or Rs. 500 crore account?
V. Vaidyanathan: It was Rs. 1,100 crore account initially, then along the way they paid back Rs. 600 crores , principal. Paid back meaning not one shot, but they kept paying along the way every quarter, little bit money. So, we collected a lot, we are left Rs. 500 crore . We were already prudent on that account. We were keeping about like Rs. 260 odd crores of provisions. So, we've taken the balance of Rs. 250 crore now.
Piran Engineer: So, it was 50% provided earlier, now it's 100% provided.

Sudhanshu Jain: It was about 42% provided earlier, the balance we have taken in this quarter, amounting to Rs. 253 crores.
Piran Engineer: Understood, okay that explains it. Secondly, just on the microfinance business, could you give us what are the slippages this quarter versus last quarter?
Sudhanshu Jain: We are not calling out specifically that number, there has been a slight uptick in slippages during the quarter . Credit cost for H1 on the microfinance book is about 6 % odd.
Piran Engineer: So, it's fair to say that 1Q would have been a bit lower and 2Q would have been a bit higher than the 6%?
Sudhanshu Jain: Yes, that's correct. Q1 was roughly about 4.5% -5%. Q2 is about 7 -7.5%. So, we have seen a slight uptick and that's why we have also on a prudent basis made that additional provision, which was equivalent to 2.5% of the overall microfinance.
V. Vaidyanathan: See, one of the reasons why our, see, we are observing the market. We've seen all of the numbers, we've spoken to peers in the industry. We were keeping a very high bar on provisioning policy, meaning that, like close to about 80% of 90 DPD we were providing for. So, imagine anything slips, 80% gone straight to the P&L. So, we kept it like that all the while, just to be well provided in this book. So, that is why our credit costs are what they are. And the way to think about it is that we recognize it early. And eventually, when a recovery comes, it comes , we will take it back as it comes , if it comes .
Sudhanshu Jain: Just to add, that's an important point. Just intuitively, while these numbers on microfinance provisioning may look a bit high, that's because we make a very high provision ing on the recognition of the stress. That's an important point to be kept in mind.
Piran Engineer: And in microfinance , have we moved it to 125% risk weights like some of the other banks have done? Or are we still at 75?
V. Vaidyanathan : No, we are at 125.
Piran Engineer: And this was done this quarter, is it?
Sudhanshu Jain: Yes, and this had an impact of about 21 basis points on CET -1.
Piran Engineer: And just lastly, VV, you mentioned that you had cut SA deposit rates to 3% a couple of quarters back. This is for what bucket? Less than 1 lakh ticket size?
V. Vaidyanathan : No, we took it straight up to 5 lakhs.
Piran Engineer: And have you seen any negative impact of that? It's fairly inelastic, the demand.

V. Vaidyanathan: Yes, the thing is that w e want to raise only as much deposits as we need to have because as our legacy money keeps getting paid off, our need for money will reduce. So, therefore, but to answer your question more directly, I mean, our deposits continue to come very strong even after we cut it up to 5 lakhs. We are now realizing more and more that service is a very unbelievably powerful item and people who get used to service and rela

tionship managers and the app and the internet and the ID and password and everything .
Piran Engineer: I think the slippage number in microfinance is what I wanted, but I think the credit cost also answers that.
V. Vaidyanathan: Credit cost is a good proxy for that. And I will tell you one important point, I will tell you about what provisioning policy we were following. We were following 75% at 90 DPD and 100% at 120 DPD. Now this is for microfinance . So, this is like, you'll agree with me that this is, and it's not now, we've been having this for many years now, like 4-5 years. So, this is the reason why our credit cost appears higher, at this 6% odd , it's not too high , but we will have to see the rest of the yea r coming through. Now, a portion of a portfolio is secured by CGFMU, which is in December of 2023, we started noting that the collection center meeting discipline was reducing, we were handin g to send people to customers' homes to collect, etc. And at that time, no one in the industry was talking about this microfinance as an issue, but we did. So, in January of 2024, we spotted this, and we started insuring our book. And we also tightened all the screws on the lending side. So, our disbursal started coming down. So, our disbursal came down from Rs. 4,250 crores. It's what we disbursed in Q2 FY24 , in Q3 we brought it on to Rs. 3,800 crores. In Q4, we disbursed Rs. 2,800 crores , in Q1 FY25 we disbursed Rs. 2,800 crores , and Q2 we disbursed Rs. 2,000 crores. So, basically, we saw this, let me say, ahead and then we reduced our disbursal . And we did one more thing. We started insuring the book with CGFMU. So, today, because incremental bookings in January 24 has been insured, so today 50% of our book is already insured. So, on this coming to provision policy again, on this we have a more relaxed provisioning because we know that end of the day, this is backed by security of a guarantee by CGFMU. So, blend -blend , the 75 and 100 policy of earlier and the C GFMU policy, which is more relaxed, blend -blend we are provided 80% of the 90 DPD.
Piran Engineer: But this CGFMU , how has your experience been in terms of recovery now that it's been almost three quarters because another Bank had some trouble in getting back what they came for ?
V. Vaidyanathan: No, another Bank , they had their experiences for multiple reasons and they're out in public domain. In our case, we have started it now. We, first of all, the way it works is that we pay them about 1.6% of the loan amount as, think of it like an insurance premium, if you think about it like that. We pay that, and then every year on the principal outstand ing of th at, we pay them. Think of it like paying somebody on the whole book. We do that, and then we give a window of, I think they have a window of one year or something in which there's a lag after which they pay. So, the key benefit for us will come in FY27 because the full ag eing of this book and that one-year lag will be conditionally met. But at least we know for sure that, we know that when you wake up in FY27, for example, in fact, by end of this year itself, by March 25th itself, 75% of a book will be insured. So, by March 26, it could have lived a full

one year. So, all of 27, we will have very low credit cost in microfinance because the whole book will be insured and ready to claim it back from them.
Moderator: Thank you. Our next question is from the line of Prakash Bajpai from Blue Bull Stock Investor and Trader. Please go ahead.
Prakash Bajpai: I am basically not an analyst. I am a shareholder only. So, my comments or questions are from that perspective. So, first of all, I am worried about, let ’s say, this continuous provision. You have talked about it , good, but still I remember last quarter you said that next quarter, the results will be subdued. But then onwar

d, it will be pretty good. But when you said subdued, we did not expect this will be a subdued. This is number one. Number two, I mean, good that you have cleaned up the b ooks. But if we get out of, say, microfinance, we get out of infrastructure, we get out of personnel, where do you see these growth items coming next? Or do we just hang around like this only? We should forget about this as a shareholder. So, your comments, please ?
V. Vaidyanathan: First of all , we are not getting out of microfinance. It's an important business for the Bank because it is helping us meet many variants of priority sector and it's an important book because this was so basically like small and marginal farmer , agriculture , weaker section and all that. So, we are not getting out of this, except that we have, of course, tightened the norms, got it insured in a prudent basis and all that. So, what I described earlier. Now with regard to which will be the areas for growth, of course, infrastructure, we announced right in the beginning, five years ago, we won't do it, and we are not doing it. So, even this legacy toll account is a bit of an odd thing that came, like a curve ball that came

towards the end, but that's that. Now, so what are we growing? We are growing 25% is retail finance book growth . In September ‘23, our retail finance book was Rs. 1,04,000 crores. Today it is Rs. 1,30,000 crores. Our QoQ growth is 4%. Annualized is 16%, but Y oY is 25 %. Within that also, let me just share that the home loan business is growing by 20%, loan against property is growing by 20%, vehicle financing is going by 32%, the consumer business is growing by 21%, and the gold business is growing by 185%, but that’s of course coming from a very low base. So, these are all growth areas for the Bank . And now corporate credit is also growing, corporate credit grew, ex-infrastructure grew by 20%. So, let me just say that these are all lines of business that are growing and will grow. We don't see any reason why we should not grow by 20% next year also.

Prakash Bajpai: When you say vehicle finance or property and such things, you have to bear in mind that there is supposed to be a slowdown going on and maybe the demand for all these things are likely to come down.

V. Vaidyanathan: Well, we will watch it carefully and I respect your caution. But we are finding that this demand is quite strong. And let me tell you that we have not relaxed any one of our credit criteria. This 20% growth in this business is coming with the current norms itself. We h ave not relaxed any credit score cutoffs or anything like that.

Prakash Bajpai: Mr. Vaidyanathan, a very simple question. In 2018 when the merger with Capital First was announced, our share price was rolling in the range of same, about 60 around, 58 to 60. And most likely on Monday,

we will hit that point again after six years of work. So, how do you see this shareholder should take it? What do you have any word of advice or any? How we should basically look at it? I know there is a lot of cost and there is a lot of this, but it's still six years and we have done so much of capital raise, which has all gone, I don't know, so much provision. How really you see it ?

V. Vaidyanathan: Let me just collect the number for you so that we are quite clear about this. At the time of merger, if you were holding an IDFC Bank share, the fact is that your share price was Rs. 37.6. You can please check your numbers, go and check your records on 11th or 12th of December of 2018. We know the numbers. We put it out in the annual report also. It was so. Now that 37th is now say the mid -60s. And what it will be on Monday or any day, we will see the numbers. Now let me just say that in this window , the first 4 years, please note my comment very carefully and I understand your question because from your point of view, you're rig

ht, you know your share price has not moved. Actually, it's moved, let me say from Rs. 37 to Rs. 65, but still that's what has grown. Now let me tell you that banks, as you very well know , since you're a seasoned shareholder, are valued price to book. Now on a price -to-book basis, the book value per share at the time of merger was Rs. 38.43. Now, after that, who wrote the Dewan Housing Loan Book? I didn't do it. Who wrote the Reliance Capital Loan Book of Rs. 1,500 crores? I didn't do it. This management didn't do it, which means that this management's not in this chair, and anybody who's running it, anybody would have to provide for it. It's not us. Who booked the Vodafone Loan? We didn't do it. So, what I am trying to say is that because of all these loans, the book value per share came down to Rs. 31 by March 21, from Rs. 38 to Rs. 31. And let me just tell you that had we not come with the chair and solve those accounts , God knows where would your stock should have been. And from there, from that Rs. 31, now the book value per share has come to Rs. 53. And we have raised capital all right, but we have raised capital always at a premium to the book. And therefore, the book value per share is Rs. 51. When you lament upon the fact that our share price has not moved adequately, I request you to think what would have been the position of this Bank with these Rs. 14,000 crores of loans of which so many thousands of crores were charged off, not by our mistake, and there was CASA of 8.5%, and there was no books, so where do you think a share price should have been? So, when you point out, I agree that is your expectation, but let me tell you, this is an issue , the Bank is in an early -stage Bank , it goes through these troubles. If you really wanted a stock which has all problems solved, then go and buy a Bank which is giving you 18% return on equity, which has already solved this problem for 25 years. This is an early -stage Bank . Now, my comment is that this Bank, with great difficulty with the work of 40,000 people of this Bank, has now come to a position of st rength. Our rating agencies have rated as AAA and AA +, whether it's FD for long term rating. Now our CASA is 47%. Now our core operating profit is Rs. 6,000 crores, growing at 25%. So, I am saying that we have brought the Bank to a good position of strength from where it was. So, now from your point of view, has it gone up or not? These are the markets, these are early -stage Bank situations. So, I do believe Bank has made big progress on technology, brand, people, CASA , loan growth , deposits, retailization.

Prakash Bajpai: I think everything is not correct because you are talking only the numbers from the point that the merger happened. You should take it from the point when the merger was announced, and you knew fully well what you are getting into. And from that point onward, if you will see that we have practically

actually not made any progress. And Rs. 58 to Rs. 60, that share price I remember because I have been a shareholder from 2013, not today.
V. Vaidyanathan : Yes, please go and I would definitely like a request to go and see the numbers. We will share the screenshot with you. The share price was Rs. 37.5 in December 2018, with the time of merger has happened. Now, I am not saying, by the way, that the movement of Rs. 38 or Rs. 37 to Rs. 58 is a great job, but it's also a fact that during this window, the banking system got did not get re rated. You can see, there were many other banks who, if you check the banking index, banking index has not performed since the n. Our Bank , you please check the shareholder report, we will send you, if you leave your details behind with us, we will share with you exactly what the BANKE X index has moved, how much our share price has moved, and how much our book value per share has moved. Our book value per share has moved up only 20% in f ive years. That is after the initial collapse that happened upto Rs. 31 and now up to Rs. 53, it ha s now gone up by 20%. All other banks have gone up 100%, meaning the book value per share. Now if have grown by a percent , I am not saying it's a great job. It's not that. But I am just saying this was just an issue. Whether whoever is there in the chair, this would have been the situation, because it's a past issue. So, for example, if one Bank share price is quoting Rs. 400, today it's quoting Rs. 25, then well, it is not because of this management. Someone else has gone and done whatever they've done. So, we've got to benchmark somebody from where they take over a position, and then move the stock measure benchmark from there.
Moderator: Thank you, sir. Our next question is from the line of Aditya Shah from Vikram Advisory Services. Please go ahead.
V. Vaidyanathan : One more thing just to the previous comment, just to tell you, just to finish that answer. Therefore, we have done our best. The Bank has made tremendous progress. Otherwise, the book value of share could not have been 51 today after the situation we were in. But let me just say that we've got to look ahead. I am not in the business of looking backwards. This was given for context since you raised a particular number. When we look ahead, we believe that this Bank at this stage is posting a 10% return on equity on a more normalized basis. Now, 10 % has to move to 12 %, 12% has to move to 14 %, 14% has to move to 16 %. Let me tell you a bit of about what the underlying prospect of this Bank is. Now, I leave it to you as a shareholder for you to assess this and get the confidence, and I request for your confidence. What is it? Now, end of the day, the Bank is borrowing money at 6.3% . We have brought down the cost of funds from 7.8% to 6.3% in this five years. And we are raising Rs. 55,000 crores of money with just 1,000 branches creating Rs. 55,000 crores at 6.3%. I would request you to note that this is really good by a ny Bank standards of the country today. Now we are raising money at 6.3 %. We are lending, we are getting a NIM of 6.3 %. Now this is a five -year-old Bank . Now for 6.3% NIM, even if you add about 1.5 %, 1.6% as fees, so that makes it about 7.8 %. Now, this cost -income ratio is about 71% today. In due course, this is at a 5-year Bank , but in due course, when you take a 5 year-6 year-7 year forward, or maybe a longer, this cost -income ratio will touch 50%. That's the way, you know, end of the day, even capital fi rst is running at only 48%, and we have done that. So, it will come to 50 % and then you know that that would be the operating profit of the Bank could be that 8% minus 50% like something like 4%. Even if a credit cost is 1.3% of assets, that would mean a pretty strong return on assets for the Bank . So, fundamentally long run Bank is structured superbly in terms of brand

plus incremental economics. Now things do come, regulatory changes do come. Even now we are given a guidance for five years, but we are always watching out for market changes, guidance changes, regulation, et c. Please consider those risks also when you're investing in the Bank . But this is the early stage, but I think the long term of the Bank is really, really very, very good.
Aditya Shah: First of all, congratulations on the last 6 years of the merger, where you were able to build the Bank in terms of deposits and CASA and growth in changing the matrix of the Bank from infra to retail and everything. It just sounds perfect, and it is a great job . We were a gainst all odds where people were doubting whether you would be able to do it or not and all of that. So, that's a great start. But what I would like to point out to you right now is that it has been a great journey in the last six years for the depositors, for the customers, for the for every people in the Bank , except for investors. I will tell you why. I don't care about the share price. But what I care for is the predictable nature of the results. So, in my opinion, sir, till 2018, ICICI Bank never got a great valuation, whatever the reason is, because of not predictable nature of the results. Whereas HDFC Bank always got good valuation because of the predictable nature. Now we understand our Bank is an early -stage Bank , but for how long can this early stage be counted as? Is it six years, 10 years, 15 years? That will help us take our val uation calculated. Second point I would like to point out is that , when as a Bank , even if we have 6% or 6.5% of NIMS, 95% of our net interest income goes in our OPEX . So, what do we have left for provisions when such events come up? So, that is the problem. See, while we understand none of the past first 4-5 years was your fault or anybody else , banking industry things go up and down. But all I am asking

is, how can we predict the results of the Bank going forward? Either we just provide everything in one shot, like Rs. 10,000 crores, get it done with, raise capital as much as we want, because the arbitrary nature of raising capital is also something that you need to look at, sir. This is all what I want to understand. Thank you.
V. Vaidyanathan : Both questions are fair and let me take them one by one. N ow when we say predictability of results, first of all, I do agree that it is 100% our intent to make the Bank more and more predictable in its results. If you see our operating profit, the operating profit of the Bank has been moving up significantly. You know why I call out on operating profit, that is core operating profit, that is Rs. 6600 crores. Now this Rs. 6600 crores was Rs. 1,100 crores at post-merger , annualized. How do the Bank become predicta ble? Treasury profits and all, it can never make it predictable. So, the Rs. 1100, that Rs. 1100 is core operating profit, NII plus fees minus OPEX has now touched Rs. 6030 crores in FY24. Now even for H1 FY24 to H1 FY25, it has grown up by 29%. So, this core operating profit, very important so that we can get predictable income. Two, in terms of credit cost. Now in terms of credit cost, let me give you a clea r picture , in terms of credit cost, this year is normalizing, but next year onwards, it would be normalized. For those of you who are tracking some capital first time. You please tell me is that even one year in those eight years or in fact till today in 14 years have we ever given you in the retail side a shock and said oh my god , we are doing a one-time cleanup . There is no such word as onetime cleanup I have used for 14 years, which means that we have a very good, controlled credit underwriting process. It is working. So, therefore, predictability will come only when all these kind of infrastructure loans and legacy toll account and this, that, etc. , we have taken out I told you Rs. 14,000 crores of such loans , but now this will last still left. The predi ctability appears after that. And therefore , we believe that it will be reasonably predictable from now on for the next 5 years, because

there are no major shocks, but I can tell you the one shock that you should even now be prepared for is that from the regulations change from time to time. Regulations do change from time to time. The signals that come from the regulator may change , about what may need to change or not, market situations may change. We may not want to do a particular line or line of business because we may consider risky. So, these kind of risks can be there, b ut broadly speaking, we should expect some predictability, but w e do expect that maybe FY27 onwards for the next 7 or 8 years , that is FY27 onward , we do expect that by the time whatever had to come a

nd go would have come and gone and
then it becomes a reasonably stable machine. And what was second question , your second question was on the OPEX , you are saying basically if the margin is strong, but a lot of money is going in OPEX , was there a second question ?
Aditya : Sorry, the third question on that was that let us see if we consider this quarter's results for IC ICI Bank, though it is not comparable, b ut what I wanted to give you food for thought is that out of Rs. 1,700 crores that we provided, let us say , we remove this Rs. 500 crore of buffer we still have Rs. 1,200 crores of provision on a net interest income of around Rs. 9,000 crores , so Rs. 8,900 whereas ICICI Bank has Rs. 40,000 crores of net interest income and is providing for Rs. 1,200 crores?
V. Vaidyanathan : No, let us be very clear about this. We are comparing two different models altogether because these are models built for 25 -30 years, largely mortgage based and if you go back and see t he same Bank of between 2000 to 2005 or 2006 or maybe even earlier period of this , you could see that these banks were going through the period of ups and downs. Finally, a model takes time to stabilize but let me just tell you this much that our Bank has made massive progress in 5 years . Now , at least we are in a position to predict Rs. 6,000 crores of operatin g profit and we can expect about 24 %-25%, we can expect operating profit to increase this year also. So, the point is therefore is that early stage Bank do have the share of ups and downs , I am requesting you to please factor it in, but the good news is that when you look ahead , let me say FY29, I am quite confident that by the time, all of these things you asked me how long? 5 years , 10 years, 15 years , I am telling you that by FY27, FY28, FY29, I am definite ly expecting our Bank to become very stable in terms of predictability. That is your first question , predictability . On second question , on the OPEX front, now if you see well known, I don't spend too much time expanding on it in interest of time, but in the last 5 years, we have grown our branch network. The Bank has launched not less than 20 products , the Bank has launched prime home loan, tractor loan, education loan, new car loan, gold loan, commercial vehicle, farmer loan, Kisan Credit Card, micro credit loan, wealth management business , FAST ag, FOREX solutions , Credit card , I mean every product has its cost to start with. And branch network , there is a huge branch network coming up here and people and technology. So, all this has happened in the last 5 years. So, therefore early stage has to go through the OPEX , the next generation of people running this Bank between, say, 2030-2035, w ill find all of these things will be amortized . When the other Bank I was running between 2000 and 2009 , we were struggling with all the kind of things, but today it is all an amortized book and each of the branches are having Rs. 300 crores of deposits and all amortized and looked how the Bank is printing money. So, everything has a life stage and the people w ho go through the initial stage of building a Bank are k armayogis. And you have to go to karma yogi, someone has to do the job of

karam yogi for the future generation to print money.

Moderator : Thank you, sir. Our next question is from the line of Kunal Shah from Citi Group. Please go ahead.
Kunal Shah : So, just to get into a few specific numbers for the quarter and maybe it would be great if you can get the absolute numbers , so firstly on microfinance , is it correct to assume that we would have done the provisioning in total of Rs. 500 crores including Rs. 350 odd crores of contingency and the last quarter it would have been Rs. 120-Rs. 150 crores , just want to reconfirm those numbers ?
Sudhanshu Jain : So, Kunal, as I mentioned that for half a

year , the credit cost on this book is about 6 %, right.
Kunal Shah : Absolute number if you can just say how much it is?
Sudhanshu Jain : Coming to that , right and I further sort of gave a break up that in Q1 the credit cost was about 4. 5%-5% a nd in Q2 that has inched up to about 7% and of average microfinance book is about Rs. 12,000 odd crores, right , so if you apply these percentages, you will realize that the credit cost, which has come through is about Rs. 400 crores. On top of that, we have made this additional provision of Rs. 315 crores. So, those are the numbers in the microfinance front. Of course, we have done some, I would say, advanced provisioning and hence I said while in the full year guidance credit cost, this additional provisio n is also subsumed.
Kunal Shah : Sir, 7.5% on Rs. 13,000 or maybe 7 %-8% on Rs. 13,000 crores or Rs. 20,000 crores that would be like Rs. 250 odd crores on a quarterly basis , 7.5% is the annualized number ?
Sudhanshu Jain : Yes, broadly.
Kunal Shah : So, Rs. 250 plus almost Rs. 350 odd crores, that is the broader number and when we look at it in terms of the last quarter, if I take the same as the 4% number, that would have been closer to like Rs. 130 odd crores ?
Sudhanshu Jain : No, that would be higher. So, on a Rs. 12,000 crore s, if we apply 4.5% -5% right then.
Kunal Shah : Yes, t hat is again an annualized number ?
Sudhanshu Jain : Yes, it comes to about Rs. 150 odd crores, you are right .
V. Vaidyanathan : Basically, think of it that this quarter we have taken provision of this Rs. 320 crores on the SMA -1 and II portfolio. As in, this portfolio , some of this money obviously got slipped to 90 DPD and what is 90 DPD will slip to 120 DPD in normal course. So, when the slippage will happen , this time since it is pre-provided , the impact in Q3-Q4 at least on the microfinance line will not be that much.
Kunal Shah : And when we were guiding for the full year number, 40-50 basis points of impact on microfinance , so that comes to broadly like Rs. 1,100-Rs. 1, 200 odd crores , so particularly coming from microfinance for entire year FY25, so con sider ing what has been provided there is still maybe something more which can come in and that is to the extent of Rs. 300 odd crores ?

Sudhanshu Jain : Yes, so number for the year matches broadly correct, could be about Rs. 1,000 to Rs. 1,100 crores, right , but Kunal again to know right provisioning policy is very stringent, right , when they have said that we end up providing 75% in 90 days and 100% in 120 days, right , for other institutions the provisioning policies could be very different. While for us it looks high, I think that picture also needs to be kept in mind that we are doing a lot of earlier recognition.
V. Vaidyanathan : We do early recognition. We don ’t touch the books; we don ’t give the extra benefits to pay us back. We just keep the books clean. It is just the way we work . That is the way we dealt with our prior issues at the time of merger. We did what we did , we are dealing with the same way . I can tell you investors that nobody can ever pick up a finger on our Bank in terms of how we run our books, how we manage our accounts. We keep it super clean, and our practice s are clean . So, we do that and to earlier question , we were talk ing about our SMA , we have actually given out the data of SMA for every product. If you go to page 32, it is a very important slide we introduced at this time. As you know, banks do disclose NPA, now we disclose SMA , but this time we carried transparency to another level. We have disclosed SMA by product. Then we have disclosed SMA by product for 3 quarters at a stretch. So, you can see that you don ’t have to take a word for numbers can talk , if you see the first column of mortgages, it is 0.4%, 0.39%, 0.39%. So, we know that mortgag

es are stable. We don ’t have to expect a problem next year at these numbers. So, see vehicles, 0.96 %, 1.22%, 1.07%, it is stable. Similarly, MSME is stable at 1.26 %. Consumer durables are stable at 1%.
Kunal Shah : Most of the product segments are stable, ye s.
V. Vaidyanathan : We are clearly calling up only one product is bothering us, other than every product is fine .
Sudhanshu Jain : And Kunal, another disclosure which we have made in terms of our exposure to top 5 states and vis - a-vis some of performance vis-a-vis with the industry , there also is that we are broadly there except Kerala where we are slightly higher . There also we reduced the book in last one year or so by 30%.

V. Vaidyanathan : But let me tell you one more thing for shareholders and a few shareholders spoke before as well as analysts, let me just keep it simple for everybody. I feel that people who would be looking at this quarter's results and this look at one microfinance book and thinking that th ere is the problem etc. , that data we have dispelled in page 32 , but let me just say that looking at one data point o r one legacy toll account or this one, people who take come to conclusions , the Bank will make a mista ke because you cannot underestimate the power of a Bank that is borrowing money at 6.3% and lending it out to get a NIM of 6.3 % with controlled credit cost. Even now , if you compare it to other banks with similar models, this credit cost, including microfinance , including that, is still quite low. So, the power of a Bank running at 47% CASA, clean governance, good incremental return on equity at the Bank which is you can compute it and a growth model running at 25% is something that you will make a huge mistake, in my opinion , if you take a call, but I think people who would bet against this call would be , I would say that this is a really great Bank in the making, really great Bank . After 5 years you have forgotten this quarter, but you would have seen a Rs. 11,00,000 crore s business Bank which will be Rs. 6,00,000 crores of deposits and maybe Rs. 5,00,000 crore s of loans. I think it is a really good Bank coming up even at a 2% ROA or 1.8 % ROA , 1.7% ROA that woul d still be a lot of money.

Sudhanshu Jain : And Kunal, on this microfinance just to add , see this all along , this book was not giving us that kind of a pain, right. Credit cost was range bound except COVID if we take out right , it was about 1.5% - 2% right. We know al though that some overleveraging has happened right , while I can confirm we also g ave only one loan to borrower at the time, right, and our problem started with Tamil Nadu where unfortunately we had a slightly higher concentration. We had an impact coming out of floods and then we know that heat wave and all those. So, it accentuated the problem, right , but we were proactive enough to slow down the book right , and we have kept stringent provisioning policy. We are allowing the loss to sort of come through. So, as a management we have been quite proactive in recognition of this. While credit costs are high in this year, and we expect it to sort of cool off into Q1-Q2 and so on and next year it may be still higher than the normalized levels of 2% which we are seeing earlier, but we feel that the provision which is about 225 basis point guided for this year that would come off to a normalized level into the next year, right . We have also done a lot of policy interventions. That is why you are seeing that apart from microfinance , we are not seeing that kind of an increase, whether it is SMA -1 and SMA -2. So, what I can comfort the shareholders and investors is that we have done a lot of policy interventions. That is why you are seeing some of these numbers. I spoke of that in credit cards we have been very cautious , the stress is not increasing , similarly in

oth er product classes. So,
there are these one or two topical things which have come in and that need to be taken into account.

V. Vaidyanathan : I like to give one important clarification, not clarification , a way to think about a credit cost. What is the credit cost for next year, for example, if this is a question in your mind? Let me help you think this through. We think that every business has i ts own nature, like home loans, t hey hardly give any credit cost. Loan against property gives very low , maybe call it 25 -30 basis points. So, you assume if you have a Rs. 25,000 c rores book you multiply that by 10 basis points in home loans, maybe the Rs. 25,000 crores of land into 30 b asis points or 35 basis points f or loan use property. Then you take consume durable book and then you multiply that the numbers are there in the book. So, I don't want to expand on it. But let me say that, say, Rs. 7,000 crore book into say 400 basis points and then you take a credit card book, you multiply by 500 basis points just to pick a number and so on . You apply , let me say a used car , say 250 basis points, maybe personal loans, 250 basis points. What you do is that simply take the book, multiply that by well-known industry numbers , you through sigma, do a sum product of that, you will get a number of about 1.85% for our Bank . So, in one quarter , one month, something may be up, something may be down, but blend -blend , our Bank is heading for about 185 and for this yield that we are getting , 185 is a good number , stable number coming for 15 years. So, we don't doubt our model because it is working. So, if you do this, you will get a fair number, you can predict the number for many years to come. Now, if an odd thing like a microfinance happened or toll happened, then odd things change. But in general , we are running a stable credit book. We are running a stable yield as you know 6% plus. We don't expect credit with this one and t hen only the cost -to-income ratio has to come down , that is it. We don't have a problem fundamentally on numbers and credit quality. We don't have a problem in the yield . Our cost -to-income is an issue a nd that is not an issue as in we are running a bad Bank . It is just that it is a new age Bank, and we are building all the expenses, and I told you of all the products we launched . It will come off in due course. And once the cost income comes off, this Bank will be making a like 16%, 17%, 18% ROE comfortably without skipping a beat.

Kunal Shah : The second question is on cost of funds. So, when we look at it, we indicated that cost of funds should see the benefit of 12 to 13 basis points as and when there is run down in the legacy borrowing. But maybe this quarter there was almost like Rs. 3,000 crores run down , now, we still have like Rs. 6,000 odd crores left, but still cost of funds staying poor. So, should we assume that maybe broadly that benefit could be lower as the repricing is also continuing? How should we look at the overall cost of funds because that benefit is still not getting reflected with the repayments having been done?

V. Vaidyanathan : Little bit, you think of it like , if not 6.3%, think of like 6.38 %, somewhere in that zone .

Sudhanshu Jain : Kunal, if you see cost of deposits has been quite stable, right, that is not going up for us, right. And of course, we do certain borrowings and so on . There is an impact which is coming as this book has come down significantly right , now still there is 10 bps of gap which could be still filled in. But at least the cost is not going up for us and into the coming quarters into the next year , we expect this to come down further, right. So, directionally, we feel that cost of funds for the Bank would reduce from the current levels.

V. Vaidyanathan : See, we feel quiet , to one of the earlier shareholder s'

questions , honestly, we feel that like our FY27, FY28, FY29, FY30 should be a reasonably upward trend of operating profit. Credit costs should stabilize about 1.85% for the math I told you. You can do the math for you rself also on a spreadsheet if you do some product of the book into that , the known behavior of this product, you will get that number. So, we feel that with that kind of yield and this kind of credit cost and cost to income ratio coming down, we do expect that our FY27, FY28, FY29, FY30 should be reasonably strong uptrend. You take this comment with the usual caveats about market , industry, regulatory , etc., if you have to adjust anything there might be a share of its own little bit of issues like can happen to any Bank at any stage , but that is how to think about it. But on a long-term basis , we feel quite confident where the Bank is headed .

Moderator : Thank you. Our next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Hardik Shah : Sir, my first question is the data keeping one. Can you tell us what is the total contingency provision s on the book and what is the restructured book that you have right now?

Sudhanshu Jain : So, the contingency provision is the one which we have created during the quarter of about Rs. 315 crores . And the restructured book, as I said, that book is now only 0.23% in value terms that it is about Rs. 500 crores of restructured book which we have and the predominant part of it is the mortgage book which is sitting here . On this, we are carrying a provision of about 19%.

Hardik Shah : And the second question is on the write -off policy, sir, what would be your write -off policy for microfinance and other unsecured products ?

Sudhanshu Jain : We cannot give a specific product -wise policy or a number out there, but we follow, I would say out of faster write -off on the pool, right , I am saying we go product by product, see the nature of the product and so on. And that is how we sort of define a policy at the Bank .

Moderator : Thank you, sir. Our next question is from the line of Nitin Agarwal from Motilal Oswal Financial Services. Please go ahead.

Nitin Agarwal : Sir, I wi ll say that w hile the journey over the past 5 years wasn't smooth as one would have liked it to be, but there were many bright spots which we appreciate and deposit growth which has been impressive. The technology stack that the Bank has built , RBI approval more recently and the CRISIL also upgrading the deposit program rating to AAA are all like highlighting the progress that the Bank has made. But the investors would also like to see the improvement in profitability, which is one metric where the Bank still has to catch up even when compared to guidance 1.0. So, my questions now are more in that context to assess the profitability outlook better, and so first, if you look at the earlier guidance was like 1.4 % to 1.6 % ROA by FY25 and now reaching this number may take us like another 2-3 years, if things like go on well from here. So, you think that further expansion in ROA to 1.9 % - 2% ROA by FY29 is a doable after you reach this initial milestone, or will you want to revisit it at some point ?

V. Vaidyanathan : See, we will have to as of now when we drew up this model at that point of time, see basically what we did to come to the guidance? We assumed a certain continuation of the lending yield and lending income and the cost of funds being continuing to where it was and then we modeled it and then we came to the numbers, and we shared it. Now along the way , so our model directionally is very much valid . Now , the important caveat to note on this is that along the way we are seeing changes , for example, there is a message, let me say , in the system to reduce the yield on microfinance business and because of the issues going on with t

he industry and also maybe there is a more vulnerable segment of the society and so on. Now , if you touch that, yes there is an impact on the income line. Similarly, if there is any other situational change that come at us , for example, we are told that in insurance industry , now the re is a message to say that insurance, the commissions that a Bank gets will have to be amortized over the contract. Now you might find that next year , the number that we were expecting to post, we might not be able to post it because we will have to amortize it into FY27 or what we woul d have normally booked in FY26, so these kind of things do change along the way, but we have to be very focused on building a long term Bank which has fundamentals in place. So, once the fundamentals are in place , then it co uld be a year , this year that is right. But I think that I have no doubt in my mind that if you borrow money at 6 .5% and you get a book y ield where which gives the NIM of 6.3 %, it just has to make a lot of money. It is just plain mathematics. Whether it comes in 2029 or 2030, I am not saying that I am stretching it because too early for me to look at the numbers again. But I am trying to tell you that directionally, the Bank has to get there. There is no doubt in my mind.

Moderator : Thank you, sir. Our next question is from the line of Gao Zhixuan from Schonfeld . Please go ahead.

Gao Zhixuan : So, just on the excluding microfinance and total credit cost of 180 basis points, just want to understand as you kindly provided SMA data , other segment data seems to be stable , but back in March 24, we are guiding for FY25 credit cost of 165 basis points, but even excluding microfinance , we are running at 180 basis points. So, which segments that is kind of deviating from your earlier expectation and how should we think about it going forward because our guidance for now is in the second -half for the ex-

microfinance book should be better than the 180 basis points. Just want to understand how con fident are we on this guidance in this very challenging kind of evolving macro environment situation ?

V. Vaidyanathan : Sudhanshu pointed out our expectation for the credit cost for microfinance business, and he also pointed out and h e started it up to going to 225 bps, now it has three components like Sudhanshu pointed out , one is the microfinance , but that we discussed before, and we have f actored it in. Number two is this , one account of this Rs. 250 crores, we had to take for that toll that we talked about. So, that is also factor ed. Now , for the rest of the business like we have shown in the numbers , our data is saying that it is reasonably under control, not reasonably , it is quite under control. You can see the numbers out there . Even now , if you exclude these two , 180 is not the bad number. You can see the numbers in the market. So, we feel that this is reasonably under control and basically the way to think about it as compared to last year to this year. Our credit cost is going up because of normalization but looks like accentuated because of this microfinance and the toll and all that. But a short answer is that we feel for this 225 , reasonably in control of this . We understand that industry , the numbers have gone up, personal loans , we saw some data of other banks and credit cards . We have not seen it in our books as of now . We have seen data on personal loans and other banks. We have not seen it in our books as of now and home loan is like absolutely spi ck and span. There is absolutely no credit cost at all there. It is like as good as nil and the loan against property is behaving very well. So, net-net, other products are doing well, the numbers are out t here, SMA product wise , NPA product wise , everything is out there in the presentation.

Gao Zhixuan : Just a quick one on the

thinking on the next capital raise, because the industry challenges is kind of hitting profitability and the capital consumption , if we continue to grow at 20% seems to be a bit higher than expected. So, how should we think about the timing of the capital raise and also the C ET1 level that we are comfortable holding?

V. Vaidyanathan : See, we are a growth Bank and because of growth only our ROA , ROE also started getting addressed and it gets fixed . But at this point of time , since our core C ET1 is also at 14%, including the benefit of the merger and otherwise it is 16. 6% including C ET2, so as of no w we are comfortable. We are not thinking of, even internally, we are not talking capital at this point of time.

Moderator : Thank you, sir. Our next question is from the line of Pritesh Bumb from D AM Capital Advisors. Please go ahead.

Pritesh Bumb : Just one question from my side , on the credit card business , so just wanted to check , basically when you scrub the data and do data analytics and see what kind of a customer profile is, if you can highlight 2-3 issues, what is happening suddenly in the industry for last, say 1-1.5 quarter, 2 quarters in terms of what has changed and if you can also highlight how we have been immune in terms of , one or two reasons where we have been cautious for in terms of the credit card business ?

V. Vaidyanathan : In the credit card business, we have been very cautious right from the beginning, frankly, in every business we are cautious. That is why our credit costs are low, meaning except the microfinance where we had the issue. But other than that in our other business, our credit cost is quite low and you can

compare them with the market and hope you will agree . Now , in the credit card business , the way we did it is that largely initially , we started giving only to our own savings account customers and built a big part of the book like that. We have no DSA . I don't know if you are aware or not, but we do only direct sourcing broadly, most of it , actually all of it , we do direct sourcing. And therefore , we built a unique model without having to pay DSA fees and so on. So, therefore, in our segment that we have lent to with initially like we said our own customers and later we also started taking direct customers from direct origination like direct acquisition customers in the open market as well. I shared the numbers earlier, so I woul d not like to repeat it, but I just told you that please go to page 38 , we have put out CIBIL TransUnion data of the industry for 30 DPD and for us, and at every point June 23, September 23, December 23, March 24, June 24 and September 24 , we are distinctly 60 basis points or 70 basis points below the industry 30 DPD. Similarly , 90 DPD we are below. So, I think our scorecards are working and so on.

Sudhanshu Jain : And just to add, even in H2, I am saying given the interventions which we have done for us, at least we feel that credit cost could marginally come down.

V. Vaidyanathan : Honestly, we are not going to give you any surprise or shocks in credit cards because the book is behaving well. Our issue was one product , we have called it out, frankly . Other than one product, I think all are behaving well and the numbers are out there for you.

Moderator : Thank you, sir. Our next question is on the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain : My question is the continuation of the last question. Now, in general in the credit card segment, we have seen stress across players, whether it is NBFC players, marquee NBFC players , whether it is the likes of Kotak also , I am not even talking about SBI Card, the monoline player and in your case , I see that credit card, which is a business that has grown recently , there the SM A's are going down and you are saying that the cre

dit costs are going to be lower, I understand that you have your own filters and your own sources of confidence, but when there is so much issue in an industry that even the best of the breed are sort of showing stress, it sort of beggars belief , so I just wanted to understand how is it that we are going to escape from this turm oil in the credit card segment, when almost every single player has highlighted stress there ?

V. Vaidyanathan : First of all, the question is very fair saying that how is it that our credit costs can be so low when the market is higher. Frankly , you could ask this question of us in the other businesses as well because frankly except microfinance in every business, our credit co st is moving well as compared to similar players with similar industry, so credit cards is just one more of such products. Now , the credit card , one reason could be that if you again go by the CIBIL data that you put out in pa ge 38, in the prime segment and above , the industry data , I am just reading out the CIBIL TransUnion data, okay, so the correctness of it is for that you have to check with CIBIL . But I am just reading out the exact data , we put it on page 38 . The prime and above for the industry is 74%. For ID FC, it is 92.1%. It is probably just the way we have acquired our customers. Even on the liability side, for some reason , the way the brand is built, and it is according to me as strategic source of how we built the Bank . On the liabilities

also, our Bank is getting a customer base which is slightly premium customer base which higher balances with us . Our average balances when we are opening our household savings account etc ., is something like about Rs. 3.5 lakhs. I don't think any Bank is getting Rs. 3.5 lakhs in the household accounts in their opening. So, our Bank is just attracting, let me say , customer base which has slightly higher income on the liability side and when we lend credit cards to them , by definition we end up slightly , mayb e we are getting a slightly better credit profile. I can guess that from the data that is coming from CIBIL, it is there on page 38. So, this can be a really good reason in my opinion as I speak. But really, on the other products , let me say , home loan , we just hardly have a credit cost. So, that is true for the industry , I assume . For every business of credit cost is at 185 bps also, I would imagine that ex-microfinance and ex-toll account , I hope you will agree with me that 185 bps is good in these condit ions, probably better than other institutions and similar lines of business. I am sure of that actually.

Moderator : Thank you, s ir. Our next question is from the line of J ai Mundra from ICICI Securities. Please go ahead.

Jai Mundra : Sir, just two data points, one, if you can share the movement of NPA, s o I think the slippages you mentioned that Rs. 2 60 crores is the addition, but if you can just say an absolute amount of slippages and write off for this quarter?

Sudhanshu Jain : Gross slippages were about Rs. 2,030 crores in the current quarter vis-a-vis Rs. 1,657 crores in the previous quarter. And the net slippages went up from Rs. 1,132 crores to Rs. 1,392 crores in Q2, right, which means that delta of Rs. 2 60 crores which I talked off, out of that, about 40% was contributed by microfinance which would be about Rs. 100 crores that leaves about Rs. 160 crore s as the balance right which I said is broad based across products, right and in terms of percentage, the net slippage increase if you exclude the microfinances, it is about 20 odd basis points. So, yes, things have slightly in stuff, but it is primarily, I would say because of microfinance.

Jai Mundra : And secondly, and lastly , we have effected the merger , effective October first week, what is the change in the networth , not on the number of shares ar

e visible , but have we accreted some cash or is there any impact on the networth of the Bank ?

Sudhanshu Jain : Yes, networ th accretion would be about Rs. 618 crores at September end and this benefit would flow into Q3. And in terms of capital adequacy benefit, this would give us about 24 bps of relief, right, which will come in Q3.

Jai Mundra : So, this Rs. 618 crore s is the cash that you would have received or this is something else that that comes to networ th?

Sudhanshu Jain : Yes, it will be combination of cash, certain investments and so on , so networ th accretion would be Rs. 618 crores.

Moderator : Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Ja i Mundra from ICICI Securities for closing comments.

Jai Mundra : Thanks a lot , everyone for joining the call. Vaidyanathan, sir, if you would like to give any closing remarks.

V. Vaidyanathan : First of all, I want to thank every one of you for being with us for this long , you spent over an hour and a half with us. Thank you for your interest and your confidence in us and for supporting us for the last 4 -5 years. The Bank had its issues in terms of its core profitability . Many people think that they were bad loan that we had to charge off and that is the problem, but that is a bit of a naive view. I have known institutions which have had strong operating profits and if they have a credit cost, they charge it off and next quarter they can smile again. But in our case , our issue was low operating profit. We were just 0.32% of assets was our operating profit. So, that means that we have to fundamentally change a business model where operating profit comes to 2.5% . That was very hard for us to build the core operating profit. So, let me just say that the hard work of doing that has been a good part of it put behind and now our core operating profit is 2.5% of assets. Now , if our credit cost is 1.3% of assets, I want to just clarify when we said 1.8 5%, 1.85% was in loans , but when you take it of assets, it is 1.3%, so you have 2.5 % and then you have credit cost of 1.3 %, then you are at least looking at about 1.3% of PBT and post -tax may be 1%. So, therefore our Bank on a stable state basis ROA has is reaching about 1 -ish, which literally zero base. So, I say the Bank has made big prog ress on profit . To the shareholder who spoke earlier, if I came across explaining the past numbers , I want to just clarify that I didn't mean to be rough or anything like that , it is just that I just want to explain. So, coming back to the point, so like you are coming to 1-ish, now, we have no doubt in our mind that a model that has brought us from 0 to 1 in 5.5 years can also take us from 1 to 2 because you have got to pull the model through in this spreadsheet and pull it for long , you will get bps. So, this is the long term model of the Bank is defi nitely looking good and we feel that we should have the patience , we mean as management , I shouldn't hurry things, build it in a stable way with good foundation , with good products, good governance , not cutting corners, not taking , doing cheap tricks to manage the profit of the quarter, say things as they are , present the numbers as they are and build a core model. Then in the long run , we can expect to b uild a really fantastic Bank . If I do shortcuts , then wrong things will happen, and no one will be happy with that. So, we are building a Bank for the long run, and we are building it strong. Just see the numbers and it will play out in the times to come. Thank you everybody.

Sudhanshu Jain : Thank you, everyone, and best wishes for the festival.

V. Vaidyanathan : Best wishes for the festival to every one of you and Happy Diwali to every one of you.

Moderator : On behalf of ICICI Securities, that concludes t

his conference . Thank you for joining us .

Call: Jan 2025

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD/ 305/202 4-25 January 30, 202 5
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437
Dear Sir / Madam,
Sub.: Transcript of Earnings Call for the quarter ended December 31, 202 4
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended December 31, 2024, conducted after the meeting of Board of Directors held on January 25, 2025, for your information and records.
The above information is also available on the Bank's website at the following link:
https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Concall - Transcript -of-IDFC -FIRST -Bank -Q3-FY25 -Results.pdf
Request you to take the above on record .
Thanking You,
Yours faithfully,
For IDFC FIRST Bank Limited
Satish Gaikwad
General Counsel and Company Secretary

"IDFC FIRST Bank Limited
Q3 FY'2 5 Earnings Conference Call "
January 25, 202 5

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER & HEAD CORPORATE CENTER
MR. SAPTARSHI BAPARI – HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the IDFC FIRST Bank Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Saptarshi Bapari, Head, Investor Relations. Thank you, and over to you, sir.
Saptarshi Bapari: Thanks, Dorwin . Hello, everyone. Welcome to the call, and thanks for joining the call. Today,

we have Mr. V. Vaidyanathan, MD and CEO of our bank; and Sudhanshu Jain, CFO and Head of Corporate Center for our bank. We will start the session with the opening remarks from Vaidya, followed by the brief on financials from Sudhanshu and post that, we'll open the session for Q&A.

So right now, I will hand over the call to Vaidya for his opening remarks.

V. Vaidyanathan : Hello, everyone. Good evening, everybody. Very happy to speak to all of you. Sudhanshu, you want to take this.

Sudhanshu Jain: Yes. Good evening, everyone. Sudhanshu here.

V. Vaidyanathan : The way we are doing this is that Sudhanshu will first take you through the numbers, and I'll comment a little later with my perspective, V. Vaidyanathan here, and Sudhanshu, you want to take over.

Sudhanshu Jain: Yes. Thanks, Vaidya. I'll keep it brief. I'll touch upon the key financial numbers for the quarter as of 31st December '24. If you see the balance sheet size, that has now expanded and reached about INR3.3 lakh crores. That was an expansion of about 24% on a Y -o-Y basis. If I go into the components of balance sheet, both the advances and deposits continue to grow at a faster pace.

The deposit traction continues to be very much there. In fact, our customer deposits have increased by 29% on a Y -o-Y basis and it is now at about INR2.27 lakh crores. Within this, the growth in retail deposits is at 30% on a Y -o-Y basis.

If I move on to CASA deposit, that has also increased by 32% on a Y -o-Y basis. In fact, on an average basis, CASA deposits have grown by 35% on a Y -o-Y basis. CASA ratio, while it has come from 48.9% to 47.7% in the current quarter, but I would say that this has remained quite stable over a period of time. Term deposits, it grew at 26% on a Y -o-Y basis. Here, again, the retail term deposits grew at a faster pace at 29%.

During the quarter, our branch network expanded to 971 branches. We have opened 10 branches during the quarter, which takes the tally for the year to about 27 branches. Moving quickly to the high -cost legacy borrowing, which has been giving us a drag because this is at 8.8%. Happy to report that we have retired another INR1,000 -odd crores during Q3. The book which is of this high cost is now at about INR6,700 crores. We have given details in the presentation on Slide

23, where you would find that about INR1,850 crores will further mature in Q4 and bulk of it will retire into the next year.

Moving on to the credit deposit ratio, which I think nowadays is an important parameter. Again, here, we continue to do well as deposits are growing faster than advances. The credit deposit ratio at December quarter is now down to 95.7%. This is roughly 20 0 basis points improvement from the previous quarter. If you look at the incremental credit deposit ratio during the last one year, then we are coming at 76.4% .

Moving on to the cost of funds, which is connected to the deposits and borrowings. The cost of funds for the quarter was at 6.49%. We saw a marginal increase of 3 bps during the quarter due to the tight liquidity environment, which is sort of prevail

ing. But if we look at the deposit cost, that has been quite stable, at 6.38%. The same was the number, I would say, in the last 2 quarters as well. So net -net, both of this, I think, has been quite stable all around.

If I move on to the asset side of the picture, the overall funded assets registered a strong growth of 22% on a Y -o-Y basis to reach INR2.31 lakh crores. Sequentially, the growth was 3.8%. The growth was largely driven in this quarter and even on a Y -o-Y, largely by mortgage as a business, then from the vehicle segment, largely in 2 -wheelers, where we have a strong foothold. The business banking segment, which is essentially working capital backed by FDs and property as a collateral.

Wholesale business, you would have seen that we have registered a strong growth in the last 2 quarters and also by certain products, which are coming from a small base like gold loan and credit card. We have given a detailed product -wise cut in the investo r presentation. The credit card base now stands at 3.3 million cards. The book size is about INR6,918 crores, and this has grown at 40% on a Y oY basis. The gross spends on credit cards increased by 45% on a Y -o-Y basis in the 9 months.

If I talk about asset quality, then the gross NPA of the bank was at 1.94% at 31st December, and the net NPA was at 0.52%. If we exclude the microfinance book, then the GNPA in fact, stood at 1.81% and improved by 7 basis points on a sequential basis. The PCR on the NPA we hold is at 73.6%.

If I give some further details in terms of the G NPA and retail, rural and MSME segment, then that stood at 1.63% and the net NPA stood at 0.59%. Again, the increase here sequentially was more because of MFI. The rest, if you exclude MFI, then the numbers would have slightly come

off.
The overall standard restructured book continues to come down, and this has further reduced to 0.2% of the funded assets. And we hold sufficient cover there. The 97% of the book is secured in nature, and we hold about 18 -odd percent provision on the same. On the SM A front, the SMA -1 & SMA -2 book, excluding microfinance , that improved by about 3 basis points to 0.82% in this quarter. This was 0.85% in the previous quarter. We saw, however, an increase in SMA -1 and 2 of MFI book where it increased from 2.54% to 4.56%.

If we talk about now the gross slippages for quarter 3, then this was at INR2,192 crores. And in the last quarter, this was at INR2,031 crores, right . So the delta increase is about INR160 crores. And I would say that about INR140 crores of this has come from MFI alone. Even on the net slippage front, the net slippages for the quarter was at INR1,541 crores vis -a-vis INR1,392 crores of the previous quarter. The delta increase of INR149 crores is largely attributable to MFI.
The recoveries and upgrades for the quarter was around INR651 crores and pretty much the same as the last quarter. Last quarter, it was about INR638 crores. If I move on to profitability, then I will start with NII. The NII for the quarter increased by 14% on a Y -o-Y basis to INR4,902 crores. The net interest margin on AUM for the quarter was at 6.04%. This, however, contracted by about 14 basis points sequentially.
I would attribute this reduction largely to the deduction in the MFI book. The impact was about 6-odd basis points on that count and also because we have started scaling the wholesale book in the last few months. So the average book increased and about 5 bps of impact came because of that. And rest 2 bps to 3 bps, I would attribute to the increase in the cost of fund, which I sort of elucidated earlier.
Moving on to the fee and other income, that increased by 20% in Q 3 to INR1,757 crores . And this was largely retail led, which is at 92% of the total fee. Moving on to operating expenses. This grew at a reduced pace of 16% on a Y -o-Y basis

. And for the full year, this increase in opex is about 18%. Again, in this quarter, because there was a heightened activity, increased disbursement because of festive and so on, operating expenses sequentially in value terms have grown, but we saw some of that impact even into the fee line item.
The core operating profit, which is NI I plus fees, excluding trading gains, this grew by 15% on a Y-o-Y basis to INR1,736 crores. Moving on to provisions. Provision for the quarter stood at INR1,338 crores as compared to INR1,732 crores. During the quarter, the bank has not utilized any contingent provision. If you remember that we had created contingent provision of about INR315 crores against microfinance portfolio in the previous quarter, but we have not done any utilization during the current quarter.
The credit cost for the bank for this quarter stood at about 2.3%. If we exclude the provisions on the MFI book, then the credit cost is at 1.8%, and this was pretty much the same number in the last quarter if we exclude MFI and one toll account. So the pr ovisions have not sequentially increased, but have been broadly stable is the point, which I want to make. The profit after tax for the quarter is at INR339 crores compared to INR201 crores in the previous quarter.
Of course, on a Y -o-Y basis, this has come off because of the decline, which we have observed in the MFI book, which led to impact on the top line as well as increase in provisions on the MFI as well as some normalization of credit costs, which have sort o f come in through the year.
Moving on to the last section, which is capital adequacy. The bank has maintained strong capital adequacy and including profits for 9M, the capital adequacy was at 16.11% with CET1 ratio being at 13.68%. This also factors in an increase, which came on acco unt of merger in terms of

a positive impact, that benefit was about 25 basis points. The liquidity also, we continue to maintain healthy liquidity levels. The LCR was stable at about 114% as of December 31.
With this, I am broadly done with the numbers, key numbers, which I wanted to touch upon. Maybe I'll ask Vaidya to sort of give his remarks for the quarter.
V. Vaidyanathan : Good evening, everybody. So I just want to share with you the brief approach and strategy we've been following on dealing with the current situation. So number one, if you notice why the cost - income ratio of the bank is high. So we called out the reason already to many of you that this is a new bank.
This is 6 years old. I know many of you have heard this before and know the facts also, but it is a fact we are losing close to about INR2,000 crores a year in setting up the branch architecture

of this bank. Basically, the branches, the ATMs, the people, the technology stack had to be completely built up from scratch. The teams had to be hired, all that stuff. So all that is consuming.

So if you see the core profit of the bank, as and when this INR2,000 crores winds itself down to zero, you should be able to estimate that this is something that you can add back when you estimate the bank. Now on this front, I must say that we have made one new disclosure this time. If you see Page 66 of the presentation, we have actually shown how much the liability business has been losing as a percentage of the average deposits, and average retail deposits.

And this number in FY 20, when we started the bank in 2018. But really until 2 years, it is still very much a start -up stage. Our deposits were only INR10,000 crores in retail. So think about it like practically a startup. So in FY 20, Our loss, what is loss in liabilities, let me just tell you one second, but then I'll come back to the point. So , loss in liabilities is what income the liabilities team makes net of what it pays to the customers along with any fee income that it generates. S

o that's what is really the net loss. So that number was 4.2% of the average retail deposits of INR23,000 crores. In FY 21, this came down to 3%. In FY 22, this came down to 2.1%. In FY 23, the loss went down to 1.8%. FY 24, it came down to 1.7%. In 9 months of this year, it come down to 1.3%. So you should believe me when I'm telling you that when the branches are scaling up, then they are becoming profitable.

It's of course easy to understand. It's common sense. But when we put the numbers to it, hopefully, you will be able to realize that 4.2% has continuously come down to 1.3%. It's 5 years. I must remind you, it's 5 years, unlike other banks do 30 years, it is taking its time.

Now we believe that this 1.3% will wind itself down to 0 certainly by 2030 or 2029. So the direction is clearly there. And this is why , when you model our bank, just don't go by the final numbers reported by us. Please factor for this fact that this INR2,000 crores that we're losing today or 1.3% of the deposits that we are losing today, will wind itself down to zero.

The second item, which is important to know as far as we are talking of cost to income, let me just share with you that the cost to income on the liability side, staying with liabilities in FY 22 was 227%. In FY 23 was 182%. FY 24 was 197%. In 9 months of FY 25, it has come down to

178%. So our guide is that we are seeing this clearly growing. I hope none of you are doubting our ability to rai se deposits really coming well.

So this number coming downwards to 100%, which means it will not lose any money, 100% by FY 29 or FY30, if you want to even stretch itself by a year in that zone . So this direction is very clear, and I request you to please factor this in when you consider our bank vis -a-vis when you compare our bank with any others who've been around for a long time.

Now let me move to the next item where we talk of cost to income. In the cost to income on the credit card side, we are currently running in FY 22, we were 240%. FY23, we came down to 165%. FY 24, we came down rapidly to 116%. And in 9 months of FY 25, we already come down 100%, already done, meaning like there is cost -income ratio of credit card down to 100%. And we believe that by the time we head towards the FY29 or so, it should come down to about 60-odd percent. That's the way the book is growing. And then we have also provided a particular slide, Page 67, where we have also shown the loss in credit cards as a percentage of the average credit card outstanding. S o in FY 22, it was 27%, FY23 is 12%, FY24 is 3.78% and 9 months has already come down to minus 0.11%.

So by giving out this very specific disclosure about how much which business is losing and when and what the trend line over 5 years, and therefore, it should hopefully give you a really good picture that these numbers are truly moving in the right direction .

Now you might then say that, listen, why would you need to launch credit cards? That will be very fair question listen, you guys listen, you guys are not even making money. Your ROE is low. So why launch so many businesses? Now I must say that the way to t hink about this, and I must very clearly tell you the way we have thought about it, and p ersonally, I stand by because I'm definitely architecting this broad thinking and I stand by it. I must tell you that the way this works is as follows. We are buildin g a liability base.

Now in the liability business, we're building now we are close to INR2 lakh crores. I must explain to you that if we don't launch a credit card business, can you imagine telling a customer that we are going to be a big bank of the future, which we really b elieve we are. But listen, open savings accounts with us, have fixed deposit with us, but for credit card, go to some other bank, which you can't do or we will distribute some other bank

credit card.

Well, it just cannot build a full relationship then the customer will have a credit card elsewhere,

also get the saving accounts there, why should the customer come to our bank. So these are essential parts of building the bank.
Secondly, if we have not started a credit card business in 2021, if we are not losing INR 300 crores per year, which I believe is inevitable, then after becoming profitable, we'll have to come back and tell you now we're launching credit cards. Now we're g oing to lose INR 300 crores for 5 years from here on. So we believe to do it all one shot to build a complete comprehensive integrated franchise is a very important part of building a proper universal bank, which has to have a long -term future because onc e we start generating 16%, 17%, 18% return on equity, we don't want to turn the clock back and say we're investing in new businesses.

Let me give you one more example. Let's talk of wealth management. We get customers in a liability business and because of our service levels, technology, app, etc . really customers are coming in and our products are very good, our culture is good. So I mean, our wealth management business is growing like busters, it is growing by 50%, 60% per year. It's already touching something like INR 40,000 crores, if both the AUM as well as the de posits of those customers with our bank.
Now can you imagine telling a customer bringing them for liabilities and telling them that for wealth management, they go to some other wealth specialist bank or go to any peer bank. It just won't work. Why would the customer only leave savings with us and do wealth management elsewhere. So I must share with you we have a vision of building a really amazing bank for the future.
So there is not a choice for the bank to say that wealth management, we will postpone for another day. We just had to do it. And so you've got to build the team, the technology, the systems, the culture, the people, the leadership, everybody has to be hired and they need to do work well together.
Now let me give you cash management. That's the other business we are investing. So right now, we have current account balances of close to about INR 4,000 -odd crores, which is a really fantastic piece that is now coming along. Now in the cash management b usiness, again, let me just say that we lend to a lot of customers on the lending side, on corporate banking also.
As you know, we've been growing corporate banking quite strongly now by close to like maybe 20-odd percent. And let me tell you that 5, 6 years have gone by, not a single, not one new NPA has been created in the bank in corporate banking. And we are really very happy and proud about that. And we have a good credit committee and with the Board and everybody, and we are proud about how we're running that.
But coming back to the point, so when we do current credit -- corporate banking and we do that, we give loan to people, really, can we say to people that, okay, listen, you take money from me, but we're pretty foolish to tell the customer to go and say, no w you can do cash management somewhere else. It's not possible. I mean, it's possible, but it will be not very smart. It won't be adding much value to us. So we said we need to do cash management.
When we do cash management we need to hire the team, build the people, build the coverage team, the product team, the technology team, the builds, go and find customers, you are going to do all that. And I genuinely believe there is no choice, but to do it . We've got to build a bank of the future. So I gave you just 3 examples.
I have many more, like close to about 15 or 20 products. We believe that we are building a good long-term bank with all these features. So whatever the pain, whatever the hit, whatever the negative, we are taking it today. But when we come out o

f this whol e thing and we come through
with this, I'm very proud. But by that time, we'll not have to look back and invest all over again. So my objective of this opening part of the conversation was to tell you we are building the bank like this. I gave you 3 examples. There are many more, where we are building a complete

integrated bank. Now what is a unifying factor between all these businesses we are launching? There are maybe a couple of them. So one is that they've got to meet a specific need, like a cash management meets a need or a FASTag meets a need or a wealth management or cards or whatever.
Now the thing is that apart what is connecting them all, they're all connected to one theme that they're all phenomenally technology enabled. If any of you tried a cash management services, any of you tried a credit card business or tried our even app, you 'll find all of them are really

connected to technology and in a very, very advanced technology.
Then the other thing we're all connected with is that they're all very good in customer experience, right? We are just going crazy about the concept of customers getting superior experience at this bank. So when you have good service, good technology, good culture, then every product that's coming out is a winner.
Let me tell you, cash management has been around for 4 or 5 years, already INR4,000 crores of current account in the bank. No chance on earth our bank would have got current accounts of this scale if we had not launched that business. So this is my short point of just sharing with you how we are thinking of building this.
Now you might then say, for first 2 years between FY19-20 & FY20-21, you had legacy bad loans and you said you were writing it off or charting it off or you're collecting. Then this next situation came that your -- then COVID came fine that happened to everybody. Then for 2 years, we had p eace, meaning FY23 and FY24 PAT looked up, direction was good. Everything was good, Life was looking great. Now suddenly, you come with the MFI problem. And now how long MFI will last, why did we do MFI.
So let me, therefore, very specifically address what we think about the fact that, that now have we set you up with a new problem. And let me just address that as honestly as I can. Let me tell you the first part of the situation that we faced in, let me s ay, FY19 was honestly unavoidable. Whether you had me that in the job or anybody else, nobody could have avoided taking a charge - off for Dewan or Reliance Capital or the Mumbai entry point account that we had INR 1,100 crores. No, just nobody. It was just there. Any management had to account for it and I took it.
Now then our operating profit is very low. So we have moved ahead and gradually built the operating profit. In fact, I wouldn't say gradually, quite strongly, I'd say, our operating profit is now touched 2. 4%. It 's very tough to build operating profit. It 's, in fact, easier to charge off credit cost, but harder to build operating profit. So we built it from literally 0.3%, 0.4% to 2.4% now. So that is built.
Now let me tell you this issue about what you might think that we set up with the new problem. And to just say that, look, this is the bank 's early stage. It just goes like you get one jab at the face on one front and you fix it, then you fix the next one. But the core is coming strong.
So let me specifically address therefore, the issue of MFI because we owe you a genuine and straightforward answer on why we did MFI business and then what is the plan, how much it hit

and where is it going. So the MFI business has -- one of the key reasons why we do the MFI business is that it meets our PSL requirements.
Let me give you a simple reason. As a bank, we are required to meet the following. We ar

e
required to meet 40% PSL. Out of that, we're supposed to meet 18% agriculture PSL. Then small and marginal farmer, you need to meet 10%. Now your micro enterprise is supposed to meet 7.5% and loan to weaker section, weaker section of the Indian population need to meet 12%.
Now IDFC was into infrastructure. They were not doing any of these. Capital First did a bit of these, but really a little bit of this, but still is doing something of it. In fact, IDFC hasn't had chartered some of the businesses to meet the requirement, but really it was cross on the ground. So therefore, now how a bank, early -stage bank meets a loan to weaker section 12%, how does the bank meet small and marginal farmer 10%.
So the microfinance business was an amazing silver bullet, which met 3 requirements. One, it made money. We were lending at 22%, 23%, 24%. We had some additional fees on top of it. Our cost of funds was really nothing like 6% or 7%, and it just made a lot of money.
Number 2, it also met the requirement of small and marginal farmer, 10%. It met the requirement of loan to be construction, 12%. So it was an amazing product. Now therefore, this issue that has come to us in the MFI front is not an IDFC issue alone. It's c ome to everybody. So it's come to everybody, just let us say, a little bit of a collateral damage that has happened by a mishap, so to say, on a highway. And I'm really happy to tell you, and we'll discuss during the Q&A, we'll discuss specific numbers that except MFI, our bank has close to about 25 products.
We are on record in telling you that all of them are performing well. And they've not been performing well today, they've been performing well for 15 years now. I mean, the ones which have been alive for that long. Some have been launched later than that. So think about it that for 15 years, our home loan has not troubled us.
Our loan against property has not troubled us. Our used car has been behaving perfectly well. Our personal loans is doing perfectly well. Our credit card is doing perfectly well. In fact, much better. We put some numbers of our banks vis -a-vis industry. Ou r micro enterprises business, which you do Kirana shop, salons, etc. finance is doing perfectly well.
So every single business of ours is doing well. So it 's one item has got stuck somewhere in the

center. Now how do we deal with this? So we have a provisioning policy whereby in MFI, we charge off 75% at 90 DPD and at 120 DPD, we are charging off or 123 DPD, we are charging off 100%.
So our methodology in all products, including this product is to be really upfront about everything. So because 90 DPD, 75 is very stiff. So when the MFI book is having problem, it is hitting us first. But when the MFI business will recover, we'll recover fastest. That's how it works. Now , because of the same logic, now our credit cost in MFI business for the 9 months is close to about 8% and we have not reversed the SMA -1, SMA -2 provision we took last quarter. We still have it in the buffer. So that's the last point.

Now on MFI one, closing comment I want to tell you is that now we are slowing down the book. Now it's not only that it's hitting us on credit cost, income is also coming down because I told it is amazingly profitable product. So to that extent, income is coming down. It's a bit of a double whammy, I should say, because suddenly now we also have credit cost coming or no income coming from that line because book is coming down.
So this is a real issue. Now how do we look ahead? Now when we look ahead, let me just say that we have 2 very simple approaches of dealing with this because really, it's quite uncomplicated. What is it? One is that on the cost front, we are very clear tha t our cost growth of the next year will come down. We have given a breakup of this time we introduced a new slide of what is our cost

s.
And we have given a proper breakup of how much of our cost is IT expenses, how much is employee, how much is infra, how much is channel sourcing, how much is volume linked. We have disclosed everything. We know it, but we want to share something with you how the operating leverage of the bank is already beginning to come.
The operating leverage of the bank is coming as follows. If you notice when you go back in time, maybe 2 or 3 years ago, our opex was growing by 30 -odd percent and income was growing by 30%, 32%, and that's the way it was. This year, our opex –for the 9 months of this year has grown by 18.2%, but the business of the bank has grown by 25%. When I say business, I mean deposits business that has grown by 28% and the loan book has grown by 22%. So when you add that up, you'll find it 25%. So when opex is growing at 18% and your book is growing by 25%. So you know that this bank is now beginning to build serious leverage.
When you look ahead, our own estimate is that for FY25-FY26, our opex will not grow more than about maybe 13 -odd percent, what is now growing at 18%. Now you might say, how will that happen? That's because a couple of things are happening here. The growth in income will be even slower than this year because the microfinance business is gone and it has to reset itself. But the good news is that opex will come down next year.
So now you might say that if you've been growing opex by 18%, how would it come down to 13%. Now the bank is doing many, many cost cut initiatives. Some of them are individual product related , some cash back proposition, some of the licenses we're taking from various technology companies, what are the kind of credit bureau pools we are doing?
Can we do alternative bureaus, which tend to come at a cheaper rate? Can we do multi -bureau structures ? How to rework our IT licenses ? How to rework our travel conveyance costs ? There's a major project running out here. I mean how to have double occupancy, single occupancy, printing, stationery, whether people are sending two SMS to customers ?
Can you break it up into a single SMS to send it, how can we change the sourcing cost of the bank, how the credit cost is doing and the credit expenses, how many people are doing credit evaluation, the ATM costs , etc. So there are a lot of projects that are going on . So this is all one part of the work that is cost and serious work is going on.

Then there are a large number of transformation projects that are going on. That is even beyond the normal touch about SMS, etcetera. It is about real transformation. For example, if you have maybe 100 CPs in the country, how to collapse them into 3 or how to digitize a particular process where you eliminate the entire chain of work going on in the chain. So let me just say a lot of transformation work is going on, a lot of operational activities is going on. So one big area, how cost work is going on. And we believe next year, it will come down to like 13 -odd percent.
Second thing that will happen is that one information we have not provided, but hopefully we will provide next time is that we want to break up of the opex and show you how much of that

is fixed and how much is variable. And if book is grow n, what percentage of this, how much will the fixed grow by, how much will variable grow by.
When we do that work also, we believe next year, we'll deliver about 13 -odd percent. So this is a very material movement in our life. We believe in next 4, 5 years, since the opex has been incurred for the last 5 years and at least the essential building blocks have been built, we believe on a CAGR basis, our opex should stabilize somewhere in the 13 % league.
And then next year, our income will probably grow by , I have to hazard a guess, so the analysts can do a little more deeper work, etc . But maybe like the 14 % or 14.5

% somewhere, that's how
the income will grow. But the year after that, that's because the microfinance business would have stabilized the base case, the lower base would have been achieved.
But once that is achieved in FY25-FY26, I honestly don't see any doubt in the bank continuing to grow the bank on the loan side by 18% or 20%. We already guided to 20.5%. And I see honestly no problem growing the loan book at 20 -plus. And deposit will grow by maybe 22%, 23%.
And then come 2029, whatever guidance is given that we will be a INR5 lakh crore s loan book and INR6 lakh crore s deposits, we don't see a risk to that. So once that comes through, then the rest of the equation is very good because our NIM is 6% . We make fees of 2%. If our cost to income eventually I believe will come down to the 50s. And then we'll have like a 3.5 % or 4% operating profit, you have 1% of credit cost, you'll be operating posting ROA of like 2 -odd percent . So probably a bit more than that on an even more longer basis.
So our theory is very simple that this MFI is a temporary situation. It will go. I have personally seen. I've been in business as you know for a long time, and we've seen many cycles in life. The good news is that neither on the retail front or wholesale front, we have put one foot wrong on credit. MFI is our first big issue, let me say, post merger, but we will deal with it. It is a bit of an industry accident.
So this is my quick brief. I hope with that opening comment about how we plan to & how we think of the future. We are frankly very bullish. We believe that some stage , our bank will turn. I'm requesting you all not to get very concerned about one quarter's result or what's going to come up in the next 2, 3 quarters. I mean this time obviously, it will be looking upwards, but I can't promise that exactly it will thrill you. It will be good.

But let me just say that as the FY26, FY27, FY28, FY29 comes, this is on record , you can check it out. I'm pretty confident that once the bases are met like FY25-FY26, then after that , next 4 -5 years, I'm looking at a good story because there is no single business that is in 15 years has let us down. I'm not expecting to have any problem in any other business once we see the back of MFI.
So thank you very much, everybody. And with that note, we are open for discussions.
Moderator: Thank you very much . We will now begin the question -and-answer session. We have the first question from the line of Gao Zhixuan from Schonfeld .
Gao Zhixuan : Congratulations on a good quarter. Just on the MFI, do you mind shar ing with us your outlook because the SMA -1 plus 2 seems to have increased sequentially more than what we have seen in some peers. So do you mind shar ing with us what kind of credit costs are we expecting in the next 1, 2 quarters? And also on the overall credit cost, how are we thinking about FY 25 because our previous guidance is, I think, 225 basis points. And just look at 9 months, I don't know whether that still stands. That would be my first question.
Sudhanshu Jain: Yes. Thank you for the question. Maybe I'll take that. So on the MFI, we have seen an increase in certainly in the SMA -1 and SMA -2 book, even the NPA levels have gone up. As you would have noted from the presentation that we had an impact, which was felt because of the holidays in October, essentially Diwali, coincident with Diwali. And because we have a weekly collection cycle, the last week of collections got impacted which also led to some close into the subsequent months.
So we have seen a pile up in the MFI book and the challenge very much continues to be there. We are also closely monitoring the portfolio. As you would have noted that we have consciously slowed down on the disbursements. The good part is all our increment al disbursements, what we are doing is also CGFMU insur

ed and so on.
So on this book, if I give you the 9 -month number, we are already coming with credit cost of 8%. And this doesn't bake in the additional contingency provision of INR315 crores, which we have, right, because the SMA book levels went up, the NPAs went up, we felt it was more prudent to hold on to the provision and not utilize at this stage.

On your question on 225 basis points, as I sort of covered earlier that excluding MFI, the rest of the book is very much coming in line, right? We have not seen increase in SMAs. We have not seen increase in slippages. So we feel that on the rest of the MF I book, we could still hold on to this number even into the next quarter. However, the overall guidance for 225, that may slightly inch up a bit.
We, of course, need to see how the situation sort of pans out in Q4. But that would be a few bps of increase could be because of MFI because we are seeing slightly higher losses sort of coming there vis-à-vis the anticipation which we had maybe in the previous quarter.
V. Vaidyanathan : But our own sense is that the credit cost of MFI should peak out in Q4. So it should be even more than this quarter. But when we estimate the credit cost based on the collection percentages,

assuming credit collection percentages continue to stay what it was in December and maybe probably even improve from here. But we expect that Q4 to increase and then Q1 FY26 to be less than the prior quarter, Q2 to be less than Q1, Q3 to be less than Q2 and Q4 to be less than Q3. So basically, there's the peak of it. Our estimates are that the coming quarter , that's ongoing right now is the peak of it.
Gao Zhixuan : And my second question is on the 14 -odd percent revenue growth estimate for FY 26. Do you mind shar ing with us what's the breakup in terms of the loan growth that we are expecting to do and also the margin outlook? But it seems that the strategy for now seems to have changed to grow more corporates in the last 1, 2 quarters. So how should we think about ma rgins and loan growth?
V. Vaidyanathan : So basically next year, we believe loan book will continue to grow by about 20 -odd percent. And deposit will probably grow by maybe 24 %, 25% next year. The reason why the income will not grow directly in proportion is that the microfinance, like I said, is a highly profitable business. We're lending at 24%. Incidentally, though the microfinance book is only maybe 6%, 7% of the book, maybe unti l a couple of quarters ago, it's now come down to even less than that. The impact of the withdrawal symptom of not doing that high -yield book is also coming in the form of income line. So that is the reason why we expect the FY26 income line to get affected. But the good news is that opex, like I said, we expect to be low because I told you a lot of initiatives are going on. And therefore, by Q3, Q4 of next year, I mean, you should see a reasonably sharp upward movement of operating profit, let me say. And for those of you who are going to be with us until that time and see how the room is turning, you'll be able to see how the margins are expanding.
And frankly, like I said before in the opening comment that once that MFI will , then probably by that time , be probably even 4% of the book or something like that. So it won't be much and it would also have been the spring cleaning up of the MFI book would have happened by that time. Our book would be insured largely by that time. So we expect that from there on, MFI shouldn't give us trouble. And then the rest of the book is anyway doing well. So we expect that, like I said before, after that , the rest of the story will keep moving in a positive direction.
Sudhanshu Jain: Yes. Just to add, this is our current estimation. Of course, this factors in that the shares in the MFI portfolio continues for a few quarters. If things sort of ease out m

aybe and some growth
sort of comes in here, then we could see some uplift in these n umbers . But these are our current estimates that income could grow by about 14.5% to 15%.
Gao Zhixuan: Got it sir. Sorry, just to double check, you are saying that the opex -- the material drop of opex growth, w hich should be much more visible in the second half of FY 26? Is that , did I get it right?
V. Vaidyanathan : You will see it every quarter. You can see it even already this quarter itself , if you see Q1 to Q1 of this year, Q2 to Q2 of this year, Q3 to Q3 of this year. For example, our opex growth in Q1 FY25 was 21.1% Y -o-Y. In Q2, it was 17.7%. In Q3, it's 16.1%. So our opex is stabilizing and definitely coming down.

I'm first of all happy that you're asking this question because many people do believe that, listen, this bank is spending and spending and this opex never seems to come under control . What's going on ? Well, you see the numbers, it's dropping quarter -by-quarter, at least in the percentage Y-o-Y sense. And we are confident of next year , because we believe that the bulk of the investments have been done.
Of course, investments are never completely done in life, but at least like I said before, whatever

we had to launch, we launched. So we're not going to set you up with a new business launch tomorrow morning and say, oh my God, it is losing money. That's not coming , that trouble is not coming your way.
Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Thanks for additional disclosures on slippages, MFI and a lot many things. Sir, first question is on MFI only. So outstanding book is around INR10,900 crores, that is the MFI book. But I wanted to check, is there any other loans that we offer to this customer, maybe 2 -wheeler, maybe small auto loan or any other PL lo an or that these customers get only MFI loans from us?
V. Vaidyanathan : No, we don't sell many other products along with it. It's a regular MFI, the short answer.
Jai Mundhra: Okay. So the second question is, sir, just to get this correct, you have mentioned that you have a conservative provisioning polic y and you have not utilized any contingent, right? So as against the SMA -1 plus SMA -2 outstanding of roughly around INR500 -odd crores, as of now, we still have INR300 crores provisioning that we had at the end of the Q2, right? That is the right understanding.
Sudhanshu Jain: That's correct. In fact, if you sum up the NPA book on MFI and the SMA -1 and SMA -2 book, the cumulative provision which is in hand is about 70%.
Jai Mundhra: Okay. And thirdly, sir, collection on MFI book again. So collection efficiency, you have mentioned that it has come up to 98.6%. But what we can also recall is there is likely to be tighter guardrails, which will be coming in effect from April 1, which wou ld create further disturbance, at least for the people who have slightly higher share of lenders. If you can comment, are you factoring into that development while saying that the MFI should be peaking in fourth quarter?
V. Vaidyanathan : No. When we say MFI should be peaking in fourth quarter, basically, we have estimated the collection percentage that is coming currently and assumed a little more improvement because the trend line is in that direction, slightly assume. And then we know the flow on the portfolio. So our estimates are that Q4 on this basis should be the peak.
The other thing is that in terms of your question about the changes in the industry, about the norms with which others are going to work with, if they're going to work with, etc . We are going to follow all the norms of the industry. And we have a little more controls over and above that at our own end. So basically, once you follow all the norms of industry, number of lenders, amount of exposure, etc , we'll broadly

be in line with the industry to say.

Jai Mundhra: Right. And sir lastly, if you can elaborate your assessment of the current situation in the state of Karnataka? And what is the portfolio that we have in the state of Karnataka.
V. Vaidyanathan : When you move to the next question, as and when we get it, we'll share on Karnataka.
Sudhanshu Jain: Yes. So we have about 9% in Karnataka, that is the number.
Jai Mundhra: Okay. Sure. And lastly, sir, your consumer loan growth, right? So consumer loan growth, it has been coming down , as with every other bank also. But if I look at now, it has come down to 10% Y-o-Y. Is this more or less stabilizing here? Or you think it can more or less continue to see a bit of a moderation because of the ongoing cautiousness at the system level?
V. Vaidyanathan : See, frankly, for us to grow any of these businesses is not difficult at all because like we always say, they are coming on a low base as compared to, let me say, industry leaders who have a very large share of the market. We are like nothing or nobody. So we are not so concerned about market share. We are not even talking that language within the organization or outside. But more specifically on consumer loans, we feel that they're all doing well. There's no issue.
Jai Mundhra: Right, sir. And sir lastly, last question from my end, sir. We now estimate that fixed cost to income should be ideally 65% by FY '27
Moderator: Sorry to interrupt Jai, but your line seems to be unclear right now. Could you please repeat the question?
Jai Mundhra: Sir, I was talking about cost -to-income trajectory that you have given that by FY 27, we should be hitting 65% mark. Assuming we do that, what kind of an ROA would you expect on 65%, cost-to-income.
V. Vaidyanathan : See different analysts have different estimates on this front. If you don't mind, can I just take you a little larger question about the breakup of our various lines of businesses and their economics. So if you move to Page 65 of the presentation, we have shown the operating profit as a percentage of the loan book of the lending business. We've broken our bank into 3 parts. One is entire lending business, retail, MSME, rural, corporate all put together is one family. Now on that front, we are having 4.3% of the loan book as an operating profit. This includes MFI, by the way. So before the MFI crisis stuck, it was 4.7%. We actually expect it to go to 4.8% or 4.9% because of operating leverage. But of course, it's come d own to 4.3%. But still 4.3% is 4.3%, there's nothing bad about it's pretty good actually.
And we believe this should go up because end of the day, even as our loan book grows from

INR2.2 lakh crores, which is today to, say, INR5 lakh crores in the next 4, 5 years, this has to go up. Obviously, we're not going to keep on spending more and more money in the same proportion of the loan book growth. So this will come. So think of this n umber a little higher than this.

Now the second thing is like , you take the second business I told you, the liability business has said that you must expect us to take it to 0 %, which is cost income to come down to 100 %, which

means that the loss will come to 0. So let us assume for a minute that it does hit to 0. And let us assume for a minute that the credit card business, of course, we're not doing this for a social work or a research work. It's a profitable business.

We want to make money on it. So that business has already touched 100% cost -income ratio. And we believe it will touch the 60 -odd in the next 4, 5 years. So that should be making like INR500 -odd crores of PAT by that time. Today, it's making loss of INR300 crores last year, probably about INR180 crores, INR200 crores this year. And next year, breakeven for sure. And then fro

m year after that, I have to bite my tongue when I say for sure because sometimes it may play , it may not play . But we are expecting -- we're highly confident that next year, credit cards should be positive. And by that time, like I said FY24, FY29, FY30, it should be making like INR500 crores, INR600 crores of PAT. So therefore, if you take this 4.3%, which is today and get some operating leverage on it take it to maybe 4.7%, 4.8% by that time, probably more. And then you assume both liabilities that will become positive at least, if you know, then you see what happens.

On this 4.3%, you take some credit cost of maybe 1.1% off or 4.5%, take 1.1% off because we are comparing everything of assets and then you subtract 1.1%, assuming credit cost stays at current levels, ex MFI. So you would take that off. So 4.4% minus 1.1% looking like about 4.3% or sorry, we should take the percentage of loans, my bad , let me correct myself. So let me say this 4.6% or 4.7%, you subtract from that about 1.7% as the credit cost by that time. So you'll be looking like about 3% or so.

And then you have tax on it or maybe 2.9% and then you take tax on it of maybe 60, 70 basis points. This bank is surely headed to a 2% plus ROA basis or 2% plus for sure. And it will be a 2% plus ROA bank. It will be a growing bank. It will have unique technologies. It will have growth. It will have its own moats. And culture is very good, a customer -friendly approach. So we will tick all the boxes.

Today, we tick 5 boxes, but we don't tick one box, which is the cost -to-income ratio. But we are conscious of it, we'll fix it. So that's the only way to think about this bank in the longest run. Honestly, I have zero doubt in my head, the bank is heading in that direction. Now you may have one year plus/minus whatever, but I'm pretty sure the bank is heading in that direction.

Jai Mundhra: Right sir. Sir, your assessment of the current situation in Karnataka for MFI, there are quite a few development state government trying to sort of intervene , if you can update as to what is happening on the latest front?

V. Vaidyanathan : Yes. Before I come to the question, let me just give one finishing touch to the previous question because I answered that detail. So think about like I was saying earlier , that this 4.5 %-odd and you take 1.7 %-odd for credit cost. So you are left with 2.8 % or so. And then also remember, that's all percentage of loans. We've got to convert the percentage of assets that will come down to something like 2.4% or so. And then you take the facts off compared to 2%. I'm sorry, I just want to just make the distinct ion between percentage of loans and percent of assets, so that you can get the math right.

So in this math, if you did the math, went through a spreadsheet, you will get to see a 2% ROA bank. And the only catch here can be credit cost. There's no other catch here. Now in the credit cost front, well, like this long period of 14, 15 years running a good credit cost company, except the MFI mishap that has happened now, you should believe th at we should be able to run the credit cost on the lines we're talking about . 1.7% percentage of loans, which will probably be 1.2% percentage of assets. Sorry, that's the previous question. Now back to your question again.

Sudhanshu Jain: Yes. And with respect to Karnataka, again, this is a very latest development. This has come in the last 3 days. So we will closely watch the situation. It's difficult to sort of give out what could be the impact on that front, but we are quite watchful any way on the overall MFI portfolio.

Jai Mundhra: Thank you, sir. All the very best.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Thanks for taking my question and t hank you very much for all the enhanced disclos

ures. Just
firstly, on MFI, the 3 -member rule that's coming up next quarter. Have we proactively moved to that?
V. Vaidyanathan : No, we are currently following what is allowed in the system. I told you there are to reasons we like the business also. It makes the money and it is insured. So we are happy the way we're doing it right now. We are just following the rules of the broader ecosystem.
Piran Engineer: But don't you think it makes sense to tighten right now when it's eventually going to come a quarter later? I mean if you're going to be the fourth lender today and it's not going to be allowed, say, April 1 onwards, and the next lender is not able to, let 's call it, evergreen that borrower, she will default to you, right?
V. Vaidyanathan : No, that's true. But we are very carefully, very, very carefully watching this. So basically, what we have done is we put some extra controls in our MFI business over and above the normal market rules. We're not restricting ourselves to the ecosystem rules that have come , the 4 lenders or 3 lenders. That's not only condition. We have developed actually a very active scorecard where we have introduced a lot more number of parameters, which we believe will give us a much more scientific decis ion-making process than blunt rules.
Piran Engineer: Got it. And do you also track the entire household debt?
V. Vaidyanathan : Well, as part of the appraisal process, certainly, our people ask the question, we understand the household debt and we're supposed to meet certain requirement of as a percentage of the household debt is what is supposed to lend, etc. We follow all of that. You get the best estimate from the situation. We go by our best estimates of what our people assess on the occasion actually. But you can understand that much of these households anyway.
Moderator: Thank you. The current participant seems to have dropped from the queue. We have the next question from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Thanks for the opportunity. Sir, coming back to Slide 65, 66, 67, I just want to understand a couple of assumptions here. One was the opex , which is linked to the technology part of the head office and other things, which are not allocable to a certain business, they are not captured here. I just want to get that right.
And second was on the fee income piece. Like is it getting captured in -- if it's a wholesale business fee, is it getting captured anywhere? And if not, is that missing in this analysis? Or is it getting captured somewhere?
And third was on the liability business, the ratio that we are showing. Are we building in any transfer pricing income in the interest income for the liability business? So that was one part of the question...
V. Vaidyanathan : Rohan, let's take one question at a time. It will be easier for us. Let's take the first one, Sudhanshu, do you want to take that.
Sudhanshu Jain: Yes. So maybe I'll just tell you how this has been constructed. So essentially, if you take the P&L of the asset book, which includes retail as well as wholesale. So these numbers capture both the businesses. Then we have a liability business, then we have put out a credit card business separately, right? Then we have a small income and opex , which comes to the toll business. Essentially, these are the broad lines of business. If you sum all of it, then it becomes the bank's numbers, right? In terms of how are we assessing this ? So this is based on an internal transfer pricing and a cost allocation methodology, which we have put in place. So to your question on IT cost, even a portion, all of it is allocated in any one of these businesses, right? So it's on a fully allocation basis, how these numbers have been drawn out when we are computing the pre - provisioning operating profit for all of these b

usin esses.
So on your question on liability , in terms of how this number has been computed ? Let me just quickly dwell on that. So there is an NI where the liability unit earns on the deposit, which it mobilizes, right? So they could mobilize current account, they could mobilize savings account, they could mobilize term deposits, right? We all know current account is the best form of money to have, right, because it comes at 0% cost. So we give an internal transfer pricing income to the retail liability unit.
Similarly, on savings, we get some transfer pricing income. And so is the case with TD, which is more a commodity product, it will be much lesser there, right? So that would be the NI income from the retail liability group. Then there are fees, which can b e directly identified and attributable to the retail business. This could be fees you are earning by not maintaining average monthly balance or a quarterly balance by the customer, could be ATM -linked fees, could be

fees on account of insurance, F OREX, distribu tion of mutual funds and so on.
So that would be the second pool of income for the liability branch. We could also sell assets or say, sell a home loan, a personal loan, loan against property. We given certain intern al transfer pricing fee to the liability unit, okay? So NI and that fees, all of these components makes it the total income. In terms of a cost, there are costs which are directly attributable to the branch,

which could be the people cost, the housekeeping, salary, the DICGC premium, ATM running cost and so on.
And second, as I said, is it's also loaded for the allocations, right, which could be for IT, which could be for operations, which could be for customer service, which could be for the corporate center teams. So it's on a fully loaded basis. That's how fin ally the P&L is arrived for each of the businesses, right? And like for an asset specific, you will load it with the sourcing cost, you will load it with the collection cost. So some of these items change according to the nature of the businesses.
Rohan Mandora: So sir, I was trying to reconcile this number. So if you look at FY 24, the asset income coming at 4.7%, and this is on total advances, is roughly two-third of the total balance sheet. If you look at the retail liabilities, the cost is 1.7%, which is again roughly two-third of the balance sheet.
So if we adjust this 3% is a net that we make. If I add the interest on investments, that is roughly 1.4%, so we get to around 4.4% at a PPOP level.
And if you take two-third of it, it comes to around 3% odd, whereas the computed ROAs for the bank was coming at around 2.4%. Roughly 50 basis point gap was coming in. So that's where I was trying to understand what could be explaining the difference vis -a-vis th e analysis that you have shared?
Sudhanshu Jain: We also have the credit card business, which also generates NII and fees, right? S o…
Rohan Mandora: But that was a small amount on the total loan book, so that's fair?
Sudhanshu Jain: Yes. Then on the investment income, as you said, you have taken a certain component -- we have treasury investments. We have a few other investments. So let me assure all of this adds up to the bank's numbers, right . And so -- and these numbers are in that way, very sacrosanct .
V. Vaidyanathan : And they're also shared with the Board and I mean the sense that whatever we're sharing with you, they've all gone past the Board over.
Sudhanshu Jain: Maybe this reconciliation, we can take it offline and we will be able to give you more details around this.
Rohan Mandora: Sure, sir. And secondly, sir, this was on the deposit piece. See, if you look at it, you have been delivering healthy growth on deposits. So I just want to understand in terms of the contribution, if we are -- the journey wherein an asset customer is comin

g to us first and we are converting them into liability subsequently, how would that journey play out? And what could be the contribution in terms of incremental growth?
And overall, how is the mix of new to bank customers on deposits vis -a-vis the organic growth on deposits? Some color around that?
V. Vaidyanathan : So currently, as we are new bank in the sense that if you think of any bank that has been around for 20, 30, 50, 100 years, they'll have a large customer base. And even if they gave interest credit

of 5%, all of them, the balances goes up by that alone. And then they got to get a little less of the external market, so to say, because they're flying on 2 wings.
A bank like us, which is starting up right now since you start with zero base, today, we're no longer zero base, we're still two lakhs but in the context in what we want to build in life, maybe INR10 lakh crores, INR15 lakh crores, INR20 lakh crores over the next many years, we're still zero based. So a large part of our business is still very heavily NTB.
And good thing is that we build really good journeys to make it smooth for customers to bring money to us. So that's how we think about it. So we are -- right now, we're still a zero -day company and a zero -based company, and we still have a good percentage that is coming from new customers.
Rohan Mandora: Sure. Anything on the asset linked originations?
V. Vaidyanathan : Sorry. What was that?
Rohan Mandora: Any mix that you can share on how much deposits coming from the asset customers whom we were originating first?
V. Vaidyanathan : Yes, assets are useful. But see, frankly, all asset customers are not really good liability

customers. So , in the sense that we are not finding customers with consumer durables and 2 - wheelers, etc , bringing any meaningful asset liabilities at all. They are really relatively more modest income and therefore, they're borrowing to buy 2 -wheelers. So it's unlikely they'll have money with them.

So I mean they may keep INR5,000, INR8,000, INR10,000, so that's not good balances. But the customers who avail say, a home loan, for example, or customers are availing these kind of products or even loan against property for that matter. These are the people who have money. And the credit card customers are usually coming in, they have m ore money because there's a credit self -selected people.

So what I'm trying to say is that the high affluent customers is what we make the money. So not all asset customers on our bank are high affluence. But we do have people who open home loans, etc, we do open the savings account to a very, very high degree actually.

Sudhanshu Jain: And sorry, before you put up the next question, just on the previous question, the number question which you asked, see, as you said, 4.4% is the PPOP on assets, right? And 1.7% is the negative on liability, which makes it 2.7%. And the advances book is up roughly 70% of the asset balance sheet, right? And on the rest 30% essentially investments or incomes coming from toll, right

If you apply these proportions, you will get a number of about 2.3% on PPOP, which is the disclosed number for us for the 9 months, right? PPOP to total assets is about 2.29%, and this is the broad reconciliation.

V. Vaidyanathan : So this is very useful.

Rohan Mandora: So you added that interest income from investment also addition to this? If we exclude that the net margin, if we include that okay. I'll just take it offli ne and then just reconcile that?

V. Vaidyanathan : And also to the previous question I was answering on the how the economics in the longer run will play out. This Sudhanshu's question answers it very well because this 4.4 % we've shown there, which we believe will move towards the 4.7 % or so comfortably and you take

off the 1.7%
from that, it comes down to the 3 %. And then that math when you do that way also, you'll come back to the same answer.

Because we'll come , net of your credit cost will come down like the 3 %. And then because of the fact that we are now going to comp as a percentage of assets, not loans, that 3% will start looking towards like a 2.4 % or so and then you subtract the tax from, it will come back to 2%. So we feel that any which way we look at it, this bank is feeling the heading there, whether you can reach there in 2030, or FY31 or FY32, I mean, it would be very hard to really pick a number. But this bank will have zero doubt in my mind that this 1.7%, 1.8% kind of ROA. This is not a difficult thing for a bank with our economics. The true real issue is that our true economics, which is a true incremental profitability of this bank is getting clouded by the fact that all of you are looking at the whole thing and you're not factoring for the fact that the liability loses money or cre dit liability loses money .

Or by the way, there are many products which are not called out to you because it will become too complicated. There are many other business bankers launched. Like I told you, like we've launched so many. They are all in negative zone, but we have no intere st in running business in negative zone whatever. They're just meant to become profitable. It's just a matter of time. So every product is going through its own J -curve of loss to profit. And when they all come up together, it will become -- it will all come together.

Rohan Mandora: Sure sir. And sir, lastly, just on this composition of operating expenses slide, the volume expenses and channel sourcing expenses. If you can help us understand what would be the contribution from the asset side and the liability side, if ther e's anything that you can share?

Sudhanshu Jain: Yes. So sourcing expenses or channel sourcing expenses would be essentially from the asset side, right . This is cost for your DSAs, DSTs, business correspondents and so on. The volume linked, largely, I would say it would be across, right, because you could have first credit card, the reward point expense, which comes in, you could have the cash backs and p ropositions, which go along with the credit card.

On the liability side, it could be the DICGC premium, it could be IMPS, RTGS, NEFT and so on, right? On the asset side, it could be the collection linked cost. It could be even like a bureau cost and all which you incur at origination. So it's across all of these verticals, I would say.

Moderator: We have the next question from the line of Pritesh Bumb from DAM Capital Advisors.

Pritesh Bumb: Sir, just wanted to check on 2 -wheeler. In our slide also, we've shown that the industry is seeing some uptick in terms of 30 -plus DPD and asset quality issues. What is our sense we have that as a large book, and it's a high -yielding, high credit cost busi ness as well. So what do you see there?
V. Vaidyanathan : It's paying quite stably. But in this business, we all learned never to be too sure. So we'll be very, very watchful. But we built the business. We built this business over the last maybe 10, 15 years, actually more 15 years than 10, 15 years probably. And we've seen lots of cycles. So as of now it's bearing very well for us.
Sudhanshu Jain: Yes. Sorry, on the 2 -wheeler question, just adding a few inputs here. So 2 -wheeler is the bulk of the book in the vehicle segment. That's roughly at about 70% of the vehicles book. If you see the presentation, we have also given SMA 1, SMA 2 numbers and NP A, right, at the vehicle level. So it has been holding up quite well, 2 -wheeler has been growing quite nicely for us. We have a formidable market share here. we have been, again, invested in this business for quite long, right? So while we are quite watchful becau

se of the economic environment, but we feel comfortable at this stage, probably in terms of the sourcing and t he portfolio sort of which is sort of moving on this front.
Moderator: Sir, the current participant seems to have dropped from the queue. We will proceed to the next question, which is Mr. Piran Engineer from CLSA.
Piran Engineer: Sorry, I probably got dropped off from the line earlier. So just on MFI, how much money can we expect back from CGFMU right now? Is it fair to say that since half the loans are insured and assuming the same slippage ratio between the insured and the non -insured book, this should be the amount we get back?
Sudhanshu Jain: Yes. So essentially, today also when we have an NPA pool, which has got piled up, this has some proportion which is out of the CGFMU portfolio and there is some portion which is out of the old sourcing. Right? So particularly on the CGFMU insured book, right, we would start getting claims starting from FY 27, right? And the recoup of credit losses could be as high as about 70%, right, of the losses, which we incur on the CGFMU linked NPA.
Piran Engineer: It's only up to 70%?
Sudhanshu Jain: Yes, it's up to 70%.
Piran Engineer: So like 30% is sort of co -pay? Is that how I have to think about it in insurance... ?
V. Vaidyanathan : So let's skip 2 years ahead just for simplicity's sake, so that let's assume 100% is insured.
Piran Engineer: Okay.
V. Vaidyanathan : And let us say that 2028, you wake up and you find that credit cost in microfinance is 4%. So your credit cost and the books will probably be 30% or 28% to be more precise, 28% of that -- if it's 3%, it will be probably 1% will come to us and 2% will go to CGFMU. It's like that.

Sudhanshu Jain: But the policy which we have, we end up providing earlier, right? While the money generally comes within 2 years after the date of disbursement. Hence, I said for the disbursements, which we started from January '24, we expect the tranche to sort of come i n from FY '27. So we would have provided to a great extent on these N PAs. So we could expect a recoup in credit costs in that year.
Piran Engineer: And just lastly, how are things on the credit cards front? I see that your NPA is stable , SMA 1 and 2 has improved quite a bit. Your comments on this would be useful.
V. Vaidyanathan : Our credit card is doing well. You could see our numbers. Our SMA 1 and 2 credit cards has come down last quarter. It come down from 1.69% to 1.32% , in fact, last 3 quarters come down to 1.88%, 1.69%, 1.32%. So even on the NPA number...
Sudhanshu Jain: Yes. The GNPA has come off to 1.91% vis -a-vis 1.95% in the previous quarter. I had mentioned in the call last time that on credit card, we feel quite comfortable because of various timely policy interventions, which we had done. And credit cost in credit card on the book is marginally lower than the previous quarter. And we expect this trajectory could continue.
V. Vaidyanathan : No reason to get very disturbed anything like that. We have one problem, but that's a known problem in MFI. It's not the credit cards.
Piran Engineer: Understood. Okay. No, because for the industry, it has been an issue. And since you have now started disclosing SMA -1, SMA -2 data, it was quite useful?
Sudhanshu Jain: Yes.
Moderator: The next question is from the line of Anurag Mantry from Oxbow Capital . Please go ahead.
Anurag Mantry: Just one question on the credit cost ex MFI. So eventually, if I do the math for this quarter and for the last couple of quarters, it seems that the normal book ex MFI and that we had last quarter, the credit cost is coming more like 1.7%, 1.8%, 1.9% trajectory for the last 3 quarters as such. So just wanted to understand how you're looking at it because there has been a margin increase every quarter in that as well? Do you see the current

level is more stable? Do you see maybe
potential for some more increase? And if you can point to any reasons why this increase has
happened in the couple of quarters .
Sudhanshu Jain: Yes. So on this front, the credit cost ex MFI and the tool account, if you also keep it aside, for
Q1, the credit cost was about 1.7%. In Q2, it was 1.8% and Q3 has also come in at 1.8%. We
feel that this could broadly remain in this range, maybe it could be or maybe 180 to 190 that
kind of range. So we per se don't foresee this to materially go up or it could marginally sort of
inch here and there, right? So we feel quite comfortable on the rest of this book.
V. Vaidyanathan : In fact, people often ask us because it's a concern because if you're an investor, you should worry
all the time, so you should. Many people do ask, not just us, I've seen some television interviews
on these business channels, et c., saying that is the issue on MFI going to spill over to consumer
credit and people do half an hour discussions on these things.

Really, we are not seeing any spillover or anything like that. That's a very rural MFI, it's a very
rural kind of stuff. Within urban, we've seen no impact at all. T here's no reason for any impact .
So where is the question of spillover?
Now we're talking of rural, the microfinance is a very unique business as compared to any other
business. What is unique about microfinance? Microfinance is when the group of borrowers are
coming together and repaying when our people have to go to the customers to a common venue
and customers to come and pay, meaning we have no right to debit the custo mer’s bank accounts
for an EMI.
Every other product we sell, we have a right to debit the customer's bank account. And we have
to only deal with the terms that come. In MFI, the nature of the business is different. We give
the money on the due date to go sit in the college or the school or somewhere and a t a joint,
customer has to pay.
So MFI is a unique thing. So it's a unique thing behaving differently. It has its odd behavior
sometimes, but it's only very, very MFI -focused thing for us, rest of the book, we said that before,
I'm saying it again. It's doing well. I mean, in the sense, the entire corporate book is doing well,
entire retail book is doing well, entire MSME book is doing well, business banking is doing well,
credit card is behaving well. They're all doing well. And you see the numbers.
And let me just tell you one very, very important thing, which towards the closing, I'll share with
you. We are giving you not just NPA or credit cost. These are standard, of course, everybody
should give it, and that's part of the job. We have in our investor presentation and even otherwise,
we are e xplaining our basis of lending.
We are giving an EMI check bounce, the EMI bounces. We're giving collection percentage
efficiency on those bounces. Then next, we're giving SMA data, then we give SMA data by
product, then we give NPA data, NPA data give by product, then we give NPA data by product
and by the 4 quarters at a stretch. Then we give vintage analysis, then we give industry
comparison, 30 DPD of our bank versus other industry.
So the amount of detail we give is something. I mean, we're giving the full funnel to you. So it
should not be difficult to estimate any and all our numbers reconcile. So it should not be difficult
for you to realize that this is only a microfinance problem. Others are doing well. All the numbers
are there. In fact, if you went to Page 13 to maybe 45, you'll find all the information.
Sudhanshu Jain: And just to add, even into the next year, so as Vaidya said, that on MFI, we expect the peak to
sort of come in, in Q4, and the credit cost should keep coming down into the next year, every
quarter. And for the rest of the book, we feel the provisions could be very range bound or m

ore
or less around the current levels, right . So which means that the overall credit cost is expected
to come down for the next year vis -a-vis the pain -- some of the pain on the M FI, which we saw
into this year .
V. Vaidyanathan : So only as a caveat, just to be safe because we're speaking and a lo t of people listening to us,
etc. Now we have seen this, like I said, for a long time, I'm talking ex MFI. I told you we've
given every part of the chain and funnel we've given to you publicly there in the presentation.

Now we have seen that every business has their own nature. They have their own credit cost
behavior. If you do some product of all of that, you'll get a reasonable estimate of our bank credit
cost, which is the 1.8% we're talking about. We are human, we're running a business, 1.8% can
become 1.9%, may can become 2%, who knows, maybe i t can become 1.8% or 1.6% also.
But it's going to be range bound. It's going to be here. It's not like , I'm not saying by the way, it

will become 2 % tomorrow morning or something, but I'm just telling you that it is the range. It's never gone completely off back because there is a certain credit criteria we lend to.
We don't fiddle with our credit criteria. We have lent and we learned and we refine and we refine. So as long as we don't get greedy and we don't want big business and we d on't want to get aggressive, et c., which you don't want to, it will be a particular way and it's behaving a particular way it will behave a particular way because it has a particular cadence to it.
Moderator: The next question is from the line of Anand Dama from Emkay Global . Please go ahead.
Anand Dama: My first question is on your opex. I think you said that 18%, 19% of opex will go down to 13%. Any 3 to 4 key drivers that you see where basically you will see this kind of a cost reduction going forward?
Moderator: Sorry to interrupt Anand, but your line is not very clear.
Anand Dama: Is it better now?
Moderator: Yes, this is better. Request you to please ask your question again.
Anand Dama: Sure. So basically, you said that your opex, which is about 18% to 19% growth...
V. Vaidyanathan : Sudhanshu, will answer it.
Sudhanshu Jain: Yes. So essentially, the overall theme is that we expect the operating leverage to play out, right, clearly as we move along into the next year. If you see , we have given some level of details, like if you see employee cost, right, that was growing at a much higher pace and the pace has consider ably come off.
So even into the next year, we expect that employee cost percentage increase could come down, right . It's a combination of the number of employees, which we foresee could sort of come in, in terms of addition for the expansion, which we are planning and so on, right . So we expect that the employee cost to taper down.
Even on the nonemployee cost, right, I'm saying there, as I said, there is some fixed component and there is some variable component, right . So there also, the fixed cost will grow in a particular trajectory. And the volume is something which will go -- which is linked to the volume, right . Some of the examples, which I can sort of give here, like we have said that we may grow the deposits at 25%, the branch may not come in that tandem, right .
We may add about 75 to 100 branches into next year, which is 10% over the current stock. So clearly, some leverage sort of comes in there, right . Then our tech costs and so on, we have

already done a lot of front loading in last few years, right . So that could increase at a particular pace.
So we feel that because a lot of expenses have sort of already come in, there is clearly an operating leverage or the proportion increase could definitely come down from the current levels.
Anand Dama: An

d would that also mean that next year, our growth could be sub -20%, and that also, to some extent, will contribute towards this kind of lower opex?
V. Vaidyanathan : No, we are not planning to slow down the growth. I mean like 20 % of the loan and about 22%, 23%, 24% of the deposits because, frankly, as you have seen for the last many years, we are good at deposits. If we wanted, we could grow 25%, 27%, whatever we want. But the need will come down next year. So therefore, is that 2 4%?
Sudhanshu Jain: So we may require only 23%, 24% kind of growth in deposits next year, fueling a 20% growth on the asset side.
V. Vaidyanathan : So our deposits are growing well already. So we don't need very many branches. The short answer is, Sudhanshu if I were to sum it up for you. On the deposit side because deposit is one part of our expense, as you know. On that front, we are not planning to load very many branches because current branch architecture of 1,000 odd is good enough to give us roughly the numbers you want.
Of course, we think a little ahead. I don't want to be caught on the wrong foot for FY27 or FY28 or FY29. So just as an insurance, we'll still go and put about 100 -odd, but we are comfortable. And of course, we may tinker the size of the branches, we may reduce the size and put a little more or we may increase a nd put a little less, whatever.
But you'll get the drift that this is order of magnitude we're planning to grow. So let's call it 100. So if a current base is 1,000, you go 100, you're going to add only 10% branches, but we are expecting book to grow by 20% plus. So that is operating leverage.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Vaidyanathan for closing comments. Over to you, sir.
V. Vaidyanathan : I want to just thank all of you. I think you've had a long time with us today, and we thank you for being with us for this long. And we do request you to think a little ahead. We've given you quite a few new things. I think for 4, 5 years were known issues , suddenly comes the MFI issue.

We're also feel ing a little disturbed by that.
So why we are surprising like this, and we are a bit unhappy with ourselves that after settling everything right, suddenly the MFI has come at us, and we are having to have this conversation. But we believe after this, we see the back of MFI, there should be, we are not seeing any major crisis other than that. Thank you.

Sudhanshu Jain: Yes. Thank you, everyone. Just to add to it. So while we are seeing some top line pressures, which would come in, but clearly, we are working towards improving the operating leverage. And that's why the opex growth could moderate and so on. I also touched upon that provisions would be lower on an overall basis. So we are very much sort of working on improving the set of numbers. And thank you for a patient hearing, and have a great weekend.

V. Vaidyanathan : From all of us at IDFC FIRST Bank, if any of our employees are hearing this call, I want to just take the opportunity to say that we're building an amazing bank, have confidence in yourself. In a long journey, these odd things can happen in a quarter, 2 quarter s, 3 quarters, but have confidence of building something amazing. Yes. Thank you, everybody. And if any employees are hearing, that's for you. Thank you, everybody.

Moderator: Thank you. That concludes this conference, ladies and gentlemen. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail: bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD /37/202 5-26 May 0 3, 202 5
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437
Dear Sir / Madam,
Sub.: Transcript of Earnings Call for the quarter and year ended March 31, 202 5
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter and year ended March 31, 202 5 conducted after the meeting of Board of Directors held on April 26, 2025, for your information and records.
The above information is also available on the Bank's website at the following link:
https://www.idfcfirstbank.com/content/dam/idfcfirstbank/pdf/financial -results/Concall -Transcript -of-IDFC -FIRST -Bank -Q4-FY25 -Results.pdf
Request you to take the above on record .
Thanking You,
Yours faithfully,
For IDFC FIRST Bank Limited
Satish Gaikwad
General Counsel and Company Secretary

"IDFC FIRST Bank L imited
Q4 FY '25 Earnings Conference Call "
April 2 6, 202 5

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND , CHIEF EXECUTIVE OFFICER
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER AND HEAD OF CORPORATE CENTER
MR. SAPTARSHI BAPARI – HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to IDFC FIRST Bank's Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Saptarshi Bapari, Head, Investor Relations. Thank you, and over to you, sir.
Saptarshi Bapari: Thanks, Michelle. Thanks a lot. Thanks, everyone, for joining the call. Today, we have with us Mr. V. Vaidyanathan, MD, CEO of the Bank; and Sudhanshu Jain, CFO and Head of Corporate Center with us. So we'll start the call with the discussion of the financ ials with Sudhanshu first, and then we'll have a brief review by Mr. Vaidyanathan as well. So over to you, Sudhanshu.
Sudhanshu Jain: Yes. Thanks, Saptarshi. First of all, good evening, everyone. Thank you for participating on a Saturday. Let me start with first by putting out some key financial numbers. I will try to keep it short. But nevertheless, let me call out a few key numbers for the year and for the quarter. The balance sheet si ze as on March 31, 2025 has stood at about Rs. 3.4 lakh crores. It has grown at 16% on a Y -o-Y basis.
If we go and see further components, then deposits continue to grow at a faster pace than advances. Our customer deposits have increased by 25% on a Y -o-Y basis and is now at Rs. 2.42 lakh crores . Within this, the growth in retail deposits was higher at about 26% on a Y -o-Y basis. CASA ratio, if you see for us, it has been quite stable around the 47% mark and that CASA deposits have increased strongly by about 25% on a Y -o-Y basis. If you see average CASA deposits for Q4, the increase is 30%, in fact, on a Y -o-Y basis.
Term deposits in the current financial year has grown by about 26%. And here also the retail TD has grown at a faster pace at about 28%. Happy to report that our branch count has crossed the 1,000 mark. It was 1,002 at 31st of March. We opened about 31 branches during the current quarter also. We have repaid high -cost legacy borrowings to the extent of about Rs. 7,000 crores in this current financial year.
The residual book now is, I would say, small at about Rs. 4,800 crores. And about bulk of it, that is about Rs. 4,500 crores will mature in the next year itself. We continue to bring down the credit -to-deposit ratio. That is now down to 93.9%. This was 98.4% at March '24. If we compute the incremental credit -to-deposit ratio during last 1 year, then it's at about 76.1%.
If I talk about cost of funds, that was stable around 6.5% for the quarter. And similarly, deposit cost remained stable at 6.38% for Q4 '25. If you see the trajectory for last 4 quarters, both cost of funds and cost of deposits has been quite range bound o r stable, I would say. If I quickly move on to the asset side, then on the funded assets, we have registered a strong growth of 20.4% on a Y-o-Y basis to reach Rs. 2.42 lakh crores. Sequentially, the growth was about 4.7%.
If you go through the presentation and we have given more details on Slide 28, the growth was largely led by mortgage segment, which has grown by 19% on a Y -o-Y basis, the vehicle loan segment, which has grown at 26% on a Y -o-Y basis. The business banking, which is largely

secured working capital that has grown at 32% on a Y -o-Y basis then the wholesale business has grown by 29% on a Y -o-Y basis.
There are certain other businesses which have also grown strongly, albeit coming from a small base like gold loan and credit cards. During the year, we also had a degrowth of 28.3% on the microfinance business b

ecause of the challenges going around that sector. Infrastructure book, happy to report, is now sub -1% of the total funded assets. If I talk of credit cards, which is a relatively newer product for us, the bank has now issued mor e than 3.5 million credit cards. The book size has reached now Rs. 7,500 -odd crores at March. The gross spends on the credit cards grew strongly by about 42% in FY 25. I'm again happy to report that credit card as a business has turned operationally breakeven within 4 years of launch.
If I now move on quickly to the asset quality. The gross NPA of the bank stood at 1.87% at March. And similarly, net NPA is at 0.53%. If we exclude the microfinance book, then the GNPA in fact, is at 1.63%, and this has improved by 19 bps on a sequential basis. PCR for us, excluding technical write -offs, was healthy at 72.3%. It has, in fact, improved by 347 basis points on a Y -o-Y basis. If I talk about GNPA in retail, rural and MSME segment per se, t hen the GNPA stood at 1.70% and the net NPA was at 0.62%.
Again, here, if we disaggregate microfinance, then GNPA, in fact, has improved to 1.40% vis -a-vis 1.46% in the previous quarter. The standard restructured book continues to come down for us. That is now, I would say, very small at about 0.18% of the funded assets. If I talk about the SMA 1 and the SMA 2 portfolio, and again, without microfinance book, that h as been quite stable. The number for the quarter is at 0.87%. It has marginally gone up from 82 bps in the previous quarter, but I would say the trend has been pretty stable over the last few quarters.

We saw an increase in SMA 1 and 2 of MFI book. That has went up from 4.56% to 5.1 0%. This is albeit on a declining base. If we see in value terms on the microfinance, then the SMA 1 and 2 pool has declined by 3% on a Q -o-Q basis and the SMA 0 has declined by 45% on a sequential basis, which in a way, is indicating a lesser incremental buildup. We have also seen an improvement in collection efficiency during the quarter, and it stood at 99.2% for March 25. And ex Karnataka, actually, it is at 99.4%.

If I talk about gross slippage now, that also has come down by about Rs. 18-odd crores from the previous quarter. It is at Rs. 2,175 crores for Q4. Here also, we saw 2 mixed trends in microfinance business, in fact, it went up. The gross slippages have gone up from Rs. 437 crores to Rs. 572 crores and if we strip out microfinance, the net slippage has, in fact, come down by about Rs. 152 crores.

Similarly, net slippage for the quarter was at Rs. 1,520 crores versus RS. 1,541 crores in the previous quarter. Recovery and upgrades was at Rs. 655 crores for Q4 FY25 as against Rs. 651 crores in the previous quarter.

If I move on to profitability, to start with the NII for FY 25, that has grown by 17% on a Y -o-Y basis. And for the quarter, it grew by 10% on a Y -o-Y basis. Excluding MFI, if we see NII, then the growth is about 17%.

The net interest margin on AUM for the quarter is 5.95%. We saw a moderation of 9 basis points vis-a-vis the previous quarter, and this is greatly attributable to the microfinance business, where the book has further come down and hence, the NIM has got im pacted.

If I talk about fees, then the fee and other income for the year has increased by 15%. And for the quarter, it grew at 6%. The retail fee constitutes the bulk of it, and that's at 92% of the total fees.

We continue to moderate on the operating expenses fro nt. In fact, for the full year, the growth has moderated to 16.5%. And for Q4, the growth was at only 12.2% Y-o-Y and it stood at Rs. 4,991 crores.

Core operating profit for the year , excluding trading gains, that has grown by 17% on a Y -o-Y basis. And we have also given data that if we take out microfinance, then based on our internal reporting, this number has gone up by 31%. If I talk of core o

perating profit for the quarter,

similarly, excluding microfinance business, then it has increased by 20% on a Y -o-Y basis.

Provisions for the full year stood at Rs. 5,515 crores as compared to Rs. 2,382 crores in the previous year. During the quarter, we have not utilized contingency provisions, which we had created on MFI in Q2 that stands at Rs. 315 crores. And the sequential increase in provisions was also primarily due to MFI, and this was in line with the guidance which we had given in the previous earnings call.

As a result, the credit cost for the full year stood at 2.46%. If we exclude MFI book and the one toll road hit, which we had to take into Q2, the credit cost for the full year was at 1.76%. In fact, for the current quarter, it improved to 1.73% vis -a-vis 1.82% in the previous quarter. We have reported a profit after tax of Rs. 1,525 crores. The profit for Q4, it is at Rs. 304 crores.

The PAT for the quarter, as we all know was largely impacted by the MFI business, and I would say also to some extent because of normalization of credit costs. If I talk about capital adequacy, the bank has maintained strong capital adequacy that stands at 15.48% as on March 31, 2025, with CET -1 ratio at 13.17%. The Board in its meeting today has recommended a dividend of 25 bps for FY 25. This will be subject to shareholder approval. Post the quarter end, we had also in the second week of April, announced that the Board has approved issuance of CCPS to 2 marquee investors.

These would eventually get converted into equity to the extent of about Rs.7,500 crores. Considering post conversion into equity, CRAR, that the total capital adequacy will be 18.2% if computed on March ’25 numbers and CET1 will be about 16%. The LCR for the quarter stood at 117% on an average basis vis -a-vis about 114% in the previous quarter. So these are essentially the key numbers which I wanted to bring out. Maybe I'll hand over to Vaidya to sort of say a few words.

V. Vaidyanathan : Hello, everyone. Good evening, everybody. Nice speaking to all of you. Thank you for being with us on a Saturday evening. From our point of view, I just want to share with you what are the agenda in front of us over the next few years. And before that, I m ust want to just share with you the fundraise that we did recently, what is it that's going on in the back of our mind, how we're planning for the future?

And why did we raise that kind of a large amount of capital. I must say that indeed, we have

seen some reports and reviews saying that, look, you people have raised 15% or diluting the bank by 15%, why was the need to raise that large amount of a capital i n the first place.
Now it's a very fair question. The thing is that if you go back and see large corporations of today, like, say, for example, ICICI Bank, which is really a wonderful institution, which is a shining example. If you go back and see what ICICI Bank was in 2000 or 2003, you will realize that the early stages of any bank is like that, specifically for a domestic financial institution converting to a bank.
If it had been a normal NBFC, which is already profitable and then getting a bank license, then it can have a temporary period of turbulence just because of raising CRR, SLR, they'll go through it maybe in a couple of years.
But this was not that. This was a DFI, which really was not making any money. Its operating profit was 0.5%. So obviously, all of us know that with 0.5%, even if credit cost is 1%, you know that you're not making money at the core. So from that situation, how do you take a bank out of a situation like that? If you spend money, you don't have the operating profit to spend money, you can't fix the CASA.
You can't raise retail deposits, you can't fix the structural issues of the bank of not having a diversified liability base. If you don't spend, you can

't fix the issue. This was really a hard -to-
solve problem. And it was not a reason that all leading analysts at that point of time had r eally called it hard to solve or almost a problem impossible to solve .
Now I must say that from that situation, how does a bank come out? So the main thing is that you start building a really phenomenal franchise, a franchise that makes it attractive for new shareholders to come in and bring the capital because why would new shareholders come in? They would see if there's a strong business model. So what we've built was a really, really good customer franchise.
We have grown the deposits from about Rs. 38,000 crores to Rs. 2.4 lakh crores as of March . So the CASA ratio, now we ’ve taken close to about 47%. Branches, we have taken to about 1,000 branches. Loans and advances we have taken about Rs. 2.4 lakh crores. So you get the drift. So by building such a really strong franchise, we got investors to be attracted to the bank enough to give us capital.
The second thing that people say is that, look, you ’ve been diluting the bank every year for the last 5 years. It is true. We raised Rs. 2,000 crores in 2020, then we raised Rs. 3,000 crores next year in 2021. Then we raised some Rs. 2,000 crores after that, then we raised another Rs. 3,000 crores next year. And this year, we are now raising Rs. 7,500 crores. Now we just thank the market that markets found it attractive enough to give us the capital at a premium to the book.
So this was the reason why the bank had raised capital because the bank was not making money. So we found the way to raise capital. And then with the capital, we built the bank. Sorry, I was talking about the franchise. I was talking about the CASA ratio is at 47%. I told you loans and advance just about Rs. 2.4 lakh crores. Retail LCR, I don ’t mean the retail deposits as coming from retail branches. I mean retail LCR , we were 12% initially. Today, we are at about 60%, I

must share with you that we are now in line with large private sector banks, which gives tremendous stability. Our credit deposit ratio has come down from 137% to about 94%.
So basically, in all of these fundamental franchise , we made the bank strong enough to be able to make it attractive for long -term investors. The second thing was that we kept incremental economics very strong at the bank. I'm happy to share with you that incremental economics are so strong that our operating profit has now touched about 2.3% of the book. So even with a credit cost of 1.2% or so, the core of the bank is profitable.
It will not post a loss. So therefore, bank has come that way, and we made the bank attractive enough for investors to come in. Then we made the bank attractive enough for customers. So we have really good customer propositions. We have , for depositors, we have good propositions. We have good system, good technology, a good franchise, and that made the customer proposition strong, which also, by the way, is one of the reasons why institutional investors would come in.
So having done that, now our task is that how do we start generating return on the capital because that was really the only way to grow a bank, and it's generating its own return on equity. Now for a minute, I had digressed to just talk to you about ICICI Bank, which I hope all of us agree, it's a great bank.
Now if you go back and see in time, the number of shares issued by the bank was 170 crores in 2005 or so. In just 4 or 5 years from there, maybe around 2009, it became 300 crores. Just think about it. And the bank raised $2 billion in 2005, $5 billion in 2 007. That's $7 billion raised.
And imagine that's going back in 2005 and 2007. So we raised $1 billion now, one, that was $7 billion. That's how institutions are built because that was equally the same situation I'd imagine

where the return on equity was

low and the bank had to raise ca pital. But see, today, when time
has passed, look at the kind of institution that got built and it's generating its own return on equity of 16%, 17%, 18%, and it's flying on its own.
It doesn't really depend on capital to be raised from time to time. I must honestly tell you that this institution was almost pretty much the same situation, early stage, have to raise capital. And now our job is walk the path and take the return on equity to about 15%, 16%, then it becomes self-sustaining.
Now as far as returns are concerned, when I say returns, I mean return on equity. Now we are at, like I said, 0. We've come to about 7%. If you actually strip out the drag cost by MFI, which we request you to look through it, you will actually see that we're probably about 7 % or so return on equity on the core. Our first stop is to actually move this from 7% to 15%. We really intend to do it. We're serious about that. And then hopefully, our business model is such that probably give us a return on equity even higher than that.
So how do we do that? So we think the main thing is that we need to scale. And for scale, we got capital. So we're very happy about that, and we feel comfortable about that. Now the key thing is the situation where if you see the profitability of the bank, there was a significant U -turn in the profit of the bank . So we started with a loss of Rs. 1,944 crores in 2019, Rs. 2,864 crores

in 2020, then Rs. 400 crores positive in 2021. Then Rs. 145 crores in 2022, then Rs. 2,400 crores in 2023, then Rs. 2,900 crores in 2024.
This is just a solid U -curve that happened or a J -curve that happened to profitability. I think it's really very hard to turn companies like that. But after that, from Rs. 2,957 crores, all of you expected us because the trajectory was like that, you expected us to go further up this year probably and go on from there. But it's true that we have not delivered to your expectation or even what we thought we could.
So instead of our PAT going up from Rs. 2,400 crores to Rs. 2,900 crores upwards, we did a downturn this year. I do agree. So it's down to about Rs. 1,500 crores. So I want to share with you that this dip is not that there's any fundamental issue with the bank or the model where it's going to go cutting down this way. No, no, no. The curve is not heading down this way for next 2 years, 3 years, nothing like that.
You think of this 2025 as a year that this has happened because of microfinance. You think of it that 2026, we will stage a smart recovery. And FY27, FY28, FY29, we should be back winning ways. After all the winning way of 2019 to 2024 was not a fluke because we had built something fundamentally a strong model that can take us there because that's how strong institutions are built.
So think of FY 20 25 as a year that happened to us. It was a microfinance business issue. It happened to every player in the industry who played microfinance. It was an industry issue. We too participated. We suffered. But that's, I would say, part of growing up and part of learning the business and learning cycles. But I wouldn't even say learning cycles. It's not that we have to learn , I'd say that these cycles are something that are part of life, and we know these happen. But in microfinance, it just tends to rear its head every 4, 5 years, and it's something that happened. Now we were also doing it because it was giving us priority sector requirement. It helped us meet many other requirements as well. Now coming back to the point, therefore, how do we take the story fr om here forward. Now there are two things. One is we want operating leverage.
That will come, for those of you who are concerned that it may not happen or it's not happening. Let me share with you that the last year, our book, the last year meaning in FY 25, our business gr

ew by 2 3%. Basically, loans grew by 20% and deposits grew by 2 5%. Blend -blend call it, business grew by 2 3%, but our opex grew only 16. 5%. It's a big, big, big gap between the two. And in fact, that should tell you that operating leverage is playing out.
Now if you see the trend line of opex for the last 4 quarters, you see the numbers. In Q1 FY 25, our opex grew 21.1% Y -o-Y. In Q2 FY 25, our opex grew 17.7% Y -o-Y. In Q3 FY25 , it grew by 16.1% Y -o-Y. In Q4 FY25 , the quarter just ended, it came down to 12.2% Y -o-Y. So this is clearly telling you 4 or 5 quarters in a row that our opex Y-o-Y is dipping. So this is obviously a result of some serious work we're doing on the opex front at the bank by using technology, by doing operating initiatives and so on and so forth.
So in the next year, that is in FY 26, we give or take, would like to grow the loan book by 20 -odd percent, deposits by 22%, 23%, something like that, and let me call it blend -blend

somewhere around 22 -odd percent. But now we want to grow or we are targeting inside the bank to grow opex only by 12% to 13%.
So you can see that the bank is putting brakes on opex . It is rather leveraging the same balance sheet , with the same level of opex , we're growing the balance sheet by 20% , 22% . And then you can see that if you play this story out for the next 2, 3 years, this has to naturally show an operating leverage. So therefore, to sum it up, I would like to say that given the bank was not making its own return on equity, you might say, you knew this when you merged with the bank, so well, you should have known.
Well, of course, I should have known, and I knew it's not that the fact that the bank was sitting on Rs. 25,000 crores of infrastructure loans. So it's not unknown to me. Of course, it's known to me. But then it is part of the story of the responsibilities we took because we thought there was an opportunity of converting to a bank and all that, and I take full responsibility for that. But we were wh ere we were.
From there, we have come really a long way. Our deposit franchise is really very powerful. I can tell you that very rarely you would find a retail franchise that would have grown from Rs. 10,000 crores to Rs. 2 lakh crores retail deposits in 6 years, it's just really special. So there is something special at the bank, something not so good at the bank because our cost -to-income ratio is high. We are fixing it. But I told you that the way we are reducing the opex Y-o-Y, I read out the numbers to you. The way it's coming and the way we are thinking it to play out next year, you will see this story improving. And this is how institutions, in my opinion, are built because you got to raise the capital and then you got to generate return on equity.
And once you generate return on equity, it becomes self -sustaining. We believe we are on that path. W e are genuinely thankful to you that you allowed us to raise something like Rs. 21,000 crores of capital in 5 years. Really to all our institutional investors who support us in this space , we really want to thank you. And we believe that we will put that capital to good use in the next 4, 5 years. And progressively, you will see progress every year from here on for the next 4, 5 years.
And then we should reach the return on equity of what good respectable banks command. We don't make it today, but we believe we are on our way. So that's all I have to say in a broad sense, and we'll take questions from here on, either about the quarter or about what you felt about the overall story.
Moderator: The first question is from the line of Rikin Shah from IIFL Securities.
Rikin Shah: Just had one question. Post the implementation of new microfinance guardrails, would you be able to provide some color on how the business trends have changed on the ground, either in term

s of the approval rates, disbursements, collection efficiencies? Tha t's my only question.
Sudhanshu Jain: Yes. Rikin, thanks for the question. So in terms of the MFIN guidelines, which have come in from April, we had implemented it slightly prior to that. So these guidelines we made effective already from February. So to that extent, we also saw some impact on disbursements that came

down to about Rs. 760 crores in the current quarter. So since we have already implemented, we don’t see further impact as such to come on this front.
Moderator: We'll take the next question from the line of Zhixuan Gao from Schonfeld.
Zhixuan Gao: Congratulations on a good set of numbers. My first question is on SA rates. First of all, what's our blended SA rate now? And also given we have built a very strong deposit franchise over the last couple of years, and we're kind of price set within the midsized banks at least. So how are we thinking about leveraging on that in a rate cut scenario? And do we expect a decent amount of SA rate cut in the coming months or quarters?
V. Vaidyanathan : Yes, we are also planning to reduce our rates very soon, maybe in a day or two, you will see the numbers out there. We are trying to reduce, first of all, our fixed deposit interest rates. We are paying probably about 70 or 80 basis points more than the large big 4 banks on the fixed deposit side. But we want to literally go down to their rates. So we might see a large cut from our side to go like the peak rate.
People have lots of deposit rates, but there are always a special slab, which people pay the maximum rate. You'll see large banks paying around 7.20% -ish or so. We were about 7.90% or so. We want to come straight down to their rates now. So that will be a very big moment for our bank to go there. And then on the savings account front, also, we want to reduce rates.
So we will, first of all, trim off the accounts we were paying up to Rs. 100 crores. We were paying certain amounts, which we'll now pay only Rs. 25 crores and onwards. And then we'll let go of the high -value, high deposit cost of individual customers. And then even on the core SA rate itself, we have plans to reduce it from thereon.

Sudhanshu Jain: Sorry, just to add, this is further to the change, which we already did in February where for Rs. 5 lakhs to 10 lakhs, which we have reduced the rate from 7.25% to 5%. So as Vaidya mentioned, we are looking for some more cuts primarily in the slightly larger ticket sizes and we would announce these changes shortly.
V. Vaidyanathan : But mainly I'd like to just give one explanation so that it's easy for you to understand. Banks are raising money from two sources. One is CASA, one is term deposit. So there's a lot of eyes are all riveted around CASA right now at this point of time, saying when are you going to cut it. But I think not many questions are being asked about fixed deposits. People are not looking at that. So we are cutting that very sharply. And that is going to be as and when those FDs come up for maturity, either they will come to us at the new rates or we are happy to let them go. Actually, I wouldn't say it's happy to let them go. We'd prefer customers rollover. But if they have to go, they've got to go. So this will also be a structural benefit for the bank because we will save interest cost and annuity. So I want to just clarify that to you.
Zhixuan Gao: Got you, sir. So what's the blended SA rate for us right now?
V. Vaidyanathan : Can you repeat that question?
Zhixuan Gao: Blended SA rate.

Sudhanshu Jain: It's for the current quarter, it's about 5.9%. As I said, we made some changes in February. The full impact of that would play out into the next quarter. That, coupled with certain other changes which we plan to do, would further

bring down the SA rates. But currently, for Q4, it's about 5.9% of the books.
V. Vaidyanathan : But we recently reduced rate for the Rs. 5 lakh to Rs. 10 lakh bucket from 7.25% to 5% so that should help reduce a few basis points. But like I said, we will further reduce it also from here.
Zhixuan Gao: Got it, sir. And my next question is on credit cost outlook for FY 26. You have shown quite a decent or material improvement quarter -on-quarter on the SMA 1 and also on the non -MFI portfolio. So how should we think about credit costs for FY 26? And also, are we going to utilize or unwind some of that Rs. 300 crores of MFI provision in FY 26 when it's all over?
V. Vaidyanathan : I mean, until this quarter, we didn't feel like doing it because the MFI thing is still playing out. Our experience is that we had already called out last quarter that we expect the peak of provision to come in Q4, which has already come. We expect provisions to come down next quarter and come down quarter after that and so on and so forth.
We think of it like a wave that came and went and this is the peak of the wave that we had this quarter. And we are pretty much bang on whatever we roughly said , we said we are roughly on track. So when this eases out a little more, and when we get full confidence that we've seen the end of the wave, then we'll start releasing it.
Zhixuan Gao: Got it, sir. And do you mind provide us a run rate of credit cost that you see as of now for FY 26?
V. Vaidyanathan : Yes. If you take this number for this year, FY 25, first of all, it was 2.46% for this year. And the 2.46% included the high impact of MFI and the Mumbai entry point, the toll accounts that came because state government changed the rules, etc. So all put together, it came to 2.46%. If you exclude these 2 events, the MFI and this one, it was about 1.85%.
Sudhanshu Jain: 1.76%.
V. Vaidyanathan : 1.76% this year. So next year, you should expect us to be somewhere in the zone of about 1.85%, 1.90%. Sudhanshu?
Sudhanshu Jain: Yes. So on an overall basis, you can expect about a 50 bps reduction in credit cost for next year.
Sudhanshu Jain: Over 2.46% which we have come in for this year.
Zhixuan Gao: Got it, sir. Sorry, if you just let me squeeze in one last question on margin. So how should we expect margin to behave from here? So when also given your SA rate cut plan or TD rate cut plan, should we expect margin to at least stabilize from here? Or how should we think about that?
V. Vaidyanathan : The way we think about it this year, already 2 repo cuts have come. We expect at least 2 more repo cuts to come, of say, 25 bps each. So all put together, there is a certain reduction in the yield on the book, at least on the floating rate side. But on the other hand, there is going to be reduction in our own cost because they're cutting TD rates and also going to cut SA rates to an

extent. So all put together. So net -net, blend , we are expecting the NIM to come down by about 10 basis points, all things playing with each other. Over the NIM of Q4 of FY25.
Moderator: We'll take the next question from the line of Kunal Shah from Citigroup.
Kunal Shah: So firstly, I think on the growth side, you said like the overall capital raise would be more

towards the growth. So if you can suggest maybe with CD ratio of 94%, LCR at 107% and even
like PSL requirements to be met. Now maybe how are we looking at the ov erall growth? Would
we see some lag up on the growth side? Or can it still continue to be in this high teens to 20 -odd
percent kind of a range?
Sudhanshu Jain: So Kunal, thanks for the question. So as we have guided earlier, we would want to grow in the
20% zone. It could be 1% here and there, but largely in that range going forward as well.
Kunal Shah: So not changing much post the capital raise. I think still in terms of the growth, I thin

k earlier
also, we have been getting 20 -odd percent. We still continue to maintain that trajectory, yes.
V. Vaidyanathan : Yes, that's right. That's right.
Kunal Shah: Okay. Okay. And secondly, anything to read into some rise in the 30 -plus in consumer durables
and the SMA pool and even some rise in 30 -plus in business loans. So generally, like Q4 is
relatively stronger with respect to collections, but sequentially, ther e is some rise out there. So
anything to call out for if it's not too much of a worry. And if you can also highlight the
provisioning coverage on the MFI portfolio, both GNPAs and SMA put together?
Sudhanshu Jain: Yes. So that's a marginal increase, Kunal. If you see, in fact, four quarter back number, it was
1.18% for consumer loans, and that is still now at 1.07% right? So I would suggest not to read
too much into it. It's a marginal increase. Of course, Q3 was a festive period also. So some bit
of impact has come because of that.
V. Vaidyanathan : But overall, if you see consumer loans four quarter trend, it's down from 1.18% to 1.07%. MSME
was 1.19%, even after 4 quarters, it is 1.07%. I'm talking of SMA 1 and SMA 2. Vehicles was
1.05%, even after 4 quarters, it's still 0.94%. Credit cards was 1.8 8%, it's come down to 1.53%
and the mortgages was 0.39% it's gone up to 0.45%.
That's really like fractional. So if you see every product category, we, of course, as you know,
disclose SMA 1, SMA 2 by product category, by tenure, by vintage. And you can see they're all
behaving stable. The only problem where we had was MFI moved from 1.71% to 5.10%. That's
the only one to call out, but that's been called out before.
Kunal Shah: And coverage on MFI, yes.
Sudhanshu Jain: Yes. So coverage on MFI. So during the quarter, we have not released any provision out of that
Rs. 315 crores so SMA 1, SMA 2 put together and NPA, we would have a cover of about 72%.
Kunal Shah: Okay. And one on the GNPAs are they 100% provided the way most of the other banks have
done on the MFI portfolio? Have we also provided 100 -odd percent on MFI GNPA or is it still
lower, yes?

Sudhanshu Jain: We have put out the numbers there on the stock what we are holding , so we have not provided
100%, but we are applying consistent provisioning policy over the quarters. As you know, we
also have a relatively higher share of CGFMU coverage on the book. So we feel that we are
holding adequate provision on that book.
Kunal Shah: Okay. Okay. And one last question on LCR, this new guideline, how much do we see the impact
for us maybe compared to our average LCR today at 107%?
Sudhanshu Jain: The LCR actually is 117% for the current quarter, and this was 114% in the previous quarter. So
as we have guided earlier, our endeavor would be to maintain LCR around this range, about
115% and so on. As Vaidya mentioned earlier, we also have a relatively higher share of retail
deposits, right, in the LCR , in the overall deposit composition, right?
Some runoff there, the runoff factor has gone up, right, by 2.5%. At the same time, we have got
some benefit on account of the decrease in runoff on trust and so on. Cumulatively, however,
we are seeing a small impact of maybe about 1% to 2%, but that's not material in the overall
scheme of things.
Kunal Shah: Adverse impact of 1% to 2%.
Sudhanshu Jain: Yes, yes, largely coming because, as I said, because we have higher...
Kunal Shah: Yes, yes, higher retail linked TD, yes. Okay, got it. Yes, okay.
V. Vaidyanathan : Thanks so much. And Kunal, one comment on the microfinance book. We said many things, so
I want to call out one particular one. Now in the microfinance, in SMA 0 book, in March '24, it
was Rs. 133 crores. In June '24, it became Rs. 181 crores. In September, it rose further to Rs.
267 crores. In December, it rose further to Rs. 275 crores. So you can clearly see SMA 0 wa

s
going up.
But in March '25, it has come down from Rs. 275 crores to Rs. 152 crores, this is a very big
development. It just shows that this curve, what we talked about that the microfinance is peaking
out in this quarter and coming down. So at least this is corroborated by this very useful
information that the SMA 0 has come d own from Rs. 275 crores to Rs. 152 crores.
And now hopefully, we will see the back of it over the next 3, 4 quarters, as we said. Similarly,

if you look at SMA 1 and 2, it was Rs. 169 crores in March '24, it had risen all the way to Rs. 501 crores. But now this quarter it has come down to Rs. 488 crores.
So the point is that we are clearly seeing that the SMA 0, 1, 2 of the MFI book is coming down in absolute terms, and this should naturally translate into lower credit costs in subsequent quarters. So that's what it is. So over to you Kunal, back to anybod y else.
Moderator: The participant has left the queue. We will move on to our next question, which is from the line of Nitin Aggarwal from Motilal Oswal.
Nitin Aggarwal: A few questions. One is on the credit card wherein we have achieved breakeven. If you can provide some color as to how is the revolve rate there and what ROA numbers are we looking at now over the next, say, 2 years?

V. Vaidyanathan : Well, you're looking at a very forward -looking question there. But we think if you ask us 2 years, let us say that even on a PAT basis post credit cost, you will see this solidly into profits. Today, the bank has achieved in 4 years, it has reached operational breakeven. And I don't know whether you know whether you are aware of how quickly cards business breakeven.
But if you speak to experts in the industry, they'll tell you it takes quite a while, at least for a fast-growing book it takes maybe 6, 7 years or so, but I'm very happy to share with you that within 4 years, our bank has achieved operational breakeven. This was made possible because the bank went digital. We did not have DSAs, and we had a very unique and fresh approach towards launching credit card business where we made the product so good that customers came in rather than we having to chase them thro ugh DSAs.
So that proved to be a big success for us. So therefore, average book for FY 25 has now touched Rs. 6,000 crores, and we have reached operating breakeven. Now 2 years, to your question, even after lowering credit cost, this will be profitable. And we think by FY28, FY29, this should be really , like if I use the word loosely, should be spinning cash.
Nitin Aggarwal: And sir, what is the...
Sudhanshu Jain: Sorry, Nitin, just to add, even on the credit cost front, in line with our earlier comments in previous calls, we have seen a reduction even this quarter. And for the full year, credit cost on credit card is lower than previous year and we expect it to fur ther come down into the next year.
Nitin Aggarwal: And how much that number is now for FY 25?
Sudhanshu Jain: So we are not calling out that number, but we had done timely policy interventions. And some of those is reflected in the SMA numbers and the NPA numbers which we have been giving out a slightly longer -term trend. I would say that it is broadly performing on our expected lines.
V. Vaidyanathan : Basically, it's performing expected lines. And when we call out see, once we start going on every individual product credit cost and you have to then sigma it for the whole book. That's why we put it all together and call it 1.76% ex of MFI. Suffice to say that we are on record in telling you that, that is perfectly playing on plan. It is net of credit cost, think of it like FY27, it should be like in the money and a launch year of FY22. So you'd imagine that 5 years, including credit cost, this product is making money.
And the way this game works because we've done this business many tim

es before in our lives,
at least I have, once you go through the difficult phase of setting up incurring the reward points and credit costs and the technology and the scheme connections and t he scale and the collections and the whole architecture, once you go through it, it's already gone through the last 5 years.
Once it starts making money, then unless we get it wrong on any new fronts, which we can 't think of today, this will be making like steady profits from next year onwards or maybe actually next to next year.
Sudhanshu Jain: Yes.

Nitin Aggarwal: Right. Got it. And second question is on the retail liabilities cost ratios there. So if I look at Slide 66, there is a sharp decline in the operating profit as a percentage of average liabilities there.
So...
V. Vaidyanathan : You mean the loss is reducing.
Nitin Aggarwal: Yes, yes. The operating loss is reducing, yes. So while, of course, the cost ratios are getting better, but what explains this sharp reduction in loss between FY24 to FY25 because otherwise, the prior years, if I look last 2, 3 years, they were more or less in a very narrow range. But this year, it has come down drastically.
And when I look at this sharp fall, the guidance on your cost ratios around the liability side doesn't really reflect that optimism because FY25 to FY27, we are just projecting a 30% decline from 170% to 140%. But this year, we have already covered such a big distance. So where is the

disconnect that I'm missing?
V. Vaidyanathan : Sometimes it can happen in one particular year that we got a solid improvement this year. But we don't promise this kind of massive improvement every year. But the thing is that if you see that from FY20 to FY21, it dipped massively to 3%. Then for a couple of years, it is stagnant. It has improved this year. But think of it that the way we have planned the book out, and it is a well-planned one. We feel that this 4.2% has come down to 1.2% over the 5 years and in the next 5 years, it should become 0. And hopefully a little better, but at least that's what we'd like to share.
Nitin Aggarwal: Right, right. And...
V. Vaidyanathan : So one good thing, by the way, Nitin noted that whenever we say that liabilities mix loses money, it is very easy to compute how much you're losing also. All you have to do is multiply the 1.2% by the average retail liabilities for that, and you know it's abo ut Rs. 2,000 crores. So the good news is that even though the book is growing by maybe like 25% per year, and which means that the incremental business on this front is really very profitable.
Otherwise, you could not see such a sharp dip. So we are quite confident. The direction is good. The direction is definitely heading towards breakeven. And frankly, if 10 years from launch, liabilities is going to become profitable, just think about it, ot her banks hav e been around for 30 - odd years.
When we will go past the 10 years, this liabilities will be throwing back cash, which will help us reduce the cost of funds on the lending side. And when we do that, then we'll start maybe getting to even higher income , lower yield customers. So the whole model will get more and more similar to other mainstream banks in that sense.
Nitin Aggarwal: Right, right. Understand. And a last question on the overall cost -income ratio at the overall bank level, wherein you talked about that the cost growth is now has moderated versus the revenue growth. So when you guide for a 65% cost income by FY 27, what kind of absolute cost growth are you looking at over the next 2 years? And which segments , based on the pie chart that you have given in the PPT, which segments will drive that decline?

V. Vaidyanathan : Well, you should expect from us about 12%, 13% opex growth.
Nitin Aggarwal: Okay.
V. Vaidyanat

han : Yes, that's the main thing, actually. While we want to grow the book by maybe 20 -odd percent, give or take here there. So this is a very material 2, 3 years coming in front of us.
Nitin Aggarwal: And within the segments, if I just look at the slide, the Slide 63, which segments is something that you are more hopeful on this decline?
V. Vaidyanathan : It's, frankly, every business has to start delivering more and more operating leverage, but more operating leverage will obviously come in credit cards and in retail liabilities. Because let's see the cost -income ratios. The asset cost -income ratio is already running 56%, which is pretty good actually. I mean, if for a bank that puts out SLR/CRR, etc., on the core of it to have 56% is good. And it will have its own operating leverage because book will grow and we'll get some operating leverage on its way. Maybe 5 6% will come down to be around 50% or so by that time. But to your question about where we will see the improvement, it is credit cards. So credit cards has come down from 165% in FY23 to 116% in FY24 to 100% in FY 25. It should dip steeply from here next 2 years to come down to about 75 -odd percent. And liabilities should dip from 171% to 140%. Hopefully, I mean, these are estimates we put together about 9 months ago. We'll keep monitoring these numbers.
Moderator: We'll take the next question from the line of Anand Swaminathan from Bank of America.
Anand Swaminathan: So Vaidya, I had a couple of questions. First, on the capital side, can you just give us some color on what was the thought process behind using the CCPS route? But more importantly, are there any other riders or structured securities attached to this that investors should be aware of? That's my first question.
V. Vaidyanathan : Yes. Let me talk about the terms. CCPS was a choice made among the few other choices available. It probably made the investors more comfortable to come through this route because the conversion was linked to the stock price prevailing in the exchange. Meaning that the way the contract is done is that after we allot them, first, you got to wait for regulatory approvals right now and shareholder approvals before they subscribe to it.
So that's when the money will come in and the subscription will happen. The terms of the contract are that if the stock stays above Rs. 60 for a period of 45 trading days, then it automatically stands converted. So to make it clear, therefore, we don't have to really exactly wait for 18 months and all that stuff.
If all goes well, within 45 days of allotment, it might just stand converted. And in the interim, they will get an 8% return. This is what we could negotiate or what we could get best because we are in the process of raising capital. I earlier described to you why I needed that large amount

of money and why we're going for big stakes, as I had explained earlier.
But for raising that money, these are the terms we could get. And we thought these were really good terms because it makes the bank bulletproof. And there's so many issues going around the

world off late right now, there is an issue of India, Pakistan, all that. So it has made us totally at peace in this environment.
Anand Swaminathan: Sure, no, that makes a lot of sense. And about some lock -in periods and other options or securities just so that we are clear on anything else around this structure.
V. Vaidyanathan : There is no other , there are no other significant riders to call out. It is 8% and stock stays VWAP of Rs. 60 for a period of 45 days, it converts. That's all there is to it mainly.
Anand Swaminathan: Okay. That's very clear. And Vaidya, why not kind of increase the growth target? And why this 20% target, there's a lot of runway, still your scale is too small. Can you explain that also, please?
V. Vaidyanathan : You could, but it al

l comes with its own , we just find 20% is a nice stable number to go with, feels comfortable. Our engine can easily and comfortably deliver it. We don't have to strain any credit norms. We don't have to be aggressive at all. We don't have to relax any credit criteria. We don't have to play any fall shorts. We don't have to launch any major new businesses. It's comfortable. And of course, when we put out the number of 20% initially, we were always conscious of capital. Of course, now we are more comfortable. But we were always conscious of capital. That's when we talked 20%. But 20% is a nice number.
If you can stay on the pitch and deliver consistently without any credit cost problem. And fortunately, I hope all of you will agree, including microfinance, including the toll, all put together in the most, let me say, difficult of years, it is still only 2.4 6%. So I mean, only doesn't mean it's very low. I'm just saying it's a good number in the context. So the point I'm going to say is that if you want to come down, if you want to keep tight credit cost control, then without playing a fall short, probably is a good percentage to go with.
Anand Swaminathan: Sure. And on the second question around deposit competition. I just wanted to get your thoughts around like what is happening there? Because even 2, 3 months back, the assumption was that it's a very, very tight market, very difficult to get share. But sud denly, we see all banks kind of racing against each other to cut SA rates, TD rates, a lot of things are happening.
One side, it could mean that the loan growth outlook is coming down or it's just that people have figured out the elasticity on the customer side is not that much. Just wanted to kind of understand what you're thinking on this front. And especially, at thi s pace, will it continue for, let's say, there is another 50 to 70 bps cut. What kind of deposit rate beta we should assume going forward?
V. Vaidyanathan : See, the way we are playing this, we are playing this simply to our need. We are really not so first and are not exactly keeping a very close eye who's cutting how much, etc. We of course, keep an eye because of the same market. But we are more particular about what we need. We are clear we want to grow this because if you want to grow loan book by 20%, loan deposit will grow by 20% for sure, minimum.
Then if you want to fix a little bit of credit deposit ratio, we need to do grow a little more than 20%. Then we've got to pay back some bonds. We still have Rs. 5,000 crores of old bonds, high - cost bonds. And then we have about Rs. 25,000 crores of bonds we raised after the merger. This

has nothing to do with legacy, our own borrowing. They're not high cost, but still they got to be paid.
So we are focused about what amount of funds we need to pay the bonds and to grow the book. And we price ourselves keeping that picture in mind. And that's one thing. And second thing is that we believe that the capabilities we're building, it's not only rat es.
Of course, people talk about rates all the time. But one thing IDFC has built really good, which is I think among the harder things to build. Rates is an easy stroke of a pen. But the harder thing to build is building customer experiences. You trust me on one thing, you can go and check any branch, talk to people, talk to customers.
The experience layer that bank has built for customers, the culture they built within the bank, the technology layer that we build so that the experience layer at the call center, our app, our branches, our VRM, that one to build, the UI/UX, the design, th e aesthetics of it, all this and the culture of being soft with customers, it's very hard to build such things.
Our bank has built that. So I'm just connecting back to this earlier conversation we were doing, it's very, very hard to build that. So our

bank has achieved major success on those fronts. And
rates is one component. We'll use them as a judicious mix of th e 2 to just take what we really
need.
Anand Swaminathan: Sure. That's exactly what I want to understand. So based on your modeling and experience with
your customers, you're comfortable of defending the CASA ratio. You don't expect these rate
cuts to impact the CASA ratios?
V. Vaidyanathan : Yes, we think we'll maintain it. That's why we are not exactly going and cutting SA rates
immediately. We are cutting FD rates because end of the day, money is money, whether we cut
FD rates and get the P&L or we cut SA rates and get P&L. We are choosing t o cut FD rates and
get the P&L. And SA also we will touch, but we'll do it, like I said, like earlier told you what are
the actions we'll take on SA.
For example, on savings account, it's true. We have earlier commented on elasticity, I didn't
answer that, but I will say it now. For example, zero to Rs. 5 lakhs, we cut it straight to 3%. I
don't think people expect us to go that far by cutting up 7% to 3%. We did it in 1 shot. So we
did that. So we do keep an eye on elasticity, and we keep an eye on service.
Anand Swaminathan: Sure. That's very clear. And lastly, on LDRs from the current 93%, where do you expect to settle
down? And what do you think is your steady state?
V. Vaidyanathan : Yes, we should come down to the , our ratio is late 80s.
Anand Swaminathan: Okay. So 20% loan growth then 22% deposit growth, that should be the next 2, 3 years generally
in that way.
V. Vaidyanathan : If you notice how the bank's funding has been done, borrowings, let's take only borrowings,
okay? Borrowings as a percentage of total liabilities was about 48% at the time of merger. Today,
it has come down to only 11%, means we are repaying all the borrowings and running the bank

on deposits. So it's now come down to 11%. Now 11% is good, it's meeting the bench of many
other banks now, many good large banks also.
But we know of one large bank, to the best of my knowledge, so it's on record, so I should be
careful. But we think ICICI Bank is something like about 6.5% or so. So which means the
borrowings is even lesser than us? Our ambition is to go there. So we keep an eye on these things
at this point of time.
So when we will raise more deposits, we'll keep retiring borrowings to become a more deposit -
funded bank, we don't want to be a bank that's borrowing money. We want to be the bank that
funds loans by deposits, not by borrowings.
Moderator: The next question is from the line of Piran Engineer from CLSA.
Piran Engineer: Congrats on the quarter. Most of my questions are answered. I just have a couple of small ones.
Firstly, in MFI, what was the write -off we did this quarter versus last quarter?
Sudhanshu Jain: So Piran, I'll take that question. So if you see, we have not specifically called out that number,
but if you see slippages, right, MFI is about 25%, 26% of the total slippages for the quarter. And
on the write -off also, it's broadly around that range.
V. Vaidyanathan : No, but Sudhanshu you can give a straight answer. The credit cost of the full year for
microfinance is about 10.5%.
Sudhanshu Jain: Yes. Yes, that's the most straight answer to you.
Piran Engineer: Okay. Okay. Fair enough. And secondly, our CASA ratio of 46%, 47%, what's the mix of CA
and SA?
Sudhanshu Jain: Sorry, repeat the question the CASA mix of?
Piran Engineer: So no, no, the mix of CASA, like how much is current account in that 46%? And how much is
savings account deposits.
Sudhanshu Jain: In the average CASA ratio?
Piran Engineer: I'm happy with average or year -end?
Sudhanshu Jain: So CA as a proportion of customer deposits would be about 7% to 8%.
Piran Engineer: Okay. And almost 40%, SA?
Sudhanshu Jain: Yes, that is correct.
V. Vaidyana

than : But we're building a CA franchise, no doubt about it. We're building it. It's coming well. But the
thing is that our SA is growing so fast, CA is finding a tough time catching up with it.
Piran Engineer: And what would be the, let's say, road map out here to get it to say, your larger banks average
of 12%, 13%, 14%?

V. Vaidyanathan : See thing is that our SA is growing so fast that really CA is also a difficult franchise to build
because as you know, the whole ecosystem, you've got to tie up the whole flow of cash and all
that. But in absolute terms, our CA itself is growing by about , CA grew by what percentage

Sudhanshu?
Sudhanshu Jain: CA has grown at about 15 -odd percent, 15% to 20%. I'll just give the exact number.
V. Vaidyanathan : As we speak, we'll try to retrieve the number for you. But the short answer is that we also are building a very good CA franchise. We've developed a really good CA franchise, it may not have caught your attention. We keep talking of loans and all that. So it may not have caught your attention. But in the current cash management business, we built a really good franchise. We have current account deposits of something like about Rs. 4,500 crores that we built. We are really tech ahead on that. Any clients who are using our cash management services are now beginning to talk about it. And so that is a very good way of building our current account franchise. So we're building that.
Piran Engineer: Got it. Got it. Okay. That's it from my end. And just one humble request would be if we could move our results from Saturdays to a weekday. Just I mean, most of the none of the large global banks anyway keep results on weekends and on weekdays you'll also get a lot of foreign investors dialing in.
V. Vaidyanathan : So how does it help actually? Just help us understand 10 seconds only. How does it help if we move it to a working day?
Piran Engineer: No. I mean, firstly, most people are sell -side analysts, buy -side analysts, etc, aren't working on weekends. The second thing is that I'm pretty sure most of the foreign clients based out of London, U.S., etc, would not be dialing in and would rely on a third - party service like a sell - side note rather than a live like dialing in live, right? So I think as an investor I mean...
V. Vaidyanathan : Okay, we'll try next time onwards. Maybe we can , I'll talk to Sudhanshu, maybe we'll try for Fridays or something.
Piran Engineer: That would be really helpful. Yes, please.
V. Vaidyanathan : Yes, we'll try for Fridays because we'd like to have a non -trading day so that we can be more confident about our data and all that stuff. But we'll try for Fridays. Thanks for the thought.
Piran Engineer: Yes, that's true. That's true. But I mean, if you can, that will be great. I'm sure you'll find a way to protect the data.
V. Vaidyanathan : No, it's a good input. No, thanks, we really thank you for that.
Sudhanshu Jain: And Piran, just the data point that you had asked so CA has grown by about 21%, 22% on a Y - o-Y basis. And as Vaidya said, of course, our endeavor would be to take up this growth or increase the CA proportion in the total mix.
Piran Engineer: Okay. And the ballpark time frame for this would be like say 7%, 8% to what, 10% in 2, 3 years?

V. Vaidyanathan : We haven't really thought that , I mean, since we think about CA all the time but we haven't put a number to it, but maybe we'll have a better thought , we'll give you a more thought through answer next time.
Piran Engineer: Okay. Sure, sir. That helps. That's it from my end. Wish you all the best.
Moderator: We'll take the next question from the line of Mahrukh Adajania from Nuvama.
Mahrukh Adajania: Congratulations on your capital raise. I had a few questions. Firstly, what would be the maturity

of our average duration of your term deposits? It's 13% to 15% for most. So what would it be for you?
Sudhanshu Jain: Yes, it would be a similar range for us, Mahrukh.
Mahrukh Adajania: So it will be 13% to 15%. Okay. Okay. And then would you be able to share any proportion between your low -value and high -value savings, so say like below Rs. 10 lakhs, what would be the savings and then above how much, roughly any proportion?
V. Vaidyanathan : Maybe we'll keep some numbers out shared for you something next time. We're not prepared for the question or data for that question.
Mahrukh Adajania: Okay. Perfect. Also just on MFI, how has the April collection efficiency turned out?
Sudhanshu Jain: I think March, as we have reported, we have seen much improved numbers and that typically continues in April.
Mahrukh Adajania: Okay. So April also remains good.
Sudhanshu Jain: Yes.
V. Vaidyanathan : We can share the numbers also, just give me a second .
Sudhanshu Jain: Yes. So maybe I'll talk it out, so collection efficiency, as you would have noted that it was 99.2% for March month and ex Karnataka is at 99.4%, and we have seen a good rebounds in, I would say, a month or so, and the same trajectory is broadly holding up in April.
V. Vaidyanathan : So at 99.4% it takes us back to how , what it was in Q4 of FY24. So let me say, it's normalizing, it's getting closer. But after the scare it has given us, we never want to call the end of the program till it's behind. But I read out the SMA numbers to you earlier. SMA 0 number , I read SMA 1 and 2 numbers to you, that in absolute terms, it is dipping.
Mahrukh Adajania: Got it. And then I have a broad question on opex . Of course, you gave many details on this and the last few calls. But opex now will be a key lever of ROA. So going ahead, so credit card will

be the key driver, right? It's not as if you would be cutting commissions or cutting other opex in other loan segments, right? Because then that will be very volatile, right? You may have to increase it if competition rises in our loan product. So it will largely hinge on credit card, correct? Is that the correct takea way?
V. Vaidyanathan : No, no. Credit cards is one of the business lines. The way we are , if your question is how are we going to cut this kind of cost? Is that your question? Because we are talking of...

Mahrukh Adajania: Yes, we're seeing about a 12% to 13% growth in opex over the next 2 years, Y -o-Y. So the problem is that you may be able to control it in the short term, right? But if competition rises and you may have to incur more opex because of the segments you operate in? So how sustainable is this? And how confident are you that this is going to be achieved? Of course, you've shown a good reduction in opex growth over the last 2 quarters, no doubt. But going ahead, how confident are you of 12%, 13%?
V. Vaidyanathan : See, the best proof is the proof of delivery. So 4 quarters ago, 5 quarters ago, we told you in one of these calls, you meaning not to your question, but one of the analysts, we had mentioned clearly that we will bring down costs because people were worried that our cost was growing at 27%, 28%. So that was a phase that was the bank was going and all that. So the best proof of delivery we brought down, I read all the numbers to you that how it'd come down from 20 % to the 12% now.
Now next year, again, 12%, 13%, we talked about it. We really are serious about it. We are working on it. And if your question is that how will you deliver these kind of low opex growth and still grow the book, if that's your question, let me just say how we're going about it. So there are 2 ways we are going about it, Mahrukh. One is that there is a set of operational cost cuts that is going on.
Operational cost cut is something that Sudhanshu drives personally, meaning under h

is
leadership, he has a dedicated team, which is meant for cutting costs. And they look at item after item in the organization, vision of what is the size of the SMS that's going out, can we reduce it to 2 SMSs in 1, people can plan travel early, plan 4 days at an advance rather than booking on the fly.
Those kind of things. There are a long list of opex for the bank. They keep cutting one by one by one and they keep get some realization of benefits. We do get some Rs. 150 crores of cost cuts through that process every year. The second way how we do this is by transformational projects at the bank. So , I'll give you an example of that, if that helps you, then the 2 of them put together make the full story.
So for the example, second one is supposing we are getting calls in the call center. So we were getting 11 lakh calls. Now when we said that, listen, the customer base is growing on by 20%, now 11 lakhs calls will become 13 lakh, become 15 lakh, become 18 lakh, the bank will become forever keep expanding. So we ran some transformation projects saying that looking at every reason why customers are calling us, then messaging them that information upfront so that you don't call us or figuring out some cultura l, etc .
So that we brought down calls from 11 lakh calls to 8 lakh calls and customer base went up by 20%, so when you cut costs at 3 lakh calls a month, straight away that number of lesser employees, less number of space, less number of premises. These are transformations.
Similarly, if you centralize an entire activity, if you introduce robotic process automation, if you introduce bots that speaks with customers rather than human beings calling customers, call centers calling , collection agents calling customers. So , in many cases, bots are calling customers and collecting money by just sending a UPI link.

So these are transformational projects. So we do both of these to cut cost. But they're not doing something that is cutting the muscle of the bank and we're going to suffer in the long run. We don't do those kind of things. We're building a bank for the lo ng run. We never do things which are unhealthy for the bank.
Mahrukh Adajania: Got it. And I have just 2 data keeping questions. In case you can share the full year MFI slippage, that would be great.
Sudhanshu Jain: The full year MFI, Mahrukh, sorry, the MFI?
Mahrukh Adajania: Slippage, slippage sorry.
V. Vaidyanathan : Kind of Sudhanshu can.
Sudhanshu Jain: Mahrukh, we will give you that number offline.
Mahrukh Adajania: Okay.

V. Vaidyanathan : But we told , we called it the credit cost, end of the day just think of securities...
Mahrukh Adajania: Yes, 10.5%, yes.
V. Vaidyanathan : Yes, we'd called that to you. So that's the most straight forward number we can call out to you. And we think next year it will come down. I mean not think, it will reasonably certainly come down.
Moderator: Ladies and gentlemen, we'll take this as our last question for today, which is from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: I have a few questions, sir. First is on the MFI proportion, where do you think it should settle? I mean, of course, it has been reducing. But at the same time, we have also increased the proportion of CGFMU . Where do you think it should be settling as a percentage of overall loans?
Sudhanshu Jain: So we expect it to further come down because overall loan growth, we are talking of 20%. And given that the industry is still going through, I would say, some things are still settling down we feel that the MFI proportion may come down to about 3% to 3.5% into the next year. We are very cautiously monitoring this portfolio.
Jai Mundhra: Sure. And Sudhanshu, if you would have the proportion of fixed rate book and floating rate loan book, just a ballpark number will also do?
Sudhanshu Jain: Yes.

So we have about 61% of the book which is fixed rate, and which means 39% is floating. And within that 39%, about 30% is linked to repo and rest is linked to MCLR, T bi lls and so on.
Jai Mundhra: Sure. And sir, in your opening , I mean, in one of the questions you answered that consumer loan, the uptick in 30 DPD plus is marginal is only 8 basis points. And anyway, the broader trend is improving. But if you combine this with the loan growth in this segment, the loan growth has been moderating.

The Q -o-Q growth has come down even sharper. Is there anything to read? I mean, you have tightened the underwriting here, that is why the growth is low and the uptick is more visible? Or even it is also , I mean, how to think on this?
V. Vaidyanathan : It's marginal. I mean if you see the trend line, some 4, 5 basis points, every quarter will go up and down, but they're all marginal things. The important thing is to see the trend, every product, if you take mortgage, like about 40, 45 basis points is the SMA 1 and 2.
Every other product, vehicles, MSME, consumer, credit cards, okay, let me take credit card separately. There is vehicles, MSME, consumer, they are all like 1%, stable quarter after quarter after quarter. So we're feeling comfortable about all these things.
Jai Mundhra: Okay, right...
V. Vaidyanathan : We should watch out more and more carefully for the environment, what happened to Karnataka, whether it should happen to any of the state, what is an impact of that on the book? How should our strategy be with regard to lending to the state at all if it bec omes more difficult to lend to those markets.
So these are things we have to constantly watch out for, and we'll play as it comes. But excluding MFI, other businesses of the bank are all doing very well. I mean, they were always well, to be honest. Like we said 14, 15 years, it never bothered us. It's still not bothering us.
Jai Mundhra: Right. And sir, the fee growth, if I look at fee growth ..
Moderator: Mr. Mundhra, I'm sorry, sir, your voice broke, can you please repeat your question or maybe use your handset?
Jai Mundhra: So, sir in the presentation the fee and other income ex mf i has grown by 6.2% and including mfi the combined fee is also touching that line. But within that, the core fee growth seems to be lagging in single digit. I mean any reason we this 14.5% this trajectory is feasible and there's no change in that?
Sudhanshu Jain: Sorry, we couldn't hear you that clearly. Yes, but if you see fee to total assets for the full year, that's at 2.09%, right? So it's quite healthy in that sense. Our quarter -on-quarter movement could be a function of the disbursements in a particular quart er and so on. But we feel that we should be able to grow fees at around 14% to 15% even into the next year.
Jai Mundhra: Sure. And lastly, just an observation, sir. I mean I maybe , I tried to calculate the runoff rate for the nonoperational deposits for the bank. It is straight 40% for the last multiple quarters, I mean it looks , would you gain anything on it based on these revised guidelines, only because of there is a change in the nonoperational deposit runoff , I mean cool off or that benefit is not there in the sense because the already runoff rate seems like 40% only?
Sudhanshu Jain: No, no, as I said, we have a small benefit, which is coming off, like, for example, on trusts and so on because runoff has been reduced from 100% to 40%. But on the contrast, we also had an impact because of the runoff increasing on retail deposits where w e have a higher proportion. There is some impact coming on because of valuation of, I would say, government securities and so on.

Combination of all of this, we would have a small impact about 1% to 2% in the LCR ratio, but in value terms, i

t's quite manageable.
Jai Mundhra: Sure. And last question, sir. You had mentioned about 15% ROE as maybe first milestone. Would you have any time line for maybe 1% ROA for that?
V. Vaidyanathan : Well, we should be very careful with this. But yes, at least we're trying to end of this year, right, Sudhanshu?
Sudhanshu Jain: Yes, it's about to get there.
V. Vaidyanathan : Yes, trying to get there by the end of this year, fourth quarter. But I use the word try to because it looks like we'll get there, but we'll always watch out carefully. But it looks like, it looks like that's what we're shooting for. So can we conclude friends? It's been a while. So moderator, can I close the conversation?
Moderator: Sure, sir. Thank you very much. Ladies and gentlemen...
V. Vaidyanathan : Wait. Let me just give a closing comment. So thanks very much, everybody, for being with us on the Saturday evening. I have to just say that I'll conclude by saying that we are truly building a long -term institution.
The reason I say that is that we do request you to look through 1 or 2 quarters of this microfinance issue more because, of course, credit costs have come down quarter -on-quarter, but still the PAT impact, we do not expect a Y -o-Y growth on PAT at least not in Q1. And then for Q2 onwards, hopefully, we should start delivering Y -o-Y growth meaningfully.
Secondly, I want to say that to look through 1 or 2 quarters, this is what exactly what we requested even the investors who were incoming we told them that look through 1 or 2 quarters, we're building a long-term bank. And that's one. Two is that in building the long -term bank, while all of us are focused on ROA, ROE, which we are, but our true , big focus is building a quality franchise, customer experience, customer friendliness, culture, brand, technology system.
Those things are under the radar, you can't see them, but they are actually contributing to building a long -term franchise. So that's the way we think about it. We request you to just stay with us while we build this out. Surely, it is coming out. It's com ing about and coming up and coming about. Yes. Thanks very much. Good night, everybody.
Sudhanshu Jain: Thank you, everyone.
Moderator: Thank you very much, sir. Thank you. Ladies and gentlemen, on behalf of IDFC FIRST Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2025

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD/ 114/202 5-26 July 31, 202 5

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter ended June 30, 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended June 30, 202 5 conducted after the meeting of Board of Directors held on July 26, 2025, for your information and records.
The above information is also available on the Bank’s website at the following link:

IDFC FIRST Bank - Transcript of the earnings call Q1 FY 2026

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
General Counsel and Company Secretary

“IDFC FIRST Bank L imited
Q1 FY '2 6 Earnings Conference Call ”
July 26, 202 5

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND ,
CHIEF EXECUTIVE OFFICER
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER
AND HEAD OF CORPORATE CENT RE
MR. SAPTARSHI BAPARI – HEAD INVESTOR
RELATIONS

IDFC First Bank Limited
July 26, 2025

Moderator: Ladies and gentlemen, good day, and welcome to IDFC First Bank's Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Saptarshi Bapari , Head, Investor Relations. Thank you, and over to you, sir.
Saptarshi Bapari: Thanks, Avirat. Thanks everyone, for joining this call on a Saturday evening. Today, we have with us Mr. V. Vaidyanathan, MD and CEO of the bank; and Sudhanshu Jain , our CFO. So we'll have the brief from Sudhanshu first on the results, followed by comments from Vaidya. So now after that, we will open the session for Q&A. So right now, I will hand over the call to Sudhanshu for his brief.
Sudhanshu Jain: Yes. Thank you, Saptarshi. First of all, good evening, everyone. I also again thank everyone for joining on a late evening on a Saturday. I'll try to touch upon the key financial numbers for the quarter. Maybe I'll start with balance sheet components and t hen move to asset quality, P&L, capital and liquidity in that order.
I'll try to keep it brief. And let me start with balance sheet size. That stood at about INR3.6 lakh crores at June 30, 25, and this grew at about 18% on a Y -o-Y basis. If we now see further components, then we continue to see a strong growth on the deposit front.
Our customer deposits, in fact, crossed the INR2.5 lakh crores milestone and was at INR2.57 lakh crores at June. Similarly, retail deposits crossed INR2 lakh crores mark. The growth in customer deposits was very strong at 26% on a Y -o-Y basis. If we talk about the CASA ratio, that also improved sequentially and touched 48% at June.
The CASA deposits in value terms grew strongly at about 30% on a Y -o-Y basis. Even on an average basis, we saw a similar growth for Q1. Retail Term deposits, on the other hand, was also grew strongly at 21% on a Y -o-Y basis. If we see retail term deposits and CASA deposits put together, they are now 85% of our customer deposits.
During the quarter, we added 14 more branches, and that takes the branch count to now 1,016.
We also repaid high -cost legacy borrowings of INR2,600 -odd crores in the current quarter.
Happy to report that the residual stock is just now INR2,200 crores and majority will mature in this year itself.
We continue to bring down the credit -to-deposit ratio that is now down to 93.4% at June '25.
This was at 98.1% in June of last year. In fact, incremental CD ratio for last 1 year is at 75.8%.
Connected point, the cost of funds for the quarter was at 6.42%, and this declined by about 9 bps during the quarter.
Similarly, cost of deposits for the quarter was at 6.37%, and this declined marginally by 1 bps during the quarter. You would have noted that we have drastically reduced the peak TD rates in

this quarter as compared to March quarter. This would reflect by way of lower cost of funds with some lag in the ensuing quarters.
On the asset side, the funded assets registered a strong growth of 21% on a Y -o-Y basis to reach INR2.53 lakh crores. Sequentially, the growth was about 4.7%. The growth in the asset segment was largely led by segments like mortgage, vehicles, business banking, working capital loans and wholesale book.
If you go through the presentation, we have given a detailed breakup in Slide 41 of the presentation. Wholesale book grew at a faster pace at 39% on a Y -o-Y basis, and the growth was about 33% on an average basis at June on a Y -o-Y basis. Non -fund book similarly grew by 25% on a Y -o-Y basis.

We have given some more colour on the corporate funded and non -funded book in Slide 39 of the presentation. Very briefly, about 77% of the corporate book is rated A and above and 19% is rated BBB.
We continue to also scale up products like credit card, gold loan, education loan, which are increasing from a smaller base. We have now issued 3.8 million credit cards. The spends on the credit cards were quite healthy, and it grew by about 35% on a Y -o-Y basis. During the quarter, we also had a degrowth of 37% Y -o-Y on the microfinance business because of the challenges, which we have been seeing around this sector.
MFI book is now at INR8,354 crores and is at 3.3% of funded asset book. I will talk about SMA collection efficiency and some of these parameters on MFI slightly later on. If I talk about asset quality, gross NPA of the bank increased marginally from 1.87% in March to 1.97% in June.

Net NPA correspondingly increased from 0.53% in March to 0.55% for June quarter. Excluding the microfinance book, GNPA ratio increase was from 1.63% in March to 1.7 0% in June at a bank level. Provision coverage for the bank continues to be quite healthy at about 72.3%.
This has, in fact, improved by about 296 basis points on a Y -o-Y basis. If I talk about GNPA in the retail, rural and the MSME segment, that stood at 1.82% and increased from 1.70% in March quarter. Net NPA similarly increased to 0.66% and was higher by about 4 basis points from the previous quar ter.
Excluding microfinance, GNPA for retail, rural and MSME segment stood at 1.48% in the June quarter. The standard restructured book continues to come down. It is a very small component at about 0.17% of the funded assets, and we feel it's adequately provided. If I talk about the SMA 1 and 2 pool of retail, rural and MSME book at June, that improved from 1.07% in March to about 1.01%.
The decline was largely because of reduction in SMA 1 and 2 of the MFI book that came down from 5.1% to 2.64% in June. In absolute terms, MFI, SMA pool was at INR315 crores at June '25, and this has declined by 59% post peaking out in December quarter. We have also seen an improvement in collection efficiency for MFI during the quarter, which stood at 99.0% as against 98.1% in the previous quarter.

On a prudent basis, we continue to hold the contingency provision of INR315 crores on the SMA book and hence, no utilization was done during the current quarter. If I talk about gross slippages for the quarter, that increased sequentially by 14% from INR2,175 crores in Q4 to INR2,486 crores in current quarter. We have called out that this included about INR108 crores pertaining to one ATM service provider company, which has been recognized as NPA during the current quarter. We have also made 100% provision on this particular case.
The gross slippage for MFI business decreased from INR572 crores in Q4 to INR514 crores in Q1. The SMA pool has come down significantly, and that's also reflected through lower SMA 0 accretion, which we are seeing. We expect provisions to significantly come down in Q2 on the MFI front.
Gross slippage ratio during the quarter, excluding microfinance stood at 3.54%, which was marginally higher than 3.35% witnessed on an average in last 4 quarters put together. We expect this to improve from here on.
Moving on to profitability. Let me start with NII that grew at 5.1% on a Y -o-Y basis to INR4,933 crores for Q1. Excluding MFI , I'm excluding MFI because that book has been coming down. Excluding MFI, NII grew by about 11.8% on a Y -o-Y basis. The net interest margin on AUM for the quarter moderated by 24 basis points to 5.71%. And the decrease was, I would say, attributed to many components.
Of course, there was a pass -through of repo, which happened on the applicable book. There has been a decline in the microfinance business. At the same t

ime, we have scaled up wholesale
business. And also there was moderation in the investment yields as the rates came down. This was offset to some extent by the reduction in the cost of funds. The decline in NIM, which I mentioned earlier at 24 bps, in fact, would be 17 bps, if we simply annualize NIM based on months for both Q4 and Q1.
Moving on to fee and other income for the quarter, that increased by 8.5% on a Y -o-Y basis from INR1,595 crores to INR1,735 crores in Q1 of this year. The retail fee constitutes most of it, and that is 91% of the total fees. Again, if we exclude MFI business, then NII fee and other income put together grew by about 12.2% for the quarter on a Y -o-Y basis.
We continue to moderate on the operating expenses front. For the quarter, the growth has moderated to 11% on a Y -o-Y basis. Sequentially, opex declined by 1.4% in value terms.
Trading gains for the quarter was strong at INR495 crores. We also did some participation in OMO during the quarter, and the rest of the gains came because of the decrease in the overall system yields.
Operating profit, including trading gains, grew at 19% for us during this quarter from INR1,882 crores in Q1 of `26 to INR2,239 crores in Q1 of '26. Core operating profit, excluding trading gains, improved by 7.8% sequentially to INR1,744 crores. This was, however, lower by 6.2% as compared to Q1 of last year. Provisions for the quarter stood at INR1,659 crores as against INR1,450 crores in Q4 of '25, and this was impacted by higher slippages, which I talked a moment ago.

Credit cost for the quarter, excluding microfinance, marginally went up to about 2%, and this was 20 bps higher compared to about 1.8%, which we saw for the full year of FY '25. I would attribute some bit of an increase to the seasonality factors, which ki cks in, in Q1. We have reported a profit after tax of INR463 crores. This grew sequentially by 52%. On a Y -o-Y basis, it decreased by 32%, I would say, largely impacted by microfinance business and some increase in provisions in the other segments.

Moving on quickly to capital adequacy. Capital adequacy, including profits for Q1 '26 was at 15.01% and CET 1 ratio of 12.80% including the announced capital raise of INR7,500 crores, CRAR and Tier 1 would be 17.6% and 15.38%, respectively, if computed on June 30 financials. We expect this fund raise to conclude in Q2 and we expect all requisite approvals to come in by then. The LCR for the quarter was stable at 118%. This was marginally higher than the previous quarter.

With this, I have broadly touched upon the numbers. Maybe I'll hand over to Vaidya to give his opening remarks.

V. Vaidyanathan : Hello, everyone. Good evening. Really nice speaking to all of you. Away from what Sudhanshu spoke about, I'll just leave some key thoughts about how we think about how we're building the bank. And that has a bearing, of course, in the long term, medium ter m and even short term, but more in the medium and the long. Let me just say that the way we think about it, capital is the foundation. It's a foundation block.

And really even without capital, even the best of business models, even with good returns, good margins, good everything, will go nowhere. So it's foundational. So in our bank, we have a strong capital. We always capitalize ourselves ahead of time. We just don't want to g o low on fuel or on foundation.

And this time, as you know, we have INR7,500 crores that's just around the corner, our capital position is looking very strong. Number two, apart from capital, when we say deposits, as a raw material. If capital is foundation, that is a raw material. So good thing for IDFC Bank is that the deposit continues to come very strong.

There's a slide somewhere in the presentation about how we were paying the premium , rather we were paying over the average cost of funds of

the Indian banking system in 2020 and before

was 280 basis points.

We were paying more than the banking system. In the last 5 years, we have brought it down to just 60 basis points. So that's like a 220 basis points reduction. Shows our ability to grow deposits even after dropping the interest rate, I really think it is some sort of special capabilities we have developed on this front. And it is raw material.

And this raw material is what is what we are counting upon , or this capability is what we're counting upon to be able to grow the bank, which is currently, say, about INR2.5 lakh crores, some day to become INR5 lakh crores, some day to become INR10 lakh crores. And all within our foreseeable future , within our lifetimes and within our working times is what we can achieve and all that can happen only with the deposits. So that's the second thing that we have.

The third thing is about what are we focusing upon, what am I focusing upon on a regular basis? Really, it's not about what we're going to post next quarter because if we build a fundamental model, which has a good economics, then the quarters and results will come well. It's only a matter of time. Today, our NIM is about like 5.7% ? and our fees are about 2%. So , 5.7% plus 2% is 7.7%. And our credit cost, we are guiding always we keep saying 2 -1-2 formula, meaning like 2% gross NPA, 1% net NPA and 2% credit cost. So, 2% credit cost actually translates to about 1.3% on the credit provisions as a percentage of assets. So , you take 7.7% and then you subtract 1.3%, you know you're sitting on a pretty good margin.

At our bank, we don't see , except the microfinance issue that is there, rest than that, things are broadly holding fine. It's quite good actually, I'd say.

So let me say that, therefore, if you're making 7.7%, having 1.3% as the credit cost as a percentage of assets, then you're broadly in a strong economic profitability. The only catch here, which you should be concerned about and which you are, which we wil l answer later, is cost income. So because moment cost/income ratio comes right, then the whole stack is going to be very profitable. So this is on the core economics. Then what is how we -- what I'm looking for at my end?

The thing that is of bother to me is about what percentage of the book is retailized? Are we -- what is our LCR retail percentage? What is our retail deposit coming from branches? It's about 80% now, which we're feeling good about. What is the PCR, which w as -- which has now touched about 72%, 73%. Now we are comfortable there. What is the credit deposit ratio? These are macro parameters.

Credit deposit ratio has now touched 94 -ish-odd percent, which I'm pretty sure will come down to the 80 % maybe early 90s by end of this year and certainly going into the 80s by next year.

And then we are as good as any other bank. It's taken us maybe 7 years to get there from 137% , but we are definitely getting there. So, CD ratio becomes the next item to look at.
Then how really good our digitization is? Is the tech stack strong? Is the tech stack resilient? Is the tech stack contemporary? Are we having the latest architectures of being cloud native, microservices, API, etcetera? How good our UI/UX is? I really focus a lot on that. Ho w empowered our people are? How our team structure is? Is our expense ratio coming down as in the growth of expense year -on-year?
Is our liability losses coming down as a percentage of the book? Credit card losses, is it coming down. Is the bureaucracy creeping in? How to keep cleaning out bureaucracy? How to get rid of old thinking or outdated thinking? Some people may have as organization may develop.
These are kind of things, and my mind is always on all structural things and core economics.
And then once you build this on these foundations, then the thing flies and then the econo

mics
comes. And honestly, this is how I think about it. I've always told you thinking about the bank from the long -run point of view and building a universal bank. So these are kind of things that is there on my mind. I must just tell you that I run the bank like that.
I'm pushing this in the right direction or what I think is the right direction. And because of this approach, then economics will fall in place, and it is falling in place. Of course, there is -- this

microfinance has disturbed the equation. We were going very strong. We were making a loss. We moved to INR2,900 crores of PAT. Microfinance disturbed it. I take full responsibility for it.
But just let me say that it came our way. But barring that one incident, otherwise, like 14, 15 years now, we've not given you shocks. And I hope all of you, who have been with us for a long period of time, will agree with that. Now that's how I think abou t it, the bank, universal bank, long term, long term, long term, and that's how we're building the bank.
Now the next thing is about growth. So as far as growth is concerned, if all of these things fall in place, then how does growth come? I've said this before, but I'll just say this for context that India is a large market. We are a small player. And from a INR2.5 lakh crore, we can keep growing for a while.
And let me just say that in 2010 , if I just put back the history of 2 institutions put together and take it combined, our retail book in 2010 was, as all of you know, was as good as 0, like INR94 crores. It took us 10 years to get to INR50,000 crores. It took us 3 years to get from INR50,000 crores to INR1 lakh crores.
It took us 3 more years to get from INR1 lakh to INR2 lakh crores. you see how things change. So, when I say 3 years, I mean, now as in 2025, June. So I'm talking about the retail, MSME, agri, rural, that part of the machine.
Now , and I'm not saying that again, in 3 years it's going to double. I'm not making that statement to you . We'll have to see the market and how it grows . We have no market share numbers. We have no such targets. We just play according to the merit of the ball. But what I'm trying to say is that when played with discipline, things can grow over a period of time.
Now the good thing is that this whole book that has now come of INR2 lakh crores of the retail, rural, MSME, agri , that book. Now on that front, the asset quality is holding quite well. I caveat the microfinance. I just want to share with you that some people have raised a question at us saying that why do people keep taking out microfinance? You're as responsible for it and you built it, not that someone has built it for you and something.
I must say that, yes, it has happened certainly under my leadership to be very precise. And I'm 100% responsible for it. So the reason why we flag microfinance is not because of the fact that as if it's someone else's job, it is our job. The reason why we flag it is so that they can pinpoint where the issue is. So that's what it is.
So let me just say that we take full responsibility for the whole book, including this piece and certainly this piece. Now coming back to the point, it's been like 15 years and we've not giv en any shocks in asset quality.
Our gross NPA has always been 2%. Net NPA has always been 1%. Our credit cost to assets , if you take a combined period for the whole period, has always been around 2%. Even now around 2%. Even now for this year also, you would take guiding for 2% or 2.05% or something around that number. And earlier, of course, we said, as the year has been coming along, we've been touching it up here or there, but nothing fundamentally. It's not like we moved it around by a

material amount of basis points. So, what I'm trying to say is that it's running at 2 -1-2,

that is
gross NPA 2%, n et NPA 1% and credit cost 2% for like 14, 15 years now. In between as Capital First it is higher also, it is like 2.3%, 2.4% at some point of time, but give or take, in that zone. So that is that.

Lastly, I'd say, probably second last because I want to cover P&L later. But staying on asset quality, one important thing that we are doing , if you see the presentation we put out, you'll find that we give really a lot of disclosure on asset quality since a long, long time. For example, we also share what are the underwriting norms with which we are building the book, what is the basic fundamental philosophy of cash flow -based lending and how we underwrite it.

We are also sharing what is the cheque bounce percentage. Then the next part of the funnel is if cheques are bouncing, what is the collection percentage out of the cheque bounce. We share that information. We share that trend for 3 years at a stretch every quarter.

Then we say, okay, from collection percentage, whatever don't collect becomes SMA. So, we share SMA percentage. Next, we share SMA by product. Next, we share SMA by product by quarter. Then we show after SMA comes NPA, we share NPA. Then we show NPA by product, then we show vintage graphs.

The reason why we go to this level of depth is that there is complete clarity, there's complete transparency about every product in terms of asset quality, and we show credit cost also. So we don't hide our gross or net asset quality by writing -off loans. We clearly show credit cost also.

So all I'm trying to say is that we keep it very clean, crystal clear to you. And if you have doubts, of course, you can ask us even later in the call.

Now finally, I must say that what is our short -term view , meaning like what is a 1 quarter, 2 quarter view and what is a 1 -year view, and let me say what's a bit longer view than that. When you take a shorter -term view, so to say, right now, it's probably pinch from all sides because on one hand, the repo rates have come down, they pass it on to customers. The 50 basis points that happened last quarter, we got to pass it on this quarter. So, you can see that, that is an immediate hit to the income line. We have , the microfinance book that has shrunk by a good INR5,000 crores. So that has shrunk the income line. That's the other negative.

The deposit rates, we have dropped sharply, but that benefit will come in longer term. But right now, it is not yet fully translated into the P&L. So that's still a negative. So, it's all negative on all these 3 fronts.

But good thing is that all of these things will reverse because when you look 1 year ahead, you will have found that the entire fixed deposit of a bank would have got repriced materially. I think Sudhanshu shared some numbers with you, and we have dropped it quite sharply. And the cost of funds will come down naturally , structurally come down because of cutting fixed deposit rates so much.

And then MFI will find its bottom finally. The repo rate cut is cut. I mean we already pass it on. So what I'm trying to say is we'll find the contra of all of these things playing out and what is looking very pinched today. When you wake up maybe 3, 4 qua rters from now, things will look

better, obviously. So, this is how structurally it is playing out. So, the way we think about it is that we're building it for the long run, 1 quarter, 2 quarter, I request you to look it through.

Even when we're discussing with the other private equity investors who are coming in , who were coming in when we were discussing with them 5, 6 months ago, my comment was same to them, what I'm telling you.

I told them, listen, this is an issue coming up for 2, 3 quarters because of 3 reasons I told you. And I told you, please look through it. Just look through it because if you're investing for 2 years, 3 y

ears, 5 years, you can look through or you should look through 1 or 2 quarters, but certainly, I'm not promising anything better than that in the short term.

But you wake up 3 quarters, 4 quarters now, I think reasonable with confidence things will look better. But one thing is there. We are not going to give you credit shocks. Of course, we gave you one on microfinance. I do feel , I do regret that, but other than that, very long we haven't.

And we don't give you shocks growth -wise, it's coming. Deposit is growing. Governance shocks, we don't give you. We don't give you corporate governance shocks. We don't give you disclosure shocks. We don't give any shock at all on all those fronts.

You can sit peacefully through us and help us build a good, high -quality, customer -friendly universal bank like in the league of the other maybe 3 or 4 high -quality banks out there and probably stand among one of them as a good bank that you can be proud of , we can be proud of.

So that's what I'm thinking about, over and above what Sudhanshu shared. So that's about it.

Saptarshi Bapari: Thanks, Vaidya. Avirat , I think we can now open the session for the Q&A.

Moderator: The first question is from the line of Zhixuan Gao from Schonfeld .

Zhixuan Gao : Just on Slide 52, thank you for giving the breakup of the slippages. Just wondering what is the like-for-like number on the -- other than MFI slippage in first quarter of FY '25?

Sudhanshu Jain: Other than MFI, the slippages are INR1,972 crores, right? So, it's across the various product lines which we have. We, of course, saw an increase of about INR350 crores from the previous quarter. But I also mentioned that we had one corporate case, an ATM service provider company, which slipped into NPA during the current quarter.
Rest of the slippage, I also said, is slightly attributable to seasonality, which sort of comes in, in Q1. So , it's across products. So, it's difficult to sort of single out any particular product where we have seen this increase.
Zhixuan Gao : Got it. And what's the number for first quarter '25 for the other MFI slippages?
Sudhanshu Jain: That was INR1,603 crores.
Zhixuan Gao : No, that's fourth quarter '25, right !
Sudhanshu Jain: Q1 of last year is what you are asking? We'll just get back to you on this. But since then, I would say the economic environment has also changed. So that may not be the right comparison.

V. Vaidyanathan : But whatever it is, if we can get it, we can get it.
Moderator: The next question is from the line of Param Subramanian from Investec India.
Param Subramanian: So firstly, on asset quality again, right? So, if we see across product segments in this quarter, there is an increase in the NPA levels and also the SMA levels that you've called out. So, anything specific you want to highlight? A large peer of yours has called out stress in MSME segment. So, anything you want to highlight because the delinquency levels seems to be up.
Sudhanshu Jain: No. So, we have seen a general increase. Of course, we are watchful of certain segments. And so essentially, some part of stress could sort of be there in the rural segment in certain states. We are watchful of that. But having said that, we're also seeing collection efficienc y improvement in some of those states. So, there is nothing as such, which I want to sort of single out or call out.
V. Vaidyanathan : Means Karnataka.
Sudhanshu Jain: Yes, Karnataka. But it's a general increase. I have also said that the slippage ratio, if you see for the current quarter, it's only marginally up vis -a-vis what we saw in last 4 quarters of FY '25. So we are per se not very concerned, but we continue to b e watchful.
Param Subramanian: Okay. Your thoughts on, say, unsecured MSME because one of your peers has called out that there is a rising delinquency here. And also in th

is quarter, I see higher delinquency in the credit card portfolio. So, anything there?
Sudhanshu Jain: Credit card, of course, it has been very range bound. Of course, we saw some increase during the quarter, but I would say that it has remained quite stable over a period of time. Even credit costs have been quite range bound.
V. Vaidyanathan : One thing, Sudhanshu. On credit card NPA has moved to 1.76% actually.
Sudhanshu Jain: Yes. But sequentially, marginal increase, but it has come off from June of last year. So, to that extent, as I said, it is quite range bound. To your other question of unsecured MSME, of course, there we are seeing credit cost, which is broadly similar to the overall credit cost, which we just quoted a while ago of about 2%. So, we have seen some increase, but it's not material.
V. Vaidyanathan : Not material meaning it's broadly in the lines of whatever we've been guiding in terms of credit cost, except for microfinance, which, of course, you point out. Other side, you can see the numbers. I mean, like H2, H1 all put together, like around 2%, Sudh anshu, this year? What are you guiding forward?
Sudhanshu Jain: Yes. So I'm saying at an overall level, we should come at a credit cost of about 2%, 2.05%. This is broadly what we had guided earlier as well. And on unsecured MSME, as I said, we are also seeing a similar kind of a credit cost in Q1.
V. Vaidyanathan : So think of it like a little more this quarter, but coming down in Q3, Q4, stuff like that. I mean in the sense that we are not seeing anything for us to call out that, oh my God, 2% is going to become 2.5% or something like that. I mean I know a few other calls you've heard elsewhere,

people have raised issues to you and all that. We haven't seen anything material like that to call out to you.
Param Subramanian: Okay. Really helpful. Just one last question. So, on margins, there are a lot of moving parts from here, right? So, MFI is coming down, there are actions we are taking on the funding cost side. So how to think about margins from this quarter onwards? Yes.
Sudhanshu Jain: So, we would see definitely some more impact coming into Q2 because of the rate transmission, which is yet to happen completely. But as Vaidya mentioned that down the line, we would also see benefits from FD reduction coming in, and that should reflect in cost of funds coming down more sharpe r in coming quarters.

So, we feel that by Q4, margins should broadly restore back to what we posted last quarter and only caveat there is there could be , still some rate cuts, which could sort of kick in. So, my comment is caveated to that extent. But we are broadly hopeful that margins would, to a great extent, sort of restore back.
V. Vaidyanathan : That's because we cut the fixed deposit rate quite sharply, you may have noticed it. So, we were earlier paying 7.9%, at the peak , when the money was tight, I think during March or something. And now we brought down to 6.75% as the peak rate, which is almost a reduction of 115 basis points.
And in the 1 -year 1 -day bucket, we brought it down to like almost like the big banks, plus 15 basis points or something like that. So, like think about it that we are just 5 years old, 6 years old, and we brought our rates down to the big banks league. So, these things will help the bank actually.
Moderator: The next question is from the line of Anand Dama from Emkay Global.
Anand Dama: My first question is on your capital raising. So you have raised INR7,500 crores. Obviously, the capital is yet to come. Any covenant changes which have happened in that? And is there any risk that basically this capital, particularly from the investor side , not talking much about the regulator, but is there any risk that you see from the investor side that possibly this capital might not come or there could be a delay in that? I

s there any risk that you see?
V. Vaidyanathan : No, we are not seeing anything at this point of time. Not at all.
Anand Dama : Not at all? Okay. Sure. And secondly, on your credit cost. So where do you see your overall credit cost settling for the full year? Secondly, your cost -income ratio also has come down in this quarter to about 69%. Obviously, business, there will be some gr owth, which will actually kick in basically during the year and because of which the DSA cost and possibly might go up. So where do you see your cost -to-income ratio settling over the next 3 quarters? And also, if you can give a guidance on the overall cre dit cost for FY '26?
V. Vaidyanathan : I thought credit cost we discussed earlier. I mean, discussed meaning I had a side talk with Sudhanshu, like 2% to 2.05%, I think, for this year call it like 2.05% , that's our best guess as we can see today. And what was the first question?
Sudhanshu Jain: Yes, cost income.

V. Vaidyanathan : Cost income. The number you're seeing 69% is actually , has treasury income also into it. So, actually, if you strip it out, you'll find that cost income has gone up this quarter .
Sudhanshu Jain: No, it has marginally come down from 75.5% in Q4 to 73.8%. But still, it's higher as we know that it's still impacted largely by the top line impact, which is sort of coming through. But of course, on the operating expenses, we have been able to contain opex to a great extent.
V. Vaidyanathan : If you see the cost to income, ratio, it has like 2 components, cost and income. So, on the income front is where we are seeing, the composition change, microfinance going away , which is a good high-yield book and repo rate coming down, passed on to customers, FD rate not passed on, etcetera.
That is where income, which we believe, will self -correct over the next few quarters. But the cost as such is coming down for the bank. And you can see Y -o-Y growth for the bank is only 11%. So, this is very good.
If the bank balance sheet is growing by 20% and cost is going up by 10%, you can see that the bank is really doing some real work on cost front and operating leverage is more than coming in and a lot of transformation are helping the bank. So you can see that, that is why the cost income is kind of elevated, lesser than last quarter, but elevated. But it will come down. It will come down.
Sudhanshu Jain: And just to add, Anand, while we are seeing this top line impact where NII and fee has just grown by 6% on a Y -o-Y basis. But because opex has grown at these levels, our core PPOP has improved sequentially by 7.8%, right? This was declining for last 2 quarters . I would say , at least we feel that we have been able to arrest the decline, and this would continue to sort of inch up from here on quarter -on-quarter.
Anand Dama: See, as far as treasury gain is concerned, I agreed that basically it's one -off, but I think that should continue during this year as well, right, as the G-Sec will keep coming off.
V. Vaidyanathan : See, treasury, we can never be sure of in life. We generally speaking, how can -- nobody can ever be sure of treasury, right? It's just like one of those things that happens to a life.
Anand Dama: So then for full year, what's the cost -income ratio that -- I mean, the core cost -income ratio that you would look at in FY '26?
Sudhanshu Jain: Anand, it's difficult to guide because there are too many moving parts. But by Q4, definitely, as things improve, this should come down, but it's sort of difficult to pencil out a number as such.
V. Vaidyanathan : Because by that time, we discussed earlier, right, the margin should look better for the reasons we discussed and cost is anyway, we kept it very tight. So naturally, cost -income ratio by Q4

should start coming down.
Moderator: The next question is from the line of Rohan Mandora fr

om Equirus Securities.
Rohan Mandora: So, I just want to understand on the slippages in the seasonality part, what will be the quantum of that in this quarter?

V. Vaidyanathan : I thought we just called it out, right?
Sudhanshu Jain: Thanks Rohan . It's difficult to quantify that, but that usually, I would say, some bit of seasonality comes in Q1. And then the collection efforts are slightly muted and so on, right at start of the year and so on. Typically, Q4 is a strong quarter in that sense. So it's difficult to quantify seasonality as such, but we of course, expect slippages to sort of come off from here on.
Rohan Mandora: Sure. And while you alluded to the fact that the slippages increase overall was across segments of products, but any customer cohort or any category of customers where we are seeing an increase in slippages? Or is it that certain customers have slipped where there are multiple linked accounts? Any colour around that?
Sudhanshu Jain: So nothing of that sort as such, but if you take out that ATM service provider, then the increase is about INR200 crores for the quarter, right? I'm saying -- and sequentially, if we take out that ATM service, the increase is about 9.5%. So, while it has increased, but we feel that it's not that kind of large increase , which has come through.
Some bit of, of course, increase is there. But if you see from a slippage ratio point, right, which I mentioned earlier, right, that's quite stable, right, at about 3.5%, and that was a similar trend which we saw in last year.
Rohan Mandora: Sure. And nothing even on the vintage analysis perspective? It's spread across the board?
Sudhanshu Jain: No, nothing as such to call out.
Rohan Mandora: Sure. And sir, what will be the outstanding AFS reserve?
Sudhanshu Jain: Outstanding AFS reserve? We'll just get that number.
Moderator: The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life AMC Limited.
Himanshu Taluja: Just a few questions at my end. Particularly on the opex front, given this year, we see most of the banks are showing improvement on the operating expenses growth because this is one lever where banks can play around. Can you help me understand over the medium term, not in FY '26, but in FY '27, '28, how do you expect the operating expenses growth versus your advances growth? And where do you expect the cost -income ratio to settle over the medium term? So that's my first question.
Sudhanshu Jain: So Himanshu, thanks for the question. So operating expenses, we will continue to sort of moderate, and it should stay in the range of about 11% to 12% that kind of growth in the near term as well. And we have already guided on cost -to-income ratio of 65%, which we are targeting for FY '27, but still hope and belief is that we should try to come in ther e. So, we will try to ensure that we exercise diligence and proper controls around the operating expenses.
V. Vaidyanathan : But some of the events have also changed since then. So just keep a word of caution there, Sudhanshu, because the microfinance, this, that, repo rate, so many things have happened. So just keep an eye out on that. But we are at least attempting to go in the direction. To your very specific question about what we expect the opex growth this year, next year, year after that, at least internally, the way we're thinking about it, if you remember, when we spoke about this, last

quarter or before that also, we've guided that we expect this year to FY'26 to be around 12% to 13%. But it looks like we're going to not reach there also. Like Q1 has been only 11%. So, think of it like we're doing sligh tly better than what we must have guided before , on the opex front. I don't mean cost income , I mean opex because like you rightly said, it's in our h

ands. Now '27,
'28, at least the way we are thinking about building the bank, we think more like 12% or so. So 12%, 13%, probably there.
Himanshu Taluja: So, do you expect around 600 to 800 basis points is there, where you can have the opex growth lower than the advances growth? Is that the right understanding?
V. Vaidyanathan : That's how we are thinking about it, yes.
Himanshu Taluja: Yes, sure. Sir, second is on the MFI -- yes sure.
V. Vaidyanathan : Because we grow the book by about 18% and if opex grows by, say, 12%. 12% is okay, Sudhanshu to say?
Sudhanshu Jain: Yes, broadly.
V. Vaidyanathan : Yes. So that's how we're thinking about it. Yes. I mean I want to say if you can write it 12%,

13%, but we're trying to do 12% actually.
Himanshu Taluja: Sir, second question is on the MFI business. Probably given this MFI, the proportion of the mix, which is there, probably it has come down over the last 1 year, and it may not go back to the earlier levels as well.
What is given this is as an implication on your overall margins, how much of the permanent damage you expect on the margin front? How one should see a more normalized , because once this pass -through of the repo rate will happen and even on the deposit side as well, what is a pretty normalized margins one should expect going ahead?
V. Vaidyanathan : See, I'm not sure if you discussed earlier in the call or not, but like 5.8 -ish or so is what we expect Q4 to be, right, Sudhanshu?
Sudhanshu Jain: Yes, or slightly higher, but only caveat, which I said is also contingent on repo , any more repo rate cuts, which will sort of come through.
V. Vaidyanathan : Come through. So, for now, let us say, Q4, we're thinking like 5.8 -ish. Now , next year will be next year. We'll have to see how it plays out. There're so many moving parts, but that's how we think about our business model. That's why in the earlier example, right at the opening part of the call, when I said , when I was trying to drop the ROA tree for the bank, I told you about 5.7% actually. I said 5.7% and then I said 2% for fees, I said 7.7% and I said 1.3% credit cost. That was the stack I was speaking to you, saying that that's how we are thinking about the bank. Now it all comes down to cost/income ratio, but that we answered earlier that as the events play out, we think by Q4, it should look better.
Sudhanshu Jain: Just to add on MFI, we expect the pace of decline to sort of reduce because the book has already come off significantly. To that extent, the impact on NIM, because of MFI, should be slightly lower. Because slippages are coming down there.

Himanshu Taluja: Yes. But once this segment will normalize, will you start growing this piece again what -- this piece again in FY '27?
V. Vaidyanathan : It's an important question. Let me answer that. So the answer is, yes, we want to grow it. So this business, of course, after 8 years, 7 years, it has its own cycles, we agree with that. But with every cycle, every learning, the next part of the cycle stretches out longer because people learn. In this case, our own thinking is that probably it will bottom out at about INR7,500 -odd crores. It's currently about INR8,500 crores.
Sudhanshu Jain: Yes.
V. Vaidyanathan : Yes, like there. And then from there on, wherever industry grows, we'll probably keep in line with the industry. Let me make it simple to you that this is a really good franchise we have built. It's a really, really good franchise. It's not just because this major incident happened in mind. I have no intention of shutting it down or closing it or things like that. It's a really good business. We have people on the ground. We have built fantastic relationships, processes, technology, systems, reaching out a bottom of pyramid, weaker section financing, weaker section PSL, SMA PSL. There are so many benefit s.
So y

ou've got the way we think about , it is that we got to do 2 things so that we protect ourselves. There are many benefits I already told you. What we need is protection. So, protection is we take a CGFMU cover and then maybe watch it very carefully.
Himanshu Taluja: Yes, sure, sure. Sir, just a suggestion, the way you have put in the disclosures around the asset quality earlier -- in the earlier presentations in the previous quarter, you have also used to disclose a lot on the cost side also, say, some of the segmenta l-wise as well. If you can incorporate some of those -- because I think if I have glanced it carefully, you have not put such disclosure this time on the opex front. If you can put it that, would be very helpful.
Sudhanshu Jain: No. In fact, it is there. We have given cost income segment -wise in the presentation. It's on Slide 65 of the presentation.
Moderator: The next question is from the line of Piran Engineer from CLSA.
Piran Engineer: Congrats on the quarter. I just had one question on repo pass -through. So, let's say, the repo rate was cut on 7th or 8th June, when does that pass -through happen on your EBLR book?
Sudhanshu Jain: So that pass -through to a great extent will happen in Q2 on the June cut. And I would say some bit of repo transmission for the earlier cuts would also have an impact in Q2.
Piran Engineer: No, no. Okay. But does it happen, say, after 3 months or gradually within 3 months.
Sudhanshu Jain: So, let me further clarify. Generally, say, a repo is changed on a particular month, there is a cycle. So, if a customer's loan will get reset once in 3 months. So, it depends on when his last change happened. So that's how the transmission will happen through the quarter.

So hence, we saw some bit of repo transmission of the February and April cut in Q1. And as I said, because it's 3-month criteria , some bit of spillover could happen into Q2. But June would essentially come largely in Q2. So that's how the repo transmission will happen.
Piran Engineer: Okay. Okay. Got it. So even the April transition, transmission has not fully happened then because someone's due date could have come, let's say, on 15th May. So for that guy, it's only for half the quarter -- half of 1Q. Is my understanding correct?
Sudhanshu Jain: Yes. So I'm saying someone whose last reset was in March would have completely got reset in Q1. Somebody where last reset was in, say, April -- a loan was taken in April, for him, the transmission will happen into the next quarter. So, it depends on the cycle when you have sort of availed the loan. And that's as far as the existing loans are concerned. For the new loans, of course, that transmission would be immediate and depends from bank to bank in terms of how you want to sort of pri ce th e loans in terms of lending.
Piran Engineer: Understood. So then -- so Sudhanshu, then my question is now we are 5.7% NIM, we want to go in the next 3 quarters to 5.8%. Obviously, 2Q will be lower. How much more do we need to cut our TD rates by to reach that?
V. Vaidyanathan : No, no. We assume where we are currently.
Piran Engineer: So that alone is enough to go back to 5.8%? Just the deposit maturity pattern is enough to take us to 5.8%?
V. Vaidyanathan : That's what we think because capital is also coming .
Piran Engineer: So your -- the deposit cost -- Okay. Fair enough. Got it.
Moderator: The next question is from the line of Jayant Kharote from Axis Capital.
Jayant Kharote : This is a more qualitative question on credit growth. Very few of the banks have been able to manage this growth in 1Q. So I wanted to understand June, July trends and if there are any segments that you want to call out that can drive the recovery from 2Q onwards? And also general credit environment, are you seeing any stress buildup in any segment, which wasn't there in 4Q?
V.

Vaidyanathan : So, we have actually put out how this growth is coming. So, if you take a full 1-year Y-o-Y, you could see that INR22,000 crores has come from business finance, which is basically wholesale banking loans, business banking, working capital, CV/CE , etcetera, etcetera. So that's INR22,000 crores. And then INR5,200 crores is coming from vehicle loans growth and INR8,400 crores is coming from mortgages growth, mortgage basically home loans and loan against property.
So these are the 3 levers that have materially contributed to the growth because the total growth is INR44,000 crores. Out of INR44,000 crores, we are explaining INR22,000 crores plus INR5,200 crores plus INR8,400 crores. I think that's together it will come to 82%, if you do the math.

So that's what it is. Now in terms of credit, I think Sudhanshu answered it earlier, but I'll say it again, that broadly, if you see SMA data of almost all products, they are all holding like similar like what it was in the prior quarter, and you can see t hat also. So, interest rate, one family of products, let me say, within every product family, say, MSME, there may be 7 or 8 products. Within that, one product may be higher, one product may be low. For example, in consumer loans, there is also vehicle loans, consumer loan, education loan, credit cards, gold loan, everything is there. Out of this, something may go up, something may come d own. But broadly, broadly, all put together, like the zone we talked about, like that 2 -ish or 2.05, which is not any materially different than what we've said before.
So, it's 10 basis points here or there. So that's what it is actually. So , there could be interest rates some up and down, but we are not calling out anything specific to say that there's a concern or anything of that.
Jayant Kharote : Sir, do you see increased competition? I mean, right now, the competition levels would be lower in unsecured credit, for example. Do you see that returning in Q2 and Q3? Should that have any effect? Or basically, I'm trying to understand what is not -- is it a demand issue? Is it a supply issue? Or is it just everybody waiting until the bureau scores point to a better macro numbers ?
V. Vaidyanathan : No. Let's get a question clear, if you don't mind. So, are you trying to understand, about growth or asset quality because I need to answer it more precisely?
Jayant Kharote : Yes. Actually, I'm trying to understand for unsecured credit. There are two players, who have reported decent growth at scale, but most of the system still doesn't seem to be there. So, we are trying to understand if it's still that asset quality comfort at a system level, not specific to IDFC, but more from a system level because you would be seeing it in the competition levels that you face on the street.
V. Vaidyanathan : Yes. So of course, we know that some members have talked about higher credit cost and something here or there. But I already answered this question maybe a few times that we are not

seeing a material call out for us , on the credit quality front because asset quality is holding good. Gross NPA is still 1.97% , net is still, I think, 0.55% or something. And then the credit costs are already publicly announced. We already said the number is going to be 2%, 2.05% or something like that. And maybe let's call it, 2%, 2.05% is a close estimate at this point of time. So nothing material to call out. Now in terms of how we expect the -- how we are seeing in the market and so on and so forth, sometimes we should be careful when we see the market, and therefore, we should double and triple check our numbers.

For example, the credit cards. For many quarters now, some institutions or other have been pointing out some credit issue, but we are not seeing anything in credit cards, and we've been reporting our numbers publicly for the last m

any quarters. In fact, we specifically call out credit cards as a product and we call out what is the gross net, etcetera. So, we watch, but we should be confident about what we're doing also.

Moderator: The next question is from the line of Jai from ICICI Securities.

Jai: Sir, I mean, you have given the CASA number together, which is like 30% Y -o-Y growth. If you would have the number separately for CA and SA in rupees crores for this quarter and maybe Y-o-Y Q-o-Q also, just to get an understanding of the growth in CA and S A separately?

Sudhanshu Jain: Jai, thanks for the question. So, we are broadly getting a similar growth in CA as well, but the CA as a proportion is still smaller for us, right? And that's about 15% of the total CASA. Our, of course, endeavor is to increase this CA proportion as we sort of go along.

If you see for players who have been there for long, this ratio is typically higher at about 20%, 25%, right, of CASA or CA as a percentage of total deposits, the ratio is more around 13%, 14%. For us, that ratio is around the 7.5%, 8% mark currently.

V. Vaidyanathan : So we have a work to do basically on the current account front. And actually, see, like we are lower, let me say, on the CA front as compared to what it should be. But in the industry, generally speaking, building CA is a harder task. But we certainly feel that we should , because we are a good bank, tech is good, reach is good and so on and so forth, we believe that we should be able to get , we're at least striving to get to industry numbers, yes.

Jai: Sir, I was trying to understand the SA movement in the last, let's say, 1 or 2 quarters, a lot of banks have cut SA rate drastically, right? And we now have a significant advantage over peers in terms of at least the SA rates. Has that shown in dramatically in the balances because that was not visible just by looking at the CASA number in total. So that was the idea to understand, of course, if we are, let us say, sacrificing a bit on cost, are we getting the desired throughput?

V. Vaidyanathan : I think so. I mean it's just -- I don't think because end of the SA growth is very strong. So, see, in as in management and anything, it's very difficult to see what is hitting right for somebody, right? It's a combination, it's a brand, it's a tech, the UI/UX. It's a very, very good mobile app.

If you don't have the bank account, you should really test out our mobile app. Our tech stack is very good. So, our public presence, in the sense, is good. So, there are so many things that are going well. Our culture is good. Service levels are good. The service rate is also good.

It's very difficult for us to pick what is working for the bank, but something is working , as a combo is working somewhere. So, in fact, we've cut FD rates. The reason why we cut FD rates more like sharply and meaningfully is that as and when we cut , let's say that 1 year goes forward , our entire fixed deposits balances of about INR1 lakh crores gets repriced downwards, let's call it, like 90, 100 basis points.

Can you imagine what a material benefit it will be for the bank in the subsequent years in '27, '28, '29, '30, I mean, assuming we can maintain this kind of rate. So, because you got a structural advantage. So that's how we think about cutting FD rates because we will see the benefit of it in subsequent years because it's structurally come down. SA is in our hands. We can cut it any time we want. We just want to make sure that there is enough money in the bank that we pay off all our bonds. We still have to pay INR30,000 crores of bonds, not high cost, but to refinance and everything. So, we pay off everything with this money, and it's still cheaper than our , many of the other borrowings.

Jai: Right. No, sir, I was just looking at the ti

ming of -- if we want to cut SA rate, then maybe this is the time, right? I mean SA rates by the peer banks have come down to historical low levels.

V. Vaidyanathan : But many of the peer banks have not cut the FD rates to our rate. See our rate, if you take 1-year rates , we are like in the zone of the big banks. Other banks don't cut it that rate. So, people have

chosen to cut one or the other or moderately cut both. We have sharply cut the fixed deposit. I mean it all comes back to the same thing. Everything contributes to cost of funds, but cutting FD structurally cuts it.
Jai: Right. And sir, just on margins, right? So, this quarter, let's say, we have a decent 60%, 65% fixed rate book, where the impact would have been very smaller, except for the mix change. And let's say, 50 basis point yield compression has actually resulted in 25 basis point yield NIM reduction, righ t?
Because there's not too much change in the cost of funding at all, right? Similar things could happen in Q2, right? The remaining 50 basis point yield impact comes and then there is no material change in the cost of deposit and maybe the similar NIM outcom es. Is that a decent mathematics?
V. Vaidyanathan : Yes, of course. I think you got it right. That's why we pointed out that , you could have a situation where we , if you remember right at the beginning, I pointed out that your Q1, Q2 will go through this phase, where income will come down and cost of funds will not have come down proportionately. But we have mentally factored in because we're looking ahead. And when you look Q3 or Q4, things will even out. And that's why we said this , Mr. Sudhanshu said earlier, like 5.8%, he expects to claw back. But Q2, we expect our NIM to come down.
Jai: Right. Last question, sir. We are now a large bank, right? And one of the fastest growing. On the Board side, just a small observation that we have one Executive Director, which resembles some of the small private banks. Whereas the large private banks, th ey have multiple EDs. So, when do you think we would hit that we would -- that time would come when we may have more than one ED?
V. Vaidyanathan : Thank you. We'll think about it. We do think about these things at the Board. So, we'll think about this one also.
Moderator: The next question is from the line of Harsh Modi from JPMorgan.
Harsh Modi: Definitely, it seems like your asset quality is holding much better than peers on the delivered numbers. But are there any early warning signs, let's say, 3 or 6 months from now, if we do end up getting some sort of weakness, what may be the possible areas where -- which could lead to slightly higher NPL stresses on your book?
V. Vaidyanathan : So, what would be a material number, Harsh, that you would worry about? I'll answer the question accordingly. Would you say 5 basis points would bother you? Would you say 10 or 20? At what stage would you say that we should have called out?
Harsh Modi: Like, say, 50 bps delta.
V. Vaidyanathan : How much?

Harsh Modi: 50 bps delta.
V. Vaidyanathan : 5-0?
Harsh Modi: Yes.
V. Vaidyanathan : No, we don't think there's anything that's moving the button like that for us. Had you said 5 bps or 10 bps, I would have said, yes, maybe some products can. For example, if you think of a rural market and you find that, okay, you've got the MFI business. Now are there any other businesses that can give you a little more higher credit cost than the other? Yes, like I told you that 20 products, something will give more, something will give you less.
So, would you say, can the numbers change by 5 basis points, 10 basis points? Yes, of course, we are running a bank, anything can happen. But 50 basis points, no, we don't think like that at all. I mean , we don't think we'll give you that kind of a surprise.
Harsh Modi: Right. So incremental is very limited 5, 10 b

asis points because there is a bit of a dichotomy here. We have multiple banks, NBFCs, big and small saying there are some degrees of risk that are watching certain segments, MSME, some CVC E, microfinance is an ongoing issue.
But your commentary seems to be reasonably sanguine. And definitely, a lot of it has to do with your underwriting and your standards. But I'm just trying to figure if there is a risk 3 or 6 months down the line, which may be growing, but as a market, we ar e not fully aware of...
V. Vaidyanathan : No, I generally believe your concern is a valid concern because if we give you a 50-bps shock , like tomorrow if we came back to you by end of the year and said, "Oh my God, it's not going to be 2% or 2.05% and it's going to be 2.55%, right? I'm thankful to you that you gave me a number so that now I know what your benchmark of a material movement is , it will make 50.
Now do we think any product of the bank would take us that zone? The answer is no. Do we expect our H2 to be in a credit cost average book? In fact, we think could be better than H1. We think , Q2 could be like probably in the zone or probably Q1, Q2 could be probably similar, I'd say, in terms of give or take. But Q3, Q4 is actually, we feel at this point of time.
And frankly, we've not gone very wrong with our numbers for the last many, many years. We model this all the time and keep projecting it forward. We've not gone wrong with the past. Our

own benchmarks say that Q3, Q4 should only be better. We don't expect it to like go the other way around.
Your concern is can 2% or 2.05% become 2.55%? No, we don't think so. So, we'll watch, since I see that you are concerned. So you're seeing other people's numbers, other people's commentary. We don't have those commentaries to give because we are not seeing data to suggest anything like that.
Moderator: The next question is from the line of Vishal Biraia from Bandhan AMC.
Vishal Biraia: Just a small thing that GNPAs on the home loan as well as LAP on a sequential basis has increased by about 14, 15 bps. Could you give as to why is this happening?

Sudhanshu Jain: It's a marginal increase. Home loan in fact, have come down.
V. Vaidyanathan : I'd like to point to Page 49. We want to see how it has gone up. Where has it gone up actually? So, 0.84% is the gross NPA and 0.52% is the net NPA for home loans. Correct?
Vishal Biraia: Yes exactly. So, my question is from 70 bps to 84 bps on a sequential basis.
V. Vaidyanathan : Okay. I mean last quarter, it was 70 bps. Okay. It's not on my sheet, so I'm not able to compare. But really, there's nothing to call out. Also, maybe the book is probably slowing down. We are not growing it that much. So, think of it like that. But nothing like when we see , nothing that should materially bother you on home loans.
And anyway, home loans, as you know, is a very stable thing. It doesn't disturb us. Home is anyway stable, right? Neither for us nor anybody in the whole system, home has given any trouble. Don't bother.
Vishal Biraia: Fair enough. And my second question is on the MSME side. Is there a change in the pace of disbursement on the MSME front? I mean I'm assuming LAP would also largely indirectly be MSME financing. So, if you combine both, is there a change in pace of disbursement or anything that you can highlight because a lot of banks and a lot of NBFCs have been highlighting some sort of stress or potential stress on MSME front ?
V. Vaidyanathan : I know we said this many times in this call, has come about and other people are saying this and pointing out some concerns. Well, we also want to be very reasonable, but we are not seeing any material slowdown or anything like that. But you see for our overall business finance book , which has wholesale loans, wholesale loans has grown, and the rest of the book is muted only.
Anywa

y, it's not growing dramatically, as you can see. If you take a quarter, so you see March '25, the business banking book is INR9,700 crores, the CV /CE is INR7,500 crores and other MSME, long tail is INR14,000 crores. You can do the math offline; you can take these three numbers together. Then in June '25, it's INR10,000 crores , INR8,300 crores and INR14,000 crores. If you add them up, give or take, maybe it's been flat.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question of the day. I now hand the conference over to Mr. Vaidyanathan, MD and CEO, for closing comments.
V. Vaidyanathan : Yes. Thank you very much for staying up this long and participating with us. I want to just assure you that we'll be careful. Except microfinance, we don't have anything to particularly call out. Like I said, there are some 25 product lines, something will go up, something will come down. But broadly, we are in zone of where we said. We've discussed it many times. Many callers asked this question.
One of the callers specifically mentioned -- Harsh, I think, mentioned clearly, what is the material movement in that 50 basis points. I want to assure you we are not thinking anything that line. If you heard it from anywhere else, maybe you can reflect cl osely, but we don't have anything to call out like that at all. 10, 15 basis points can always happen.
We are running a business, can happen always, but nothing material has order we talked about.
Like I said in the beginning, we are very focused on building a quality brand, quality bank, good

journeys, good systems, good technology. All these things will eventually play out in the way the bank will come about.
So that's what it is. So, look forward to seeing you next quarter. And look forward to material improvement from us, let me say, by Q3 or maybe Q4. Basically, that's when the whole economics change , because of the funding cost changes by that time.
Sudhanshu Jain: Yes. Thank you, everyone.
V. Vaidyanathan : Thanks very much. Bye.
Saptarshi Bapari: Thanks, everyone, for joining. Thanks.
Moderator: Thank you. That concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirstbank.com
IDFCFIRSTBANK/SD/ 190/202 5-26 October 23, 202 5

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter and half year ended September 30, 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter and half year ended September 30, 202 5 conducted after the meeting of Board of Directors held on October 18, 202 5, for your information and records.
The above information is also available on the Bank's website at the following link:

IDFC FIRST Bank - Transcript of the earnings call Q2 FY 2026

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
General Counsel and Company Secretary

"IDFC First Bank L imited
Q2 FY '2 6 Earnings Conference Call "
October 18, 202 5

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND ,
CHIEF EXECUTIVE OFFICER – IDFC FIRST BANK
LIMITED
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER
AND HEAD OF CORPORATE CENTER – IDFC FIRST
BANK LIMITED
MR. SAPTARSHI BAPARI – HEAD INVESTOR
RELATIONS – IDFC FIRST BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to IDFC First Bank's Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone.
I now hand the conference over to Mr. Saptarshi Bapari, Head, Investor Relations. Thank you, and over to you, sir.
Saptarshi Bapari: Thanks, Dorw in. Thanks, everyone, for joining this call so late in the evening. First of all, I wish you the best for the upcoming festivities. Today, we have Mr. V. Vaidyanathan, the M D and CEO of the bank and Sudhanshu Jain, our CFO and Corporate Center Head. So we'll have the update from Sudhanshu on the business and financial performance of the bank, followed by some comments from Vaidya, and then we can open the floor for the Q&A. So Sudhanshu, up to you.
Sudhanshu Jain: Yes. Thank you, Saptarshi. Good evening, everyone. Thank you for joining in. I'll start with certain key numbers for the quarter. I'll try to keep it brief. And maybe I'll start with our total customer deposits that has grown at a healthy pace at 23.4% on a Y -o-Y basis. This has now touched about INR 2.69 lakh crores . And the average customer deposits grew by 24% on a Y -o-Y basis.
If we look at retail deposits, that there also the growth has come quite strong, and that has grown at 24% on an average basis and about 21.4% Y-o-Y on an end -of-period basis. The bulk of the deposit growth is also contributed by CASA deposits, which has grown Y-o-Y by 26.8% on an end -of-period basis and by 32% on an average basis. Period end CASA was at 50.1% and the average CASA ratio stood at 48.6% at the current quarter end, and this was 46.3% at the same time last year.
We opened about 25 branches during the current quarter, taking the total branch count to 1,041 branches. If I quickly move on to loans and advances, that also grew by, I would say, at a steady pace. It increased by 19.7% on a Y -o-Y basis to touch INR 2.67 lakh crores . We saw a healthy growth across the Mortgage segment, the Vehicle Loan segment. We saw some growth coming back in Consumer loans. We saw a healthy growth in business banking, wholesale loans and so on.
We did see some increase in disbursements in Q2 over the last quarter. Microfinance portfolio, if I talk about that, however, slightly degrew to INR7,300 crores from INR8,300 crores in the previous quarter. Here also, while we have seen some increase in disbursements in Q2, but the runoff were higher, which led to this decrease.
MFI book is now about 2.7% of the total funded assets. Also happy to report that the insurance coverage on the outstanding microfinance portfolio has now touched 77%. If I talk of credit cards, that I'm again happy to report here that the total credit cards issued by the bank have crossed 4 million mark during the current quarter and the book has now touched INR 8,600 crores .

The spends on the credit card were quite healthy and it grew by about 36% in H1 FY26 on a Y-o-Y basis. We also launched a credit card in partnership with Indigo in this quarter.
If I talk about wealth management, then here, the AUM continues to grow at a steady pace, and it grew by 28% to touch about INR55,000 crores . All in all, if I take into account customer deposits and loans and advances, then the total customer business has now touched INR5.35 lakh crores and grew by 21.6% on a Y -o-Y basis.
If I move to asset quality, I would say that we have seen a sequential improvement in NPA and SMA positions. Let me start with NPA numbers to give a perspective. On the NPA numbers, the gross NPA of the bank imp

roved by 11 basis points to 1.86% from 1.97% in the previous quarter. Similarly, net NPA of the bank improved to 0.52% from 0.55% of the previous quarter.
If I talk of the Retail, Rural and the MSME segment, gross NPA improved by 9 basis points to 1.73%. Similarly, net NPA on the Retail, Rural and MSME book improved to 0.63% as compared to 0.66% as of the previous quarter. We continue to maintain a healthy PCR and that stood at 72.2% as of September 30, 2025.
If we now see the flows, then the gross slippage has come off during the current quarter that reduced by roughly 9% and net slippages improved by 13% sequentially. While this was largely on account of MFI, the gross slippage ratio for the other portfolio was lower by 15 bps during the quarter at 3.39%.

In terms of collection efficiency, we see a stable performance at 99.5% for early bucket ex MFI. And for MFI, it marginally improved from 99% to 99.1%. If I talk of SMA positions, then here also, we saw an improvement. The SMA of retail, rural and MSME book improved from 1.01% to 0.90% during the current quarter .
If we see here, excluding microfinance portfolio, the SM A improvement was about 7 basis points. In microfinance portfolio also, we saw significant reduction in the SMA position and that was reduced by 88 basis points. The reduced SMA positions also indicate that the asset quality could be much better in the ensuing quarters.
If I talk about profitability now, we have reported a profit after tax of INR 352 crores and INR 815 crores for H1 of FY26. Net profit grew by 7 6% on a Y -o-Y basis on account of core income growth and the reduction in provisioning.
On Q -o-Q basis, it degrew, however, by 23.8% due to much higher trading gains in Q1 FY26, which was not there in this quarter. If I further break some of the components of profitability, then NII grew by 6.8% on a Y -o-Y basis and improved from a Y -o-Y 5.1% growth registered in Q1 FY26.
Net interest margin on AUM of the bank reduced by 12 bps on a sequential basis to 5.59% from 5.71% in the previous quarter. This was largely due to the impact of repo changes in Q1 FY26 and asset mix changes, including further decline in the microfinance business, which I talked about.

We feel NIM has largely bottomed out in this quarter. If I talk about cost of funds, that improved by 19 basis points on a sequential basis and cost of deposits also improved by about 16 basis points in the current quarter.
Moving on to fee and other income that grew by 13.2% on a Y -o-Y basis. Growth here also improved from 8.5% Y -o-Y growth shown in Q1 FY26. As I said earlier, trading gains were much lower. That was at INR 56 crores in the current quarter versus INR 495 crores in Q1 FY26.
As a result, total operating income, including trading gains grew by 7.5% in Q2 FY26 and operating expenses grew by about 12.5% in Q2 FY26 . If you see the H1 FY26 Y-o-Y opex increase, that is about 11.8%, while the total customer business , as I said, grew by 21.6% in the same period. This clearly indicates operating leverage playing out.
If I now talk about operating profit, happy to report that excluding trading gains, the core operating profit has improved by 4.6% sequentially. And this was largely led by, as I said, improvements in the income levels . If we take into account trading gains, this reduced by 16.0% sequentially on account of the higher treasury income , which we had in Q1 FY26.
Moving on to provisions that reduced by 12.5% Q -o-Q from INR 1,659 crores to INR 1,452 crores . This was primarily on account of lower provisions in microfinance book. Overall, credit cost percentage improved by 45 basis to 2.2 4% during the quarter. Excluding microfinance, the credit cost for the overall loan book was around 2% in H1 FY26 and broadly stable at numbers which I had reported in the previous quarter as well.

Bank has utilized a microfinance provision buffer of INR 75 crores during the quarter on account of the reduced stress which we have seen in MFI, and we continue to carry about INR 240 crores as a contingency provision here.
Moving on to the last section, which is on capital. The capital adequacy ratio, including profits for H1 FY 26 was at 14.34% with CET1 ratio at 12.2 7%. If I take into account the conversion of CCPS, which will happen into equity pretty soon, the CRAR and the Tier 1 would be 16.82% and 14.75%, respectively, if computed on the financials as of September 30, 2025.
Average LCR deposits were at 115% for the quarter and broadly around our guided range.
With this, I broadly conclude my opening remarks on certain key numbers and hand over to Vaidya for his opening remarks.
V. Vaidyanathan: Good evening, everybody. Thank you very much for joining us this evening for Q2 FY26 results. The way we broadly look at it, things are getting brighter for quite a period of time. As you know , the credit in the country was going at a pretty tepid pace.
But I think with a lot of releases from the RBI, CRR cut, the 100 basis points of repo cut, even ECB norms, easing of the IPO market, etc. has boosted the flow of funds, and we are hoping that this will start releasing up and opening up credit market more in the country.
At the same time, as all of you know, the government gave the income tax rate and the GST cut and capex is going strong. Some indications that construction numbers are looking good

and cement numbers, electricity, GST E-way bills. So all of these things are beginning to look

better.
We are finding that the rural markets consumption is looking a bit better. The urban market, as you know, durable financing, 2 -wheeler growth was quite tepid. They were not even growing at 3%, 4%, but during GST cut, it has certainly grown a lot more.
So we have to wait and watch whether this is a onetime bump that's happening or is it more permanent , a quarter or 2 quarters from now, we'll see whether the GST lift can sustain. But nevertheless, our bank and the way we look at it, since we are coming off a relatively low base, we are not exactly indexed to the growth of the Indian market, that's probably more an issue or more to think about if you're a really, really large bank, which we are not.
For example, our own book has grown from about INR 40,000 crores , book meaning the Retail, Rural, MSME book has grown from INR 40,000 crores at the time of merger in 2018 December, in fact, less than that, about INR 35,000 crores . Today, it's already touched about INR 2,10,000 crores . So it's like 5 times . So it's not that the market has grown 5 times during this period. So this is an example of how the base effect does make a difference. So we believe that because of a low base effect, we can grow, we've already grown by 20 odd percent. And if we need to grow more, we can, of course, open more markets, etcetera .
The good thing is that , so where am I focusing upon? I'm really focusing upon building capabilities at the bank because the building capabilities is a fundamental thing because the Indian digital ecosystem is opening up so much, but it's only a good use to us only we can participate in it and leverage that play.
So building capabilities, digitization, building the necessary aesthetics, design, building necessary capabilities within the organization. For example, right now, you'll be happy to note that our bank is now developing the ability to give out 1 million loans a month. That includes about 6 lakh consumer durables, about 1.2 to 1.3 lakh two-wheeler financing, about 1.5 odd lakh credit cards. And imagine giving out close to 1 million loans in a month.
Obviously, human beings cannot be sitting and underwriting a million loans. So , our ability to have the necessary scorecards

for underwriting, for fraud management, for collections, these
are the current capabilities being built at the bank.
Similarly, the second big focus for me is the ability to bring ourselves together as a universal bank. So when we say universal bank, then at that point of time, while most of you think of us like somebody who's raising current account, savings account and lending out money and giving out 1 million loans a month, that's probably an image of us, which is because that's what you see most of the time and many of you are our customers and then you can comment upon our service levels and all that.
But in parallel, we are building a really good cash management business at the bank that requires capabilities, that requires builds. We are building out a really good wealth management business at the bank. We started off at INR 1,000 crores in 2019. Today, it is INR 50,000 crores . And we believe as India is getting richer or certain class of Indians are getting richer and they all have some investable surplus it becomes a big opportunity. We want to

grow this to INR 2 lakh crore to INR3 lakh crores and we certainly think it's possible the way we're building the foundation blocks.
The third thing we're building as a universal bank is we're still launching out while we are doing well on assets, we're still launching our product after product in the lending side because we don't want to be complacent. We are rolling out gold loans, we're rolling out tractor financing, rural financing , KCC, the list is long. We need to build proper priority sector capabilities at the bank. We need to make sure that credit quality continues to hold and all that.
So basically, these are really the capabilities that we're building in the bank. The third thing that I'm focusing on is being able to structurally build it right. That's very important. For example, even now, our credit deposit ratio is 94%.
Well, 94% is not great. It's actually I'd say, below par. We started at 169% if you add back credit substitutes. But the point is , that it is still 94%. Now we've come a long way, but 94% is 94%. It's not mid -80s.
So therefore, now we are still focusing on building deposit franchise. So we still have about INR 25,000 crores of borrowing that we still need to repay. So as a bank, we are raising money for two purposes. One is we want to grow our loans by 20%. We need money for that. If a loan book is about say, INR 2.5 lakh crores grew by 20%, you need to grow the loan book by INR 50,000 crores .
So we need to raise INR 50,000 crores plus CRR, SLR on top of it. But it doesn't stop there. We need to also raise the money to pay off the bonds, which are still maturing at us. So therefore , this is important. We are not replacing this money with fresh borrowings because then our credit deposit ratio will never gets fixed.

So these are structural things. So that's what I mean by saying that my third big focus area is to build it correctly. For example, borrowing as a composition of total deposits and borrowings . Now we have come down to 8%. I'm really happy about that because we were 48% at the time of merger . So now at 8%, it looks kind of respectable and in league of the big banks.
The fourth example of this, and it's an important example is how do we get deposits . So I'll give you a really material proof of how much progress we have made. The best way to understand the retailization of deposits is the LCR retail deposits because there are two ways of computing what is the amount of retail. One is what the retail branches are originating.
So theoretically, they could also be going to SME originating a INR 20 crores or INR 30 crores account or a INR 10 crores account. So if you, for a minute, leave that aside, on that account, we are 80% but if you leave that aside and you compute the retailization

, which is
LCR retail, which is what we report and every bank discloses, we were 12% in 2018. So this was a big problem for us because we were basically on 88% of bulk money.
Now we have already reached 6 5% and which is in the lea gue of the big banks, big banks, meaning the large 4 private sector banks, maybe a little more than them, so probably in that zone. So now we are as retailized on the deposit side as the big banks. We feel happy about

that. On the lending side, we are as retailized, probably more. We are now 80% of the book is retail. So that gives us some stability.
So these are the things that is on my mind that build it right. I told you one is build capabilities. Other thing I'm saying is build it right. Because if you build it right, then we can continue to grow year after, year after year for the next 5 years, 10 years and life can go on.
And if you don't build it right, then somewhere along the way, you have to apply brakes and then it won't be happy even for anybody. So this amount of time that has gone in building this kind of structural things is a really good thing happen ed in the bank.
The other last example of building it right is capital. So we have raised enough capital now, and that makes us feel very comfortable. And we are pretty sure by the time we come to the market for the next round of capital, the numbers, our ROA, ROE, etcetera , will be smelling quite good, and we can raise from a position of strength.
So the other thing that we are focusing upon is keeping the rank and file of the organization entirely focused on the customer. I really hope many of you are our customers and you might just see how the quality of the app we have built or how quality of digitization we have done, how the customer experience journeys are, how our employees talk to you when they talk to you in branches or from the call center, etcetera.
So, I personally focus a lot on that. I really sometimes get upset if any of our people have not dealt with customers well or they are giving a run around to customers and all that, it really bothers me. And so we focus a lot on that. Very few times , I get upset, but this will be probably the most important reason, which I do, if I do.
So we really focus on customer service, and I ’m personally very keen on launching really good products. Now that's the other thing that I focus upon to see that every product that comes to the market, there is something special in it. We have for 6 years or 7 years, built this philosophy that IDFC products are very good, whether it's a savings account or the credit card or whether it is personal credit .
We came out with zero prepayment fee option in personal credit if taken digitally from us and if it's not sourced through DSA because we don't do that for DSA based business because we pay the DSA upfront. And if we give prepayment fee off, then it's a straight loss to the bank. We don't do that.
But come to us digitally and take a loan digitally, no prepayment fee. On savings account, again, we came out with a zero fee offer, etcetera . The point I'm trying to say is that we try to focus a lot on building products. And lastly, I'd say that technology to stay completely cutting of technology. I mean, our senior management is all focused on technology. Everybody understands it, and that helps us building a good bank. So let me just say that we've done all of these things.
Now looking ahead, based on these few things I talked about capabilities, I talked about way of building it. Looking ahead, our own sense is that this microfinance issue is behind us. It's really taken a lot out of us in the last 5 or 6 quarters. Many of you may have almost begun to

lose confidence in us. And I can understand that because you don't see the full visibility of wha

t we can see. We can see next 2 years, 3 years, 5 years, we can see this bank can grow at 20%, but you can't see that.
So I can understand if you felt disturbed over the last 6 quarters when we are going through the microfinance crisis. But if you remember, we always used to tell you during microfinance crisis issue that it is only a microfinance issue. And that is very important. You might have seen our SMA numbers, NPA numbers which we'll talk about later.
Really, we take pride in the fact that for every single business line, we now disclose trailing 5 quarters , please note this trailing 5 quarters, we disclosed the gross NPA, we disclosed the net NPA, we disclosed the SMA 1 and 2 and then trailing 5 quarters, if we're doing wrong somewhere, we'll spot it.
For example, in the mortgages business, you might have seen , I don't have the number off hand, but the numbers had slightly gone up. Yes, I got it right now. It's gone up from 0.39% to 0.54% if you take a 5 -quarter trend. I don't think you would find this kind of data , maybe others give, but I can tell you that w ith this kind of depth of data we feel very clean because we put out everything in public domain. It is for you to judge the good and the bad. We are quite happy to note that the vehicles SMA for 5 quarters in a row is at 0.96%, which is very, very good .
Our MSME number, well, last quarter has gone up from 1.16% to 1.27%, but that's kind of marginal. It's not like very material, but 5 quarters have been stable. And consumer durable is stable at less than 1%. Credit cards is like 1.5%, but for a credit card business, 1.5%, 1.7% is considered quite good. So, we put out this number of SMA, we put out a number of gross NPA. They're all stable. You can see it somewhere in the presentation. Our net NPA numbers are all stable.
So the point I'm trying to say is that our issue was only MFI. We called it out. We are through with it. And we believe that quarter -on-quarter, we don't believe we're going to disappoint you, frankly, because we don't see any red flags.
We should look out, I should say, for red flags because th is Trump tariff issue is there and some part of it we should watch out. But really, when we are seeing it right now, it looks stable to us when we've done our internal analysis.
So coming back to the point, it was only a microfinance issue. We've been like 15 years in this business for most of you tracking 15 years, you must have never seen a credit issue from us. And microfinance happened to happen. So this is all I can say that except that , things are looking quite good.
And let me close with th e point that we are frankly looking ahead with good optimism. It is our biggest pride that our asset quality has held very well for 15 years. We don't want to spoil that record, and we are very cautious about that.
And now in terms of the key thing for us , in a financial performance sense, is to improve the cost-to-income ratio, which will come. You have to trust me on this, it will come. The reason

why it didn't come in the last 2 years, and it's a pretty open secret, it doesn't require great math to know. The reason it didn ’t come is that actually our cost itself came down. You can see the cost growth is not more than 12%, 13% now for a book growth of 20%.
So you can see operating leverage is building up positively. But why is the cost -to-income didn't come down? It didn't come down because of the same microfinance issue, we degrew the book from INR13,000 crores to INR7,000 crores . So we lost INR6,000 crores . Imagine you're earning 24% on INR6,000 crores and it's gone, like INR2,000 something crores .
So that kind of income reduction happened from the gross income sense, even net of credit, net of interest cost, still a big amount. So that amount of income got affected. The fee income got affected. So it is mo

re an income level issue that happened to us, not the cost issue. So cost is coming down and next year onwards when the book starts growing and income starts coming back. And if we can maintain our opex less than 30%, which is what we are guiding for , which is what we're trying for.
And if the book grows 18% and opex grows 13%, you can do the math and you can see the operating leverage at play. And by the way, if you take the last year also, the book grew by 20 - odd percent but opex grew by only 16%. This year also, book is growing by 20%, opex grew by only 13%. So you should see that the bank is truly coming good on this front.
And cost -to-income will come down. If you do the math on a spreadsheet, you will spot it. We can see it from within. So that's all I have to say, and we'll take it from here some questions.
Moderator: Our first question comes from the line of Akshay Jain from Autonomous.
Akshay Jain: Starting with margins. As you mentioned that margins have bottomed out this quarter. But how should we see margins moving in the next 2 quarters? Like should we place 4Q '26 margins to somewhere near the 6% number of 4Q '25?
Sudhanshu Jain: Yes. Thanks, Akshay, for the question. So in the last call also, we had said that we expect

margins to definitely improve in Q3 and Q4. And my sense is by the end of Q4, the margin
should be definitely upwards of 5.8%. We are also penciling in one more repo cut when we are
giving this guidance.
Akshay Jain: Understood. Okay. And number two, CASA ratio has now touched like around 50% odd. Like
should we expect you to use the lever of SA rate cut? Like kind of highest amongst the larger
banks on SA, is the SA rate cut on the cards, which should also improve the NIMs?
V. Vaidyanathan: See, that is one lever we can press any day. It's in our hands. Question is I want to press it now,
press it 1 year from now, 2 years from now. The reason why I'm using this kind of horizon to
you is that our credit deposit ratio is still 94%.
So we don't want to jump it on too fast. We want to raise the deposits. I know if we did it, if
we cut the SA rates, we'll get some straightaway benefit to the P&L and everybody will be
happy. But I can give you happiness a little later also when we do it.

But for now, we are more focused about building , I told you one of the key things at the top of
the mind is always building it right. And one of the items of building it right is bringing credit
deposit ratio to mid -80s. So we'll take it as it comes.
Akshay Jain: On asset quality, while the MFI slippages have halved this quarter, but the non -MFI slippages
continue to be around like, what, INR20 billion -odd number? Like any sectoral color on where
is this slippages coming from? And how should we look at the non -MFI slippages going
ahead?
And even on the MFI, like should we assume that this was the last quarter of pain, everything
will be back to normal from next quarter, and we should start seeing growth in the book? And
resultantly, like how should we look at credit costs for H2 and F Y27?
Sudhanshu Jain: Akshay, as you rightly said, MFI slippages have drastically come down. And for other than
MFI, if you see in terms of slippage ratio, that has, in fact, reduced to 3.39% from 3.54% in the
previous quarter. So definitely as you would have noted, the SMA positions have improved at
September.
So we definitely feel that this would be on a downward trajectory into Q3, Q4. And our overall
guidance on credit cost still stays around that 2.05%, 2.1%, which we had guided in the
previous quarter. H1 credit cost, if you put together, it's about 2.45%. So definitely, because
we are anticipating a lower stress going forward, the credit cost in H2 will be much lower to
that number of 2.05% to 2.1%.
V. Vaidyanathan: And that is one thing. And sometimes just take this number o

f 2.1% we say and we say that
second half, we are seeing will be better. And frankly, last quarter itself, we told you that our
numbers will be better this quarter and which they are. Now we are saying it will be even
better next quarter. We watch the numbers. It will be. So rather we feel confident about that.
And we feel Q4 also it will be good. So we are feeling it quite , because at the end of the day,
it's very simple, very mathematical. If our SMA is good, credit cost will be low , as simple as
that. And our SMA is low. SMA is a feeder bucket for NPA.
Now I just want to make one important point here that we -- when we call out the numbers, we
take it as a percentage of loans and advances , okay? Because some institutions report as a
percentage of assets. So we feel that if you did that, then our number will come down to maybe
1.4% or 1.5%. Just want to flag it so that you are comparing the right thing.
So when we divide the assets, it’s the whole assets, the loans, it's loans and advances. We feel
that loans and advances are more representative way because you lose on loans, you don't lose
on assets. So just keep a picture in mind when you put the number.
Akshay Jain: Okay. And on ECL impact, have you done any impact analysis for IDFC? Larger banks have a
big provision buffer, which they can use, but IDFC doesn't have that big provision buffer. Like
how do we look at ECL implementation?
Sudhanshu Jain: While I would say it's early to sort of quantify any impact here. But in my view, on quick
assessment is that there would be a provisioning increase, which will happen for Stage 1 and

Stage 2 assets vis -a-vis the current standard asset provisioning norms. RBI has also suggested
certain floors.
But this could get partly offset by the lower provisioning requirement on Stage 3 assets. As
you know, because the bank has been following a very conservative provisioning norms, right?
Our PCR is at 72%. Hence, while on an overall basis, there could be some increase on overall
provisioning levels on transition, but that, as I said, the quantification we still need some time
to sort of give some guidance on that front.

The bank has already started working on transitioning to the ECL framework through, I would say, 3 work streams because it involves data management, it involves model development, it requires finally a system implementation.
One more thing I would want to bring to your notice is along with ECL, there would also be an application of effective interest rate, which comes into force where acquisition costs net of processing fee will be amortized over the residual life of loans. So this would be, I would say, slightly a positive benefit for us. So we have to see both of these things in conjunction. So that's how we are currently looking at the ECL framework.
Akshay Jain: Understood. And lastly, again, on the draft credit risk, so have you done any analysis on the benefits which you'll get from that framework?
V. Vaidyanathan: This should marginally be positive.
Sudhanshu Jain: Yes. So I'm saying like all of these are expected to kick in from April 1, FY27, right? So I just spoke about ECL, even on credit risk RWA, there will be a positive, net positive to our capital ratios. Third thing which I want to bring to the notice is in the RBI Governor's statement, he also did made a mention that the final guidelines, while they have been sort of there for the revised operational risk capital charge, right, that still needs to be notified.
If we go by the maths or the formulas which were given in that proposal, that could be quite positive for us in terms of implementation. And my sense is that could also sort of come in around the same time. So, taking all of this together, maybe ECL and the credit risk RWA and operational risk RWA, I think we will be broadly neutral on the capital front on t

ransition.
Moderator: The next question comes from the line of Param Subramanian from Investec.
Param Subramanian: Just to go back to how we are looking at the exit for this year. So what are we broadly looking at in terms of , so you mentioned on NIM, 5.8% plus. We were talking about 0.9% to 1% ROA by Q4. Does that still stand broadly? And in terms of credit cost, if you could just broadly talk about where we will be looking at by Q4?
V. Vaidyanathan: I'm not sure we can exactly pin 0.9% or 0.1%. We got to see as it comes because there are so many moving parts. But directionally, we can say that the credit cost should come down, margins should go up. So, we are feeling like more positive about next quarter and quarter after that. Sequentially, we feel that Q -o-Q next 2, 3 quarters should look good.
Sudhanshu Jain: And, sorry, just to add, even on the core income, as you would have noted in my NIC, that all has shown an improvement in Q2 vis -a-vis Q1, and we expect that trajectory could continue.

Param Subramanian: Sure. Fair. So broadly, you're saying that in terms of credit cost, since you're holding on to that guidance of 2.05% to 2.1%, so which means credit cost in second half should be, say, 1.6%, 1.7% is what you're talking, right, and more or less that level in Q4?
V. Vaidyanathan: Yes, you take it at 2.1%. Yes, even last call, we talked about 2.1%. When we do our modeling for Q3 and Q4, we do expect the credit cost to come down. So such that blend -blend it should come down to this number we're talking about. Again, I want to just caution it's percentage of loans and not assets. So yes, I mean, I guess maybe second half should be like 1.8% or so. And I don't know if the blend takes you to 2.1% or so, we can do the math again.
Param Subramanian: Fair enough. Very helpful. So now coming back to that point on...
V. Vaidyanathan: Which basically means that the credit cost of next quarter should trend downwards, Sudhanshu.
Sudhanshu Jain: Yes, yes.
V. Vaidyanathan: And then maybe Q4 will flatten out from there. That's where our eyes are when we do the modeling. I just want to put a word of caution so that you do your modeling correctly.
Sometimes models can go a little bit off by some basis points here or there. But broadly, what we talked about in that zone, we should be in the zone. I've done business long enough to just say to put that caveat into it to know that because life does throw surprises here or there, some 10 basis points here or there, anything can happen generally speaking.
Param Subramanian: Fair enough, Vaidya. So all things being equal, you would think because that's a comment I picked up earlier that you would think that the non -MFI slippage, which actually picked up in Q1 and that is clear, right. That absolute number should start declining from Q3, Q4, right, basis what your SMA...?
V. Vaidyanathan: I think you should not focus so much on slippage, etcetera , you should focus more on credit cost because end of the day, it all comes down to credit cost because something slips, something comes back, right, you have a gross, you have a net and all that.
So net -net, 3 numbers are the best numbers, actually 4, I'd say, SMA, gross NPA, net NPA, credit cost. Within this 4, literally, you will see the credit quality of any book, I guess, and for us also. So you track us for credit cost because end of the day, that's what the profit and loss account. And overall, see, because the thing is that we don't exactly know how much the repo will come. Who knows how much will come down, maybe 25, maybe 50, God knows. So

therefore, there are so many moving parts.
So what you should expect from us, though, is that quarter -on-quarter, our profitability should look better like into next quarter as well into Q4 as well. Just think about it directionally than picking a specific

number.
Param Subramanian: Fair enough. So now coming back to that question on...
V. Vaidyanathan: And also let me add that we still have not , Sudhanshu, I don't know if you mentioned or not, we have not fully utilized this INR315 crores provision that we have created. We used only INR75 crores . So balance is still with us. So we plan to use that up because now microfinance

issue is behind us. So that also will give us that kind of cushion for us going forward. And that's factored in the numbers you were talking about.
Param Subramanian: Fair enough. Vaidya, so now coming back to that question on SA rate cuts. So potentially, so if you see most of your peers, the larger balance sheets, right, like names like IndusInd Bank, YES Bank have actually cut very aggressively on their savings rate, right? Even some of the smaller balance sheets have cut on the savings rate, I'm talking about the midsized banks. So why can we not use the lever at least to the extent of where the market is, which is at least 50 basis points below you? You would still be a market share gaining entity, which you are very aggressively at this point in time on CASA. So if you could give us a sense around when you will really use this lever because we appreciate the LDR comment that you need to bring it down, but CASA can still grow even at a lower rate, right? So if you could give some color around that?
V. Vaidyanathan: See, listen, you're giving...you are Param, right? You are Param, right?
Param Subramanian: Yes, yes.
V. Vaidyanathan: Yes, Param, I said you're giving Sudhanshu unnecessary handle to beat me up all the time because he's told all the time to cut it. And I'm the only one who is holding up this rate, okay? So let me give you my logic because Sudhanshu will be more in your camp, okay? So my logic, and I'm quite firm about this now.
The reason is very simple. At end of the day, if we do this, let's remember that SA rate is even now coming down , coming to us at like 5 -point something, let me call it 5.8% or something, 5.6%.
Sudhanshu Jain: 5.8% Vaidya.
V. Vaidyanathan: Yes. Now that's still cheaper than fixed deposits. It's coming at, say, 7%. So if you cut this and you need money, where will you go, you'll go and raise it on fixed deposit. So you will get a temporary joy because profitability will look up straight away and there will be cheers all around. But you'll go around back to the market and start raising a fixed deposit at higher rates. So I have a choice to make, whether I make everybody happy today or make people happy tomorrow. So I choose to make people happy tomorrow. So this is how I think about it. And therefore, we are holding back this card. I can use the card any day. What happens if we take 1 year forward, right?
If we did cut the same thing 1 year forward, that joy will appear then, why use up all the cards today. So that's my thinking. My thinking is that you keep the CASA here, fix our loan -to-deposit ratio, the credit deposit ratio under control, b ring it to mid -80s. And then when everything is aligned and pay off all the bonds.
So at that point of time, there will come a time today or tomorrow, maybe tomorrow, when our all the bonds will be paid off, the only need for growth will be to fund loans. So that's when the pressure will be less on us to raise money, the credit deposit ratio would be fixed.

Maybe some more branches also would have come that will give us , if you notice, we don't have enough branches today, okay? We have 1,000 branches. And for the kind of deposits we're raising 1,000 is a really high productivity branches for the bank. So maybe we'd like to have some more footprint in the country so that we are much more broad -based in terms of reach.
So in all these things come, then it's the

time to cut the rates so that we can do it with peace of mind. Today, if we cut SA rates, I'll be a little on the edge, not knowing which new problem will come next 6 months from then.
I just want to be safe and conservative about this short answer.
Moderator: Our next question comes from the line of Sameer Bhise from Dymon Asia.

Sameer Bhise: Congrats on a steady quarter. Just had an observation that if you kind of look at some of the peer banks and where we started this quarter around the previous earnings call, obviously, the margin performance has been quite better than what we thought at that point in time. But some of the peer banks probably have kind of even reported expansion in margins. So I think how would you kind of look at it on a comparative basis? Obviously, we haven't cut SA rates, but that just gives us additional ammunition. But have we kind of seen relatively slower decline in cost of funds? If you could elaborate on that?

V. Vaidyanathan: It's very simple, Sameer, very simple. Now we have , for example, we had a choice like many other institutions have done of cutting SA rates by 50 basis points straight off, okay? And cutting term deposit by 50 basis points, they have done that.

Many have done that. So what does that do? That gives straight cash to the P&L. And of course, they go and they fund themselves subsequently through maybe other means in the sense that maybe they fund themselves through term deposits and savings or whatever they do.

Now in our case, instead of exercising that choice of going 50 bps and 50 bps, we have chosen to go 100 bps into term deposit, so if you wake up 1 year from now, the net effect to the P&L is the same because CASA is 50%. So therefore, net effect to the P&L 1 year from now will net-net be the same. But I would still be sitting on this huge, let me say, this lever, which we can press, it is like Indradhanush. I can use it any day I want. Why should use it today only.

So I'm playing the long game. As you know, everything decision you've taken for 5, 8 years have been long, why suddenly become a short -term play. So we are playing long. We say, okay, let the benefit come to the P&L over quarter after quarter, let it take 4 quarters, let it take it? No problem. But at least it will be more firm, I mean, we'll be on steady footing.

So the way others have done it, they've got some upfront , not upfront, sorry, they've done it in the best judgment and in the right way. But they have taken it the SA route, I have taken the FD route. Mine takes 1 year to get new results. They're giving instant benefits. So it's a choice different people have made.

Sameer Bhise: Got it. Got it. And secondly, just to pick your brains on the ECL plus EIR combined impact. Would it be fair to assume even if the net outcome is, say, marginally negative, it should not be

meaningfully impactful on the ROA, maybe say single -digit basis points. Would that be a fair assumption?

V. Vaidyanathan: Sudhanshu just explained, it's marginally positive for us. That's our assessment on it.

Sameer Bhise: Including the EIR impact.

V. Vaidyanathan: Let Sudhanshu explain.

Sudhanshu Jain: Yes. So as I say, I explained from a capital point of view on transition, it should be marginally positive. In terms of flow, of course, there could be some impact. But as I said, it would, to a great extent, get negative by the year, which sort of comes in.

V. Vaidyanathan: And to your previous point, just to make one comment, Sameer, just to close to put a proper lid to it. The thing is that other organizations , we should remember this very clearly, there are many other organizations have been banks for 20, 30 years or even if they become an NBFC, there are some NBFCs which became banks, but they did not start with a huge book to deal with on the corporate side, infrastruc

ture side. They just became a bank overnight, and then they dealt with it. Our story is different. So therefore, for us, this loan deposit ratio is a big issue.

Number two, having to pay off bonds, even if an NBFC became a bank, they did not have huge bonds to repay off some legacy of somebody -- some other institution. So therefore, I request all shareholders to be patient because this is a different starting point. You're sitting at INR 56,000 or INR60,000 crores of borrowings, which the bank starts with at merger. Nobody else that I know started with that. So I have to pay off every of that INR56,000 crores and I have to pay off few deposits. I still have to pay INR25,000 crores .

So therefore, the strategies that anybody who thinks long, we have to factor for this, we have to pay it off, and that's why we're playing this game differently, saying that bring the deposits in. And again, so because of this reason that we got to pay off, again, loan deposit ratio, I told you mentioned earlier, we got to bring it to the 80s. Maybe others don't have these issues. That's why they SA cuts rate and went ahead with the breathe through it. We'll take our time, but that's how we build institutions.

Moderator: Our next question comes from the line of Zhixuan Gao with Schonfeld.

Gao Zhixuan: Congratulations for the quarter. Just want to understand on the vehicle loans. This quarter, we have done very well, almost 12% quarter -on-quarter growth. What's driving that growth? We buy some portfolio previous quarters is more high single -digit sequential growth?

Sudhanshu Jain: So of course, on 2 -wheelers, as you would have seen in the past also, we have been gaining market share there. We have been expanding in that business. So that is definitely giving us

more volumes. During the last, I would say, last part of the quarter, we also saw some pent -up demand typically in the last 10 days because of the GST announcements which came in, and that has given us this lift. We expect some bit of this traction could continue in Q3 as well.
V. Vaidyanathan: Sudhanshu uses this word market share by the way. Just to make it clear to you, I tell everybody in the bank never to use these words called market share and all that stuff. We are

small players. So small players don't use these big words , rather not big words, but we don't use these terms internally.
But broadly, I'm commenting because Sudhanshu used that term market share. The reason I don't normally look at that is that we feel that we are relatively a small player and whether on savings or current account or loans also for that matter.
So we think more in terms of the opportunity that is there and the capabilities we build, the digitization we build, the journeys we build, the assisted capabilities we build, we believe that we build all these things, then whatever share comes, comes. That's how we think about it.
Gao Zhixuan: That's very clear. And just a data keeping question. What's our MFI credit cost before the buffer reversal in rupee crores this quarter?
V. Vaidyanathan: Yes, give or take, like I said, our experience through the cycle was like something like about 10-odd percent after the crisis started. Before that, it used to be 1.9%.
Gao Zhixuan: No, sorry, this quarter, the rupee credit cost.
Sudhanshu Jain: We are not calling any, I would say, portfolio specific numbers here.
V. Vaidyanathan: Because then we'll have to go down the path of calling out every account and that involves another level of detail. Frankly, our level of detail is already quite high. But I told you roughly in percentage sense, depending on quarter -to-quarter, sometimes 6%, sometimes 10%, but that is the kind of zone that we experienced in this whole episode.
Gao Zhixuan: Got it. Understand. Sorry I may have missed that for the non -MFI credit cost in percentage this

quarter, you were saying how much was that?
Sudhanshu Jain: Yes. So it was broadly stable around the 2% mark, which was even there in the previous quarter. So for H1, the credit cost ex MFI is about 2.03%.
V. Vaidyanathan: And we have been in the zone now for like 13, 14 years. You go back and pull all the records of capital costs also on credit cost and divide the average book of those days, you'll find roughly the same , it used to be more like 2.5 -ish percent because those you were lending at 18%. When we were lending at 24 -odd percent used to be like 2.5 -ish percent and 18% was about 2.5%.
Now of course, our lending yields have come down quite a lot, but we're running at about 2%. That's why we always guide the market like not now, if you remember, if you pick up the first annual report of IDFC First Bank after the merger first 2 in both times and even the latest one, I have again reiterated that we are running a formula of 2 -1-2. We run a guardrails in a way that we run a gross of 2, net of 1 and credit cost of 2. That's the broad number we shoot for broadly in the bank. Current numbers are a little less than that you know.
Moderator: Our next question comes from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: I have a couple of questions. First is on MFI book, right? So I think we have the disbursement is higher format versus last quarter, but the book has run down by around INR1,000 crores . So

how do you see this book shaping up in terms of would you believe this will keep running down? Or you think there is , at some point of time, it will start growing in rupees crores and in percentage of loans?
V. Vaidyanathan: Our own guess is that by end of this year, it should stabilize, like it should taper off on the low bottom side by end of this year and then grow from there. We want to grow it, just to be clear, we want to grow it because it has many benefits like we talked about. So there should be no doubt, it has private sector, it has weaker section private sector requirement.
It makes money. The industry has learned its lesson. So hopefully, it will -- this lesson will stay learned at least for 5, 6, 8 years more before where the next crisis comes, we don't know. But at least for a reasonable period of time, the members stay on people.
So, we think that we'll want to grow it again once this -- actually, we want to grow it already, except that since the runoff is so fast, it should taper during end of the year and pick up from there.
Sudhanshu Jain: And just to add, we see the pace of decline to be much lower in Q3 and Q4 and the book to start growing from next year.
Jai Mundhra: Right. And sir, secondly, on MSME, right? So in your entire INR2.66 lakh crores loan book, I

mean, you have given Consumer loan, then there is a Business loan, then there is a Wholesale loan. How -- if you have done any sensitivity of how much could be the SME into export and particularly to US, if you have any ? A lot of banks have quantified the absolute crores portfolio, which is there predominantly to US . If you , or you will not be very , or this will be very negligible for you?

V. Vaidyanathan: See there are two types of businesses we have. One is the Corporate business. And we've seen a list. We have about 5 or 6 clients to whom we have , who do export to the US and are affected. But we saw the list. They are like rated well. We talk to those clients, and they are like they're like fine.

So, and the largest kind of corporates who have cash flow and have a name and have a brand and who also have some amount of domestic markets. So that's on the corporate side. We are fine there. On the rest is some of our customers on the loan against property could also be exposed there. But our loan against propert y is like people have security, we have the security there.

And we have done

the analysis. We feel things are comfortable as of now. We'll have to wait and see. I mean I have to be very careful when I use the word comfortable because the truth will tell after 1 quarter, 2 quarters, 3 quarters, any of our customers are affected. But for now, as far as our eyes can see from whatever we've talked to some of our clients in that segment, sample, etcetera , we've done our work, looks okay.

That leaves the third segment, which is the unsecured MSME segment, like there is a category called BIL business installment loans, where we give EMI -based loans to corporates. We are tracking that segment also closely.

Maybe by next quarter, we will have better color to give you because if any of those customers return their checks more because one of the numbers we track, as you know, is the first EMI bounce, right? On the presentation, how many checks return.

And we call out the number also it's 4.5% for the bank. If that number starts going up, let me call it 5% or 5.5% or something like that, I hope not, then you can also see for yourself that what are the numbers -- I mean, the impact, if any. It is in the numbers but we're hoping for now that things are broadly in zone 3.

Jai Mundhra: No, the SMA 1 plus 2 portfolio that we show that has mortgage vehicle MSME. This MSME corresponds to which line item in Slide 39, which have Retail, Mortgage, Vehicle, Consumer because there is no MSME, just to pardon my ignorance. I mean how should , which is the rupees crores for this MSME corresponding number?

V. Vaidyanathan: No, I think if you see the small print of that , if you read below, it is actually calls out what is , I think it must be calling out what the numbers are. I mean, what the business is attached to that business.

Sudhanshu Jain: And just to further sort of clarify this. So this will essentially include Business Banking segment. This would include business installment loans, which Vaidya talked about. And in our disclosure, it largely corresponds Business Banking, we have given out separately. And there is an other component in the Business finance, which would include largely bill and some of these loans.

V. Vaidyanathan: Normally, we don't take -- just to be clear, normally, we don't take loan against property as part of MSME, though I guess a large part of that business will be our small entrepreneurs. But just as a convention, convention that they say, convention in the industry, if you notice, everybody -- every bank has something called mortgages, where they combine home loan and loan against property as one family as a convention.

So that goes away as mortgages. This MSME is largely something called business banking where the business banking basically give working capital to small entrepreneurs, typically with properties collateral, that's business banking. Then we give something called business installment loans where we give some unsecured credit to our installment based, EMI -based to small entrepreneurs and then some similar connected businesses.

Sudhanshu Jain: And just to add, on the MSME pack per se, we are seeing a credit cost, which is broadly similar to the overall portfolio. So while as Vaidya rightly said, we are watchful of this portfolio, but we would see if any second order impact would come in. On the primary front, most of these MSME more domestic oriented and hence, our assessment is the impact may not be that much.

V. Vaidyanathan: And thanks for flagging, maybe next time investor presentation onwards, we'll give a little more color on what is MSME because there are 4, 5 businesses that are combined to become one family here. So we'll break it up and actually tell you what specifically they are.

Jai Mundhra: Sure, sir. And sir, if you have the number separate for current account and

savings account, I
mean that will give a clear picture because, of course, the CASA as a block is doing very well.
But if you have the number separately for current account and savings account ?
V. Vaidyanathan: We can share now also; our current account is not great. It's one of our weak points. So one of our area for improvement. We have about INR130,000 crores of CASA, right? So how much is CA?
Sudhanshu Jain: Current account would be about, I would say, 14% of the total CASA deposits. And as I said, on an average basis, CASA did grow by 32% on a Y -o-Y basis. We have seen even our CA growth to be about 30%. Of course, in terms of the total proportion, our endeavor is to improve the CA in the overall pack.
Jai Mundhra: And last question, sir, how much of the business is driven by, let us say, what do you say, partners, right partnership because it looks like that the new guideline, there may be some disruption, not disruption, but you may have to change something when you source business from some other partners under CLP 1 and 2. Is that any risk in terms of the origination or the way you acquire loans through partners? Or that is you are already in compliance with -- I mean, you are already, let us say, up to date with the CLP 1, 2 regulations ?
V. Vaidyanathan: What CLP ?
Jai Mundhra: Co-lending, sir.
V. Vaidyanathan: No, no, we don't do much of co -lending and all.
Jai Mundhra: Sure sir.
V. Vaidyanathan: But to your previous question on current account, like I said that we are growing that. And basically building a current account proposition requires lots of builds, lots of solutions, working capital solutions and all that. I'd imagine that we are about INR20- odd thousand crores of current accounts on our book or something like that, somewhere in that zone but it's growing by the way, it's growing, but we'd like it to grow more.
Jai Mundhra: Right. And you mentioned that the blended cost of savings account is around 5.8%, right, for this quarter?
V. Vaidyanathan: Yes, yes. Is that so?
Sudhanshu Jain: Yes, about 5.85%.
V. Vaidyanathan: 5.8% something. But still, remember, people who are chasing me down to cut the rate on something remember that this is still cheaper than fixed deposits, by the way. If I cut this, listen, there's no free money in earth, okay? If I cut this, then I would raise money to fixed deposit, and that will come at a higher rate.
So we are using an optimal mix. And we need to grow our distribution. Like I said, we are very -- I feel we are a little thin on distribution. We need more distribution and then it will give us more confidence, particularly after fixed deposit ratio.

Jai Mundhra: Or sir, maybe you can do some hybrid, right, like sweep -in, sweep -out, maybe you can lower the threshold for savings and then have a sweep in product, which is in between types.
V. Vaidyanathan: Yes. We'll think about it also. If we do it, we'll call -- you can take some credit for it. But we're thinking about those lines by the way.
Moderator: The next question is from the line of Farhaan Wadia from HDFC Securities.
Farhaan Wadia: I have one question. If other than the microfinance sector, is there stress in any other sector?
V. Vaidyanathan: No, the short answer is no. We are not seeing any. And in this business, we ask ourselves this question all the time, even within internally. So we are very watchful. We are seeing every business trends and signals like we just saw , if you saw the numbers of every product on the SMA, broadly, I think they're all holding up well. So we're not seeing any significant amount, but we'll watch if we see any signal, we'll share with you.
And any case, you see it immediately in the check bounce percentage in any case. And by the way, just to be clear and honest with everybody here, when we're running a large business of 25 bus

inesses, there are some business where something goes up also, okay? Some credit cost goes up in one business or NP goes up. After running so many businesses, so many cities, villages, locations, scorecards.
So something goes up also, but something comes down also. But since we're running a large portfolio of 25 business lines, so many cities and all that, they usually tend to knock up with each other. So we share the net number with you. And on the net front, we are directionally looking okay.
Farhaan Wadia: Okay fine. So, nothing in any specific factor, right?

V. Vaidyanathan: It doesn't mean that in no business credit delinquency goes up. That's not the way. That wouldn't be true. Something goes up, something comes down.
Moderator: Our next question comes from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: Sir, my question was on Slide 65, where the cost -of-income ratio on the asset side has been a little sticky. So for last 3 years, it is on the upward trajectory. So just wanted to understand reasons for that and any levers for improvement on that front? And on the second part of my question was on credit cards. Credit cards has seen a very sharp improvement in terms of cost to income. So what drives that, if you can highlight that?
V. Vaidyanathan: Sudhanshu, you take a first shot, I'll come back.
Sudhanshu Jain: Yes. So on the asset side, I would say the cost to income has gone up in the near term because of the income impact which we have seen, right, because of the sharp decline in the MFI book because of, I would say, the repo transmission, which has happened, while on the FD, the benefit will come with some lag.

So directionally, while this may move slightly further into next 1 or 2 quarters, but directionally, we definitely see operating leverage playing out and this to bend down, right, into the next year.
V. Vaidyanathan: Basically, once the microfinance book stops degrowing because the more microfinance degrows, that amount of income goes away because let's break this up. When you say cost to income, it is cost divided by income. So people often think of cost income as cost. No, its cost by income.
So when you divide that by income, income shrank. So that is we know is a well -known issue. So we can't say any more time this microfinance book shrank. So it is not the cost went up, but the income came down.
Shailesh Kanani: Sir just to clarify that. But that is fine for first half FY '26. But what I was trying to understand is that since FY '23, if you see that number, it has been kind of inching up from 52.7% to say, around 56% in FY '25 as well. So just wanted to understand in general.
V. Vaidyanathan: No, no. No, no, let's take very specific take the number. So FY '24 is 53.2%. Right, correct.
Shailesh Kanani: Right.
V. Vaidyanathan: Now in FY '25 is when the microfinance item hit us. So that's when you saw the number jump up from 53.2% to 56.1%. And even in this year, you've been seeing shrink microfinance book shrinking, and that's why the mix is shrinking. So you've seen it go up from 56.1% to 59.1%. So we put out the numbers publicly.
So, we don't leave anything to imagination. So now we believe that once this microfinance issue should be behind us and like Sudhanshu correctly pointed out that 1 year from now or maybe 6, 9 months from now, etcetera , 1 year from now, the fixed deposit would have helped us reprice all the fixed deposit downwards meaningfully. So interest cost should come down. Number two, the income line , will stop degrowing, rather will start growing. And anyway, it will be a strong operating leverage coming because we are very digitized.
So you may not be aware that we are like 98% or 99% , we have e-KYC, 99% is e -mandate, 99% is e -stamping registration. So we are highly digitized. So when we scale from there, the ope

rating leverage does come to us. So these are 3 factors at play.
The repo hopefully will taper off at that stage. Like I said, the other 2 factors I talked about, which is the microfinance degrowth and all that. On credit card front, well, it's coming very well. It's been like our super successful launch. We are very, very, very happy when we look at the rollout of this business.
And frankly, every single product that we have launched in the bank, I mean, it's just amazing to even think like that, that every single launch at the bank, we've launched just so many products like 25 to 30 since the time the merger happened and every one of them have landed well. Every one of them. Credit card is one of them. Credit card, it's a jewel of the crown, but every product has landed well for us. This has also landed well. That's why the cost income has come down to below 100% in just 4 years. And we believe it will come down to now from

95%, which is what it is today or 96%, it will come down to 75%, we believe, in the next 2 years. I hope it gets there, plus/minus some few hundred basis points.
Shailesh Kanani: Okay. Fair enough.
V. Vaidyanathan: By the way, friends, it's only 745, would you really want to continue or we can sign off? Last question okay.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now

like to hand the conference over to Mr. Vaidyanathan for closing comments. Over to you, sir.
V. Vaidyanathan: We've said enough, so I have nothing more to add. I just want to say that thank you for your support over many years. Our return on equity has been low over the last 5 or 6 years. Our book value per share addition has largely come from a fresh capital raise at a premium to the book rather than by internal accrual of capital. But nevertheless, it did come.
That's how book value per share has gone to 54. So you've been patient with us this while and provided us capital at a good price whenever we raise d it. So thanks for that. We think that the same zing and feel that you got about the bank when we were turning around between 2020 to '24, that 3 or 4 years, you've got zing -- that things are turning around.
I believe we'll begin to get the same feeling again once you see this quarter, next quarter, quarter after that, next year. I think next 2, 3 years, you will get the same feeling again. But I can fully understand if you want to watch us for a few more quarters before you get that confidence, but I do believe you'll get it. But thanks so much for being with us all through this.
Moderator: Thank you.
Sudhanshu Jain: Thank you, everyone. Happy Diwali and happy festivities. Thanks, everyone, for joining.
V. Vaidyanathan: Happy, happy festivities, everybody. And thanks once again from all of us at IDFC First Bank from best wishes to all. Thank you.
Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2026

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirst.bank.in
IDFCFIRSTBANK/SD/ 291/202 5-26 February 23, 202 6

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: IDFC FIRST Bank Limited - Transcript of Conference Call held on February 23, 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find the enclosed transcript of conference call with analysts and investors held on February 23, 2026 , for your information and records.
The above information is also available on the Bank's website at the following link:

https://www.idfcfirst.bank.in/content/dam/idfcfirstbank/pdf/announcements/IDFC -First - Bank -Conference -Call-Feb-23-2026.pdf

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
General Counsel and Company Secretary

"IDFC First Bank L imited
Conference Call "
February 23, 202 6

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND , CHIEF EXECUTIVE OFFICER – IDFC FIRST BANK LIMITED
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER AND HEAD OF CORPORATE CENTER – IDFC FIRST BANK LIMITED
MR. SAPTARSHI BAPARI – HEAD INVESTOR RELATIONS AND ESG – IDFC FIRST BANK LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Conference Call of IDFC First Bank . As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation conclude. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. V. Vaidyanathan. Thank you and over to you sir.

V. Vaidyanathan: Good morning everybody. This is Vaidyanathan.

Sudhanshu Jain: Good morning everyone. I am Sudhanshu Jain.

Saptarshi Bapari: Hi, good morning everyone. This is Saptarshi.

Sudhanshu Jain : Yes, before I invite Mr. Vaidyanathan, maybe I'll just give a brief synopsis of the matter. We did made a press release on February 21, but just for context I will just lay out the issue once again. This matter pertains to a particular branch in Chandigarh and is confined to a limited set of Haryana government linked accounts. The main issue which we have observed here is that certain employees of this branch, most possibly in connivance with external parties, have fraudulently transferred these amounts to beneficiaries who had accounts outside of our bank. These accounts are also expected to be suspicious. These could be done in connivance with third parties, the details of which will emerge post the forensic audit which we have initiated with KPMG and further investigations by law enforcement agencies and so on. We can assure that the bank has acted very swiftly and decisively to handle this matter. All employees whom we currently suspect have been suspended.

There is no senior management involvement in the entire incident as far as we understand currently. We have conducted proper fraud management committee meetings, board and audit committee meetings. As I said, KPMG has been appointed to do the forensic audi t. We have kept regulators informed, auditors informed of this matter. We in terms of actions, we have already filed police complaints and we are engaging with other law enforcement agencies.

We have also initiated recovery and lien marking actions across the banking system. So these are certain actions which we have already taken. We have existing controls in place, of course in light of the incident, we will try to enhance certain more contro ls as we sort of move along.

But I can assure you that this issue is confined to only this branch. There is no impact as such on any other customer or any other branch which has come to our notice. In terms of financial impact, the discrepancy currently f ound is about INR490 crores.

We have additionally where we have received I would say certain reconciliation requirements, so then through the reconciliation we observe that there is a discrepancy of INR490 crores. We have additionally estimated INR100 crores, that's how it comes to a INR590 crores of impact which we have put out in the press release. We have put out this number as we could best assess at this point of time, but we feel that the number is broadly appropriate to th e situation, current situation.

We don't anticipate this to broadly move from here on to a great extent. It could be a small as we sort of go through the process, maybe these numbers could slightly change. Again want to assure tha t the bank is well capitalized.

As you would recollect in the previous earnings call also we have said that the profitability of the bank is on a positive trajectory because we expect credit cost to keep coming down and we also expect improvement in net interest margin during the fourth quarter and hence whatever is the outcome of this exercise, we should be in a comfortable position to subsume that. And we are

making all efforts to trace the flow of funds and seek appropriate restoration of funds.

With this, maybe I'll ask Mr. Vaidyanathan to add further color on this one.

V. Vaidyanathan: Yes, good morning everybody. Thank you very much for joining this call. A few investors called us yesterday and told us that, the information that we provided in the note to the exchanges is quite detailed, but still the impact, the financial impact is not we ll understood, whether this entire amount will be hit to the P&L, whether recoveries will come, etcetera.

And that's where then we thought to ourselves that we should take this investor call right now and explain to you what the implication is. So this is broadly the subject of it. And before we come to the financial implication, I must just say that this is a specific isolated incident that has happened in one branch with one client group, which is the group that has been named out there by us.

And you know, this is basically a case where debit instructions have come supposedly from the client, which our people, which clearly to us indicates a fraudulent activity, have passed the entries and have transferred the money to certain parties outside the b ank from the client's account. Now they've also used che ques, when in looked in hindsight looks forged, but someone has cleared it.

So this looks to us on the basis of the work we've done, clearly a case of an employee fraud and it also, our internal fingerprints and our details are quite clear, that external parties are also involved here. So this is a serious matter for us. We have r un this bank now for as you know, for

10 years and we have never seen a instance like of this order of magnitude, certainly not. Bank has really excellent controls across the system.
As you know we are a very technology ahead bank or technology first bank and on all fronts like mule and AML etcetera, bank is doing you know very well in terms of overall numbers and controls and so on. But this is not a digital transaction. This is a phy sical transaction where people have come, you know, the che ques have been forged. This is, let me say, the oldest kind of fraud probably known to banking.
So how this has happened is obviously happened with the connivance of employees. There is maker, checker, authorizer, the whole system exists, but obviously with some bunch of people have come together to make it happen. So we will get to the bottom of thi s, we will spare no one and, we have quickly moved in.
We have, appointed a forensic auditor for this, KPMG, and we will expect them to move you know in great diligence and move very fast and, we will take the full support of the law

enforcement of the country and really I can tell you we will spare just no one and we will take it as it comes. Now as far as the bank is concerned, I'd like to specifically share with you that the bank is now fundamental ly in a strong position.
So just to share with you that the operating profit of the bank has now crossed 2%, which was earlier 0.5%. So basically on the core of the bank, it is now that bank is on a very strong position and therefore and the graph is rising. We have already guided to you earlier that on the basis of the trajectory and the incremental unit economics, we expect this to further go upwards of about 3.5% in due course as the bank fully evolves based on the rates at which we borrow and the rate we lend and the margin we enjoy, which is upwards of 5.8% or 5.7% last quarter .
But this quarter we expect to be 5.8 %. So on the basis of that strong strength, we feel that this is an incident that will pass through the P&L as and when it comes and we will take it out. But I can tell you this incident will not pass through our memory because this is a very significant event for us and we will really scan every nook and corner of the ban

k for any such process g aps
if any or any employee collusion fraud etcetera .
And we will make necessary amendments to contain this from here on. We have done a discussion with our employees last night, across the country and people have come across and said that they are holding fort very well, they're comfortable with the situation. E very one of them is proud about the fact that they're working with the bank and the bank is dealing with all matters so clearly, ethically, decisively and transparently .
And they are very proud of the service levels of the bank, they're proud of the technology we provide, the products we provide to the customers which are really customer -first products, about the way we deal with our customers. So there is a strong degree of c onfidence in a cultural sense, there's a strong degree of confidence in the people. Our board has been taken through the full matter and they have given certain guidances but at the same time has full support.
We have taken the regulator past the matter and they have given us their inputs and guidance.
We have spoken to a few media channels who talked to us yesterday. So we have done, you know, we have been all of yesterday being involved in dealing with the sit uation. But I can broadly tell you that the bank is in full control and transactions across the country will happen smoothly and this is an isolated case.
We in the last five years, seven years we put up over 1,000 branches, cumulatively maybe over 1,050 or 1,060 and we have really not seen any incident of this nature that has happened here.
So but this incident is a further opener for us. We will check one more time, implement necessary controls and keep going. And I do feel that, a quarter ahead hopefully you will look through this incident. So once again for people who have joined the call, you know, thank you for joining and feel free to ask your questio ns please.
Moderator: Thank you. Our first question come from the line of Kunal Shah from Cit igroup. Please go ahead.
Kunal Shah: Yes, hi sir. So, few questions. Firstly, in terms of the impact as you indicated the aggregate amount involved in the reconciliation is almost like INR590 odd crores and given that the money maybe the other bank has also filed in terms of the credits being received from us in to the extent

of like say INR25 crores , INR47 odd crores. So, in that sense would this entire amount be repayable to the Haryana government and the liability lies on us?

So this will be like something like the entire financial impact that will have to be taken through the P&L or is there any other way is there some money which is still available in those particular customer accounts at this point in time?
V. Vaidyanathan: So, this you know basically we're doing a, layer by level one, level two, level three , we're figuring out where the money has gone and, to the extent that there are moneys lying in account have not left the system, to that extent of course we will we will be able to block the money and try to recover those dues.
Kunal Shah: And if you can just quantify in terms of how much of the money would have been left, how much is the total Haryana government deposits and what would be the total government deposits for IDFC Bank?
Sudhanshu Jain : Yes, so Kunal I'll come in. So, the total Haryana government deposits are roughly 0.5% of our total deposits, so it's not that meaningful in that sense. Since the notification which came a couple of days back, we have seen an outflow of about INR200 odd crores here. But we feel since the overall number itself is small, it should be quite manageable.
Kunal Shah: Okay, okay. And this 0.5% would be after this INR200 crores of outflow.
V. Vaidyanathan: Yes, I'm saying even if but for a bank of about INR2.8 lakh crores of deposits like INR200 crores is, you know, not th

e item, Yes.
Kunal Shah: Yes. And anyways wherein this would have been avoided and now looking at the internal controls what we would put in place in terms of authorization limits with respect to a particular ticket, would that have really helped or maybe there wouldn't have been no way because there would have been the connivance with the external parties as well and maybe it shouldn't have been avoided ? So what internal controls, processes, how stringent we would get with particularly with respect to the government ac counts and government business with this incident?
V. Vaidyanathan: The thing is that , at this point of time, even as we speak, there are excellent controls, which obviously, has failed in the case because of collusion. But let me just share with you the controls itself in any case. There is a proper governance framework, there are defined SOPs, there is authorization framework, there is a maker, checker, authorizer systems in banks as in case certainly in the case of ours.
And then there is a process for even normal customers, not just for government not for large transactions, but for individual customers, there's a positive confirmation from customers for transaction value above INR5 lakhs, the branch staff calls the customer to confirm the transaction before processing that che que.
So, the bank also offers customers, a system of something called positive pay, where the customer can positively confirm the che que issued by them, meaning that the customer has issued a che que of a certain amount, customer can come to the app and specifically authorize the transaction as a positive pay.

So, these things, do exist. But of course, the positive pay is the customer has to specifically come and voluntarily subscribe to it, because we cannot enforce it because then che que will, even genuine che que may return.
The other thing is that, there is additional verification of high value transactions for transaction value above INR10 lakh, additional verifier verifies that the transaction has been correctly executed by the maker checker. So, there are really many checks and balances. The issue in this case is that, many of these people connived in making it happen.
Now in terms of, what new controls, we will implement. This is a quick one on the basis of the last three days work, but of course, we will do more as the days progress. We are planning to put an explicit system based on confirmation of high value transactions for branch -based transactions exceeding a predefined threshold, we will take an explicit confirmation from the customer and we'll make it mandatory.
The customer's confirmation will then be captured through a verified digital channel with a stipulated window, meaning that the customer, for example if we want to clear a particular transaction, we don't have to really call you, we will trigger an alert for you to specifically go to your app and say that yes, please clear the transaction.
So, this is a specific, control we'll bring, extra control. Now with the arrival of AI, we are also going to additionally bring, currently, say before the arrival of AI until the banking till date, the authorizer , the branch manager physically sees the che que and confirms signatures are matching and clearing it.
But now we will put a system whereby through AI, AI will do a initial checking and then it will be double confirmed by the human. So therefore, exceptions handling will be better controlled.
So, we will see this is a not a electronic transaction so to say, this is a, physical che que, manual cheque, a debit instruction that has come and like I said, the most traditional kind of fraud that

has happened here.
So, we will improvise upon that and put some new controls on this. But frankly, we definitely
feel that the overall system at the bank is something that will further enhan

ce based on the
experiences we get from this incident and we will deeply study how collusion happened and
how we can prevent collusion, that could be the other root matter.
Sudhanshu Jain: And further to add, we had also sent out transaction alerts, monthly bank statements, monthly
balance confirmation we had sought. So, all of those processes are run through systems and those
controls are very much in place.
V. Vaidyanathan: That's an important point Sudhanshu has raised. You know, even in this case, SMS alerts have
gone, balance confirmation certificates have gone. So, all that has been going on in this case as
part of the process.
Kunal Shah: Sure. So, you don't see any potential contingent effect of other state government's decision in
terms of how they allocate the government business to this de -empanelled banks? Would there
be a risk on that front?

V. Vaidyanathan: We'll have to take it as it comes, but you know, we are a bank with a strong capital adequacy,
with a good rating. As you know we are rated AAA by CRISIL on fixed deposits and AA+ in
the long -term rating of the bank, which by the way has got upgraded twic e in the last five years
from AA - to AA and from AA to AA+. And you can clearly see the direction of travel of the
bank's rating.
Our net worth is over INR46,000 crores. Our customer business, which is both deposits and
loans, is now touched INR5.6 lakh crores and you can see the growth over the last five years.
You can see how the operating profit has risen from a few thousand crores to over INR7,000
crores. So, there are the bank is in a very strong trajectory. So, we feel that people will take care
of it and we are very sensitive to all government accounts as much as we are with end customers.
So, our intention is not to really to litigate this or anything like that, where if we have made a
mistake, we will own it up straightforward and we will do whatever requires to be done. And if
there is anything if there's in the grey zone where we feel counterparties are involved , we will
speak with them as conduc ively as possible and try to find a meaningful solution.
So, we basically don't mean to given a choice , we don't mean to litigate this unnecessarily. We
believe that completely being fair and if something is our responsibility, we will admit it and we
will move with it .
Kunal Shah: Sure. That helps. Yes, thanks, thanks f or answering all the questions.
Moderator: Thank you. Our next question come from the line of Piran Engineer from CLSA. Please go
ahead.
Piran Engineer: Yes, hi, good morning. Just my first question is how long did this fraud go on before it was
uncovered?
V. Vaidyanathan: So some of these questions will be difficult to answer at this stage because there are implications
as we speak. This can become a legal matter and anything we say at this point of time , we'll have
to be very careful. So let me just say that it has in a significant way as we put out in the stock
exchange, when we first got Haryana government's request to transfer fu nds to another bank.
At that stage, the bank saw that the money was not reconciling as much as the government
department thought was there in the account vis -a-vis what was actually in the account , which
probably was a month ago but it accelerated during the last three days from February 18th
onwards. So let me say , largely the actions that have been taken have been momentarily spotted
just after February 18th to date is when the action has accelerated so much here.
Sudhanshu Jain: And just to add that whatever these requests which we have received so far, there the difference
or the discrepancy which we have observed currently is to the tune of about INR490 crores.
Additionally , we have scanned the rest of the accounts as well from where we have self -
identified about INR100-odd crores.
That's why we fee

l that the impact or the discrepancy amount could be more around that INR590
crores , which we've quoted in the release. And of course , as Vaidya said earlier, this numbers
could move from here, we could also get recoveries through these accounts. The legal process

could itself establish and validate some of these claims. So we would give an update once this

entire process is concluded.
V. Vaidyanathan: So this INR590 crore s is the summation as Sudhanshu mentioned is the 490 is what to the extent when they asked for balance confirmations vis -a-vis what we saw in the bank account of those clients, that is the difference, that is INR490 crores . INR100 crores , Sudhanshu mentioned is the extra diligence that we went and checked other bank accounts and so on and so forth. This is a bit of our own estimate, you know, at this point of time . But we think we're broadly right in the numbers we put out and we put it out in good faith, the extra INR100 crore .
Now the next point is on this front is that, like Sudhanshu said that if there's any recovery that comes through the process, the impact will be reduced to that extent. Hopefully , not extra any more claims are going to come . We don't know . But we will deal with it as it comes. But our good faith assessment is that at this point of time this is approximately the number that we've said is approximately correct.
Sudhanshu Jain: And sorry, just one more thing to add, we also have an employee dishonesty policy, of course the amount there is about INR35-odd crores, so to that extent some amount could be negative.
Piran Engineer: To the extent of what? INR35 crores?
Sudhanshu Jain: Yes, employee dishonesty policy which we have taken at a bank level to cover some of these.
Piran Engineer: Insurance?
Sudhanshu Jain: Yes.
Piran Engineer: Okay, ye s, got it.
Sudhanshu Jain: So the final impact , will depend on some of these factors of recovery, the insurance that we have, if any extra claim, you know, we'll take it as it comes . But I want to just say Piran that whatever it is, we will deal with it and decisively deal with it in a matter that is most fair and appropriate according to our, you know, as it goes.
Piran Engineer: Yes. No, see my question came from the point of view if it's been happening for a long time, you know, it's also then the fault of the Haryana government and then they should pay up for it . Why should the bank pay up for it is how I'm thinking ? If their own officials have done that, then why are we liable?
V. Vaidyanathan: Yes, see, that that's the reason I said that, we are not putting out any specific number right now as to what we will provide for , not provide for , etcetera, because there's time between now to the next results. So we'll think the whole thing over because if counterparties are like the ones you're mentioning , if that component is identified or covered, I'm sure they will also look into the matter.
It could be the third parties where the money has been transferred out . We will really go hell after leather after those people as well. So we will take this as it comes. But we have put out the , in our best estimate the outer limit of what could happen to in a sense . And then take it from there , because as you know we don't postpone things . That's the reason instead of counting it as

490, we put out as 590. Because we really don't want to postpone and leak the market with more and more news.
So we have proactively done extra work, proactively identified extra accounts, proactively put INR100 crores into it . And then hoping that that's how we do this and as all of you who know us for maybe 15 -20 years would know that we don't postpone things when it comes to accounting or governance.
Piran Engineer: Got it. And also like is there

a chance that employees one level up are also involved because if the maker checker process is there, ideally the checker should be someone who is not in touch or knows the maker?
V. Vaidyanathan: Well, we'll come to know during the forensic audit and everybody will be investigated and the trails and everything will be checked , and we will identify this and get to the bottom of this.
Piran Engineer: Got it, got it. And just lastly, overall government deposits with the bank would be how much? Like Haryana is 0.5% , but all put together?
Sudhanshu Jain : I think it would be in line with broadly the industry standards, would be about for us also it's about 8 % to 10% , somewhere in that zone.
Piran Engineer: Got it, got it.
V. Vaidyanathan: But that includes central government, state government and frankly many of these organizations have a long track record with us for running back to 7, 8, 10 years, you know, it's just not about just deposits just for information, it is basically providing a bunch of solutions. And on the solutions front, like many of you are a customer's customers and hope fully you would have seen the quality of the services we provide at the branch, on the Internet, on the mobile banking, on the call cente r, etcetera , and the products.
Similarly , on the government banking side also, it's not only about taking deposits from them, we are providing solutions to them . We are deeply integrated with them . We collect tax for them,

both state taxes as well as central taxes, the GST, the CBDT and so on. So just want to let you know that it is not that bank has taken some deposits from government, we have given deep solutions to them.

For example , these are end -point customers where we collect from and pay them the taxes and there's an agency business running here. So we have a deep, thick relationship with all of them , and therefore we believe that this will be a matter that we will be able to handle and manage comfortably. And the business of the bank is growing. So it is obvious that the services of the bank are appreciated by them for that the business is expanding w ith IDFC in this case.

So as you know , our deposits of the bank are growing by about 20 % to 25% and similarly government banking business also growing by that order of magnitude. So we have deep relationship with these people . I don't think we should really concern that the whole system will have a concern anything like that. But we will still, you know, improve on our services from here on.

Piran Engineer: Got it, got it. Yes, okay, that's it from my end . Thanks , and all the best.

V. Vaidyanathan: Thank you.

Sudhanshu Jain: Thank you.

Moderator: Thank you. Our next question come from the line of Vincent from Principal AM. Please go ahead.

Vincent: Yes, thank you for making this call. I'd like to ask since February 18th this year, what other communications from other government related or linked clients or accounts have we received related to this matter?

V. Vaidyanathan: Nothing, apart from what has come from this government , state government department, nothing else. Like I said, we enjoy good relationship with the ecosystem . And then we are deeply integrated, it's a very important point for you to take note of, is deeply like system -to-system , host-to-host integrations are on. So it's a running machinery . It's not only that somebody's left deposits with us.

And to your second point , of course , that even for this , in this case, like someone else pointed out that looks like there is a connivance of multiple parties and therefore , why should only IDFC First Bank pay for this? There are multiple . We are evaluating all of these things in a legal sense . I'd like to say that that our general approach is that if we feel with a hand on heart that this is our bank's mistake, then we will

not litigate these things, we will pay up. If we feel that there are multiple parties involved and other people also has to have responsibility, then we will go as per the process of law. But we intend to deal with this in a amicable manner with the entire ecosystem.

Sudhanshu Jain : And Vincent just to add, just to reiterate the discrepancies which we have got pertains only to this branch, no other branch.

V. Vaidyanathan: This is very important what Sudhanshu pointed out.

Sudhanshu Jain : I just want to keep reiterating that.

V. Vaidyanathan: Yes, no, thanks for that one. The important point, you know, see we are running over a 1,000 branches and frankly a 1,000 branches for starting from say 206 branches in 2018 December to 1,000 today, more than 1,000 . And really from a 1,000 branches we've not had these issues, one branch has happened, nothing that we want it's a serious enough matter for us to learn from it, but, it's one branch, one client group.

So we will deal with it, this is a very isolated instance and other employees of the bank are you know the check and controls of the bank are thick , strong and many of them are technology based.

Vincent: So since five days ago there's no other communications with other clients on this matter, Yes?

V. Vaidyanathan: No, we've not got any inward calls from any of these people at all.

Vincent: And I think since we're trying to size the impact, do we by any chance have insurance on this?

V. Vaidyanathan: Yes, Sudhanshu mentioned that a moment earlier, we have some employee dishonesty insurance of about INR30-odd crores in this case.

Sudhanshu Jain: INR35 crores.

V. Vaidyanathan: INR35 crores.

Vincent: Okay. And I think one last point is that based on what we know so far, how is it that the client received statements monthly and did not realize this happened, Yes?

V. Vaidyanathan: No, this is indeed a good question. The client in this case, these are system triggered, this is important to note. These are system triggered SMS, email alerts of every transaction had been sent and so on. So well, these are your question is something that will be examined as part of the process of evaluation and therefore hopefully, the respective responsibilities will be assessed and we will take it as it comes.
Vincent: So the client acknowledge that they received these statements?
V. Vaidyanathan: These are system generated.
Sudhanshu Jain: Yes, so these statements have as I said transaction alerts have been sent to the mobile number, statements have been sent on the authorized email IDs and this has been sent on a periodic basis.
Vincent: Yes, Yes, thanks for that Sudhanshu. I just want to understand on receipt of the statements and in fact in the last five days did the client acknowledge that there was a lapse in their process and they have in fact received these statements?
Sudhanshu Jain: So we feel that statements have certainly been sent and would have been received. One of the client have come back with certain discrepancy and then this reconciliation process is underway with few more clients and that's how we have assessed the discrepa ncy amount. Of course, we will now wait for this process to get over.
V. Vaidyanathan: See these are the kind of things that we will get into the depth of it that the bank has triggered the alerts. So as far as and in fact there are normal clauses that if you find a discrepancy with the statement please get back to us immediately. So this is a normal banking convention and discl aimers when banks send because when banks send statement of accounts and banks send SMS. So these things have been there and these will come up as a subject of discussion during the whole process.
Vincent: Just one more, sorry, Yes. I mean since I think it's very important for any bank to get this right, which is the statements

are true and accurate, it is just that the client was not aware that certain employees had initiated the debit.
V. Vaidyanathan: No, but irrespective of whether che ques were forged and they were paid out assuming that they were , when you look in hindsight and you check the signature and assuming they're not exactly tallying . And so even if that be so, the bank has there is a certain bank balance that is reflecting on the books of the account. That has been sent out to the parties. But like we said these are part of the evaluation of the processes that will come up whether about the delivery, about the

responsibilities and so on. And we will we will take it as part of the process and we will handle it as it comes.
Vincent: Well sir, I just need to get this right, which is accounting for the fraudulent transactions after that the statements are true and accurate ? Had the transactions happened the balance are accurate ?
V. Vaidyanathan: No, no, obviously, because to the extent, let us say that a bank account has a INR100 and suppose INR20 has been taken out , has a che que has been passed out of INR20, the balance INR80 is the balance on the books of the account. And that is what the statement of account will go for. Yes, so that is what it will go for. So there is no error, there is no absolutely no error in the statement of account as such. The statement of account is true and accurate.
Vincent: Okay, that's clear.
V. Vaidyanathan: This is very important, I'm so happy you asked the question. Ye s, so there's absolutely no error in the statement, statement reflected what the system balance shows. If a fraudulent transaction has happened, so if it happened that has gone , so that is a fraudulent transaction, but bank balance is correct, the transaction is correct. It has happened and the customer has been told. So there is absolutely no system error, system reported the correct balance and customer was sent the right balan ce.
Moderator: Our next question come from the line of Param Subramanian from Investec.
Param Subramanian: Yes, hi, good morning. My first question is on this forensic audit. So what is the scope of this audit? Is it specific to the branch or is it wider and when can we expect the outcome of this? Yes, that's my first question.
V. Vaidyanathan: We are working out the scope at this point of time maybe Sudhanshu can throw light. Sudhanshu.
Sudhanshu Jain: Yes, so I'm saying as I said this incident seems to be just particular to this branch and largely because of connivance of employees and maybe some parties outside. So we're yet to finalize on the scope and we've appointed KPMG only yesterday, so we'll get in to some of those nitty - gritties during the course. And typically depends on the investigation of course, typically to my best of the understanding these processes could take about four to five weeks to conclude.
Param Subramanian: Four to five weeks. Okay, and it is specific to the branch. Okay. Secondly, this was asked previously what is the exposure of the bank to say all state governments and central government broadly as a percentage of deposits ?

V. Vaidyanathan: I thought Sudhanshu just answered that earlier, no? Because it's...
Sudhanshu Jain: About 8 % to 10% of our total deposits to state government, central government, PSU entities.
V. Vaidyanathan: And it's been typically growing in line with the overall book of the bank so to say, somewhere in that zone.
Param Subramanian: Okay, okay. Then on deposits overall, I mean I know it's very early days, but do you think this can have any implication I'm not talking about state government, but overall on say higher value

deposit balances, because we have only just started undertaking this journey of reducing our savings account rates, right?

So is that something that you think will see some delays or because
we are also following a strong growth trajectory. Any colo ur on that relatively?
And secondly , we are talking about say, a tight control on cost going ahead. Will this have any implications on that because I heard you mention Vaidya that we are undertaking a review of our processes etcetera. So any impact on say both of these things ?
V. Vaidyanathan: Sorry, I didn't understand last word review of, but let me fill it in for you because I couldn't hear you well. But I broadly got the spirit of your question. So what I meant is, I didn't hear the tail of your question. Rest I've heard.
Param Subramanian: So if I could mentioned that, Yes, Yes. So I meant since we are undertaking a review of processes across the bank, I think you called that out and of course we are in a process of consolidating our cost. So will there be impact of this on that?
V. Vaidyanathan: Okay, I got the question. So first of all you see the bank's largely let me say , while this is a collusion of employee case, the bank systems are already in place. Let me just share with you that for a bank to run so well, you may have noticed that it's been like 10 years . There has never been a single smell about the bank in the market about either experience by customers or even any incident like this.
So obviously, let me just say that systems of the bank are running really very , very well. This is a case of collusion. So this is a case of collusion of our employees with some counterparties outside. And this is a key risk to address is the collusion risk. The systems as such are running really well and fine. So we don't expect that because of this we have to put so many new controls that going to impact the cost of the bank or anything like that.
So I think it we don't think so. If anything if we incur, you know, a small cost towards a part of control, it's probably a good cost to incur. But we don't expect any material cost coming from that. Your second question is the bank reduced interest rates so sharply recently. Well, the fact is that , yes we have dropped interest rates, but the deposits are continue to come well fro m even after we dropped the rates and it's quite comfortable.
And number three we believe that over the last maybe many years, maybe 7 or 8 years, the bank has built a really good brand, the bank has built, culturally if you see if you notice the bank's appreciated for its culture, even employees how they experience the culture and how they spread the word around in the market among their friends, families, relatives and everybody has bank accounts with us. The smell of the bank is very , very good, which is a very difficult thing to achieve.
It's not about advertisement, advertisement is about how much money you spend, but experience is the hardest to gain. And the bank has built that experiences. The bank has built in terms of deposit growth, bank has built a really good mobile app, bank has built hyper -personalization capabilities, bank has built data lake, analytics, machine learning, artificial intelligence and hyper -personalization, anti -spamming rules, anti -reputat ion rules, these are like and very good design layer, the UI UX layer, the experience layer, and the response times are really good.

So what I'm trying to say is that the bank has built really good capabilities and relationship management and service capabilities and service center. So bank has built such a fantastic stack of capabilities, but really deposits are coming from the full stack. So that's very important to note. And we believe that one incident of one branch in one location, people will look through and deposits will continue to grow. And if there's, you know, anyway results will come out, we'll share with you results of deposits this quarter also.
Sudhanshu Jain

: And Param just to add we maintain liquidity levels and we will of course closely monitor the situation.

Param Subramanian: Okay, fair enough. Yes, I got very clear. So , again on liquidity, right? So I mean our LCR is at like 115%, it's a little lower than where the other large private banks are. So as some abundant caution say from a near -term perspective, will we have some say higher liquidity buffers we'll be maintaini ng so, you know, consequent near -term impact on margins? I'm just trying to understand sir the implications from a near -to-medium term business trajectory?
V. Vaidyanathan: Bank always makes, you know our bank. We always keep high capital adequacy more than requirement. We always do retailization more than requirement. We always keep more liquidity than more than requirement. We are like super , super conservative in the way we run the bank. You can see that the credit deposit ratio of the bank for 7 years in a row on an average for the last 7 years is 75%. Okay, 75%.
So it's been 7 years on an average on a incremental basis. The stock was higher, it's now come down below to comfortable levels. But basically you can see that incremental has been 75%. So we run the bank really very , very conservatively. We take no chances at all. And we have very , very low levels of certificate of deposits.
You could have heard from the market that certificate deposits gone up to INR5.5 lakh crores in the system, IDFC has hardly taken certificate deposits we keep it very low. So we run the bank through core high quality retail deposit franchise from individual customers. So not to worry, these are our principles of running the bank, never take chances and that's how we'll run it.
Param Subramanian: One last question Vaidya , if I may. So I mean what is the gap that you think I mean you will be undertaking a review, but what is that gap versus some of the large private banks that you think was there if any, or do you think this could have played out in any bank in your view be cause you did call out that you have been strong in our risk management, but this has happened at our bank, right? So what is that gap and what are we doing incrementally to bridge that?
V. Vaidyanathan: Yes, clearly , clearly employee collusion risk, if a maker checker authorizer everybody in a branch compromises with a counterparty on the outside an d clears a fraudulent che que or clears a fraudulent transaction, maybe in this case even with multiple parties. So this is the kind of a stuff that can happen anywhere , that too in this a traditional the oldest kind of fraud of a che que and that kind of stuff.
But really when we will also introspect on this, we should also think about our staff transfer policy, how maybe their own behavior, maybe we should be able to figure out more transaction pattern of how employees' accounts and conduct are , we need to think a little deeper about how we could have stopped dealt with the collusion.

This is not a system failure, this is not electronic system failure, the systems are, you know, running holding us very well. It is a collusion of individuals. So we will reflect on this. We will definitely reflect on this and we will take some very decisive moves about how we will prevent this going forward . And we really would be never want to see another incident like this in our lifetime in this bank again. We will make some very , very decisive moves.
Param Subramanian: Thanks a lot , Vaidya. Thanks , Sudhanshu, all the best.
V. Vaidyanathan: Thank you.
Moderator: Thank you. Our next question come from the line of Prakhar Sharma from Jefferies. Please go ahead.
Prakhar Sharma: Hi, good morning and thank you for doing this call in a timely fashion and sharing the color. I just wanted to ask if it would be possible see the biggest question that all of us are trying to wo

nder is this one branch , one government issue or is there any chance that maybe a month or two later something else comes up ?
Is it possible to cover in the scope of either the audit or separate exercise a reconciliation of balances across governments and maybe issue a consolidated press release that this exercise has been done and no gaps have been observed or if any gap has bee n observed. That will give immense clarity to the market not to or kind of extrapolate this issue beyond what has come over the weekend , if that's possible ?
V. Vaidyanathan: Yes, this is a good point, this is a good point. We will evaluate this actually. We'll think this over a little. But I think it's a good point. Because see the thing is that the more we expand the more focus will be lost, we want to be very , very clear about the focus of this we have to get to the bottom of this.
And with regard to the due diligence, whether internally or externally, we will definitely do a proper due diligence on the rest of the system as well. Definitely do that and thanks Prakhar, that's a very good input.
Prakhar Sharma: Perfect. Thank you so much and best wishes to all of you.
V. Vaidyanathan: Thank you Prakhar.
Sudhanshu Jain: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to the time constraint, that was the last question for today. I would like to hand the con...
V. Vaidyanathan: No, no that's fine. I don't want to cut out anybody. If anybody else has to ask any questions, please feel free.
Moderator: Sure. Our next question come from the line of Subir Sen from Aditya Birla Sun Life Insurance. Please go ahead.
Subir Sen: Thanks for the opportunity. Just wanted a small clarification that 490 plus 100 which you mentioned, that 100 also pertains to Haryana government?

V. Vaidyanathan: Yes, yes.
Subir Sen: And this is only one account and one che que or there are multiple che ques and multiple accounts?
V. Vaidyanathan: I think these are multiple.
Subir Sen: Okay, okay. Thank you.
Sudhanshu Jain: They pertain to that branch only.
V. Vaidyanathan: Again, they also pertain to that branch.
Sudhanshu Jain: INR100 crores also.
Subir Sen: Okay, thank you.
Moderator: Thank you. Our next question come from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.
Nitin Aggarwal: Yes. Hi for the opportunity. Just sir one small question like this money that has gone out INR590 crores, like is it all to the private banks or some PSU banks also there? And only two banks have been de -empanelled by the state government. So why is that so and any color , if you can share as to the mix of the outflow and this some rationale on all this de -empanelment ?
V. Vaidyanathan: The money has gone to many other banks actually in the system. And even those banks are cooperating in the process. So we've reached out to many of them and they're all highly cooperative. With regard to the , what was the second question?
Nitin Agarwal: The de -empanelment has happened only for two banks, whereas multiple banks?
V. Vaidyanathan: That we can understand there, from their point of view, from the counterparties' point of view, that that incident has occurred. I think it will be a natural reaction for them to put to take the action they did. I think that it is our responsibility to do better and to and to give the necessary assurances and come back in the game.
Nitin Agarwal: Sure sir. Thanks so much.
V. Vaidyanathan: And in many occasions in the, the as Nitin you know the bank for long. We have really where we've come from this bank, we've really so I think we've covered lot of ground, we will cover ground on this front as well and win back the confidence of that clie nt.
Nitin Agarwal: Sure, we obviously understand sir. And thanks for doing this call. Thank you so much.
Moderator: Thank you. Our next question come from the line of Deepak Gupta from JM Mutual Fund. Please go ahead.
Deepak Gupta: Hi morning sir. I just wanted to understand the timeline of the incident, given the fact that the branch would have been subjected to multiple concurrent and internal audits, does it imply that this would have been a recent transaction, which is why it wa sn't discovered?

V. Vaidyanathan: I mentioned that, no, earlier that there are certain things which are under the under the scope of the audit, let the information come out as it comes out. But the trigger was the fact that certain departments, asked for balance confirmations. And then wh at they assumed or they thought, basically the books of accounts there was a difference a nd that's how we surfaced this.
But really what we have done is that apart from the INR490 crore s that came out, we have independently self -evaluated the rest of the system, we have found a gap of INR100 crores, we put everything together and we want to announce to everybody one shot. So that they don't have to come back to you again and again. This is our intent at this point of time.
Deepak Gupta: Understand that. And sir, given the fact that, that there has been wrongdoing from the government side as well probably and the investigation is going on, shouldn't we fight tooth and nail to get the money back or to ensure that we don't have too much of financial loss?
V. Vaidyanathan: See, the thing is that first of all , it is the forensic audit that will establish a lot more of these of the facts. And from the facts will come responsibilities. And it is you could be very well be right that there could be errors from the other party as well, there could be error from the some

colluding p arty who are the beneficiaries.
So if all that responsibility will be attached. Now your question is that why should IDFC First Bank , foot the bill for the entire amount if multiple parties are involved and other parties are also involved. That is something we will establish at the point of as it goes. But our intention generally as an approach as a bank, as a management, is w hatever is fair has to be done.
If it's our responsibility we will foot the bill. And to the extent our responsibility is crystallized, definitely we'll foot the bill. We will not fight tooth and nail for things that we don't deserve to keep in our books or our P&L.
Deepak Gupta: Sure, noted sir. Thank you.
Moderator: Thank you. Our next question come from the line of Jayant from Axis Capital. Please go ahead.
Jayant: Thank you for the opportunity. One question I wanted to ask , what would be the size of government state government deposits in our overall depos its and do you see any impact?
V. Vaidyanathan: I thought Sudhanshu already answered that, that it's and also with regard maybe you joined late and sorry, you didn't finish your second part of the question.
Jayant: Second question was that only sir, that I'm sorry if it's already answered, but is do you see any impact from other state governments in North ?
V. Vaidyanathan: Yes, Yes, I think that question was already answered. But since you're coming in late maybe I'll just quickly in 10 seconds I'll answer this. That we have deep strong relationship with everybody, our systems are deeply integrated with these with the systems of these governments, we pay we collect taxes for them, we do there are multiple sets of services we collect state taxes, central taxes, GST, cen tral so there are just so much more we do with them. It's like deeply integrated relationship.

We expect the relationship to continue to behave well with everybody else. And like I said, we are a, well -rated bank. I'd like to say we are AAA CRISIL on fixed deposits and AA+ on CRISIL on long -term rating. These are ver

y high ratings and in creasing, if you see the trend.
So we are a good bank, good capital adequacy, good balance sheet size, good culture, good systems, deep integration, so we have many things going in our favor and good relationship management and people who don't litigate unnecessarily. So I believe , we will demonstrate by our conduct that we dealt well in this matter and we will continue to enjoy the confidence of the people.
Jayant: Thank you sir and apologies for the repetition.
V. Vaidyanathan: Yes. Can we take a last question friends? Because I think we've been at this.
Moderator: Sure. We'll take the last question from Siva Natarajan from Principal Asset Management. Please go ahead.
Siva Natarajan: Yes, hi, thanks. Just following up on an explanation you gave earlier, is the process for authenticating and clearing a physical che que at IDFC the same as other large private banks?
V. Vaidyanathan: Yes, it's very much the same. In fact we are absolutely on par with any good bank. This is a collusion that has happened, like we discussed before. And it's a collusion risk, it can happen anywhere. But of course we will now reflect on it and see what more we ca n put in terms of the controls.
But to answer your question, yes, of course, not only the process es are the same, we do validation, the n there's eye -to-eye checking of the che que versus the system , so the process are same basically you check the signature on the instrument versus the system of the system, you clear it and then there is a double triple check of a maker, authorizer, verifier etcetera.
All that has been followed in this case and then followed these are followed up with, sending a communication system generated statement to the registered customer IDs, mobile alerts, SMS alerts, monthly bank statements, monthly balance confirmation certificates, all of these things go to the customer. So these are the standard process of the banking system.
Siva Natarajan: Thank you.
V. Vaidyanathan: So if with your permission friends can I please close this call? Moderator, can I go ahead? Because it's been like it's like touching nine. I'd like to just, conclude by saying one thing that this incident of course has deeply disturbed us not because of anything else but because the bank has had a sterling record on operational excellence for the last 10 years, like I said before, not a single smell like this in 10 years of operation and in the last s even years post -merger as well.
So when that story gets disturbed by one incident, it has deeply disturbed us. We are not going to let this go in waste. We are going to get to it, if it's collusion is the key risk then we will address collusion. And if there any other systems also we wil l address it, maybe we'll discover if we dis cover anything. And that's one.

Number two we would like to point out that the core operations of the bank is very important for you to we request you to take note of. This incident has disturbed you also, we feel, we really regret that, it shouldn't have happened, particularly the magnitude of the issue is mor e and that also disturbs us.
But coming back to it. So but when you look back, I want to just share with all of you that this bank has come through from the situation we were, let me say, at the time of merger, the core operating pro fit of the bank is very strong.
Our ability to take some of these hits today is better than ever before. And that the core strength is strong. When you will look through this hopefully all of you will look through this for 1 quarter. We have not yet decided what we will provide or not provide, but you assume let you know that we will take some provisions fo r this, please assume that.
And we believe that the bank, because the net interest margin is expected to increase, the credit cost is expected to go down thi

s quarter. So we were on the standalone basis we were expecting a very solid quarter this Q4 in terms of profitability. We were expecting you should see last 2 quarters gone up from INR350 crores to INR500 crores. We were expectin g a higher number this quarter.
So we were ability this is our normal base case expectation. Of course despite this hit if we were to take one, we still expect to be profitable. This is our estimates at this point of time. So we believe that hopefully when you will wake up, a quarter fro m now, you will look through this, we will not look through it, but hopefully you will look through this and maybe from th ere on we will emerge stronger.
I want to take this opportunity even sharing with all our employees that we have come through a lot to become a strong bank now and be rated what we are and we will come out stronger from this, we will emerge stronger, we are confident about that.
Moderator: Thank you sir. Ladies and gentlemen, on behalf of IDFC First Bank, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: Feb 2026

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500 Fax: +91 22 2654 0354
Registered Office: KRM Tower, 7th Floor, No.1, Harrington Road, Chetpet, Chennai 600 031 ; Tel: +91 44 4564 4000 ; Fax: +91 44 4564 4022
CIN: L65110TN2014PLC097792 ; E-mail : bank.info@idfcfirstbank.com ; Website : www.idfcfirst.bank.in
IDFCFIRSTBANK/SD/ 277/202 5-26 February 05, 202 6

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C - 1, G - Block
Bandra -Kurla Complex, Bandra (East)
Mumbai 400 051.
NSE - Symbol: IDFCFIRSTB BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400 001.
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter ended December 31, 202 5
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended December 31, 202 5, conducted after the meeting of Board of Directors held on January 31, 202 6, for your information and records.
The above information is also available on the Bank's website at the following link:

IDFC FIRST Bank - Transcript of the earnings call Q 3 FY 2026

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
General Counsel and Company Secretary

"IDFC First Bank L imited
Q3 FY '2 6 Earnings Conference Call "
January 31, 202 6

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND ,
CHIEF EXECUTIVE OFFICER – IDFC FIRST BANK
LIMITED
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER
AND HEAD OF CORPORATE CENTER – IDFC FIRST
BANK LIMITED
MR. SAPTARSHI BAPARI – HEAD INVESTOR
RELATION S AND ESG – IDFC FIRST BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to IDFC First Bank Q3 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there

will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Saptarshi Bapari, Head -Investor Relations. Thank you, and over to you, sir.
Saptarshi Bapari: Hello, everyone. Thanks for joining the call. Today, we have Mr. V. Vaidyanathan, M.D., CEO; and Mr. Sudhanshu Jain, our CFO. We'll start the call with commentary, opening remarks from Vaidya, followed by an update on financials and business parameters from Sudhanshu. Post that, we'll open the forum for Q&A.
So I'll hand over to Vaidya for his initial remarks.
V. Vaidyanathan: Good evening, everybody. Thank you very much, everyone of you, for joining us, and with -- here is Sudhanshu and Saptarshi. It's exactly 7 years since the time the merger happened. December 31, 2018, is when we put together our first financials. The merger actually was announced to the markets on 11th December 2018, but the first quarter financials were 31st December.
So, it's 7 years have gone by. So it's a good time for us to give a quick brief about the business model of the bank , as of 31st December '18, when we started, we had a total deposits and borrowings in the bank of INR 1,18,000 crores .
And of that INR 1,18,000 crores , INR 10,400 crores was retail deposits. Rest INR 28,000 crores was wholesale deposits, INR 22,000 crores was certificate of deposits and borrowings was INR 57,600 crores .
So you can see that a good portion, which is wholesale deposits, certificate of deposits, borrowings had to be repaid on due dates. And , therefore, the first priority of the bank at that point of time was to raise deposits because there's a large amount. This is really very unlike any other non -bank finance company, small non -bank finance company converting to a bank because it doesn't start with such a situation.
So therefore, think of it like a DFI converting to a bank, which is what our bank is, that too a large DFI or a midsized DFI, comes with this kind of starting point what I just described. So let me just say the first thing the bank did was to raise deposits at a very serious pace. And to give you context for 4 quarters prior to the merger, the total deposits raised from the bank was INR5,300 crores of retail deposits.
So obviously, with that pace, we were not going to repay INR 79,000 crores of these kind of monies even in 2 or 3 years. So , that is the reason you might notice that our bank's liability franchise is probably among the more developed ones because that was the weakest muscle, and we had to build that very quick.

So I'm happy to say that since then, the bank has really developed a good mobile app. We put out 1,000 branches. We developed savings account propositions, current account propositions, startup banking, NRI banking.
We put out a technology stack, brand positioning, hyper personalization engine , analytics, technology, service center and we made customer service, the customer first being like the almost front and center about what the bank is all about, that kind of positioning, then made the culture of the bank from top to bottom to think like t hat in terms of customer, made products about pro customer and launched commercial banking and reset our corporate banking, all that kind of stuff and relationship manager.
So net -net, we developed an entire franchise and also supported it with a 7% interest rate on savings accounts. Now it's not that we are very proud of raising

money at 7% savings account.
Market was giving 3% or 4%. It just had to be done. And in any case, it was cheaper than what we were otherwise raising.
Our existing borrowing was like 7.8% of the cost of funds at the bank at that point of time. So the point is that having raised serious deposits, all of you are happy in hindsight to note that we honored every bit of the transaction that were due.
We brought on credit deposit ratio from 137% to 94% now. And frankly, it sounds like 137% , but if you note that the bank also had a lot of money given out in the form of investments which is also effectively credit. That is like 169% . So that's now down to 96%. So things started structurally became much better. So having fundamentally structured the bank and settled the liability issue, which frankly is the biggest issue for the bank to settle, the bank along the way started cutting deposit rates. So let me say, in my scheme of things to pay off dues, obviously becomes priority number one .
Then of course, second priority is then fixing the cost of funds. So I'm just happy to share with you that progressively since then we have been bringing down cost of funds from 7.8%, which

was the cost of funds as on 31st of March 2019, the first quarter after the merger. And frankly, that is the same rate all through the next 4 quarters also, 7.8%.
We have brought it down today to 6.11%. So I'd like you to note, this is a reduction of 169 basis points. I'd like you to just pause for a minute and think about what the cost of funds of the mid -tier banks were at that point of time, mid -tier banks, and we all know the mid -tier banks.
The mid -tier banks, when we were raising money at 7.8%, was at 6.3%, so we were paying as high as small finance banks to start with, the fact. So we were paying 150 basis points more than mid-tier banks. I'm happy to share that the mid -tier banks' cost of funds have now come down from 6.3% to 6.09% and IDFC Bank cost of funds have come down from 7.8% to 6.11%.
So just in 7 years flat, we have not only raised serious deposits over INR2 lakh crores , with which we settled our entire, let me say, the upcoming maturities of that scale, but simultaneously, we have also brought down cost of funds. And now we have become at par. So we're basically paying two basis points more than average of mid -tier banks.

Mid-tier bank 6.09%, we are at 6.11%. And we believe that end of this financial year, the fourth quarter, because recently, we have cut the savings account rates, that full impact will come through this quarter.
So we'll come down below 6%. So the transition to a low cost of funds is a journey that had to be done. But you can see from the numbers that we are firmly on that path. And that, in turn, opens up the new areas for doing financing. Obviously, in the raisi ng money at 7.8%, and the kind of segments you lend to are more the higher yield and higher credit cost ones.
But obviously, now with these kind of rates, now we are as competitive as any other good quality mid-tier bank. And hopefully, as the years go along, we can even get better from here. Now I'd like to share some very precise numbers to you. What was 7% we w ere paying up to INR200 crores . And from INR200 crores to INR750 crores , we were paying 8.5%, whatever it is, it is. It is not something we're proud of, but it is. Today, we have brought down our INR0 lakh to INR1 lakh bucket from 7% to 3%, that is 400 basis points reduction. The INR1 lakh to INR5 lakh bucket, we have brought by 200 basis points from 7% to 5%. Above that, we are paying 6.5% and above INR10 crores , we are straight dropping it back to 5%, 4% and so on.
So net -net, we have structured this in such a way that large ticket bulk money does not come to the bank. If it comes, it will come at really low rates as any other big bank would have given.
A

nd then we are basically trying to accumulate money more in the smaller ticket ones. Not really small, like less than INR50,000, etc etera. That rate is 3%, but maybe in the zone of the INR1 lakh to INR5 lakh kind of rates.
Similarly, on the term deposit, we brought it down, and then as a result, the cost of funds for the bank has come down. Now I would like to quickly then move this conversation to share with you what this does to us on the lending side with the reduction of rates.
So on the lending side, think of it like on the personal finance front, we think of it like three categories of financing. One is where we lend at about 18% to 24%, and the cost of credit is like could be between 4% to 6%, maybe 3% to 6% depending on products, then there is the products like your products which are where you lend at about 14% and credit cost is 2% to 3%.
And then there is the products which are where we lend at 8% to 9% like mortg ages, loan against property, et cetera. And there the credit cost could be like as low as 0.5%. Similarly, on the business finance front, same logic.
We do lend at people at sectors is 20%, 25%, which is credit cost of 4% to 5%. We do lend at segments with 10% to 14%, credit cost 3% to 4% and then we do lend at 8% to 9% with credit cost of 0.5%, which is the loan agai nst property and home loans, et cetera.
So net -net, the combo -combo combination of this mix -mix that we do as a strategy for the bank, we aim to get a credit cost of 2%. Now I'd like to share with you what the real numbers of credit costs are for the last 5 years. And basically 5 years our gross NPA, net NPA of the bank really has been under 2% and under 0.5%, 0.6% for really very, very long time, you know the numbers. But all of us know that gross net can be managed can be handled by write -offs and the net NPA can be write -off provisions. So write -off and provisions we take it as one family.

And therefore, we'd like to specifically call out credit cost. On the credit cost front, we'd like to specifically point out that any of your analysts can do the math, if you take FY '21, '22, which is the peak of COVID that was raising, wave 1, wave 2 was happening. Then the FY '23, '24 were

benign periods, then FY '25 was hit by microfinance. FY '26 still have a residual tail effec t of microfinance going on.
All put together, good days, bad days, all averaged out through the cycle, our credit cost is 1.95% on funded assets. So you can do the weighted math for yourself. It is 1.95%. Now a 5 -year period, 1.95% should give us comfort, should give you comfort that the combination of products we talked about is giving us that kind of credit cost. And by the way, the 1.95% of average funded assets as average loan book translates to 1.36% on average on assets, just to mark the distinction there.
Now we'd like to then say what is the risk -adjusted net interest margin for the bank. This is important to note, risk adjusted. Now we've done analysis we'd like to share with you. For our bank, again, look through 5 -year cycle, all put together, good days , bad days, our NII by assets is 5.65%. And for 5.65% of assets , credit cost on asset is 1.36%.
So that translates to 4.3% is our risk -adjusted NIM and if you take this number for top banks, it is basically 3.93% is NII by assets, credit cost is 0.58%, and that is at 3.35%. The point is that we do have higher credit cost, that's a model, but the income is also higher, but risk -adjusted by running 4.3% and mid -tier banks are a little short of 3%.
So if the bank's model is fundamentally so strong and the numbers are intact to you, then how is it that the return on assets is 0.5%. So this is one people tend to sometimes tend to think of this that look, if your return on assets is low, then there must be some problem with your business which we should look into. So this

4.3%, if it's a risk -adjusted income, I'd like to then share with
you that this is obviously going ahead in building the bank. I mentioned to you, this is a domestic financial institution with a large balance sheet, sudde nly raising deposits and trying to retire liabilities.
So we want to just share with you that this entire capability that we built of this deposit franchise that we're building, this obviously will build scale. And as of now, it's touching something like about INR 2.8 lakh crores . In the next, maybe we are hoping the next few years, let's call it, 4 years or 5 years, depending how it goes out, this will be INR 6 lakh crores . And at that point of time, this breaks even. And then whatever return on assets of the lending side translates to the P&L straightaway, okay?
Now I would like to finally close this by giving a quick input to you on how our operating expenses as a percentage of the book is today and what we expect it to be in a normalized way. And this is important to understand because again, these books are still under build -out mode. So our cost -to-income ra tio for the lending side is 62.3%, on the retail lending side. And we believe it will come down to like the low 50s just with scale. Our wholesale book, the cost -to-income ratio is running at 36%. We believe it will come down to 30% with scale. And our credit cards is running at about 97.5%, which will come down to about 70% with scale. And the retail liabilities is running cost -to-income ratio about 149%, which will come down to about 100% with scale. So what is the combination of the 73%, 74% that you're seeing here, we believe with

scale, it should come down to about the mid -50s. So if you do the math, you'll get there. And none of these numbers are unrealistic. We believe these all should be achieved with scale.
And therefore, at this 55%, 56%, if you plug that back into a business model, you would see that the ROA of this bank will start going to about 1.6 odd. And then rest of the equation will become like any other good bank posting that 1.6% 1.7% ROA and the life is great and life moves on from there. So this is the long and short of the entire business model.
Basically, if the bank is making good money on the earnings side, not making money on the liability side or there's a loss, and as they scale up, the cost -to-income ratio comes down and cost comes down, and you will find a good bank and you'll find the numbers coming through. And then it's business as usual and life moves on and then the challenges and successes of any other bank as it were.
But it does take 10 years to build a bank. That much I'm realizing and certainly takes 10 years to build a liability franchise when you convert a DFI to a bank. Like I said, if it is an NBFC, if you got a bank license, that would be a much easier life. But if you're NBFC tied with infrastructure DFI, which is 3x your size, remember, Capital First was INR 25,000 crores on books. IDFC was INR 75,000 crores on books.
So you walk the path to get the bank license, you pay this is a part of building it out. So , this will land very well in our opinion. The business model is strong. It's very solid. I read out the numbers to you.
And with this business model with the kind of margins I told you, moment when we fix this cost-income ratio, it is going to fly as well as like as any fantastic bank. And in fact, more so because the bank has actually built rather a slightly differentiated model on the lending side.

This is not a regular model just built on technology.
So we've built many, for example, in the last month of October alone, IDFC gave out close to about 1.3 million to 1.4 million loans in 1 month. Obviously, this can't be done through the human people sitting and calculating incomes and all that. Each of these loans had identity check, bureau, fraud check

, KYC, mandate, stampi ng, registration, and everything is electronic. So that is a very special capability bank has built. And similarly, on the deposit raising front, we have developed capabilities for personalization, hyper personalization and so on.
So that is the kind of capability the bank has built and with arrival of technology, cost is also coming down and you get the drift. So therefore, we should look forward. And now, frankly, this picture I painted was from a larger picture that we're paintin g that they're looking forward to in the many years because the business model is looking more stable to us right now.
We're looking quite hopeful for the upcoming Q4, Q1, Q2, Q3 of next financial year. We are looking at it with confidence because now I think with the microfinance issue behind us, rest of the model is anyway good and it's just proven by coming out of the cycle. So thanks very much.
Over to you, Sudhanshu, for the quarter details.

Sudhanshu Jain: Thanks, Vaidya, and thank you, everyone, for joining on a Saturday. I will start with outlining a few key financial numbers for the quarter and the sequence would be largely deposits and loans, and then I will talk about asset quality and finally, profitab ility.
On the deposit front, we saw a strong growth in the deposits. Deposits, in fact, has grown at 22.9% on a Y -o-Y basis to reach about INR2.9 lakh crores . If I talk on customer deposits, then the growth here was about 24.3%, and this now stands at about INR2.83 lakh crores .
Further to add the 9 -month average customer deposits have grown strongly at 25% on a Y -o-Y basis. Within deposits, the growth primarily came from CASA deposits, which I am happy to report that it has touched INR1.5 lakh crores in December with a strong Y -o-Y growth of 33%. Here also, if we see on an average basis, then we saw strong momentum, and this growth has been about 32% on a Y -o-Y basis.
This has been led both by CA and SA, and we have given some numbers in the presentation. CASA ratio as a consequence on end -of-period basis, inched up to 51.6% and average CASA ratio was about 50% for the quarter.
On an average basis, CASA mobilization accounted for about 75% of the incremental deposits mobilized during the current quarter. Vaidya talked about that we saw a reduction in cost of deposits by about 15 basis points. And similarly, cost of funds reduced by 12 bps during the quarter.
This was largely driven by FD repricing and strong CASA mobilization, which I mentioned before. During the quarter, we have added about 25 branches, which takes the total branch count to about 1,066 branches. Even on an LCR front, the retail deposits as pe r LCR was strong at about 64.7%. And it almost stacks like the big banks, if you go and check out on that ratio.
Talking of our numbers, which would speak of granularity. Our CASA plus TD, less than INR5 crores was at 83% for the quarter, vis -a-vis about 82% in the last year at the same time.
If I now talk about loans and advances, then there also we saw a strong growth of 21%, and that has reached about INR2.8 lakh crores . We saw sustained and healthy growth across mortgages, vehicle loans, consumer loans, MSME loans, wholesale loans. These all collectively accounted for 89% of the total increase.
Needless to say, this growth also came on the back of a festival period sales, which further got a boost on account of the recent GST cuts. If we talk of MFI now, that book is at about INR6,657 crores at December end and now comprises about 2.4% of the total funded book. We saw the pace of decline reducing in this quarter as disbursements have started picking up slowly. From an insurance coverage point of view, the book is now 81% insured vis -a-vis 77% in the previous quarter.
Moving on to credit cards. The credit cards in force for the bank has reached 4.3 million m

ark
during the current quarter, and the book has now reached INR9,100 crores . The credit card spends were also strong and for the 9 -month period, has in fact increased by 35% on a Y -o-Y basis. On the wealth management side, the AUM continues to grow at a steady pace of 31% on

a Y-o-Y basis, and that book has now almost touched about INR60,000 crores . I move now to the asset quality.

We saw an improving trajectory across NPA and SMA ratios during the quarter. If I start with NPA, then the gross NPA ratio of the bank improved by 17 basis points. to 1.69% from 1.86% in Q2. Similarly, the net NPA ratio of the bank stood at 0.53% compared to 0.52% in Q2. Some further breakup in terms of NPA for retail, rural and MSME segment.

There, the gross NPA ratio also sequentially improved by 18 basis points to 1.55%. Moving on, the gross slippage ratio. The gross slippage declined during the quarter by around 7% and the net slippages improved by 9% sequentially. We saw a reduction in MFI slippages. Further, if I talk of gross slippage ratio ex MFI, that also was lowere d by about 30 basis points during the quarter sequentially. In terms of collection efficiency, we continue to see a healthy trend ex MFI. On the early buckets, the collection efficiency has been steady at 99.5%. Even for MFI business, the collection efficiency for the quarter has now reached close to the pre -crisis levels of 99.4%. The SMA of the retail, rural and MSME book also improved to 0.88% in Q3 from 0.9 0% in Q2. In microfinance portfolio, the reduction was slightly sharper, it reduced by about 27 bps. And in fact, the SMA pool has come down by 33% sequentially.

So in essence, both on SMA, NPA, we have seen a strong set of improvement during the current quarter. Moving quickly to profitability. We have reported a profit after tax of INR503 crores , which is a sequential growth of 43% and 48% on a Y -o-Y basis. Profit for 9 -month period stood at INR1,317 crores . NII for the quarter grew by about 12% on a Y -o-Y basis. And in fact, this growth has improved from 6.8% which we reported in Q2. This was also led by an improvement in net interest margins, that on an AUM basis improved by 17 basis points and was at 5.76% in the current quarter.

Similarly, on the fee and other income side, we saw a strong growth, some also led because of, I would say, the stronger book growth. Here, the fee income grew Y-o-Y by 15.5% and sequentially, that number was 10.5%. We made trading gains of INR96 crores in the current quarter compared to INR56 crores in the previous quarter.

If I now move on to opex . The opex growth was 13.4% Y -o-Y for the current quarter. In Q3 FY '26, we have taken additional impact of INR65 crores through the P&L on account of the New Labour Code . Excluding this impact, this 13.4% would stand reduced to 12.1%, and it is slightly lower than the 12.5%, which we reported in Q2.

If I talk of operating profit, including trading gains, that increased by about 8.2% on a sequential basis. And on excluding trading gains, it improved by about 6.2%. Moving on to provisions. This reduced by about 3.7% from INR1,452 crores in Q2 to INR1,398 crores during the quarter. Overall credit cost percentage improved by 19 basis points to 2.05% during the quarter. Excluding microfinance, the credit cost for the overall loan book was at 1.99% and was roughly 10 bps better than the previous quarter.

In line with improvement seen in the SMA numbers, bank has utilized a microfinance provision buffer of INR75 crores during the current quarter, which is a similar amount, which was utilized

in Q2 as well. On a cumulative basis, INR150 crores has been utilized during the current year, and the bank continues to carry forward INR165 crores as a contingency provision.

Moving on to t

he last section. On the capital adequacy, the capital adequacy, including profits for 9M was at 16.22% with CET1 ratio at 14.23%. During the quarter, CCPS of INR7,500 crores were converted into equity, and these ratios do incorporate the effect of this conversion. Average LCR deposits were also quite stable and healthy at 115% for the quarter. This is broadly within our guided range.

With this, I have broadly covered the key financial numbers, and we can take the questions from here on. Thank you.

V. Vaidyanathan: Thank you, friends. Please take over and ask your questions.

Moderator: Our first question comes from the line of Akshay Jain from Autonomous Research.

Akshay Jain: Congrats for a go od set of numbers. Sir, I have three questions. Starting with margins. So how should we look at the margin movement this quarter? So margins have improved by close to 17 basis points quarter -on-quarter.

You indicated that cost of funds have dropped by 12 basis points. So what other factors are contributing to the margin improvement and how should we expect margins to go incrementally? And what proportion of your term deposits are yet to be repriced? My se cond question is on SA rate. So now that you have started to cut SA rates, so should we expect IDFC to be more open to SA rate cuts in order to protect margins?

So is that the thought process going forward? And lastly, on asset quality, so last quarter, you had indicated that for the full year FY '26, your credit cost guidance was reiterated at around

2.1%, which meant that it is close to 2.05%, 2.1% this quarter. While slippages have declined, PCR has also dropped by 3 percentage points. So could you provide some guidance on how should we expect credit cost to trend from here onwards.

And on segmental , credit card SMAs have increased quarter -on-quarter. Anything to read over here? And even mortgages and MSME GNPAs have increased by around 25 to 30 basis points over the last 3 quarters. Anything worth highlighting over here? So these are my questions.

Sudhanshu Jain: Yes. Thank you for the questions. I think you have asked a series of questions, but we'll make best attempt to answer all. On the margin front, yes, out of that 17 basis points, as you said, 12 bps came because of the reduction in cost of funds. I would sa y about 2 to 3 bps came because the CRR requirements were lower during the current quarter.

Last quarter, the CRR was broadly at 4%. This quarter, it was reduced during the quarter to about 3%. So that gave us some benefit. Third, I would say is that we got capital in the mid of the quarter last quarter. And hence, we saw some full impact of that also sort of playing out by a few bps. So that essentially is the bridge for the margin increase of 17 basis points. The next question was on SA rates.

V. Vaidyanathan: Yes. On SA rates, basically, yes, I mean, you can see we've cut at least in the bulk bucket, the biggest bucket that we had, INR5 lakh to INR10 lakh bucket, we cut it by 200 basis points

straight. So we'll watch. We feel that this will pass through comfortably in the sense we don't see any outflow in a serious manner, et cetera, because we believe that we are supported by good service levels and brand and all that. So we will keep a good eye out for this for an opportunity to reduce it.

The key thing to watch out for IDFC is the thing that , it depends on the growth that we need because end of the day, if our balance sheet has got to grow by this order of magnitude, say, about 20 -odd percent, it could be anywhere in that zone, let's call it, 18% to 21%, something i n that zone.

Then correspondingly you need to raise deposits. So we will monitor this and this is to be seen in the context of how much funding we will really need and what kind of branch architecture or physical architecture we need to support it.

I

n other words, for example, let me put it like this. Theoretically, not just as a thought experiment, if this bank did not have 1,000 branches, they had 2,000 branches. right? And we had incurred the cost of that line. Then we don't need to pay even the c urrent rates, we could have cut it by 100 basis points probably.

So you're paying through this route or that route, right now, we're running less number of branches for the kind of deposit we raise. So it appears we pay more on the rate, but end of the day, we're running less branches and therefore incurring less cost there. So we got to pay for it through one line or the other, either through expense line or the interest line because we're still in the phase of building out. But we'll keep a very close eye on this and we'll balance the situation.

Sudhanshu Jain: Yes. Maybe I'll take a few other questions, which were sort of put out. On the credit cost, yes, we have come at about 205 basis points for the current quarter. And our guidance in the earlier call was about 210 basis points. We are quite hopeful that Q4 a lso should be strong on this front. And we are hopeful that we will still try to get close to that number. So that's on the credit cost front. And in terms of PCR, it has marginally come off. But if you take into account the contingency provision, which we still hold, then the PCR is about 7 2.7%. So we feel quite comfortable as far as the PCR is concerned.

Your last question was on the SMA increase in credit card. There also, if you see last 2 or 3 quarters, it came down in the last quarter. It has marginally gone up. We feel quite comfortable on this front and hence, nothing specific to call out on that fro nt.

V. Vaidyanathan: And frankly, on this last point that Sudhanshu answered, I don't know if you've noticed or not, but we disclosed a product -by-product SMA and both SMA -1 and SMA -2. And we also give it by product by quarter. So you can see the full trend out there.

So you can see that most of them are in the zone, like almost every product is flat, plus/minus 20 basis point here or there, maybe 10. So every product is flat. So you can get good clear look through visibility of what's happening underlying in the portfolio.

Akshay Jain: Understood, sir. And on the MSME and mortgages, there the GNPAs seem to have inched up

by 25 to 30 basis points over the last 3 quarters. So anything to read over there?
V. Vaidyanathan: No, no, nothing to read out there because , if you see the mortgages also, broadly it is flat. What's happening is also that the books are also not growing at the pace , every business when you start, they have an aging process. And finally, they age and they stabilize. So the mortgage running at SMA of 0.54% in itself is a pretty low number. In fact, last quarter was 0.54%.
The quarter before that 0.49%. It's like normal aging that's happening of the portfolio. So , in absolute terms, they're like absolutely safe. They're doing well.
Akshay Jain: Understood. Sir, any credit cost guidance for next year?
V. Vaidyanathan: It should come down actually. This at least the next quarter also should come down at least when we're looking at the numbers and analyzing them, not just in percentage terms in credit cost but in absolute terms also, we see it coming down next quarter we think, yes.
Sudhanshu Jain: Yes, because the MFI problem we feel is, by and large, done and dusted. Of course, the normalization of credit cost may still take 1 or 2 quarters. It's beautifully coming down every quarter. So definitely next year, we should see an improvement in the cre dit cost.
V. Vaidyanathan: And I also pointed out to you, I don't know if you got that or not, our bank's credit cost has been 1.95% of average book in a look through the cycle. 5 years is a long period. So as I told you, I suppose on average assets it is 1

.36%.
So we should come back there because the crisis is behind us, no new -- I mean, of course, in banking, we should always watch out, God knows what's around the corner, we should be very careful. But for now as far as our eyes can see, next quarter, next yea r, we should come back to those levels or probably a bit better, hopefully.
Akshay Jain: Maybe better than 1.95% because our mix has improved over the last few years.
V. Vaidyanathan: Hopefully. And yes, that's true. I mean, we should hope so because subsequent years, mix should even look better. So at least you should expect from us, we say 2% so that all of you are anchored to particular number because that's model. But hopefully, if you take FY'27, FY'28, FY'29, FY'30, it should be even lesser than that, but who can talk that long, we should play it by the ball.
Akshay Jain: And I guess, we missed on the margin guidance. So how should we expect margins to move? That's the last question.
Sudhanshu Jain: Yes. So if you remember, for Q4, we had earlier guided that margins could be upwards of 5.80%. We would slightly want to revise that guidance upwards to 5.85%. This is also on account of the SA rate reduction which we have done, which Vaidya talked about. That should give some benefit. So we expect the margin trajectory to improve in the next quarter.
Moderator: Our next question comes from the line of Piran Engineer from CLSA Limited.

Piran Engineer: Congratulations on the quarter. Just getting back to this SA thing, right, like V.V. last time when we had this con call, you said you are a bit cautious about cutting SA rates because you think the same customer will then go and put in TD and you were deb ating with your colleag ues out there as to what to do…
V. Vaidyanathan: Yes.
Piran Engineer: But it seems like that didn't happen. Your CASA has actually improved. So has it improved because of CA or has it improved because of SA? So that's there. And then just on this, and we would expect that over the next few years, you keep pruning your cost o f funds by getting it in line.
Now you got it in line with the mid -tier banks and then hopefully, in the future closer to the larger banks. How should we think about whether you want to pocket these gains in terms of NIM? Or you would rather compromise on that and grow in safer segments or, say, for customers if you get what I mean?
V. Vaidyanathan: Yes, yes, it's a very good question. So on the SA strategy. Yes, of course, we were debating internally, should we, shouldn't we. And we did do it. One, because we saw the market also almost all competition had cut it and we were kind of an outlier where our rates were standing out quite high.
And we actually felt that even if we cut it, we are safe to cut it, meaning we felt comfortable about it, firstly. Secondly, the fact that this quarter has gone up, you shouldn't read too much into it because this quarter, all of this quarter, we've been having substantially higher SA rates in the market, so to say.
So the truth will tell next quarter or quarter after that. So let's see where it goes. We frankly feel comfortable even if to say internally, if you were to talk to us, we would just say we internally would be comfortable even at 45 to 50 in that zone. It doesn't have to be like 50 plus and all that. So it gives us enough headroom right now sitting at the current CASA ratio as it plays. So we'll see this, as I told you earlier, end of the day, mind you that we have only for the kind of deposits

we're raising, we've only 1,070 odd branches. Now , so therefore, the more network we grow, the more ability for us to cut the rates because the output we need to raise the INR60,000 -odd crores or INR50,000 -odd crores , that is given because that amount balance sheet is growing.
So if your output is given, then it's a product of the network

we have and the rates and we just
play as a combination of that. Because other items, other than these 2 variables, the bank has fine-tuned really very well.
Brand is known, products are good, service levels are good, and so on. Now coming back to the second question, how do you want to deal with this that if we get an opportunity to reduce it, what are we going to do with it? Are we going to go down safer segments or are you going to pocket to the P&L?
That's really a very good question. Our own thinking is that we'll probably walk down the safer segments route and increase that as a combination because as we walk down the path into FY28,

FY29, FY30, remember, I always say I hope you'll remember that's right from day 1, 2019, we've been saying thinking long, thinking long.
So even now we're thinking long, we're not thinking for 1 quarter, 2 quarter, we're thinking 5 years ahead. So when we wake up 2030, we don't see ourselves as a bank lending out at 13.5% and having cost of fund of maybe 3.5% or 4% and pocketing and having some insane ROEs, we don't see like that.
We do see ourselves that we would have become a more mature institution. We would have probably come down the risk curve. We would have had a larger proportion of mortgages, business loans, loan against property, gold loans and these kind of businesses.
So hopefully, our credit rating, I'm hoping we'll get to a AAA league. We're AA+ today. So we are shooting to be one of those institutions which people can look back and feel more happier about. And by that time, hopefully, the entire loss from liabilities would have gone away. So that is the picture we have for the future.
Sudhanshu Jain: And Piran, just to add to your specific question on CASA. So I'm saying, as I said earlier, 75% of the increase during the current quarter came from CASA. Of course, CA for us still happens to be a lower proportion vis -a-vis the overall customer deposits. So there also, we saw, I would say, a very decent growth during the current quarter, and the balance was led by SA.
V. Vaidyanathan: But generally speaking, which all of us internally also acknowledge that our CA as a percentage of our CASA and current account as a percentage of our total deposits is quite low relatively because when I told you we had to pay INR1 lakh crores coming up.
So at that point of time, the quickest way to raise this was savings account through our various methods. So the current account is one of our spots that we are relatively, I'd say, on the lower side. But this we will fix. We fixed many things in the bank, this also we will fix.
And the last thing, I must say that while we talked about the fact that broadly we will use this as and when we can bring down cost of funds, either through distribution or whichever way. When we do it, I said we'll go towards safer segments, lesser credit cost products. That's a broad picture we have.
But I want to just point out one thing to you and to everybody hearing the call that a unique DNA built at IDFC, which is coming actually from Capital First, which we've been honing and honing for 15 years now, which is lending to these segments by using t echnology and underwriting models and scorecards and machine learning -based scorecards, we have 100 machine learning scorecards to give you an idea of example, 100 of them, a little more.
So that kind of a very unique capability where we can power up at scale and open underserved segments in a profitable way, that DNA, we don't want to give away. So in fact, we treat credit cost is a bit like research and development cost. It's not something for us to zero at.
That's not what we're striving for. So that is a unique model, capability we have. We want to keep that model. So just that the percentage of that will come down and the conventional, traditional businesses will increase.

Piran Engineer: Understood. Understood. Okay. Second question is what percentage of our unsecured consumer lending, be it consumer durable loans, personal loans, digital p ersonal loans, credit cards, etcetera, are to our own deposit customers?

V. Vaidyanathan: Very high. I can't say that for consumer durable, because consumer durable and 2 -wheelers are largely new -to-bank customers and so on. But the credit card is largely to our base. Largely, I'm not saying only to our base, but largely.
Piran Engineer: And the salaried and professional loans?
V. Vaidyanathan: That we are doing a, let's just say, okay job, I use the word okay job because we have a lot more to do on that front. But because our personal loan business is still a good portion is originated through direct marketing associates, et cetera, that we engage with.
But increasingly, considering that we have developed a really good savings account base and also, we are digital in our capabilities, our ability to give personal credit to this base is very good. Not just we have the base. We have the ability to give also in a very seamless way. So we are growing that, and we are developing capabilities in app, etcetera. I mean I use the word okay because we feel there's a lot of scope to improve on that front.
Piran Engineer: Understood. And just last question for Sudhanshu. What are the standard asset provisions you are carrying right now? And when we migrate to ECL, what sort of impact do you foresee, a, on transition and b, after on a steady -state basis?
Sudhanshu Jain: Yes. So standard asset provision, the number roughly for the quarter is about INR50-odd crores . And typically, it's about 30, 35 bps of the overall loan book, which we carry. So it should be about that INR950 crores , INR1,000 odd crores .
Piran Engineer: I mean the overall buffer. I mean the outstanding .
Sudhanshu Jain: Yes, So it's broadly around those numbers. In terms of ECL, yes, this was a question which sort of came in the last call also. Of course, we have responded to the draft paper in terms of submissions, and that has gone from all the banks. I did touch upon that from implementation, first from a capital point of view, we feel that if the guidelines have to come through around ECL, around credit risk, around operational risk, this should be marginally positive for us on implementation.
In terms of credit cost, of course, there could be some increase on a steady state, but we could have some benefit, which could also come because of an EIR implementation. So we actually need to look into in what form and shape it sort of eventually comes through. There could be some increase in credit cost, just to put it straight.
Piran Engineer: Got it. Because the standard asset provision of 35 bps, 40 bps won't be enough, right?
Sudhanshu Jain: But I'm saying your ECL, you also have to see in conjunction with the PCRs which you're holding, right? And that also so rt of has a play there, right?
Moderator: Our next question comes from the line of Param Subramanian from Investec.

Param Subramanian: Firstly, could you give a breakup between CA and SA of that 51.6% CASA ratio? And what is the effect on cost of savings from the change that we have taken in January?
V. Vaidyanathan: I'll put numbers for you, if that helps you. So our CA number is about INR20,000 crores , correct?
Sudhanshu Jain: Yes. So your CA will be about 7% to 7.5% in that 51.6% and balance will be SA.
V. Vaidyanathan: That's why we said that we are punching low on CA , I told you.
Sudhanshu Jain: Yes, and to your question on the saving rate impact, this would lead to a reduction of about 15 to 16 basis points on the SA cost.
Param Subramanian: Okay. Very clear. Second question, in this quarter, like the previous partici

pant pointed out. So
our SMA in credit cards is up, and also our write -offs are inching up. So would it be fair to say that some of this is unsecured led and write -offs could stay elevated for some time? Or could this also start falling?
V. Vaidyanathan: It's very simple, actually. If you see the write -off is a measure of what policy we have after provisioning. So the way to look at it is that you track us finally what hits the P&L provisions. That's it. So we track also the credit cost.
So don't bother too much about the write -off or don't write -off in the sense because they're all a line item. End of the day, it is credit cost. That's why we call out credit cost every single time, and we track ourselves to that. I told yo u the number of 2% and 1.95% et cetera.
Param Subramanian: Fair enough, Vaidya. Okay. So my next question is actually on the CGFMU book, right? So about 80% of our book is now in MFI, is now CGFMU insured. So on the CGFMU NPAs, how exactly do you provide? Because one of our peers actually called out that they only provide on the uninsured portion of that 28%, which is uninsured. Is that how we do it as well?
Sudhanshu Jain: No. So on this one, I would say we slightly follow conservative norms. In fact, we end up providing 100% as the account touches 180 days. So we have a slightly differentiated policy.
V. Vaidyanathan: See, frankly, they all come back to the same thing because end of the day, probably 72% of that is covered.
Param Subramanian: So which means later in the year, we will get write -backs whenever we invoke these guarantees, right?

V. Vaidyanathan: Yes. Obviously, obviously.
Param Subramanian: Yes. Fair enough. Okay. And lastly, sir, so our ROA has started trending up. When do we think we can get that 1% ROA run rate? I heard you mention 1.6%. But when do we start hitting a 1%-plus ROA run rate?
V. Vaidyanathan: I know we should be very careful about putting numbers out there. So we will take it by the quarter. We are quite hopeful that every quarter from now on should look better. And see I'm not ducking the question, please don't get me wrong, except that sometimes putting these numbers specifically out there puts us into a position where we can't take market moves after that. So I don't want to pin ourselves down because market is market.

If you've got to cut the rate some, then cut the rate, if you want to increase the rate some, you want to increase it. We just want to be able to play our shots. So , but I must say that fundamentally, you can well think that if you're borrowing money at 6%, we're lending at the rate we're lending, we're posting a NIM of 5.8%, it just has to make money.
It just has to , mathematically, it has to make money. So as the loss from liabilities, comes down, it just has to become more profitable. But I think, hopefully, by end of next year and operating leverage, but I don't want to specifically pin ourselves down to it.
Param Subramanian: Fair enough. Sir, 1 last question, if I may, the LCR for this quarter and what is the impact of this transition to the new LCR calculation?
Sudhanshu Jain: Yes. Average LCR for the quarter is about 115%, broadly at similar level as the previous quarter. On account of these new guidelines, which will come in from April 1, of course, we will get some benefit on the wholesale front. But because on the retail LC R also, we are at 65%, which I mentioned earlier. On a composite basis, we may have a small impact about 1% to 1.5% on LCR, but it's a quite small number in that sense.
V. Vaidyanathan: And to the previous question, don't get disappointed that we're not putting a number down, don't be because like I said, it's not about 1 year, we're building the bank a year after that and the year after that. We are building institution here.
So clearly, unit economics of this bank is

pretty good. I told you the numbers, the risk -adjusted income of this bank on a 5 -year look through period. It's really good. It just will play out. You will see it quarter -by-quarter and we'll take it as it comes.
Moderator: Our next question comes from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Congratulations on the quarter. Sir, across large products, mortgage, vehicle, consumer loan, can you tell us how much is, let's say, DSA led or co -lending led because I believe the co -lending loans would now be much tighter, and hence, it could be difficult to originate through co -lending and how much is DSA, co -lending and maybe branch -led?
V. Vaidyanathan: Not much. Ours is not much of a co-lending model. It's broadly what we originate from our branches, what we originate directly and digitally and what we originate through regular third -party originators.
Jai Mundhra: Okay. And sir, any number for DSA or for digital , atleast large products.
V. Vaidyanathan: Yes. Of course, if you take large products, then an easy question to answer. For example, take loan against property or take education loan, I'd say it's largely third -party originated. Or if you take a 2 -wheeler loan or a vehicle loan, they're done at the dealership point. It's not that customers walk in to our branch and asking for a car loan, right?
So the thing is that if you think of those products, they are the obvious ones. They are more third -party led. And that's a majority, I would say, but we have also developed our ability to have our branches originate. As a bank, we are a bit shy as if you're a customer of the bank, you might have noticed that you don't get too many cross -sell calls, you don't get repeat c alls for the same customer.

If any of you have got an odd call , I'll apologize for that but 99% I'm quite confident you wouldn't have got that because we are very careful about anti -repetition rules which we've built in the system, anti -spamming rules , we've built in the system.
So we kind of constrain cross -sell and we think from a customer experience point of view. And therefore, our own cross -sell, I'd say, has some room for improvement. And , for these products, it is more outside. But for credit cards, which largely is in -house, in -house meaning existing customers, where we reach them digitally, and they come to the app and they take the card away.
So if you take personal credit, like I said e arlier, we're also developing that capability in -house.

We also have tied up with some of the digital platform companies. So we originate through that model because we have really good API architecture in the bank and which we use. So those kind of products, we are also originating digitally. So we don't have the number off -hand. So next time, maybe we will share with you.
Sudhanshu Jain: But, I can just add that, definitely, in some of these products which were there, the proportion of sourcing from branches are increasing, whether it's mortgages, whether it is like business banking, that's entirely done out of the branches, credit card Vaidy a already talked about, personal loans also we are trying to source more through our internal channels. So in all of these products, we are trying to reduce the dependency on DSA.
V. Vaidyanathan: And one number, I mean it's coming to me , so basically, we tracked ourselves that how much is the origination by the bank from branches for the last 5 years and it is almost growing , despite all the anti -repetition rules and anti -spam rules, it is growing , while the book is growing by 20%, the business originating from branches give or take, is growing at about 35% to 40%. And so the proportion is obviously, by this mathematics, improving. But what is the exact percentage, maybe next time we'll share with you.
Jai Mundhra: Sure, sir. And sir, a quest

ion on your opex and opex strategy actually. So , let us say now so far, the NII growth was lower than loan growth because the NIM was under pressure, and this quarter seems to be a pivot quarter. And NIM has started to expand and maybe this trend could continue. So increasingly, NII growth should become better.
Since that is the case, then will opex remain at 12%, 13%? Or do you believe the opex could also rise because , at least in the last 4, 5 quarters, the opex has been constrained. And as NII growth also increases, maybe you will maintain the delta , or you believe opex is now more or less steady at 12%, 13%?
V. Vaidyanathan: Okay. Let me take that, Sudhanshu. So the thing is that, yes, of course, last 4 quarters or 5 quarters, you can see that we have kept it very, very, very tight in terms of our expenses. The thing is that this could even go back to, say, 14 -odd percent, it could well be, like if you look ahead into, say, 2027.
But still the fact is that income will also grow by probably because now the mix issue is already done, right, because the microfinance book had to shrink, has shrunk already. So hopefully, next year, the income also should grow by 18%, 19%. Sudhanshu?

Sudhanshu Jain: Yes. So I would say, definitely next 1 or 2 quarters, we see income sort of normalizing much more and maybe keep pace with the book growth.
V. Vaidyanathan: Yes. That's fine. But coming back to the point.
Sudhanshu Jain: Of course contingent, just to caveat, I'm saying if there are any further rate cuts or any sort of systemic changes, then that could have a different bearing.
V. Vaidyanathan: No, that is one thing, but broadly, the opex front , I'll throw a number at you and if I'm wrong in my assessment, then you can correct me also, all of you analysts, that frankly, the book grew by maybe 20% a nd the income grew by, say, 18%.
But if the opex grew by say 14%, just to simulate that. That's still operating leverage. And we'll see how next year looks like, but I'm just giving you an order of magnitude the way we are thinking about it.
Sudhanshu Jain: Yes. So as I said, income growth could, to a great extent, normalize starting into the early next year. So it could keep pace with the advances.
V. Vaidyanathan: Because this year, we really, really constrained it. And like I said, you could choose to pay through the opex line or you could pay through the interest line. We do believe that setting up some cost structures is part of building the bank.
Jai Mundhra: Sure, sir. And last question, and a bit of an observation. Sir, if I look at your SMA, SMA -1, 2 has been very, very reasonably stable at 70, 80 basis points. And your slippages non -annualized is also similar, right, 70, 80 basis points.
So it looks like that either the people who slip to SMA -1, 2, they straight away slip or the recovery is not I mean other banks, they have much higher SMA number and only part of that will slip to NPA, whereas in our case, the slippages are around 3% annualized, and the SMA number has been very, very stable. So either the migration from SMA -1, 2, to NPA looks a bit higher. I mean that is an observation if you have any comment around that.
V. Vaidyanathan: It's possible, maybe the combination of our products as such , it's possible. If you are giving mortgages and all, we would have probably got a lot more recovery, maybe another combo of products, it moves ahead. But still end of the day, as long as this 88 or 90 is stable, and our credit cost is on the guidance. See, end of the day, it all comes down to credit cost, okay? So if a credit cost is in the line, our income is like 5.8%, credit cost of assets, I mean, credit costs is 1.36% of assets , it's a lot of money.

Moderator: Our next question comes from the line of Suraj Das from Sund aram Mutual Fund. Mr. Suraj, can you hear us?
Suraj Da

s: Sir, two, three questions. First question is on the operating income ex trading gains in MFI. That number seems to have dropped from INR1,500 crores last year 9 months versus INR650 crores this year 9 months. And also if I look at as a percentage of loans, this number seems to have dropped from 14% last year to 10% this year.

And even it is lower than the 9 month FY '24 also. However, as have highlighted and also as we are seeing the trends that our slippages are improving in MFI, so the interest reversals would be lower and then thus the operating income.
So why is the decline? I mean, are my numbers correct? Or there has been any reclassification or any sort of that thing? And if the numbers are correct, then probably can you give some rationale for this core operating income decline in MFI?
Sudhanshu Jain: Yes, I couldn't relate the full numbers, but let me tell you that this year has been impacted because of the MFI.
Suraj Das: Okay, so I'm calculating this is your Slide 41. If you look at on Slide 41, you have mentioned that ex MFI, the operating income has increased 15% Y -o-Y.
Sudhanshu Jain: Yes.
Suraj Das: So I think last year, December quarter, you had given some disclosures where the non -MFI portion, the operating income was INR17,805 crores . So this year, 15% increase would be somewhere around INR20,470 crores . And if I minus that from the overall operating income, INR21,134 crores , so hence I am getting the INR650 crores kind of a number.
Sudhanshu Jain: Got it. In fact, if you again see that number for Q3, ex MFI, that income has grown at 18%. Ex MFI, also, we had some impact because of the fast repo reductions, which happened this year, we see almost 100 bps reduction in the repo rates, which in terms of a cost of funds have translated with some lag.
So I would say some part of the impact is on that account, right? But things are normalizing, and that's why we also said earlier, that even both MFI and non -MFI, we expect the operating income trend to continue to improve from here on every quarter. So things are normalizing on this front as our cost of funds are also coming off.
Suraj Das: Okay. But you have not taken any rate cuts or any card rate changes on the MFI side?
Sudhanshu Jain: MFI, we lend at the market rates. So I'm seeing these are pretty standard rates prevailing for some of these products across players.
Suraj Das: Okay. So probably I'll connect offline on this for more understanding. The second question is, sir, on the retail liabilities, I mean if I look at the cost to assets on the retail liabilities, that seems to be very flat at a negative 0.8% for the last 3, 4 quarters. Do you believe there is still scope for cost improvement here? And then if yes, what are the drivers?
V. Vaidyanathan: This has come by scale. So if you notice, FY '24 it is minus 1.7%. FY '25 it is about minus 1.2%. Now , this year is running trending at minus 0.8%. So this is what we call as the investment that is going in the business.
Investment meaning that liability side is not yet productive because it's a new bank as compared to somebody which is a 25 - 30-year old bank. They are running a marginal costing bank. This is a very important note, okay? A bank which is there for 15, 20, 30 years, they are running a

bank on marginal costing. We are running the bank on full costing because it's a new bank, everything is a cost.
So that is what the -0.8% is there. I mean it should gradually come down. You should not expect miracles here. It should come down year -on-year from here on. And we think that building a bank takes 10 years at least , not just building a bank , but actually to fix a INR1 lakh crores funding problem , legacy plus build the growth of the bank.
It's already spent this time, ma

ybe by next 4, 5 years, this -0.8% should come down towards 0.
And that's when the full ROA, what I talked about, that 5.65% NII to assets minus credit costs 1.36%, giving 4.3% at a risk -adjusted NIM minus cost income ratio to pass to P&L that, that thing will fully start reflecting in the ROA of the bank when this becomes 0.
Suraj Das: Right, right. Sure, understood. And sir, last question on credit card. I think if you can highlight

what is the proportion of EMI revolver and transactor as of December quarter versus last quarter. Because I mean, I believe that the transactor portion has gone up because you have reported a Q-o-Q uptick in cost -to-income in credit card and also I think the loan growth has been lower than the spend growth. So if you can highlight I mean what is the portion of EMI revolver and transactor this quarter versus last quarter maybe or maybe Y -o-Y?

Sudhanshu Jain: So the revolver has been, I would say, quite steady. I'm saying we see a run rate of about 17% to 18% there, on revolver. EMI as a proportion has been increasing for us bit by bit, and that's about 35% to 36% and the rest is the transactor book. So these a re pretty standard trends which we are observing in last few quarters. .

Suraj Das: Okay, sure.

V. Vaidyanathan: In fact, at the progress meeting , I think I got one number, which is probably might be useful for you. Our revolver is about 16.5%, and our EMI is about 36% and our transactor is 47.5%.

Sudhanshu Jain: Yes. So those are broadly the numbers which I also sort of called out.

V. Vaidyanathan: Are we done? It's like , it's 1 hour 10 minutes in case any other serious questions. I mean if they are, we still need to answer, but I assume most of them are answered by now.

Moderator: Ladies and gentlemen, due to the interest of the time, that was the last question for today. I would like to hand the conference over to Mr. Vaidyanathan for closing comments. Thank you, and over to you, sir.

V. Vaidyanathan: No further comments to make. So thank you for being with us this late evening. And we're feeling the bank is on a strong ground now, we think that subsequent quarters, next 3, 4 quarters, they should all look up gradually but steadily I'd say more than gradually, it's steadily. And I think next, we are quite hopeful that the next 4, 5 years, now we are on a steady track. Frankly, it's been like 7 years, except the microfinance thing, which is an industry issue. We haven't put a foot wrong. We played our strategies right, deposits came, our book grew, our credit cost was in control, except this microfinance problem.

And we think that with the MFI behind us, things should stabilize again and rest are playing to plan. So no major call out. We are behind the cost -income ratio. But frankly, when we started the bank, we had no clue that this is going to be so complicated. But overall, we're on track. Thank you so much.

Sudhanshu Jain: Thank you, everyone, for patient hearing. Thank you.

Moderator: Thank you so much. On behalf of IDFC First Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

(no extractable text — likely a scanned image PDF)

Call: Jul 2026

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500
Registered Office: KRM Towers, 7th Floor, No.1, Harrington Road, Chetpet, Chennai - 600 031, Tamil Nadu. Tel: +91 44 4571 6477
CIN : L65110TN2014PLC097792 | E-mail : bank.info@idfcfirstbank.com | Website : www.idfcfirst.bank.in

IDFCFIRSTBANK/SD/ 104/202 6-27 July 31, 2026

National Stock Exchange of India Limited
Mumbai 400 051
NSE - Symbol: IDFCFIRSTB BSE Limited
Mumbai 400 001
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter ended June 30, 202 6

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended June 30, 202 6, conducted after the meeting of Board of Directors held on July 25, 2026, for your information and records.

The above information is also available on the Bank's website at the following link:

IDFC FIRST Bank - Transcript of the earnings call Q 1 FY 202 7

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
General Counsel and Company Secretary

"IDFC FIRST Bank L imited
Q1 FY27 Earnings Conference Call "
July 25, 202 6

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER –
MR. SAPTARSHI BAPARI – HEAD INVESTOR RELATIONS & ESG

IDFC First Bank Limited
July 25, 2026

Moderator: Ladies and gentlemen, good day and welcome to IDFC First Bank's Q1 FY27 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand th e conference over to Mr. Saptar shi Bapari, Head Investor Relations and ESG. Thank you and over to you, Mr. Bapari.

Saptar shi Bapari: Thanks, Renju. Thanks a lot. Hi everyone, good evening. Thanks for joining the call. We have with us Mr. V. Vaidyanathan, MD and CEO of our bank, and Sudhanshu Jain, our CFO. So, we'll start with a brief financial update with Sudhanshu and then we can have some word s from Vaidya and then we can open the forum for Q&A. Okay? So, I'll hand over to Sudhanshu.

Sudhanshu Jain: Yes, thanks Saptarshi. Good evening everyone. First of all , thank you for participating on a Saturday evening. I will start with, in terms of sequence, I'll start with maybe the business side and then eventually cover the profitability segment. I would say that the business momentum was quite strong during the qu arter.

In fact, our customer business, which is your deposits plus your funded assets, that has crossed INR6 lakh crores during the quarter and we saw a Y-o-Y increase of almost about 20% both put together. Individually, if I now talk about loan book, there also we registered a strong growth of 20.6% on a Y-o-Y basis and that book has now crossed INR3 lakh crores to reach about INR3.05 lakh crores.

This incremental growth on the loan side was primarily driven by mortgage, vehicle, corporate loans, and consumer loans. We have given a fairly detailed breakup on slide 29 of the presentation. If I talk of the retail segment, retail, agri , and the MSME book, that was at INR2.4 lakh crores and the wholesale book was at IN R64,000 crores at June quarter.

The retail, agri, and MSME book grew by about 18% on a Y-o-Y basis and in wholesale, we continue to power up and there the growth was even stronger at 30%. Just another data point, the MFI book was at INR6,700 crores at June -26 end. We saw a marginal increase as against the previous quarter. Also, another point which I want to put out is that 93% of the book is now covered in MFI through the CGF MU coverage.

With respect to credit cards, the cards in force have now reached 4.8 million during the quarter. The book grew by about 19% on a Y-o-Y basis and was about INR9,600 crores. The spends on the credit card grew at a healthy pace of 22% on a Y-o-Y basis. Moving on to the wealth management business, there the AUM has now reached almost about INR64,000 crores and it grew at 24% on a Y-o-Y basis.

In the same breath, if I now talk of the asset quality, then again on the asset quality, we saw an improving trajectory both across GNPA, NNPA, SMA, and some of those ratios. Just to put out some numbers, the gross NPA ratio of the bank, further improved by 10 basis points from 1.61% reported in Q4 to 1.51%. Similarly, on net NPA, we saw an improvement of 4 basis points to 0.44% for the quarter.

If I now give further details around the retail, rural, and MSME segment, there also sequentially the gross NPA improved by 7 basis points to 1.4 0% and similarly net NPA improved by 4 basis points to 0.52%. Moving on, on gross slippages, happy to report that here we saw a 2% reduction on a Q -o-Q basis and on net slippages, we saw an improvement of about 4% .

Gross slippages, if we have to compare on a Y-o-Y basis, then it's almost down by 30% and net slippages was lower by about 44% on a Y-o-Y basis. We know that last year initial quarte

rs we
also had higher slippages coming from MFI, but even if we exclude MFI slippage for both the corresponding quarters, the decline in gross and net slippage was 14% and 28% respectively.

In terms of translation to the overall slippage ratio, that further improved to 2.49% in the current quarter as compared to 2.68% which we saw in the previous quarter. The collection efficiency of the bank continues to be quite stable now for many quarters ; it was at 99.5% for the current quarter. Moving on to SMA 1 and 2 numbers, there we conti nued to see an improving trend. The SMA was at 0.77% in Q1 FY27 from 0.78% which we saw in the previous quarter and 1.01% in Q1 of last year. We have given a fairly detailed breakup across segments in terms of how SMA and NPA numbers have fared for us. Similarly in microfinance, I would say things have largely got restored on the asset quality front; here the SMA 1 and 2 normalized to now only 0.71%.

If I now talk of deposits, then happy to report again that customer deposits now is just shy of INR3 lakh crores. It grew by about 16.6% on a Y-o-Y basis and 5.3% on a Q -o-Q basis. If I see total deposits, which is customer deposits plus certificate of deposit, then the growth was about 17.7% on a Y-o-Y basis and 5.9% on a Q -o-Q basis. Within customer deposits, CASA deposit s

I would say grew the fastest.
So, CASA ratio for the quarter as a result improved by 1% to 50.8% and average CASA ratio stood above the 50% mark at 50.1%. The CASA deposits have now touched INR1.58 lakh crores. So, I would say the another milestone crossed during the quarter was CASA g oing beyond INR1,50,000 crores.
Moving on to now the profitability section, happy to report that we have crossed profit of INR1,000 crores for the first time and the profit for the quarter stands at INR1,075 crores, which is an improvement of about 132% on a Y-o-Y basis. During the quarter, all operating metrics continued to demonstrate an improving growth trajectory. For example, NII grew by 21.1% on a Y-o-Y basis.
This in fact improved from 15.7% which we saw as a Y-o-Y increase in the previous quarter.
As a result, the net interest margin on an AUM improved by 3 basis points to 5.96% from 5.93% in the previous quarter. However, let me point out that the last quarter had a benefit of day count convention of about 8 basis points and in this quarter, we had some benefit on account of interest on income tax refund, which contributed to 6 basis points.
If I exclude these two line items from the individual quarters, then the NIM has shown an improvement of 5 basis points and the adjusted numbers would look like 5.85% going up to 5.90%. This improvement was largely contributed by reduction in cost of fund, which further came down from 6% to 5.96%. Moving on to the fee and other income, here also we saw strong

growth. I would say backed by disbursements, which almost increased by 25% plus on a Y-o-Y basis in Q1.
And as a result, the overall fee income increased by 22.9% on a Y-o-Y basis compared to 21.3% Y-o-Y which we saw in Q4. The other streams of fee income, which is your trade and FX, which is your commercial banking and all these related fees also continue to contribute strongly to the fee growth. As a result of the increase in the NII and the fee, the to tal income for Q1 on a Y-o-Y basis was 21.5% higher versus about 17.1% what we had reported for the previous quarter.
During the quarter, we had a good run on the treasury front , of course that was helped by softening of the G -Sec yields to some extent and hence we were able to get a treasury gain of about INR181 crores in Q1. Moving on to opex, the opex for the quarter stood at INR5,729 crores. This grew by 16.4% on a Y-o-Y basis and the sequential increase in opex, if we exclude the impact of the one -off fraud in cident in Q4, then it was 2.3%.
This incr

ease of 2.3% on a sequential basis corresponds to an increase in core income by about 4.6% on a sequential basis. As a result, the cost to income ratio excluding trading gains improved by 166 basis points on a sequential basis to 70.7% and by 310 basis points on a Y-o-Y basis. We have also mentioned in the presentation that the jaw, which is the operating jaw between the total income and opex for Q1 now almost stands at about 500 basis points, which to some extent has also translated into improvement in the cost to income ratio.
As a result of all of this, the operating profit of the quarter excluding trading gains has increased by 36% on a Y -o-Y basis and even sequentially, again here I would exclude the impact of the fraud incident, the improvement was 10.9% on a sequential basis. So, for last two quarters in a row now we are getting an operating profit increase of upwards of 30%.
Moving on to provisions, this reduced by 31.1% from INR1,659 crores to INR1,144 crores. On Q-o-Q basis, if you see it has remained at the same level . Last quarter the actual credit cost was about INR1,143 crores. During the quarter, we had received a claim of INR514.8 crores under the CGFMU scheme against MFI portfolio. Here I would just want to put a data point that we believe that we applied in this quarter and we got it in this quarter, which was quite fast in that sense.
Another point to call with respect to provisions is that we have created a contingency provision of INR515 crores. This is purely I would say voluntary and on a prudent basis considering the evolving macroeconomic and the geopolitical uncertainties and the monsoon related factor.
I would again reiterate that the bank's current asset quality performance remains quite healthy across key retail, rural, and MSME portfolios with delinquency indicators largely stable or improving and hence this provision is purely I would say a forward -looking and more prudent in that sense. In terms of credit cost percentage for the quarter, that further improved from 1.60% to 1.53% during the quarter.
Moving on to the last section, which is capital adequacy and liquidity . The capital adequacy ratio stood at 15.05% at June with CET1 ratio of 13.33%. We had an impact of about 30 basis points on account of ops risk RWA reset which typically happens in Q1 on the CET1 ratio.

On liquidity, I would say we continue to maintain LCR at stable levels , in fact average LCR ratio for the quarter was about 116% and this broadly around our guided range as we have indicated in the earlier call.
With this, I have tried to cover the key numbers; maybe I'll hand over now to Vaidya for his opening remarks.
V. Vaidyanathan: Good evening everybody. Sudhanshu has covered the numbers, so I'll skip the comments on that. The thing is that beyond the numbers what the bank is really building is or what we're trying to build is a really high -quality customer -first bank.
And this goes core to the culture of the bank because when we say customer -first bank, then it's just not a slogan , every policy of the bank, every product of the bank, every way our employees interact with customers, how they give the customers benefit of doubt in the event of a complication or an error of opinion or a difference of opinion, everything has to reflect that.
For example, we hate to put asterisks in our advertisements because we know asterisks, people don't see that and they just jump into the advertisement and they start consuming the product.
This happens. For example, even after four or five or seven years of talking about that, even now sometimes when I go to and meet any of our employees or see some responses from our employees to some customers, I find it may not be c ustomer -first.
And they'll have disputed the customer for some small amounts and negotiated unnecessarily.
So, I do find such things, but

it's a long process but every product we put, we try to bring that
in. We try to see that we don't write fees and charges in such ways as complic ated languages that customers don't understand. We don't charge fees just because the customer doesn't notice , just because you don't notice I can't bill you.
So, we do, you know, if somebody is selling a mutual fund, we don't just pick a mutual fund that gives us highest commission and sell it to customer . We go and do a deep analysis using AI and find such mutual funds which will give maximum return to the customer. Whether we get 0.7 % or 0.8 % or 0.9 %, 1%, these are all round off numbers, we don't really look and try to maximize that front.
So, this is what I mean by saying that we're trying to really build that and that's one big part the bank is building. It will show in due course; to an extent it is showing, I think that's it's reflecting in the numbers somewhere. But it will also show in due course. I can't surely tell that every part of this is helping the bank in terms of P&L , it costs money to build a bank like this, but this is a great long -term franchise.
Second thing , I'd say that there is governance. I can tell you that even during the most difficult times when we were starting the bank up six or seven years ago when we were posting loss for three or four quarters in a row for those bad loans, we did not have any PPOP at all. In fact, our PPOP was like 0.5 %, 0.6%. The credit cost used to be 1%, so really that left us with no profit on the core.
Even then, we didn't find solutions around our situations. We went through that boldly and dealt straight. So, governance, you will not find us lacking. If something inadvertent happens, I don't

know, but no one that I know of in our bank, in our Board, among our colleagues, among senior management, anyone would ever talk anything or even suggest something that can go bad on governance. So, you should rest assured.
That means seven years and many of you who know me for 25 -30 years would know that we have lived that life like that and will not go. And that should definitely, in good days and bad days, should give you comfort that this bank will deal straight and deal right. The third thing then comes down to technology. I can tell you that tech is a big thing and our bank now for many, many years have been making the right moves on technology.
It's not really the cost. People think tech has cost money. It's not about costing money. It is about building the right architecture, having the right quality of people, and building a stack inside out, customer data platforms, KYC platforms, digital onboarding, payment infrastructure, communications and risk and decisioning engines, API, data streaming, machine learning, artificial intelligence, the whole stack, and UI, UX, and everything.
We really try to, let me say, even customer intelligence, every customer data platform, everything is like, we really put an effort in building that. And customers are using the bank services now, whether using our app, using a call cente r, I'm quite sure they would have seen the experience.
In fact, when I often go to conferences if I have to speak on a panel etc etera , I often ask people

to put up the hands how many of them are customers of the bank and you'll be surprised , I do find quite a few people. So, the point is that we're trying our best to stay in the cutting edge of technology and governance and customer service I told you.
The last thing is finally this has to , of course , translate to numbers end of the day because from the market point of view you track numbers and you should. But my sense is that whatever numbers we'll post, we believe it's coming strong from the core and when it comes strong from the core it is more sus tainable. And on that front let me just say that, for the

last many years
we've been under the pump on the issue of cost to income ratio. I don't deny.
In fact, in the first round I got it wrong because we thought we'll fix it in five years; it's been seven years, we're still dealing with it. But then I just realized that the issue was some amount of income got wiped out because we wrote off a lot of bad loans . And along with that income also went away permanently.
Some amount of cost issues also came from the fact that we were really building, while we may have got the cost income issue wrong which I don't deny I told you I admit. But then there were so many things we got right also, beyond the normal. For example, we said we'll be INR1 lakh crore s of retail loans at the end of five years or five to six years; we were sitting at like INR1.7 lakh crores , INR1.8 lakh crore s at that period. Today we are INR2.5 lakh crores.
So, like that's like INR70,000 crores , INR80,000 crores more than what we talked about. We talked of CASA of 30%; now we're talking CASA 50%. It was not planned. So, there are many things that , NRI deposits , now we're talking about INR25,000 crores of NRI deposits in the bank. So, we didn't factor for , maybe for so many loans that came this way or that way, we didn't.

So, if we didn't factor for certain bad loans, fine, it's our mistake, I don't deny. But the fact is that starting up a bank there are just so many expenses on compliance, on setting up the ticketing systems, the CRM systems, it's just an expensive proposition . And I must thank you that while in the phase of building the bank, let me say , that the market has given us capital.
We have again our book value per share has gone up from some INR31 or INR32 to maybe INR56 or INR57 now, Sudhanshu? INR56 now. And I agree that all of it has not come from raising internal profits , a lot of it has come by raising capital at a premium.
But even though our return on equity used to be relatively low those days, 5 or 6% on average, but the investors have given us capital at about 1.5% price to book or 1.6% price to book, which has helped us build the networth .
So I don't deny these things, but they've all helped us in good measure, but end of the day net worth is net worth, capital is capital, and book value per share is book value per share. We have it now. Now our job is to grow return on equity. I mean, we strengthened the bank for capital raise, I agree. But now it's our job to, you know, now that we got adequate scale, we believe that the cost-income ratio will get fixed, definitely.
Actually, if you see our cost -income ratio over the last two or three years, initially it came down from 95.1% it was on Q2 FY19, it came down to 85% upon merger because capital first came with 48% and it came down to, blend -blend came to 85%. From 85 %, it moved down to 72 %, right up to 72.8 %. But in FY25, in FY26, two years in a row, it got stuck at 72.5 % or 73.5 %.
So many people started worrying that, look, maybe they are just stuck and maybe there's no scope for improvement anymore. I think that is not right. It got stuck because even during those days, the FY25 and FY26 productivity gains were coming. But the income was coming down because of the microfinance book, we shrunk it and income went away.
After all, what is cost -income? It is cost divided by income. So income got stuck. I mean, it got stuck when it got reduced because the microfinance book, we reduced it. So let me say, that is a mathematical thing. But there were productivity gains coming at that time, it kind of got obscured.
But now that the microfinance issue is built in the base case, now we start seeing improvement in cost -income ratio quarter -on-quarter . Sorry, let me say, year -on-year, quarter -on-quarter, I can't say for sure, sometimes moving parts happen here or there .
But let me say, year -

on-year, you should expect to see and that phase, that for two or three years,
we got stuck We believe it will start materially moving down year -on-year now because it's all in the base case now.
So, just moving on from the tech thing and from there, I talked about economics. So on the economics front, the last thing people often say is that, listen, even well -meaning investors, long - term people who think long, they used to often say that, look, we like your model, everything is good . But still, end of the day, until you're posting 1% ROA, really we can't look at you, that's

the base case.

Let me just tell you that, when we do our math, we drop a spreadsheet . We know the income we're making, we know cost of funds, we know the margin, and we stretch this spreadsheet into the future . Let me just tell you that this is not going to stop at 1% ROA. Even this time, the ROA 1% that we mentioned, there is got some kind of one, let me say, some amount of income tax, some interest income into it.
Sudhanshu Jain : The treasury gain.
V. Vaidyanathan: Treasury gain , treasury gain . Yes, treasury gain is also there and some benefit here and there. But if you adjust for it, maybe it will come down to about 90 basis points, not 106 as it is looking. But still 90, it's like touch and go.
I remember in a couple of interviews, even with CNBC, during the depth of the crisis, I took an interview, just to assure people that things are well. And that is an interview with Lata Venkatesh, and I was telling her, we'll be in kissing distance of 1% by end of the year. I'm just happy to share with you that we are not taking end of the year, we are already touching kissing distance, we are touching like 0.9 %, it's real, real.
And we think that it will move up from here or definitely stabili ze from here, probably go up from here. And at least by this year, in fact, not just by the year ending, but hopefully for the year itself, we should be able to post 1% is our belief as far as our eyes can see. So that's a bit of an upgrade. And that's coming in our mind , because credit costs is better than expected.
So all I can say is that all of you have been very supportive for us, we are very sincerely thankful to you. We want to thank all our employees who have worked very, very hard in bringing up this bank from the beginning. And every one of the shareholders who supported us with capital, I can assure you that things are looking up.
And for those who have not yet, who think that probably this is a one quarter thing, I'm pretty sure you wait for one more quarter, one more quarter, you will get a confidence back. So thank you for that.
Saptarshi Bapari : Renju , we can open the forum for the Q&A session now.
Moderator: Yes, sir. Thank you. We will now begin the question -and-answer session. T he first question comes from the line of Akshay Jain with Autonomous LLP. Please go ahead.
Akshay Jain : Thank you, sir. Thank you for the opportunity and congratulations on a good quarter. My first question is on margins. So like , if I look at cost of funds, that is still improving with additional tailwinds from SA rate cuts if and when it comes. So that leaves us with the asset mix shift. So is asset mix shift is expected to be so severe that your clean margins of 5.9% this quarter will turn into 5.7 5% for full year. So that's my first question.
Sudhanshu Jain : Yes, thanks Akshay for the question. Yes, maybe I should respond to this or should you want to continue with all your other set of questions?
Akshay Jain : Anything is fine, sir. Like, maybe you can respond to...

Sudhanshu Jain : So maybe I will respond to the margin question first. So yes, I do agree in the previous earnings call, we had guided for a 5.75% margin, and we have

come at 5.9% if we adjust for income tax refund. But now for the year, our expectation is that we could hit margin closer to 5.8%. So in that sense, we now feel that margin could improve from 5.75% to 5.8%.
If we see for this quarter, as I said, the margin was 5.9%, we still got some benefits because we ran a lower investment book. So from here on, into the year, we see the margins could still slightly get impacted because of the asset mix change, which we have articulated in the previous call as well, because we have been growing some segments of business, which could be NIM dilutive, but still make sense in the ROA sense, but still it could be a margin impacting factor.
Second, we feel the cost of funds could stabilize , could stay very range bound around the 6% mark. So that's the second factor and some normalization of the investment book, which may happen during the course of the year. So, we feel that margins could broadly stay around the 5.8% handle now for the full year.
Akshay Jain : Okay, sir. And any sensitivity have you done for how your margins will move in case of rate hikes? Any numbers you have done?
Sudhanshu Jain : So, I have not factored in any rate hike when we are giving these projections, we'll see as it comes by.
Akshay Jain : Okay. The second question is on credit cost. So, again, for 1Q, your credit costs have been

around 153 basis points and 1Q is typically the weakest quarter for the year. And if you are beating your guidance of 180 basis points, 190 basis points in 1Q itself. So, is there any scope for bringing down the credit cost guidance? And number two is on the prudential provisions. So, are you seeing any signs, early warning indicators turning negative because of the Middle East war or weaker monsoon?

Sudhanshu Jain : So, on the credit cost, yes, to our surprise, Q1 has fared quite well. In fact, we spoke in the previous quarter, Q4 typically ends to be the much better quarter. Collection momentum is quite strong there. But from an asset quality front, we have seen all of this sort of flowing into Q1 as well.

And we have said that all the asset indicators which we have put on the presentation, SMA, GNPA, NNPA, all sort of product -wise is t rending well. We have of course created a contingency provision which I would say is more on a prudent basis. We all know the uncertainties which we are currently dealing with in terms of the geopolitical factors which would play out.

Monsoon, of course, rains have been improving, but still we felt that it would be prudent on our part to take into account some of these risks which could emerge over the later part of the year. So, I would say it's purely a prudent provision. Taking all of this into account, I would say, of course, as I said, there could be still some bit of uncertainty here and there.

But on the credit cost guidance also , while we said 170 to 180 basis points in the previous earnings call, we feel now we could land up more with 150 to 160 basis points on credit cost.

So, that is coming on the back of a much improved Q1 and how we see at least the current quarter and some of these things could play out.

Akshay Jain: Thank you, sir. And on ECL, any numbers on one -time transition and steady -state credit cost?

Sudhanshu Jain: So, on this again, I think we have discussed this question also quite a number of times in the previous calls, but the position continues to be the same. Of course, the final guidelines have come in, we are fine -tuning some of the numbers. But our preliminary sense is that from a capital point of view on transition, there will be two i mpacts.

Of course, we will be required to keep more capital aside for ECL, but there would be also benefits which would come from a reduced RWA application both on credit risk and operational risk. So, in a combination of

both, we feel that the impact on capital could be quite neutral at the time of transition. So, that is our current sense as far as ECL is concerned.

Akshay Jain: Understood, sir. And last question if I may, on FCNR (B). So, if you can share some targets or, you know, what is the current mobilization and how are FCNR costs compared to normal TD costs?

Sudhanshu Jain: So, FCNR we also feel this is a very good opportunity and we want to capitalize to the extent possible. Like if you would have noted, we have given our NRI deposit book, right, which is about INR25,000 crores. If you go and check, the system is about INR1.65 trillion, which means that ou r share is about 1.7% currently in the NRI deposit market.

Of course, this is a book which we have started growing more so in last two to three years and growing at a much healthy space. With respect to FCNR, we feel that through a combination of leverage and the SBLC structure, we are hopeful of garnering a share of about 2.5% or so. So, that is how we are looking at it. You would have noted that on FCNR deposits, we have announced a rate of 6.75%, which is quite competitive and we feel that is a very good opportunity which we wa nt to capitalize.

Akshay Jain: Understood, sir. Thank you. Those are my questions.

Sudhanshu Jain: Thank you.

Moderator: Thank you. The next question comes from the line of Param Subramanian with Investec. Please go ahead.

Param Subramanian: Hi, good evening. Thanks for taking my question and congrats on the quarter. It's really a strong bounce back from the issues we had in February, so and it's happened so quickly. So, congrats to the entire team on that. My first question is on the opex. So , our guidance is 13 % to 14% for the full year. I understand business is coming back strongly. So, are we still sticking to that sort of guidance, 13 % to 14% opex growth through the year?

Sudhanshu Jain: Param, thanks for the question. So, I would want to state here that the business momentum continues to be very strong as we see now. Of course, we are cautious of the macro factors which could play out. And our endeavor would be to maintain that opex leverage, right, which is that 500 basis points delta which we were able to achieve in Q1.

So, it all depends on the business momentum what we see from here, but we're quite hopeful of maintaining this jaw even into the rest of the quarters. That's how we are seeing it. So, there could be , I would say a change in both the income side as well as the opex side, but we would want to still maintain this 500 basis points at the minimum.
Param Subramanian: Okay, fair enough, Sudhanshu. Okay. So, the main drivers of our say ROA improved guidance is the 20 basis point upgrade you gave on credit cost guidance and on NIM you said 5 basis point higher. So, those are the main positive deltas you're talking about.
Sudhanshu Jain: Yes, broadly.
Param Subramanian: Okay, okay. And going into FY28, I know it's very early days, but and Vaidya sir mentioned, you know, 1% is not where we stop. So, how to think about say how the, you know, ROA trajectory progresses going into next year?
V. Vaidyanathan: Should increase naturally, no? Should increase naturally because next year will be more see this thing what Sudhanshu pointed out, see if you remember we had talked about 13 % to 14% increase in opex with a 18 % to 18.5% increase in income. Right, Param?
Param Subramanian: Yes, yes.
V. Vaidyanathan: Yes, that's it. If you see our transcript of the last call also, you'll see that. So, now if this 18 .5 is not 18 .5 it's 20 or 20.5%, you know, correspondingly you could have some increase in opex also because see the market opportunities are growing and we don't want to be missing out on them, you know, and just stick to one line item.
The point is that this 450 to 500 basis point difference jaw o

pening. If you cut -paste it into next year also, which we believe it will happen in next year meaning FY28 also, then straightaway it is a cost -income reduction of about 350 basis points straight, just from these numbers. So, and that when you do the maths of it, you'll find it's quite meaningful to the P&L.
Param Subramanian: Sir, one last question if I may, the fraud incident, are we beginning to see any recoveries from that and if so, you know, going ahead where will we be booking that in the P&L if and when it happens?
Sudhanshu Jain: Param, there continues to be I would say progress on this front. If you go by the public news and so on, a few more arrests have been made, ED has been actively looking into the case, they've filed a charge sheet and so on, indicated some amount which coul d be a potential recovery. But all of this takes a long time, right?
So, I'm saying there is a proper process which needs to be followed like for example going to the PMLA court, filing our claim, then these claims will be assessed for whether it's due to us in the right sense and so on. I mean, lot of work will have to be done. This is a totally I would say a legal process, court process.
Difficult to sort of put out a timeline for this, but at least we are seeing movement on the ground, right? So, it will be difficult for us to sort of commit to a timeline in terms of what recovery could finally emerge from here, but we continue to be quit e engaged on this front.

Param Subramanian: Fair enough, Sudhanshu. Yes, very clear. Is there anything at all in the P&L in this quarter as a recovery of anything?
Sudhanshu Jain: No, nothing as of now.
Param Subramanian: Okay, perfectly clear. Thank you so much and congrats once again on the quarter to the entire team.
Moderator: The next question comes from the line of Ankit Bihani with Nomura. Please go ahead.
Ankit Bihani: Yes, hi, good evening, everyone and congrats on the quarter. So, most of my questions have been answered, so I have a question on our tech investment priorities over the next two to three years. So, basically how is the bank leveraging AI and GenAI capabiliti es across functions and how do you see technology investments increasing from here?
If we look at IT expense as a percentage of overall opex , it has come down a bit from 11% odd to 9% odd now. Even the large banks are operating, you know, at these levels. Could you please elaborate on this? Thank you.
V. Vaidyanathan: It's not actually like I said before, you know, it's not about how much you invest; it's about where you invest them. So, I agree we are like 9% there. The thing is that we've built a really good architecture and a good stack and modern stack and cloud and API -first integration and cloud - native principles and event -driven platforms and microservices architecture and we're hollowing out the core as much as possible.
We have real -time data streaming, you know, it's all being built. I can only tell you that, you know, for example, what people can't see, I think, generally speaking, is that people can see ROA, ROE, they can measure us today, but they don't know the quality that's been built what

your eyes can't see, that's, you know, that's below the ground.
On that front, I am giving making my comment to you that it is truly really fantastic modern architecture is coming about in the bank. So in terms of this , it is a big enabler of many of our businesses that we're doing, many of the services we're providing to our customers and naturally there's a payback in terms of revenue and robustness with which the bank will be able to grow. Which means that, you know, I don't think this bank will stop, you know, will even say three years or four years from now even we're INR6 lakh crores so to say in deposits, INR5 lakh crores in loans, you know, we can continue

to grow on this platform. Once platform is strong,
foundation is strong, you can grow 20% or more. Who knows? I mean, of course we'll put out our numbers at that point of time, but as far as I can see the platform strong means the bank can grow for a long time.
Ankit Bihani: Okay, sure. And just on the FCNR front, did we highlight we'll be able to capture we'll potentially capture 2.5% of the overall market share, right?
Sudhanshu Jain: Yes, so on the FCNR, I know there are different numbers which are sort of float ing around, but assuming say a $60 billion, $70 billion come in, we are hopeful of getting about 2.5% of that pool.

Ankit Bihani: Okay, and till now if you would like to, you know, give out any number how much we have mobilized?
Sudhanshu Jain: It has just started, I'm saying gaining steam. So, yes, so maybe we can give an update next time.
Ankit Bihani: Okay, great. Yes, congrats on the quarter again.
Sudhanshu Jain: Thanks.
V. Vaidyanathan: Thank y ou. Thank you.
Moderator: The next que stion comes from the line of Jai Mund hra with ICICI Securities. Please go ahead.
Jai Mundhra: Yes, hi, good evening and congratulations on a strong quarter, sir. Sir, first question on MFI slippages, right? So, I believe I mean we've not given separately, but if you can quantify how much was the MFI slippages and how much was the MFI disbursement in this quarter?
Sudhanshu Jain: MFI slippages was quite low in this quarter and same was actually the case in the previous quarter as well. And hence as I said all the SMA or all these numbers are indicating that sort of back to normalcy when collection efficiency continues to be around that 99.5% which we are seeing in the overall portfolio as well. So, so that's on MFI. Sorry, Jai , what was the second question?
Jai Mundhra: The disbursement, MFI disbursement.
Sudhanshu Jain: So, disbursement if you see if I sort of see the numbers from last year Q1, then then we have seen almost doubling of disbursement as far as MFI is concerned. So, we are hopeful while the book has not grown that very much in last one or two quarters, at leas t the decline has been arrested.
But through the course of the year, we feel that now since disbursements are picking up and we're hopeful of a quarter -on-quarter increase here, we feel that we could end up or target a book increase of 15% on a Y -o-Y basis.
Jai Mundhra: Sure, this is helpful. Secondly, Sudhanshu, I see that 6 basis points of IT refund, this would translate to roughly around 60 crores. Where do you book it? Because does it go to income interest on advances or does it come on interest on balance with RBI and others? Sorry.
Sudhanshu Jain: It would be the other line item; it certainly doesn't come in advances, but it and it would be the NII line item.
Jai Mundhra: Okay, okay. Sure, because the other is only INR76 crores or something, right, within which there is INR60 crores of IT refund.
Sudhanshu Jain: Yes, number is slightly lower than, but round about that number.
Jai Mundhra: Okay, sure. Sure. Secondly on, you know, customer deposit or CASA, right? So, if I can get the number separately for CA and separately for SA, the reason I'm trying to I mean overall deposits have bounced back and within which CASA has also rebounded by li ke 7%, 8% Q -o-Q. But if

you can qualify if you can give more colo ur as to, how we have got the traction in SA especially maybe granular and maybe the high -ticket SA post that incident.
Just wanted to trying to understand, we have done reasonably well ahead of your guidance of 5% Q -o-Q deposit growth, but within which if you can, sort of highlight the granularity and maybe the high -ticket this thing.

Sudhanshu Jain: No, so both have been growing quite well. Like if you see the average CA

deposits, that has
grown by about 30% on a Y -o-Y basis and SA has grown about 25% or so. Of course, SA is the major component in the CASA, right? And the CASA deposits itself has grown about 8% on a sequential basis. So, you can assume that bulk of the growth has come in SA, which has given this kind o f a lift.
Jai Mundhra: Correct. And safe to say that it would have been broadly similar to granular and maybe high - ticket, right? The entire episode is now clearly past this, right? And you have had increase in balance in both th ese buckets?
Sudhanshu Jain: Yes, our deposits on the SA front also quite granular in that sense. So, it's granular deposits which have sort of come in even during the current quarter.
Jai Mundhra: Right. Sure. And last question, sir, just on this ROA. So, just to reconfirm, we are now saying that, you know, what we were earlier saying we have now accelerated that full year we should be able to achieve around 1% ROA, right? That is the correct , if I hear it correctly?
Sudhanshu Jain: Yes, that's what we're gunning for.
Jai Mundhra: Right, right. And the reason why it is higher because of , experience in credit cost, which is much lower and ideally it should stay that way, and then the NIM should incrementally be also be stable, right? These are and the opex thing anyway continues. So, this is the right understanding, right?
V. Vaidyanathan: That's right, that's right. Mainly is the credit cost because on the NII front, you know, I know all of you as analysts track that like closely by the basis points. But, you know, it's roughly we'll be in zone. Roughly we'll be in zone.
Jai Mundhra: Yes. Thank you and all the very best, sir.
V. Vaidyanathan: Thank you.
Moderator: The next question comes from the line of Jayant Kharote with Axis Capital. Please go ahead.
Jayant Kharote: Thank you for the opportunity and congrats on a great set of results. First question, sir, is on ECL. Maybe I missed this, so sorry about this. Have you quantified the impact of steady -state credit cost after the ECL transition?
Sudhanshu Jain: So, thanks Jayant for the question. So, of course, to the previous participant we did talk about the impact which could come on transition as far as ECL impact is concerned, where we said we would require to maintain more amount for ECL, but at the same ti me we may get some RWA

benefits through the operational risk RWA reduction and credit risk and hence the in combination of both of this, the impact on capital on trans ition could be broadly neutral.
With respect to the run rate impact, there would definitely be some more requirement for provision, but at the same time we could get benefit because of the EIR implementation because both the sourcing opex a nd the processing fees will be amortized when the ECL is implemented.
So, we feel net of these two, which is your slightly higher provision requirement minus the EIR benefits which could come in, the impact could be quite manageable. Since the guidelines have come in, we are just we are still fine -tuning the numbers. I don't want to put out a specific number here currently, but this is the broad sense.
Jayant Kharote: So, you don't think the ROA expansion journey should be sort of prolonged because of this transition?
Sudhanshu Jain: Yes, not as such.
Jayant Kharote: Great. And finally, sorry to harp on the margin question again. Given that our corporate book is growing very healthily and again at this size it makes sense, it's also bringing a lot of discipline to the credit cost ban d. But then again looking out next two, three years, how does this play into our NIMs and our ROA ambitions?
V. Vaidyanathan: Actually the NIM of the corporate banking is a little lower than retail. So, the more we book corporate, it will have its share of impact on the on the overall NIM. That's why, you know,

Sudhanshu said that as a bank it'll have some impact. But really you should see it in totality the asset quality of the franchise and the credit cost should come down over the years when you wake up in FY28 or FY29 or FY30 or FY31.
Frankly we don't put it like a guidance but we don’t think of a bank as wanting to be running a t 1.5% credit cost at that point of time. That's not our vision statement because becoming a larger and larger bank, we cannot be sitting at 2% credit cost even if it's very attractive a nd NIM attractive and all that.
So, we are planning to move in a direction where the bank's ROA, again don't take it like a guidance like for a specific date or something, but we think that our bank is structurally built for a ROA of more like 1.7 %, 1.8% as it builds out. So, yes, and that kind of a number can be

achieved even at a lower credit cost, even if we book more of corporate loans.
But I can tell you that it's been seven years now, there's, you know, there's been no mishap in the corporate loan. Seven years is a long time to prove out our governance and our underwriting capabilities and the amount of diligence we do on corporate loans and our ability to get the business and the kind of proposals. So, we're quite, you know, happy with that the way it's coming.
Jayant Kharote: Great, sir. That's very reassuring. And again congrats for a great set of quarter. Thanks.
V. Vaidyanathan: Thank you. Thank you very much.
Moderator: The next question comes from the line of Anand Dama with Nuvama . Please go ahead.

Anand Dama: Hey hi guys, congratulati ons for a great set of results.
Sudhanshu Jain: Hi Anand.
Anand Dama: Yes hi. One, is it possible for you to share like how has our institutional deposits moved past the episode that we had? Were there any more withdrawals from any other government or basically it is holding up well and it is growing? Some of that stuff we would lik e to know about that because that will give a better comfort.
V. Vaidyanathan: Yes, deposits coming very strong. Just I mean, frankly the way deposits came back into the bank, not just came back I'd say frankly we didn't lose deposits in the first place in any material way. I mean, frankly we had a flat quarter. We didn't lose money. And the way it's come back, come back very strong. So, let me just directly at my level let me assure you, there is absolutely no problem on deposits; in fact we are flying actually .
Sudhanshu Jain: Yes, institutional deposits are also quite stable.
Anand Dama: That's very comforting. Secondly.
V. Vaidyanathan: Though our intent, frankly in due course will be to continue to do more of the retail deposits than the institutional deposits. I mean, that's been a strategy anyway, it's not a new strategy as you know it's been like seven years of practice as a strategy. So, I mean in the sense that will be our intent. And we will get there.
I can tell you everyone hearing this call that money is coming thick and fast into IDFC, it's coming very strong and the relationship s are strong and the way customers responded to us for so much of bad news all over Twitter and YouTube and all over the place, even then money just stayed. It's like really, we're happy about the way customers believed us during the crisis. Of course, we came out in the open, we took our interviews, we spoke publicly about it and public thankfully supported us on that.
Anand Dama: Sure. Secondly, I think during the call you said margins around 5.8% or 5.9% I couldn't hear that clearly. Because this quarter if you look at a core margins are somewhere about 5.9% if we take out the interest on IT refund. So, it should remain stable aro und these levels or like where should it settle maybe by over next two, three quarters?
Sudhanshu Jain: Yes, so in margin as you rightly said if you strip out that interest on incom

e it was more around
5.9%. I also alluded to that we also continue to get some benefit from a lower investment book during the current quarter. Some of it could normalize as we sort of move into the ensu ing quarters. And we feel that margins which we had earlier guided for 5.75% for the full year now could more look like 5.8%.
So, this change I would say from say 5.9% adjusted for the investment book, the asset mix changes which continue to happen, we need to see how this FCNR plays out as far as the margin is concerned. So, all of this in combination we feel the margins could s till be around 5.8% for the year.
Anand Dama: Okay, which means that on a quarter -on-quarter basis there could be some contraction that we should see from 5.9%.

Sudhanshu Jain: Yes, yes.
Anand Dama: Okay. And then I think you talked about the operating jaw opening up. So, what kind of cost to income ratio should we look at in FY27 given that, you know, this quarter we have got some benefit on the other opex front, but I think that was sequentially primaril y because of the IPL expenses being not there, right, in this quarter?
Sudhanshu Jain : Which expenses would not be there?
Anand Dama: So, quarter -on-quarter if you look at the other opex actually has come down. Is it more to do with the business seasonality or were there some lumpy expenses in fourth quarter which were

not there in this quarter?
V. Vaidyanathan: No, in fourth quarter we had this incident of fraud, right, where we had taken it to the opex line item, right? If you take out that, then the opex increase about 2.3% sequentially. In terms of cost to income translation, even on a sequential basis C to I has improved by about 166 basis points and on a Y -o-Y that's more around 310 basis points. So, we feel that Q1 cost to income which has come at 70.7%, our endeavo ur would be to take into below 70 during the course of the year. So, that is what it could look like.
Anand Dama: Okay, okay. And then what kind of ROA that we're looking at for the full year in FY27? Should we get closer to 1%?
Sudhanshu Jain : That's what we sort of answered on the previous call, that we are gunning for reaching a n ROA of about 1% for the year.
V. Vaidyanathan : Looks like it for now, you know, last time of course like I said we used to say fourth quarter we used to say kissing distance but looks like full year will get there.
Anand Dama: That's great to hear. And any more CGFMU recovery should we expect during the year, any more claims that we have put out or this is for all?
Sudhanshu Jain : No, procedurally it comes only once in a year. So, for the year it's done actually . We could get some similarly into the next year.
Anand Dama: Next year we will get it, right? That's very helpful. Thanks a lot.
V. Vaidyanathan : Not of this amount.
Sudhanshu Jain : Yes, not of this amount, the amounts could be much smaller.
Anand Dama: Sure, sir.
Moderator: The next question comes from the line of Pritesh with DAM Capital Advisors. Please go ahead.
Pritesh: Hi sir, good evening and good set of numbers. Just two questions. One is on channel sourcing. You give the breakup of opex, we see it going down. So, what is the thought on that in the sense are we insourcing more, the outsourcing is slightly lower than wh at it was and that is also one of the elements of opex being getting do wn, right? So, anything on that?

Sudhanshu Jain: Channel sourcing expense is about 20 odd percent and it has been quite range -bound if you see the few quarters. Of course, it also depends on I would say the seasonality aspect of it. Q4 typically we see is a much stronger quarter in terms of disbursements and so on. However, Q1 has also remained quite strong.
To your question on capability, yes, we continue to work on these

capabilities of insourcing on product by product wherever it's applicable. So, we feel that th e benefit also bit by bit is translating somewhere into these ratios. So, but to great extent you can assume this would generally grow in line with the volume growth.
Pritesh: Sir, just a follow -up on that. I think, you know, a year some years back or, you know, a few quarters back we were mentioning that to generate a lot of loans we also incurred a lot of expenses in and around the customer. So, with AI do you see that the exp enses which were required for the customer origination and then of course a lot of customer rejection also happened, is that changed for us in terms of opex?
V. Vaidyanathan: See, there are two AIs, okay, so people just to clarify. One is the AI that was classical AI, which was happening even before the arrival of generative AI. And that is a big one. For example, all our consumer durables and two -wheelers and small ticket loan s and frankly loans that we give to kiranas and chemists and salons and we have developed scorecards for all of that and these are all machine learni ng models. And that is also AI.
So, that has been going on for like maybe seven or eight years for now. We started this journey of using scorecards like 15 years ago and it's been evolving and newer and newer technologies since then, but we've been using AI in that sense. So, in that way yes, of course it will continue to improve. The in terms of how much the generative AI is going to be used, everybody knows that every part of the bank, every part of every organization will get affected. So, we are also putting our efforts in that front.
But end of the day, you know, from your point of view as investors, the reason why it's not figured prominently in any of the notes etc etera , it's from your investors point of view, whatever we say in terms of AI it has to show in the numbers. So, we are focusing more on the outcomes in that sense. But at the bank level we're putting our efforts for that.
Pritesh: Right, right, right. So, last question from my side is on PSLC. The annual report is not out, but what would have be en done in terms of the agri PSL norms and how much PSLCs we would have bought in for last year and this quarter?
V. Vaidyanathan: Yes, we bought and we lost some money in the sense that it's st ill a negative drag for us. We'r e still not a bank which is originating its entire PSL on its own organically. As you know we started from a DFI and we've not yet not yet fully caught up with the requirement s. So, because

we started from like zero base on building a PSL franchise. So, we are still buying PSL, we are
short, and there is a negative like last year was Rs. 250 odd crore , Sudhanshu?
Sudhanshu Jain: Yes, so I'm saying even the rates had shot up in the market and .
V. Vaidyanathan: But overall last year we lost almost how much?

Sudhanshu Jain: Yes, about 250 odd.
V. Vaidyanathan: Last year we lost about Rs. 250 odd crore . Probably I mean, it depends on how the rates will be for this year, we'll take the numbers as it comes. But we're going to be short, we're going to buy, but our attempt is to start building more and more of this organically.
But we've made good headway. I mean, imagine we have 1 lakh crore s of PSL in the bank today, probably a little more , about close to 1 lakh crore s, 1.2 lakh crore s of PSL, okay, didn't exist a few years ago. So, we're making good headway, but we're still short. Net -net we are losing money on PSL purchase. Yes.
Pritesh: Sure, sure. Got it. Thank you, sir. All the best.
V. Vaidyanathan: Than k you.
Sudhanshu Jain: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Vaidyanathan for closing comments.
V. Vaidyanathan: Yes, thank you. Thank you very much. Thanks S

udhanshu and Sapta and everybody and to
everybody who took this call. So, we look forward to continuing our work like this and certainly after two or three quarters even those of you who are on the fence will g et confidence in us.
Thank you.
Sudhanshu Jain: Thank you everyone for joining.
Saptar shi Bapari: Thanks everyone for joining. Have a nice weekend. Thanks.
Moderator: Thank you. On behalf of IDFC First Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2026

IDFC FIRST Bank Limited
Corporate Office: IDFC FIRST Bank Tower, (The Square), C -61, G Block, Bandra -Kurla Complex, Bandra (East), Mumbai - 400 051. Tel: +91 22 7132 5500
Registered Office: KRM Towers, 7th Floor, No.1, Harrington Road, Chetpet, Chennai - 600 031, Tamil Nadu. Tel: +91 44 4571 6477
CIN : L65110TN2014PLC097792 | E-mail : bank.info@idfcfirstbank.com | Website : www.idfcfirst.bank.in

IDFCFIRSTBANK/SD/ 104/202 6-27 July 31, 2026

National Stock Exchange of India Limited
Mumbai 400 051
NSE - Symbol: IDFCFIRSTB BSE Limited
Mumbai 400 001
BSE - Scrip Code: 539437

Dear Sir / Madam,

Sub.: Transcript of Earnings Call for the quarter ended June 30, 202 6

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings call for the quarter ended June 30, 202 6, conducted after the meeting of Board of Directors held on July 25, 2026, for your information and records.

The above information is also available on the Bank's website at the following link:

IDFC FIRST Bank - Transcript of the earnings call Q 1 FY 202 7

Request you to take the above on record .

Thanking You,

Yours faithfully,
For IDFC FIRST Bank Limited

Satish Gaikwad
General Counsel and Company Secretary

"IDFC FIRST Bank L imited
Q1 FY27 Earnings Conference Call "
July 25, 202 6

MANAGEMENT : MR. V. VAIDYANATHAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. SUDHANSHU JAIN – CHIEF FINANCIAL OFFICER –
MR. SAPTARSHI BAPARI – HEAD INVESTOR
RELATIONS & ESG

IDFC First Bank Limited
July 25, 2026

Moderator: Ladies and gentlemen, good day and welcome to IDFC First Bank's Q1 FY27 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand th e conference over to Mr. Saptar shi Bapari, Head Investor Relations and ESG. Thank you and over to you, Mr. Bapari.
Saptar shi Bapari: Thanks, Renju. Thanks a lot. Hi everyone, good evening. Thanks for joining the call. We have with us Mr. V. Vaidyanathan, MD and CEO of our bank, and Sudhanshu Jain, our CFO. So, we'll start with a brief financial update with Sudhanshu and then we can have some word s from Vaidya and then we can open the forum for Q&A. Okay? So, I'll hand over to Sudhanshu.
Sudhanshu Jain: Yes, thanks Saptarshi. Good evening everyone. First of all , thank you for participating on a Saturday evening. I will start with, in terms of sequence, I'll start with maybe the business side and then eventually cover the profitability segment. I would say that the business momentum was quite strong during the qu arter.
In fact, our customer business, which is your deposits plus your funded assets, that has crossed INR6 lakh crores during the quarter and we saw a Y-o-Y increase of almost about 20% both put together. Individually, if I now talk about loan book, there also we registered a strong growth of 20.6% on a Y-o-Y basis and that book has now crossed INR3 lakh crores to reach about INR3.05 lakh crores.
This incremental growth on the loan side was primarily driven by mortgage, vehicle, corporate loans, and consumer loans. We have given a fairly detailed breakup on slide 29 of the presentation. If I talk of the retail segment, retail, agri , and the MSME book, that was at INR2.4 lakh crores and the wholesale book was at IN R64,000 crores at June quarter.
The retail, agri, and MSME book grew by about 18% on a Y-o-Y basis and in wholesale, we continue to power up and there the growth was even stronger at 30%. Just another data point, the MFI book was at INR6,700 crores at June -26 end. We saw a marginal increase as against the previous quarter. Also, another point which I want to put out is that 93% of the book is now covered in MFI through the CGF MU coverage.
With respect to credit cards, the cards in force have now reached 4.8 million during the quarter. The book grew by about 19% on a Y-o-Y basis and was about INR9,600 crores. The spends on the credit card grew at a healthy pace of 22% on a Y-o-Y basis. Moving on to the wealth management business, there the AUM has now reached almost about INR64,000 crores and it grew at 24% on a Y-o-Y basis.
In the same breath, if I now talk of the asset quality, then again on the asset quality, we saw an improving trajectory both across GNPA, NNPA, SMA, and some of those ratios. Just to put out some numbers, the gross NPA ratio of the bank, further improved by 10 basis points from 1.61% reported in Q4 to 1.51%. Similarly, on net NPA, we saw an improvement of 4 basis points to 0.44% for the quarter.

If I now give further details around the retail, rural, and MSME segment, there also sequentially the gross NPA improved by 7 basis points to 1.4 0% and similarly net NPA improved by 4 basis points to 0.52%. Moving on, on gross slippages, happy to report that here we saw a 2% reduction on a Q -o-Q basis and on net slippages, we saw an improvement of about 4% .
Gross slippages, if we have to compare on a Y-o-Y basis, then it's almost down by 30% and net slippages was lower by about 44% on a Y-o-Y basis. We know that last year initial quarte

rs we
also had higher slippages coming from MFI, but even if we exclude MFI slippage for both the corresponding quarters, the decline in gross and net slippage was 14% and 28% respectively.
In terms of translation to the overall slippage ratio, that further improved to 2.49% in the current quarter as compared to 2.68% which we saw in the previous quarter. The collection efficiency of the bank continues to be quite stable now for many quarters ; it was at 99.5% for the current quarter. Moving on to SMA 1 and 2 numbers, there we conti nued to see an improving trend. The SMA was at 0.77% in Q1 FY27 from 0.78% which we saw in the previous quarter and 1.01% in Q1 of last year. We have given a fairly detailed breakup across segments in terms of how SMA and NPA numbers have fared for us. Similarly in microfinance, I would say things have largely got restored on the asset quality front; here the SMA 1 and 2 normalized to now only 0.71%.
If I now talk of deposits, then happy to report again that customer deposits now is just shy of INR3 lakh crores. It grew by about 16.6% on a Y-o-Y basis and 5.3% on a Q -o-Q basis. If I see total deposits, which is customer deposits plus certificate of deposit, then the growth was about 17.7% on a Y-o-Y basis and 5.9% on a Q -o-Q basis. Within customer deposits, CASA deposit s

I would say grew the fastest.
So, CASA ratio for the quarter as a result improved by 1% to 50.8% and average CASA ratio stood above the 50% mark at 50.1%. The CASA deposits have now touched INR1.58 lakh crores. So, I would say the another milestone crossed during the quarter was CASA g oing beyond INR1,50,000 crores.
Moving on to now the profitability section, happy to report that we have crossed profit of INR1,000 crores for the first time and the profit for the quarter stands at INR1,075 crores, which is an improvement of about 132% on a Y-o-Y basis. During the quarter, all operating metrics continued to demonstrate an improving growth trajectory. For example, NII grew by 21.1% on a Y-o-Y basis.
This in fact improved from 15.7% which we saw as a Y-o-Y increase in the previous quarter.
As a result, the net interest margin on an AUM improved by 3 basis points to 5.96% from 5.93% in the previous quarter. However, let me point out that the last quarter had a benefit of day count convention of about 8 basis points and in this quarter, we had some benefit on account of interest on income tax refund, which contributed to 6 basis points.
If I exclude these two line items from the individual quarters, then the NIM has shown an improvement of 5 basis points and the adjusted numbers would look like 5.85% going up to 5.90%. This improvement was largely contributed by reduction in cost of fund, which further came down from 6% to 5.96%. Moving on to the fee and other income, here also we saw strong

growth. I would say backed by disbursements, which almost increased by 25% plus on a Y-o-Y basis in Q1.
And as a result, the overall fee income increased by 22.9% on a Y-o-Y basis compared to 21.3% Y-o-Y which we saw in Q4. The other streams of fee income, which is your trade and FX, which is your commercial banking and all these related fees also continue to contribute strongly to the fee growth. As a result of the increase in the NII and the fee, the to tal income for Q1 on a Y-o-Y basis was 21.5% higher versus about 17.1% what we had reported for the previous quarter.
During the quarter, we had a good run on the treasury front , of course that was helped by softening of the G -Sec yields to some extent and hence we were able to get a treasury gain of about INR181 crores in Q1. Moving on to opex, the opex for the quarter stood at INR5,729 crores. This grew by 16.4% on a Y-o-Y basis and the sequential increase in opex, if we exclude the impact of the one -off fraud in cident in Q4, then it was 2.3%.
This incr

ease of 2.3% on a sequential basis corresponds to an increase in core income by about 4.6% on a sequential basis. As a result, the cost to income ratio excluding trading gains improved by 166 basis points on a sequential basis to 70.7% and by 310 basis points on a Y-o-Y basis. We have also mentioned in the presentation that the jaw, which is the operating jaw between the total income and opex for Q1 now almost stands at about 500 basis points, which to some extent has also translated into improvement in the cost to income ratio.
As a result of all of this, the operating profit of the quarter excluding trading gains has increased by 36% on a Y -o-Y basis and even sequentially, again here I would exclude the impact of the fraud incident, the improvement was 10.9% on a sequential basis. So, for last two quarters in a row now we are getting an operating profit increase of upwards of 30%.
Moving on to provisions, this reduced by 31.1% from INR1,659 crores to INR1,144 crores. On Q-o-Q basis, if you see it has remained at the same level . Last quarter the actual credit cost was about INR1,143 crores. During the quarter, we had received a claim of INR514.8 crores under the CGFMU scheme against MFI portfolio. Here I would just want to put a data point that we believe that we applied in this quarter and we got it in this quarter, which was quite fast in that sense.
Another point to call with respect to provisions is that we have created a contingency provision of INR515 crores. This is purely I would say voluntary and on a prudent basis considering the evolving macroeconomic and the geopolitical uncertainties and the monsoon related factor.
I would again reiterate that the bank's current asset quality performance remains quite healthy across key retail, rural, and MSME portfolios with delinquency indicators largely stable or improving and hence this provision is purely I would say a forward -looking and more prudent in that sense. In terms of credit cost percentage for the quarter, that further improved from 1.60% to 1.53% during the quarter.
Moving on to the last section, which is capital adequacy and liquidity . The capital adequacy ratio stood at 15.05% at June with CET1 ratio of 13.33%. We had an impact of about 30 basis points on account of ops risk RWA reset which typically happens in Q1 on the CET1 ratio.

On liquidity, I would say we continue to maintain LCR at stable levels , in fact average LCR ratio for the quarter was about 116% and this broadly around our guided range as we have indicated in the earlier call.
With this, I have tried to cover the key numbers; maybe I'll hand over now to Vaidya for his opening remarks.
V. Vaidyanathan: Good evening everybody. Sudhanshu has covered the numbers, so I'll skip the comments on that. The thing is that beyond the numbers what the bank is really building is or what we're trying to build is a really high -quality customer -first bank.
And this goes core to the culture of the bank because when we say customer -first bank, then it's just not a slogan , every policy of the bank, every product of the bank, every way our employees interact with customers, how they give the customers benefit of doubt in the event of a complication or an error of opinion or a difference of opinion, everything has to reflect that.
For example, we hate to put asterisks in our advertisements because we know asterisks, people don't see that and they just jump into the advertisement and they start consuming the product.
This happens. For example, even after four or five or seven years of talking about that, even now sometimes when I go to and meet any of our employees or see some responses from our employees to some customers, I find it may not be c ustomer -first.
And they'll have disputed the customer for some small amounts and negotiated unnecessarily.
So, I do find such things, but

it's a long process but every product we put, we try to bring that
in. We try to see that we don't write fees and charges in such ways as complic ated languages that customers don't understand. We don't charge fees just because the customer doesn't notice , just because you don't notice I can't bill you.
So, we do, you know, if somebody is selling a mutual fund, we don't just pick a mutual fund that gives us highest commission and sell it to customer . We go and do a deep analysis using AI and find such mutual funds which will give maximum return to the customer. Whether we get 0.7 % or 0.8 % or 0.9 %, 1%, these are all round off numbers, we don't really look and try to maximize that front.
So, this is what I mean by saying that we're trying to really build that and that's one big part the bank is building. It will show in due course; to an extent it is showing, I think that's it's reflecting in the numbers somewhere. But it will also show in due course. I can't surely tell that every part of this is helping the bank in terms of P&L , it costs money to build a bank like this, but this is a great long -term franchise.
Second thing , I'd say that there is governance. I can tell you that even during the most difficult times when we were starting the bank up six or seven years ago when we were posting loss for three or four quarters in a row for those bad loans, we did not have any PPOP at all. In fact, our PPOP was like 0.5 %, 0.6%. The credit cost used to be 1%, so really that left us with no profit on the core.
Even then, we didn't find solutions around our situations. We went through that boldly and dealt straight. So, governance, you will not find us lacking. If something inadvertent happens, I don't

know, but no one that I know of in our bank, in our Board, among our colleagues, among senior management, anyone would ever talk anything or even suggest something that can go bad on governance. So, you should rest assured.
That means seven years and many of you who know me for 25 -30 years would know that we have lived that life like that and will not go. And that should definitely, in good days and bad days, should give you comfort that this bank will deal straight and deal right. The third thing then comes down to technology. I can tell you that tech is a big thing and our bank now for many, many years have been making the right moves on technology.
It's not really the cost. People think tech has cost money. It's not about costing money. It is about building the right architecture, having the right quality of people, and building a stack inside out, customer data platforms, KYC platforms, digital onboarding, payment infrastructure, communications and risk and decisioning engines, API, data streaming, machine learning, artificial intelligence, the whole stack, and UI, UX, and everything.
We really try to, let me say, even customer intelligence, every customer data platform, everything is like, we really put an effort in building that. And customers are using the bank services now, whether using our app, using a call cente r, I'm quite sure they would have seen the experience.
In fact, when I often go to conferences if I have to speak on a panel etc etera , I often ask people

to put up the hands how many of them are customers of the bank and you'll be surprised , I do find quite a few people. So, the point is that we're trying our best to stay in the cutting edge of technology and governance and customer service I told you.

The last thing is finally this has to , of course , translate to numbers end of the day because from the market point of view you track numbers and you should. But my sense is that whatever numbers we'll post, we believe it's coming strong from the core and when it comes strong from the core it is more sus tainable. And on that front let me just say that, for the

last many years
we've been under the pump on the issue of cost to income ratio. I don't deny.

In fact, in the first round I got it wrong because we thought we'll fix it in five years; it's been seven years, we're still dealing with it. But then I just realized that the issue was some amount of income got wiped out because we wrote off a lot of bad loans . And along with that income also went away permanently.

Some amount of cost issues also came from the fact that we were really building, while we may have got the cost income issue wrong which I don't deny I told you I admit. But then there were so many things we got right also, beyond the normal. For example, we said we'll be INR1 lakh crore s of retail loans at the end of five years or five to six years; we were sitting at like INR1.7 lakh crores , INR1.8 lakh crore s at that period. Today we are INR2.5 lakh crores.

So, like that's like INR70,000 crores , INR80,000 crores more than what we talked about. We talked of CASA of 30%; now we're talking CASA 50%. It was not planned. So, there are many things that , NRI deposits , now we're talking about INR25,000 crores of NRI deposits in the bank. So, we didn't factor for , maybe for so many loans that came this way or that way, we didn't.

So, if we didn't factor for certain bad loans, fine, it's our mistake, I don't deny. But the fact is that starting up a bank there are just so many expenses on compliance, on setting up the ticketing systems, the CRM systems, it's just an expensive proposition . And I must thank you that while in the phase of building the bank, let me say , that the market has given us capital.

We have again our book value per share has gone up from some INR31 or INR32 to maybe INR56 or INR57 now, Sudhanshu? INR56 now. And I agree that all of it has not come from raising internal profits , a lot of it has come by raising capital at a premium.

But even though our return on equity used to be relatively low those days, 5 or 6% on average, but the investors have given us capital at about 1.5% price to book or 1.6% price to book, which has helped us build the networth .

So I don't deny these things, but they've all helped us in good measure, but end of the day net worth is net worth, capital is capital, and book value per share is book value per share. We have it now. Now our job is to grow return on equity. I mean, we strengthened the bank for capital raise, I agree. But now it's our job to, you know, now that we got adequate scale, we believe that the cost-income ratio will get fixed, definitely.

Actually, if you see our cost -income ratio over the last two or three years, initially it came down from 95.1% it was on Q2 FY19, it came down to 85% upon merger because capital first came with 48% and it came down to, blend -blend came to 85%. From 85 %, it moved down to 72 %, right up to 72.8 %. But in FY25, in FY26, two years in a row, it got stuck at 72.5 % or 73.5 %.

So many people started worrying that, look, maybe they are just stuck and maybe there's no scope for improvement anymore. I think that is not right. It got stuck because even during those days, the FY25 and FY26 productivity gains were coming. But the income was coming down because of the microfinance book, we shrunk it and income went away.

After all, what is cost -income? It is cost divided by income. So income got stuck. I mean, it got stuck when it got reduced because the microfinance book, we reduced it. So let me say, that is a mathematical thing. But there were productivity gains coming at that time, it kind of got obscured.

But now that the microfinance issue is built in the base case, now we start seeing improvement in cost -income ratio quarter -on-quarter . Sorry, let me say, year -on-year, quarter -on-quarter, I can't say for sure, sometimes moving parts happen here or there .

But let me say, year -

on-year, you should expect to see and that phase, that for two or three years,
we got stuck We believe it will start materially moving down year -on-year now because it's all in the base case now.

So, just moving on from the tech thing and from there, I talked about economics. So on the economics front, the last thing people often say is that, listen, even well -meaning investors, long -term people who think long, they used to often say that, look, we like your model, everything is good . But still, end of the day, until you're posting 1% ROA, really we can't look at you, that's the base case.

Let me just tell you that, when we do our math, we drop a spreadsheet . We know the income we're making, we know cost of funds, we know the margin, and we stretch this spreadsheet into the future . Let me just tell you that this is not going to stop at 1% ROA. Even this time, the ROA 1% that we mentioned, there is got some kind of one, let me say, some amount of income tax, some interest income into it.
Sudhanshu Jain : The treasury gain.
V. Vaidyanathan: Treasury gain , treasury gain . Yes, treasury gain is also there and some benefit here and there. But if you adjust for it, maybe it will come down to about 90 basis points, not 106 as it is looking. But still 90, it's like touch and go.
I remember in a couple of interviews, even with CNBC, during the depth of the crisis, I took an interview, just to assure people that things are well. And that is an interview with Lata Venkatesh, and I was telling her, we'll be in kissing distance of 1% by end of the year. I'm just happy to share with you that we are not taking end of the year, we are already touching kissing distance, we are touching like 0.9 %, it's real, real.
And we think that it will move up from here or definitely stabili ze from here, probably go up from here. And at least by this year, in fact, not just by the year ending, but hopefully for the year itself, we should be able to post 1% is our belief as far as our eyes can see. So that's a bit of an upgrade. And that's coming in our mind , because credit costs is better than expected.
So all I can say is that all of you have been very supportive for us, we are very sincerely thankful to you. We want to thank all our employees who have worked very, very hard in bringing up this bank from the beginning. And every one of the shareholders who supported us with capital, I can assure you that things are looking up.
And for those who have not yet, who think that probably this is a one quarter thing, I'm pretty sure you wait for one more quarter, one more quarter, you will get a confidence back. So thank you for that.
Saptarshi Bapari : Renju , we can open the forum for the Q&A session now.
Moderator: Yes, sir. Thank you. We will now begin the question -and-answer session. T he first question comes from the line of Akshay Jain with Autonomous LLP. Please go ahead.
Akshay Jain : Thank you, sir. Thank you for the opportunity and congratulations on a good quarter. My first question is on margins. So like , if I look at cost of funds, that is still improving with additional tailwinds from SA rate cuts if and when it comes. So that leaves us with the asset mix shift. So is asset mix shift is expected to be so severe that your clean margins of 5.9% this quarter will turn into 5.7 5% for full year. So that's my first question.
Sudhanshu Jain : Yes, thanks Akshay for the question. Yes, maybe I should respond to this or should you want to continue with all your other set of questions?
Akshay Jain : Anything is fine, sir. Like, maybe you can respond to...

Sudhanshu Jain : So maybe I will respond to the margin question first. So yes, I do agree in the previous earnings call, we had guided for a 5.75% margin, and we have

come at 5.9% if we adjust for income tax
refund. But now for the year, our expectation is that we could hit margin closer to 5.8%. So in that sense, we now feel that margin could improve from 5.75% to 5.8%.
If we see for this quarter, as I said, the margin was 5.9%, we still got some benefits because we ran a lower investment book. So from here on, into the year, we see the margins could still slightly get impacted because of the asset mix change, which we have articulated in the previous call as well, because we have been growing some segments of business, which could be NIM dilutive, but still make sense in the ROA sense, but still it could be a margin impacting factor.
Second, we feel the cost of funds could stabilize , could stay very range bound around the 6% mark. So that's the second factor and some normalization of the investment book, which may happen during the course of the year. So, we feel that margins could broadly stay around the 5.8% handle now for the full year.
Akshay Jain : Okay, sir. And any sensitivity have you done for how your margins will move in case of rate hikes? Any numbers you have done?
Sudhanshu Jain : So, I have not factored in any rate hike when we are giving these projections, we'll see as it comes by.
Akshay Jain : Okay. The second question is on credit cost. So, again, for 1Q, your credit costs have been

around 153 basis points and 1Q is typically the weakest quarter for the year. And if you are beating your guidance of 180 basis points, 190 basis points in 1Q itself. So, is there any scope for bringing down the credit cost guidance? And number two is on the prudential provisions. So, are you seeing any signs, early warning indicators turning negative because of the Middle East war or weaker monsoon?
Sudhanshu Jain : So, on the credit cost, yes, to our surprise, Q1 has fared quite well. In fact, we spoke in the previous quarter, Q4 typically ends to be the much better quarter. Collection momentum is quite strong there. But from an asset quality front, we have seen all of this sort of flowing into Q1 as well.
And we have said that all the asset indicators which we have put on the presentation, SMA, GNPA, NNPA, all sort of product -wise is t rending well. We have of course created a contingency provision which I would say is more on a prudent basis. We all know the uncertainties which we are currently dealing with in terms of the geopolitical factors which would play out.
Monsoon, of course, rains have been improving, but still we felt that it would be prudent on our part to take into account some of these risks which could emerge over the later part of the year. So, I would say it's purely a prudent provision. Taking all of this into account, I would say, of course, as I said, there could be still some bit of uncertainty here and there.
But on the credit cost guidance also , while we said 170 to 180 basis points in the previous earnings call, we feel now we could land up more with 150 to 160 basis points on credit cost.

So, that is coming on the back of a much improved Q1 and how we see at least the current quarter and some of these things could play out.
Akshay Jain: Thank you, sir. And on ECL, any numbers on one -time transition and steady -state credit cost?
Sudhanshu Jain: So, on this again, I think we have discussed this question also quite a number of times in the previous calls, but the position continues to be the same. Of course, the final guidelines have come in, we are fine -tuning some of the numbers. But our preliminary sense is that from a capital point of view on transition, there will be two i mpacts.
Of course, we will be required to keep more capital aside for ECL, but there would be also benefits which would come from a reduced RWA application both on credit risk and operational risk. So, in a combination of

both, we feel that the impact on capital could be quite neutral at the time of transition. So, that is our current sense as far as ECL is concerned.
Akshay Jain: Understood, sir. And last question if I may, on FCNR (B). So, if you can share some targets or, you know, what is the current mobilization and how are FCNR costs compared to normal TD costs?
Sudhanshu Jain: So, FCNR we also feel this is a very good opportunity and we want to capitalize to the extent possible. Like if you would have noted, we have given our NRI deposit book, right, which is about INR25,000 crores. If you go and check, the system is about INR1.65 trillion, which means that ou r share is about 1.7% currently in the NRI deposit market.
Of course, this is a book which we have started growing more so in last two to three years and growing at a much healthy space. With respect to FCNR, we feel that through a combination of leverage and the SBLC structure, we are hopeful of garnering a share of about 2.5% or so. So, that is how we are looking at it. You would have noted that on FCNR deposits, we have announced a rate of 6.75%, which is quite competitive and we feel that is a very good opportunity which we wa nt to capitalize.
Akshay Jain: Understood, sir. Thank you. Those are my questions.
Sudhanshu Jain: Thank you.
Moderator: Thank you. The next question comes from the line of Param Subramanian with Investec. Please go ahead.
Param Subramanian: Hi, good evening. Thanks for taking my question and congrats on the quarter. It's really a strong bounce back from the issues we had in February, so and it's happened so quickly. So, congrats to the entire team on that. My first question is on the opex. So , our guidance is 13 % to 14% for the full year. I understand business is coming back strongly. So, are we still sticking to that sort of guidance, 13 % to 14% opex growth through the year?
Sudhanshu Jain: Param, thanks for the question. So, I would want to state here that the business momentum continues to be very strong as we see now. Of course, we are cautious of the macro factors which could play out. And our endeavor would be to maintain that opex leverage, right, which is that 500 basis points delta which we were able to achieve in Q1.

So, it all depends on the business momentum what we see from here, but we're quite hopeful of maintaining this jaw even into the rest of the quarters. That's how we are seeing it. So, there could be , I would say a change in both the income side as well as the opex side, but we would want to still maintain this 500 basis points at the minimum.
Param Subramanian: Okay, fair enough, Sudhanshu. Okay. So, the main drivers of our say ROA improved guidance is the 20 basis point upgrade you gave on credit cost guidance and on NIM you said 5 basis point higher. So, those are the main positive deltas you're talking about.
Sudhanshu Jain: Yes, broadly.
Param Subramanian: Okay, okay. And going into FY28, I know it's very early days, but and Vaidya sir mentioned, you know, 1% is not where we stop. So, how to think about say how the, you know, ROA trajectory progresses going into next year?
V. Vaidyanathan: Should increase naturally, no? Should increase naturally because next year will be more see this thing what Sudhanshu pointed out, see if you remember we had talked about 13 % to 14% increase in opex with a 18 % to 18.5% increase in income. Right, Param?
Param Subramanian: Yes, yes.
V. Vaidyanathan: Yes, that's it. If you see our transcript of the last call also, you'll see that. So, now if this 18 .5 is not 18 .5 it's 20 or 20.5%, you know, correspondingly you could have some increase in opex also because see the market opportunities are growing and we don't want to be missing out on them, you know, and just stick to one line item.
The point is that this 450 to 500 basis point difference jaw o

pening. If you cut -paste it into next year also, which we believe it will happen in next year meaning FY28 also, then straightaway it is a cost -income reduction of about 350 basis points straight, just from these numbers. So, and that when you do the maths of it, you'll find it's quite meaningful to the P&L.
Param Subramanian: Sir, one last question if I may, the fraud incident, are we beginning to see any recoveries from that and if so, you know, going ahead where will we be booking that in the P&L if and when it happens?
Sudhanshu Jain: Param, there continues to be I would say progress on this front. If you go by the public news and so on, a few more arrests have been made, ED has been actively looking into the case, they've filed a charge sheet and so on, indicated some amount which coul d be a potential recovery. But all of this takes a long time, right?
So, I'm saying there is a proper process which needs to be followed like for example going to the PMLA court, filing our claim, then these claims will be assessed for whether it's due to us in the right sense and so on. I mean, lot of work will have to be done. This is a totally I would say a legal process, court process.
Difficult to sort of put out a timeline for this, but at least we are seeing movement on the ground, right? So, it will be difficult for us to sort of commit to a timeline in terms of what recovery could finally emerge from here, but we continue to be quit e engaged on this front.

Param Subramanian: Fair enough, Sudhanshu. Yes, very clear. Is there anything at all in the P&L in this quarter as a recovery of anything?
Sudhanshu Jain: No, nothing as of now.
Param Subramanian: Okay, perfectly clear. Thank you so much and congrats once again on the quarter to the entire team.
Moderator: The next question comes from the line of Ankit Bihani with Nomura. Please go ahead.
Ankit Bihani: Yes, hi, good evening, everyone and congrats on the quarter. So, most of my questions have been answered, so I have a question on our tech investment priorities over the next two to three years. So, basically how is the bank leveraging AI and GenAI capabiliti es across functions and how do you see technology investments increasing from here?
If we look at IT expense as a percentage of overall opex , it has come down a bit from 11% odd to 9% odd now. Even the large banks are operating, you know, at these levels. Could you please elaborate on this? Thank you.
V. Vaidyanathan: It's not actually like I said before, you know, it's not about how much you invest; it's about where you invest them. So, I agree we are like 9% there. The thing is that we've built a really good architecture and a good stack and modern stack and cloud and API -first integration and cloud - native principles and event -driven platforms and microservices architecture and we're hollowing out the core as much as possible.
We have real -time data streaming, you know, it's all being built. I can only tell you that, you know, for example, what people can't see, I think, generally speaking, is that people can see ROA, ROE, they can measure us today, but they don't know the quality that's been built what

your eyes can't see, that's, you know, that's below the ground.
On that front, I am giving making my comment to you that it is truly really fantastic modern architecture is coming about in the bank. So in terms of this , it is a big enabler of many of our businesses that we're doing, many of the services we're providing to our customers and naturally there's a payback in terms of revenue and robustness with which the bank will be able to grow. Which means that, you know, I don't think this bank will stop, you know, will even say three years or four years from now even we're INR6 lakh crores so to say in deposits, INR5 lakh crores in loans, you know, we can continue

to grow on this platform. Once platform is strong,
foundation is strong, you can grow 20% or more. Who knows? I mean, of course we'll put out our numbers at that point of time, but as far as I can see the platform strong means the bank can grow for a long time.
Ankit Bihani: Okay, sure. And just on the FCNR front, did we highlight we'll be able to capture we'll potentially capture 2.5% of the overall market share, right?
Sudhanshu Jain: Yes, so on the FCNR, I know there are different numbers which are sort of float ing around, but assuming say a $60 billion, $70 billion come in, we are hopeful of getting about 2.5% of that pool.

Ankit Bihani: Okay, and till now if you would like to, you know, give out any number how much we have mobilized?
Sudhanshu Jain: It has just started, I'm saying gaining steam. So, yes, so maybe we can give an update next time.
Ankit Bihani: Okay, great. Yes, congrats on the quarter again.
Sudhanshu Jain: Thanks.
V. Vaidyanathan: Thank y ou. Thank you.
Moderator: The next que stion comes from the line of Jai Mund hra with ICICI Securities. Please go ahead.
Jai Mundhra: Yes, hi, good evening and congratulations on a strong quarter, sir. Sir, first question on MFI slippages, right? So, I believe I mean we've not given separately, but if you can quantify how much was the MFI slippages and how much was the MFI disbursement in this quarter?
Sudhanshu Jain: MFI slippages was quite low in this quarter and same was actually the case in the previous quarter as well. And hence as I said all the SMA or all these numbers are indicating that sort of back to normalcy when collection efficiency continues to be around that 99.5% which we are seeing in the overall portfolio as well. So, so that's on MFI. Sorry, Jai , what was the second question?
Jai Mundhra: The disbursement, MFI disbursement.
Sudhanshu Jain: So, disbursement if you see if I sort of see the numbers from last year Q1, then then we have seen almost doubling of disbursement as far as MFI is concerned. So, we are hopeful while the book has not grown that very much in last one or two quarters, at leas t the decline has been arrested.
But through the course of the year, we feel that now since disbursements are picking up and we're hopeful of a quarter -on-quarter increase here, we feel that we could end up or target a book increase of 15% on a Y -o-Y basis.
Jai Mundhra: Sure, this is helpful. Secondly, Sudhanshu, I see that 6 basis points of IT refund, this would translate to roughly around 60 crores. Where do you book it? Because does it go to income interest on advances or does it come on interest on balance with RBI and others? Sorry.
Sudhanshu Jain: It would be the other line item; it certainly doesn't come in advances, but it and it would be the NII line item.
Jai Mundhra: Okay, okay. Sure, because the other is only INR76 crores or something, right, within which there is INR60 crores of IT refund.
Sudhanshu Jain: Yes, number is slightly lower than, but round about that number.
Jai Mundhra: Okay, sure. Sure. Secondly on, you know, customer deposit or CASA, right? So, if I can get the number separately for CA and separately for SA, the reason I'm trying to I mean overall deposits have bounced back and within which CASA has also rebounded by li ke 7%, 8% Q -o-Q. But if

you can qualify if you can give more colo ur as to, how we have got the traction in SA especially maybe granular and maybe the high -ticket SA post that incident.
Just wanted to trying to understand, we have done reasonably well ahead of your guidance of 5% Q -o-Q deposit growth, but within which if you can, sort of highlight the granularity and maybe the high -ticket this thing.

Sudhanshu Jain: No, so both have been growing quite well. Like if you see the average CA

deposits, that has
grown by about 30% on a Y -o-Y basis and SA has grown about 25% or so. Of course, SA is the major component in the CASA, right? And the CASA deposits itself has grown about 8% on a sequential basis. So, you can assume that bulk of the growth has come in SA, which has given this kind o f a lift.
Jai Mundhra: Correct. And safe to say that it would have been broadly similar to granular and maybe high - ticket, right? The entire episode is now clearly past this, right? And you have had increase in balance in both th ese buckets?
Sudhanshu Jain: Yes, our deposits on the SA front also quite granular in that sense. So, it's granular deposits which have sort of come in even during the current quarter.
Jai Mundhra: Right. Sure. And last question, sir, just on this ROA. So, just to reconfirm, we are now saying that, you know, what we were earlier saying we have now accelerated that full year we should be able to achieve around 1% ROA, right? That is the correct , if I hear it correctly?
Sudhanshu Jain: Yes, that's what we're gunning for.
Jai Mundhra: Right, right. And the reason why it is higher because of , experience in credit cost, which is much lower and ideally it should stay that way, and then the NIM should incrementally be also be stable, right? These are and the opex thing anyway continues. So, this is the right understanding, right?
V. Vaidyanathan: That's right, that's right. Mainly is the credit cost because on the NII front, you know, I know all of you as analysts track that like closely by the basis points. But, you know, it's roughly we'll be in zone. Roughly we'll be in zone.
Jai Mundhra: Yes. Thank you and all the very best, sir.
V. Vaidyanathan: Thank you.
Moderator: The next question comes from the line of Jayant Kharote with Axis Capital. Please go ahead.
Jayant Kharote: Thank you for the opportunity and congrats on a great set of results. First question, sir, is on ECL. Maybe I missed this, so sorry about this. Have you quantified the impact of steady -state credit cost after the ECL transition?
Sudhanshu Jain: So, thanks Jayant for the question. So, of course, to the previous participant we did talk about the impact which could come on transition as far as ECL impact is concerned, where we said we would require to maintain more amount for ECL, but at the same ti me we may get some RWA

benefits through the operational risk RWA reduction and credit risk and hence the in combination of both of this, the impact on capital on trans ition could be broadly neutral.
With respect to the run rate impact, there would definitely be some more requirement for provision, but at the same time we could get benefit because of the EIR implementation because both the sourcing opex a nd the processing fees will be amortized when the ECL is implemented.
So, we feel net of these two, which is your slightly higher provision requirement minus the EIR benefits which could come in, the impact could be quite manageable. Since the guidelines have come in, we are just we are still fine -tuning the numbers. I don't want to put out a specific number here currently, but this is the broad sense.
Jayant Kharote: So, you don't think the ROA expansion journey should be sort of prolonged because of this transition?
Sudhanshu Jain: Yes, not as such.
Jayant Kharote: Great. And finally, sorry to harp on the margin question again. Given that our corporate book is growing very healthily and again at this size it makes sense, it's also bringing a lot of discipline to the credit cost ban d. But then again looking out next two, three years, how does this play into our NIMs and our ROA ambitions?
V. Vaidyanathan: Actually the NIM of the corporate banking is a little lower than retail. So, the more we book corporate, it will have its share of impact on the on the overall NIM. That's why, you know,

Sudhanshu said that as a bank it'll have some impact. But really you should see it in totality the asset quality of the franchise and the credit cost should come down over the years when you wake up in FY28 or FY29 or FY30 or FY31.
Frankly we don't put it like a guidance but we don’t think of a bank as wanting to be running a t 1.5% credit cost at that point of time. That's not our vision statement because becoming a larger and larger bank, we cannot be sitting at 2% credit cost even if it's very attractive a nd NIM attractive and all that.
So, we are planning to move in a direction where the bank's ROA, again don't take it like a guidance like for a specific date or something, but we think that our bank is structurally built for a ROA of more like 1.7 %, 1.8% as it builds out. So, yes, and that kind of a number can be

achieved even at a lower credit cost, even if we book more of corporate loans.
But I can tell you that it's been seven years now, there's, you know, there's been no mishap in the corporate loan. Seven years is a long time to prove out our governance and our underwriting capabilities and the amount of diligence we do on corporate loans and our ability to get the business and the kind of proposals. So, we're quite, you know, happy with that the way it's coming.
Jayant Kharote: Great, sir. That's very reassuring. And again congrats for a great set of quarter. Thanks.
V. Vaidyanathan: Thank you. Thank you very much.
Moderator: The next question comes from the line of Anand Dama with Nuvama . Please go ahead.

Anand Dama: Hey hi guys, congratulati ons for a great set of results.
Sudhanshu Jain: Hi Anand.
Anand Dama: Yes hi. One, is it possible for you to share like how has our institutional deposits moved past the episode that we had? Were there any more withdrawals from any other government or basically it is holding up well and it is growing? Some of that stuff we would lik e to know about that because that will give a better comfort.
V. Vaidyanathan: Yes, deposits coming very strong. Just I mean, frankly the way deposits came back into the bank, not just came back I'd say frankly we didn't lose deposits in the first place in any material way. I mean, frankly we had a flat quarter. We didn't lose money. And the way it's come back, come back very strong. So, let me just directly at my level let me assure you, there is absolutely no problem on deposits; in fact we are flying actually .
Sudhanshu Jain: Yes, institutional deposits are also quite stable.
Anand Dama: That's very comforting. Secondly.
V. Vaidyanathan: Though our intent, frankly in due course will be to continue to do more of the retail deposits than the institutional deposits. I mean, that's been a strategy anyway, it's not a new strategy as you know it's been like seven years of practice as a strategy. So, I mean in the sense that will be our intent. And we will get there.
I can tell you everyone hearing this call that money is coming thick and fast into IDFC, it's coming very strong and the relationship s are strong and the way customers responded to us for so much of bad news all over Twitter and YouTube and all over the place, even then money just stayed. It's like really, we're happy about the way customers believed us during the crisis. Of course, we came out in the open, we took our interviews, we spoke publicly about it and public thankfully supported us on that.
Anand Dama: Sure. Secondly, I think during the call you said margins around 5.8% or 5.9% I couldn't hear that clearly. Because this quarter if you look at a core margins are somewhere about 5.9% if we take out the interest on IT refund. So, it should remain stable aro und these levels or like where should it settle maybe by over next two, three quarters?
Sudhanshu Jain: Yes, so in margin as you rightly said if you strip out that interest on incom

e it was more around
5.9%. I also alluded to that we also continue to get some benefit from a lower investment book during the current quarter. Some of it could normalize as we sort of move into the ensu ing quarters. And we feel that margins which we had earlier guided for 5.75% for the full year now could more look like 5.8%.
So, this change I would say from say 5.9% adjusted for the investment book, the asset mix changes which continue to happen, we need to see how this FCNR plays out as far as the margin is concerned. So, all of this in combination we feel the margins could s till be around 5.8% for the year.
Anand Dama: Okay, which means that on a quarter -on-quarter basis there could be some contraction that we should see from 5.9%.

Sudhanshu Jain: Yes, yes.
Anand Dama: Okay. And then I think you talked about the operating jaw opening up. So, what kind of cost to income ratio should we look at in FY27 given that, you know, this quarter we have got some benefit on the other opex front, but I think that was sequentially primaril y because of the IPL expenses being not there, right, in this quarter?
Sudhanshu Jain : Which expenses would not be there?
Anand Dama: So, quarter -on-quarter if you look at the other opex actually has come down. Is it more to do with the business seasonality or were there some lumpy expenses in fourth quarter which were

not there in this quarter?
V. Vaidyanathan: No, in fourth quarter we had this incident of fraud, right, where we had taken it to the opex line item, right? If you take out that, then the opex increase about 2.3% sequentially. In terms of cost to income translation, even on a sequential basis C to I has improved by about 166 basis points and on a Y -o-Y that's more around 310 basis points. So, we feel that Q1 cost to income which has come at 70.7%, our endeavo ur would be to take into below 70 during the course of the year. So, that is what it could look like.
Anand Dama: Okay, okay. And then what kind of ROA that we're looking at for the full year in FY27? Should we get closer to 1%?
Sudhanshu Jain : That's what we sort of answered on the previous call, that we are gunning for reaching a n ROA of about 1% for the year.
V. Vaidyanathan : Looks like it for now, you know, last time of course like I said we used to say fourth quarter we used to say kissing distance but looks like full year will get there.
Anand Dama: That's great to hear. And any more CGFMU recovery should we expect during the year, any more claims that we have put out or this is for all?
Sudhanshu Jain : No, procedurally it comes only once in a year. So, for the year it's done actually . We could get some similarly into the next year.
Anand Dama: Next year we will get it, right? That's very helpful. Thanks a lot.
V. Vaidyanathan : Not of this amount.
Sudhanshu Jain : Yes, not of this amount, the amounts could be much smaller.
Anand Dama: Sure, sir.
Moderator: The next question comes from the line of Pritesh with DAM Capital Advisors. Please go ahead.
Pritesh: Hi sir, good evening and good set of numbers. Just two questions. One is on channel sourcing. You give the breakup of opex, we see it going down. So, what is the thought on that in the sense are we insourcing more, the outsourcing is slightly lower than wh at it was and that is also one of the elements of opex being getting do wn, right? So, anything on that?

Sudhanshu Jain: Channel sourcing expense is about 20 odd percent and it has been quite range -bound if you see the few quarters. Of course, it also depends on I would say the seasonality aspect of it. Q4 typically we see is a much stronger quarter in terms of disbursements and so on. However, Q1 has also remained quite strong.
To your question on capability, yes, we continue to work on these

capabilities of insourcing on
product by product wherever it's applicable. So, we feel that th e benefit also bit by bit is translating somewhere into these ratios. So, but to great extent you can assume this would generally grow in line with the volume growth.
Pritesh: Sir, just a follow -up on that. I think, you know, a year some years back or, you know, a few quarters back we were mentioning that to generate a lot of loans we also incurred a lot of expenses in and around the customer. So, with AI do you see that the exp enses which were required for the customer origination and then of course a lot of customer rejection also happened, is that changed for us in terms of opex?
V. Vaidyanathan: See, there are two AIs, okay, so people just to clarify. One is the AI that was classical AI, which was happening even before the arrival of generative AI. And that is a big one. For example, all our consumer durables and two -wheelers and small ticket loan s and frankly loans that we give to kiranas and chemists and salons and we have developed scorecards for all of that and these are all machine learni ng models. And that is also AI.
So, that has been going on for like maybe seven or eight years for now. We started this journey of using scorecards like 15 years ago and it's been evolving and newer and newer technologies since then, but we've been using AI in that sense. So, in that way yes, of course it will continue to improve. The in terms of how much the generative AI is going to be used, everybody knows that every part of the bank, every part of every organization will get affected. So, we are also putting our efforts in that front.
But end of the day, you know, from your point of view as investors, the reason why it's not figured prominently in any of the notes etc etera , it's from your investors point of view, whatever we say in terms of AI it has to show in the numbers. So, we are focusing more on the outcomes in that sense. But at the bank level we're putting our efforts for that.
Pritesh: Right, right, right. So, last question from my side is on PSLC. The annual report is not out, but what would have be en done in terms of the agri PSL norms and how much PSLCs we would have bought in for last year and this quarter?
V. Vaidyanathan: Yes, we bought and we lost some money in the sense that it's st ill a negative drag for us. We'r e still not a bank which is originating its entire PSL on its own organically. As you know we started from a DFI and we've not yet not yet fully caught up with the requirement s. So, because

we started from like zero base on building a PSL franchise. So, we are still buying PSL, we are
short, and there is a negative like last year was Rs. 250 odd crore , Sudhanshu?
Sudhanshu Jain: Yes, so I'm saying even the rates had shot up in the market and .
V. Vaidyanathan: But overall last year we lost almost how much?

Sudhanshu Jain: Yes, about 250 odd.
V. Vaidyanathan: Last year we lost about Rs. 250 odd crore . Probably I mean, it depends on how the rates will be
for this year, we'll take the numbers as it comes. But we're going to be short, we're going to buy,
but our attempt is to start building more and more of this organically.
But we've made good headway. I mean, imagine we have 1 lakh crore s of PSL in the bank today,
probably a little more , about close to 1 lakh crore s, 1.2 lakh crore s of PSL, okay, didn't exist a
few years ago. So, we're making good headway, but we're still short. Net -net we are losing
money on PSL purchase. Yes.
Pritesh: Sure, sure. Got it. Thank you, sir. All the best.
V. Vaidyanathan: Than k you.
Sudhanshu Jain: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference
over to Mr. Vaidyanathan for closing comments.
V. Vaidyanathan: Yes, thank you. Thank you very much. Thanks S

udhanshu and Sapta and everybody and to
everybody who took this call. So, we look forward to continuing our work like this and certainly
after two or three quarters even those of you who are on the fence will g et confidence in us.
Thank you.
Sudhanshu Jain: Thank you everyone for joining.
Saptar shi Bapari: Thanks everyone for joining. Have a nice weekend. Thanks.
Moderator: Thank you. On behalf of IDFC First Bank, that concludes this conference. Thank you for joining
us and you may now disconnect your lines. Thank you.